MANILA WATER
CARE IN EVERY DROP

Raising The Bar Even Higher

2024 Integrated Report

About this Integrated Report

This Integrated Report presents the Company's previous year's performance of the operating business units and a thorough account of its strategy and governance.

Note on forward-looking statements
Certain statements and illustrations contained in this report may constitute "forward-looking statements" within the meaning of applicable securities laws and regulations. These statements and illustrations include information that does not relate solely to historical or current facts. These can be identified through the use of "may," "believe," "expect," "anticipate," "assume," "estimate," "plan" or "continue," and similar expressions, or by future or conditional verbs such as "should", "would" and "could."

Such statements are based on current expectations of future events, estimates and certain assumptions of our management. These are, therefore, subject to certain risk factors and uncertainties, some of which are beyond our control. Moreover, these may cause the actual results, the financial situation, the development, or the performance to differ materially from the estimates or performance implied in these forward-looking statements. We do not assume any obligation to update these forward-looking statements to reflect actual results, changes in assumptions, or changes in other factors affecting such statements.

Reporting standards
This report covers all financial information, as well as economic, environmental, social and governance performance of all of Manila Water operating subsidiaries, namely the Parent Company (East Zone Concession), Manila Water Philippine Ventures (MWPV), and Manila Water Asia Pacific (MWAP).

This report was prepared with reference to the Integrated Report <IR> Framework by the International Integrated Reporting Council (IIRC), Global Reporting Initiative (GRI) Standards, Sustainability Accounting Standards Board (SASB) Standards, Recommendations of the Task Force for Climate-related Financial Disclosures (TCFD), and Recommendations of the Task Force for Nature-related Financial Disclosures (TNFD). The GRI, SASB, TCFD, and TNFD disclosures that have been referred to are in the **Sustainability Content Index**.
The information contained in this report covers the period from January 1 to December 31, 2024.

On our financial statements
SyCip Gorres Velayo & Co. (SGV & Co.) is the external auditor of the Company's financial statements, with Djole S. Garcia as the lead engagement partner given the required audit partner rotation every five years. More information about our audit process is found on pages 214, while our financial statements are found on pages 218-354.

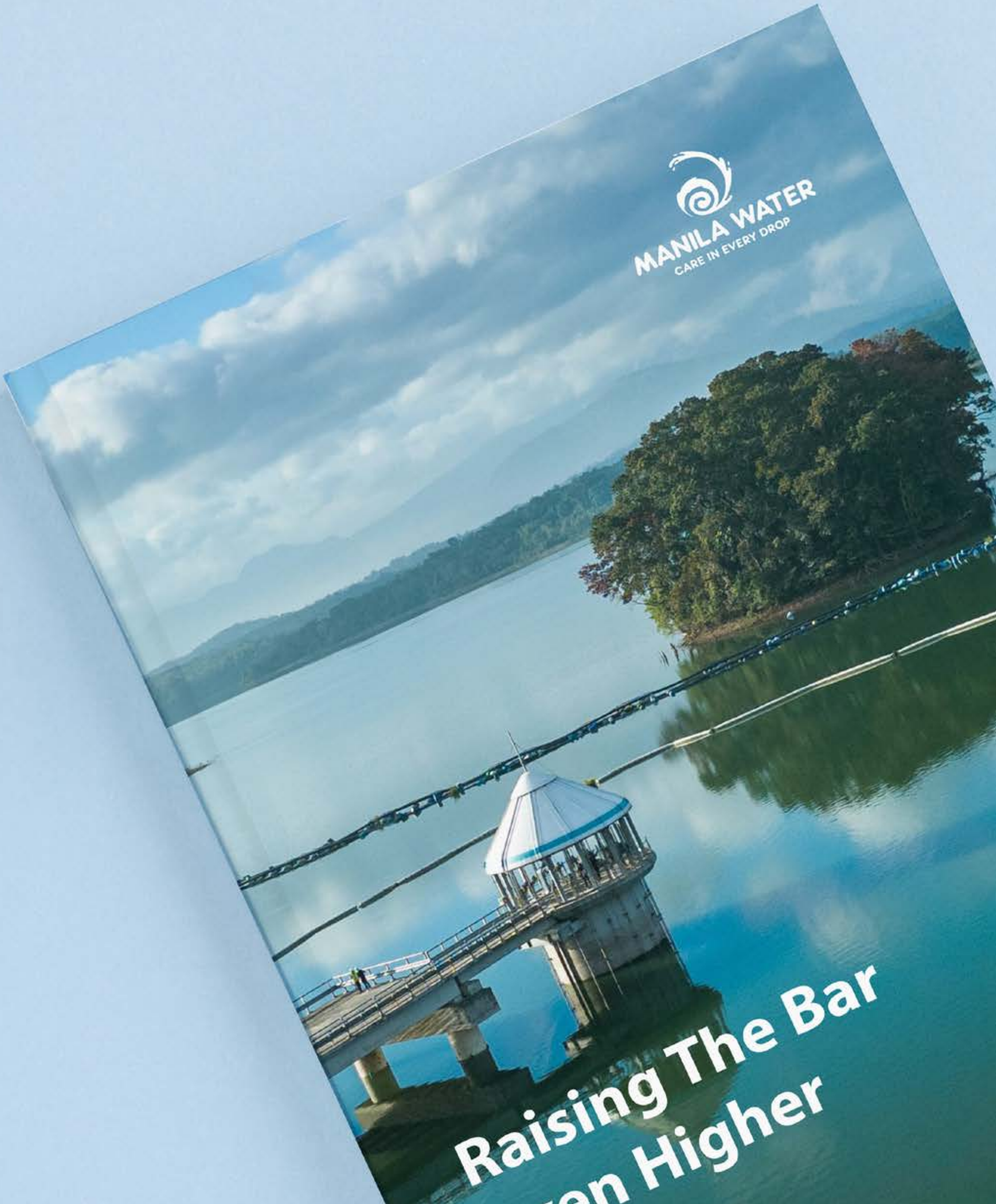
On our sustainability performance
Senior management appointed BSI Group Philippines Inc., a third-party multi-disciplinary professional services firm, to perform assurance based on AccountAbility AA1000 Type 2 Moderate Level Assurance on the figures and information pertaining to our sustainability performance. This is the first time we contracted the services of BSI for this type of engagement.

The Independent Assurance Statement validates that the report is in reference to the GRI and SASB Standards, as well the TCFD Recommendations. It guarantees the shareholders and readers of the reliability of the reviewed data, claims, and information contained in this report.

Feedback
We welcome inquiries and feedback on this report.
For investor concerns, you may e-mail invrel@manilawater.com.
Meanwhile, for sustainability concerns,
you may e-mail sustainability@manilawater.com.

About the Cover

The intake tower of the NBAQ4 is part of the The Php5.5-billion Novaliches-Balara Aqueduct 4 project, one of the largest MWSS-led water supply infrastructure projects undertaken by Manila Water, entailed the construction of a fourth aqueduct from the La Mesa Reservoir to the Balara Treatment Plants (BTP) 1 and 2 to improve the reliability and security of the raw water transmission system.



Statement of Responsibility from the Board of Directors

The Board of Directors ensures the integrity of Manila Water's 2024 Integrated Report, which reflects the Company's performance from January 1 to December 31, 2024. This responsibility is carried out through the Board's high-level supervision of the teams responsible for the production, review, and validation of the report, ensuring adherence to internationally recognized frameworks for Integrated Reporting.

The Board confirms that management has thoroughly reviewed the disclosures and subjected them to an external assurance audit to ensure completeness, accuracy, and transparency. Manila Water engaged BSI Group Philippines, Inc. (BSI), an external assurance provider, to validate the report's key economic, environmental, social, and governance disclosures. This assurance process affirms that the data and narratives presented in the report objectively and accurately represent the Company's business practices.

Enrique K. Razon Jr.
Chairman

Jose Victor Emmanuel A. De Dios
President and CEO, and ESG Committee Chairperson

Purpose

Better lives and resilient economies through critical infrastructure

Vision

A global leader in providing quality water and environmental services supportive of sustainable development

Mission

Deliver world-class services tailored to the needs of the communities we serve, through sustainable solutions and purpose-driven, empowered, innovative teams

Core Values

Care *(Malasakit)*
We demonstrate our innate Filipino value of genuine compassion and ownership to fulfill our mission to our employees, customers, the environment, and our nation.

Excellence *(Kahusayan)*
We create meaningful value and deliver high returns for all our stakeholders by delivering the highest quality products and services, investing in projects that improve quality of life while upholding the welfare of our employees.

Tenacity *(Katatagan)*
We bravely face challenges head-on with a 'can do, must do' attitude and we follow through on our promises with maximum effort and persistence. We quickly embrace change and ensure competent completion of every job we commit to.

Collaboration *(Bayanihan)*
We live and breathe the work that we do, and we seek out colleagues and partners that share the same commitment to utilize our diverse strengths and work together in synergy towards our purpose.

Integrity *(Integridad)*
We are ethical, fair, and transparent in our business practices at every level of our organization. We always choose to do what's right and take accountability for our actions.

Pioneering *(Tagapanguna)*
We apply new approaches, explore new methods and ideas, in order to create innovative solutions and deliver lasting impact for the communities in which we operate.

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2024

AT A GLANCE

Financial Highlights

^ **Php 37.02 Bn**
Operating Revenues[1]

^ **Php 25.86 Bn**
EBITDA
(from continuing operations)

^ **71%**
EBITDA Margin

^ **Php 14.23 Bn**
Core Net Income

^ **20%**
Ave. Tariff Growth

^ **Php 26.28 Bn**
CAPEX

Legend

- ^ increase vs 2023
- v decrease vs 2023
- = no significant change vs 2023

Sustainability Highlights

Economic

Php 37.02 Bn
Economic Value Generated[1]

Php 24.93 Bn
Economic Value Distributed

Php 12.09 Bn
Economic Value Retained

[1] Includes interest income and loss on sale of plant, property, and equipment

Sustainability Highlights

Environment

Indicator	2024	2023
Enterprise NRW, end-of-year[3]	14.61%	15.1%
Reuse[4], Mn m^3	7.57	6.45 (2023:[2])
Wastewater Treated, Mn m^3	66.39	76.76
CO_2e Emission Avoided thru Wastewater Treatment, Metric Tons CO_2e	65,709	63,391
Area Reforested since 2006, Has.	3,434	3,139
Watershed Protected Area, Has.	195,727	195,586 (2023:[5])

Social

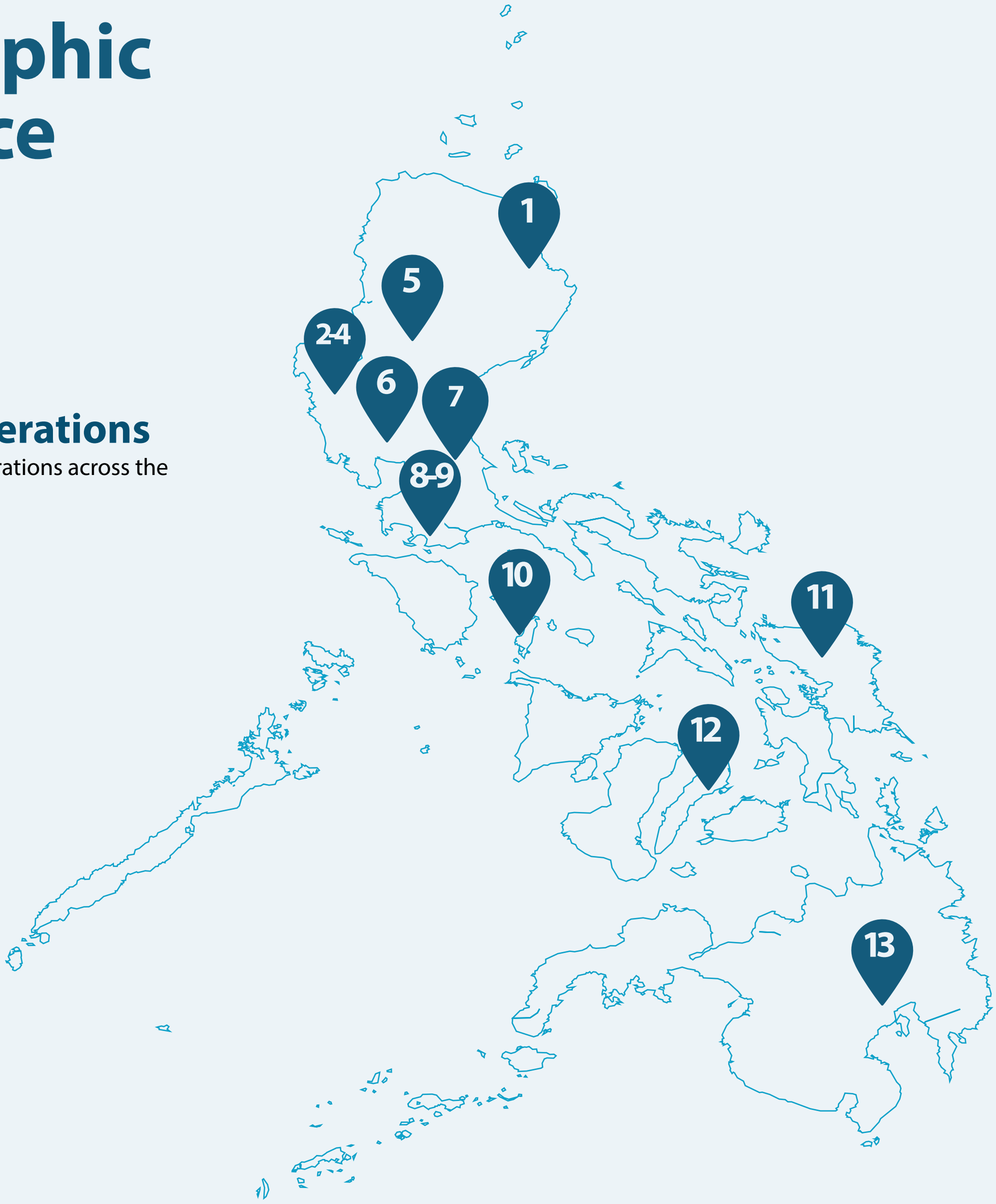
Indicator	2024	2023
Potable Water Delivered, Mn m^3	1,287	1,267
Population Served with Water[6]	9,327,986	9,332,863
Sewer Connections, count	318,385	303,724
Desludged Septic Tanks, count	133,435	121,001
Lost Time Injury Rate	0	0.46
Employee Volunteers Hours[7]	2,849	1,891

Governance

Indicator	2024	2023
CDP – Water Security	A Leadership	A- Leadership
CDP – Climat Change	B Management	B Management
Sustainalytics[8]	22.6 Medium	22.1 Medium
MSCI	BB	BB
Women in the Board	22%	18%

[2]Backwash recovered only
[3]Restated 2023 to exclude subsidiaries now categorized as affiliates
[4]Includes backwash recovered and wastewater reuse; Restated 2023 data to exclude subsidiaries now categorized as affiliates
[5]2023 data restated to reflect the accurate protected area for General Nakar.
[6]The reported population data has been restated to reflect subsidiaries only, excluding business units now categorized as affiliates. This restatement, combined with the sale of two subsidiaries, accounts for the decrease compared to 2023.
[7]Employee volunteer hours included opportunities to participate in Pasibol, iWASH, Lináng, and Agapay.
[8]Revised scoring methodology resulted in a lower rating than in 2023

Geographic Presence



Philippine Operations

Market presence with operations across the Philippines

EAST ZONE
(7.76 million customers, ~500+ million cubic meters annual water demand)

NORTH LUZON
1. Ilagan (Isabela) Water
2. Calasiao (Pangasinan) Water
3. North Luzon (Pangasinan) Water
4. Malasiqui (Pangasinan) Water
5. San Jose (Nueva Ecija) Concession

CENTRAL LUZON
6. Clark (Pampanga) Water
7. Bulacan (Bulacan) Aqua Estates

SOUTH LUZON
8. Laguna (Laguna) Water
9. South Luzon (Batangas) Water

VISAYAS-MINDANAO
10. Boracay (Aklan) Water
11. Calbayog (Samar) Water
12. Cebu (Cebu) Water
13. Tagum (Davao) Water

OTHERS (B2B)
14. Estate Water
    Partnership with Property Developers
15. Manila Water Total Solutions EPCM,
    Product Innovation and Development

International Operations

Present in ASEAN and Kingdom of Saudi Arabia (KSA)

1. VIETNAM

- **Thu Duc Water**
  (50-year 300 MLD Bulk Water Contract with SAWACO)
- **Kenh Dong Water**
  (20-year 200 MLD Bulk Water Contract with SAWACO, SGW)
- **Saigon Water**
  (38% in a holding company with multiple investments in water value chain)
- **Cu Chi Water**
  (Concession Agreement under Saigon Water)

2. THAILAND

- **East Water**
  (18.72% stake in raw water business in Eastern Economic Corridor, Thailand)

3. INDONESIA

- **PT STU**
  (20% in a Bulk Water supply company in Indonesia)

4. KINGDOM OF SAUDI ARABIA

- **Northwest Cluster KSA O&M**
  (1,000 MLD MOM Contract in North West Cluster)
- **Eastern Cluster KSA O&M** (1,800 MLD MOM Contract in Eastern Cluster)

EPCM - Engineering, Procurement, Construction and Management
SAWACO - Saigon Water Company
MLD - millions of liter per day
SW – Saigon Water
PT STU – PT. Sarana Tirta Ungaran

OUR LEADERSHIP

Message of the Chairman

"

I would like to thank our Board and leadership for their unwavering commitment to the disciplined execution of our strategy. I thank the Manila Water team for their hard work and dedication to the path we have charted towards growth. Lastly, I thank our shareholders who place their trust in our efforts to bring long-term value and contribute to a more sustainable future.

Fellow stockholders, ladies, and gentlemen,

I am pleased to report that our company delivered record results in 2024. This was made possible by the strong fundamentals we have established in recent years, which were strengthened by our continued focus on growth, efficient operations and disciplined financial management.

Manila Water increased its revenues 19 percent in 2024 to Php36.6 billion. This was supported by the recovery of consumption in our service areas, and the implemented tariff adjustments in both our East Zone and Non East Zone Philippines (NEZ PH) businesses. Coupled with continuing efforts to streamline costs and realize operating efficiencies, EBITDA increased 26 percent to Php25.9 billion and strengthened EBITDA margin by 4 percentage points to 71 percent.

Consistent with our commitment to disciplined portfolio management, we executed strategic divestments, as well as recognized adjustments on several of our investments to reflect current market conditions and operating outlook. Specifically, we divested our Bulacan business units and generated a gain of Php894 million. On the other hand, we recognized full impairment on legacy investments in East Water in Thailand, as well as partial impairment of our Saigon Water investment in Vietnam.

Excluding one-offs, core income grew by 48 percent to Php14.2 billion. In all, Manila Water posted consolidated net income of Php10.5 billion for 2024 – the highest in our company's 27-year history.

As we are encouraged by these milestone successes, we continue to work towards further building up our critical infrastructure to ensure reliable service.

Notably, for our East Zone Concession, Phase 1 of the East Bay Project is now physically complete. This project will provide 50 million liters per day (MLD) of treated water, while the larger Phase 2, which is now at 66 percent complete, is designed to supply an additional 200 MLD. These new projects are a significant component of our Service Improvement Plan, which was approved by MWSS under its Water Security Master Plan, to provide sufficient water supply for Metro Manila in the coming years.

I would like to thank our Board and leadership for their unwavering commitment to the disciplined execution of our strategy. I thank the Manila Water team for their hard work and dedication to the path we have charted towards growth. Lastly, I thank our shareholders who place their trust in our efforts to bring long-term value and contribute to a more sustainable future.

Enrique K. Razon, Jr.
Chairman

Report of the President & CEO

In 2024, several of our key business units delivered stellar results. For our East Zone Concession, the business posted a 20% increase in revenues to end the year at Php28.8 billion. This performance was largely driven by the implementation of the second tranche of our approved Rate Rebasing tariff adjustment and further supported by steady consumption growth across all customer segments. EBITDA increased by 22% to Php20.7 billion, with EBITDA margin improving to 72%.

Mr. Chairman, Members of the Board, fellow shareholders.

The solid foundation laid in recent years continued to allow us to achieve remarkable results in 2024. This is truly significant as our achievements were attained during a particularly challenging El Niño year.

In 2024, several of our key business units delivered stellar results. For our East Zone Concession, the business posted a 20% increase in revenues to end the year at Php28.8 billion. This performance was driven largely by the implementation of the second tranche of our approved Rate Rebasing tariff adjustment and supported by steady consumption growth across all customer segments. EBITDA increased by 22% to Php20.7 billion, with EBITDA margin improving to 72%.

Similarly notable was the performance of our NEZ PH business, which had a banner year in 2024 with earnings growing more than threefold to Php2.3 billion, from Php750 million the previous year. This impressive growth trajectory was driven by an 8% increase in total billed volume, implemented tariff adjustments in several NEZ PH service areas, and stronger contributions from key business units which, in all, pushed revenues past Php9.0 billion. The collaboration we have with government and water district partners in Laguna, Boracay, Cebu, Clark as well as the communities served by our Estate Water Group, continues to propel us to do better outside of our core East Zone business.

Equally important, in 2024 we continued to invest in critical infrastructure to fulfill our regulatory and service commitments. Group-wide capital expenditures (CAPEX) reached Php26.3 billion in 2024, with our East Zone Concession accounting for 90% of total CAPEX at Php23.6 billion. These investments underscore our focus on ensuring sustainable water supply and wastewater coverage, while continuing the rollout of service improvements for our growing customer base.

Lastly, I would like to share our progress relative to our ESG commitments. You will recall that several years ago, we had set out clear target outcomes covered under our three sustainability pillars, namely (1) Helping Communities Thrive; (2) Protecting the Environment; and (3) Building a Culture of Care and Trust. Said target outcomes are categorized under seven areas and outlined as a total of eight distinct ESG commitments for target completion year in 2025. I am happy to share that, as of 2024, we have already attained four of our eight ESG commitments ahead of schedule. Specifically, these attained outcomes fall under the categories of (1) Water Security; (2) Economic Contribution; (3) Resource Efficiency; and (4) Health and Safety. This milestone speaks significantly to the importance we place upon fulfilling our purpose of working towards better lives and resilient economies through critical infrastructure.

In closing, I would like to credit our solid performance in 2024 to team Manila Water – the women and men who continue to inspire the Leadership Team through their unfailing dedication to the customers in the different areas we serve. You can rest assured that we in Manila Water will continue to improve services, drive operational efficiencies and create more value for our shareholders and stakeholders.

Jose Victor Emmanuel A. De Dios
President & CEO

Members of the Board of Directors

Name	Position/Board Committee Membership
Enrique K. Razon, Jr.	Chairman of the Board of Directors Chairman of the Executive Committee
Jose Victor Emmanuel A. de Dios	President and Chief Executive Officer Chairman of the Environment, Social, and Governance Committee Member of the Executive Committee Member of the Talent and Remuneration Committee
Donato C. Almeda	Chief Regulatory Officer Member of the Executive Committee Member of the Board Risk Oversight Committee Member of the Nomination Committee
Katrina Maria S. Razon	Member of the Board of Directors
Sandy A. Alipio, CPA, CIA	Member of the Board of Directors
Sherisa P. Nuesa	Lead Independent Director Chairperson of the Audit Committee Member of the Board Risk Oversight Committee Member of the Corporate Governance Committee Member of the Nomination Committee Member of the Environment, Social, and Governance Committee
Cesar A. Buenaventura, O.B.E.	Chairman of the Board Risk Oversight Committee Member of the Audit Committee Member of the Corporate Governance Committee Member of the Related Party Transactions Committee Member of the Nomination Committee Member of the Environment, Social, and Governance Committee
Octavio Victor R. Espiritu	Chairman of the Corporate Governance Committee Chairman of the Talent and Remuneration Committee Chairman of the Nomination Committee Member of the Audit Committee Member of the Related Party Transactions Committee Member of the Environment, Social, and Governance Committee
Eric Ramon T. Recto	Chairman of the Related Party Transactions Committee Member of the Board Risk Oversight Committee Member of the Corporate Governance Committee Member of the Talent and Remuneration Committee Member of the Environment, Social, and Governance Committee

ENRIQUE K. RAZON, JR.
Filipino
Chairman of the Board of Directors since June 3, 2021

Enrique K. Razon, Jr. is Chairman of the Board and President of International Container Terminal Services, Inc. (ICTSI), a Philippine-based company involved in the management and operation of 34 ports and terminals in 20 countries. He is also Chairman of Bloomberry Resorts Corporation (BRC), developer of Solaire Resort and Casino, a US$1.2 billion integrated resort complex in the Philippines' Entertainment City. ICTSI and BRC are listed in the Philippine Stock Exchange.

Mr. Razon belongs to the third generation of a family involved in marine cargo handling. The Razon Group has a long-standing reputation of being pioneers and innovators in the management and development of ports, terminals and related facilities. The group's proven track record stems from over 90 years' experience in integrated cargo handling, stevedoring and other port services in the Philippines and abroad.

In 1987, the Razon Group and the Soriano Group incorporated ICTSI, initially to bid for the Manila International Container Terminal (MICT) in the Philippines. After winning the MICT contract 1988, Mr. Razon spearheaded the MICT's development program. The MICT today is the country's premier international gateway. ICTSI also operates 10 other terminals in the Philippines.

After consolidating and strengthening its base and flagship operation at the MICT, ICTSI launched an international and domestic expansion program in 1994. Today, ICTSI is recognized as a leading operator, innovator and pioneer in port management with a track record that confirms its ability to rapidly adapt to different operating environments, add substantial value to its terminals by enhancing their efficiency at every level while focusing on sustainable development. The company continues to pursue prospects in Asia, the Middle East, Africa, the Americas and Europe.

Mr. Razon is on the board of most ICTSI subsidiaries worldwide and of several leading foreign and Philippine corporations. Mr. Razon also chairs the ICTSI Foundation, Inc., which oversees and implements the ICTSI Group's corporate social responsibility advocacies. He is also chairman of Pilipinas Golf Tournaments, Inc., which stages the Philippine Golf Tour, Southeast Asia's largest professional golfing circuit.

Mr. Razon's other investments are in power, mining, oil and gas exploration, and leisure facilities including a golf course in the Philippines.

JOSE VICTOR EMMANUEL A. DE DIOS
Filipino
Director, President and
Chief Executive Officer since August 27, 2021

Prior to this appointment as an Executive Director, President & Chief Executive Officer of Manila Water, Mr. de Dios was Chief Executive Officer of Prime BMD Corporation. He is a member of the boards of publicly listed Oriental Petroleum and Minerals Corp. and Phoenix Petroleum Philippines. He has extensive experience as a corporate chief executive, business leader and attorney.

Mr. de Dios graduated from the Ateneo School of Law in 1990 and obtained his Master of Laws degree from Harvard Law School in 1994. He spent his early professional years practicing law starting in the Supreme Court as Senior Law Clerk to then Associate Justice Hilario Davide, Jr. before eventually moving to private practice at the Romulo Law Office where he specialized in Corporate, Energy, Commercial and Securities Law.

From 2001 to 2004, he served as Undersecretary at the Philippine Department of Energy, overseeing preparation of the country's Philippine Energy Plans and creation of the agency's Natural Gas Office. He also supervised the country's downstream oil sector which became a showcase in Asia. He was then appointed Chairman of the Philippine National Oil Company-Exploration Corp. where he served until 2005.

Members of the Board of Directors

In 2007, Mr. de Dios was appointed President of Nido Petroleum Philippines and then in 2008 as CEO/Managing Director of Nido Petroleum Pty, an ASX-listed oil exploration company. While based in Perth, Western Australia, he led the company's multiple drilling campaigns in the prolific Palawan basins.

He subsequently moved to GE Philippines in 2012 where he served as Chairman of the Board and CEO. He was also Chairman and COO, GE Oil & Gas Philippines, Inc. Chairman and President, GE Power and GE Lighting Philippines Inc. Branch Manager, General Electric International Inc., and Managing Director, GE Government Affairs & Policy, Asia Pacific. As CEO of GE, he led the growth of the company's businesses in the Philippines which included Energy (Power, Renewable Energy and Grid Solutions), Healthcare, Water and Aviation. He headed the Government Affairs & Policy portfolio covering the Asia Pacific region, developing strategies for GE businesses and executing on these strategies with global GE teams and regional stakeholders.

Concurrent to his appointment as President and CEO of Manila Water, he also serves as the Chairman of Boracay Island Water Company, Inc., Clark Water Company, Inc., Manila Water Philippine Ventures, Inc., and Manila Water Total Solutions Corp. He is also the President of Manila Water Foundation, Inc., and is the Vice-President of Laguna AAAWater Corporation. He was recently elected as a Director of Manila Water Asia Pacific Pte. Ltd. He is also a Trustee of the Philippine Disaster Resilience Foundation, Inc.

Mr. de Dios is passionate about education, having taught many years at the Ateneo School of Law, Lyceum of the Philippines University and UP College of Business from which he graduated (BsBA, 1986) and was recognized as one of the Outstanding Alumni in 2014. He is also an active business mentor through the Endeavor Network. He previously served as a member of the board of the American Chamber of Commerce in the Philippines and is currently active in other non-profit organizations as board member/trustee.

DONATO C. ALMEDA
Filipino
Director and Chief Regulatory Officer since June 3, 2021

Mr. Almeda is also a Director of Bloomberry Resorts Corporation (BRC) and Bloomberry Resorts and Hotels, Inc. He is also a Director of Bloomberry Cruise Terminals Inc., MORE Electric & Power Corporation, and is the President of Bloomberry Cultural Foundation Inc. He is the Chairman of Manila Water Foundation, Inc. He is designated as Vice-Chairman for Construction and Regulatory Affairs of Bloomberry Resorts Corporation, Bloomberry Resorts and Hotels, Inc., and Sureste Properties, Inc. BRC is a publicly listed company.

He served as President and CEO of Waterfront Philippines Inc. He also served as: President of Waterfront Cebu City Hotel, Waterfront Mactan Hotel and Fort Ilocandia Hotel, Managing Director of Waterfront Promotions Ltd. (a gaming company) and President of Insular Hotel in Davao.

He earned his Industrial Engineering Degree from De La Salle University.

KATRINA MARIA S. RAZON
Filipino
Director since 2023

An advocate of sustainability, Ms. Razon is the Chief Executive Officer and founder of KSR Ventures, a company which invests on net positive companies. She also serves as a director of Scratch First Co., Ltd., the creators of Wonderfruit and Wonderfruit Festival, which has an investment in Rimba Raya Biodiversity Reserve. She is also a director of various subsidiaries of Prime Infrastructure Capital, Inc. which contribute to sustainability goals: Solar Tanauan Corporation, Prime Integrated Waste Solutions, Inc., Prime Waste Solutions Cebu, Inc., Prime Waste Solutions Cavite, Inc., and Prime Waste Solutions Pampanga, Inc.

Also an artist herself, Ms. Razon supports arts and music through creative and marketing strategies as managing partner and creative director of CC: Concepts and public relations coordinator and event coordinator of Solaire Resort & Casino.

Ms. Razon obtained her Bachelor's Degree in Communication and Media Studies from Northeastern University in 2014.

SANDY A. ALIPIO, CPA, CIA
Filipino
Director since 2023

Mr. Alipio is a senior Accounting, Financial, Audit and Risk Management Executive with 30 years of work experience in his field.

He was a member of the Senior Management Executive Team in International Container Terminal Services Inc. (ICTSI). He served as Senior Vice President – Global Financial Controller and Chief Risk Officer in ICTSI. He has served as a member of the board of directors of various local and foreign subsidiaries and affiliates of ICTSI. He was recently elected as the Treasurer and Chief Financial Officer of Prime Infrastructure Capital Inc.

Prior to his work at ICTSI, he spent a decade working for the San Francisco-based Elan Pharmaceuticals and held several positions including Vice President of BioNeurology Finance and Vice President of Internal Audit & SOX.

From 2000 to 2004, Mr. Alipio was a Senior Manager for Audits and Business Advisory at KPMG LLP in San Francisco. He was with Makati-based SGV and Co. from 1994 and was seconded in Chicago back in 1997. He was also a Manager for Assurance and Business Advisory Services in 2000.

Mr. Alipio is a Certified Public Accountant (CPA) in the Philippines and in the State of California, USA. He is also a Certified Internal Auditor by the Institute of Internal Auditors.

Mr. Alipio graduated with a degree of Bachelor of Science in Business Administration and Accountancy from the University of the Philippines (U.P.) College of Business Administration in Diliman in 1993. He placed 13th in the May 1993 CPA board exams among over 8,000 examinees.

SHERISA P. NUESA
Filipino
Lead Independent Director since April 16, 2021
Independent Director since April 15, 2013
Member of the Board of Directors since April 15, 2013

Ms. Nuesa also serves as a Director of the following publicly listed companies: Far Eastern University (FEU), Integrated Micro Electronics Inc. (IMI), AC Energy, Inc. (ACEN), and Ayala Land, Inc. (ALI). She is also a director of FERN Realty Corporation, a non-listed company.

Ms. Nuesa is a Senior Board Adviser of Metro Retail Stores Group (MRSGI), Board Adviser of Vicsal Development Corporation, Chairman of the Board of the Judicial Reform Initiative, and a Trustee of the Financial Executives Institute of the Philippines (FINEX) Foundation.

Ms. Nuesa was a Managing Director of Ayala Corporation where she served in various senior management positions until December 2011. She was the President and a Director of the ALFM Mutual Funds Group from 2012 to 2021. She was a member of the Boards of Generika/Actimed Group from 2017 to 2019, Psi Technologies, Inc. from 2010 until 2015, and the Blackhorse Emerging Enterprises Fund (Singapore) from 2009 to 2014. She was the Chief Finance Officer and Chief Administrative Officer of Integrated Micro-Electronics, Inc. from January 2009 to July 2010, the Chief Finance Officer of Manila Water Company, Inc. from January 2000 to December 2008, Group Controller and later Vice President for Commercial Centers of Ayala Land, Inc. from January 1989 to March 1999. She also served as a board member of various subsidiaries of Ayala Land Inc., and Integrated Micro-Electronics. She was also a member of the board of trustees of Manila Water Foundation, Inc. She also served as Vice Chairman and Trustee of the Institute of Corporate Directors until June 2021.

Members of the Board of Directors

Ms. Nuesa was awarded the ING-FINEX Chief Finance Officer of the year in 2008 and an Outstanding Alumna of the Far Eastern University in 2008. She earned her bachelor's degree in Commerce from Far Eastern University where she graduated summa cum laude. She completed her MBA at the Ateneo-Regis Graduate School of Business. She was part of the Advanced Management Program at Harvard Business School, and the Financial Management Program of Stanford University. She also completed an Audit Committee Seminar at Harvard Business School. Ms. Nuesa is a Certified Public Accountant.

CESAR A. BUENAVENTURA
Filipino, 92 years old
Independent Director since April 16, 2021

Aside from serving as an Independent Director of Manila Water, Mr. Buenaventura also serves as an Independent Trustee of Manila Water Foundation, Inc.

Mr. Buenaventura also serves as an Independent Director of International Container Terminal Services, Inc. (ICTSI) since February 12, 2019. On June 18, 2020, he was appointed as the member of Audit Committee, Environment, Social and Governance Sub-Committee, Board Risk Oversight Committee, Related Party Transactions Committee, and a Chairman of Corporate Governance Committee. He is the Director and Chairman of Mitsubishi Hitachi Power Systems Phils. Inc. and Buenaventura Echauz and Partners, Inc., Director and Vice Chairman of DMCI Holdings, Inc. (DMCI), Director of Semirara Mining and Power Corp. (SCC), iPeople, Inc. (IPO), Petroenergy Resources Corp. (PERC), Concepcion Industrial Corp. (CIC), Pilipinas Shell Petroleum Corp. (SHLPH), DM Consunji Inc., and The Country Club. He is likewise a Trustee and Chairman of Pilipinas Shell Foundation Inc., and Trustee of Bloomberry Cultural Foundation and ICTSI Foundation, Inc. He was formerly a Director of Philippine American Life Insurance Co., AG&P Co. of Manila, Ayala Corporation, First Philippine Holdings Corp., Philippine Airlines, Philippine National Bank, Benguet Corporation, Asian Bank, Ma. Cristina Chemical Industries, Maibarara Geothermal Inc., and Manila International Airport Authority. ICTSI, DMCI, SMC, IPO, PERC, CIC, and SHLPH are publicly listed companies.

His career started with Engineer David Consunji in 1951. Mr. Buenaventura then moved to the Shell Group of Companies in 1956 where he served as the first Filipino CEO and Chairman from 1975 until his retirement in 1990. He served 2 more years in the capacity of non-executive chairman until 1992. He was appointed member of the Monetary Board of Central Bank of the Philippines representing the private sector from 1981 until 1987.

Mr. Buenaventura is the founding chairman of the Pilipinas Shell Foundation Inc. and founding member of the Board of Trustees of the Makati Business Club. He was a member of the Board of Regents of the University of the Philippines from 1987 to 1994, the Board of Trustees of the Asian Institute of Management from 1994 to 2007, and President of Benigno Aquino S. Foundation from 1985-2010.

He is a recipient of many awards, among which are – Most Distinguished Alumnus, College of Engineering, University of the Philippines in 1977, the Management Man of the year by the Management Association of the Philippines in 1985, Outstanding Professional in Engineering by the Professional Regulatory Commission in 1997, Outstanding Fulbrighter in the field of business by the Philippine Fulbright Association in 2008, recipient of Centennial Award as one of the UP's Top 100 Alumni Engineering Graduates.

In 1991, Mr. Buenaventura was made Honorary Officer of the Order of the British Empire (OBE) by Her Majesty Queen Elizabeth II.

Mr. Buenaventura received his Bachelor of Science degree in Civil Engineering from the University of the Philippines and his master's degree in Civil Engineering majoring in Structures from Lehigh University Bethlehem, Pennsylvania in 1954, as a Fulbright scholar.

OCTAVIO VICTOR R. ESPIRITU
Filipino, 78 years old
Independent Director since April 16, 2021

Mr. Espiritu holds the following positions in the following public-listed companies: Independent Director of Bloomberry Resorts Corporation (BRC), and Director of the Bank of the Philippine Islands (BPI).

He is also a Director of Philippine Stratbase Consultancy, Inc., Pueblo de Oro Golf and Country Club and The Country Club, Inc. He is also currently the Chairman of GANESP Ventures, Inc. and MAROV Holding Company, Inc. and a trustee board member of the Carlos P. Romulo Foundation.

Formerly, Mr. Espiritu was a three-term former President of the Bankers Association of the Philippines, a former President and Chief Executive Officer (CEO) of Far East Bank and Trust Company, and Chairman of the Board of Trustees of the Ateneo de Manila University for fourteen (14) years.

Mr. Espiritu received his primary, secondary, and college education from the Ateneo de Manila University where he obtained his AB Economics degree in 1963. In 1966, at the age of 22, he received his master's degree in Economics from Georgetown University in Washington DC, USA.

ERIC RAMON O. RECTO
Filipino
Independent Director since April 16, 2021

Mr. Recto has served as the Chairman of the Philippine Bank of Communications since May 2012. At present he holds the following positions in public listed companies: Independent Director of Aboitiz Power Corporation, Independent Director of PH Resorts Group Holdings, Inc., and Director of DITO CME Holdings Corp. (formerly ISM Communications Corporation).

He is the Chairman and President of Bedfordbury Development Corporation, Vice-Chairman of Alphaland Corporation, Vice-Chairman and President of Atok-Big Wedge Co., Inc., President of Q-Tech Alliance Holdings, Inc., and the owner of Premium Wine Exchange, Inc. He also serves as an Independent Director of Waterfront Cebu City Casino Hotel, Inc., and Davao Insular Hotel Company, Inc.

Mr. Recto served as the Chairman and President of DITO CME Holdings, Corp. from April 2005 until January 2020. He was also a Director of Petron Corporation from February 2014 until May 2018, and also served as its President from October 2008 to February 2014. He was a Director of San Miguel Corporation from May 2010 until June 2014. He was the Vice-Chairman of Philweb Corporation from July 2007 until July 2014, and served as its President from April 2005 until July 2007. He was a Director of Manila Electric Company from June 2010 until December 2013. From January 2010 until December 2013, he served as the President of Top Frontier Investment Holdings.

He served as Vice-Chairman and Director of the Philippine Bank of Communications from July 2011 until May 2012. From May 2005 until March 15, 2010, he was an Independent Director and Chairman of the Executive Committee of Philippine National Bank. During this period, he was also the Chairman of PNB Securities, Inc. He was a Director of Philex Mining Corporation from August 2008 to November 2009. He served as a Director and member of the Executive Committee of Maynilad Water Services, Inc. from March 2007 until May 2009. From June 2006 to May 2008, he was an Independent Director of Metro Pacific Investment Corporation. From March 2000 to August 2002, he served as Senior Vice-President and Chief Financial Officer of Alaska Milk Corporation. From March 1994 to February 2000, he served as Senior Vice-President and Chief Financial Officer of Belle Corporation.

Mr. Recto also served as an Undersecretary of the Department of Finance from September 2002 until March 2005 and was in charge of handling both the International Finance Group and the Privatization Office.

Mr. Recto graduated with a bachelor's degree in Industrial Engineering from the University of the Philippines. He earned his master's degree in Business Administration from the Johnson School, Cornell University.

CREATING SHARED VALUE

Value Creation Framework

GRI 2021: 2-6 | GRI 2016: 201-1 | IFRS S1

CAPITAL	RESOURCES[1]
Financial We leverage cost-effective financial capital, including equity, debt, reinvestment, and cash generated from our services, to maintain and grow our business. These resources enable us to enhance the stock of our other capitals.	▲ Capital expenditures: **Php 26.3 Bn** ▲ Market capitalization: **Php 70.1 Bn** ▲ Equity: **Php 77.3 Bn** ▲ Net Debt: **Php 99.0 Bn**
Manufactured We invest in acquiring, developing, and maintaining property, plant, and equipment to optimize production capacities, enhance productivity, and ensure efficient water delivery to our customers.	▲ Length of water lines: **8,229 Kms** ▲ Length of sewer lines: **1,044 Kms** ▲ Value of PPE[2]: **Php 193.8 Bn**
Intellectual Our intangible assets—including our brand, reputation, governance structures, knowledge and expertise, operational experience, and product and solution developments—form the core of our intellectual capital. These assets, enable us to consistently deliver results to the communities we serve.	Governance structure Corporate policies Skilled, experienced and diverse board directors, executive officers, and employees. Innovation team developing automated, technology-driven systems for increased efficiency.
Human We are dedicated to fostering an inclusive, diverse, and safe work environment for our employees. Through their collective knowledge and purpose-driven actions, they create value and enable us to deliver on our strategic objectives.	▼ Katubig employees: **2,495** ▲ Training investment: **Php 17.9 Mn** ▲ Training hours: **72,555** ▲ Sr. Mgmt positions held by females: **49%** = Employee volunteer programs: **4**
Social + Relationship We create value for stakeholders by actively engaging with them and building strong relationships. These relationships, shaped by our commitment to the long-term sustainability of the communities we serve, directly impact our business and reputation.	▲ Community investment: **Php 67.0 Mn** Regular engagement and partnership with key stakeholders
Natural We are committed to achieving resource efficiency in the consumption of natural resources and materials essential to our business model. Our natural capital includes our environmental management approach, which reflects our adherence to international best practices, legal compliance, and our responsibility to minimize environmental impact.	▲ Water withdrawal: **778 Mn m^3** ▲ Energy consumed[5]: **1.0 Mn GJ** Watershed Management Report

KEY DRIVERS

STRATEGY

Sustainability is at the core of what we do. We believe that by delivering world-class facilities and services that are attuned to the needs of the communities we serve and the stakeholders we work with, we contribute to sustainable development.

Through our Sustainability Framework, we monitor and measure performance against operational metrics to create shared, long-term value and drive positive impact.

Read more about:
- Our Sustainability Approach
- ESG Performance Data

PEOPLE + STAKEHOLDERS

We are mindful of upholding responsible business practices through a robust governance structure and policies that ensure transparency, accountability, and ethical decision-making.

We prioritize understanding stakeholder expectations by assessing their concerns and identifying material issues to align our strategies and build trust.

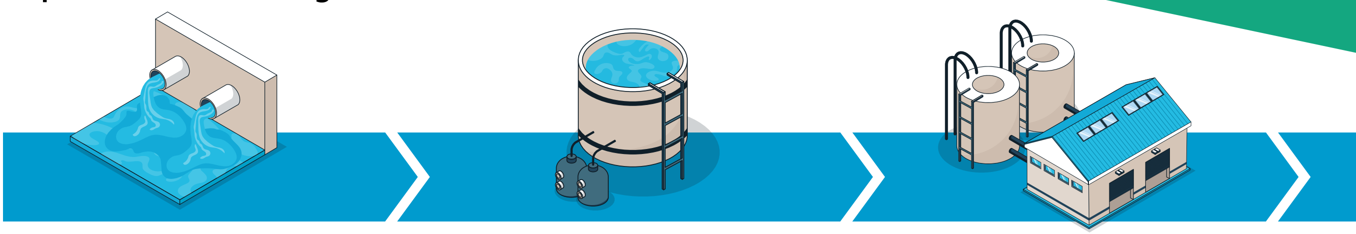
Read more about:
- Corporate Policies
- Corporate Governance Report
- Determining What Matters

ENVIRONMENT

We recognize the importance of understanding potential challenges for sustained success. Through a robust framework for identifying, assessing, and managing risks and opportunities, we implement regular monitoring and long-term plans to enhance resilience and drive growth.

Read more about:
- TCFD and TNFD on Sustainability Content Index

Implementation Through Our Value Chain



Water source development + management

Raw water transmission

Water treatment

At Manila Water, we are committed to delivering water and wastewater services in a responsible and sustainable manner, ensuring long-term value creation for all our stakeholders. Through the transformation of our capital – financial, manufactured, intellectual, human, social, and natural – we drive the execution of our strategy and contribute to the advancement of the United Nations Sustainable Development Goals (UN SDGs). As we navigate this transformation, we focus on growth that is inclusive, responsible, and sustainable, aligning our business activities with the broader goal of creating lasting positive impact.

OUTPUT

▲ **1,287 Mn m³**
Potable Water Delivered

▼ **66 Mn m³**
Wastewater Treated

▼ **19,698 Metric Tons**
Waste Generated

▲ **211,816 Metric Tons CO_2e**
Scope 1+2 GHG Emissions

OUTCOME + SHARED VALUE

Financial

- ▲ EBITDA: **Php 25.9 Bn**
- ▲ Return on equity: **15%**
- ▲ Dividend: **Php 3.4 Bn**

Manufactured

- ▲ Water service connections: **1.3 Mn**
- ▲ Sewer connections: **318K**
- ▲ Desludged septic tanks: **133K**

Intellectual

- ▲ Enterprise NRW, end-of-year: **14.6%**
- ▼ Customer satisfaction score[3]: **87%**
- ▼ Customer resolution rate: **99%**

Human

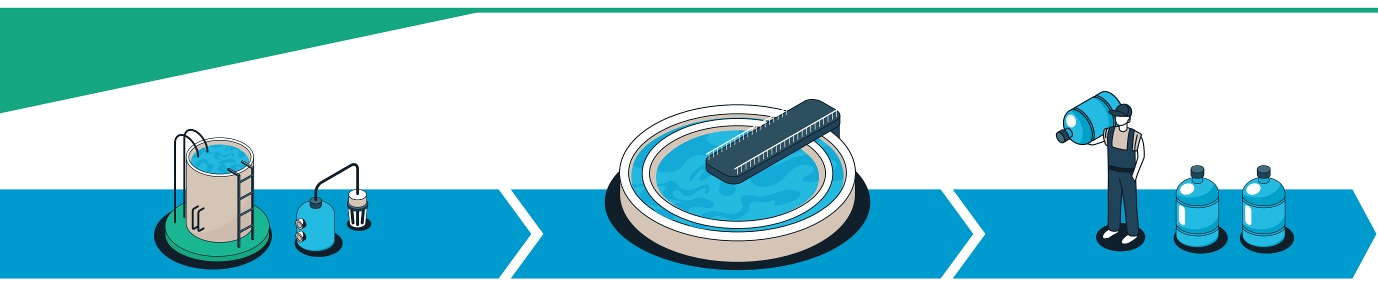
- ▲ Ave. training hr/employee: **30**
- ▲ Employee volunteer hours: **2,849**
- ▼ Lost-time incident rate: **0**
- = Incident of discrimination: **0**

Social + Relationship

- ▲ Population served with water: **9.3 Mn**
- ▲ MWF Individuals Reach[4]: **569,953**
- ▼ Whistleblower cases received: **5**

Natural

- ▲ Incidents of non-compliance[6]: **0 =**
- ▲ Trees planted and nurtured since 2006: **1.7 Mn**
- ▲ Watershed protected area: **196k has.**
- ▲ BOD removed thru wastewater treatment: **8k Metric Tons BOD**
- ▲ CO_2e emission avoided thru wastewater treatment: **66k Metric Tons CO_2e**



Water distribution | **Wastewater treatment** | **Community Engagement**

Footnotes:
1. Comparison vs 2023: △ increase; ▽ decrease = no significant change
2. Property, plant, equipment
3. Covers East Zone only
4. Total direct individuals reached thru WASH and La Mesa Ecopark
5. Energy consumed within the organization
6. Non compliance related to effluent and drinking water quality

Outlook and Strategy

Purpose and Aspiration

In the past 26 years, we have excelled in providing quality water and environmental services tailored to the communities we serve. We have embraced our purpose of "better lives and resilient economies through the provision of critical infrastructure". Our mission and vision has continually propelled us into an exceptional performance in 2024 anchored on our drive to exude our corporate values.

Growth and Geography

As we go about our day-to-day operations, we will embrace our aspiration of becoming a value-creating water company through our growth pillars: the East Zone business, our Philippine portfolio, and our International businesses.
We expect our East Zone business to remain as our core platform as we grow in key areas in the country as well as other emerging markets globally. For the East Zone, we will continue to protect our core and increase the value of the business

through effective regulatory management and sustained operational performance. For our Philippine portfolio, we will tap unmet demand in areas where we already operate, while expanding our local footprint in the Philippine market outside the East Zone. Internationally, we see ourselves pursuing profitable growth in a very strategic and deliberate manner. We will prioritize markets with robust growth prospects that will add value to the enterprise through the application of best practices and proven expertise.

These 3 growth pillars, coupled with our internal initiatives such as funding programs, cost efficiency projects, new organizational design, will enable us to achieve our aspirations.

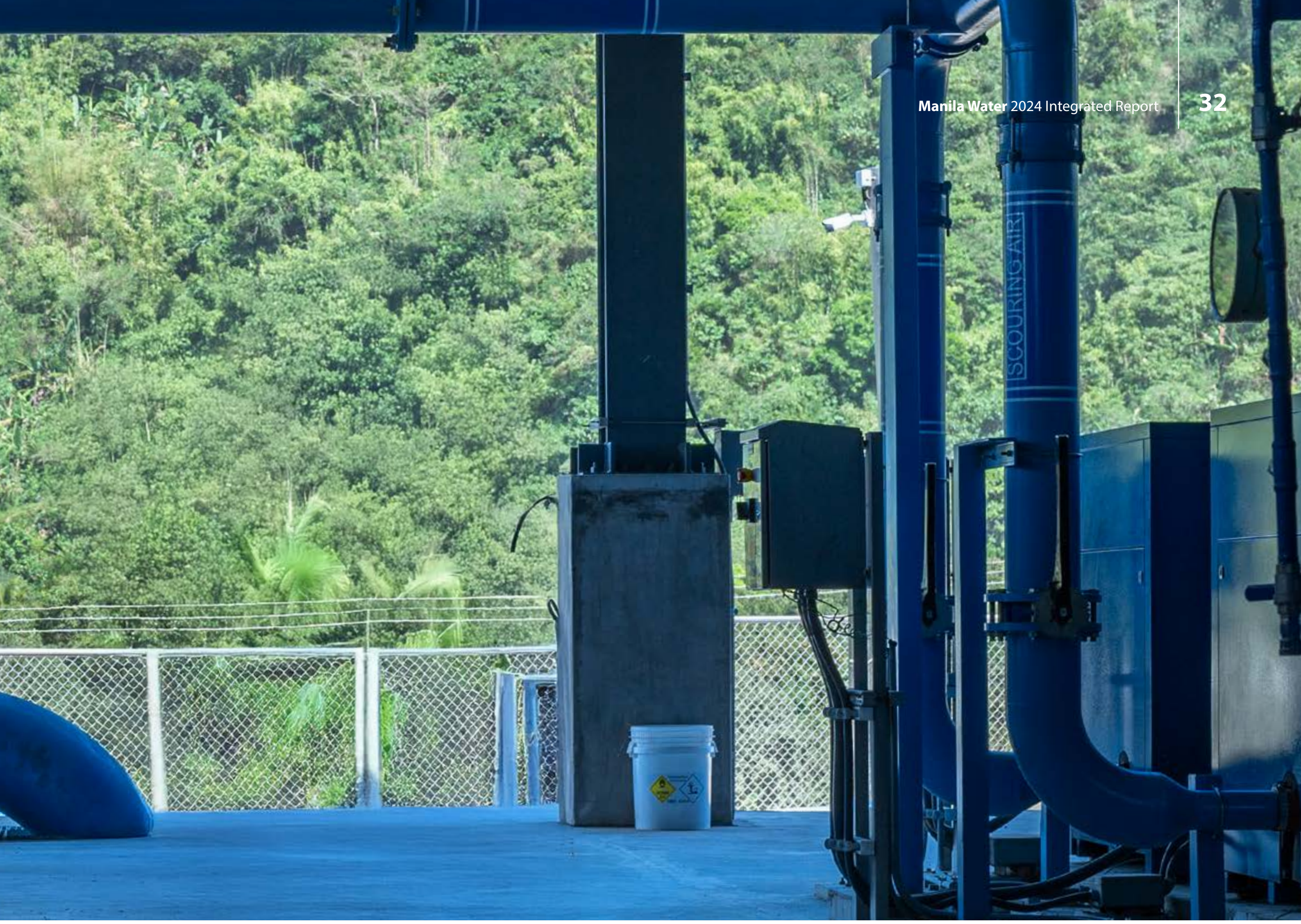
27 years of Unwavering Service

Since our incorporation in 1997, we have consistently provided not only clean and potable water to our customers, but also uninterrupted water supply, and sewerage service.
We have been able to deliver on our privatization objectives by focusing on our customers.

Twenty-seven years later, we continue to improve on our track record. Moreover, we will strive to provide our customers in the areas that we serve with world-class water and wastewater services, while protecting the environment and promoting sustainability.

Enterprise Risk Management (ERM) in Manila Water

We operate in a regulated and dynamic business environment where uncertainties abound. We are accountable to our regulators, shareholders, employees, and customers, among others, even as profitability, sustainable development, and corporate social responsibility are expected to be continuously enhanced. To achieve our corporate objectives, we recognize the need for the active identification and management of risks inherent in our business.



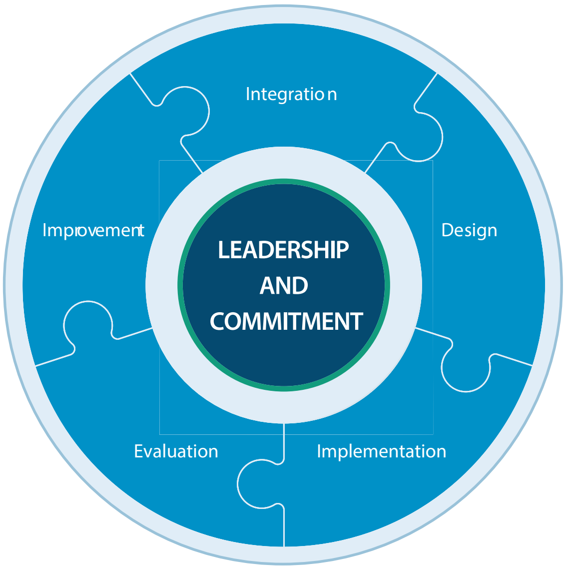
We continue to implement the ERM Program based on a globally accepted approach, the ISO 31000:2018, which has been cascaded across the Company, including subsidiaries in our NEZ PH and international businesses to ensure the attainment of our objectives.

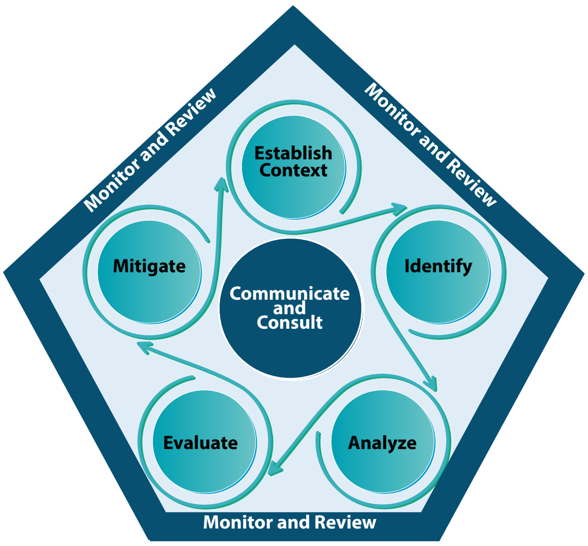
The ERM Program operationalizes our Manual of Corporate Governance which mandates the Board of Directors (BOD) to ensure the presence of organizational and procedural controls. This should be supported by an effective management information system and risk management reporting system.

In addition, our Board Risk Oversight Committee (BROC) provides oversight to management functions relating to strategic, financial, operational, compliance, legal, environmental, social, and other risks facing the company. This involves the periodic disclosure of significant risk exposures and related risk management activities.

ERM in Manila Water

Framework and Process





In its Report to the BOD for the year ended December 31, 2024, the BROC confirmed that it had discussed significant risk exposures, related risk-mitigation efforts and initiatives, and the status of the identified mitigation plans. The report indicates that the review of the BROC was conducted in the context that management is primarily responsible for the risk management process. The BROC meets quarterly to discuss matters related to risks, i.e., risk analysis and mitigation, as well as the identification and assessment of top and emerging risks.

The President is the comprehensive risk executive and is ultimately responsible for ERM priorities, strategies, tolerances, and policies. He chairs the Enterprise Risk Management Executive Committee (ERMEC) composed of Senior Leadership Team (SLT) members and includes the Chief Risk Officer (CRO).

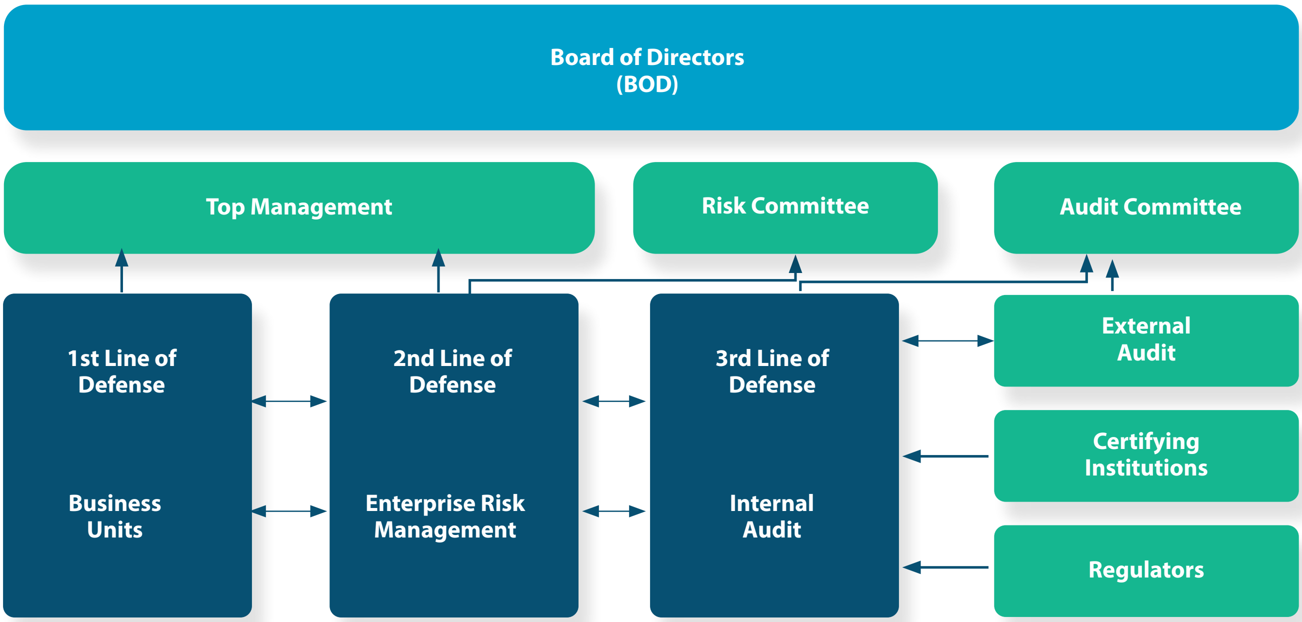
The ERMEC was established to oversee and ensure the efficient and effective management of enterprise risks, while the leadership team of each strategic business unit (SBUs) provides oversight and input to the President and to the Board on all relevant information regarding risks. This is to enable the formulation of better and more informed decisions.

The success of the ERM program depends heavily on the framework which provides the core principles and processes to meet the needs of the business.

FRAMEWORK AND PROCESS

The ERM Framework is grounded in a strong and sustained commitment of senior management to risk management and is facilitated by defining risk management policies and objectives. This helps ensure legal and regulatory compliance by providing the necessary allocation of resources to risk management and by communicating the benefits of risk management to all stakeholders. Correspondingly, the ERM process is designed to be an integral part of our management, practices, and culture.

ERM STRUCTURE



MANAGEMENT OF TOP ENTERPRISE RISKS

The ERMEC determines the most significant risks facing the company. The Senior Leadership Team (SLT) together with the CRO convene as the ERMEC. The SLT consists of:
1) President and CEO; 2) Chief Administrative Officer and Chief Operating Officer (COO) for NEZ International business; 3) Chief Regulatory Officer; 4) COO for East Zone (EZ); 5) COO for NEZ PH; 6) Chief Finance Officer and Treasurer 7) Chief Legal Officer and Chief Compliance Officer.

For both Manila Water EZ and NEZ businesses, risks are managed by the strategic business units' (SBUs) respective Leadership Teams (LT), headed by their COOs. They oversee the effective risk management in each respective business unit within the SBU. They are responsible for establishing, maintaining, and reviewing procedures at management and tactical levels to identify, assess and measure, and mitigate risks in accordance with the Company's enterprise risk management policy.

The management of top enterprise risks is cascaded down to the department level and delegated to respective Risk Owners. Risk Owners formulate and commit to a risk management plan, monitored by the ERM department, which defines specific action points, accountability, milestones, and timeline. The status of the Top Enterprise Risks is regularly discussed at the ERMEC and the respective SBU LTs. Finally, the findings are reported to the BROC.

The Chief Risk Officer

The CRO oversees the entire risk management function and leads the development, implementation, maintenance, and continuous improvement of the ERM program, processes, and tools. The CRO is the Vice Chairman of the ERMEC. She also leads the Enterprise Risk Management (ERM) Department in facilitating the ERM process. This involves collecting and analyzing key business risk information for reporting to the ERMEC and the BROC.

Enterprise Risk Management Department

The ERM Department is responsible for the development of risk management tools, methodologies and processes, as well as the sustained implementation of the ERM Program across the Company. It acts as the primary driver of developing a risk-aware culture and ensures that key risks are identified and managed by respective risk owners. With the ERM mindset continuously being assimilated into our culture and practices, ERM has been embedded in key decision-making processes.

2024 RISK ASSESSMENT

The Risk Assessment was conducted using both top-down and bottom-up approaches to determine the top enterprise risks for 2024. A year-end reassessment was also implemented to gauge the effectiveness of mitigation methods and strategies.

Top Risks Discussion (Risks and Mitigating Measures)

2024 TOP RISKS	MITIGATION STRATEGIES & UPDATES
Water Supply Climate change risks (e.g. El Niño) that could reduce water supply.	To ensure adequate water supply, Manila Water completed water source development projects such as Wawa-Calawis and Laguna Lake East Bay 1 treatment Plants. Ongoing projects include East Bay 2, Kaysakat, and Pasig treatment plants. Additional measures were also undertaken to help manage water supply risk, namely 1) repair and/or replacement of critical infrastructures, 2) stricter monitoring of flow to dam to ensure proper allocation at the portal, and 3) optimization of various water resources/projects. Extensive mitigation plans were set in February 2024 to prepare Manila Water's operations for the possible impact of El Niño. These include Demand Management, Supply Augmentation and Improved System Readiness.
CAPEX Delivery Inability to complete projects within timeline/Insufficient planning & project risk management potentially affecting tariffs	To streamline project execution and mitigate risks more effectively, Manila Water developed and implemented its Project Management Plan and Project Risk policies and tools. CAPEX Rationalization and contract management trainings were also completed in 2024. Close coordination with support groups for approval, billings, and permits were done to fast-track projects.
Cybersecurity Risks of cyber-attacks and data breaches that can compromise operations	As digital transformation accelerates, Manila Water's processes and capabilities to detect and respond to internal and external threats were improved through the implementation of the Operational Technology (OT) Cybersecurity plan. Key initiatives under this plan include IT/OT Network Segmentation, enhanced OT Security monitoring, and OT Asset Inventory/Security Baselining. For IT Security, we have implemented threat intelligence and ongoing implementation of data classification/data loss prevention.
Billed Volume Failure to meet Billed Volume (BV) targets/customer demands that can affect profitability	To ensure the targets are met, strategies for East Zone include forecast projections incorporating consumption patterns and operational trends, meter replacement initiatives, efforts to expand new water service connections, sewer conversions, and targeted BV negotiations. For Non-East Zone, actions included conversion of accounts from competitor to business unit, promotional activities for new service connection and reconnection, and offerings such as specialized water treatment, water reuse, network services and water loss management.
Operational Control in Associates Lack of operational control in associates affecting financial performance	Impairment of investment in associates was recognized based on current operating and market conditions and our outlook on those investments. Management continues to assess and rationalize investments against set financial and performance standards.

Report of the Board Risk Oversight Committee to the Board of Directors

For the year ended December 31, 2024

The Board Risk Oversight Committee ("Risk Committee") was established by the Board of Directors at its August 11, 2015 meeting to help in fulfilling the Board's oversight responsibilities in relation to risk governance in Manila Water. The Risk Committee's roles, responsibilities and authorities are defined in the Risk Committee Charter approved by the Board of Directors during its November 26, 2015 meeting.

In compliance with the Risk Committee Charter, the Committee confirms that:

- An independent director chairs the Risk Committee. The Committee has three out of four members who are independent directors.
- The Committee had 4 meetings in 2024 attended by all directors.
- The Committee discussed with Management significant risk exposures, the related risk-mitigation efforts and initiatives, and the status of the mitigation plans.
- The review was undertaken in the context that Management is primarily responsible for the risk management process.
- The Committee reviewed the Enterprise Risk Management Process in Manila Water Company, Inc. and is satisfied that sufficient risk management systems are in place. Year-end reassessment of top risks was also performed to gauge the effectiveness of the Company's mitigation methods and strategies.
- Initiatives such as risk awareness campaigns, conducting risk management sessions for new hires onboarding and cadetship program and risk management workshops were conducted to continuously strengthen the risk culture of the organization.

SIGNED:

CESAR A. BUENAVENTURA
Chairperson, Board Risk Oversight Committee

DONATO C. ALMEDA
Director

SHERISA P. NUESA
Independent Director

ERIC RAMON O. RECTO
Independent Director

Our Sustainability Approach

GRI 2021: 2-6 | IFRS S1 | IFRS S2

Sustainability is integrated in everything we do at Manila Water. Our Sustainability Framework underpins the development and execution of programs that drive our purpose: *better lives and resilient economies through critical infrastructure*. Specifically, our approach revolves around three key pillars:

Helping communities thrive by prioritizing the enhancement of access to clean water, improving sanitation, and fostering local economic growth.

Protecting the environment is at the core of our mission. We achieve this by maximizing our positive impact and minimizing our negative footprint through dedicated sustainable practices.

Building a culture of trust and care by emphasizing the creation of a safe, inclusive, and ethical workplace while nurturing transparent relationships with our stakeholders.

In recent years, we have strengthened our framework by articulating our Sustainability and ESG commitments, with our Sustainability Policy being central to this effort. In 2024, we added three new policies: the revised Climate Change Policy, Biodiversity Policy, and Freedom of Association Policy, reflecting our commitment to addressing pressing global challenges.

To ensure that the framework translates into meaningful outcomes, we track our progress through several metrics. In 2022, we introduced eight ESG commitments as part of our short-term sustainability ambitions. These commitments address our material issues such as water security and quality, climate change, biodiversity preservation, resource efficiency, economic contribution, and the health and safety of our employees. Developed in alignment with our strategy and guided by stakeholder engagement and materiality analysis, these commitments also support the achievement of the UN SDGs[1].

[1] United Nations Sustainable Development Goals

Progress on ESG Targets to 2025

ESG Targets[2]	2022	2023	2024	Status[3]	UN SDG
Water Security					
At least 15% raw water supply buffer	28%	24%	23%	✓	6
Climate Change and Greenhouse Gas Reduction					
60% reduction and avoidance through renewable energy and wastewater treatment	36%	42%	44%	→	9, 7, 13
Economic Contribution					
Building infrastructure sufficient to satisfy service commitments and improvements	Php 22 Bn	Php 20 Bn	Php 26 Bn	✓	6, 9
Resource Efficiency					
< 15% NRW level for Manila Concession	12.1%	13.5%	13.8%	✓	6
Biodiversity					
1,000 has. of watershed area reforested since 2022	430 has.	680 has.	975 has.	→	13, 15
580,000 trees planted and nurtured since 2022	207k	311k	442k	→	13, 15
Water Quality					
100% compliance to national drinking water standards	99.9%	99.9%	99.6%	→	6
Health and Safety					
Zero Lost Time Injury Rate	0.38	0.46	0	✓	3

Legends:

Environment Social

Maintaining Progress ✓

Making Progress →

[2] All targets apply group-wide, except resource efficiency for East Zone NRW and economic contribution for the concession business.

[3] Progress of latest year vs. target

Stakeholder Engagement

GRI 2-29

Stakeholder engagement is integral to our business strategy and the identification of material sustainability issues. Through various channels of engagement embedded in our daily work, we respond to their issues and concerns and incorporate their valuable insights in our plans and programs.

Stakeholder/ Partner And why they are important to us	**Engagement Channels**	**Issues and Concerns**	**Our Response**
Community/Customers *Our customers are our strong partners and help us generate financial capital, while leveraging on social and relationship capital.*	• Community dialogues called "Kasangga Day" • Customer Service Hotline • Public consultations • Traditional and social media releases • Flyers, bulletins, texts, surveys • Manila Water App • Events and Information and Education Campaigns (IECs)	• 24/7 water availability • Other services availability • Adequate and timely advisories • Quality of customer service • Environmental issues such as conservation of natural resources and climate change • Impact of programs and projects	• Service Improvement Projects • Advisories via media and local authorities i.e. planned service interruption for maintenance and repairs, desludging schedules, etc. • Various customer services channels to lodge their concerns – Manila Water Hotline, social media, Manila Water App, walk-in. • Customer Handling protocols and feedback mechanisms • Opportunity to be involve in environmental advocacies
Employees *Our human and in tellectual capital, whose contribution in terms of performance and expertise enable us to deliver our services, remain competitive and position to grow as an organization.*	• Meetings and Dialogues • Employee onboarding • Employee Feedback Surveys • Employee Townhalls • BOW (Balita on Wednesdays or News on Wednesdays) • E-Agos Newsletter	• Work-life balance • Compensation and Benefits • Growth and stability • Talent development • Health and Safety • Mental health	Programs in place specific to • Employee health • Mental wellbeing • Talent development • Employee engagement • Internal communications
Regulators *Our partners to advance water and wastewater services in the country. Through regulation, policies, and oversight, they set the service standards for our sector.*	• Regular meetings • reports submission • public consultation • Events, seminars, and conferences • Surveys	• Service obligations, which includes service continuity and reliability and wastewater compliance • Tariff adjustments • Water and water infrastructure project implementation • Climate change and biodiversity	• Regular dialogues on service obligation concerns and other critical issues • Full engagement to the rate rebasing exercise e.g. public consultation • Regular update on various projects and operational concerns • Compliance to reporting obligations

Stakeholder/ Partner And why they are important to us	**Engagement Channels**	**Issues and Concerns**	**Our Response**
Investors and the financial community *Our advocates in advancing progress in the industry and our partners in raising financial capital. We ensure that the resource they provide is used in the most effective and efficient way to serve today and future generations.*	• Annual Integrated Report • Annual Stockholders' Meeting • Quarterly Analysts' Briefings • Company website • Traditional and social media releases • Investor Roadshows • Investor Dialogues • Company Website	• Emissions and Climate Change • Economic contribution, which covers the implementation of the CAPEX Program, and the Service Improvement Plan • Strategy, risks, and governance • Financial and Operating Performance	• Investing in project to address climate concerns, water security and other material ESG topics • Dialogues and immediate response to investor queries • Timely disclosures to regulatory agencies and investing community
Government *Our partners in serving the communities. Through its plans, laws and enforcement policies, we share the same vision of benefitting our customers – the people in their jurisdiction.*	• Regular meetings • Reports submission • Briefings and public consultations, • Events, seminars, and conferences • Advocacy programs	• Compliance with laws, regulation, and other requirements • Participation in advocacies and initiatives • Implementation of infrastructure projects • Health and Safety • Timely advisories and resolution of concerns of their constituents	• Compliance and regular coordination on all critical areas – legal and regulatory requirements, project planning and implementation • Partnership in various advocacy programs e.g. Toka-toka, watershed management, disaster resilience • Submission of position papers and various documents • Regular communication of advisories via social media or through local officials
Vendors, Suppliers and Contractors *Our critical partners in delivering our day to day services and in building, and maintaining our assets and infrastructure*	• Vendors' Forum • Vendor 360 Degree Feedback • Vendor Counselling • Company presentations • Events, seminars, and conferences	• Project opportunities • Performance, feedback mechanism and process • Health and safety	• Communication of project pipeline during Vendor Forums • Feedback and counseling sessions • Health and Safety program
Media *Our communication partners that helps us reach our communities and intended audience regarding our services and advocacies.*	• Press Conferences and interviews • Traditional and social media releases • Company Website	• Updated information on the programs of the company; e.g. service and service disruption, project status, company performance, events and advocacies	• Press Briefing and media engagements when needed • Relevant information posted on digital and social media platforms • Media visits of major projects and facilities

Stakeholder Testimonials

ENGR. LEONOR C. CLEOFAS, CESO IV
Administrator
Metropolitan Waterworks and Sewerage System

They are more than just their day jobs.

Since 1997, Manila Water has been more than just a water and wastewater service provider in Metro Manila's East Zone. They have consistently demonstrated a commitment that extends far beyond their mandate. Programs like Toka-Toka and WASH are primary examples. These initiatives not only reflect the organization's core values of enhancing stakeholder well-being and delivering quality services, but also their dedication to environmental protection. By promoting responsible household wastewater management through Toka-Toka and ensuring access to water and sanitation in underserved communities with WASH, Manila Water actively embodies sustainability. We commend their efforts to continuously invest in the needs of future generations, showcasing a dedication that transcends their day-to-day operations.

SHERISA "BABY" NUESA
Member of Manila Water Board of Directors
Manila Water Company

Over the years, Manila Water has carved a remarkable imprint on Sustainability.

- The Company has consistently demonstrated a deep commitment to sustainability, integrating ESG principles into the core of its operations. This commitment is evident in their achievements on reducing system losses, developing new water sources, protecting watersheds, implementing water reuse and recycling, and expanding access to clean water. Furthermore, they continue to drive progress in reducing greenhouse gas emissions, enhancing sustainability reporting, and expanding reforestation initiatives. These efforts solidify their role as a responsible and forward-thinking organization.

RON JOHN M. QUEJADO
Master Teacher I
H. Bautista Elementary School

As a public-school teacher in Marikina City, I deeply admire Manila Water's dedication to providing excellent and safe water services, especially in our city.

They've proven to be a valuable partner to our educational sector, consistently delivering quality service and supporting us during disasters and school events. We appreciate their commitment to environmental sustainability, which contributes to our nation's development.

LYN JOCEFFIN D. ZAMORA
General Manager
Clark Water

Manila Water demonstrates a strong commitment to sustainability by seamlessly integrating its strategies into its core mission of providing quality water and environmental services.

The Company effectively balances economic viability with social and environmental responsibility, adopting a proactive and long-term approach that positions it as a leader in sustainable water and wastewater management. This success is undeniably driven by its dedicated and passionate employees, who play a crucial role in ensuring environmental stewardship, operational efficiency, and meaningful community engagement.

Determining What Matters

GRI 2021: 3-1, 3-2, 3-3 | IFRS S1

Adopting to Changing Contexts

We have always prioritized understanding our most significant impacts, which has been instrumental in shaping our goals and strategies.

Every two years, we conduct a materiality assessment to identify what matters most to our stakeholders and address their evolving expectations. This process also allows us to assess our position as an organization by evaluating our risks and opportunities. Through our materiality assessment, we account for and respond to the changes in the social, economic, and business landscapes that influence what stakeholders consider critical.

Our materiality process aligns with the Global Reporting Initiative (GRI) standards and incorporates the top company risks identified through the Enterprise Risk Management (ERM) system.

This year, in response to the increasing prominence of sustainability issues for businesses and the changing global and local sustainability reporting frameworks, such as that of IFRS S1 and S2, we have transitioned to a Double Materiality Assessment Process.

The double materiality assessment methodology is designed to identify and understand the relative importance of specific ESG and sustainability topics to the business and their stakeholders.

It considers two aspects of sustainability – Impact Materiality and Financial Materiality.

Impact materiality focuses on the actual or potential effects of Manila Water's activities on stakeholder, the environment, and broader society in the short term and long term.

Financial Materiality focuses on the actual or potential impact that environmental, social, governance, and sustainability issues may have on Manila Water in the short to long-term.

Double Materiality Assessment Process

1. Identification

Identify Potential Material Topics through a Systematic Process

- Considered the broader organizational context, including purpose, vision, mission, core processes, and activities within the Value Creation Framework.
- Conducted a thorough review of the previous materiality assessment and analyzed the latest company risks, considering internal and external environmental shifts.
- With an independent materiality facilitator, performed desktop research to identify and rank potential material topics from over 300 issues, distilling them to 16 key topics.
- Ensured comprehensive stakeholder engagement by consulting seven key stakeholder groups through surveys and interviews to rank material topics and determine financial and impact materiality.

2. Evaluation and Prioritization

Evaluate Results through a Risk and Opportunity Lens to Prioritize Material Issues

- Evaluated results using a risk and opportunities framework, assessing stakeholder perceptions based on impact and financial materiality, considering criteria such as scale, scope, likelihood, and irremediability.
- Derived thematic insights to refine decision-making for prioritizing material topics.
- Conducted two levels of validation workshops: one with managers from Sustainability, Enterprise Risk Management, and Finance, and another with the Senior Leadership Team, including C-level executives.
- Presented findings of the double materiality assessment at the ESG Committee meeting on December 6, 2024, where committee directors reviewed and concurred on the outcome.

3. Integration

Integrate Material Topics with Strategic Priorities for Actionable Results

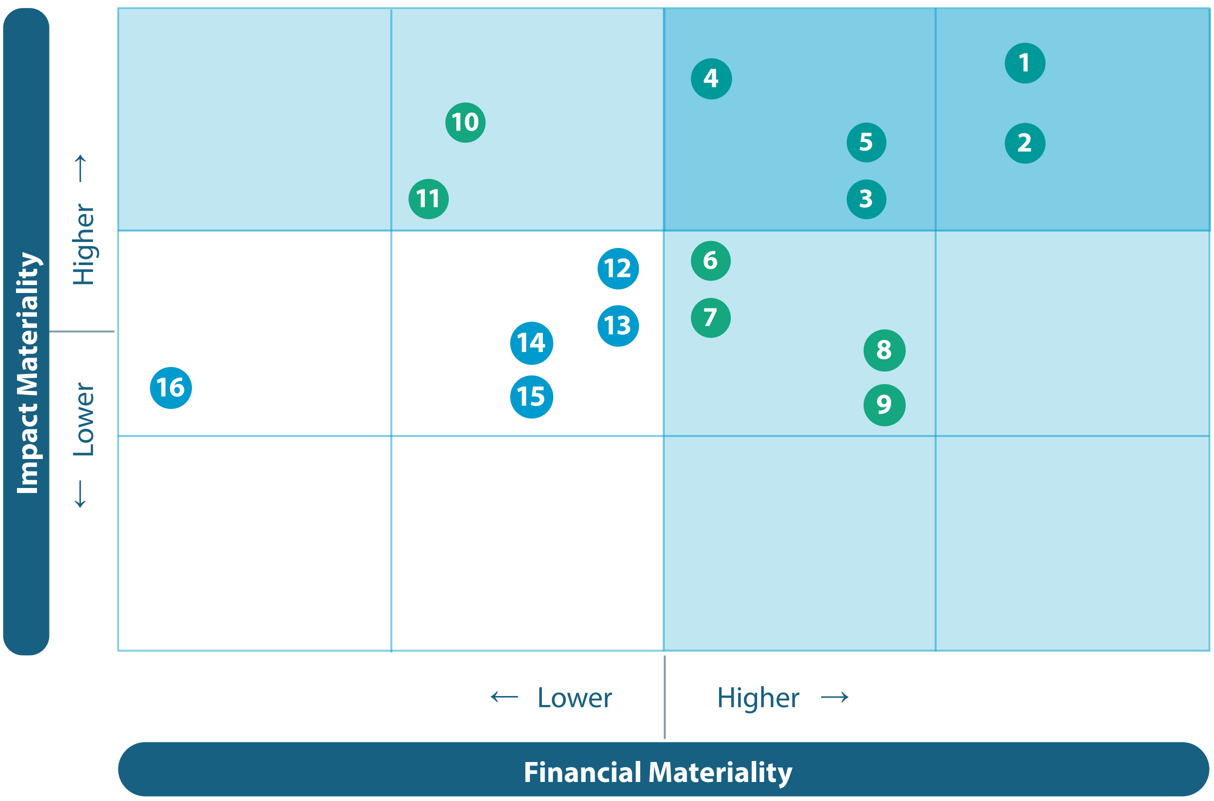
- Aim to integrate key material issues into our corporate strategy, aligning with ESG goals and targets for meaningful impact.
- Commit to resolving and continuously monitoring progress on material topics, with clear accountability assigned to functional managers and key executives.
- Maintain regular communication with the CAO, President and CEO, and the ESG Committee to ensure updates on progress, address emerging issues, and refine our approach as necessary.

Scope, Limitations and Boundaries:
A consultant specializing in double materiality assessments conducted our 2024 assessment. The methodology, including parameters such as the number of survey respondents and data gathering tool, was determined by their established double materiality process.

Material Topics

The double materiality assessment exercise yielded 16 material topics, critical to our business and our environmental, social, and governance performance. We intend to continue monitoring and managing our socio-environmental impacts by ensuring these topics are strategically integrated in the way we operate and do business.

2024 Materiality Matrix



Mapping and comparative between 2024 and 2023 Material Topics

2024	1 Water stewardship	2 Climate change	3 Corporate governance	4 Communities and social impact	5 Biodiversity and ecosystem	6 Energy	7 Resource use & circular economy	8 Supply chain
2023	1 Water and effluents	2 Climate change	3 Corporate governance Strategy and risk Business continuity	4 Community relations Economic contribution	5 Biodiversity	6 Energy	7 Materials	8 Supply chain

2024	9 Talent	10 Customer satisfaction	11 Health and safety	12 Industry, innovation and infrastructure	13 Waste	14 Emissions	15 Privacy and security	16 Human and labor rights
2023	9 Human Capital	10 Customer service	11 Occupational health and safety	12 (new)	13 Waste	14 Emissions	15 Cybersecurity	16 Labor practices

● Very High material ● Highly material ● Moderately material ● New

Reinforcing the Sustainability Agenda as Strategic Response to the Material Topics

1

Material Topics
Water Stewardship
Climate Change
Communities and Social Impact
Customer Satisfaction
Industry, Innovation and Infrastructure

Related Top Risks
Water Supply, CAPEX Delivery, Commercial, Government/ Regulatory

Related SDGs

HELPING COMMUNITIES THRIVE

Implications on Value Creation

To fulfill the mission of serving the communities with water and wastewater services, we strategically leverage our financial, manufactured, social and intellectual capital to treat and distribute clean and potable water to our customers' taps.

While all these resources directly generate revenues, business prospers as the communities and their local economy thrives. We reinvest these gains back into the business, nature, and the communities, ensuring a sustainable ecosystem between nature, humanity and the built environment.

Strategic Response

Water Security. We enhance the security and resilience of our water services through a multi-pronged approach. That includes actively engaging with government and key stakeholders for the development of new and existing water sources, crafting a comprehensive masterplan such as the 4-Water System Masterplan for the East Zone business to guide our long-term strategy, and investing on the critical infrastructure and programs outlined in these plans to ensure a robust and sustainable water supply.

Climate Resilience. We proactively address the potential impacts of climate change and other natural events by incorporating robust risk management strategies into our operations. This includes a comprehensive business continuity plan that emphasizes organizational preparedness and response, alongside the design and development of resilient assets.

Water and Wastewater Service. We prioritize meeting our customers' evolving water needs and extending access to our services to underserved communities. We achieve this through robust asset management, network improvements, and operational efficiencies, ensuring a sustainable and reliable water supply and wastewater services for all.

Customer Centricity. Our core value of malasakit (care) drives us to deliver exceptional customer service. As a Filipino company, we approach our work with genuine compassion and ownership, ensuring we fulfill our mission with utmost care.

Outlook and Opportunities

- Fuel growth opportunities in new markets and underserved communities, leveraging depth of experience in the sector and intellectual capital within and outside the country. (MT) (LT)
- Strengthen partnerships with government agencies, regulators, and key stakeholders to continue to contribute to national development and advance the achievement of the Sustainable Development Goals (SDGs), with a particular focus on SDG 6: Clean Water and Sanitation (ST) (MT) (LT)

Reinforcing the Sustainability Agenda as Strategic Response to the Material Topics

PROTECTING THE ENVIRONMENT

2

Material Topics
Water stewardship
Climate change
Biodiversity and ecosystem
Energy
Resource use and circular economy
Industry, Innovation and Infrastructure
Waste
Emissions

Related Top Risks
Water Supply, Commercial, Government/ Regulatory

Related SDGs

Implications on Value Creation

The state of nature and the environment plays a critical role in creating value for our business. Our primary resource, natural capital – raw water from surface or ground water sources, can vary in terms of quality, quantity, and availability. This variability directly impacts our ability to supply 24/7 water to the communities we serve, both now and in the long term.

Furthermore, the interconnectedness of nature to our business, including our manufactured and financial capital, highlights the importance of a healthy environment for our long-term success. By providing environmental services in the form of wastewater treatment, we are not only fulfilling our environmental responsibility but also re-investing in the natural capital of the communities and the country.

Strategic Response

Resource Management. We operate with the mindset that the resources we use from the earth are not finite and that nature needs time to replenish itself. As such, we make use of resources efficiently and adopt circular practices where we can.

Wastewater Management. We protect water bodies and promote a healthier environment by effectively treating wastewater to meet national effluent quality standards, building capacity and infrastructure, and educating customers on responsible wastewater management.

Waste Management. While waste is a by-product of our operations, we ensure not only its safe and responsible disposal to minimize environmental impact, but also explore recycling and circular practices.

Energy Management. In Manila Water, energy management involves efforts from strategically planning sources, energy demand management and conservation and efficiency efforts. Furthermore, it extends to initiatives to manage environmental impact via transition to renewable energy while maintaining operational performance.

Climate Change Mitigation. Despite hurdles, we are actively transitioning to renewable energy sources to balance expanding water and wastewater services with our commitment to reducing our carbon footprint and GHG emissions, contributive to climate change mitigation.

Watershed Management. We recognize our reliance on natural resources and collaborate with stakeholders to implement watershed management programs around our water sources. These initiatives include reforestation, partnerships with indigenous communities, and biodiversity protection.

Outlook and Opportunities

- Drive operational excellence through continuous innovation and exploration of new technologies, focused on enhancing efficiency, reducing GHG emissions, minimizing waste, and optimizing resource utilization. (ST) (MT) (LT)
- Leverage our strong culture of environmental advocacy and volunteerism to mobilize employee engagement and drive collective action towards achieving our nature and climate goals. (ST) (MT)
- Advance water reuse initiatives to augment water supply and promote circularity. (ST) (MT) (LT)

Reinforcing the Sustainability Agenda as Strategic Response to the Material Topics

3

Material Topics
Corporate governance
Supply chain
Talent
Health and safety
Privacy and security
Human and labor rights

Related Top Risks
Government/ Regulatory,
Talent management,
Vendor management,
Systems and processes,
IT-Cybersecurity

Related SDGs

BUILDING A CULTURE OF TRUST AND CARE

Implications on Value Creation

We recognize that our human capital, intellectual capital, and strong social and relationship capital are the cornerstones of our value creation strategy. By strategically investing in and nurturing these critical assets through targeted programs and initiatives, while adhering to strong principles of corporate governance, we empower our people, foster innovation, and strengthen our relationships with stakeholders. This holistic approach drives our business outcomes and sustainable long-term growth for all stakeholders.

Strategic Response

Human Capital. At Manila Water, our success hinges on the strength and growth of our people, the Katubigs. We prioritize empowering, engaging, and equipping our talent with the necessary competencies to excel in their careers and contribute significantly to our competitive advantage.

Occupational Health and Safety. Prioritizing the well-being of our people is paramount. We have re-launched our health and safety program as we strive to create a safe and conducive work environment across all our operations, whether in offices, facilities, or project sites.

Governance and Compliance. Strong governance and compliance are foundational to our leadership in the water sector. This includes robust governance structures, policies, and management practices that ensure accountability, transparency, and ethical conduct.

Partnerships. No single entity can navigate the increasingly complex and interconnected challenges in the water industry alone. Collaboration and strong partnerships with government, community, suppliers, and other stakeholders are key to ensure our long term sustainability.

Outlook and Opportunities

- Future-fit the organization and talents, mindful of the leadership and technical skills needed to thrive amidst an evolving work landscape. (ST) (MT)
- Set targets on health and safety to reinforce the program across all levels of the organization. (ST)
- Continue to leverage strong and mutually beneficial partnerships to unlock opportunities for growth and shared value creation. (ST) (MT) (LT)

Legend:

(ST) Short Term
(MT) Medium Term
(LT) Long Term

Helping communities thrive

Customers arrive at our service areas to address their Manila Water service inquiries, from account management to technical support.

Our Approach

GRI 2018: 303-3

Manila Water's approach to building thriving communities centers on providing reliable access to safe water and sanitation services while prioritizing environmental sustainability and community engagement.

Key practices demonstrating this include expanding access to water and wastewater services through infrastructure investment and targeted programs, achieved in close partnership with our supply chain. We ensure water quality and affordability through rigorous monitoring and lifeline rates, while promoting environmental stewardship via educational programs like Lakbayan and wastewater reuse initiatives. Community resilience is strengthened through a robust disaster preparedness system and relief efforts. Customer-centricity is prioritized through convenient digital tools and proactive communication channels. Finally, long-term water security is addressed through non-revenue water reduction, new source exploration, and wastewater reuse strategies.

Water security

ESG Target to 2025	2022	2023	2024
At least 15% Raw Water Supply Buffer	28%	24%	23%

Manila Water recognizes the escalating challenges posed by growing water demand, expanding populations, climate change, and natural disasters. To address these issues, we have developed our water security plans spanning short, medium, and long-term horizons across all our business units. These plans encompass strategies such as developing new water sources, reducing non-revenue water (NRW), and improving our water distribution networks. In 2024, our efforts resulted in securing a 23% raw water buffer, enabling us to reliably meet our service obligations to our customers and regulators.

Water source development

GRI 2016: 203-1 | SASB IF-WU-240a.4, IF-WU-440a.3

4-Water System Master Plan

Angat-La Mesa Water System

Angat **(46 CMS)** - operational

Laguna Lake Water System

Cardona WTP **(100 MLD)** - operational

East Bay Water Source
Phase 1 **(50 MLD)** - completed
Phase 2 **(200 MLD)** - ongoing construction

ANTIPOLO WATER SYSTEM

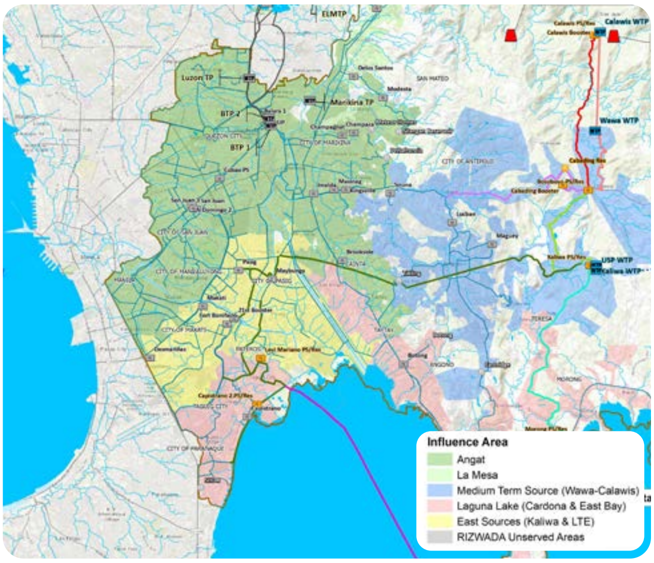
Wawa **(438 MLD)** - ongoing construction

Calawis **(80MLD)** - operational

EAST SOURCES WATER SYSTEM

Kaliwa **(300 MLD)** - ongoing construction

Long-Term East Source **(1,900 MLD)** - future projects



For East Zone concession, where water demand projections are rising, our regulator approved the Four Water System Masterplan, encompassing Angat-La Mesa, Antipolo, Laguna Lake, and East Sources Water Systems

We are committed to securing a sustainable water future for our growing customer base amidst escalating water demand, population growth, and the increasing threats posed by climate change and natural calamities. This commitment is realized through a comprehensive and collaborative service improvement plan focused on water security. Anchored in a regulator-approved 4-Water System Masterplan, encompassing the Angat-La Mesa, Antipolo, Laguna Lake, and East Sources Water Systems, we are working closely with government agencies and stakeholders to develop new and existing water sources, ensuring we meet our service obligations and build long-term resilience.

Manila Water closes 2024 with major service improvement projects to address critical infrastructure for water security, environmental sustainability and service enhancement.

Building on this foundation, 2024 saw the implementation of measures to augment existing supplies and secure alternative water sources. Drawing water from Laguna Lake, the Cardona Treatment Plant is now capable of producing up to 110 MLD and is actively serving several towns in Rizal. Similarly, East Bay Phase 1 is harvesting raw water from the lake, contributing an additional 50 MLD. At the Tayabasan River in Antipolo City, the Calawis Water Treatment Plant is effectively treating river water and can produce up to 80 MLD.

To further diversify our water sources, we have established vital alternative options. The Marikina Portable Treatment Plant, drawing water from the Marikina River, can produce up to 20 MLD when needed. Strategically located deep wells across our concession area can add up to 110 MLD. Furthermore, we have enhanced the efficiency of our backwash recovery systems at the East La Mesa and Balara Treatment Plants, increasing production from 30 MLD to 40 MLD. A third backwash recovery system is currently under construction at the Cardona Treatment Plant, further optimizing our resource utilization. This commitment to water source development extends across our subsidiaries. Capital expenditure allocations are strategically directed towards developing new infrastructure that reinforces water security, service quality, service accessibility, continuity, and regulatory compliance. Clark Water will continue its source development programs to increase the current supply by 22% and is also set to explore sustainable water sources and water reuse. Boracay Water consistently monitors the surface water levels in the Nabaoy River to assess and respond to changes in water availability. Calbayog Water recently inaugurated three critical infrastructure projects: the Pagbalican Pump Station and 1,500 cubic meter Reservoir Rehabilitation Project, the San Policarpo Booster Pump Station, and the San Policarpo-Pagbalican Transmission Line Project. These projects are expected to deliver sustained water volume and pressure to 5,025 households, significantly enhancing service delivery in the region.

Non-revenue water reduction

GRI 2018: 303-3

Part of our water security plans is resource efficiency, with our NRW reduction program as a core strategy. NRW, encompassing water lost through leaks, pilferage, and other unbilled uses, directly impacts our ability to meet service obligation. To reduce the volume of water loss before reaching our customers, we implemented the NRW reduction program across all our concessions. This program involves leak detection and repair, pipe replacement, and meter inspection and calibration. To minimize disruption and inconvenience to our customers, we typically conduct preventive maintenance activities and emergency repairs at nighttime. We also prioritize quickly resolving incidents by coordinating closely with stakeholders such as third-party contractors, national government agencies, local government units, and other entities.

Through these efforts, we have achieved significant results. By year-end, our enterprise NRW reached 14.6%, a substantial improvement compared to the World Bank's 25% standard and a significant reduction from the 63% recorded at the start of our East Zone concession in 1997. This achievement underscores our commitment to minimizing water loss and maximizing resource utilization. Furthermore, a 1% reduction in NRW translates to serving an additional 80,000 customers, highlighting the tangible impact of our program on expanding service reach.

Water network improvement

GRI:2018 203-1 | SASB IF-WU-140a.1

Continuous improvement and expansion of our water distribution network forms our water security strategy. This involves rehabilitating, replacing, and extending our waterlines to ensure a reliable 24/7 water supply for our growing customer base. Our distribution management practices include regular preventive maintenance, rigorous crackdowns on illegal connections and meter tampering, and swift repairs of breakages to minimize disruptions.

A significant project exemplifying our commitment to water network improvement is the NBAQ4 aqueduct. This initiative, undertaken in coordination with the Metropolitan Waterworks and Sewerage System (MWSS), is a key part of our improvement and expansion efforts in the East Zone. The new aqueduct, capable of conveying up to 1,000 million liters of water per day (MLD), is paving the way for the inspection, assessment, and subsequent rehabilitation of three existing aqueducts, some of which have been operational since 1929. These rehabilitations will ensure the continuous water supply for more than 7 million customers in the East Zone.

As of December 2024, we have laid and maintained approximately 8,229 kilometers of water pipelines across our Philippine operations. This represents a 229% increase from the 2,497 kilometers inherited in the East Zone in 1997. This expansion improves the reliability of our 24/7 water supply for customers. Looking ahead, we are committed to implementing service accessibility and continuity programs, prioritizing the extension of our network to reach currently unserved areas and further strengthening water security for all.

8,229.48 kms water lines[1]

as of 2024

[1] Includes primary and network line

Climate resilience

Business continuity strategy

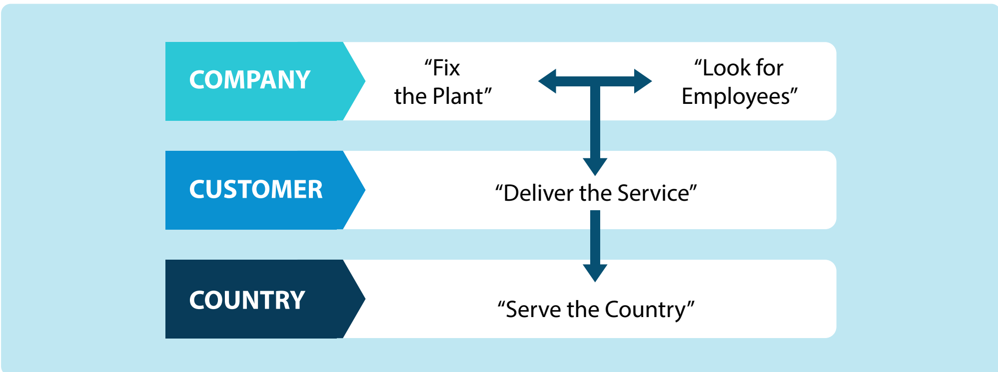
GRI:2018 413-1 | SASB IF-WU-440a.3

Manila Water recognizes the escalating threat to its services from natural calamities, intensified by climate change. With this, our approach to climate resilience is anchored on our business continuity strategy. This prioritizes the safety and well-being of our employees, who are essential to maintaining operations during emergencies, while strengthening our organization's resilience against emerging threats. Our approach begins with a comprehensive hazard identification and risk assessment process, evaluating each of Manila Water's operational processes. This analysis allows us to prioritize and focus on the most critical threats to service delivery.

Our primary goal is the swift restoration of water and wastewater services following any disruption. This customer- and system-focused approach recognizes the interconnectedness of our operations and prioritizes the most crucial elements for effective and rapid recovery. Beyond simply reacting to events, we actively anticipate potential disruptions and incorporate proactive measures to mitigate their impact. Specifically, our business continuity is designed to:

1. Provide clear guidance on maintaining, responding to, and restoring critical business functions to meet Recovery Time Objectives (RTO) and recovery strategies.
2. Ensure the continuity and recovery of essential services during disruptions.
3. Identify potential risks and implement appropriate control measures across all operations.
4. Document the effectiveness of control measures and regularly update policies and procedures.

Incident management protocol



Manila Water's 3 Cs in disaster response

Company

Manila Water's incident management protocol is guided by the "3Cs in Disaster Response": Company, Customer, and Country. Employees, as our first line of defense, report their status to line managers during calamities, enabling centralized assessment and rapid deployment of rescue units in coordination with local government and partners. To maintain a state of readiness, annual company-wide drills simulate disaster scenarios, activating the incident management system and evaluating earthquake protocols and business continuity plans. These drills familiarize employees with their potential roles and responsibilities, facilitating swift service restoration in real-world emergencies.

This focus on preparedness extends to all environmental challenges. In 2024, when the Philippines experienced extreme heat, we implemented mandatory measures to protect both employees and contractors from heat-related illnesses. At our project sites, temporary facilities with shaded and well-ventilated resting areas, equipped with hydration stations and first aid services, were established. Safety officers were deployed to actively monitor workers' health, particularly during peak temperature hours. For heat-intensive tasks, we implemented rotating shifts among smaller teams and provided tents to limit prolonged exposure to the heat. Modified work schedules, including extended lunch breaks and work during cooler parts of the day, were adopted at some project sites. Across all service areas, employees were advised to avoid strenuous activities and fieldwork during peak temperature hours.

Customer

Prioritizing the safety and well-being of our employees and contractors enables us to better serve our customers, especially during challenging times. Our strategy for ensuring uninterrupted service rests on three pillars: ensuring asset resiliency, implementing operational controls and redundant systems, and developing innovations.

We continually enhance the flood resilience of our facilities, particularly those located near rivers and in flood-prone areas. These upgrades are essential to maintaining uninterrupted operations, even during severe weather events. An example of this is the rehabilitation of the La Mesa Dam. Upgrades to its spillway, retaining wall, and instrumentation have strengthened the dam's structure, mitigated flood risks, and improved monitoring capabilities, including turbidity detection. We have also implemented floodproofing measures, such as constructing additional storm drains at facilities in low-lying areas.

To guarantee continuous facility operations during emergencies, we have established several protocols including configuring bypass systems, conducting regular asset integrity audits and inspections, automating critical processes, and establishing underground emergency reservoirs. We also deploy standby and mobile generator sets and utilize water tankering to maintain service during disruptions. Our water treatment plants are equipped with generator sets, sandbags, and dewatering pumps to mitigate the impacts of strong typhoons and flooding.

During service interruptions, our water tankers are deployed to ensure customers have access to clean, potable water.

Country

Beyond our operational response, Manila Water, through its social development arm, the Manila Water Foundation (MWF), extends aid to affected communities. MWF's Agapay: WASH in Emergencies program provides drinking water and deploys water tankers or mobile treatment plants to disaster-stricken areas. In 2024, the Agapay program provided 5-gallon water and hygiene products to 14,140 families.

Our efforts are further strengthened by the Manila Water 503rd Water Service Battalion, a reserve unit of the Armed Forces of the Philippines. Specializing in water treatment, distribution, and sewage management, the battalion also supports urban search and rescue, disaster relief, and civil-military operations. This unit has been deployed multiple times beyond the East Zone, including during typhoons Kristine and Carina. The 503rd Battalion provided support through stakeholder management, manpower augmentation, equipment deployment, and relief distribution.

To enhance our response capabilities, we have commissioned a diverse emergency fleet, including four mobile treatment plants, a mobile stage, a mobile command center, a mobile toilet, a mobile sleeping quarter, an amphibious vehicle, a tractor head, six 4x4 rescue vehicles, an ambulance, an all-terrain vehicle, a jet ski, three speed boats, and five folding boats.

Our experience with COVID-19 taught us the importance of continuous innovation to be better prepared for future pandemics. Innovation is a key component of our business continuity strategy, driving us to explore new ways to ensure uninterrupted service. In response, we piloted wastewater-based epidemiology (WBE) for COVID-19 surveillance in Metro Manila, leading to the establishment of our first molecular laboratory at the Ilugin Sewage Treatment Plant (STP).

This facility, equipped with polymerase chain reaction (PCR) machines, enables us to detect and quantify emerging contaminants, including the SARS-CoV-2 virus, in wastewater. Supported by a grant from the Government of Austria to Asian Development Bank under the Accelerating Sanitation for All in Asia and the Pacific project, this initiative has significantly enhanced our capability to perform environmental surveillance and strengthen public health measures.

Supporting disaster response and recovery, Manila Water has positioned water tankers across cities and municipalities in affected by natural disasters, to support the drinking and hygiene needs of evacuees and cleaning of roads and public facilities.

Water and wastewater services

Water Access

Water Access and Quality	2022	2023	2024
Compliance with water quality standards	99.9%	99.9%	99.6%
Population served with water, count	9,048,899	9,332,863	9,327,986
Water service connections, count	1,293,446	1,321,714	1,324,737
Potable water delivered, mcm	1,254	1,267	1,287
Incidents of drinking water violations, count	0	0	0

Manila Water provides water that is compliant with water quality standards established by government and regulators in countries where we operate, safeguarding the health of over 12.7 million people. Importantly, there were no incidents of water quality violations issued by government in 2024. While we faced challenges in 2024, specifically with select water quality parameters, our overall performance demonstrates our ongoing commitment to meeting these standards. This is achieved through rigorous testing at various sample points within our treatment facilities and community tapping points. Our water quality is stringently monitored, and water samples are tested in our Department of Environment and Natural Resources-recognized and ISO 17025 accredited laboratories.

To address the identified water quality issues, we are implementing corrective actions. These include targeted decommissioning of affected wells where necessary. Furthermore, we are implementing a Water Safety Plan, which aims to: (1) minimize source water contamination; (2) ensure safe water quality from treatment, storage, and distribution; (3) identify potential risks and implement appropriate control measures across all operations; (4) implement and document the effectiveness of identified control measures; and (5) provide and update relevant policies and procedures.

While maintaining high service quality, our rates are regulated and approved. We offer additional discounts to low-income communities to ensure their water needs do not strain their limited resources. Our flagship social program, Tubig Para sa Barangay (TPSB), has provided water service connection to approximately 1.8 million Filipinos in low-income communities within Metro Manila's East Zone since 1998. Complementing TPSB, the Manila Water Foundation's Lingap Program improves water supply and sanitation facilities in public service institutions like schools, hospitals, jails, markets, and orphanages, reaching approximately 418,436 individuals in 2024.

Looking ahead, we announced in 2024 an expansion of our lifeline beneficiary coverage, including all members of the Pantawid Pamilyang Pilipino Program (4Ps) whose consumption does not exceed 20 cubic meters per month, effective January 1, 2025. This provides a 60 percent discount on the first 10 cubic meters and 40 percent on the second 10 cubic meters, translating to a discount of over Php200 for a 4Ps consumer using up to 20 cubic meters monthly. Read more about our Enhanced Lifeline Program HERE.

By the end of 2024, our collective efforts resulted in expanding water access to our customers through 1.3 million water service connections, delivering 1,287 million cubic meters (mcm) of potable water.

Wastewater services

GRI:2016 413-1, 416-1, 416-2 | SASB IF-WU-140b.1

Wastewater Services	2022	2023	2024
Sewer connections, count	292,729	303,724	318,385
Desludged septic tanks, count	117,267	121,001	133,435
Incidents of effluent quality violations, count	0	0	0

Beyond providing water, Manila Water is committed to responsibly managing wastewater, ensuring its sustainable return to the environment. In 2024, we expanded sewer connections to 318,385 areas within Metro Manila's East Zone, Boracay, Clark, Laguna, and developments managed by Estate Water. Notably, Boracay Water implemented the REGAIN program, offering free sewer connections within a 100-meter radius, complementing the Municipal Council's strict Sewer Sanitation ordinance.

For communities not yet served by sewer lines, we provide sanitation services through regular septic tank desludging every five to seven years. In 2024, we desludged 133,435 septic tanks. Regular desludging extends water retention time within septic tanks, preventing clogged plumbing and improving the preliminary removal of organic pollution and disease-causing pathogens. In 2024, we did not receive any effluent quality violations for our wastewater discharge.

Customer-centricity

Customer concerns

Customer Concerns	2022	2023	2024
Customer concerns received, count	175,992	161,146	167,603
Customer concern resolution rate within SLA[2], count	99%	100%	99%

Manila Water is committed to continuously improving service for its growing customer base by offering a range of convenient options for managing water accounts. The Manila Water App allows East Zone customers to check current bills, view payment history, and settle accounts online or through mobile wallets. Real-time service advisories and interruption notices are delivered via push notifications, and service-related concerns or inquiries can be submitted through the M.W. C.A.R.E.S. platform. We also maintain active communication with our customers through regular updates on social media, providing information about ongoing projects, water interruptions, and program activities.

Efficient and reliable customer service is a key performance indicator for Manila Water managers. Customer requests and complaints are promptly referred to Territory Managers for immediate action. To foster stronger community engagement, we hold quarterly gatherings with local neighborhood leaders, known as *kasanggas*. These meetings provide company updates and gather valuable feedback. The kasanggas act as an extension of Manila Water, disseminating information to their communities, clarifying issues, and acting as intermediaries for customers with specific concerns.

In 2024, Manila Water received 167,603 customer concerns related to billing and service, and we resolved 99% of these within established turnaround times based on service level agreements.

Manila Water App is our customer's one-stop shop to check current water bill, view bill history, and receive service advisories.

[2] SLA = Service level agreement

Environmental stewardship

GRI:2016 413-1

The Lakbayan Water Trail: From source to treatment, participants discover the journey water takes, starting at Angat Dam and ending at our treatment facilities.

Lakbayan

Effective education and engagement are crucial for achieving our sustainability goals. Our programs aim to raise awareness and foster stakeholder involvement in the rehabilitation, protection, and conservation of natural resources. We go beyond simply sharing information about water sources and wastewater treatment, we empower our stakeholders to take an active role in environmental stewardship.

Our flagship Lakbayan (Water Trail) program offers an immersive experience in our operations through guided tours of our facilities, from raw water source to treatment and distribution. Participants gain a deeper understanding of the processes involved in delivering safe, potable water to homes and businesses across the East Zone of Metro Manila. Beyond showcasing the reliability of our 24/7 water supply amidst climate change challenges, Lakbayan highlights our wastewater management and treatment systems, emphasizing our commitment to environmental compliance and sustainability.

Since its inception in 2006, Lakbayan has engaged over 100,000 participants, including representatives from academic institutions, local government units, national government agencies, private organizations, and international agencies eager to learn about our best practices, including our globally recognized non-revenue water (NRW) management.

Salin

Building on Lakbayan's success, SALIN: Lakbayan Para sa mga Guro program empowers public school teachers through specialized tours. Since its 2023 launch, SALIN has conducted 18 sessions, reaching over 200 participants. In 2024 alone, it welcomed educators from 59 schools across Metro Manila's East Zone.

In collaboration with the Department of Education – National Capital Region (DepEd NCR), SALIN offers a full-day immersive tour of key Manila Water facilities. The journey starts at La Mesa Ecopark, Metro Manila's environmental hub, where participants learn about our sustainability initiatives. They then visit La Mesa Dam, gaining insights into its role in water treatment. The tour culminates at our water and wastewater treatment plants, where experts explain the processes that ensure safe drinking water and proper wastewater treatment.

Protecting the Environment

Our Approach

GRI 2018: 303-3

At Manila Water, protecting the environment is integral to our operations. Guided by our Environmental Policy, we are committed to sustainable practices that minimize our environmental impact and promote the efficient use of the earth's natural resources. Through continuous improvement and innovative solutions, we ensure that our operations contribute to the preservation of ecosystems and the well-being of future generations. Our commitment to environmental stewardship reflects our dedication to delivering reliable services while fostering a more sustainable future.

Resource Management

As highlighted in the 2024 World Economic Forum Global Risks Report, natural resource shortages are identified as the fourth most significant global risk over the next decade. This underscores the urgency of adopting effective resource management. Our approach to resource management includes operating our facilities efficiently, reducing non-revenue water (NRW), and implementing reuse and recycling programs.

Responsible Water Withdrawal

GRI 2018: 303-1, 303-3 | SASB IF-WU-440a.1, IF-WU-440a.3

Water is a finite and shared resource vital for hydropower generation, irrigation, aquaculture, water utilities, and the daily needs of communities. To ensure its sustainable use, we source water responsibly from groundwater, rivers, lakes, and dams. In 2024, we utilized a total of 777.64 million cubic meters (mcm) of freshwater for potable water production.

Surface water is the primary source for our business units in the East Zone, Boracay, Calbayog, Cebu, and Tagum, while the Laguna, Clark, and other non-East Zone units rely predominantly on groundwater. We conduct regular monitoring and studies to ensure sustainable withdrawal practices and responsible management of water usage.

Water Withdrawal by Sources	2022	2023	2024
Groundwater, mcm	112.74	123.26	119.39
Third-party Groundwater, mcm	0.35	0.65	0.51
Surface water, mcm	619.09	641.44	653.84
Third-party Surface water, mcm	5.09	4.93	3.90
Total	737.27	770.27	777.64

The landscape of water resource management is constantly evolving. Due to increasing demand and environmental factors, the World Resources Institute (WRI) Aqueduct, in its recent update, identified the Angat watershed, one of our key watershed areas, as a high-stress region. This change underscores the importance of diversifying our water sources and focusing on water efficiency measures.

To proactively address water stress risks and ensure a secure water future, we are strategically investing in a diversified portfolio of water sources. In the East Zone, we have the 4-Water System Masterplan sourcing raw water from various water sources. Please refer to Helping Build Communities Thrive for more information.

Our comprehensive approach to addressing water stress includes water efficiency. We are actively implementing backwash recycling and exploring water reuse strategies for non-potable applications, when applicable. Complementing these efforts, we promote water conservation and efficient usage among our customers.

We regularly release #WaterWais or wise water use bulletins on our social media platform.

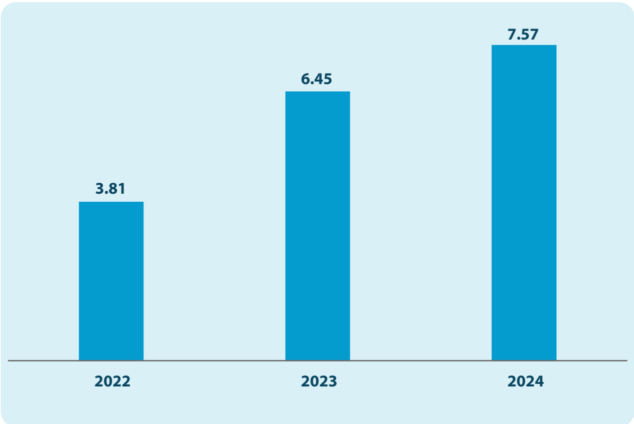
Water Recycling

SASB IF-WU-440a.2

In 2024, despite the increase in water demand, water withdrawals were tempered by our initiative to recycle backwash water in several facilities. This enabled us to recover a total of 7.57 mcm, 17% higher than previous year. This resource recovery initiative has been beneficial in ensuring a steady supply of water, anticipating the impacts of El Niño. Furthermore, it has allowed the company to extend cross-border water sharing to fellow concessionaire Maynilad Water Services, Inc.

We also initiated water reuse for non-potable applications. Four purple fire hydrants using treated wastewater were installed in 2024, translating to 137 cubic meters of recycled water used in firefighting.

Water Reuse, mcm



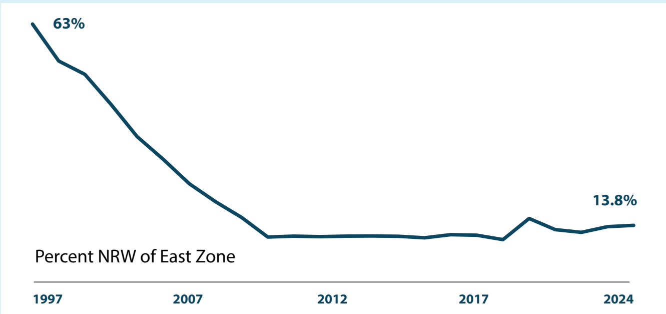
Non-Revenue Water Reduction

SASB IF-WU-140a.2

Our non-revenue water (NRW) reduction program is essential for optimizing operational efficiency, improving cost management, and conserving valuable resources. Its importance is further amplified by our ongoing service area expansion and the integration of new business units, some of which present significant NRW challenges. For 2024, our consolidated NRW remains at less than 15%.

Non-Revenue Water	2022	2023	2024
% NRW, end-of-period	14.1%	15.1%	14.6%
NRW losses, mld	288.12	303.94	296.08
NRW losses, mcm	103.21	117.56	107.77

East Zone Non-Revenue Water Reduction



A key success of our Public-Private Partnership in the water industry in the Philippines has been the dramatic improvement of Manila Water in water distribution efficiency. In the East Zone, our NRW program has achieved a remarkable reduction, from 63% pre-privatization to below 15% today. This translates to recovering approximately 750 MLD of water—equivalent to the capacity of a medium-sized dam. Building on this success, we are replicating this best-practice NRW management across our non-East Zone business units, employing people-driven initiatives, process refinements, and innovative technologies.

With NRW Reduction as a competitive advantage, our subsidiary, Manila Water Infratech Solutions, further extends this expertise by offering NRW management consultancy and related services.

Holistic Approach to NRW Management

People	Process	Technology
Demand monitoring areas formation Kasangga (Partnership) system with communities NRW eduction as a key performance metric of employees	Active leakage control Immediate leak repairs Calibration of meters Regular meter replacement Asset management	Network pressure management Installation of Pressure Regulating Valves with automated controller Pump automation Use of leak detection technologies

Material Use

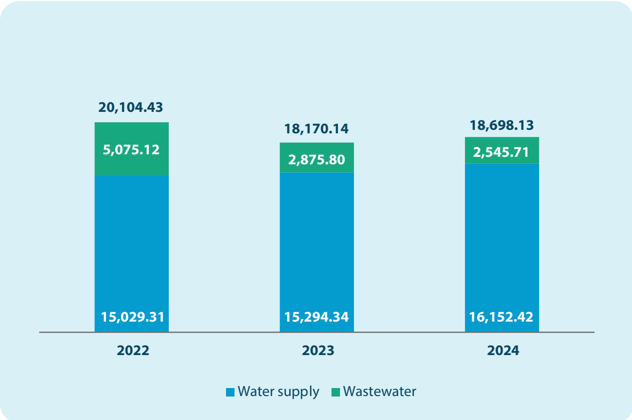
GRI 2016: 301-1

Water quality is a non-negotiable priority in the delivery of our service. We employ carefully managed chemical treatment processes to guarantee the safety and quality of our water, as well as the compliance of our wastewater effluent.

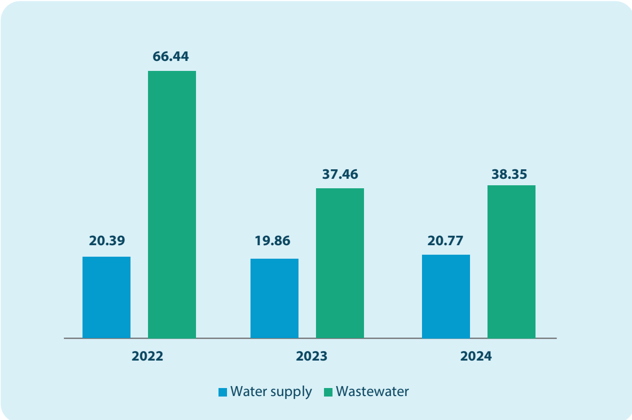
In 2024, we addressed raw water quality fluctuations that influenced our chemical usage. The El Niño and La Niña weather patterns presented distinct challenges such as increased manganese levels and high turbidity. These fluctuating conditions required adjustments to our chemical treatment to maintain the required drinking water standards.

We intend to continue our proactive approach to treatment and resource management, remaining mindful of quality of our service. Across the enterprise, various business units already demonstrated continuous improvement in chemical management, achieving reductions through initiatives like chlorine dosing optimization, supply-demand management, and non-revenue water reduction. On the other hand, similar efficiencies were achieved in our wastewater operations through lower flows, improved influent quality, and the use of higher-quality polymers.

Chemical Consumption (mcm)



Chemical Intensity of Water Supply and Wastewater (mcm)



We continuously improve our processes to reduce our resource consumption without compromising the quality of drinking water and effluent.

Wastewater Management

GRI:2018 303-2, 303-4 | SASB IF-WU-140b.2

Effective wastewater treatment is essential for protecting water resources, ensuring ecological balance, and mitigating climate change. Properly treated wastewater prevents water pollution, curbs algal blooms and eutrophication, and promotes the health and biodiversity of aquatic ecosystems. Additionally, it helps reduce greenhouse gas emissions by avoiding methane generation in anaerobic conditions.

As part of our commitment to sustainable water management, we treat wastewater before being safely discharged into water bodies. In 2024, we operate 79 wastewater treatment facilities, collectively treating 66.39 million cubic meters of wastewater.

Wastewater	2022	2023	2024
Wastewater treated, mcm	76.38	76.76	66.39
Organic pollutants removed, metric tons BOD	7,995.10	8,079.46	8,363.11

We adhere rigorously to the effluent standards set by the DENR through DAO 2016-08 and DAO 2021-19, consistently meeting or exceeding the required water quality standards for receiving bodies. In 2024, we achieved full compliance with all wastewater-related permits and regulations, underscoring our dedication to environmental stewardship and public health.

To further enhance our wastewater management capabilities, Manila Water and the University of the Philippines Diliman entered into a memorandum of agreement in 2024 for a research program focused on the Removal of Excess Nitrogen and Endocrine Disruptors from Wastewater (RENEW). Project RENEW aims to improve the removal of nitrogen and endocrine-disrupting compounds (EDCs) from wastewater, addressing the significant environmental and public health risks posed by EDCs. A key component of this project involves developing microbial solutions to enhance wastewater treatment, specifically Biological Nutrient Removal (BNR) for nitrogen and the degradation of EDCs.

Signing of the Memorandum of Agreement with the University of the Philippines for Project RENEW

In the East Zone, our annual target with the Metropolitan Waterworks and Sewerage System (MWSS) is to achieve 100% wastewater coverage through a combination of sewer systems and sanitation services, including septic tank desludging in unsewered areas. Wastewater collected via sewer lines and combined-sewer drainage is treated in sewage treatment plants (STPs), while septage from septic tanks is processed in septage treatment facilities. Our regulator-approved 2023 Service Improvement Plan outlines our 3-River System Master Plan through 2047. By constructing new STPs and expanding sewer networks, we target to increase sewer coverage in the East Zone from 33% in 2024 to 88% by 2047, with the remaining12% achieved through sanitation services.

Ongoing Wastewater Projects

The **Mandaluyong West Sewerage System Project** features a 53-kilometer sewer network and the Aglipay Sewage Treatment Plant, with a capacity of 60 MLD, expandable to 120 MLD. It will benefit more than 600,000 customers

The **Hinulugang Taktak Sewerage System Project** consists of a 16 MLD sewage treatment plant and a 4-kilometer combined sewer network to serve the residents of Antipolo City. Additionally, this project supports the rehabilitation of the Hinulugang Taktak Falls, a protected area designated as a national park in 1990.

East Zone Watewater Masterplan

Our third septage treatment facility in the East Zone, the **Pinugay SpTP**, is set to be completed by 2025. With a capacity of 50 cubic meters, it will deliver essential sanitation services to over 100,000 residents.

Waste Management

GRI 2020: 306-1, 306-2, 306-3, 306-4, 306-5

We adhere to the waste management hierarchy of avoidance, recycling, resource recovery, and safe disposal to handle waste responsibly and minimize environmental impact. Our waste streams include non-hazardous waste such as sludge, biosolids, grits, screenings, and office waste, as well as hazardous wastes generated from our operations and laboratories.

Wastes generated per type, metric tons	2022	2023	2024
Non-hazardous wastes	32,650.77	19,761.57	19,181.94
Hazardous wastes	142.10	468.31	516.27
Total	32,792.88	20,229.88	19,698.21

Sludge generated from water treatment is hauled and landfilled by third-party service providers. Biosolids or sludge from wastewater treatment, which accounts for 87% of non-hazardous wastes, are managed differently across locations: in the East Zone and Boracay Water, they are hauled by third parties, composted, and used as soil conditioners; in Laguna Water and Estate Water, they are utilized as raw materials for Waste-to-Energy facilities; and in Clark Water, they are stored in onsite drying beds. 88% of waste is diverted from disposal through off-site recycling.

Wastewater grits and screenings are properly landfilled, while office wastes are collected by local government units (LGUs). Some LGUs segregate the wastes at Materials Recovery Facilities to recover recyclables, and the residual wastes are landfilled. Hazardous wastes are transported, treated, and safely disposed of by the Department of Environment and Natural Resources (DENR)-accredited service providers.

Through these measures, we ensure that all waste is managed responsibly, reflecting our commitment to environmental stewardship and regulatory compliance.

Energy Management

GRI 2016: 302-1, 302-3, 302-4 | SASB IF-WU-130a.1

Delivering water and wastewater services require significant amount of energy. To address this demand, we are dedicated to optimizing our operations, enhancing energy efficiency, and minimizing our environmental impact. Programs to reduce energy consumption are in place not only manage operational costs but also contribute to a reduction in greenhouse gas emissions.

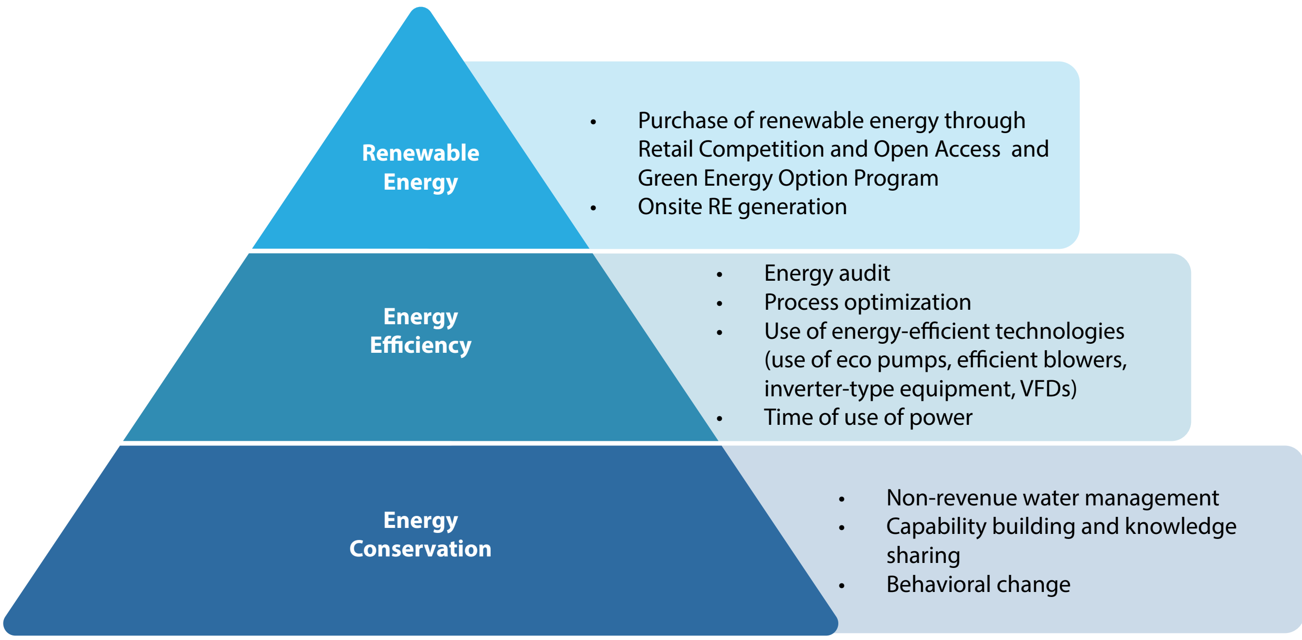
Energy consumption	2022	2023	2024
Fuel, Gigajoules (GJ)	178,284.99	74,054.64	94,813.91
Electricity, GJ	834,013.30	888,247.46	933,933.29
Total, GJ	1,012,298.29	962,302.10	1,028,747.20

Increased energy consumption and intensity in 2024 resulted from heightened demand-driven production, necessitating the activation of new facilities. We are now focused on ensuring sustainable supply while managing diverse water parameters and conditions across these locations that contribute to overall higher energy intensity.

Energy Intensity	2022	2023	2024
Enterprise Energy Intensity, GJ/ PHP billion revenue	44,401.03	31,334.61	27,834.07
Energy Intensity for Water Supply, GJ/mcm billed volume	1,385.74	1,250.67	1,276.17
Energy Intensity for Wastewater, GJ/mcm wastewater treated	1,742.42	1,705.68	1,786.32

Over the years, we have implemented a range of energy efficiency initiatives. These include process improvements, the adoption of energy-efficient technologies, and targeted capacity-building programs. Our commitment to sustainability drives us to continually explore and implement innovative solutions to further enhance our energy performance and support climate action.

Through energy efficiency projects in 2024, the company avoided 4,421 GJ in energy consumption, relative to a business-as-usual scenario. This yielded approximately Php 14 million in cost avoidance, thereby partially offsetting rising overall consumption costs.



Energy Pyramid

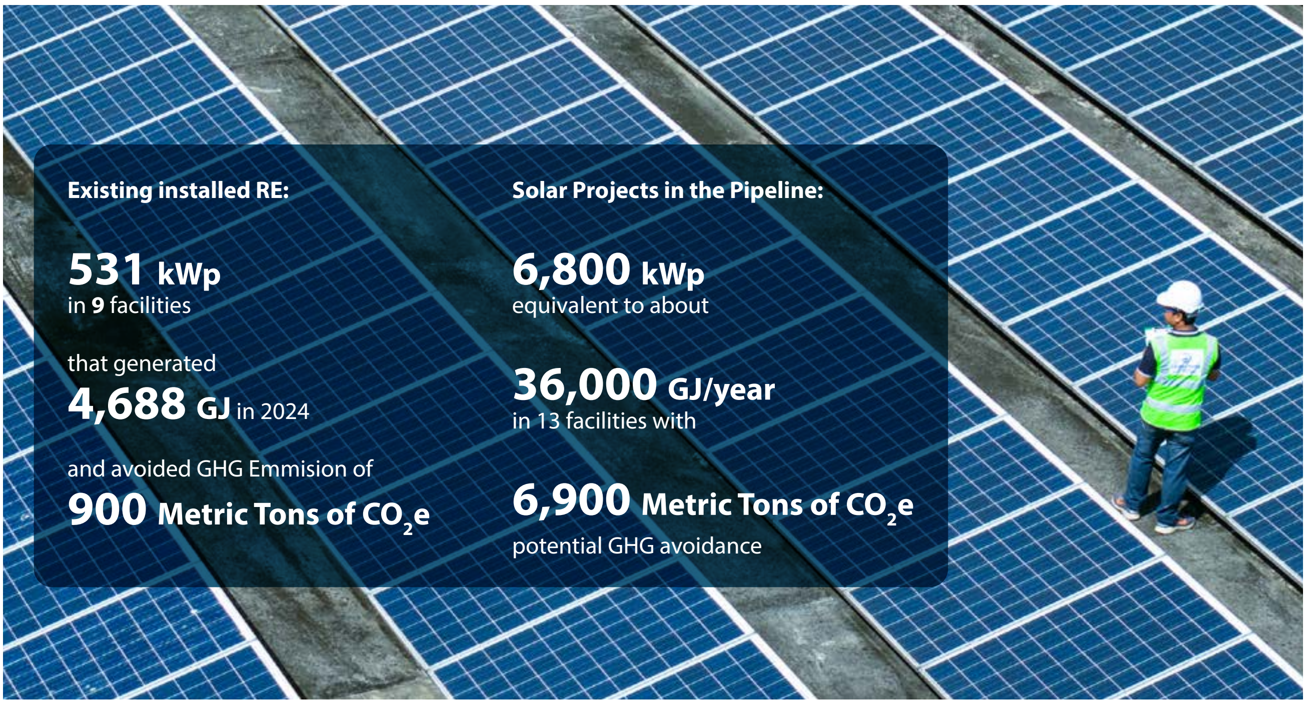
TAGUMpay Energy Efficiency Program

An example of these efforts is Tagum Water, which was recognized with the Department of Energy's 2024 Energy Excellence Award in the Small and Medium Industry Category. A key innovation contributing to this recognition is the Riverbank Filtration and Artificial Recharge Technology. This technology replaces the conventional energy-intensive deepwell abstraction process by utilizing natural filtration methods to extract raw water.
As a result, it has reduced energy consumption and improved raw water quality. Over the past three years, the technology has resulted in estimated energy savings of 18,720 GJ and a cost avoidance amounting to more than PhP 60 million.

Renewable Energy Transition

To support our decarbonization efforts, we are transitioning to renewable energy (RE) sources. Our strategy includes onsite RE installations and sourcing renewable energy through the government's existing programs.

We remain committed to increasing our renewable energy capacity, further reducing greenhouse gas emissions, and strengthening our reliance on clean energy.



Existing installed RE:

531 kWp
in **9** facilities

that generated
4,688 GJ in 2024

and avoided GHG Emmision of
900 Metric Tons of CO_2e

Solar Projects in the Pipeline:

6,800 kWp
equivalent to about

36,000 GJ/year
in 13 facilities with

6,900 Metric Tons of CO_2e
potential GHG avoidance

Climate Change Mitigation

GRI 2016: 305-1, 305-2, 305-3, 305-4, 305-5 | SASB IF-WU-450a.4 | TCFD | ISSB S2

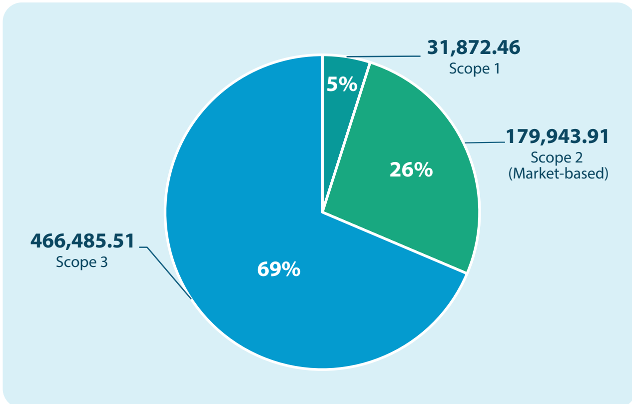
We are committed to UN Sustainable Development Goal (SDG) 13: Climate Action and fully support the Paris Agreement's goal of limiting global temperature rise to 1.5°C by reducing greenhouse gas (GHG) emissions. We also align with the Philippines' Nationally Determined Contributions (NDCs) target of a 75% GHG reduction by 2030 compared to the business-as-usual (BAU) scenario.

Our Climate Change Policy outlines key mitigation strategies, including:

- GHG accounting and emissions reduction initiatives,
- Adoption of best-available technologies to enhance resource efficiency,
- Transitioning to renewable and energy-efficient energy sources,
- Aligning efforts with the Philippines' NDCs by expanding wastewater treatment and sanitation,
- Supporting carbon capture through watershed protection and reforestation.
- Providing climate change awareness and capacity building for employees, supply chain partners, communities, and stakeholders.

Guided by the Task Force on Climate-related Financial Disclosures (TCFD) framework, our decarbonization efforts focus on mitigating climate risks and strengthening resilience in an evolving regulatory and market landscape. This alignment is supported by the board-level ESG Committee. Further discussion of our TCFD is in the Sustainability Content Index <Link>.

GHG emissions, metric tons CO_2e



While we monitor our scope 1 and 2 emissions, we are also part of the Philippines accounting of Nationally Determined Contribution, particularly on wastewater management. Expanding wastewater coverage and operating centralized aerobic water treatment facilities play a vital role in avoiding methane emissions. Methane is a significant byproduct of traditional septic tank systems, which are the predominant wastewater treatment method in the country.

In 2024, our facilities achieved methane avoidance equivalent to 65,709 metric tons of CO_2e through enhanced sewage and septage treatment.

2021	TCFD Adoption and CDP Disclosures • Signified support and adopted TCFD • Started CDP Disclosures on Climate Change and Water Security

2022 -2023	• Climate Change Mitigation Study
	  ∘ Full greenhouse gas accounting Scope 1, 2 and 3
	  ∘ Intervention assessment
	• Forest Carbon Accounting in Ipo and La Mesa Watersheds
	• Procurement of 4 electric vehicles for pilot testing

2024	• Development of Scope 1 and 2 emissions reduction plan • Construction of 2.5 MWp solar facilities in 3 East Zone facilities
2025	• Operation of 2.5 MWp solar facilities • Construction of 4.3 MWp solar facilities in 10 East Zone facilities • Development of an energy masterplan with a strengthened renewable energy portfolio • Development of new sets of short- to medium-term ESG targets
2026 onwards	• Disclosure of short-to medium-term ESG targets • Implementation of projects and monitoring

Watershed Management

GRI 2016: 304-3, 304-4

Watersheds are vital resources supporting agriculture, forestry, recreation, and urban development. For water utilities like ours, healthy watersheds are crucial for raw water supply and water quality by reducing sedimentation, pollution, and contamination, lowering water treatment costs, and regulating water flow to prevent floods and droughts.

Recognizing our reliance on freshwater sources and the resulting impact on ecosystems, we prioritize watershed management as a core part of our strategy. Through initiatives like protection, reforestation and enrichment planting, community development, and partnerships, we aim to improve water quality, ensure a stable supply, preserve biodiversity, and support climate action.

We collaborate with regulators, local governments, NGOs, and communities to implement nature-based solutions for key watersheds, including Angat, Ipo, La Mesa, and others. Our efforts are guided by our Biodiversity Policy, ensuring we protect and enhance biodiversity throughout our operations.

Refer to the 2024 Watershed Management Report for the details of our 2024 accomplishments and management actions in each watershed.

Activities to mitigate biodiversity threats:

- protection from deforestation, slash-and-burn, and other destructive activities
- nurturing of endemic and native species
- removal of invasive species

195,727 hectares protected, preserving **60+** threatened species with **8** critically endangered, **13** endangered, **31** vulnerable, and **10** other threatened species in 2024.

131,051 trees planted and nurtured in **294** hectares in 2024

1.7 million trees nurtured in **3,434** hectares since 2006

Biodiversity at the La Mesa Watershed

The Philippine Hanging Parrot is one of the 35 endemic species residing and safeguarded at the La Mesa Ecopark.

The Manila Water Foundation (MWF) conducted a study at the La Mesa Ecopark to evaluate its ecological conservation value and mitigate biodiversity threats across the 33-hectare property.

The findings revealed that La Mesa Ecopark holds a high conservation value in terms of species diversity and cultural significance. Of the 220 species documented, 35 (16%) are endemic, and 25 (11%) are classified as threatened. The ecopark's cultural value is also significant, offering recreational, educational, and research opportunities.

To enhance the park's biodiversity, MWF has initiated actions such as removing exotic species like mahogany seedlings and replacing them with native trees. This approach aims to strengthen the ecological balance and support conservation efforts.

Building a culture of trust and care

Our Approach

GRI 2021:3-3

Manila Water cultivates a culture of care and trust by prioritizing its employees' well-being and upholding strong ethical principles. We invest in their development and ensure a safe, healthy work environment, while maintaining transparent and accountable practices.

We extend this care and trust through active community partnerships and industry leadership. By engaging in collaborative initiatives and sharing best practices, we create a positive impact and foster sustainable growth for all stakeholders.

Human Capital

Employee distribution

GRI 2021:2-7

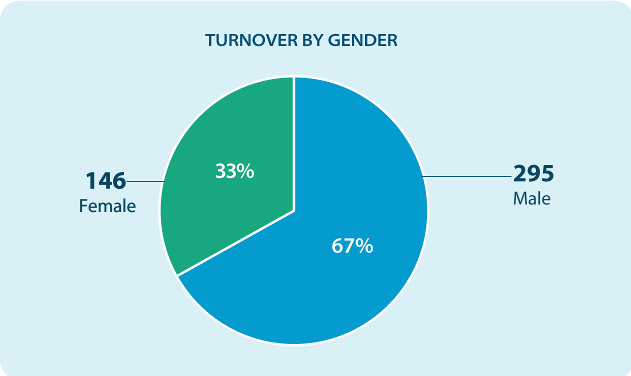
As of December 31, 2024, we employ 2,495 employees across our business operations, 95% of whom are permanent employees. This figure reflects our current headcount following a reorganization that involved the transfer of ownership of two subsidiaries. This reorganization ensured continued employment for all affected employees. We are also committed to increasing female representation at all levels of the organization. Currently, 57% of executive officer positions are held by women, and female representation on our Board of Directors has increased to 22%.

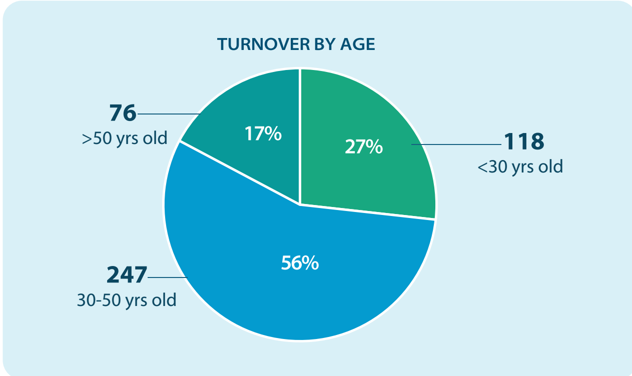
Our commitment to building a strong workforce extends to nurturing future talent. We embrace students eager to explore the water industry through our internship program. This initiative enriches our talent pipeline while fostering diversity within our teams. In 2024, we had the privilege of hosting 69 interns from universities and colleges across the Philippines.

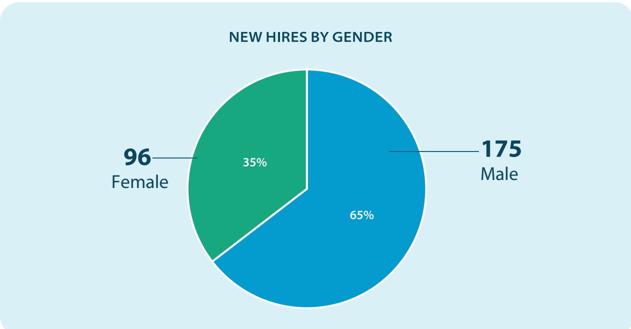
Beyond internships, our Cadetship Program offers recent college graduates a unique opportunity. This intensive program provides business training, exploring critical areas such as water systems management, field safety protocols, and community engagement strategies. The success of our previous cadet batches is evident in their progression to leadership roles within our organization, where they now lead various teams. In 2024, 9 cadets completed the 32nd batch of the program.

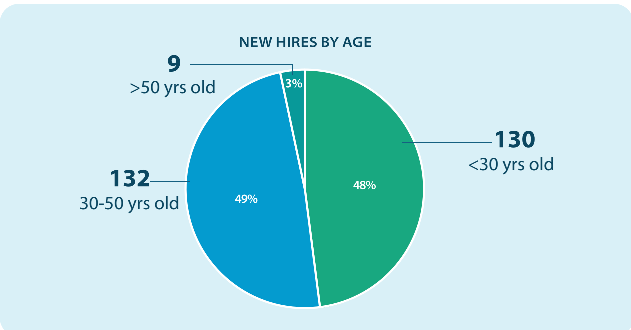
New hires and turnover

GRI 2016:201-3, 401-1, 401-2









In 2024, Manila Water welcomed 271 new employees, strengthening our workforce. Our recruitment process focuses on identifying and attracting individuals with the necessary competencies and skill sets, ensuring alignment with our core values. We believe in fostering growth and development not only through external hires but also through internal talent mobility.

Our total employee turnover rate is 17%, comprising of 11% voluntary and 6% involuntary separations. This is notably lower than the industry average of 20%. We regularly review exit survey data to gain insights into employee departures and identify opportunities for improvement.

Celebrating the dedication and contributions of our incredible retirees! Every year, we honor their years of service and commitment with a special send-off program.

Approximately 30% of our turnover is due to retirements, reflecting the dedication of our employees, many of whom have contributed an average of 20 years of service to Manila Water. We deeply value their contributions and offer a comprehensive retirement plan. This includes one month's salary for every year of service for employees aged 60 with at least five years of tenure, and early retirement options are available at age 50 with at least ten years of service.

Employee welfare

GRI 2016:202-1, 401-2

Manila Water is committed to employee welfare and strives to be an employer of choice by offering competitive and equitable benefits. We ensure fair treatment based on performance, and our rank-and-file wages exceed the minimum wage. Our full-time employees receive benefits exceeding those mandated by Philippine law. These include, but are not limited to, insurance coverage, medical and dental benefits, guaranteed bonuses, merit increases, corporate incentives, and paid leave. To further support employee well-being, we offer flexible work arrangements, allowing employees to work from alternate locations at least once a week.

In 2024, KUDOS: Manila Water Recognition Program honored 67 finalists and named 15 grand winners, recognizing their exceptional performance and dedication.

Our employee retention strategy includes recognizing and rewarding exemplary performance. The new recognition program celebrates outstanding contributions to company goals through three awards: Rajah (Chief or Leader) Award for individual excellence in performance or leadership; Sinagtala (Ray of light) Award for project teams whose initiatives exceed defined roles; and Likha (Create or Innovate) Award for innovations resulting in increased efficiency, improvements, and better customer experience.

Human Rights and Labor Relations

GRI 2016:407-1, 408-1

Manila Water officially joined the UNGC in August 2024. It is the only water utility member in the Philippines.

In 2024, Manila Water formalized its commitment to global sustainability and responsible business practices by joining the United Nations Global Compact (UNGC). As the world's largest corporate sustainability initiative, the UNGC connects over 20,000 companies across the globe, promoting the adoption of sustainable and socially responsible policies. In aligning our operations and strategies with the UNGC's ten principles—covering human rights, labor, environmental protection, and anti-corruption –we are reinforcing our dedication to ethical and responsible conduct.

Specifically, our UNGC membership strengthens our labor relations by providing a framework for continuous improvement and accountability. The ten principles, particularly those related to labor rights, are embedded in our core human rights-related policies, including the Child Labor Prevention and Elimination Policy, Diversity, Equity, and Inclusion Policy, Non-Discrimination and Anti-Harassment Policy, and Freedom of Association Policy. These and other corporate governance policies are accessible in our corporate website.

Learning and Development

GRI 2016:404-1, 404-2, 404-3

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Training data by gender	**Count of trained employees**	**Training hours**	**Ave. training hours/ employee**
Male	1,849	46,784	30
Female	970	25,771	32

Training data by rank	**Count of trained employees**	**Training hours**	**Ave. training hours/ employee**
Senior Management	244	8,389	39
Middle Management	1,955	56,613	36
Rank-and-file	620	7,553	13

In 2024, Manila Water's total training data reached 72,555 training hours, accumulated by 2,819 trained employees, averaging 30 training hours per employee.

Manila Water's learning and development programs are integral to our recruitment and retention strategy, ensuring a skilled and engaged workforce. Each employee's training is guided by their Individual Development Plan (IDP), where they define personal goals and aspirations. IDP accomplishment constitutes 10% of the total annual performance assessment.
In 2024, 100% of employees, including regular and probationary hired as of September 30, 2024, received a regular performance and career development review.

MWU
MANILA WATER UNIVERSITY

Core and Leadership Development
Foundational courses on core values, including new hire onboarding, "Living the Values" workshop, Leadership Academy Yielding Accelerated Growth Program (LAYAG), and online learning platform, MW Stream.

Technical Capability Development
Developing operational expertise for technical teams through the Manila Water Institute of Technology (MIT), compliance training, and professional certification opportunities.

Manila Water School
Initiatives addressing current and future leadership needs with specialized management training programs, including Cadetship Training Program, Territory Management Schooling, and Business Zone Leadership Schooling.

Group-Initiated Training
Targeted programs and upskilling opportunities designed to meet the specific needs of individual teams.

Empowering the next generation of leaders with the 2nd batch of Gabay Program.

The Gabay (Guide) Business and Technical Mentoring program pairs emerging next-generation leaders with our Senior Leadership Team, providing valuable mentorship and support. For the second year, 17 emerging leaders participated in this program.

Employee engagement

Employee Volunteerism

Engagement is key to a strong and responsible organization. Pasibol: Puno ng Pag-asa ("Tree of Hope" and "Full of Hope") is an employee volunteer-driven program that focuses on watershed and tree nurturing. In 2024, Pasibol saw strong participation, with 14 tree planting activities, 427 employee volunteers contributing 1,692 hours, 22 external partners, 8,500 seedlings planted, and 16 hectares covered.

Through Pasibol, we are on track to meet our biodiversity and water quality targets by 2025. Progress includes reforesting approximately 975 hectares of watershed area and planting and nurturing 442,008 trees since 2022 and maintaining 100% compliance with national drinking water standards.

Sustainability is a team effort. Pasibol engages employees from across Manila Water in contributing to our environmental initiatives.

Total Wellness

#MahalagaKa (You Matter) is our total wellness program that aims to nurture our team – mind, body, and spirit – fostering belonging, purpose, and shared values. This initiative involves educational talks and workshops on emotional, financial, physical, and mental wellness, as well as safety initiatives to ensure a secure environment. Beyond individual well-being, #MahalagaKa cultivates a strong company culture through donation drives to support colleagues and communities affected by calamities.

Diversity, Equity, and Inclusion

Manila Water's DEI efforts recognized at the 2024 Philippines UN Women's Empowerment Principles Awards – Manila Water Foundation earned the Community Engagement and Partnerships Champion, while President and CEO Jocot de Dios was the first runner-up for Leadership Commitment.

Manila Water's commitment to holistic well-being extends to a strong focus on diversity, equity, and inclusion (DEI), driven by our #ToDEI Counts initiative. Since 2003, we've actively utilized our communication platforms to promote education and awareness about disability rights, and we continue to champion mental well-being through our Professional Friend Program. Gender-sensitivity training is part of our annual mandatory training, ensuring our employees are equipped with the knowledge and understanding to create an inclusive workplace.

Women empowerment

With women representing 34% of our workforce, our #WomenMakingWaves celebration showcased the diverse and inspiring stories of Katubig women excelling as leaders, workers, mothers, and athletes, demonstrating the multifaceted nature of female empowerment. This commitment to gender equality is extended in our community efforts through Integrated WASH Program. This program delivers tailored, women-led solutions to enhance water access and sanitation infrastructure, strengthen water and sanitation management knowledge, and forge partnerships that advance UN SDG 6 (Clean Water and Sanitation) and SDG 5 (Gender Equality).

Employee Communication Channels

To maintain strong engagement, we leverage a variety of communication platforms to keep everyone informed and connected. These include Balita on Wednesdays, sharing company news and updates; Kwentong Katubig: Stories of Sustainability, Tips and Innovation; and My HR Pahayag, focusing on HR-related announcements and information. All content and developments for these platforms are prepared by Katubig members for their fellow Katubig colleagues, fostering a sense of community and shared ownership.

Occupational Health and Safety

Health, safety, and environment programs

GRI 2018:403-1

We maintain a global approach to employee safety and well-being through our Health and Safety Policy, applicable to all business units of Manila Water. This policy adheres to standards prescribed by the Department of Labor and Employment (DOLE) or the regulatory requirement of every country where we do business. This commitment is driven by our Occupational Health and Safety Departments (OSHD), which report directly to respective Chief Operating Officers, ensuring executive-level accountability.

Our health, safety, and environment (HSE) program is implemented through collaborative health and safety committees at every organizational level, encompassing employees and contracted workers. These committees, overseen by executives, ensure consistent application of HSE procedures. Recognizing the importance of continuous training, OSHD works together with Human Resources to identify and address training needs. In 2024, we delivered approximately 14,566 safety training hours, covering essential programs such as Basic Occupational Safety and Health (BOSH), Construction Occupational Safety and Health (COSH), Chemical Safety, First Aid, CPR, and our iJoin onboarding program.

Beyond occupational safety, we integrate employee wellness into our approach. OSHD collaborates with our Wellness Team to manage employee health data and ensure accurate reporting to regulatory bodies, while upholding strict confidentiality. The Wellness Team delivers healthcare services and designs programs tailored to our diverse workforce. This includes regular webinars addressing critical health topics such as mental and physical well-being, healthy lifestyles, and disease prevention. By investing in the health and safety of our employees, Manila Water fosters a productive and resilient workforce, ensuring sustainable operational excellence.

Safety is a team effort! Our OSHD champions safety awareness through training, positive reinforcement for incident reporting, and employee involvement in policy and program development.

Hazard identification

GRI 2018:403-2

100% of our managed buildings, construction sites, and corporate office undergo regular Hazard Identification, Risk Assessment, and Risk Control (HIRAC) exercises. To streamline this process and ensure accessibility of crucial safety information, we have established an online HIRAC Registry, available to all business units.

Open communication with employees is paramount, and we encourage both formal and informal reporting of near-misses or incidents. Formal channels include committee meetings, toolbox meetings, and a dedicated departmental email address. Informal reporting is also encouraged, such as directly messaging OSHD members. Following any reported incident, an incident report is prepared which is shared with the employee and their immediate superior. Furthermore, corrective actions or adaptations are communicated to ensure prompt remediation and continuous improvement.

Health and safety performance

GRI 2018:403-9

Health and safety	2022	2023	2024
Fatality as a result of a work-related injury, count	1	1	0
High-consequence work-related injury except fatality, count	0	0	0
Recordable work-related injury, count	3	6	27
Lost Time Injury Rate	0.38	0.46	0

We actively track and take accountability for reportable incidents to foster a safe and healthy workplace. In 2024, we maintained a strong safety record with no fatalities, high-consequence injuries or cases of occupational disease involving our employees. The majority of recordable work-related injuries stemmed from a rise in reporting of incidents such as slips and falls, trips, vehicular accidents, and chemical spills. For each reported incident, root causes were thoroughly identified, and corrective actions were promptly implemented to prevent recurrence and further enhance our safety protocols.

Governance and compliance

GRI 2016:418-2; 2021:2-25,2-26

Manila Water's Code of Business Conduct and Ethics guides all our actions and decisions, reflecting our unwavering commitment to ethical conduct. We maintain a zero-tolerance policy for fraud and corruption, prioritizing responsible and transparent disclosures to keep our stakeholders fully informed. This commitment to integrity is evidenced by zero cases of corruption in 2024.

Our Whistleblower Policy empowers directors, officers, employees, and third parties to report concerns about illegal or unethical practices without fear of retaliation. The Whistleblower Committee ensures independent investigation and appropriate follow-up actions, accessible primarily through the Whistleblower hotline. As of December 31, 2024, we addressed nine whistleblower reports received through our channels, none of which involved customer data breaches.

Building on this foundation, we recognize that protecting sensitive data and ensuring the integrity of our systems is crucial for maintaining stakeholder trust.

This focus on security is vital as we advance our digital transformation. To further optimize operations and enhance efficiency, we are implementing several systems improvements and automation, including transitioning to a new generation tool for data automation of planning, analysis, and reporting.

Compliance is integral to our operations and a key component of building stakeholder trust. We adhere to all applicable regulations, including those governing environmental permits, water quality standards, safety regulations, and employee rights. Our 2024 performance, marked by zero incidents of significant non-compliance with socio-economic and environmental regulations, exemplifies this commitment.

Our responsible practices extend throughout our supply chain. The Corporate Procurement Group rigorously oversees vendor accreditation and reaccreditation, including environmental and social assessments. We require vendors to submit all necessary permits and documentation before engagement, utilizing Ariba to automate and streamline the accreditation process.

Water CDP A List 2024

A, Leadership for Water
B, Management for Climate Change

SUSTAINALYTICS

22.6 , Medium Risk Rating

MSCI

BB, Average ESG Rating

Our dedication to responsible operations is further validated by our performance across various ESG indicators and rating agencies. By consistently upholding the highest standards of governance and compliance, Manila Water reinforces its commitment to sustainable and ethical business practices.

Partnerships

GRI:2016 201-1, 203-2

At Manila Water, we believe that building a culture of trust and care extends beyond our internal operations. It thrives through strong partnerships that foster shared responsibility and collective progress. We actively cultivate these relationships across various fronts, ensuring a sustainable and impactful presence in the communities we serve.

Toka Toka

Our flagship environmental advocacy, Toka Toka, exemplifies this principle. Rooted in the Filipino concept of "share" or "stake," Toka Toka establishes vital partnerships with institutions and individuals, promoting personal accountability and environmental stewardship. From simple acts like waste segregation to complex undertakings like supporting used water projects, Toka Toka empowers communities to actively participate in environmental protection. Its success is evident in initiatives like "Amot Amot Para Sa Malimpyong Boracay" in Boracay Water, which tailors the Toka Toka concept to local dialects and tourism-focused environmental concerns. The 2024 "ToKasangga" event further strengthens these partnerships, recognizing the invaluable contributions of our "Kasanggas" (partners) and barangay achievers in achieving water access and sanitation for all.

Supply chain

Our supply chain forms another critical partnership network. In 2024, we engaged 877 vendors, acknowledging their vital role in our operations. While we are developing a formal system to quantify indirect job creation, it is clear that our partnerships significantly contribute to employment beyond our direct workforce. These partnerships are also essential in fulfilling our service obligations, driving our Php 26 billion capital expenditure investment in 2024. These investments, focusing on water security, environmental sustainability, and service enhancement, not only ensure reliable water and wastewater services but also contribute to the overall well-being of the communities we serve, especially in geographically challenging locations.

Manila Water recognizes the invaluable contributions of our supply chain partners, especially those who demonstrated exemplary performance throughout the year.

Thought leadership

We believe that true leadership extends beyond operational excellence. We foster a culture of trust and care by sharing knowledge, driving industry best practices, and contributing to the broader conversation around water sustainability. By actively engaging in thought leadership initiatives, we aim to inspire and empower others to join us in safeguarding our precious water resources.

30th edition of the Philippine Water Works Association (PWWA) International Conference and Exhibition

October 23-25, 2024

Manila Water and Manila Water Infratech Solutions showcased their expertise at the PWWA International Conference, with Non-East Zone Chief Operating Officer sharing best practices and innovations in the water sector.

BIWWEC 2024: Industry leaders gather to tackle critical water challenges

October 23, 2024

Manila Water, represented by its Regulatory Affairs Director, participated in the Borneo International Water and Wastewater Exhibition and Conference (BIWWEC) 2024, joining global experts to tackle key challenges in water and wastewater management.

Manila Water Foundation provides technical and water supply support for Naga City

September 18, 2024

Manila Water Foundation (MWF) and Technical Volunteers from the Manila Water Company provided technical support and water resources to address local water supply needs.

MWF's Expertise to Guide La Mesa Ecopark's Future

June 29, 2024

MWF, in partnership with MWSS and the Quezon City government, is now managing the La Mesa Ecopark. Its foresters are dedicated to using their knowledge and expertise to ensure the park's sustainable future.

Manila Water, CANVAS, One Ayala immortalize value of water through Waterscapes art exhibit

April 2, 2024

Waterscapes, a World Water Day art exhibit by over 100 local artists, aims to raise awareness and appreciation for water and its role in the environment, economy and ultimately, preserving life on Earth.

MANILA WATER FOUNDATION: FORMING SYNERGIES WITH DEPTH AND BREADTH

Manila Water Foundation, the social development arm of Manila Water, continues to make waves through synergies and partnerships for water access, sanitation and hygiene or WASH.

In 2024, it assumed stewardship of the La Mesa Ecopark in Quezon City, marking a significant milestone. This new responsibility places the Foundation within the La Mesa Watershed Reservation Multi-sectoral Management Council-Technical Working Group, alongside key stakeholders such as the Metropolitan Waterworks and Sewerage System (MWSS), the Department of Environment and Natural Resources (DENR), Maynilad, and the Quezon City Government.

The 33-hectare La Mesa Ecopark, often regarded as one of Metro Manila’s last remaining green spaces, is poised to become a focal point for inspiring climate action and raising awareness about "BiodiverCity"—the importance of biodiversity within urban environments.

Leveraging its extensive experience, the Manila Water Foundation, in collaboration with Manila Water Business Units and valued partners, has already reached over 10 million Filipinos through its various programs. As it celebrates 20 years in 2025, Manila Water Foundation faces the ongoing challenge to reach more communities and implement programs with breadth and depth.

INTEGRATED WASH

Manila Water Foundation empowers rural communities in their journey towards improved water access, sanitation, and hygiene or WASH, with support from valued partners. In 2024, Manila Water Foundation's Integrated WASH program made significant strides in Bulacan, Oriental Mindoro, Palawan and Pampanga.

Empowering Communities, Drop by Drop: The Roots to Shoots-Family Care Center Project

In a powerful synergy of purpose, the Manila Water Foundation joined forces with Pilipinas Shell Foundation and Clark Development Corporation to launch the Roots to Shoots-Family Care Center Project in Mabalacat, Pampanga. This collaborative endeavor was born from a shared vision: to uplift Aeta households by securing reliable access to clean water, thereby safeguarding their health and well-being. A crucial step towards this goal was the establishment of a deep well facility. To further bolster the community's water resources, static water tanks were installed in August 2024, with the generous support of Clark Water.

Recognizing the intrinsic link between Water, Sanitation, and Hygiene (WASH) and overall community flourishing, Manila Water Foundation and its dedicated partners extended their support through comprehensive training sessions. These sessions focused on vital aspects such as Food Security and Livelihood, as well as Mother-and-Child Care, nurturing holistic well-being. Demonstrating its commitment to sustainability, the Manila Water Foundation spearheaded the formation of a vibrant WASH group—a community-led leadership council that will serve as the future stewards of their water system. With the groundwork laid, construction of the deep well commenced in December 2024, marking a significant stride towards impacting five local Aeta cultural communities, encompassing approximately 2,500 households.

Project Planas: Cultivating Resilience Through Water Security

Another inspiring testament to collaborative impact is Project Planas, a synergy initiative spearheaded by Manila Water Foundation in partnership with Prime Infra Foundation, Inc. This project was strategically designed to bridge critical WASH gaps within the Aeta community of Katutubo Village, Barangay Planas in Porac, Pampanga. The cornerstone of this initiative was the establishment of a vital water system, directly benefiting 257 households across Sitio Kulambo, Sitio Tanag, and Sitio Magalang.

Mirroring the holistic approach of other WASH community partnerships, the Manila Water Foundation facilitated empowering capacity-building activities. These sessions equipped community members with the essential knowledge and skills to effectively operate and maintain their newly established water system. Notably, the WASH Group members, predominantly comprised of determined Aeta women, have embraced the responsibility of leading the management and operations of this vital facility. The project also benefited from the invaluable support of the Filipino Catholic religious congregation of the Religious of the Virgin Mary (RVM), who graciously granted permission for the use of the land where the deep well was constructed. The Barangay Local Government of Planas further bolstered the project through supportive policy development and ongoing management.

A significant milestone was reached in October 2024, when the Katutubo Village water system was energized, now drawing an impressive 300,000 liters of water per day. To ensure the highest standards of water quality, a conventional water treatment system was installed, guaranteeing compliance with the stringent Philippine National Standards for Drinking Water (PNSWD). Furthermore, a power reliability function was integrated to ensure a consistent and dependable water supply for the community, fostering greater resilience and well-being.

Sanitation for Watershed Communities

Manila Water Foundation, in partnership with the MWSS, inaugurated family toilets in Sitio Sapang Munti, within the Ipo Watershed in Norzagaray, Bulacan in November 2024. Thirty (30) sanitation facilities now serve over 500 adults and children living in the Ipo Watershed. The safe and secure toilets are a vital step in eliminating open defecation, protecting the environment, and upholding the dignity of families, particularly young girls.

The handover of the family toilets followed the installation of a community potable water system in 2023.

At the handover event, the WASH Group of community leaders renewed their pledge of stewardship for the Ipo Watershed. This initiative is part of the Integrated Watershed Management Roadmap for Angat, Ipo and La Mesa (IWMRAIL) that is spearheaded by MWSS and which intends to ensure the preservation and sustainability of the critical watersheds that are vital to water security.

Co-creating Empowered Communities

Manila Water Foundation's Lináng, the award-winning technical mentorship program on WASH for local water utilities or water operators has reached more regions in 2024. Lináng improved water availability for productivity, health, and championed gender equality.

Manila Water Foundation was tapped by Malampaya Foundation, to address the critical need for reliable water access in conservation-partner communities in North Palawan, Oriental Mindoro, and Batangas City. MWF provided technical expertise, including water source assessment, engineering design, construction oversight. Manila Water Foundation also facilitated capacity-building sessions for community partners. The trainings highlighted system maintenance, operations, and the development of policies to sustain the WASH infrastructure.

The 2024 WASH partnership is projected to benefit an estimate of 6,714 residents in El Nido, Palawan, Pola in Oriental Mindoro, Pinamalayan in Oriental Mindoro and Isla Verde in Batangas City.

In June 2024, Manila Water Foundation, Angat Buhay Foundation and the Embassy of the Kingdom of the Netherlands launched the Women Champions in the Water Sector (WCWS) Fellowship Program. The four-day program tapped aspiring women leaders in the water sector by gathering cohorts across the country in a knowledge-exchange workshop. Part of the Fellowship was a special Lakbayan at the Balara Treatment Plant 2 and the Marikina North Sewage Treatment Plant, where the participants were joined by Atty. Leni Robredo and representatives of the Embassy of the Kingdom of Netherlands. The following days were filled with self-development workshops and insights about the various programs and initiatives that address the problems in the water sector.

The WCWS connected women participants with subject matter experts to discuss project concepts that advance the shared goals on sustainable community development and environmental stewardship.

Manila Water Foundation, through the partnership with Angat Buhay Foundation, also provided technical support to Metro Naga Water District (MNWD) as it faced increasing demand and challenges posed by rapid population growth in Naga City and in the nearby municipalities it serves. The Linꞌáng project with MNWD collaborated for a common objective to enhance service delivery by addressing water supply concerns and optimizing operations.

Water tankers were deployed to Naga City for 3 weeks in September which served the municipalities of Gainza and Camaligan, and barangays in Naga City for the celebration of the Peñafrancia Festival.

Manila Water Foundation engaged with 10 Technical Volunteers to conduct onsite assessments, provide recommendations, and lead the technical learning exchange with MNWD managers. This knowledge-sharing strengthens MNWD's commitment to provide efficient and reliable water service.

WASH in Emergencies

Through its AGAPAY: WASH in Emergencies program, Manila Water Foundation supported disaster response, recovery and resilience phases of vulnerable communities. In February 2024, Manila Water Foundation handed over units of a Singapore-developed portable water filtration device. These were for the Non-East Zone Business Units to share with government stakeholders and partners in case raw water supply is compromised in a disaster's aftermath. The units were handed over for stakeholders and communities served by Boracay Water, Calasiao Water, Calbayog Water, Metro Ilagan in Isabela, Tagum Water in Davao del Norte.

To deliver urgently needed clean, potable water after a disaster, Manila Water Foundation collaborated with private sector and national government agencies. MWF partnered with the Armed Forces of the Philippines (AFP) Joint Task Force, the Department of Social Welfare and Development (DSWD), the Philippine Air Force, the Philippine Coast Guard as well as the Philippine Disaster Resilience Foundation (PDRF) and members of the League of Corporate Foundations (LCF).

Manila Water Foundation, with valued partners brought and handed over packaged water from Maris Pure Corporation, hygiene and home care products from Procter & Gamble Philippines.

In the aftermath of the devastating typhoons in 2024: Typhoon Carina (International Name Gaemi), Typhoon Enteng (Yagi), Typhoon Kristine (Trami), Manila Water Foundation provided clean, potable water for 13,140 families or 65,700 individuals and hygiene products for 5,000 individuals.

Manila Water Foundation was also involved in water supply augmentation through water tankers when Bacolod City was hit by El Niño, Naga City for a localized water crisis and the Island of Siargao for extended power interruption. Manila Water Foundation provided 5,736 cubic meters of water via tankers to address critical water supply needs in these key locations.

WASH Interventions

Manila Water Foundation responds to WASH gaps and reinforces infrastructure in schools and public institutions through its program, Lingap. This program supports the Department of Education's WASH in Schools (WinS) Program and the Department of Health's Healthy Pilipinas campaign. In 2024, Manila Water Foundation continued to provide built-to-last hygiene facilities in schools and public institutions.

Lingap East Zone

Manila Water Foundation donated two hygiene facilities in Taguig City and Marikina City, increasing the number of functioning faucets in these schools from 87 to 97 and improved access to these essential WASH facilities by an average of 13.84%, benefiting at least 15,086 students, teachers, and parents.

As warmer months were experienced in the country, Manila Water Foundation responded by providing Refrigerated Drinking Fountains (RDFs) to support the hydration needs of learners on campus and those who avail of services in public institutions.

Project Drink! For schools and institutions within the East Zone

Manila Water Foundation improved access to cool drinking water in communities within the Manila Water East Zone Service Area was enhanced through the donation of 28 Refrigerated Drinking Fountains (RDFs), improving 25,241 individuals' access to drinking water. Project Drink! encouraged the habit of bringing drinking tumblers instead of using single-use plastic or P.E.T. bottles which may pollute the environment.

Project Drink! partner institutions local government units, city halls, specialized care facilities, specialized care facilities, medical centers, hospitals, and shared spaces.

Manila Water Foundation installed 4 Refrigerated Drinking Fountains (RDFs) at Inuman Elementary School, participating in the Batang Matatag Campaign by Erceflora Probiotics. The project benefited 2,460 students, teachers, and parents. This initiative resulted in an 80.00% improvement in access to safe drinking water, enhancing the overall availability of clean water on campus.

In learning institutions, Manila Water Foundation, with valued partners, improved access to safe drinking water in schools by donating 83 new Refrigerated Drinking Fountains to 80 schools in 2024. These donations have boosted the total number of potable drinking water in schools from 92 to 175 units benefiting 160,724 students, teaching and non-teaching staff, and parents resulting in 70.12% average improvement in access to hydration for health.

Lingap Non East Zone

Manila Water Foundation, together with valued partners, constructed multi-faucet hygiene facilities in 6 schools across various cities and provinces under the Manila Water Non-East Zone Business Units. The total number of functioning faucets in these schools increased from 193 to 228, benefiting 9,660 students, teachers, and non-teaching staff. With new hygiene facilities, an average improvement of 32.65% in access to these essential amenities was achieved. This initiative underscores MWF's commitment to promoting health and well-being in educational communities.

Manila Water Foundation, in partnership with Airbus Philippines and Clark Water, rehabilitated the water system of Haduan Negrito Integrated School in Mabalacat, Pampanga. With funding support from Airbus, Manila Water Foundation rehabilitated a 3-door sanitation facility, a 10-faucet hygiene facility in the new school building and a 3-faucet hygiene facility by the first school building. The WASH interventions shall benefit Aeta learners at Haduan Negrito Integrated School as well as the residents of Sitio Haduan in Mabalacat, Pampanga.

Kapuso Lingap Eskwela is a collaborative project of Manila Water Foundation and GMA Kapuso Fountdaion to close WASH gaps in schools in remote communities. In May 2024, a two-classroom building complete with a 5-faucet hygiene facility was handed over to Dagadag Elementary School, Mankayan Benguet, benefiting 121 students, teachers, and parents. This increased the number of functioning faucets at the school from 1 to 6, boosting the average improvement of access to essential amenities to 83.33%.

Lingap Manucares is an ongoing 3-year partnership between MWF and Manuchar Philippines that addresses WASH challenges in schools. In 2024, a Water Asset Installation and Rehabilitation (WAIR) project was implemented for Noveleta Elementary School in Noveleta, Cavite. The school reported weak water pressure, compelling students to fetch water from lower floors of the school building to use comfort rooms. This WASH project provided students and staff with reliable water for improved hygiene and sanitation.

Project Drink! For schools and institutions beyond the East Zone

Manila Water Foundation donated 17 Refrigerated Drinking Fountains (RDFs) to 10 institutions in partnership with Manila Water Non-East Zone Business Units, improving access to safe drinking water across these institutions.

Manila Water Foundation and Boracay Water enhanced access to safe drinking water in Boracay Island schools by donating 4 Refrigerated Drinking Fountains, benefiting 5,799 individuals.

Manila Water Foundation, in collaboration with the MWSS Regulatory Office, Upsilon Sigma Phi Fraternity, UP Sigma Delta Phi, and Manila Water Company, strengthened efforts to support the communities and institutions through the donation of Refrigerated Drinking Fountain, provision of drinking kits, and conduct of hygiene education session.

A total of 14 Refrigerated Drinking Fountains (RDFs) were installed in San Juan City Medical Center, San Juan City Hall, San Juan National High School, UP Diliman, and UP Los Baños with an average of 69.74% improvement in access to safe drinking water.

Health in Our Hands

Manila Water Foundation leads local activities for major global campaigns that promote health and support disease prevention in its program, Health in Our Hands. It is a set of health campaigns to heighten awareness on habits such as proper toothbrushing, proper handwashing and proper sanitation. Across the year, Manila Water Foundation celebrates World Oral Health Day in March, Global Handwashing Day in October and World Toilet Day in November. The combined reach of the Health in our Hands online and onsite activities are 176,969 individuals and the visual collaterals in public spaces reached an estimate of 4,086,152 individuals.

The World Oral Health Day 2024 main event was held in Taguig City where 500 learners of R.P Cruz Elementary School participated in a group toothbrushing. The Global Handwashing Day major onsite events were held at the San Juan City Hall and at the La Mesa Ecopark in Quezon City. The World Toilet Day was celebrated in Parang High School in Marikina City and at the inauguration of family toilets in Sitio Sapang Munti, the Ipo watershed community in Norzagaray, Bulacan.

La Mesa Ecopark

In a collaborative project among the MWSS and the Quezon City Government, Manila Water Foundation was assigned as the steward of a premiere urban green space: the La Mesa Ecopark. The goal of La Mesa Ecopark is to transform the 33-hectare space into a leading environmental hub that promotes environmental conservation, ecological awareness that leads to climate action.

Business, academe and faith-based institutions have conducted various environmental conservation activities such as weeding and tree nurturing activities within the La Mesa Ecopark in 2024. The La Mesa Ecopark has drawn international attention with the Taiwanese Government's donation through the Taiwan Excellence Awards to support biodiversity and environmental sustainability in the park. Last October 2024, the La Mesa Ecopark hosted a visit by the UK Ambassador to the Philippines Laure Beaufils and Ms Catherine West MP, the UK Foreign, Commonwealth, and Development Office Minister for the Indo-Pacific.

La Mesa Ecopark By The Numbers

- Visitors since reopening in 2023: **58,841**
- Total trees planted within the La Mesa Ecopark: **1,940**
- Volunteers engaged: **661**
- Volunteer hours clocked: **2,644**

La Mesa Ecopark

Manila Water Foundation Awards and Recognition

- Manila Water Foundation was honored with a Partner in Empowerment, Advocacy and Commitment to Excellence or PEACE Award by the Metrobank Foundation for synergies in WASH since the year 2020.

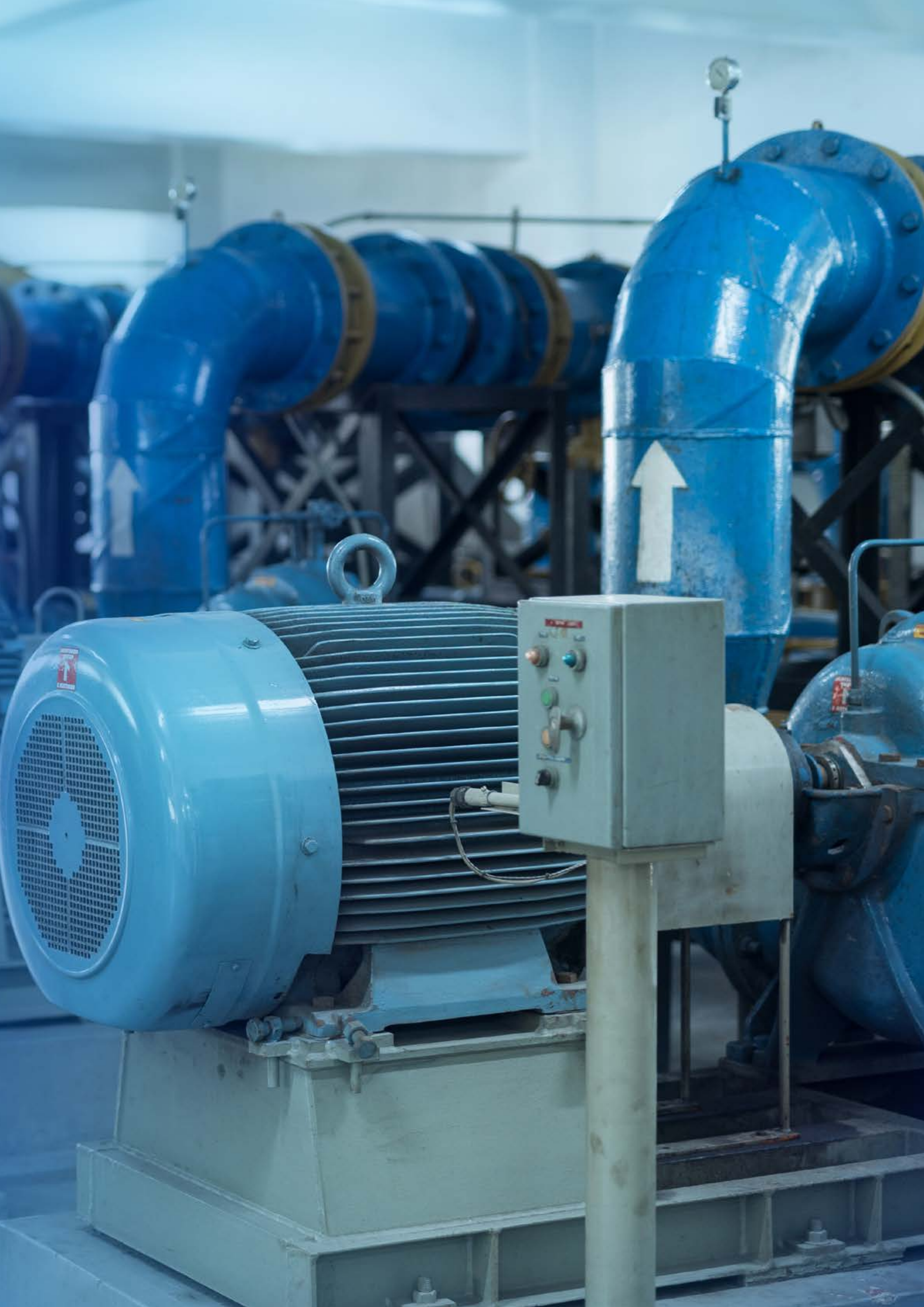
- Manila Water Foundation was given an Award of Merit under the Corporate Social Responsibility category at the 20th Philippine Quill Awards for the #SAFEWASH in Schools, the milestone partnership project between Manila Water Foundation and Procter &Gamble Safeguard.

- #SAFEWASH in Schools enhanced the learners' and teachers' access to hygiene facilities with clean water and soap. Reaching over half a million individuals, there are now 285 multi-faucet hand hygiene facilities in schools in the National Capital Region and in the Province of Rizal.

- Manila Water Foundation's Integrated WASH Program won in two categories of the United Nations (UN) Women's Empowerment Principles Awards last November 2024. Under the Community Engagement and Partnerships category, the MWF program was the Grand Champion in the Philippines and First Runner-up in the Asia Pacific Region. This recognition affirms MWF's efforts in empowering women community leaders in strengthening water access, sanitation and hygiene or WASH.

- Closing 2024, Manila Water Foundation was recognized by the Department of Education for its support to the WASH in Schools (WinS) program. From DepEd Schools Division Offices to the Central Office, MWF's contribution - the provision of hygiene products, hygiene education, and installation of infrastructure to improve water access, sanitation and hygiene on campus has been lauded by DepEd leaders. At the 5th Gawad Kaagapay of the Schools Division Office of Quezon City, the Outstanding Stakeholder Award was given to Manila Water Foundation.

BUSINESS REVIEW



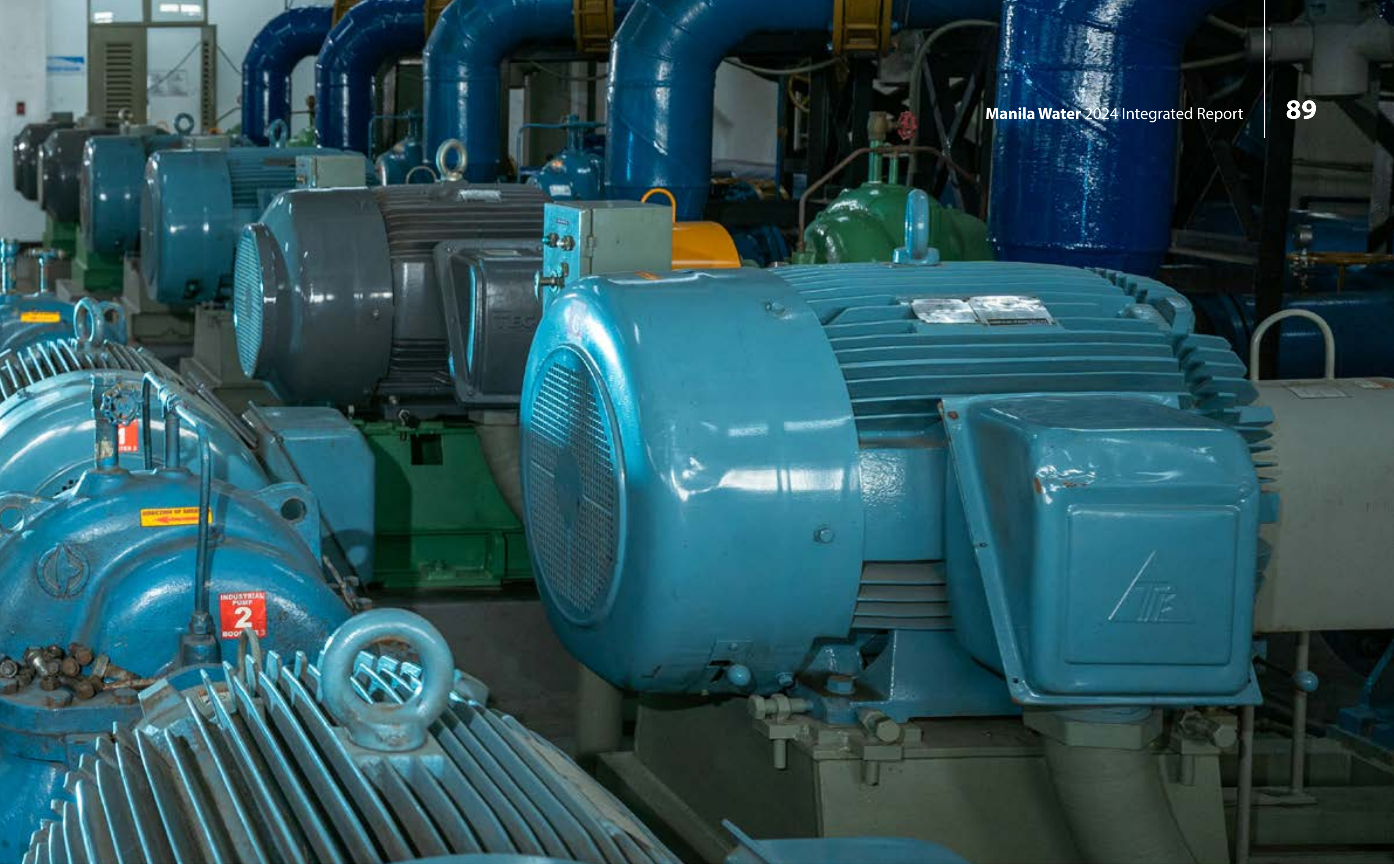
Consolidated Performance

Manila Water posted consolidated revenues of Php36.6 billion for the full year of 2024. Solid topline growth was fueled by the continued recovery of customer demand with the resumption of economic activities as well as implementation of tariff adjustments in both EZ and NEZ key businesses. Core NIAT sustained upward trajectory and grew by 48% to Php14.2 billion on the back of strong revenue performance and effective cost management. NIAT surged by 88% to a record level of Php10.5 billion.

On a consolidated level, revenues increased 19% to nearly Php36.6 billion. This growth was supported by the recovery of the East Zone's residential and commercial accounts, as well as by the 29% increase in revenues from our NEZ PH businesses. Consolidated cost of services and expenses for the period totaled Php11.8 billion, reflecting a 9% increase year-on-year. Key cost drivers included expenditures related to the new facilities, regulatory compliance requirements, market-driven rate adjustments, and costs directly tied to higher revenue and production levels. Costs were further tempered by various efforts to streamline costs and realize operating efficiencies. As a result, consolidated EBITDA rose 26% to Php 25.9 billion, lifting the EBITDA margin by 4 percentage points to 71%. This figure includes our share in the one-time gain from the divestment of Tan Hiep amounting to Php471 million under Saigon Water. Excluding this share in one-time gain, the normalized EBITDA margin stands at 69%.

In our commitment to disciplined portfolio management, we executed strategic divestments and adjustments. The divestment of the Bulacan business units generated a gain of Php894 million booked under Other Income. We recognized full impairment of our investment in East Water (Php3.6 billion) and partial impairment of our Saigon Water investment (Php902 million), to reflect current market conditions and operational outlook.

We remain committed to delivering on our project and service obligation commitments, as evidenced by our group CAPEX accomplishment which reached Php26.3 billion for the year.



Php26.3 B

Capital Expenditure Contribution:
90% East Zone (Php23.6 B)
10% Non-East Zone (Php2.7 B)

Revenues (in billion Php)
2022: 22.8
2023: 30.7
2024: 36.6

Net Income (in billion Php)
2022: 4.9
2023: 5.6
2024: 10.5

EAST ZONE CONCESSION

"Protect and Build the Core"

The East Zone Concession holds the exclusive right to provide water and wastewater services to the eastern side of Metro Manila and certain municipalities of Rizal. The concession area covers 1,400 square kilometers, encompassing 24 cities and municipalities with a population of more than 7 million comprising a broad range of residential, semi-business, commercial and industrial customers.

The year 2024 has been a solid year for the Company, driven by strong topline growth from the continued recovery of customer demand with the continued uptick of economic activities and implementation of tariff adjustments. Revenues at the Parent Company showed robust performance which increased 20% to Php28.8 billion with the implementation of the 2nd tranche of the Rate Rebasing tariff adjustment early 2024, supported by the continued recovery in consumption across all segments, with notable uptake seen in our industrial accounts.

Meanwhile, cost and expenses increased by 14% for the period to Php8.1 billion. This was mainly driven by (1) increase in personnel cost due to merit increases and higher employee benefits (2) higher power costs from additional facilities such as East Bay and Calawis; (3) higher insurance and security costs with the continued addition of facilities; and (4) increase in overhead costs due to higher real property taxes on new facilities and higher business taxes.

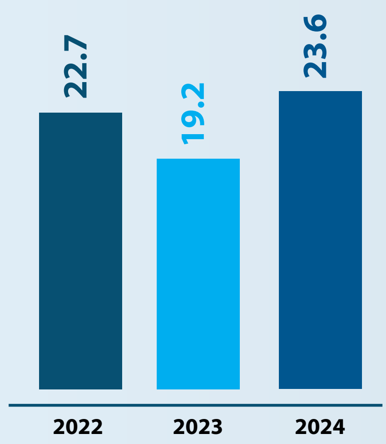
These developments led to a 22% increase in EBITDA to Php20.8 billion from Php17.0 billion in 2023. EBITDA margin improved to 72%. In all, the Parent Company posted a Net Income of Php12.4 billion for the period, up 41% vs. the previous year. Net Income margin stood at 43%, up 6 ppts from the full-year 2023 net Income margin of 37%.

Operating Highlights	2024	2023	% Change
Billed Volume (in mcm)	523.7	516.4	1%
Billed Connections	1,099,991	1,080,146	2%
Average Tariff	Php53.5	Php44.8	19%
Non-revenue water (end of period)	13.8	13.5%	0.3 ppts
Average Consumption (in cu.m per connection)	39.7	39.6	-

Financial Highlights (in million Php)	2024	2023	% Change
Revenues	**28,846**	**24,106**	**20%**
COS and Operating Expenses	**8,138**	**7,165**	**14%**
EBITDA (from continuing operations)	**20,787**	**17,040**	**22%**
EBITDA Margin	72%	71%	1 ppt
Provision for income tax	3,539	2,819	26%
Net Income	**12,408***	**8,809**	**41%**
NIAT margin	43%	37%	6 ppts

**East Zone net income presented above is before impairment provision for MWAP investment. East Zone statutory net income after impairment provision for financial statement purposes is Php9,037 million.*

Capex disbursements, in billion Php



We continued to develop and construct water and wastewater infrastructure for the current and future requirements of our East Zone customers. The capital expenditure level reached nearly Php26.3 billion in 2024.

As the East Zone Concession remains to be the largest business segment of the group, we will continue to protect and strengthen this core as we gear up for growth. Specifically, we will continue to accelerate our CAPEX projects both in the areas of water security and wastewater treatment.

To name a few of these projects:

- The East Bay Project Phase 1 is composed of a 50 MLD water treatment plant with a 25 km transmission pipeline, pumping stations and a 21 km submarine pipeline. Said project will similarly extract water from Laguna Lake as with the now operational 100 MLD Cardona Plant. The East Bay Phase 1 is now physically complete and is ongoing process proving. The larger East Bay Phase 2 with a 200 MLD capacity is at 66% completion.
- The Wawa Calawis Phase 1 project is composed of an 80 MLD water treatment plant and 10 km pipe network with reservoir and booster station. The larger Phase 2 with a 220 MLD capacity is now at 43% completion. These projects will further augment the water supply available to customers and ensure water security in the coming years.
- The Hinulugang Taktak Sewer Treatment Plant will have the capacity to treat 16 million liters of wastewater per day to help rehabilitate the historic Hinulugang Taktak falls, one of the city's popular tourist destinations. It is currently at 74% completion. Another is the Mandaluyong West – San Juan South– Quezon City South Sewerage System Project which is composed of a 60 MLD sewage treatment plant with a 53 km combined sewer network. This project is currently at 63% progress and is targeted for completion in 2025.

NON-EAST ZONE PHILIPPINES

"Expand Footprint"

Our NEZ PH business is the growth platform of Manila Water in the Philippines via acquisitions and partnerships. NEZ PH focuses on developing strong partnerships with local government units, water districts, as well as key players in the property sector with its core domestic operating subsidiaries namely, (1) Boracay Water, (2) Clark Water, (3) Laguna Water, and (4) Estate Water

	FY 2024	FY 2023	% Change
Laguna Water			
Billed Volume (in mcm)	44.8	45.0	(0%)
Billed connections	132,776	128,480	3%
Net Income (in Php Mn)	1,027	904	14%
Estate Water			
Billed Volume (in mcm)	13.0	12.0	8%
Billed connections	17,541	17,321	1%
Net Income (in Php Mn)	278	94	196%
Boracay Water			
Billed Volume (in mcm)	3.5	3.3	6%
Billed connections	5,892	5,355	10%
Net income (Net Loss) (in Php Mn)	109	41	166%
Clark Water			
Billed Volume (in mcm)	13.6	13.5	1%
Billed connections	1,905	1,987	(4%)
Net Income (in Php Mn)	171	42	307%

Financial Highlights (in million Php)	2024	2023	% Change
Revenues	**9,008**	**6,990**	**29%**
COS and Operating Expenses	**4,494**	**3,848**	**17%**
EBITDA (from continuing operations)	**4,548**	**3,138**	**45%**
EBITDA Margin	50%	45%	5 ppts
Provision for income tax	515	373	38%
Net Income	**2,261**	**750**	**201%**
NIAT margin	25%	11%	14 ppts

On a consolidated level, NEZ PH revenues grew by 29% to more than Php9.0 billion. The higher contributions from our Laguna, Clark, Boracay and Estate Water businesses were the main catalysts for the positive performance. This was further supported by robust BV growth of 8%. On the other hand, cost and expenses increased to Php4.5 billion, driven by higher project cost, bulk water cost and personnel cost. The strong topline performance resulted in a 45% improvement in EBITDA to Php4.5 billion. EBITDA margin improved to 50%.

In all, NEZ PH ended the period with a net income of Php2.3 billion, which is more than 3x of the net income the previous year. Consequently, net income margin improved 14 ppts to 25% for the period.

Here is a snapshot of the operating and financial highlights of our core subsidiaries under Manila Water Philippine Ventures:

LAGUNA WATER

Revenues were up by 12% mainly driven by implementation of tariff adjustments. Billed volume of Laguna Water remained steady at 44.8 mcm. Costs and expenses increased due to higher premises costs in relation to new facilities.

NIAT improved to Php1,027 million from higher revenues due to tariff adjustments and lower interest expense.

ESTATE WATER

Billed volume of Estate Water increased by 8% to 13.0 mcm. This was due to higher consumption from its residential and commercial segments from existing developments combined with new connections from greenfield projects.

Estate Water increased its supervision fees as a result of higher construction progress in greenfield projects. It closed the year with a net income of Php278 Million.

BORACAY WATER

Revenues increased by 24% driven by the implementation of tariff adjustments combined with 6% increase in billed volume in 2024. This resulted to an improved performance of Boracay Water with a net income of Php109 Million.

CLARK WATER

Billed volume of Clark Water increased 1% to 13.6 mcm. The steady billed volume coupled with tariff adjustments resulted in 41% revenue growth but slightly offset by higher operating expenses. These resulted in a 307% increase in net income to Php171 million for the year.

NON-EAST ZONE INTERNATIONAL BUSINESSES

“New Geographies”

NEZ International, which is our vehicle for international expansion, started with our Performance-based Leakage Reduction project in Zone 1 of Ho Chi Minh City. We have since expanded our market presence in Vietnam, Thailand, Indonesia, and most recently, in the Kingdom of Saudi Arabia. In the past decade, NEZ International has grown significantly and has underscored its presence in the international water and wastewater industry.

On a consolidated level, NEZ International posted a net loss of Php4.0 billion, largely due to impairment provisions. Specifically, going to our investment in East Water, an additional provision amounting to Php3.6 billion to recognize full impairment of our Thailand investment to reflect current market conditions and outlook. We likewise recognized Php902 million provision for Saigon Water investment. Consistent with our portfolio review process, we continue to assess and rationalize our investments against set financial and performance standards.

Equity share in net income of associates increased by 74% to Php867 million. The increase in equity share in net income of associates was largely driven by the one-time gain in the sale of Tan Hiep, a business unit under Saigon Water. Without the gain, performance would be 21% lower than the previous year because of the higher OPEX of the Vietnam and Thailand investments.

(in millions)	2024	2023	% Change
East Water at 18.72% contribution, before adjustment Impact of fair value amortization	₱10.3 149.4	₱97.2 151.4	(89%) (1%)
East Water at 18.72% contribution, adjusted	(139.1)	(54.2)	157%
Thu Duc Water at 49.00% contribution	304.1	325.2	(6%)
Kenh Dong Water at 47.35% contribution	188.2	217.5	(13%)
Saigon Water at 37.99% contribution	463.7	(39.2)	1283%
PT STU at 20.00% contribution	2.5	1.0	150%
IWP at 20.00% contribution	22.5	27.0	(17%)
IWP2 at 30.00% contribution	24.9	21.3	17%
Total Equity share in net income of associates	**866.8**	**498.6**	**74%**
Provision for impairment	(4,460.8)	(4,063.3)	(10%)
HQ costs	(397.0)	(400.0)	(1%)
Net Loss Attributable to MWC	**(₱3,991.0)**	**(₱3,964.7)**	**1%**

1 VIETNAM

- **THU DUC WATER**
  49% stake in a
  50 year Bulk Water Contract
  300 MLD with Saigon Water Company (SAWACO)
- **CU CHI WATER**
  Concession Agreement for water distribution under Saigon Water
- **KENH DONG WATER**
  47.35% stake in a 20 year contract
  200 MLD with SAWACO, Saigon Water
- **SAIGON WATER**
  37.99% in a holding company
  with multiple investments
  in the water value chain

2 THAILAND

- **EAST WATER**
  18.72% stake in a raw water supply and water distribution business in Chachoengsao, Chonburi and Rayong of Thailand's Easter Economic Corridor

3 INDONESIA

- **PT STU**
  20% stake in a bulk water supply company in Semarang Regency, Central Java Province, Indonesia

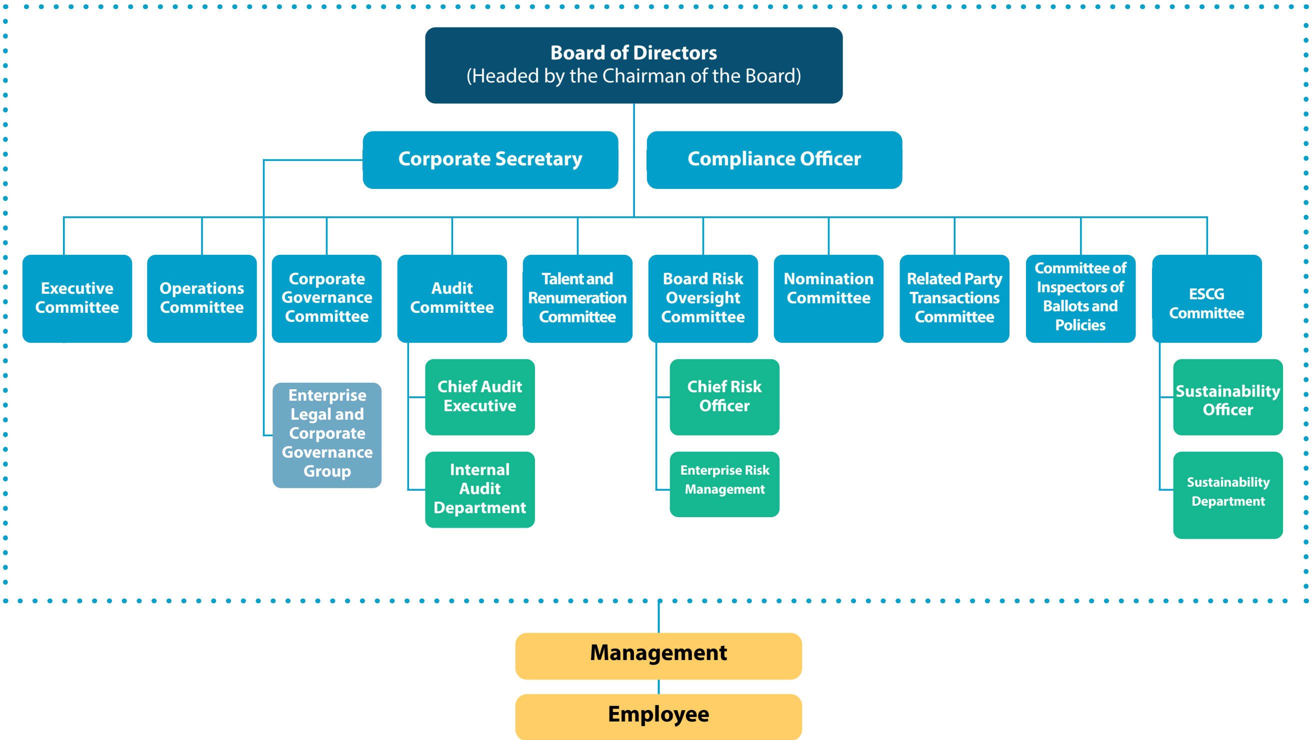
4 KINGDOM OF SAUDI ARABIA (KSA)

- **NORTHWEST CLUSTER KSA O&M**
  30% stake in a 1,000MLD MOM Contract in the NorthWest Cluster (Tabuk, Madinah) of KSA
- **EASTERN CLUSTER KSA O&M**
  20% stake in a 1,800 MLD
  MOM Contract in the Eastern Cluster
  (Dammam) of KSA

CORPORATE GOVERNANCE

Overall Governance Structure

Manila Water is dedicated to observing the highest standards of corporate governance to serve the best interests of the investing public. The Board, the Management and the employees of the Company are one in the conviction that sound and effective governance is fundamental to the Company's continued success and stability and will enable it to create and sustain increased value for its shareholders. Maintaining this strong foundation of good governance becomes more essential as Manila Water grows, both in its existing space and in the new markets it enters.



Compliance with Leading Practices On Corporate Governance

Board of Directors

The Company prides itself with its Board of Directors (the "Board"), composed of highly competent individuals with a collective working knowledge, experience or expertise that is relevant to the Company's industry or sector. The Board provides a clear vision towards the formulation of sound corporate strategies, and oversees the systemization, improvement and upholding of transparency in governance. The Board provides guidance in achieving fairness and accountability in all major dealings of the Company, with the objective of protecting the interests of its stakeholders. In this connection, the Board fulfills certain key functions, including: reviewing and guiding corporate strategy, major plans of action, risk policy, annual budgets and business plans, setting performance objectives, monitoring implementation and corporate performance, and overseeing and approving major capital expenditures, acquisitions and divestitures, monitoring the effectiveness of our governance practices and making changes as needed, selecting, compensating, monitoring and, when necessary, replacing key executives and overseeing succession planning, aligning key executive and board remuneration with the longer term interests of the Company and its stakeholders, ensuring a formal and transparent board nomination and election process, and monitoring and managing potential conflicts of interest of management, board members, stockholders and stakeholders, including misuse of corporate assets and abuse in related party transactions.

Board Composition

The Board has eleven (11) members who are elected by the stockholders during the annual stockholders' meeting ("ASM"). The Board should have at least three (3) independent directors, or such number as to constitute at least one-third of the member of the Board, whichever is higher. All nominations to the Board are undertaken in accordance with the Manual of Corporate Governance (the "Manual"), By-laws, the Charter of the Board, and the existing rules and regulations. Upon receipt of all nominations, the Nomination Committee convenes to evaluate the qualifications of nominees for election to

[1]*Ms. Sherisa P. Nuesa, Mr. Cesar A. Buenaventura, Mr. Octavio Victor R. Espiritu, and Mr. Eric Ramon O. Recto are the incumbent independent directors of the Company.*

the Board. In evaluating the nominations, the Nomination Committee adheres to the criteria for selection and the qualifications and disqualifications of directors set forth in the Manual, the Charter of the Board, the Charter of the Board Committees, the Securities Regulations Code (SRC), and those under existing laws, rules, and regulations. After deliberation, the Nomination Committee and the Board issue a resolution endorsing the election of the qualified nominees at the Annual Stockholders' Meeting (ASM). The members of the Board so elected at the ASM hold office for one (1) year, and until their successors have been elected and qualified in accordance with the By-laws. The elected members of the Board are mandated to oversee the management of the Company, and, in the performance of their duties, must exercise their best and unbiased judgment to protect and promote the interest of the Company and its stakeholders. The inputs and opinions of each Director are valued; it is ensured that a Director shall not be discriminated upon by reason of gender, age, ethnicity, political, religious, or cultural beliefs. Towards this end, the Board has adopted a policy of diversity in gender, age, and ethnicity, as well as religious, political, or cultural background. Through this policy, the Board encourages the stockholders to nominate and select individuals who will promote diversity in the membership of the Board.

Independent Directors

In compliance with the requirements of the law, the Company's Manual, and the rules and regulations of the SEC, the Company has four (4) independent directors as members of the Board. Under the Manual, a director is considered independent if he or she holds no interests or relationships with the Company that may hinder his or her independence from the Company or its Management which would interfere with the exercise of independent judgment in fulfilling the responsibilities of a director. The Company also subscribes to the requirements of independence under existing laws, rules, and regulations. As required in our legislative franchise under Republic Act No. 11601, an Independent Director shall have at least three (3) years of management or supervisory experience in the professional fields of water security, water science policy and management, environmental science, or any similar field. Furthermore, we ensure that our independent directors have all the qualifications and none of the disqualifications specified in SEC Memorandum Circular No. 16 Series of 2002.

Board Committees

The Board is supported by several committees, namely: Executive Committee, Audit Committee, Corporate Governance Committee, Board Risk Oversight Committee, ESG Committee, Related Party Transactions Committee, Nomination Committee, and the Talent and Remuneration Committee. These Board Committees are required to report to the Board a summary of the actions taken on matters submitted to them for consideration at subsequent meetings of the Board. Each of the Board Committees has its own charter that provides guidance on the manner by which its members and the committees should exercise their functions and mandates.

The Executive Committee

The Executive Committee of the Company is composed of five (5) directors, with one (1) member as Chairman of the Executive Committee. The Executive Committee acts by majority vote of all its members and is authorized to act and shall act on matters within the competence of the Board, except those with respect to:

a. the approval of any action for which stockholders' approval is also required;
b. the filling of vacancies in the Board;
c. the amendment or repeal of the By-laws or the adoption of new By-laws;
d. the amendment or repeal of any resolution of the Board, which by its express terms is not so amendable or repealable;
e. the distribution of cash dividends to stockholders;
f. the exercise of powers delegated by the Board exclusively to other committees, if any.

The Executive Committee meets as needed and performs such other functions as may be properly delegated to it by the Board. The Executive Committee did not hold a meeting in 2024.

The Audit Committee

majority of whom are independent directors, and is chaired by an independent director.[2]

The Audit Committee is expected to support the corporate governance process through the provision of checks and balances, which are expected to bring positive results in supervising and supporting the management of the Company. It is responsible for ensuring the development of, compliance with, and periodic review of financial reporting policies and practices of the Company. The Audit Committee also oversees the activities of Internal Audit. Moreover, the Audit Committee also recommends and/or concurs to the appointment, replacement, re-assignment and removal or dismissal of the Chief Audit Executive to ensure that the external and internal auditors will function and operate independently of the management as required of their function.

[2]In accordance with Part C of the Charter of the Audit Committee, the Committee shall be composed of at least three (3) non-executive directors as members, majority of whom shall be independent directors, and shall be chaired by an independent director.

Corporate Governance

Executive Committee	Audit Committee	Board Risk Oversight Committee	Environment, Social, and Governance Committee	Corporate Governance Committee	Related Party Transactions Committee	Nomination Committee	Talent and Remuneration Committee
Enrique K. Razon, Jr. (Chairperson)							
Jose Victor Emmanuel A. De Dios (Member)			Jose Victor Emmanuel A. De Dios (Chairperson)				Jose Victor Emmanuel A. De Dios (Member)
Donato C. Almeda (Member)		Donato C. Almeda (Member)				Donato C. Almeda (Member)	
Sandy A. Alipio (Member)	Sandy A. Alipio (Member)				Sandy A. Alipio (Member)		
	Sherisa P. Nuesa (Chairperson)	Sherisa P. Nuesa (Member)	Sherisa P. Nuesa (Member)	Sherisa P. Nuesa (Member)		Sherisa P. Nuesa (Member)	
	Cesar A. Buenaventura (Member)	Cesar A. Buenaventura (Chairperson)	Cesar A. Buenaventura (Member)	Cesar A. Buenaventura (Member)	Cesar A. Buenaventura (Member)	Cesar A. Buenaventura (Member)	
	Octavio Victor R. Espiritu (Member)		Octavio Victor R. Espiritu (Member)	Octavio Victor R. Espiritu (Chairperson)	Octavio Victor R. Espiritu (Member)	Octavio Victor R. Espiritu (Chairperson)	Octavio Victor R. Espiritu (Chairperson)
		Eric Ramon O. Recto (Member)	Eric Ramon O. Recto (Member)	Eric Ramon O. Recto (Member)	Eric Ramon O. Recto (Chairperson)		Eric Ramon O. Recto (Member)

All members of the Audit Committee are required to possess adequate understanding of accounting and auditing principles in general and of the Company's financial management systems and environment, in particular. Ms. Sherisa P. Nuesa, the Lead Independent Director and Chairperson of the Audit Committee, is a Certified Public Accountant. The Audit Committee meets at least every quarter and before the quarterly Board meetings and when needed.

On June 3, 2021, the Charter of the Audit Committee was amended to reduce the minimum number of non-executive directors who may be elected as members of the Committee. On November 9, 2021, the Audit Committee approved and the revision to their charter to include the Audit Committee's responsibility in assessing the independence, adequacy of resources, professional qualifications, and competence of the external auditor and ensuring that the rotation or change of external auditors and key engagement partners is in accordance with the requirements prescribed by applicable laws and regulations and that the required disclosure will be made in case of resignation, dismissal, or cessation from service of the external auditor. Moreover, the rules and procedures governing the Audit Committee in the conduct of its meetings and the Audit Committee remuneration is also included in this revision. These changes were ratified by the Board of Directors on November 18, 2021.

The Committee held four (4) regular meetings and one (1) special meeting in 2024.

Audit Committee	Meetings Attended/ Held
Sherisa P. Nuesa	5/5
Octavio Victor R. Espiritu	5/5
Cesar A. Buenaventura	5/5
Sandy A. Alipio[5]	5/5

The Corporate Governance Committee

The Corporate Governance (CG) Committee is composed of four (4) independent directors including the Chairman[3]. The CG Committee is tasked with ensuring compliance with and proper observance of corporate governance principles and practices duties and functions include, among others functions as may be delegated by the Board from time to time:

a. Oversees the implementation of the corporate governance framework and periodically reviews the said framework to ensure that it remains appropriate in light of material changes to the Company's size, complexity, and business strategy, as well as its business and regulatory environments;
b. Oversees the periodic performance evaluation of the Board and its committees as well as executive management, and conducts an annual self-evaluation of its performance;
c. Ensures that the results of the Board evaluation are shared, discussed, and that concrete action plans are developed and implemented to address the identified areas for improvement;
d. Develops and recommends continuing education and training programs for directors, and assignment of tasks/projects to Board committees;

On June 3, 2021, the Board of Directors approved the proposal to amend the required number of directors from three (3) to as least three (3) members, all of whom shall be independent directors.

The Chief Compliance Officer, in coordination with the Corporate Secretary, shall support the Committee in the performance of its functions. The Corporate Governance Committee held one (1) meeting in 2024.

Corporate Governance Committee	Meetings Attended/Held
Octavio Victor R. Espiritu	1/1
Cesar A. Buenaventura	1/1
Eric Ramon O. Recto	1/1
Sherisa P. Nuesa	1/1

The Board Risk Oversight Committee

The Board Risk Oversight Committee (BROC) is composed of four (4) members, majority of whom are independent directors, and is chaired by an independent director[4]. In accordance with the BROC charter, Mr. Buenaventura, who chairs the Committee, does not sit as the chairman of the Board or of any other committee. The Board Risk Oversight Committee was established separately from the Audit Committee in order to further enhance governance on risk matters and align with the best practices in risk management and supported by the Enterprise Risk Management Department in the performance of its functions.

This committee is tasked to provide assistance in fulfilling the Board's oversight responsibilities in relation to risk governance in Manila Water, which includes ensuring that the Management maintains a sound and responsive risk management system across the organization; promote an open discussion regarding risks faced by the Company, as well as risks faced by its subsidiaries that may have potential impact on the Company's operations, and ensure that risk awareness culture is pervasive throughout the organization.

On February 11, 2021, the Charter of the Board Risk Oversight Committee was amended to add additional roles and responsibilities and further define its governance and oversight function. The amendment was ratified by the Board of Directors during their meeting on February 24, 2021.

On June 3, 2021, the Board of Directors approved the proposal to amend the required number of members of the Committee from four (4) to at least three (3), majority of whom shall be independent directors of the Company.

The Board Risk Oversight Committee held four (4) meetings in 2024. From the year 2020, the BROC meets every quarter as compared to the semi-annual frequency in previous years.

[3] Section 1.1 of the Charter of the Corporate Governance Committee states that the Committee shall be composed of at least three (3) members, all of whom shall be independent directors, including the Chairman.

Board Risk Oversight Committee	Meetings Attended/ Held
Cesar A. Buenaventurea	4/4
Sherisa P. Nuesa	4/4
Eric Ramon O. Recto	4/4
Donato C. Almeda	4/4

The Related Party Transactions Committee

The Related Party Transactions Committee (RPT) Committee is composed of four (4) non-executive directors[5], majority of whom are independent directors . In accordance with the RPT Committee Charter, Mr. Recto, who is an independent director, is the Chairman of the Committee.

This committee is primarily tasked with the duty of enforcing and implementing the Related Party Transactions Policy of the Company. The Committee also ensures that material RPT shall have terms and conditions that are fair and equitable to the Company; the approval, award, processing and payment of RPT shall follow the same procedures as the other transactions and contracts of the Company, and therefore, no unusual privilege or special treatment shall be afforded a Related Party; and in case of doubt on the nature of a transaction subject of investigation or review pursuant to the RPT Policy, the Office of the Compliance Officer, in consultation with the RPT Committee, shall determine whether the transaction or relationship constitutes a RPT, and whether the same shall be pursued taking into consideration the cost and benefit to the Company.

On October 28, 2019, the Related Party Transactions Committee approved the amendments to the Company's Policy on Related Party Transactions in order to comply with the provisions of the Rules on Material Party Transactions for Publicly Listed Companies of the SEC. The amendments to the Company's Policy were ratified by the Board of Directors during its Regular Meeting on November 26, 2019.

On June 3, 2021, the Charter of the RPT Committee was amended to reduce the minimum number of committee members from four (4) to at least three (3), and at least two (2) members shall be independent directors of the Company.

The RPT Committee held three (3) meetings in 2024.

Related Party Transactions Committee	Meetings Attended/Held
Eric Ramon O. Recto	3/3
Octavio Victor R. Espiritu	3/3
Cesar A. Buenaventura	3/3
Sandy A. Alipio	3/3

The Nomination Committee

The Nomination Committee is composed of at least three (3) directors, majority of whom are independent directors, and under its Charter is required to be chaired by an independent director[6].

This committee is tasked to install and maintain an evaluation process to ensure that all directors to be nominated to the Board during the annual stockholders' meeting have all the qualifications and none of the disqualifications stated in the Manual, the Charter of the Board and the Committees, and under existing laws and regulations undertakes the process of identifying the quality of directors consistent with the Company's strategic directions, and to ensure that the directors have the competence and professional background that will enable them to perform their duties as directors of Manila Water.

The Nomination Committee is also responsible for evaluating the qualifications of all officers nominated to positions in the Company which are appointed, or required to be appointed, by the Board and provides guidance and advice as necessary for the appointment of persons nominated to other positions. It also reviews and revises, if necessary, the succession plans for members of the Board and officers with ranks from Group Directors to the President and CEO.

The Nomination Committee met four (4) times in 2024.

Nomination Committee	Meetings Attended/ Held
Octavio Victor R. Espiritu	4/4
Sherisa P. Nuesa	4/4
Cesar A. Buenaventura	4/4
Donato C. Almeda	4/4

The Talent and Remuneration Committee

The Talent and Remuneration Committee is composed of four (4) members, and in accordance with its Charter, is chaired by an independent director[7].

As of December 31, 2023, two (2) of the Company's independent directors serve as members of the Committee.

The Committee is tasked with the duty to determine and approve all matters and policies relating to the remuneration and benefits of the Company's directors and key officers; to establish a formal and transparent procedure for developing a policy on remuneration of directors and officers to ensure that their compensation is consistent with the Company's culture, strategy and the business environment in which it operates; to determine and approve all matters relating to the

[4]Section 1.1 of the Charter of the Related Party Transactions Committee states that the Committee shall be composed of at least three (3) non-executive directors as members, two (2) of whom shall be independent.
[5]Section 1.1 of the Charter of the Related Party Transactions Committee states that the Committee shall be composed of at least three (3) non-executive directors as members, two (2) of whom shall be independent.

remuneration and benefits of the Board and the Company's officers; to evaluate and recommend for Board approval the pertinent guidelines on executive compensation, including non-monetary remuneration; and to periodically review and evaluate the policy on remuneration in order that it be in a sufficient level to attract and retain directors and officers of the Company.

On November 14, 2019, the Talent and Remuneration Committee approved the addition of the following in its scope of powers, duties, and responsibilities: a) total rewards, merit increases, salary, and retirement and benefits plan, b) senior management and executive promotions, c) overall succession landscape, d) tracking of key talents, e) talent management and risk updates. The amendments were ratified by the Board of Directors during its regular meeting held on November 26, 2019.

On June 3, 2021, the Talent and Remuneration Committee Charter was amended, removing the requirement that majority of the members of the Committee are independent directors.

The Talent and Remuneration Committee held one (1) meeting in 2024.

The Environment, Social, and Governance Committee
The Board of Directors established the ESG Committee on February 24, 2022 to accord focus on the integration of economic, environmental, social and governance (EESG) principles in the formulation and implementation of the Company's plans and strategies. The Committee is supported by the Sustainability Officer and is composed of five (5) members of the Board, with all independent directors of the Company serving as members. The President and Chief Executive Officer of the Company serves as the Chairman of the Committee.

The ESG Committee held three (3) meetings in 2024.

ESCG Committee	Meetings Attended/Held
Jose Victor Emmanuel A. de Dios	3/3
Sherisa P. Nuesa	3/3
Cesar A. Buenaventurea	3/3
Octavio Victor R. Espiritu	3/3
Eric Ramon O. Recto	3/3

Talent and Remuneration Committee	Meetings Attended/ Held
Octavio Victor R. Espiritu	1/1
Eric Ramon O. Recto	1/1
Antonio T. Aquino	1/1
Jose Victor Emmanuel A. de Dios	1/1

The Committee of Inspectors of Ballots and Proxies
Membership consists of the Chief Audit Executive as Chairperson, the Assistant Corporate Secretary, and a representative of the external auditor of the Company as members.

This committee is mandated to validate proxies issued by the stockholders and to determine if the same are in accordance with existing laws, rules, and regulations prior to the annual stockholders' meeting. This committee also serves as the default inspector of ballots and tabulator of votes during the annual stockholders' meeting, and as such, is required to coordinate closely with the Office of the Corporate Secretary and the independent validator of votes (if appointment is so needed) appointed for the purpose.

The Committee held one (1) meeting in 2024.

Committee of Inspectors of Ballots and Proxies	Meetings Attended/ Held
Mailene M. Cabral	1/1
Romelyn A. Obligacion (representing Atty. Ninez C. Maningat)	1/1

Corporate Orientation and Corporate Governance Trainings for Directors
The members of the Board are required to regularly attend seminars and conferences to continuously update themselves on the developments in policy, regulations, and standards on good corporate governance. Under the Company's Manual, the members of the Board are also provided with such resources, trainings, and continuing education to enable each member to actively, independently, and judiciously participate in Board and Committee meetings.

[6] *Section 1.1 of the Charter of the Nomination Committee states that the Committee shall be composed of at least three (3) members, majority of whom shall be independent directors.*
[7] *Section 1.1 of the Charter of the Talent and Remuneration Committee states that the Committee shall be composed of at least three (3) members.*

Newly elected members of the Board undergo orientation programs for them to have a working knowledge of the statutory and regulatory requirements affecting the Company. They are also required to keep abreast with industry developments and business trends in order that they may promote the Company's competitiveness and sustainability. Attendance in a corporate governance seminar conducted by a duly recognized private or governmental institution is also a mandatory requirement prior to their assumption of office and during their term of office.

The Company also provides general access to training courses to its directors as a matter of continuous professional education as well as to enhance their skills as directors and keep them updated in their knowledge and understanding of the Company's business. The Board and Board Committees are also allowed to hire independent legal counsel, accountants, or other consultants to advise them when necessary.

At every board meeting, directors are provided with a management update on the operational and financial status of, and other relevant matters, about the Company to ensure that the directors are continuously informed of new developments and the performance of the Company.

Upon assumption of office, a director appointed for the first time undergoes a corporate orientation program conducted by the Office of the Corporate Secretary. The corporate orientation program includes modules on the operations of the Company, as well as relevant contracts of the Company. The orientation also covers existing policies, rules, and regulations of the Company. The curriculum of the orientation program may be revised as often as necessary to include other relevant subjects and matters relating to the Company. In addition to the corporate orientation program for new directors, the Office of the Corporate Secretary informs the Board of any updates on the matters covered by the orientation program. The corporate orientation program and updates are usually given during the regular meetings of the Board.

These programs notwithstanding, Manila Water encourages its directors to attend external trainings, courses or continuing professional education programs on corporate governance. The Directors are required to inform the Office of the Corporate Secretary of the trainings or courses attended for record and disclosure purposes.

Corporate Governance Programs Attended by the Board of Directors in 2024

Name of Director	Date of Training	Title of Training	Training Provider
Enrique K. Razon, Jr.	15-Nov-24	Advanced Corporate Governance Training	Institute of Corporate Directors
Jose Victor Emmanuel A. de Dios	15-Nov-24	Advanced Corporate Governance Training	Institute of Corporate Directors
Donato C. Almeda	15-Nov-24	Advanced Corporate Governance Training	Institute of Corporate Directors
Sandy A. Alipio	15-Nov-24	Advanced Corporate Governance Training	Institute of Corporate Directors
Katrina Maria S. Razon	15-Nov-24	Advanced Corporate Governance Training	Institute of Corporate Directors
Sherisa P. Nuesa	19-Sep-24	Global Governance Summit "Leading the Future, Strengthening Unity	Institute of Corporate Directors
	5-Nov-24	2024 Ayala Integrated Corporate Governance, Risk Management, and Sustainability Summit	Institute of Corporate Directors
Cesar A. Buenaventura	15-Nov-24	2024 Ayala Integrated Corporate Governance, Risk Management, and Sustainability Summit	Institute of Corporate Directors
Octavio Victor R. Espiritu	15-Nov-24	Advanced Corporate Governance Training	Institute of Corporate Directors
Eric Ramon O. Recto	15-Nov-24	Advanced Corporate Governance Training	Institute of Corporate Directors
	26-Nov-24	2024 In-House Corporate Governance Seminars (i) AI Optimist; (ii) Conscious Business; (iii) The Hundred-Year Marathon; China's Secret Strategy to Replace America as the Global Superpower; (iv) Cyber Crisis-Protecting Your Business from Real Threats in the Virtual Word; and (v) Scary Smart: The Future of Artificial Intelligene	Aboitiz

Board Meetings

Under the Charter of the Board, the Board institutionalized a policy of holding at least six (6) meetings in a year. These include the organizational meeting of the Board which is held immediately after the annual stockholders' meeting. Under the By-laws, special meetings may be called by the Chairman, Vice Chairman, President or at the instance of a majority of the members of the Board.

The Board has a policy of requiring the presence of at least one (1) independent director in all its meetings.

Quorum in Board Meetings
Under the By-Laws of the Company, at least two-thirds (2/3) of the members of Board (as fixed in the Articles of Incorporation) shall constitute a quorum for the transaction of corporate business, and every decision of at least a majority of the directors present at a meeting at which there is a quorum shall be valid as a corporate act, except when a higher quorum is required in contracts binding on the Company.

In the absence of a quorum, a majority of the directors present may adjourn any meeting from time to time until a quorum is obtained.

Attendance of Directors in Board Meetings
In 2024, a total of 11 meetings were held by the Board as follows:

No.	Date	Meeting
1	February 29, 2024	Special Asynchronous Meeting of the Board of Directors
2	April 5, 2024	Special Asynchronous Meeting of the Board of Directors
3	April 25, 2024	Organizational Meeting of the Board of Directors
4	May 10, 2024	Special Asynchronous Meeting of the Board of Directors
5	May 13, 2024	Special Asynchronous Meeting of the Board of Directors
6	May 16, 2024	Special Asynchronous Meeting of the Board of Directors
7	June 28, 2024	Special Asynchronous Meeting of the Board of Directors
8	July 30, 2024	Special Asynchronous Meeting of the Board of Directors
9	August 8, 2024	Regular Meeting of the Board of Directors
10	November 14, 2024	Regular Meeting of the Board of Directors
11	December 13, 2024	Special Asynchronous Meeting of the Board of Directors

The Non-Executive Directors' (NED) Meeting was held on November 14, 2024.

Mr. Enrique K. Razon, Jr., Mr. Jose Victor Emmanuel A. de Dios, the Company's President and Chief Executive Director, Mr. Donato C. Almeda, the Company's Chief Regulatory Officer, and Mr. Sandy Alipio were not a party to the meeting of the Non-Executive Directors.

The attendance of each member of the Board of Directors is listed below:

Name of Director	Board Meetings Attended	Percentage Present
Enrique K. Razon, Jr.	11/11	100%
Jose Victor Emmanuel A. de Dios	11/11	100%
Donato C. Almeda	11/11	100%
Antonio T. Aquino (Term ended on April 25, 2024)	2/2	100%
Alberto T. Larrazabal (Resigned as of May 17, 2024)	6/6	100%
Sandy A. Alipio [14]	8/8	100%
Katrina Maria S. Razon [15]	11/11	100%
Sherisa P. Nuesa	11/11	100%
Cesar A. Buenaventura	11/11	100%
Octavio Victor R. Espiritu	11/11	100%
Eric Ramon O. Recto	11/11	100%

During the 2024 Annual Stockholders' Meeting (ASM) held on April 25, 2024, and conducted virtually via *https://conveneagm.com/ph/MWCI2024ASM*, the Chairman of the Board of Directors, President and CEO of the Company, and the Chairman of the Audit Committee along with the other directors and executive officers of the Company, were in attendance. Their attendance was duly recorded in the minutes of the said meeting. The minutes of the ASM may be viewed on our website.

Board Remuneration

The Board determines a level of remuneration for directors that shall be sufficient to attract and retain directors and compensate them for attendance at meetings of the Board and Board Committees and their performance of numerous responsibilities of a Board member. The Talent and Remuneration Committee is responsible for recommending to the Board the fees and other compensation for directors. In fulfilling this duty, the Talent and Remuneration Committee is guided by the objective of ensuring that the proposed fees should fairly compensate the directors for the work required consistent with the Company's size and industry.

In a special meeting held on April 11, 2011, the Board approved an increase in the Board remuneration. The approved remuneration for each member of the Board consists of Php500,000.00 as a fixed annual retainer fee, Php200,000.00 for each meeting of the Board actually attended, and Php50,000.00 for each Committee meeting actually attended. This Board remuneration structure was approved by the stockholders in its ASM held on April 11, 2011. In the same annual meeting, the stockholders approved the amendment of the By-laws, giving the Board of Directors the authority to determine the amount, form, and structure of the fees and other compensation of the directors.

On November 18, 2021, the Board resolved that Executive Directors shall not receive per diem remuneration for their participation and attendance in the meetings of the Board and Board Committees. On February 24, 2022, the Board approved to discontinue the payment of per diems of directors for their attendance and participation in special meetings of the Board and Board Committees conducted asynchronously.

None of the non-executive and independent directors who are paid fees as set forth above is engaged and compensated by the Company for services other than those provided as a director.

The Company has no other arrangement as regards the remuneration of its existing non-executive and independent directors aside from the compensation received as herein stated.

The directors of the Board received the following gross per diem remuneration for attending the meetings of the Board of Directors, the meeting of the Non-Executive Directors, the annual stockholders' meeting, and their respective Committee Meetings in 2024:

Name	2024 Retainer Fee	Attendance in the Meetings of The Board and Stockholders#	Attendance in the Meetings of the Board Committees	TOTAL
Enrique K. Razon, Jr.	₱375,000	₱1,000,000	₱0.00	₱1,375,000
Jose Victor Emmanuel A. de Dios*	-	-	-	-
Donato C. Almeda*	-	-	-	-
Antonio T. Aquino (until April 25, 2024)	-	₱200,000	₱50,000	₱250,000
Alberto M. De Larrazabal (until May 17, 2024)	₱125,000	₱600,000	-	₱725,000
Karl Kendrick T. Chua (until May 17, 2024)	₱125,000	₱400,000		₱525,000
Sandy A. Alipio*	-	-	-	-
Katrina Maria S. Razon	₱375,000	₱1,200,000	-	₱1,575,000
Sherisa P. Nuesa**	₱375,000	₱1,200,000	₱550,000	₱2,125,000
Cesar A. Buenaventura**	₱375,000	₱1,200,000	₱550,000	₱2,125,000
Octavio Victor R. Espiritu**	₱375,000	₱1,200,000	₱500,000	₱2,075,000
Eric Ramon O. Recto**	₱375,000	₱1,200,000	₱400,000	₱1,975,000
TOTAL	**₱2,500,000**	**₱8,200,000**	**₱2,050,000**	**₱12,750,000**

#Inclusive of the remuneration for the NED Meeting
**As executive directors, Messrs. de Dios, Almeda, and Alipio do not receive remuneration for attending Board and Board Committee Meetings.*
***Independent Director*

Annual Board Evaluation

The Board has an annual evaluation process that is required to be accomplished by the directors, which enables an informed and objective assessment of the following:

1. Board and Board Committee processes and meetings;
2. Compliance with the responsibilities and functions of the Board and Board Committees;
3. Board-Management relationship;
4. Board Member self-evaluation; and
5. Evaluation of the performance of the President and CEO and Senior Management

This evaluation enables the Board and the Management to determine areas that need improvement on the very scope and criteria of the evaluation process. It also allows the Board to explain their respective ratings and to provide their own comments on the matters discussed in the evaluation. The scope and criteria for the Board Evaluation Process is contained in the Charter of the Board of Directors. The Charter of the Board is available for download at the Company's website.

In addition to the annual Board evaluation process, the Audit Committee adopted SEC Memorandum Circular No. 4 Series of 2012 on the Guidelines for the Assessment of the Performance of Audit Committees of Companies Listed on the Philippine Stock Exchange which took effect on June 30, 2012. Pursuant to this, an annual evaluation is also being conducted to assess the performance of the Audit Committee.

These annual evaluation processes are facilitated by the Office of the Corporate Secretary in coordination with the Corporate Governance Committee. The Company also engages a third-party evaluator to assess the performance of the Board, the Company's Chairman, and individual directors every three years or as needed.

To determine and measure the effectiveness of the Board of Directors, the Company is guided by its Manual on Corporate Governance which is available on the Company website: https://www.manilawater.com/corporate-governance/corporate-governance-manual

The Board has conducted an annual self-assessment of its performance, including the performance of its individual members for the year 2024. It has also established an internal self-rating and evaluation system.

For the rating system, rates follow a scale of 1 to 5, 1 being the lowest and 5 being the highest. Questionnaires were provided to each of the Directors wherein they check for each item the rating that corresponds to their personal assessment. An additional portion for comments and/or suggestions is also allotted at the end of the Questionnaire.

Office of the Corporate Secretary

The Corporate Secretary ensures that the Board and the Management follow internal and external rules and regulations and facilitates clear communications between the Board and Management. More importantly, the Company recognizes the mandate of the Office in championing the compliance of the Board and the Company with good corporate governance practices and policies. For this purpose, the Office of the Corporate Secretary, under its Charter, is mandated to coordinate with the Office of the Compliance Officer regarding the formulation and implementation of the corporate governance practices of the Company, especially those relevant to and affecting the Board.

The Management

The Management is primarily responsible in deciding and implementing the day-to-day affairs of the Company.

Management determines the Company's activities by putting the Company's targets in concrete terms and by formulating the basic strategies for achieving these targets.

Management is primarily accountable to the Board for the operations of the Company. As part of its accountability, the Management is required to provide the Board with adequate, regular, and timely information on the operations and affairs of the Company.

Reliance on information volunteered by management may not be sufficient in all circumstances and further inquiries may have to be made by a member of the Board of Directors to enable him to properly perform his duties and responsibilities. Hence, the Board should be given independent access to the management, the Chief Compliance Officer, the Risk Officer, the Internal Audit, External Auditor, and the Corporate Secretary.

Succession Planning
The Board, with the assistance of the Remuneration Committee, the Nomination Committee, and the Company's Corporate Human Resources Group, has adopted a professional development program for employees, officers, and senior management. The succession management process has been an established practice since the early years of Manila Water and over time has been embedded in leadership responsibilities across the organization. It has been a critical enabler of Company operations, having enabled succession in key leadership positions and mid management roles across the organization.

Through its robust succession management, the Company has put in place a process to determine the competencies, potential for growth, knowledge, and experience necessary for particular roles and positions. This enables the Company to identify key talents for purposes of succession in both leadership and technical roles. The development of a leadership and technical talent pool is crucial to the success of Manila Water in the future. Hence, it is one of the top strategic priorities of the Company.
The succession of both leadership and technical talent pool are given equal emphasis to ensure that we build the right talents to sustain our operations and support our growth. Talents identified to be part of the succession pool undergo the following:

1. Creation of an Individual Development Plan (IDP) that outlines possible developmental areas and stretch assignments. Documentations as well as implementation of the IDP is the responsibility of the successor's line manager. Monitoring execution is done through the Corporate Human Resources Group.
2. Coaching and mentoring sessions.

The Chief Regulatory Officer
The Chief Regulatory Officer (CRO) shall be appointed by the Board. He has general supervision over the regulatory compliance by the Company and its regulated business. The CRO shall maintain regular communication lines with regulators, government agencies and public officers with jurisdiction over the Company and its businesses and assets. The activities and regulatory filings and reports of units with regulatory compliance functions shall be coordinated with him.The CRO shall have such other responsibilities as the Board may impose upon him.

The Chief Administrative Officer
The Chief Administrative Officer (CAO) shall be appointed by the Board. He is accountable for the administrative operations of the Company. This includes, but is not limited to, leading the development of an administrative and operational strategy while supporting the financial strategic intent for the Company, metrics tied to that strategy, and the on-going development and monitoring of performance and control systems designed to preserve the Company's assets and report accurate results.
The CAO shall have such other responsibilities as the Board may impose upon him.

The Chief Operating Officer/s
The Chief Operating Officer/s (COO) shall be appointed by the Board. The Board may appoint two (2) or more COOs as the operational model of the Company requires. He is tasked with overseeing the day-today operational functions of the Company. The COOs shall have such other responsibilities as the Board may impose upon them.

The Chief Legal Officer
The Chief Legal Officer (CLO) shall be appointed by the Board. He provides direction on the major legal issues of the Company and establishes plans to minimize and manage legal risks. The CLO shall have such other responsibilities as the Board may impose upon him.

The Chief Compliance Officer
In accordance with the Manual, and in order to ensure adherence to the principles and best practices in corporate governance, the Board appoints a Compliance Officer whose primary role is to operationalize the Manual and monitor overall compliance with its provisions and requirements.

Moreover, the Compliance Officer is tasked with the duty to communicate with the SEC on matters relating to the Company's compliance with the Manual and the clarification of matters required by the said Commission. Together with his primary function, the Compliance Officer is also tasked to oversee the implementation of the Company's Code of Business Conduct and Ethics and the Related Party Transactions Policy.

The Chief Risk Officer
The Chief Risk Officer (CRO) oversees the entire risk management function and leads the development, implementation, maintenance, and continuous improvement of ERM program, processes, and tools. The CRO is the Vice Chairman of the ERMEC. She also leads the Enterprise Risk Management (ERM) Department in facilitating the ERM process and in collecting and analyzing key business risk information for reporting to the ERMEC and to the BROC.

The Vice Presidents
The Company shall have such number of Vice Presidents as may be required by the operational requirements of the Company. The Vice Presidents shall assist the President and CEO and exercise such other functions as may be provided in the By-Laws or delegated by the Board.

In Manila Water Company, Inc., the Vice Presidents are referred to as "Group Directors."

Enterprise Risk Management
The ERM is responsible for developing risk management tools, methodologies and processes,
as well as sustained implementation of the ERM Program across the Company. It acts as the primary driver
of developing a risk-aware culture and ensures that key risks are identified and managed by the respective
risk owners. With the ERM mindset continuously being assimilated into the Company's culture and practices,
ERM has been embedded in key decision-making processes.

The Legal Services Group
The Legal Services Group (LSG) is the unit tasked to formulate and implement the initiatives and policies on good corporate governance. It reports on matters of corporate governance directly to the Chief Compliance Officer under the supervision of the Corporate Governance Committee. The LSG has been active in the continuous conduct of orientation to all Manila Water employees and business partners on the Company's governance policies, particularly on matters contained in the Manual of Corporate Governance.

Among the mandates of the LSG is the continuous identification of gaps and challenges on corporate governance practices across the organization. This allows the LSG to propose improvements on the Company's policies based on international corporate governance standards.

Finally, the LSG, in coordination with the Office of the Corporate Secretary, also provides timely updates to the Board and the Management on the current and best practices on corporate governance in the industry and globally.

Internal Audit
Internal Audit (IA) Department conducts an independent, objective assurance and consulting activity designed to add value and improve the organization's operations. It helps the organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes.
The activities of IA are governed by a separate Internal Audit Charter approved by the Audit Committee and the Board.

The IA reports to and supports the Audit Committee in the effective discharge of the Committee's oversight roles and responsibilities. IA consists of talents and professionals who are either a Certified Public Accountant, Electronics and Communication Engineer, and Civil Engineer.

A risk-based internal audit plan is prepared and approved by the Audit Committee annually, which is reassessed quarterly to consider emerging risks. The Audit Committee reviews and approves the annual work plan and all deviations therefrom and ensures that internal audit examinations cover the evaluation of adequacy and effectiveness of controls encompassing the company's governance, operations, and information systems; reliability and integrity of financial and operational information; safeguarding of assets; and compliance with laws, rules, and regulations.

The IA conducts its activities guided by the Institute of Internal Auditors' (IIA) Professional Practices Framework (IPPF) and its mandatory elements namely: (1) Core Principles for the Professional Practice of Internal Auditing; (2) Definition of Internal Auditing; (3) Code of Ethics; and (4) International Standards for the Professional Practice of Internal Auditing. In November 2022, the external auditing firm Punongbayan & Araullo conducted an independent validation of the internal audit function's Quality Assessment Review and concurred that the internal audit activity "Generally Conforms" to IPPF. The

Standards require that the external assessment be conducted at least once every five (5) years, thus the next one will be performed in 2027.

On November 10, 2022, the Audit Committee approved the changes and updates made to the Internal Audit Charter and Manual. These changes and updates were made to continuously improve Manila Water's Internal Audit and its operations. The changes were ratified by the Board of Directors during their regular meeting on November 17, 2022.

Investor Relations

The Investor Relations Department (IR) keeps the Company's investors and other relevant stakeholders regularly informed of developments in the business. For this purpose, IR conducts briefings on quarterly business results, supported as necessary by meetings/calls with shareholders, fund managers, and analysts. These activities aim to keep investors updated on the financial and operating performance of the Company, along with other material information and developments. Furthermore, in collaboration with the Company's Corporate Communications team, press briefings are held as necessary to engage other stakeholders, specifically the media.

The Sustainability Officer

The Company's Sustainability Officer monitors and reports on the environmental, sustainability, and social impacts of the Company's business operations and communicates sustainability concerns, risks, and initiatives from Management to the Board of Directors through the ESG Committee.

The Corporate Governance Manual

Manila Water is dedicated to observing the highest standards of corporate governance in order to serve the best interests of it is stakeholders, including the investing public. The Board, the Management, the employees, and stockholders of the Company believe that sound and effective leadership is fundamental to its continued success and stability. These principles and practices enable the company to create and sustain increased value for all the stockholders.

The corporate governance policy of Manila Water is primarily contained in its Manual of Corporate Governance (the "Manual"). The Company's corporate governance framework is based on the principles of accountability, fairness and transparency, and sustainability. The Manual is available for download at the Company's website.

Manila Water is in full compliance with the code of corporate governance and all disclosure rules of the Philippine Stock Exchange (PSE) and the SEC.

As a key policy, the members of the Board and key executives of the Company are required to disclose to the Board any material interest, whether direct or indirect, that they may have in any transaction or matter that directly affects the Company. The Company commits, at all times, to adequately and timely disclose all material information that could potentially affect Manila Water's share price and such other information that are required to be disclosed pursuant to the Securities Regulations Code (SRC) and its and its Implementing Rules and Regulations (IRR) and other relevant laws. This information includes, but is not limited to, results of earnings, acquisition or disposal of significant assets, off-balance sheet transactions, changes in Board membership, as well as changes in shareholdings of majority stockholders, directors and officers, and related party transactions. The Company also discloses its corporate governance practices, corporate events calendar, and other material information on its website in a timely manner.

The directors are required to comply with all disclosure requirements of the Manual and the SRC and its IRR, and to voluntarily disclose any conflict of interest, whether actual or potential, upon its occurrence. The disclosure of any conflict of interest, including related party transactions, is required to be made fully and immediately. In cases where related party transactions exist, it is the Company's policy that complete information on such transaction be immediately disclosed, and, if a director or officer is involved, the director or officer concerned shall not be allowed to participate in the decision-making process. The policy also mandates that a director who has a continuing conflict of interest of a material nature shall be required to resign, or if the Board deems appropriate, be removed as a member of the Board.

The Company's Manual is continuously being revised in accordance with the directives and issuances of the SEC and to comply with the highest standards of corporate governance. The Manual was last amended on November 30, 2022[8].

Related Party Transactions

To further instill the Company's policies on related party transactions, the Board adopted the Policy on Related Party Transactions (the "RPT Policy"). The RPT Policy confirms that the Company and its subsidiaries shall enter into any related party transactions solely in the ordinary course of business, on ordinary commercial terms, and on the basis of arm's length arrangements, which shall be subject to appropriate corporate approvals and actions of the Company or the related parties, as the case may be.

Any related party transactions entered into by the Company, or its affiliates shall be in accordance with applicable law, rules, and regulations, and the RPT Policy. Related party transactions entered into by the Company with one or more of its directors or officers are voidable at the option of the Company, unless the transaction is deemed fair and reasonable under the circumstances and at arm's length, and the procedure for the procurement and approval for similar transactions was strictly complied with.

The RPT Policy provides for the process of approving related party transactions, as well as the implications for violations. In addition, the RPT Policy prohibits related party transactions involving loans and/or financial assistance to a director and loans and or financial assistance to members of the Management, except when allowed pursuant to an established Company benefit or plan. Under the RPT Policy, the approval of the Related Party Transactions Committee is required for material related party transactions.

On November 26, 2019, the Board approved the amendments Company's Policy on Related Party Transactions in order to comply with the provisions of the Rules on Material Related Party Transactions for Publicly Listed Companies of the SEC. The amendments updated the definition of Company-Recognized Material Related Party Transactions, SEC-Defined Materiality Threshold, Related Party Registry, Related Party Transactions, Related Parties, Affiliate, Associate, Substantial Stockholder, and Significant Influence.

The Code of Business Conduct and Ethics

The Company's commitment to the highest standards of ethics, good governance, competence, and integrity was institutionalized through the Code of Business Conduct and Ethics. The Code sets forth the standards for professional and ethical behavior, as well as articulate acceptable and unacceptable conduct and practices in internal and external dealings of the Company. The Code should be properly disseminated to the Board, senior management, and employees, and should also be disclosed and made available to the public through the company website.

The Code addresses the issues and relationships between and among the Company's directors, officers and employees, and its customers, contractors, subcontractors, consultants, service providers, suppliers, business partners, government offices, other stakeholders, and any other parties (including individuals, partnerships, and bodies corporate) associated with the Group. The Code includes policies on: Honesty and Fair Dealing; Conflict of Interest; Corporate Entertainment and Gifts; Insider Trading; Disclosure; Creditor Rights; Anti-Corruption; and Anti-Sexual Harassment.

Honesty and Fair Dealing

The core principle of the company is to conduct business honestly and fairly with its investors, suppliers, contractors, service providers, customers, employees, and other third parties. Directors, officers, and employees shall act honestly and ethically. They shall comply with all applicable laws, rules and regulations, and protect the name and reputation of the Company. Directors, officers, and employees shall not engage in any unfair dealing practices, such as taking advantage of anyone through abuse of confidential information, manipulation, concealment, misrepresentation, or other similar acts. Officers and employees involved in the procurement process for services, materials, supplies, and equipment shall strictly comply with the Company's Procurement Policy. The Procurement Policy is an integral part of this Code.

Directors, officers, and employees are required to immediately report all suspected or actual fraudulent or dishonest acts to the Board, in case of directors, and to the immediate supervisor or to the Office of the Compliance Officer in case of officers and employees. The Company shall promptly identify and investigate any suspected fraudulent or dishonest acts. Without prejudice to applicable administrative sanctions, the Company may pursue civil and/or criminal actions against directors, officers, and employees as may be warranted. The Implementing Guidelines on the Reporting of Fraudulent or Dishonest Acts are contained in the Whistle blower Policy of the Company.

Reporting of Fraudulent or Dishonest Acts (Whistle Blower Policy)

The Whistle Blower Policy provides for procedures to be followed to encourage all covered persons to report fraudulent or dishonest acts in order to protect the good name and reputation of the Company, and in the process, discourage the commitment of such acts.

Directors, officers, employees and third parties are required to immediately report all suspected or actual fraudulent or dishonest acts to the Board in case of directors, and to the immediate supervisor or to the Office of the Compliance Officer in case of officers, employees, and third parties. The Company shall promptly identify and investigate any suspected fraudulent or dishonest acts.

Without prejudice to applicable administrative sanctions, the Company may pursue civil and/or criminal actions against directors, officers, employees, and third parties as may be warranted. To ensure the protection of the reporter from any form of retaliation or discrimination, the identity of the person making the report and the contents of the report shall be kept confidential to the extent legally permissible.

[8]The substantial revisions to the Manual include the option to hold meetings of the Board Committees, the Board of Directors, and Stockholders by remote communication; the adoption of a bribery and anti-corruption policy; revision of the Qualifications of Independent Directors to include the requirements in the Company's legislative franchise; and to update the list of Executive Officers to include the Chief Regulatory Officer, the Chief Administrative Officer, the Chief Operating Officer(s), and the Chief Legal Officer.

Conflict of Interest
The policy prohibits conflict of interest situations involving all directors, officers, employees, and their relatives up to the fourth degree of consanguinity and/or affinity, including common law relationships.

Under the policy, a conflict of interest arises when a director, officer, or employee appears to have a direct or indirect personal or financial interest in any transaction, which may deter or influence him or her from acting in the best interest of the Company. It is not required that there be an actual conflict; it is only required that there could be perceived conflict by an impartial observer.

All contracts and arrangements by directors, officers, and employees, as well as their relatives that violate this policy on conflict of interest shall be terminated immediately and correspondingly reported to the Office of the Compliance Officer, for appropriate action under the Code.

Corporate Entertainment and/or Gifts
The Company's policy regarding Corporate Entertainment and/or Gifts prohibits all officers and employees from accepting corporate entertainment and gifts from suppliers, contractors, and other business partners, which can be viewed as influencing the manner by which an officer or employee may discharge his or her duties.

Insider Trading
The Company's Insider Trading Policy prohibits directors, officers, and confidential employees from trading in Manila Water shares five (5) days before and two (2) days after the release of quarterly and annual financial statements; and two (2) days after the disclosure of any material information other than those disclosed through quarterly and annual financial results.

All Directors, Key Officers, employees, consultants, advisers of the Company, and members of the immediate families of directors and key officers (the "Covered Persons") who are living in the same household as the directors and key officers who have direct or indirect knowledge, from time to time, of material facts or changes in the affairs of the Company, which have not been disclosed to the public, including any information likely to affect the market price of the Company's shares, shall:

a. Not trade in the Company's securities directly or indirectly; and
b. Not communicate, directly or indirectly, such material non-public information to any person until the material non-public information is disseminated to the public and two (2) trading days have lapsed from the disclosure thereof to allow the market to absorb such information.

Directors and officers who may be covered by the reporting requirements of the SEC and the Philippine Stock Exchange (PSE) in respect of their shareholding in the Company or any changes thereof, are required to report their dealings in Company shares within three (3) business days after the transaction. Likewise, all other Covered Persons shall likewise report to the Office of the Compliance Officer within 10 calendar days from the end of each quarter their trades with Company's securities during such quarter. All Directors, Officers, and employees are required to report their trades on a quarterly basis to the Office of the Compliance Officer within 15 days from the end of the quarter.

In alignment with the law, the definition of material nonpublic information has been amended.

Disclosure
The disclosure policy encourages prompt and adequate disclosure of all material facts or changes in the affairs of the Company, including any information likely to affect the market price of the Company's shares.

Creditor Rights
The policy regarding Creditor Rights institutionalizes the Company's adherence to its loan covenants and agreements for the protection of the rights of the creditors of the Company. No distribution or disposal of assets of the Company shall be made except: when allowed by the law; or by decrease of capital stock; or upon lawful dissolution and after payment of all its debts and liabilities; when allowed by the material agreements of the Company, but without prejudice to vested rights.ights.

Anti-Corruption
The Anti-Corruption Policy strictly prohibits giving and facilitating of payments to any private or government officials or employees, their agents, or intermediaries, in order to expedite or secure performance of any governmental action, or to gain

any perceived or actual favor or advantage from any private or government entities. The Company must ensure that it and its directors, officers and employees fully comply with the laws governing bribes, unlawful payments, and other corrupt practices.

Anti-Sexual Harassment
This policy is included in the Code of Conduct and Discipline. Said policy recognizes the Company's protection of the dignity of its human resources, stakeholders, and customers. All forms of sexual harassment shall be dealt with appropriately and in accordance with the applicable and all relevant laws, rules, and regulations.

Diversity in Board Membership
Promotes equality among the members of the Board regardless of gender, age, ethnicity, or political, religious, or cultural beliefs.

Procurement Policies
The objectives of the Procurement Policies are to promote transparency in the procurement process, and to afford vendors equal access to business opportunity with Manila Water, with the end view of enhancing vendor participation and protecting the interest of Manila Water. Officers and employees of the Company involved in the procurement process for services, materials, supplies and equipment for Manila Water are required to strictly comply with its Procurement Policies.

The Vendors' Code of Conduct
The Vendors' Code of Conduct sets out the rules that will guide Manila Water's vendors in the performance of their obligations and/or transacting business with Manila Water, thus avoiding acts contrary to standards, policies, laws, and morals. As business partners of Manila Water, its vendors are expected to act with utmost integrity, efficiency, and competence in performing awarded contracts and/ or delivering ordered products. Moreover, they should demonstrate a strong sense of responsibility for public safety and interest that will ultimately promote and protect the good name of Manila Water. The Vendors' Code of Conduct is deemed incorporated in the contracts of Manila Water with its suppliers, vendors, and contractors.

A copy of the Vendor's Code of Conduct is downloadable at the Company website.

The Enterprise Risk Management Policy
Manila Water has established an ERM Program which aims to use a globally accepted approach in managing imminent and emerging risks in its internal and external operating environments. Under the ERM Program, Manila Water shall appropriately respond to risks and manage them in order to increase stockholder value and enhance its competitive advantage.

To bolster the risk oversight and management functions relating to strategic, financial, operational, compliance, legal and other risks of the Company, the Board, on August 11, 2015, approved the establishment of a separate Board Risk Oversight Committee (BROC). Subsequently, on November 26, 2015, the Board approved the Charter of the BROC, which transferred the risk oversight and management functions to the BROC from the Audit Committee.

Safety, Health, and Welfare Policy
Manila Water is committed to achieving customer satisfaction, upholding environmental sustainability, and ensuring safety, preservation of life and health of its employees and all stakeholders. To achieve these objectives, it is the policy of Manila Water to:

a. Continuously assess, implement, and improve its processes and business conduct by adopting best practices and keeping abreast with the latest innovations to ensure reliability and efficiency of its operations;
b. Ensure full compliance with relevant laws and standards in pollution prevention and environmental sustainability, safety, and health protection, as well as applicable regulatory standards and customer requirements related to the quality of its products and services;
c. Build a strong culture committed to customer satisfaction, environmental protection, health, and safety through education, training, and awareness at all levels of the organization that will empower its employees, contractors, suppliers, and stakeholders;
d. Actively promote the conservation and optimal use of precious resources by constantly creating and improving existing programs aimed at pollution prevention, waste minimization, resource conservation and environmental sustainability;
e. Systematically manage and control its health and safety risks through effective risk assessment processes; and
f. Regularly revisit, improve, develop, and maintain its Quality, Environment, Health, and Safety management system to ensure its effectiveness and relevance to the changing needs of the company to drive continuous improvement in operations, quality, environmental, health and safety performance and services.

Stockholder Rights

It is the duty of the directors to promote stockholder rights, remove impediments to the exercise of stockholder rights and provide effective redress for violation of their rights.
The Board shall be instrumental in removing excessive costs and other administrative or practical impediments to stockholders participating in meetings and/or voting in person. The directors shall pave the way for the electronic filing and distribution of stockholder information necessary to make informed decisions subject to legal constraints.

Right to Notice of Meetings and Right to Attend Meetings

To promote transparency and goodwill, it is a company policy to encourage the attendance of all its stockholders, including minority and non-controlling, and institutional investors, at the stockholders' meeting of the Company. The Board should encourage active stockholder participation by sending the Notice of Annual and Special Stockholders' Meeting with sufficient and relevant information at least twenty-eight (28) days before the scheduled meeting.

Unless otherwise provided by law or the By-laws, stockholders as of Record Date constituting at least a majority of the outstanding voting capital stock of the Company is necessary to constitute a quorum. The stockholders may be present in person or represented by proxy.

Right to Appoint a Proxy

The stockholders shall be apprised ahead of time of their right to appoint a proxy if they cannot attend their meetings in person. Subject to the requirements of the By-laws, the exercise of that right shall not be unduly restricted and any reasonable doubt about the validity of a proxy should be resolved in the stockholders' favor.

Right to Propose the Holding of Meetings and to Propose Agenda Items

The Manual provides that all stockholders, including minority and non-controlling, shall have the right to propose the holding of a meeting as well as the right to propose items in the agenda of the meeting, provided that the items proposed are for legitimate business purposes, all in accordance with the By-Laws and the existing laws.

With regard to the right of stockholders to propose agenda items, the Company shall ensure the exercise of the right is included in the notice and agenda of the stockholders' meeting as an item for the consideration of such other business as may properly come before the meeting.

Furthermore, the Company adheres to Memorandum Circular No. 7-2021 of the Securities and Exchange Commission which allows stockholders holding at least 10% of the outstanding capital stock to request to hold a physical meeting.

Right to Make Nominations to the Board of Directors

Every stockholder, including non-controlling and minority, has a right to submit a nomination for election to the Board. The stockholders, in making their nominations, or the Company, are encouraged to make use of professional search firms or external sources of candidates when searching for candidates to the Board.

Voting Right and Right to Participate at Stockholders Meetings

In all items for approval, each share of voting stock entitles its registered owner as of the Record Date to one (1) vote.

Voting shall be by poll and the Company shall provide the mechanism to implement the same at every stockholders' meeting. Any stockholder entitled to vote may vote in person, through remote communication, in absentia, or be represented by proxy at any regular or special stockholders' meetings.

Pursuant to Sections 23 and 57 of the Revised Corporation Code which allow voting through remote communication or in absentia by the stockholders, stockholders may vote electronically or in absentia on the matters for resolution at the meeting using the online web address that will be provided in the Definitive Information Statement, subject to validation procedures.

Stockholders who will not participate in the virtual meeting may vote in absentia by sending an absentee ballot obtained from the Corporate Secretary, duly filled up and signed and returned to the Corporate Secretary before the date of the ASM. An absentee ballot shall be sent to a stockholder who requests the same after complying with the requirement prescribed by the Corporate Secretary to verify the identity and number of shares in the name of the stockholder as of record date of the meeting. Valid absentee ballots received by the Corporate Secretary prior to the date of the meeting shall be counted as part of the quorum and in the voting of agenda items.

The stockholders shall also have an opportunity during the stockholders' meeting to ask questions and raise their issues relevant to the agenda items. The minutes of the meeting records the stockholders' questions and corresponding answers given by the directors and officers of the Company.

The Board should encourage active stockholder participation by making the result of the votes taken during the most recent Annual or Special Stockholders' Meeting publicly available the next working day. In addition, the Minutes of the Annual and Special Stockholders' Meeting should be made available to the public through the Company website within five (5) business days from the end of the meeting. The draft minutes of the 2024 Annual Stockholders Meeting was posted on the Company's website on May 3, 2024.

In addition, the Company is compliant with Memorandum Circular No. 14-2020 of the Securities and Exchange Commission which allows stockholders holding at least 5% of the outstanding capital stock to request to submit proposals on items for inclusion in the agenda of the meetings of stockholders.

Dividend Rights
The Company continues its practice of offering its stockholders an equitable share of the Company's profits. In 2013, the Board of Directors confirmed its dividend payout policy which entitles holders of common shares and participating preferred shares to annual cash dividends equivalent to 35 percent of the prior year's net income payable at least semiannually, on such dates as may be determined by the Board of Directors, subject to applicable rules and regulations on record dates and payment dates. The participating preferred shares participate in the earnings at a rate of 1/10 of the dividends paid to a common share. As a matter of policy, payment dates of dividends declared are fixed within thirty (30) days from date of declaration.

Pre-Emptive Right
All stockholders have pre-emptive rights or the right to subscribe to new shares of the Company, unless there is a specific denial of this right in the Articles of Incorporation or an amendment thereto. They shall have the right to subscribe to the capital stock of the Company.

The Articles of Incorporation may provide the specific rights and powers of stockholders with respect to the particular shares they hold, all of which are protected by law so long as they are not in conflict with the Revised Corporation Code.

Right to Information and Inspection
In addition to regular posting and disclosure of material information at the Company website, a stockholder shall be provided with periodic reports regarding the performance of the Company upon written request for a legitimate purpose. Stockholders shall be allowed to inspect corporate books and records in accordance with the Revised Corporation Code and shall be provided an annual report, including the financial statements, without cost or restrictions.

Appraisal Right
In accordance with the Revised Corporation Code, stockholders may exercise appraisal right under the following circumstances:

A. In case any amendment to the Articles of Incorporation has the effect of changing or restricting the rights of any stockholders or class of shares, or of authorizing preferences in any respect superior to those of outstanding shares of any class, or of extending or shortening the term of corporate existence;
B. In case of sale, lease, exchange, transfer, mortgage, pledge, or other disposition of all or substantially all of the corporate property and assets as provided in the Revised Corporation Code; and
C. In case of merger or consolidation.

Remedies for Infringement of Stockholder Rights
The Board can establish and maintain an alternative dispute resolution system in the Company that can amicably settle intra-corporate disputes such as arbitration, mediation, and conciliation. This is without prejudice to the legal remedies of the parties under existing laws and the parties' ability to avail of their legal rights to address or resolve conflicts or differences in the proper venue as may be appropriate or warranted.

Summary of Legal and Beneficial Ownership of the Board, Key Officers, and Major Stockholders

Name	December 31, 2024	Class of Shares	December 31, 2023	Class of Shares
Directors				
Enrique K. Razon, Jr.	1,478,049,727	Common	900,052,260	Common
Jose Victor Emmanuel A. de Dios	746,673	Common	356,642	Common
Donato C. Almeda	377,519	Common	87,870	Common
Antonino T. Aquino	—	N.A.	12,749,543	Common
Alberto M. de Larrazabal	—	N.A.	1	Common
Sandy A. Alipio	200	Common	200	Common
Katrina Maria S. Razon	100	Common	100	Common
Sherisa P. Nuesa	4,918,607	Common	5,093,607	Common
Cesar A. Buenaventura	920,001	Common	920,001	Common
Octavio Victor R. Espiritu	188,300	Common	188,300	Common
Eric Ramon O. Recto	10,000	Common	10,000	Common
Officers				
Roberto Jose R. Locsin	663,442	Common	238,735	Common
Gigi Iluminada T. Miguel	383,177	Common	93,201	Common
Amabelle C. Asuncion	231,386	Common	47,810	Common
Arnold Jether A. Mortera	533,350	Common	377,788	Common
Melvin John M. Tan	108,170	Common	102,770	Common
Ana Mari B. Bentilanon	14,685	Common	—	N.A.
Shobe Hazel B. Caong	208,900	Common	214,500	Common
Joemar B. Emboltorio	348,700	Common	348,700	Common
Evangeline M. Clemente	365,517	Common	332,695	Common
Janine T. Carreon	576,209	Common	540,386	Common
Nestor Eric T. Sevilla	347,522	Common	331,620	Common
Jhoana R. Tamayor	800	Common	800	Common
Valerie R. Tagana	—	N.A.	—	N.A.
Michael M. Mayo	—	N.A.	—	N.A.
Silverio Benny J. Tan	74,500	Common	74,500	Common
Ninez C. Maningat	—	N.A.	—	N.A.
Mailene M. Cabral	—	N.A.	—	N.A.
Melissa Marcelo Egasani	—	N.A.	—	N.A.

MAJOR STOCKHOLDERS				
	December 31, 2024	Class of Shares	December 31, 2023	Class of Shares
Trident Water Company, Inc.*	1,478,049,627	Common	900,052,160	Common
Philwater Holdings Company, Inc.	3,563,756,068*	Participating Preferred	3,563,756,068*	Participating Preferred

**Philwater remains the stockholder of record and retains economic ownership of 3,563,756,068 preferred shares until full payment of the purchase price by Trident but the voting rights on these have been transferred to Trident by virtue of proxies (such that Trident has a total of 81% voting rights over all outstanding common and preferred shares).*

Company Website

In the pursuit of the Company's thrust to continuously improve awareness of best practices in the conduct of its business and operations especially in corporate governance across the organization, including dealings with its business partners and customers, Manila Water constantly updates its website, www.manilawater.com with a section dedicated to corporate governance and investor relations. The Corporate Governance section of the website contains all disclosures made by the Company to the PSE and SEC, as well as its Manual, the Code, the Charters of the Board and its Committees, the various corporate governance policies and other matters and information of relevance to the stockholders and all stakeholders. The Company discloses its corporate governance practices, corporate events calendar, and other material information on its website in a timely manner.

The Investor Relations section houses all information that may be required by the investors, stockholders, and stakeholders. The site has been enhanced to be user friendly and is always accessible to the public.

Corporate Governance Recognition and Awards

The Company's commitment to uphold the highest standards of good corporate governance has again been confirmed and recognized through the prestigious awards it has received. On September 28, 2023, the Company received a 3-golden arrow award from the Institute of Corporate Directors (ICD) for its performance rating against the 2022 ASEAN Corporate Governance Scorecard (ACGS).

On January 20, 2023, the Company received its first 4-golden arrow recognition from the ICD for its performance rating against the 2021 ACGS. Previously, the Company received 3-golden arrow recognition for its rating against the 2019 and 2018 ACGS. In 2018, it was also named as one of ASEAN's Top 50 Publicly Listed Companies on Corporate Governance at the 2018 ASEAN Corporate Governance Awards, Top 10 Philippine Publicly Listed Companies, and Top 5 Industry Sector by the Institute of Corporate Directors, and Platinum Awardee for Excellence in Environmental, Social and Governance Practices by the Asset.

Awards & Citations

Manila Water's accomplishments are a tribute to the leadership and vision of the company's management, the dedication of a strong workforce, and the partnerships with various stakeholders, all of which work towards a common goal of improving not just the quality of service, but also the quality of life of communities.

Corporate Governance and Management

- 2023 Philippines' Most Outstanding Company in the Utilities Sector, Asia's Outstanding Companies Poll, Asiamoney
- 2023 Best Small-Cap Company and Best Utilities Company in the Philippines, FinanceAsia

Operations and Technical Excellence

- 2023 Special Award in Energy Efficiency Excellence to Boracay Water's "Waves of Change" Program, Energy Efficiency Excellence Awards (EEE), Department of Energy (DOE)
- 2023 Client of the Year, Annual FIDIC Contract User's Conference and Awards, International Federation of Consulting Engineers (FIDIC)
- 2023 Highly Commended for the Project of the Year Award for Calawis 80-Million-Liters-Per-Day Water Treatment Plant Project, Annual FIDIC Contract User's Conference and Awards, International Federation of Consulting Engineers (FIDIC)
- 2023 Outstanding Partner for Fire Safety Award, Bureau of Fire Protection - National Capital Region (BFP-NCR)
- 2023 Recognition to Manila Water Philippine Ventures (MWPV), Environmental Management Bureau of the Department of Environment and Natural Resources-CALABARZON

Corporate Social Responsibility and Sustainability

- 2023 Circle of Excellence, CSR Company of the Year, 2023 Asia CEO Awards
- 2023 Bronze Awards for "WASH in Pandemic," "#SafeWASH in Schools," and "WASH O'clock", Healthy Pilipinas Awards for Partners, Department of Health (DOH)
- 2023 Best Branded Photo for Manila Water Foundation's Philippine Campaign Celebrations of the World Oral Health Day, 2023 World Oral Health Day Awards
- 2023 Energy Efficiency and Conservation Award, European Chamber of Commerce of the Philippines (ECCP) Europa Awards on Sustainability
- 2023 Platinum - Best Environmental Excellence Award, Platinum - Best Workplace Practices Award and Platinum - Excellence In Provision Of Literacy and Education Award (USD 500 Million To USD 1 Billion Market Capitalization), 15th Annual Global CSR and ESG Awards

Human Resource and People Management

- 2023 Employer of the Year Regional Exemplar - National Capital Region, People Management Association of the Philippines (PMAP)

Communications

- 2023 Two (2) Silver Anvil Awards for Manila Water's "BOW: Balita on Wednesdays" and Boracay Water's "H2O: Highland to Ocean" Program, 58th Anvil Awards, Public Relations Society of the Philippines (PRSP)

- 2024 Champion in Community Engagement and Partnerships for Manila Water Foundation's Integrated Water Access, Sanitation, and Hygiene (WASH) Program, 2024 United Nations (UN) Women's Empowerment Principles (WEPs) National (Philippines) Awards

- 2024 First Runner-up in Leadership Commitment for Manila Water President and Chief Executive Officer JV Emmanuel "Jocot" A. de Dios, United Nations (UN) Women's Empowerment Principles (WEPs) National (Philippines) Awards

- 2024 Second Runner-up in Community Engagement and Partnerships for Manila Water Foundation's Integrated Water Access, Sanitation, and Hygiene (WASH) Program, United Nations (UN) Women's Empowerment Principles (WEPs) Asia-Pacific Regional Awards

- 2024 Six (6) Silver Anvil Awards for "UNWAVERING: 25 Years of Exceptional Service" 2022 Integrated Annual and Sustainability Report, "UNWAVERING: 25 Years of Exceptional Service" Coffee Table Book, "Climate Change Campaign: Changing the Flow for our Future," Manila Water Foundation's "Project #SAFEWASH in Schools" and "Light Up to WASHup," 59th Anvil Awards, Public Relations Society of the Philippines (PRSP)

- 2024 Quill Awards for "Project Phoenix: Manila Water's Transformation Journey Towards Becoming a Global Filipino Water Company" Communication Management Program, "UNWAVERING: 25 Years of Exceptional Service" Coffee Table Book, and Manila Water Foundation's "#SAFEWASH in Schools," 20th Philippine Quill Awards, International Association of Business Communicators (IABC) Philippines

Membership and Affiliations

International

1. International Water Association (IWA)
2. Asia Water Council (AWC)
3. Asia Business Council (ABC)
4. The Wallace Business Forum
5. United Nations Global Compact (UNGC)

Local

1. Philippine Water Works Association (PWWA)
2. European Chamber of Commerce of the Philippines (ECCP)
3. British Chamber of Commerce Philippines (BCCP)
4. Philippine Chamber of Commerce and Industry (PCCI)
5. Management Association of the Philippines (MAP)
6. Philippine Business for Social Progress (PBSP)
7. The American Chamber of Commerce, Philippines AMCHAM
8. Makati Business Club (MBC)
9. People Management Association of the Philippines. (PMAP)
10. Philippine Disaster Resilience Foundation, Inc. (PDRF)

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489 Katipunan Road, Balara
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www.manilawater.com

CUSTOMER SERVICE

Customer Service Hotline:
1627 (Open 24 hours)
Tel.: +63(2) 7917 5900 local 1520
Facebook: www.facebook.com/manilawater
Twitter: www.twitter.com/ManilaWaterPH

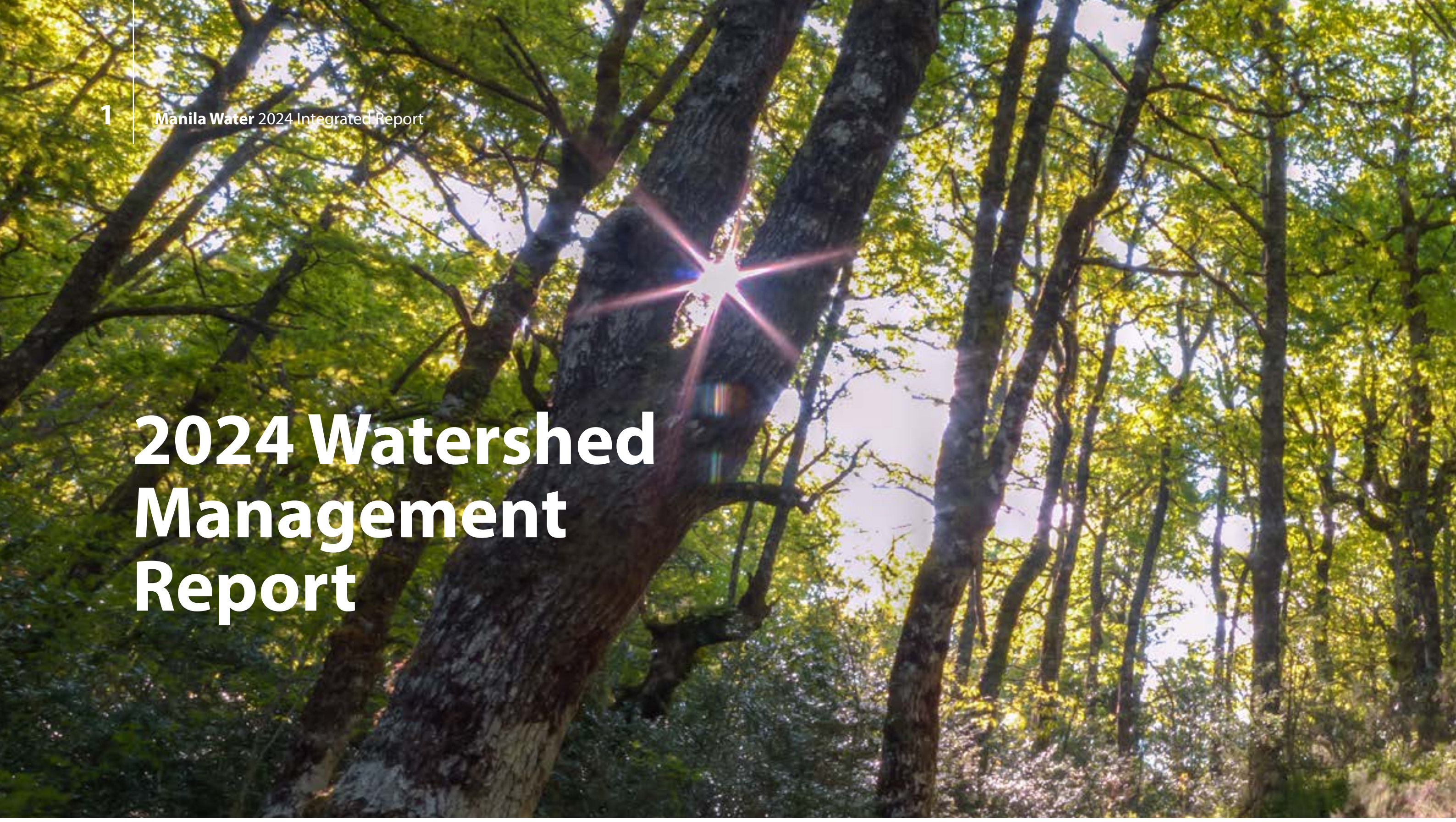
INQUIRIES

For inquiries or concerns from analysts, institutional investors, the financial community, and the general public,
please contact:
Investors: invrel@manilawater.com
Governance: corpgov@manilawater.com
Sustainability: sustainability@manilawater.com
Media: corpcomm@manilawater.com

SHAREHOLDER SERVICES AND ASSISTANCE

For inquiries regarding dividend payments, change of address and account status, lost or damaged stock certificates,
please contact:
Stock Transfer Service, Inc.
34-D Rufino Pacific Tower
6784 Ayala Avenue, Makati City
Tel.: +63(2) 8403-2410

ANNEXES



2024 Watershed Management Report

Our Approach

Watershed management is vital to the sustainability and resiliency of our operations. Degradation of watersheds leads to soil erosion, heavy sedimentation, water pollution, and other issues that directly affect the quality and availability of raw water. As more than 80% of our raw water comes from surface water, we prioritize the protection, rehabilitation, and conservation of watershed areas to ensure water security. The sustainable management of these watershed areas is in partnership with the Department of Environment and Natural Resources (DENR), Metropolitan Waterworks and Sewerage System (MWSS), local government units (LGU), local communities, indigenous people (IP), and other stakeholders.

Our efforts not only mitigate water supply risks but also contribute to biodiversity conservation and climate change mitigation. Additionally, we support the local and IP communities in these areas through the provision of alternative sustainable livelihood and community development programs.

There are three major programs for our watershed management. These are:

- Watershed protection,
- Reforestation and enrichment planting, and
- Community development

Our Impacts

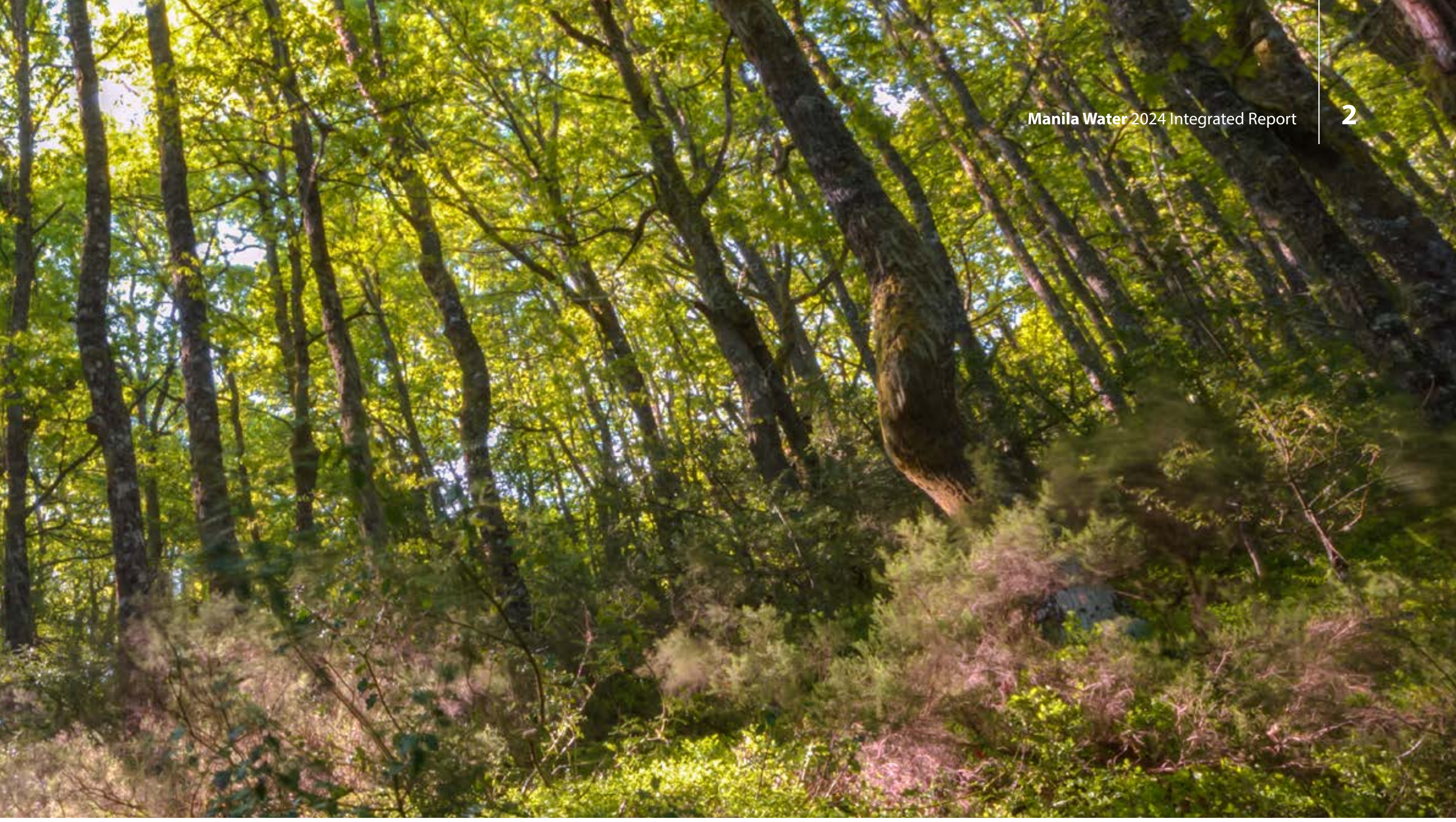
(-) Use of freshwater
(-) Disruption of wildlife and tree cutting during construction of new facilities
(+) Preservation or enhancement of watersheds and its ecosystem
(+) Carbon sequestration
(+) Support to local and IP communities

Highlights

195,727 hectares protected, preserving **60+** threatened species with **8** critically endangered, **13** endangered, **31** vulnerable, and **10** other threatened species.

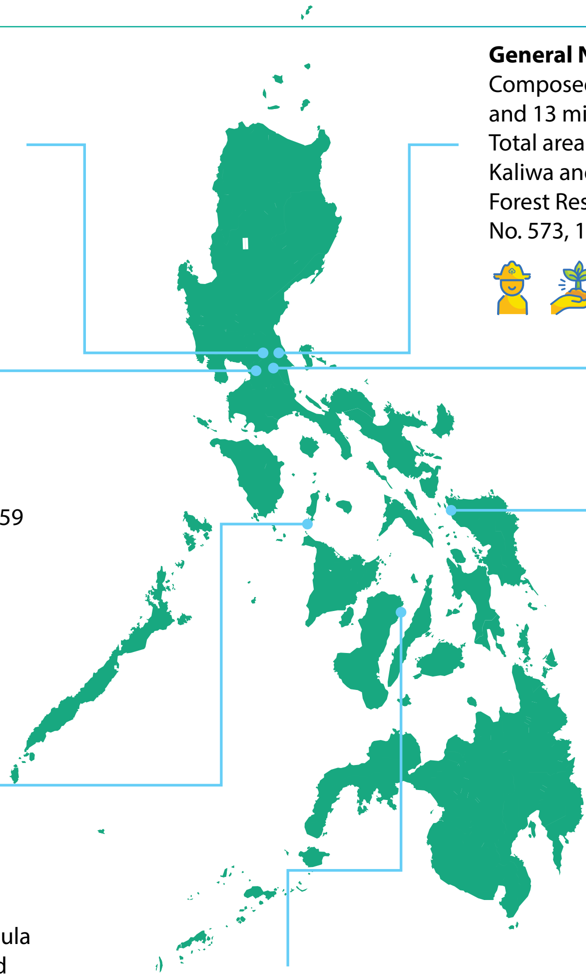
131,051 trees planted and nurtured in **294** hectares in 2024

1.7 million trees nurtured in **3,434** hectares since 2006



Key watersheds of Manila Water

GRI 2016: 304-1, TNFD



Upper Marikina
Total area of the watershed: 29,505.8 hectares
Protected Area as a Protected landscape (Presidential Proclamation No. 296, 2011)

General Nakar
Composed of Kaliwa, Kanan, Umiray and 13 minor watersheds
Total area of the watershed: 186,298 hectares
Kaliwa and Umiray watersheds as a Forest Reserve (Presidential Proclamation No. 573, 1969)

Ipo
Total area of the watershed: 6,600 hectares
Protected Area as a Forest Reserve (Presidential Proclamation No. 391 La Mesa, 1968)

La Mesa
Total area of the watershed: 2,659 hectares
Protected Area as a Watershed Reservation (Presidential Proclamation No. 1336, 2007)

Pan-As Hayiban
Total area of the watershed: 5,067 hectares
Protected Area as a Protected Landscape (RA 7586: NIPAS Act of 1992 and RA 11038: Expanded NIPAS Act of 2018)

Nabaoy
Total area of the watershed: 2,375 hectares
Part of Northwest Panay Peninsula Nature Park which is considered as Protected Area under RA7586 (NIPAS Act of 1992)

Luyang
Total area of the watershed: 5,539 hectares

Legend:
Community Development | Watershed Protection | Reforestation and Enrichment

Management Actions

GRI:2016: 304-3, 304-4

East Zone

Ipo Watershed

Funds the ongoing protection of the watershed, including patrols by 60 forest rangers ("Bantay Gubat") comprised of local community members and Dumagat indigenous people.

Supports forest landscape restoration, planted 80,000 trees across 200 hectares in 2024 in partnership with the City of San Jose Del Monte Yapak Tour Guides Inc., a People's Organization of Dumagat and local community members. This initiative is part of Manila Water's commitment to Metropolitan Waterworks and Sewerage System (MWSS) Annual Million Tree (AMTC).

Through the Manila Water Foundation's Water, Sanitation, and Hygiene (WASH) program, provided 30 family sanitation facilities in Sitio Sapang Munti, benefiting 500 residents.

Protected Threatened Species based on the International Union for Conservation on Nature (IUCN)[1] :
Critically endangered: Yakal saplungan (*Hopea plagata* (*syn H.odorata*)
Endangered: Apitong (*Dipterocarpus grandiflorus* (Blanco)), Kape (*Coffea arabica Linn.*), Narra (*Pterocarpus indicus Willd.*), Teak (*Tectona grandis*)
Vulnerable: Mahogany (*Swietenia macrophylla*), Paho (*Palaquium luzoniense* (Fern.- Vill.), Palosapis (*Anisoptera thurifera Blume.*), Sakat (*Terminalia nitens*), Takip-asin (*Macaranga grandifolia*)

Additional Protected Threatened Species based on DENR Department Administrative Order(DAO) 2017-11[1] :
Vulnerable: Bolong-eta (*Diospyros philosanthera Blanco*), Kalantas (*Toona calantas Merr. & Rolfe*), Makaasim (*Syzygium nitidum Benth*), Malabayabas (*Tristaniopsis decorticata* (Merr.), Pahutan (*Mangifera altissima Blanco*), Tanguile (*Shorea polysperma*)

[1] Threatened species that were recorded in Ipo and La Mesa watersheds during the Forest Carbon Accounting by Center for Conservation Innovations Philippines, Inc., Manila Water's partner in the project in 2023.

East Zone

La Mesa Watershed

Provides ongoing protection through foot patrols conducted by 50 forest protection officers, with Manila Water contributing half of the funding.

Planted 18,500 native trees across 44 hectares in 2024 as part of Manila Water's MWSS AMTC.

Planted 2,280 native trees at the La Mesa Ecopark with Manila Water employees and external partners. The La Mesa Ecopark has been under the management of MWF since 2024.

Conducted weeding of mahogany seedlings to control the spread of this non-native species.

Protected Threatened Species based on the IUCN[1,2]:
Endangered: Teak (*Tectona grandis*), Narra (*Pterocarpus indicus*), Narra (red/prickly) (*Pterocarpus indicus forma echinatus*), Teak (*Tectona grandis*), Mahogany (big leaf) (Swietenia macrophylla)
Vulnerable: Magabuyo (Celtis luzonica), Hagupit/Is-is (Ficus ulmifolia Lam.), Mahogany (S) (Swietenia macrophylla), Palosapis (Anisoptera thurifer), Philippine Eagle-Owl (*Ketupa philippensis*), Ashy Thrush (*Geokichla cinerea*), Santol (*Sandoricum koetjape*)

Additional Protected Threatened Species based on DENR DAO 2017-11 and 2019-09 [1,2]:
Critically Endangered: Philippine Hanging Parrot (*Loriculus philippensis*)
Endangered: Beri/Bari (*Aquilaria malacensis Lam.*), Molave (*Vitex parviflora*)
Vulnerable: Kalantas (*Toona calantas Merr.*), Kamagong (*Diospyros discolor*), Lauan (*Shorea contorta*), Makaasim (*Syzygium nitidum Benth*), Lamio (*Dracontomelon edule*), Mangga Pahutan (*Mangifera altissima*), Kamagong (*Diospyros cf. philippinensis*), Kamagong (*Diospyros blancoi*), Bolong-eta (*Diospyros pilosanthera*), Ipil (*Intsia bijuga*), Rambutan (*Nephelium lappaceum*)
Other Threatened Species: Amugis (*Koordersiodendron pinnatum*), Pili (*Canarium ovatum*), Malasaging (*Aglaia edulis*), Anahaw (*Saribus rotundifolius*), Tokay gecko (*Gekko gecko*), Marbled crested lizard (*Bronchocela marmorata*), Luzon monitor lizard (*Varanus marmoratus*), Red-tailed green ratsnake (*Gonyosoma oxycephalum*), Northern Philippine Cobra (*Naja philippinensis*), Reticulated python (*Malayopython reticulatus*)

Biodiversity Value [3]:
Flora: Shannon Diversity (H) Index = 1.8184. High biodiversity value for it falls within the range of 1.5-3.5
Fauna: 29 bird families, 47 species

[1] Threatened species that were recorded in Ipo and La Mesa watersheds during the Forest Carbon Accounting by Center for Conservation Innovations Philippines, Inc., Manila Water's partner in the project in 2023.
[2] Source: Identifying Identifyng High Conservation Values in the La Mesa Ecopark, Center for Conservation Innovations Philippines, Inc., 2024.
[3] Source: Integrated Watershed Management Plan for the La Mesa Watershed Reservation for 25 Years

East Zone

General Nakar
(Kaliwa, Kanan, Umiray, and 13 minor watersheds)

Manila Water provides half of the funding for the General Nakar Sustainable Integrated Area Development (GNSIAD) Project for the management of General Nakar watersheds. The Project is in partnership with the General Nakar LGU, MWSS, and Maynilad. The following are the 2024 accomplishments:

Protected the entire Kaliwa, Kanan, Umiray, and 13 minor watersheds through patrols conducted by 51 forest protection officers and 2 Binuang Watershed Guards.

Planted 26,021 native forest and fruit trees in 36.50 hectares.

Assisted Indigenous Peoples (IPs) and non-IP communities with community development, WASH, and alternative sustainable livelihood programs.

Provided scholarships to 18 underprivileged students, including members of indigenous groups residing in the watersheds. These students are pursuing degrees in Agriculture, Environmental Science, and Biology.

Improved solid waste management through the establishment of Materials Recovery Facilities and providing vehicles for collecting recyclables and waste.

Conducted Information, Education, and Communication (IEC) campaigns for communities and schools on environmental protection, watershed conservation, and climate change.

Protected Threatened Species based on IUCN[4] :
Endangered: Dalindingan (*Hopea foxworthyi*), Dao (*Dracontamelon dao*), Molave (*Vitex parviflora*), Narra (*Pterocarpus indicus*), Tiaong (*Shorea ovata*)
Vulnerable: Apitong (*Dipterocarpus grandifloras,*), Almaciga (*Agathis philippinensis*), Malabayabas (*Tristaniopsis decorticata*), Nato (*Palaquium luzoniense*), Cordillera ground- warbler (*Robsonius rabori*)

Additional Protected Threatened Species based on DENR DAO 2017-11[4]:
Critically Endangered: Alupag (*Dimocarpus longan*), Kamagong (*Diospyros bicolor*), Red Lauan (*Shorea negrosensis*), Tanguile (*Shorea polysperma*), White Lauan (*Shorea contorta*), Makaasim (*Syzygium nitidum Benth*.)
Endangered: Batikuling (*Litsea leytensis*), Jade vine (*Strongylodon macrobotrys*), Tayabak (*Strongylodon macrobotrys*)
Vulnerable: Pahutan (*Mangifera altissima*), Bolong-eta (*Diospyros philosanthera Blanco*), Balobo (*Diplodiscus paniculatus*), Kalantas (*Toona calantas*)

Biodiversity Value[5] :
Flora: Shannon Diversity (H') = 4.71. Very High Diversity
Fauna: Shannon Diversity = 2.795. Moderate Diversity

Upper Marikina

Through the People's Organization Tulungan sa Kabuhayan ng Calawis, Inc (TSKC), we conducted the protection through regular patrolling and maintenance of the 93,750 trees planted on 150 hectares.

Constructed 10 meters x 150 meters fire line in fire-prone areas and repaired the patrol base

The DENR Validation showed that the trees planted have a 90% survival rate. TSKC replanted 14,063 trees in 2024 to replace the trees.

A total of 24 beneficiaries/workers (11 – IPs and 13 non-IPs) of TSKC were provided with green jobs.

[4] Threatened species were inventoried during the foot patrolling in General Nakar Watershed
[5] Source: New Centennial Water Source - Kaliwa Dam Project Environmental Impact Statement (EIS) Link: https://emb.gov.ph/wp-content/uploads/2019/08/Kaliwa-Dam_EIS.pdf

Non- East Zone

Nabaoy Watershed (Boracay Water)

Planted 250 Tabao, and Baslayan seedlings, which were brought from Nabaoy Forest Farmers Development Association (NAFFDA), as part of the adopted 40 hectares in Nabaoy Watershed.

Luyang Watershed (Cebu Water)

Planted 2,000 Mabolo and Mahogany seedlings together with stakeholders

Pan As Hayiban Watershed (Calbayog Water)

Planted 625 Cacao, Coffee, Toog, Guyabano, Caiomito & Pili trees in the adopted 1.25 hectares per year. This is in partnership with DENR, the Protected Area Management Office, Calbayog City Water District, and the Calbayog LGU

Laguna Water

Management Action:
Planted 1,025 katmon, santol, atis, guyabano, marang, rambutan, and cacao in Silang, Cavite for groundwater recharge in partnership with Sta, Rosa City LGU

Total Trees Planted

Business Unit	Watershed/Location	Years Covered	Hectares Reforested	Total Number of Trees Planted
East Zone	Ipo Watershed	2006-2024	1,078	459,868
East Zone	La Mesa Watershed	2008-2024	1,216	488,929
Manila Water Foundation	La Mesa Ecopark (part of La Mesa watershed)	2024	8	2,280
East Zone	Upper Marikina Watershed	2010-2024	907	566,813
East Zone	General Nakar Watershed	2018-2024	165	91,374
Boracay Water	Nabaoy Watershed	2013-2024	29	67,621
Clark Water	Clark	2014-2024	9	7,790
Laguna Water	Laguna	2014-2024	10	5,545
Calbayog Water	Pan As Hayiban Watershed	2021- 2024	5	2,500
Cebu Water	Luyang Watershed	2022 – 2024	5	4,500
Estate Water	Bataan	2023- 2024	1	400
	Total		**3,434**	**1,697,620**

Out of the 1.7 million planted since 2006, we planted 124,053 diverse species of trees in 291 hectares. We protected a total area of 195,727 in 2024.

Building a resilient watershed, one tree at a time

2024 Trees Planted

Business Unit	Watershed/ Location	Area Protected, hectares	Area Planted, hectares	Number of Trees planted	Species of planted trees
East Zone	Ipo Watershed	6,600[6]	200	80,000	Narra, Kupang, Tibig, Palosapis, Dungon, Malamangga, Palosapis, Hawili, Lauan
	La Mesa Watershed	2,659[7]	44.0	18,500	Yakal, Palosapis, Narra, Lago, Makaasim
	General Nakar Watershed	186,298[8]	36.50	26,021	Balobo, Batikuling, Kamagong, Katmon, Lipote, Narra, Agoho, Bagtikan, Bolala, Kuling Manok, Malabayabas, Malaruhat, Mayapis, Tiaong, Amamaho, Dudua, Lipoteng gubat, Tigitig, Tuai, Mahogany, Kawayang Tinik, Potat, Lan-ete, Makaasim, Santol, Yakal, Almaciga, Lauan, Lusikan
	Upper Marikina Watershed	150	-	-	
Boracay Water	Nabaoy Watershed	20	0.5	250	Tabao, Baslayan
Calbayog Water	Pan-as Hayiban Watershed	-	1.25	625	Cacao, Coffee, Toog, Guyabano, Caiomito, Pili
Cebu Water	Luyang Watershed	-	2.4	2,000	Mabolo, Mahogany
Clark Water	Clark STP	-	0.04	150	Ylang Ylang
Laguna Water	Laguna Lake	-	1.5	1,025	Katmon, Santol, Atis, Guyabano, Marang, Rambutan, Cacao
Estate Water	Anvaya Cove	-	0.5	200	Balitbitan,Banaba
Manila Water Foundation	La Mesa Ecopark	-	8	2,280	Antipolo, Bignai, Kupang, Narra, Yakal
Total		**195,727**	**294.19**	**131,051**	

[6] Through Bantay Gubat
[7] Through Forest Patrol Officers
[8] Through SIAD Project of Gen. Nakar; Includes protection of Kaliwa, Kanan, Umiray and minor watersheds

Pasibol Tree Nurturing Program

Our Pasibol Puno ng Pag-asa Program is a company-wide, employee-driven initiative that fosters environmental stewardship. In its second year, the program engaged 427 employees and 846 partner volunteers in 14 tree-planting events. Together, we planted 8,500 trees in multiple watershed locations and weeded exotic mahogany seedlings in La Mesa Watershed in 2024, strengthening our commitment to tree nurturing and watershed care.

Boracay Highland to Ocean (H2O) Program

Boracay Water's holistic "Boracay H2O" (Boracay Highland to Ocean) program protects the environment by preserving water sources from the mountains of Nabaoy (Highland), through the Nabaoy River and watershed, down to the surrounding ocean reefs (Ocean). Partnering with public and private stakeholders, Boracay Water implements initiatives covering watershed and river management, wastewater and solid waste management (through the "Amot Amot Kita a Malimpyong Boracay" campaign – Let's do our share for a cleaner Boracay), coastal resource management, advocacy, and governance.

Annual Million Tree Challenge

The Annual Million Tree Challenge (AMTC), led by the MWSS, aims to rehabilitate six critical watersheds that supply water to MWSS service areas: La Mesa, Ipo, Angat, Umiray, Laguna Lake, and Upper Marikina.

Since 2017, we have contributed to the ATMC with over 660,000 trees planted and nurtured, with 18,500 trees planted in La Mesa and 80,000 in Ipo in 2024. This underscores our active participation and ongoing commitment to this initiative.

Sustainability Content Report

Our 2024 Sustainability Content Index (data from January 1 to December 31, 2024) is referenced with GRI 2021, SASB 2023, IFRS S1 and S2, TCFD and TNFD recommendations. This integrated report further adheres to the AA1000 Principles of Inclusivity, Materiality, and Responsiveness. Through stakeholder engagement, we determined our key material issues, which are addressed in dedicated sections detailing our performance, strategies, and future plans. We are committed to ongoing dialogue with stakeholders and use their feedback for continuous improvement.

TABLE OF CONTENTS:

Definition of Material Topics

Material Topics	IR Capital	Definition
Biodiversity and ecosystems	Natural	The identification and management of the impact and risks related to the organisation's operation on natural resources, ecosystems and wildlife. This includes biodiversity conservation, ecosystem restoration, forest protection, land and water source (ground and surface water) stewardship.
Climate change	Manufactured Natural	The identification and management of the impact and risks related to the shifts in global temperatures and weather patterns, for example, through climate adaptation and mitigation strategies.
Communities and social impact	Financial Manufactured NaturalSocial and Relationship Intellectual	Actions that impact the wellbeing and livelihoods of local communities in its areas of operations such as social investment, job creation, community education, philanthropy. This also includes the access and availability of water as a necessity, as well as how the organisation creates shared economic value with these communities.
Corporate governance	Intellectual Human	Organisational structures and policies to ensure proper direction, risk management and regulatory compliance. This includes balancing the interests of stakeholders, sustainability governance and management, ensuring accountability, transparency, fair and ethical practices (e.g., the development of anti-corruption and bribery policies) in the organisation's management
Customer satisfaction	Intellectual Social and Relationship	The management of the organisation's relationship with its customers. This includes the quality of assistance extended to customers to address their questions or grievances, customer service excellence, and improving the overall customer experience.
Emissions	Natural	The identification and management of greenhouse gas emissions, including Scope 1, 2, and 3 emissions. This also refers to the tracking and controlling of all emissions released by the organization that contribute to global warming.
Energy	Natural Manufactured	Utilisation and management of fuel and electricity as energy sources across the organisation's value chain, as well as practices to increase energy efficiency and reduce energy consumption through the adoption of more affordable and cleaner energy alternatives and renewables.

Definition of Material Topics

Material Topics	IR Capital	Definition
Health and safety	Human Social and Relationship	Ensuring a healthy and safe working environment for all employees, on-site contractors and service providers through the elimination of hazards that could cause work-related injuries or fatalities.
Human and labour rights	Human Social and Relationship	Ensuring that there are no instances of modern slavery, child labour, forced labour or human rights violations in the organisation's supply chain.
Industry, innovation and infrastructure	Intellectual Manufactured	The appetite and actions taken towards deepening research and development capabilities of the organisation to support business efficiencies, and growth. This includes embracing infrastructure development, new technologies, digital transformation, and partnerships to drive innovation.
Privacy and security	Intellectual Social and Relationship	The application of technologies, processes and controls to protect systems, networks, devices, digital assets and data belonging to the organisation or its stakeholders (including customers) from unauthorized access or use.
Resource use and circular economy	Natural Manufactured	Practices to optimise resource efficiency within the organisation. This includes reduce, reuse and recycle initiatives to ensure responsible consumption and production.
Supply chain	Social and Relationship	The identification and management of supply chain risks. This includes developing responsible procurement policies, regular engagements with suppliers, supporting suppliers to improve their sustainability performance, and sourcing locally.
Talent	Human Social and Relationship	Actions to attract, develop and retain talent. This includes trainings to upskill employees, improvements made to the company's culture, employee engagement initiatives, as well as policies to ensure fair pay and benefits, workforce wellbeing, work life balance, and diversity and inclusion.
Waste	Natural Manufactured	Practices to manage by-products and waste. This includes waste reduction measures and the proper disposal of hazardous waste.
Water stewardship	Natural Manufactured	The management and provision of quality water and wastewater services to the communities the organization serves, as well as the stewardship of water as a vital resource for the organization's internal activities. This includes issues related to water and sanitation, wastewater management, water stress and security, water pollution, water infrastructure, and associated risks and opportunities.

Global Reporting Initiative (GRI) Standards

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
General Disclosures					
GRI 2: General Disclosures 2021	2-1	Organizational details			Manila Water Company, Inc. MWSS Administration Building 489 Katipunan Road, Balara Quezon City, Philippines 1105 About this Integrated Report Geographic Presence
	2-2	Entities included in the organization's sustainability reporting			About this Integrated Report
	2-3	Reporting period, frequency and contact point			1st January 2024 - 31st December 2024 invrel@manilawater.com sustainability@manilawater.com
	2-4	Restatements of information			Restatements are in the notes portion of the ESG Performance Data
	2-5	External assurance			Independent Limited Assurance Report
	2-6	Activities, value chain and other business relationships	Paragraph 51 (a-d)		Value Creation Framework Our Sustainability Approach
	2-7	Employees			Manila Water's talent pool is predominantly based in the Philippines, which serves as our headquarters and the location of our primary operations. While we have a limited number of employees in other regions, the proportion is not material to our overall workforce or operational impact. Building a Culture of Trust and Care - Employee distribution
	2-8	Workers who are not employees			ESG Performance Data - Indirect Jobs Created
	2-9	Governance structure and composition	Paragraph 27 (a)(i-iii)	Paragraph 6 (a)(i-iii)	Board of Directors Corporate Governance Report
	2-10	Nomination and selection of the highest governance body			Corporate Governance Manual
	2-11	Chair of the highest governance body			Mr. Enrique K. Razon, Jr. is the Chairman of the Board of Manila Water. Mr. Jose Victor Emmanuel A. de Dios, the Company's President and CEO, and Mr. Donato C. Almeda, the Company's Chief Regulatory Officer, are the only executive directors.
	2-12	Role of the highest governance body in overseeing the management of impacts	Paragraph 27 (b)(i-ii)	Paragraph 6 (b)(i-ii)	Corporate Governance Manual

GRI Standards

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
General Disclosures					
GRI 2: General Disclosures 2021	2-13	Delegation of responsibility for managing impacts	Paragraph 27 (b)(i-ii)	Paragraph 6 (b)(i-ii)	Corporate Governance Manual
	2-14	Role of the highest governance body in sustainability reporting	Paragraph 27 (b)(i-ii)	Paragraph 6 (b)(i-ii)	Corporate Governance Report
	2-15	Conflicts of interest			Corporate Governance Report
	2-16	Communication of critical concerns			The Whistleblowing Policy The Whistleblower Commitee has received 5 concerns regarding potential and actual negative impacts on stakeholders raised through whistleblower channels.
	2-17	Collective knowledge of the highest governance body			Corporate Governance Report
	2-18	Evaluation of the performance of the highest governance body			Corporate Governance Report
	2-19	Remuneration policies			Corporate Governance Report
	2-20	Process to determine remuneration			Corporate Governance Report
	2-21	Annual total compensation ratio			We do not disclose this information. While the compensation for both our board members and employees is determined by the remuneration committee, disclosing specific figures could reveal confidential or strategic information.
	2-22	Statement on sustainable development strategy	Paragraph 51 (a-e)	Paragraph 28 (a,c)	Statement of Responsibility from the Board Sustainability Policy Our Sustainability Approach
	2-23	Policy commitments			All publicly available corporate policies can be accessed through the following link: **https://www.manilawater.com/corporate-governance/policies**. This repository provides transparent access to the company's governance and operational standards. Code of Business Conduct and Ethics Child Labor Prevention and Elimination Policy Diversity, Equity, and Inclusion Policy Non-Discrimination and Anti-Harassment Policy (Including Disability-related Issues) Sustainability Policy Other Corporate Policies are located here.

GRI Standards

Standard	Code	Disclosure Description	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
General Disclosures					
GRI 2: General Disclosures 2021	2-24	Embedding policy commitments			All company policies, whether new or updated, must be approved by the President and CEO. These policies are then communicated to employees via email and published on the company's website. Employees are required to complete an annual online acknowledgment for the Employee Code of Conduct and its related policies.
	2-25	Processes to remediate negative impacts			Our Whistleblower Policy encourages directors, officers, employees, and third parties to raise concerns about illegal or unethical practices without fear of retaliation. The policy includes mechanisms for oversight and enforcement. In line with our Code of Business Conduct and Ethics, especially the policy on Honesty and Fair Dealing, the Whistleblower Policy fosters a culture of integrity. We have established secure Whistleblower Channels, offering a safe and confidential environment for individuals to report fraud, violations of laws, regulations, or misconduct to the appropriate authorities, ensuring protection against retaliation. For further details, please refer to our Whistleblowing Policy.
	2-26	Mechanisms for seeking advice and raising concerns			Whistleblower Channels are readily available to directors, officers, employees, and third parties to address any concerns. Additionally, our network of vendors can use Vendor 360 to submit comments, complaints, or inquiries.
	2-27	Compliance with laws and regulations			There have been no significant incident of non-compliance with environmental laws and regulations during the reporting period.
	2-28	Membership associations			Membership and Affiliations
	2-29	Approach to stakeholder engagement			Stakeholder Engagement
	2-30	Collective bargaining agreements			As of 2024, 93% of eligible East Zone employees are covered by a collective bargaining agreement. To facilitate employee engagement, we leverage a range of communication channels, including town hall meetings, kamustahan (one-on-one or team meetings with department or group heads), Balita on Wednesday (BOW) Balita and KJAM (an online bulletin board providing regular updates on company events, policies, and organizational announcements).

GRI Standards

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Material topics					
GRI 3: Material Topics 2021	3-1	Process to determine material topics	Paragraph 29 (a-e)		Determining What Matters
	3-2	List of material topics			Determining What Matters
Economic Performance:					
GRI 3: Material Topics 2021	3-3	Management of material topics			Helping Communities Thrive
	201-1	Collective knowledge of the highest governance body	Direct economic value generated and distributed		ESG Performance Data - Economic Contribution Value Creation Framework Sustainability Highlights
	201-2	Financial implications and other risks and opportunities due to climate change	Paragraph 30 (a-c)	"Paragraph 9 (a-e) Paragraph 10 (a-c)"	TCFD and TNFD
	201-3	Defined benefit plan obligations and other retirement plans			Building a Culture of Trust and Care - New hires and turnover
	201-4	Financial assistance received from gov-ernment			We did not receive financial assistance from the government during the reporting period.
Market Presence					
GRI 3: Material Topics 2021	3-3	Management of material topics			Building a Culture of Trust and Care
GRI 202: Market Presence 2016	202-1	Ratios of standard entry level wage by gender compared to local minimum wage			Our established Performance Management System (PMS) prioritizes achieving targets and evaluating employees based on their performance. We guarantee fair treatment for all eligible employees by providing adjustments tied to performance, irrespective of gender or hierarchical level. Equal treatment is consistently applied to everyone based on their performance, and notably, during the reporting period, the minimum pay for Rank and File employees was set at 66% above the minimum wage. Building a Culture of Trust and Care - Employee welfare
	202-2	Proportion of senior management hired from the local community			99% of our senior management are hired from the Philippines.
Indirect Economic Impact					
GRI 3: Material Topics 2021	3-3	Management of material topics			Helping Communities Thrive
GRI 203: Indirect Economic Impact 2016	203-1	Infrastructure investments and services supported			Helping Communities Thrive
	203-2	Significant indirect economic impacts			Helping Communities Thrive Manila Water Foundation ESG Performance Data - Indirect Jobs Created

GRI Standards

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Procurement Practices					
GRI 3: Material Topics 2021	3-3	Management of material topics			Our Vendors' Code of Conduct outlines the rules that guide us in fulfilling our obligations and conducting business with integrity, ensuring compliance with standards, policies, laws, and ethical principles. Vendors' Code of Conduct
GRI 204: Procurement Practices 2016	204-1	Proportion of spending on local suppliers			Our total procurement spending can be accessed in our ESG Performance Data - Supply Chain. We are developing the capability to distinguish our spending based on operational locations.
Anti-corruption					
GRI 3: Material Topics 2021	3-3	Management of material topics			The Code of Business Conduct and Ethics sets the standards for professional and ethical behavior, while articulating acceptable and unacceptable conduct and practices in internal and external dealings of the Company.
GRI 205: Anti-corruption 2016	205-1	Operations assessed for risks related to corruption			As part of our Enterprise Risk Management (ERM) Program, we conduct a comprehensive assessment of all business operations to identify potential risks. For this reporting period, no significant risks related to corruption have been identified.
	205-2	Communication and training about anti-corruption policies and procedures			In line with our commitment to transparency, all corporate policies and guidelines are publicly accessible on our corporate website. Every full- and part-time employee is required to complete an annual online declaration, affirming their understanding and adherence to our Employee Code of Conduct. New hires also participate in an orientation where they familiarize themselves with the Code of Business Conduct and Ethics, along with other pertinent corporate policies. Furthermore, our Vendor Code of Conduct outlines the ethical standards we expect all vendors across our value chain to uphold, ensuring alignment with our business principles.
	205-3	Confirmed incidents of corruption and actions taken			No incidents of violation against anti-corruption policy have been reported during the reporting period.

GRI Standards

Environment
Scope and Boundaries: This report covers the environmental performance of the operations over which the Manila Water has operational control. This includes all facilities, business units, and subsidiaries directly managed by the organization, where we have the authority to influence or implement environmental policies and practices.

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Materials					
GRI 3: Material Topics 2021	3-3	Management of material topics			Protecting the Environment
GRI 301: Materials 2016	301-1	Materials used by weight or volume			ESG Performance Data - Materials
	301-2	Recycled input materials used			ESG Performance Data - Water Supply. As of now this is not yet material to our operations.
	301-3	Reclaimed products and their packaging materials			Not applicable to Manila Water business, as our products do not use packaging materials
Energy					
GRI 3: Material Topics 2021	3-3	Management of material topics			Protecting the Environment
GRI 302: Energy 2016	302-1	Energy consumption within the organi-zation			ESG Performance Data - Energy
	302-2	Energy consumption outside of the organization			ESG Performance Data - Energy
	302-3	Energy intensity			ESG Performance Data - Energy
	302-4	Reduction of energy consumption			Protecting the Environment
	302-5	Reductions in energy requirements of products and services			We do not currently monitor the energy requirements of our products; however, we will continue to monitor and assess the need to track this information regularly.
Water and Effluents					
GRI 3: Material Topics 2021	3-3	Management of material topics			Protecting the Environment
GRI 303: Water and Effluents 2018	303-1	Interactions with water as a shared resource			Protecting the Environment
	303-2	Management of water discharge-related impacts			Protecting the Environment 2023 Approved Service Improvement Plans
	303-3	Water withdrawal			ESG Performance Data - Water Supply
	303-4	Water discharge			ESG Performance Data - Wastewater
	303-5	Water consumption			Our water consumption is mainly the water production of our water facilities. In 2024, we produced 748.02 mcm of potable water. ESG Performance Data - Water Supply

GRI Standards

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Biodiversity					
GRI 3: Material Topics 2021	3-3	Management of material topics			Protecting the Environment Watershed Management Report
GRI 304: Biodiversity 2016	304-1	Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas			Watershed Management Report
	304-2	Significant impacts of activities, products and services on biodiversity			Watershed Management Report
	304-4	IUCN Red List species and national conservation list species with habitats in areas affected by operations			Watershed Management Report
Emissions					
GRI 3: Material Topics 2021	3-3	Management of material topics		Paragraph 28 (a,c)	Protecting the Environment TCFD and TNFD Report
GRI 305: Emissions 2016	305-1	Direct (Scope 1) GHG emissions		Paragraph 29 (a) (i,ii,iv,v)	ESG Performance Data - GHG Emissions
	305-2	Energy indirect (Scope 2) GHG emissions		Paragraph 29 (a) (i,ii,iv,v)	ESG Performance Data - GHG Emissions
	305-3	Other indirect (Scope 3) GHG emissions		Paragraph 29 (a) (i,ii,iv,v)	ESG Performance Data - GHG Emissions
	305-4	GHG emissions intensity		Paragraph 29 (a) (i,ii,iv,v)	ESG Performance Data - GHG Emissions
	305-5	Reduction of GHG emissions		Paragraph 29 (a) (i,ii,iv,v)	Protecting the Environment
	305-6	Emissions of ozone-depleting substances (ODS)			Manila Water doesn't produce enough of these emissions to require disclosure. We'll continue to monitor this and track the information regularly if needed.
	305-7	Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions			We do not have capacity yet to monitor Non-GHG air emissions t date. However, we have been conducting air emission testing for gensets and vehicles, with all tests meeting the required air emission standards.

GRI Standards

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Waste					
GRI 3: Material Topics 2021	3-3	Management of material topics			Protecting the Environment
GRI 306: Waste 2020	306-1	Waste generation and significant waste-related impacts			Protecting the Environment
	306-2	Management of significant waste-related impacts			Protecting the Environment
	306-3	Waste generated			ESG Performance Data - Wastes
	306-4	Waste diverted from disposal			ESG Performance Data - Wastes
	306-5	Waste directed to disposal			ESG Performance Data - Wastes
Supplier Environmental Assessment					
GRI 3: Material Topics 2021	3-3	Management of material topics			Manila Water ensures that all vendors undergo a comprehensive accreditation and pre-qualification process, ensuring they meet financial, technical, and environmental standards. This includes evaluating compliance with environmental laws and the implementation of sustainability programs (covering energy, water, waste management, and hazardous materials) both during initial accreditation and subsequent re-accreditation, with ongoing monitoring throughout the engagement. This ensures our partners share our commitment to sustainability and compliance.
GRI 308: Supplier Environmental Assessment 2016	308-1	New suppliers that were screened using environmental criteria			Manila Water maintains a vendor pool composed of 100% accredited vendors who have successfully undergone our full evaluation and accreditation process, which includes screening of social and environmental criteria, alongside financial and technical requirements. This process mandates the submission of all relevant environmental and social permits. While a probationary process exists for limited transactions, full vendor qualification requires complete permit submission. In 2024, 1018 out of 2753 of the suppliers for accreditation and re-accreditation were screened using the environmental criteria.
	308-2	Negative environmental impacts in the supply chain and actions taken			No negative environmental impacts in the supply chain in 2024.

GRI Standards

Social Scope and Boundaries:
GRI 401-405 reflects the data of employees directly employed by Manila Water
GRI 406-416 reflects the data of all operations of Manila Water

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Employment					
GRI 3: Material Topics 2021	3-3	Management of material topics			Building a Culture of Trust and Care
GRI 401: Employment 2016	401-1	New employee hires and employee turnover			Building a Culture of Trust and Care - New hires and turnover ESG Performance Data - New Employee Hires ESG Performance Data - Employee Turnover
	401-2	Benefits provided to full-time employees that are not provided to temporary or parttime employees			Building a Culture of Trust and Care - New hires and turnover
	401-3	Parental leave			We strictly adhere to existing laws on parental leaves in the regions where our business operates. For employees governed by Philippine laws, parents are entitled to paid maternity leave of up to 105 days and paternity leave of 7 days. Additionally, under existing Philippine laws, solo parents who have rendered at least 1 year of service are entitled to not more than 7 working days of leave every year. Currently, Manila Water does not collect specific retention rate data for employees who have taken parental leave and remain employed one year after their return to work. This data collection is not yet part of our standard HR reporting practices. However, we will implement the necessary systems and procedures to collect and report on this retention rate data for the next reporting period. ESG Performance Data - Benefits to Full Time Employees
Labor/Management Relations					
GRI 3: Material Topics 2021	3-3	Management of material topics			We strictly adhere to the provisions outlined by Philippine law and ensure the effective communication of any updates to relevant employees through multiple channels, including one-on-one sessions, town hall meetings, and other platforms.
GRI 402: Labor/ Management Relations 2016	402-1	Minimum notice periods regarding operational changes			We strictly adhere to the provisions outlined by Philippine law and ensure the effective communication of any updates to relevant employees through multiple channels, including one-on-one sessions, town hall meetings, and other platforms.

GRI Standards

Standard	Code	Disclosure Description	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Occupational Health and Safety					
GRI 3: Material Topics 2021	3-3	Management of material topics			Building a Culture of Trust and Care
GRI 403: Occupational Health and Safety 2018	403-1	Occupational health and safety management system			Although we are not ISO certified, we fully align with the principles of ISO 45001, including leadership commitment, worker participation, hazard identification and risk assessment, legal and regulatory compliance, emergency planning, incident investigation, and a strong commitment to continuous improvement. Health and Safety Policy
	403-2	Hazard identification, risk assessment, and incident investigation			Building a Culture of Trust and Care
	403-3	Occupational health services			Building a Culture of Trust and Care
	403-4	Worker participation, consultation, and communication on occupational health and safety			Building a Culture of Trust and Care
	403-5	Worker training on occupational health and safety			Building a Culture of Trust and Care
	403-6	Promotion of worker health			Building a Culture of Trust and Care
	403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships			Building a Culture of Trust and Care
	403-8	Workers covered by an occupational health and safety management system			While we are not officially certified in any specific management system, we maintain strict adherence to the Occupational Health and Safety (OHS) standards and guidelines set by the Department of Labor and Employment (DOLE) and/or the relevant government agency responsible for occupational health and safety in the countries where we operate. This commitment applies to over 12,215 average contractor per month engaged across our project sites and 2,495 permanent and temporary employees, ensuring their health, safety, and well-being are prioritized at all times.
	403-9	Work-related injuries			Building a Culture of Trust and Care - health and safety performance ESG Performance Data - OHS (Employees)
	403-10	Work-related ill health			There were no incidents of work-related ill-health during the reporting period.

GRI Standards

Standard	Code	Disclosure Description	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Training and Education					
GRI 3: Material Topics 2021	3-3	Management of material topics			Building a Culture of Trust and Care - Learning and Development
GRI 404: Training and Education 2016	404-1	Average hours of training per year per employee			ESG Performance Data - Training & Education
	404-2	Programs for upgrading employee skills and transition assistance programs			Building a Culture of Trust and Care - Learning and Development
	404-3	Percentage of employees receiving regular performance and career development reviews			Building a Culture of Trust and Care - Learning and Development
Diversity and Equal Opportunity					
GRI 3: Material Topics 2021	3-3	Management of material topics			Building a Culture of Trust and Care - Employee engagement
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees			Building a Culture of Trust and Care - Employee distribution ESG Performance Data - Board of Directors Demographics Corporate Governance Report
	405-2	Ratio of basic salary and remuneration of women to men			Rank and File - Average salary of Female is higher by 7% than Male Middle Manager - Average salary of Male is higher by 3% than Female Sr. Manager - Average salary of Female is higher by 9% than Male Director - Average salary of Female higher by 9% than Male *Note: Gender pay ratio applies only to permanent employees.*
Non-discrimination					
GRI 3: Material Topics 2021	3-3	Management of material topics			Non-Discrimination and Anti-Harassment Policy (Including Disability-related Issues)
GRI 406: Non-discrimination 2016	406-1	Incidents of discrimination and corrective actions taken			There were no reported incidents of discrimination during the reporting period.
Freedom of Association and Collective Bargaining					
GRI 3: Material Topics 2021	3-3	Management of material topics			Freedom of Association Policy
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk			Our Vendor Code of Conduct, which is strictly followed by all our accredited vendors, is fully compliant with Department Order No. 18-1. This regulation emphasizes the promotion of fair employment practices, the protection of workers' rights, and the guarantee of just and humane working conditions. It also ensures security of tenure and upholds the principles of self-organization and collective bargaining.

GRI Standards

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Child Labor					
GRI 3: Material Topics 2021	3-3	Management of material topics			We do not tolerate the exploitation of children below eighteen (18) years of age in any of our operations, services, engagements, and business dealings. We fully support initiatives and practices that protect the rights of children and prevent their involvement in unnecessary, forced, or hazardous labor.
GRI 408: Child Labor 2016	408-1	Operations and suppliers at significant risk for incidents of child labor			Child Labor Prevention and Elimination Policy Our Vendor Code of Conduct, followed by all accredited vendors, prioritizes the prevention and elimination of child labor in accordance with Department Order No. 18-1.
Forced or Compulsory Labor					
GRI 3: Material Topics 2021	3-3	Management of material topics			Our Vendor Code of Conduct, followed by all accredited vendors, is fully compliant with Department Order No. 18-1, emphasizing the prohibition and prevention of Forced or Compulsory Labor.
GRI 409: Forced or Compulsory Labor 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labor			
Rights of Indigenous Peoples					
GRI 3: Material Topics 2021	3-3	Management of material topics			We acknowledge the vital role of indigenous peoples as partners for change, ensuring that our operations do not adversely affect their way of life.
GRI 411: Rights of Indigenous Peoples 2016	411-1	Incidents of violations involving rights of indigenous peoples			There have been no incidents of violations involving the rights of indigenous peoples during the reporting period.
Local Communities					
GRI 3: Material Topics 2021	3-3	Management of material topics			Our Sustainability Approach
GRI 413: Local Communities 2016	413-1	Operations with local community engagement, impact assessments, and development programs			Helping Communities Thrive - water and wastewater services MWF Report
	413-2	Operations with significant actual and potential negative impacts on local communities			To minimize public inconvenience during project construction, we implement comprehensive traffic management plans, secure the necessary permits, conduct thorough pre-construction environmental impact assessments, and obtain environmental compliance certificates from the Department of Environment and Natural Resources (DENR).

GRI Standards

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Supplier Social Assessment					
GRI 3: Material Topics 2021	3-3	Management of material topics			We prioritize the evaluation of suppliers' compliance with labor regulations and other relevant social regulations, alongside their adherence to financial and technical requirements. This is ensured through a rigorous accreditation and pre-qualification process.
GRI 414: Supplier Social Assessment 2016	414-1	New suppliers that were screened using social criteria			Manila Water maintains a vendor pool composed of 100% accredited vendors who have successfully undergone our full evaluation and accreditation process, which includes screening of social and environmental criteria, alongside financial and technical requirements. This process mandates the submission of all relevant environmental and social permits. While a probationary process exists for limited transactions, full vendor qualification requires complete permit submission. In 2024, 1018 out of 2753 of the suppliers for accreditation and re-accreditation were screened using the social criteria.
	414-2	Negative social impacts in the supply chain and actions taken			Although we do not conduct specific assessments of suppliers regarding their actual or potential negative social impacts, a dedicated team is responsible for evaluating the overall performance of our vendors.
Public Policy					
GRI 3: Material Topics 2021	3-3	Management of material topics			Our Code of Business Conduct and Ethics explicitly prohibits the offering of facilitating payments to any private or government officials or employees with the intent of gaining perceived or actual favor or advantage.
GRI 415: Public Policy 2016	415-1	Political contributions			
Customer Health and Safety					
GRI 3: Material Topics 2021	3-3	Management of material topics			Helping Communities Thrive - Water and wastewater services
GRI 416: Customer Health and Safety 2016	416-1	Assessment of the health and safety impacts of product and service categories			Helping Communities Thrive - Water and wastewater services ESG Performance Data - Water Quality
	416-2	Incidents of non-compliance concerning the health and safety impacts of products and services			ESG Performance Data - Incidents of Non-Compliance

GRI Standards

Standard	Code	Disclosure Desciption	IFRS S1 Recommended Disclosure	IFRS S2 Recommended Disclosure	Manila Water Disclosure
Marketing and Labeling					
GRI 3: Material Topics 2021	3-3	Management of material topics			At this time, this topic is not considered material for Manila Water. However, we will continue to conduct regular assessments to evaluate if it becomes necessary to begin tracking it in the future.
GRI 417: Marketing and Labeling 2016	417-1	Requirements for product and service information and labeling			
	417-2	Incidents of non-compliance concerning product and service information and labeling			
	417-3	Incidents of non-compliance con- cerning marketing communications			
Customer Privacy					
GRI 3: Material Topics 2021	3-3	Management of material topics			Our Data Privacy Statement and Policy commits to protect the privacy of the personal information of our clients, employees, or any other individuals in connection with the water, used water and sanitation services we provide in accordance with the Data Privacy Act of 2012.
GRI 418: Custom- er Privacy 2016	418-1	Substantiated com- plaints concerning breaches of customer privacy and losses of customer data			There have been no incidents of non- compliance concerning breaches of customer privacy and losses of customer data during the reporting period.

Sustainability Accounting Standards Board (SASB)

Topic	Code	Metric	Manila Water Disclosure
Energy Management	IF-WU-130a.1	(1) Total energy consumed, (2) percentage grid electricity and (3) percentage renewable	ESG Performance Data - Energy
Distribution Network Efficiency	IF-WU-140a.1	Water main replacement rate	ESG Performance Data - Distribution Network Efficiency
	IF-WU-140a.2	Volume of non-revenue real water losses	ESG Performance Data - Water Supply
Effluent Quality Management	IF-WU-140b.1	Number of incidents of non-compliance associated with water effluent quality permits, standards, and regulations	ESG Performance Data - Incidents of Non-Compliance
	IF-WU-140b.2	Discussion of strategies to manage effluents of emerging concern	Protecting the Environment
Water Affordability & Access	IF-WU-240a.1	Average retail water rate for (1) residential, (2) commercial, and (3) industrial customers	Average Residential Tariff, PhP/30 cu.m., excluding taxes East Zone - Php 33.69 Laguna Water - Php 46.54 Boracay Water - Php 130.51 Clark Water - Php 22.72 Includes environmental charges for East Zone, Boracay Water, and Laguna Water
	IF-WU-240a.3	Number of residential customer water disconnections for non-payment, percentage reconnected within 30 days	ESG Performance Data - Reconnection Rate
	IF-WU-240a.4	Discussion of impact of external factors on customer affordability of water, including the economic conditions of the service territory	Helping Communities Thrive - Water and wastewater services
Drinking Water Quality	IF-WU-250a.1	Number of (1) acute health-based, (2) nonacute health-based, and (3) non-health-based drinking water violations	For total number of drinking water violations, refer to: ESG Performance Data - Incidents of Non-Compliance For compliance to drinking water standards, refer to: ESG Performance Data - Water Quality
	IF-WU-250a.2	Discussion of strategies to manage drinking water contaminants of emerging concern	Helping Communities Thrive - Water and wastewater services
End-Use Efficiency	IF-WU-420a.1	Percentage of water utility revenue from rate structures designed to promote conservation and revenue resilience	Disclosure may not be applicable to the Philippine context. We will regularly assess to determine the need to track this information.
	IF-WU-420a.2	Customer water savings from efficiency measures, by market	Disclosure may not be applicable to the Philippine context. We will regularly assess to determine the need to track this information.

SASB Standards

Topic	Code	Metric	Manila Water Disclosure
Water Supply Resilience	IF-WU-440a.1	Total water sourced from regions with High or Extremely High Baseline Water Stress; percentage purchased from a third party	For the amount of water purchased from third party refer to ESG Performance Data - Water Supply Protecting the Environment Using the version 4 WRI Aqueduct Tool, our total raw water withdrawal from high to extremely high water stress sources in 2024 is at 580 mcm.
	IF-WU-440a.2	Volume of recycled water delivered to customers	ESG Performance Data - Water Supply
	IF-WU-440a.3	Discussion of strategies to manage risks associated with the quality and availability of water resources	Our Sustainability Approach Protecting the Environment Helping Communities Thrive - Water security
Network Resiliency & Impacts of Climate Change	IF-WU-450a.1	Wastewater treatment capacity located in 100-year flood zones	Fifteen of our wastewater treatment facilities (total capacity: 270,000 m^3/day) are located in medium to high flood risk areas (0.5 to over 1.5-meter flood levels), as identified by WRI Aqueduct Floods. These facilities are designed or retrofitted to minimize operational disruptions during floods, with a goal of promptly resuming normal operations after any short downtime.
	IF-WU-450a.2	(1) Number and (2) volume of sanitary sewer overflows (SSO) and (3) percentage of volume recovered	Manila Water does not monitor sanitary sewer overflows. We are still building the capacity to monitor this information.
	IF-WU-450a.3	(1) Number of unplanned service disruptions and (2) customers affected, each by duration category	ESG Performance Data - Service Disruptions
	IF-WU-450a.4	Description of efforts to identify and manage risks and opportunities related to the impact of climate change on distribution and wastewater infrastructure	Protecting the Environment

SASB Standards

Topic	Code	Metric	Manila Water Disclosure
Activity Metrics	IF-WU-000.A	Number of: (1) residential, (2) commercial, and (3) industrial customers served, by service provided	Currently, Manila Water does not collect and aggregate customer type data (residential or commercial) at the enterprise level. We are implementing the necessary data collection and aggregation processes to include this customer type breakdown in our reporting for the next period. ESG Performance Data - Water Access
	IF-WU-000.B	Total water sourced, percentage by source type	ESG Performance Data - Water Supply
	IF-WU-000.C	Total water delivered to: (1) residential, (2) commercial, (3) industrial, and (4) all other customers	Currently, Manila Water does not collect and aggregate customer type data (residential or commercial) at the enterprise level. We are implementing the necessary data collection and aggregation processes to include this customer type breakdown in our reporting for the next period. ESG Performance Data - Water Access
	IF-WU-000.D	Average volume of wastewater treated per day, by (1) sanitary sewer, (2) stormwater, and (3) combined sewer	Average volume of wastewater treated per day, (1) Sanitary sewer: 74,309.62 m^3/day (2) Desludging: 809.04 m^3/day (3) Combined sewer: 106,710.38 m^3/day Facilities that have both sanitary sewer and combined sewer systems are classified under combined sewer. Stormwater treatment data collection is not a current capability. We will assess the feasibility of implementing this in the future. For total treated water, refer to: ESG Performance Data - Wastewater
	IF-WU-000.E	Length of (1) water mains and (2) sewer pipe	ESG Performance Data - Distribution Network Efficiency

Task Force on Climate-related Financial Disclosures (TCFD) & Task Force on Nature-related Financial Disclosures (TNFD)

Reporting period is 1st January 2024 - 31st December 2024
Scope: All Business Units under Manila Water's operational control

TCFD Recommended Disclosure	TNFD Recommended Disclosure	Manila Water Disclosure
Governance		
Describe the Board's Oversight of Climate-related risks and opportunities.	Describe the board's oversight of nature-related dependencies, impacts, risks and opportunities.	**Governance of Climate and Nature-Related Matters** Our Board actively oversees the company's response to climate and nature-related dependencies, impacts, risks, and opportunities. This oversight is facilitated through dedicated board committees: **The ESG Committee:** This committee plays a central role in driving our sustainability strategy, including climate and nature-related issues. It focuses on: - Identifying and assessing emerging climate and nature-related risks and opportunities. - Developing and monitoring the implementation of our climate and nature-related strategies, targets, and performance. - Ensuring the integration of sustainability considerations into our core business decisions. **The Board Risk Oversight Committee (BROC):** While primary oversight of climate-related matters now resides with the ESG Committee, the BROC continues to play a crucial role by: - Providing comprehensive oversight of all significant risks, including those related to water security, natural disasters, and other environmental threats. - Ensuring the effectiveness of our enterprise risk management framework in addressing climate and nature-related risks. To strengthen our governance of climate and nature-related matters, we have transitioned the primary oversight of climate-related risks and opportunities from the BROC to the ESG Committee, effective 2024. This reflects our commitment to integrating sustainability considerations more deeply into our core governance and decision-making processes. For further details on the roles and responsibilities of these committees, please refer to our Corporate Governance Report and Enterprise Risk Management (ERM) framework."
Describe management's role in assessing and managing climate-related risks and opportunities.	Describe management's role in assessing and managing nature-related dependencies, impacts, risks, and opportunities.	**Leadership in Sustainability and Risk Management** Strong leadership drives our sustainability and risk management efforts. Our President and CEO champion these initiatives, prioritizing water security and actively addressing climate and nature-related dependencies, impacts, risks, and opportunities. Our robust Enterprise Risk Management (ERM) framework provides a foundation for identifying and managing these challenges. The Chief Risk Officer (CRO) and the ERM Department oversee the ERM process, ensuring comprehensive risk assessments and mitigation strategies. The Enterprise Risk Management Executive Committee (ERMEC), comprising the President, the Senior Leadership Team (SLT), and the CRO, plays a critical role in prioritizing and addressing the company's most significant risks. In addition, the Sustainability Officer (SO), in close collaboration with the President and Chief Administrative Officer, leads the development and implementation of our sustainability strategy. This encompasses oversight on projects on: - Climate Action: Developing a a roadmap to reduce GHG, enhancing energy efficiency, and transitioning to renewable energy sources. - Water Security: Protecting and restoring critical watersheds through effective watershed management. - Adaptation: Implementing strategies to adapt to the impacts of climate change. The Sustainability Team works closely with all business units to execute and monitor these strategies, ensuring measurable progress and continuous improvement.

TCFD Recommended Disclosure	TNFD Recommended Disclosure	Manila Water Disclosure
Governance		
	Describe the organisation's human rights policies and engagement activities, and oversight by the board and management, with respect to Indigenous Peoples, Local Communities, affected and other stakeholders, in the organisation's assessment of, and response to, nature-related dependencies, impacts, risks and opportunities.	**Community and Indigenous Peoples Engagement** We actively engage local communities and Indigenous Peoples in the protection and reforestation of watersheds that supply our raw water. Specifically, we work closely with the Dumagat communities residing in the General Nakar, Ipo, and Upper Marikina watersheds to safeguard and rehabilitate these vital ecosystems. Please refer to the Watershed Management Report for the details of engagament in each watershed. For projects and engagements involving Indigenous Peoples or impacting their communities, we ensure full compliance with the Indigenous Peoples Rights Act of the Philippines.
Strategy		
Describe the climate-related risks and opportunities the organization has identified over the short, medium, and long term.	Describe the nature-related dependencies, impacts, risks and opportunities the organisation has identified over the short, medium and long term	**Dependencies, Impacts, Risks and Opportunities** **Nature-related dependencies:** water sources/ water flow maintenance; fresh water availability and quality of surface and groundwater, soil quality, biodiversity loss and invasive species. Please refer to Protecting the Environment and Watershed Report. **Nature-related impacts:** fresh water use, greenhouse gas emissions/climate change, water pollution, land and water use changes (enhancement or degradation). Please refer to Protecting the Environment and Watershed Report. **Climate and nature-related risks:** **Physical Risks:** coastal flooding, temperature extremes, fluvial flooding, water stress, drought, wildfire, and tropical cyclones Transition Risks: technology, reputation, market, litigation, and regulations **Climate and nature-related opportunities:** development of products and services, expansion of markets and businesses, sourcing of clean and renewable energy, implementation of resource efficiency initiatives, circular economy, innovations, implementation of resilience and adaptation strategies
Describe the impact of climate-related risks and opportunities on the organization's businesses, strategy, and financial planning.	Describe the effect nature-related dependencies,impacts, risks and opportunities have had on the organisation's business model, value chain, strategy and financial planning, as well as any transition plans or analysis in place.	Our Commitment to Climate Action and Environmental Sustainability Recognizing the interdependence between our business and the environment, we have long prioritized climate action and environmental sustainability. In 2007, we formalized this commitment with the adoption of a comprehensive Climate Change Policy [link]. This policy, focuses on three key pillars: adaptation, mitigation, and partnership. It guides our approach to navigating climate-related risks and opportunities, incorporating the scientific advancements, evolving regulatory requirements, and emerging industry trends. Our dedication to environmental protection and nature conservation is further articulated in our Environmental Policy and Biodiversity Policy. These policies provide a strategic framework for decision-making across all levels of our organization. To enhance our resilience to climate and nature-related risks, we have established dedicated teams focused on water resource management, master planning, watershed management, environmental compliance, innovation, and business continuity. These teams actively identify and leverage opportunities arising from climate change while mitigating potential impacts. In 2024, we invested more than PhP 5 billion for our water security projects and PhP 3 billion for our wastewater expansion projects in the East Zone. Furthermore, we invested PhP 192 million to retrofit our facilities and allocated PhP 14 milion to strengthen our business continuity. The planned investments for the East Zone demonstrate our commitment to long-term sustainability. Based on the current service improvement plan, from 2023 to 2027, we will invest PhP 67 billion, followed by an estimated PhP 124 billion from 2028 to 2047. These investments will prioritize water security, service continuity, and improved service accessibility for our customers. The 2023 East Zone Service Improvement Plan (SIP) outlines significant allocations for environmental sustainability initiatives, including the development of new wastewater facilities, expansion of sewer networks, and comprehensive watershed management programs. These initiatives are allocated PhP 27 billion for 2023-2027 and PhP168 billion for 2028-2047.

TCFD Recommended Disclosure	TNFD Recommended Disclosure	Manila Water Disclosure
Strategy		
Describe the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.	Describe the resilience of the organisation's strategy to nature-related risks and opportunities, taking into consideration different scenarios .	**Climate Scenario Assessment and Financial Impacts** In 2022, we engaged an external expert to perform a comprehensive climate scenario assessment using the Climanomics Platform. The study analyzed two key climate scenarios over a 70-year period (2020–2090), with a specific focus on 2030: Representative Concentration Pathways (RCP) 8.5: A high-emission scenario where global temperatures increase by approximately 4.3°C due to steadily rising greenhouse gas (GHG) emissions. RCP 4.5: A moderate-emission scenario where global temperatures rise by about 2.4°C as GHG emissions gradually decline. To ensure thoroughness, over 600 company assets nationwide were assessed for risks and impacts across varying time horizons. The assessment identified physical and transition risks and their potential financial implications for 2030: Physical Risks Coastal flooding, temperature extremes, fluvial flooding, water stress, drought, wildfire, tropical cyclone Transition Risks Technology, market dynamics, reputation, carbon pricing*, and litigation *There is currently no carbon pricing mechanism in the Philippines. Looking ahead, we plan to conduct a nature-related assessment, incorporating different scenarios to further understand and address potential risks and opportunities.
	Disclose the locations of assets and/or activities in the organisation's direct operations and, where possible, upstream and downstream value chain(s) that meet the criteria for priority locations.	**Priority Locations in Our Operations** Our operations are concentrated in critical areas that require focused environmental stewardship. These priority locations include: 1. Key Water Sources and Watersheds Our key water sources and watersheds are vital to ensuring water security and are located in protected areas. These locations are mapped and described in detail in the 2024 Watershed Management Report. The report provides insights into our efforts to manage and protect these areas. 2. Key Receiving Bodies of Water for Effluent East Zone Water Systems: Marikina River, San Juan River, Pasig River, Laguna Lake, and Manila Bay Boracay Water: Sibuyan Sea We remain committed to continuously mapping our value chain to identify and address additional priority areas.

<table>
<tr><th>TCFD Recommended Disclosure</th><th>TNFD Recommended Disclosure</th><th>Manila Water Disclosure</th></tr>
<tr><td>Risk Management</td><td>Risk and Impact Management</td><td></td></tr>
<tr><td rowspan="2">Describe the organization’s processes for identifying and assessing climate-related risks.</td><td>Describe the organisation’s processes for identifying, assessing and prioritising nature-related dependencies, impacts, risks and opportunities in its direct operations.</td><td rowspan="2">Our integrated risk management approach, incorporating both top-down and bottom-up methodologies, leverages the globally recognized ISO 31000:2008 framework. This Enterprise Risk Management (ERM) process systematically identifies, assesses, prioritizes, and mitigates risks, including those related to climate and nature. For detailed information, please refer to the ERM section of the report.

To enhance and augment our risk assessment, we conducted a comprehensive suite of analyses over the years. This includes:

- Resiliency and Business Interruption Studies: Executed by third-party consultants for East Zone and Laguna Water, these studies evaluated the impacts of specific scenarios, such as a 180-year rainfall event and a tropical cyclone with sustained winds of 220 kph.
- Climate Scenario Assessment: Conducted by an independent consultant using The Climanomics for RCPs 4.5 and 8.5, this assessment identified potential financial impacts and opportunities arising from climate-related risks across the entire enterprise.
- Feasibility Studies and Environmental Impact Assessments: This is done specifically for critical projects and those located in high-risk areas, these assessments explicitly consider climate and nature-related dependencies, impacts, risks, and opportunities.
- Materiality Assessment: Done every 2 years to recalibrate strategic sustainability prioirities, the assessment considers the top risks identified and a broader range of stakeholder insights, ESG trends and sustainability risks and opportunities. In 2024, we collaborated with an external expert to conduct a double materiality assessment, evaluating both the impact and financial materiality of sustainability issues. This process identified key material topics, including water stewardship, climate change, biodiversity, and ecosystems, among others. For further details, please refer to the Materiality section of the report.

By nature of the business, the risk management process considers impact, risks and opportunities to its direct operations, and in our upstream and downstream value chain. This covers the full value chain -- from the water source and watershed areas, treatment and distribution of water services, and end of life treatment as we also cover wastewater and sanitation services.</td></tr>
<tr><td>Describe the organisation’s processes for identifying, assessing and prioritising nature-related dependencies, impacts, risks and opportunities in its upstream and downstream value chain(s).</td></tr>
<tr><td>Describe the organization’s processes for managing climate-related risks.</td><td>Describe the organisation’s processes for managing nature-related dependencies, impacts, risks and opportunities.</td><td rowspan="2">The Board Risk Oversight Committee (BROC) provides oversight of the company's strategic risks. Concurrently, the Enterprise Risk Management (ERM) team, in collaboration with management, ensures that all operational risks are effectively managed through the implementation of robust internal controls.

As a company, we foster s a strong risk-aware culture where all employees, at all levels, are empowered and accountable for identifying, mitigating, and managing risks within their respective areas of responsibility.

Specifically addressing climate and nature-related risks, the Sustainability team, operating under the guidance of the Environmental, Social, and Governance (ESG) Committee, collaborates closely with operational and line teams to drive programmatic initiatives in climate action, watershed management, and water stewardship.

In addition, we established ESG targets related to greenhouse gas (GHG) emissions and biodiversity. In 2025, these targets will undergo a comprehensive review and refinement process to ensure they remain current and effectively address identified risks.</td></tr>
<tr><td>Describe how processes for identifying, assessing, and managing climate-related risks are integrated into the organization’s overall risk management.</td><td>Describe how processes for identifying, assessing, prioritising and monitoring nature-related risks are integrated into and inform the organisation’s overall risk management processes.</td></tr>
</table>

TCFD Recommended Disclosure	TNFD Recommended Disclosure	Manila Water Disclosure
Metrics and Targets	**Metrics and Targets**	
Disclose the metrics used by the organization to assess climate-related risks and opportunities in line with its strategy and risk management process.	Disclose the metrics used by the organisation to assess and manage material nature-related risks and opportunities in line with its strategy and risk management process .	**Climate and nature-related risks metrics** 1. Water buffer 2. Water abstraction from water stress sources 3. GHG Emissions (Scope 1, 2 and 3) 4. GHG Emission Intensities **Climate and nature-related opportunities metrics** 1. Non-revenue water 2. Backwash reuse 3. Watershed protected 4. Watershed reforested and enriched 5. Wastewater coverage 6. Energy intensity and % renewable energy
Disclose Scope 1, Scope 2 and, if appropriate, Scope 3 greenhouse gas (GHG) emissions and the related risks.	Disclose the metrics used by the organisation to assess and manage dependencies and impacts on nature .	**Climate:** Scope 1, 2 and 3 **Nature-related impacts and dependencies:** 1. Water Abstraction 2. Watershed protected 3. Watershed reforested and enriched 4. Wastewater treated 5. BOD removed 6. Wastes generated, treated and disposed 7. GHG Emissions (Scope 1, 2 and 3) 8. GHG Emission Intensities
Describe the targets used by the organization to manage climate-related risks and opportunities and performance against targets.	Describe the targets and goals used by the organisation to manage nature-related dependencies, impacts, risks and opportunities and its performance against these.	**Climate-Related Targets** We have established climate-related targets for 2025, which focus on key areas such as water security, watershed protection, reforestation, non-revenue water (NRW) reduction, and greenhouse gas (GHG) reduction and avoidance. For more details, please refer to our ESG Targets. Additionally, we are currently refining our targets for reducing Scope 1 and 2 GHG emissions.

ESG Performance Data

This document is Manila Water's Enivronment, Social, and Governance (ESG) Data Book, which reflects the company's performance and impact for the period January 1- December 31, 2024.
The indicators for which data has been collected are in reference to the Global Reporting Initiative (GRI) 2021 and Sustainability Accounting Standards Board (SASB) 2023.

This is intended to be examined alongside the Manila Water 2024 Integrated Report, which can be found here:
Manila Water 2024 Integrated Report

Progress on ESG Commitments to 2025

Agenda	ESG Commitments to 2025	Unit of Measurement	2022	2023	2024
Help Communities Thrive	At least 15% Raw Water Supply Buffer	%	27.70%	24.07%	23.19%
	< 15% NRW level[1]	%	12.15%	13.51%	13.84%
	100% compliance to national drinking water standards	%	99.87%	99.94%	99.59%
Protect the Environment	60% Reduction and avoidance through renewable energy and wastewater treatment	%	36.28%	42.08%	44.38%
	1000 hectares of Watershed areas reforested from 2022 – 2025	cummulative hectares	430	680	975
	580,000 trees planted and nurtured between 2022-2025	cummulative number of trees	207,333	310,957	442,008
Build a Culture of Trust and Care	Building infrastructure sufficient to satisfy service commitments and improvements[2]	PHP Billion	21.71	20.18	25.57
	Zero Lost Time Injury Rate (LTIR)	LTI rate	0.38	0.46	0

Notes:

1. Target scope is MWC East Zone business
2. Target considers concession business units only.
   2024 data excludes figures from the divested Bulakan Water and Obando Water assets.

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Economic Contribution

KPI	Unit of Measurement	Reference Standard	2022	2023	2024	% Change
Economic value generated[1]	Billion PHP	GRI 2016:201-1	22.92	31.00	37.02	19.4%
Revenue	Billion PHP	GRI 2016:201-1	22.92	31.00	37.02	19.4%
Economic value distributed	Billion PHP	GRI 2016:201-1	17.40	21.15	24.93	17.9%
Operating cost [2]	Billion PHP	GRI 2016:201-1	8.05	7.90	8.47	7.3%
Employee wages and benefits	Billion PHP	GRI 2016:201-1	2.47	2.48	2.82	13.9%
Payments to providers of capital	Billion PHP	GRI 2016:201-1	4.10	7.12	9.12	28.1%
Payments to government	Billion PHP	GRI 2016:201-1	2.72	3.61	4.46	23.6%
Community investments	Billion PHP	GRI 2016:201-1	0.05	0.05	0.07	38.0%
Economic value retained	Billion PHP	GRI 2016:201-1	5.53	9.85	12.09	22.7%
Capital expenditure[3,4]	Billion PHP	GRI 2016:201-1	22.40	21.60	26.30	21.8%

Notes:

1. Consistent growth driven by increased billed volume and tariff adjustments.
2. Increase in operating cost was driven by expanding capacity through new facilities (e.g., Calawis Phase 1, East Bay Phase 1).
3. CAPEX includes both cash flow and accrued expenses.
4. Key projects contributing to increased CAPEX include East Bay Phase 2, Wawa-Calawis Phase 2, the Ilagan Water Treatment Plant, and BNR Upgrades.

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Supply Chain

KPI	Unit of Measurement	Reference Standard	2022	2023	2024	'24 vs '23 % Change
Total Procurement Spend [1]	Billion PHP		15.59	25.58	18.1	-29.1%
Total number of vendors engaged [2]	count		708	775	877	13.2%

Notes:

1,2. Procurement spend and vendor count include only spending associated with purchase or job orders marked for release.

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Materials

KPI	Unit of Measurement	Reference	2022	2023	2024	% Change
Total Chemical Consumption[1]	metric tons	GRI:2016 301-1	20,104.43	18,170.14	18,698.13	2.9%
Chemical consumption, water supply[1]	metric tons	GRI:2016 301-1	15,029.31	15,294.34	16,152.42	5.6%
Chemical consumption, wastewater	metric tons	GRI:2016 301-1	5,075.12	2,875.80	2,545.71	-11.5%

KPI	Unit of Measurement	Reference	2022	2023	2024	% Change
Chemical intensity						
Chemical intensity, water supply[1]	metric tons/MCM withdrawn	GRI:2016 301-1	20.39	19.86	20.77	4.6%
Chemical intensity, wastewater	metric tons/MCM WW received	GRI:2016 301-1	66.44	37.46	38.35	2.4%

KPI	Unit of Measurement	Reference	2022	2023	2024	% Change
Renewable Materials Consumption[2]	metric tons	GRI:2016 301-1	107.82	72.52	26.39	-63.6%
Water Supply	metric tons	GRI:2016 301-1	-	-	-	
Wastewater	metric tons	GRI:2016 301-1	107.82	72.52	26.39	-63.6%
Non-Renewable Materials Consumption[1]	metric tons	GRI:2016 301-1	19,996.63	18,097.65	18,667.44	3.1%
Water Supply[1]	metric tons	GRI:2016 301-1	15,029.31	15,294.34	16,148.11	5.6%
Wastewater	metric tons	GRI:2016 301-1	4,967.30	2,803.28	2,519.33	-10.1%
% Renewable materials consumption[1]	%	GRI:2016 301-2	0.4%	0.3%	0.1%	-0.2%
Water Supply[1]	%	GRI:2016 301-2	-	-	-	
Wastewater	%	GRI:2016 301-2	2.1%	2.5%	1.0%	-1.5%

Notes:

1. The data for 2022 and 2023 data has been updated to align with the revised reporting boundary for environmental indicators, now only focusing on business units under our operational control
2. Renewable materials include glycerine and molasses used for wastewater treatment.

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Water Supply[2]

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total water withdrawal[1,4]	MCM	GRI:2018 303-3	737.27	770.27	777.64	1.0%
Groundwater	MCM	GRI:2018 303-3	112.74	123.26	119.39	-3.1%
Third-party Groundwater	MCM	GRI:2018 303-3	0.35	0.65	0.51	-21.1%
Surface water	MCM	GRI:2018 303-3	619.09	641.44	653.84	1.9%
Third-party Surface water	MCM	GRI:2018 303-3	5.09	4.93	3.90	-20.9%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total water withdrawal[1]	% of Water By Source	GRI:2018 303-3	100%	100%	100%	
Groundwater	% of Water By Source	GRI:2018 303-3	15.29%	16.00%	15.35%	-0.6%
Third-party Groundwater	% of Water By Source	GRI:2018 303-3	0.05%	0.08%	0.07%	0.0%
Surface water	% of Water By Source	GRI:2018 303-3	83.97%	83.27%	84.08%	0.8%
Third-party Surface water	% of Water By Source	GRI:2018 303-3	0.69%	0.64%	0.50%	-0.1%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total water production[3,4]	MCM	GRI:2018 303-3	720.19	740.04	748.02	1.1%
Groundwater	MCM	GRI:2018 303-3	111.88	114.77	113.68	-1.0%
Third-party Groundwater	MCM	GRI:2018 303-3	0.35	0.65	0.51	-21.1%
Surface water	MCM	GRI:2018 303-3	602.86	619.69	629.94	1.7%
Third-party Surface water	MCM	GRI:2018 303-3	5.09	4.93	3.90	-21.0%

Notes:

1. All water withdrawn is classified as freshwater (≤1,000 mg/L Total Dissolved Solids).
2. The data for 2022 and 2023 data has been updated to align with the revised reporting boundary for environmental indicators, now only focusing on business units under our operational control.
3. Total water production is defined as (Water Withdrawal) - (Discharge) as prescribed in GRI 303-5: Water Consumption.
4. The decline in water withdrawal and production is primarily attributable to the divestment of two assets - Bulakan Water and Obando Water.
5. Increase in backwash recovered is a deliberate effort to ensure water security through resource efficiency and maximizing available water in facilities
6. Restated the 2022 and 2023 non-revenue real water loss volumes following a review of our calculation methodology.

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Water Supply[2]

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total water production	% of Water By Source	GRI:2018 303-3	100%	100%	100%	
Groundwater	% of Water By Source	GRI:2018 303-3	15.54%	15.51%	15.20%	-0.31%
Third-party Groundwater	% of Water By Source	GRI:2018 303-3	0.05%	0.09%	0.07%	-0.02%
Surface water	% of Water By Source	GRI:2018 303-3	83.71%	83.74%	84.21%	0.48%
Third-party Surface water	% of Water By Source	GRI:2018 303-3	0.71%	0.67%	0.52%	-0.15%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Backwash recovered[5]	MCM	GRI:2018 303-3	3.81	6.45	7.57	17.3%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Non-revenue water %, end-of-period	%	GRI:2018 303-3	14.07%	15.07%	14.61%	-3.1%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Non-revenue real water losses[6]	MCM	SASB IF-WU-140a.2	103.21	117.56	107.77	-8.3%

Notes:

1. All water withdrawn is classified as freshwater (≤1,000 mg/L Total Dissolved Solids).
2. The data for 2022 and 2023 data has been updated to align with the revised reporting boundary for environmental indicators, now only focusing on business units under our operational control.
3. Total water production is defined as (Water Withdrawal) - (Discharge) as prescribed in GRI 303-5: Water Consumption.
4. The decline in water withdrawal and production is primarily attributable to the divestment of two assets - Bulakan Water and Obando Water.
5. Increase in backwash recovered is a deliberate effort to ensure water security through resource efficiency and maximizing available water in facilities
6. Restated the 2022 and 2023 non-revenue real water loss volumes following a review of our calculation methodology.

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Wastewater[1]

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total wastewater treated[2]	MCM	GRI:2018 303-4	76.38	76.76	66.39	-13.5%
Disposed to seawater	MCM	GRI:2018 303-4	1.93	2.24	2.42	8.4%
Disposed to surface water	MCM	GRI:2018 303-4	74.45	74.53	63.96	-14.2%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Organic pollution load removed through wastewater treatment	metric tons BOD		7,995.10	8,079.46	8,363.11	3.5%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
CO_2 avoided due to wastewater treatment[3,4]	metric tons CO_2e		55,906.72	63,391.11	65,708.61	3.7%

Notes:

1. Wastewater data is collected from monthly monitoring records at facilities within the East Zone, Boracay Water, Clark Water, Estate Water, and Laguna Water. These records include continuous monitoring logs detailing parameters such as flow and Biochemical Oxygen Demand (BOD).
2. Reduced wastewater treatment is primarily due to: (1) lower flows due to El Niño's and pumping equipment rehabilitation; and (2) lower domestic wastewater flow in Laguna Water due to tariff adjustments.
3. 2022 data used AR4 guidance (Methane = 25 GWP), while 2023 and 2024 data used AR5 guidance (Methane = 28 GWP).
4. The computation of CO2 avoided due to wastewater treatment was based on the updated 2019 Intergovernmental Panel on Climate Change (IPCC) Guidelines for National Greenhouse Gas Inventories.

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Biodiversity

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Trees planted[1]	count, cumulative		1,462,945	1,566,569	1,697,620	8.4%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Reforested area[1]	hectares, cumulative		2,889	3,139	3,434	9.4%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Protected area	hectares		195,586	195,586	195,727	0.1%

Notes:

1. Covers trees planted and area reforested since 2006

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Wastes[8]

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total Wastes Generated[1]	Metric Tons	GRI 2020:306-3	32,792.88	20,229.88	19,698.21	-2.6%
Non-hazardous Waste[1]	Metric Tons	GRI 2020:306-3	32,650.77	19,761.57	19,181.94	-2.9%
Hazardous Waste[1,2]	Metric Tons	GRI 2020:306-3	142.10	468.31	516.27	10.2%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Waste Diverted from Disposal[1]	Metric Tons	GRI 2020:306-4	31,219.29	18,337.08	17,320.08	-5.5%
Non-hazardous Waste	Metric Tons	GRI 2020:306-4	31,215.06	17,907.27	16,813.14	-6.1%
Recycled Offsite[3]	Metric Tons	GRI 2020:306-4	31,215.06	17,907.27	16,813.14	-6.1%
Hazardous Waste[1,2]	Metric Tons	GRI 2020:306-4	4.23	429.81	506.95	17.9%
Recycled Offsite[1,2,4]	Metric Tons	GRI 2020:306-4	4.23	429.81	506.95	17.9%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Waste Directed to Disposal[1]	metric tons	GRI 2020:306-5	1,523.27	1,991.97	2,372.13	19.1%
Non-hazardous Waste	metric tons	GRI 2020:306-5	1,435.71	1,937.79	2,368.80	22.2%
Landfilling[5]	metric tons	GRI 2020:306-5	1,435.71	1,937.79	2,368.80	22.2%
Hazardous Waste[1]	metric tons	GRI 2020:306-5	87.56	54.18	3.32	-93.9%
Landfilling[1,6]	metric tons	GRI 2020:306-5	87.56	54.18	3.31	-93.9%
Other Disposal Operations[1,7]	metric tons	GRI 2020:306-5	-	-	0.01	

Notes:

1. Prior year data has been restated to conform to the 2024 definition of scope and boundary. This definition encompasses only business units under operational control.
2. Hazardous waste generation increased due to increase in maintenance activities and wastewater quality concerns in Estate Water.
3. Includes biosolids from all wastewater treatment operations except Clark Water
4. Composed of Waste Oil (WO-I101), Fats, Oil, and Grease (H802), Waste Electrical and Electronic Equipment (M506), and Used Lead Acid batteries (ULAB-D406)
5. 2024 waste data now includes East Zone office waste, in addition to grits and screenings and recyclables.
6. Includes Contaminated Materials (J201), Busted fluorescent lamps (BFL-D407), and Oil-contaminated materials(I104)
7. Includes Pathological wastes (M501) with thermal decomposition as its disposal method.
8. Wastes data was derived from monitoring records which capture specific waste stream data including types, quantities, and disposal methods, and periodic self-monitoring reports of business units under operational control.

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Energy

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Energy Consumption within the Organization	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	1,012,298.29	962,302.10	1,028,747.20	6.9%
Fuel Consumption from Non-Renewable Sources[1,2,8]	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	174,281.91	72,114.99	92,540.88	28.3%
Diesel	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	169,361.40	67,182.43	88,302.40	31.4%
Gasoline	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	4,920.51	4,932.55	4,238.49	-14.1%
Fuel Consumption from Renewable Sources[1,2,8]	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	4,003.08	1,939.65	2,273.03	17.2%
Diesel	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	3,456.36	1,371.07	1,802.09	31.4%
Gasoline	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	546.72	568.58	470.94	-17.2%
Electricity Consumption[3]	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	834,013.30	888,247.46	933,933.29	5.1%
Non-renewable Sources	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	742,438.34	870,412.53	929,245.55	6.8%
Renewable Sources	GJ	GRI 2016:302-1, SASB 2023:IF-WU-130a.1	91,574.96	17,834.93	4,687.74	-73.7%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Electricity Consumption outside the Organization[3]	GJ	GRI 2016:302-2		165,846.83	280,356.21	69.0%
Downstream Transportation[4]	GJ	GRI 2016:302-2	24,028.81	23,029.39	23,345.19	1.4%
Investments	GJ	GRI 2016:302-2		138,401.03	252,373.43	82.3%
Upstream Leased Assets	GJ	GRI 2016:302-2		4,416.40	4,637.59	5.0%

Notes:

No data for the reporting year. Reporting for this topic began in 2023.
1. Fuel blend considered for Philippine business units was 2% Biofuel for Diesel and 10% Biofuel for Gasoline.
2. The observed increase in energy consumption is primarily driven by increased electricity demand associated with higher production.
3. The increase in energy accounted for outside the organization is due to the reclassification of Kenh Dong and Thu Duc (previously included in internal energy accounting) following a change in the reporting boundary.
4. Refers to energy consumed from desludging operations of service provider for East Zone and Laguna Water.
5. Based on energy consumption within the organization only
6. Decrease in enterprise energy intensity is due higher revenue performance.
7. Renewable energy consists of energy sourced from biogas and biodiesel component in fuels, renewable energy generated onsite, and purchased renewable energy from open access and power purchase agreements (PPA).
8. Fuel consumption data demonstrates variability due to differing data collection methodologies across business units. Specifically, data is derived from fuel level measurements, run-time estimates, and technical specifications. Standardization efforts are in progress to enhance data reliability.
9. Energy Equivalents: To standardize energy consumption data, the following conversion factors were used to translate fuel and electricity usage into gigajoules (GJ):

Diesel: 0.0387 GJ/L
Gasoline: 0.0348 GJ/L
Electricity: 0.0036 GJ/kWh

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Energy

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Enterprise Energy Intensity[5,6]	GJ/ PHP Revenue	GRI 2016:302-3	44,401.03	31,334.61	27,834.07	-11.2%
Energy Intensity for Water Supply[5]	GJ/MCM Billed Volume	GRI 2016:302-3	1,385.74	1,250.67	1,378.09	10.2%
Energy Intensity for Wastewater[5]	GJ/MCM WW received	GRI 2016:302-3	1,742.42	1,705.68	1,739.18	2.0%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Percent Grid Electricity	%	SASB 2023:IF-WU-130a.1	73.3%	90.5%	90.3%	-0.1%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Percent Renewable Energy[7]	%	SASB 2023:IF-WU-130a.1	9.4%	2.1%	0.7%	-1.4%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Percent Fuel (Non-renewable)	%	SASB 2023:IF-WU-130a.1	17.2%	7.5%	9.0%	1.5%

Notes:

1. Fuel blend considered for Philippine business units was 2% Biofuel for Diesel and 10% Biofuel for Gasoline.
2. The observed increase in energy consumption is primarily driven by increased electricity demand associated with higher production.
3. The increase in energy accounted for outside the organization is due to the reclassification of Kenh Dong and Thu Duc (previously included in internal energy accounting) following a change in the reporting boundary.
4. Refers to energy consumed from desludging operations of service provider for East Zone and Laguna Water.
5. Based on energy consumption within the organization only
6. Decrease in enterprise energy intensity is due higher revenue performance.
7. Renewable energy consists of energy sourced from biogas and biodiesel component in fuels, renewable energy generated onsite, and purchased renewable energy from open access and power purchase agreements (PPA).
8. Fuel consumption data demonstrates variability due to differing data collection methodologies across business units. Specifically, data is derived from fuel level measurements, run-time estimates, and technical specifications. Standardization efforts are in progress to enhance data reliability.
9. Energy Equivalents: To standardize energy consumption data, the following conversion factors were used to translate fuel and electricity usage into gigajoules (GJ):

Diesel: 0.0387 GJ/L
Gasoline: 0.0348 GJ/L
Electricity: 0.0036 GJ/kWh

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GHG Emissions

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total GHG Emissions[1,2]	Metric Tons CO_2e	GRI 2016:305-1	189,805.63	738,585.70	678,301.88	-8.2%
Scope 1[2,3,4,13]	Metric Tons CO_2e	GRI 2016:305-1	42,457.45	31,608.14	31,872.46	0.8%
Scope 2 (Location-based)[2,5,6]	Metric Tons CO_2e	GRI 2016:305-1	161,504.48	171,467.96	179,943.91	4.9%
Scope 2 (Market-based)[2,5,6]	metric tons CO2e	GRI 2016:305-1	145,672.50	168,475.41	179,943.91	6.8%
Scope 3[2,7,8,9,10,11]	Metric Tons CO_2e	GRI 2016:305-1	1,675.68	538,502.14	466,485.51	-13.4%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Enterprise GHG Intensity[2,12]	metric tons CO2e/ PHP Revenue	GRI 2016:302-3	10,199.47	6,455.90	5,730.96	-11.2%
GHG Intensity for Water Supply[2,12]	metric tons CO2e/ MCM Billed Volume	GRI 2016:302-3	221.85	228.76	252.22	10.3%
GHG Intensity for Wastewater[2,12]	metric tons CO2e/ MCM WW received	GRI 2016:302-3	687.84	637.53	682.57	7.1%

Notes:

1. Scope 1, 2 and 3 GHG emissions computations were based on the methodologies of the GHG Protocol and the 2006 IPCC Guidelines on National Greenhouse Gas Inventory - Wastewater. Total GHG Emissions is based on Scope 1, and Market-based Scope 2 and Scope 3.
2. Prior year data has been restated to conform to the 2024 definition of scope and boundary. This definition encompasses only business units under operational control.
3. Scope 1 emission factors are based on UK Business Energy and Industrial Strategy (BEIS) 2023 and the 2019 Refinement to the 2006 IPCC Guidelines for National Greenhouse Gas Inventories.
4. Increase in Scope 1 emissions is due to higher fuel and refrigerants consumption as well as higher wastewater fugitive emissions.
5. Scope 2 emission factors are based on the National Grid Emission Factors (NGEFs) 2019 - 2021.
6. Increase in Scope 2 emissions is due to increased electricity consumption. In addition to this, renewable energy consumption decreased after the end of Open Access contracts in 2023.
7. Where available, the Scope 3 emission factors used are based on UK BEIs 2021 and 2023, latest available NGEFs, 2019 Refinement to the 2006 IPCC Guidelines for National Greenhouse Gas Inventories, Sustainability Reports, and various studies. Scope 3 emission factors that are not publicly available are based on the emission factors used by MWC's 2021 full greenhouse gas accounting consultant.
8. In 2022, Scope 3 emissions reporting was limited to Downstream Transportation. In 2023, it was expanded to include eight major categories: Purchased goods and services, Capital Goods, Fuel- and Energy-related activities, Waste Generated in Operations, Upstream Leased Assets, Downstream Transportation and Distribution, Use of Sold Products, and End-of-Life Treatment of Sold Products, and Investments.
9. All Scope 3 data is based on primary activity data except for Purchased Goods and Services and Capital Goods, which is based on spend data.
10. For Scope 3 accounting from Investments, the following fuel compositions were assumed for each location:
    Thailand: Gasoline at 10% bioethanol, Diesel at 7% biofuel
    Vietnam: Gasoline at 5% bioethanol, Diesel at 5% biofuel
    Indonesia: Gasoline at 0% bioethanol, Diesel at 30% biofuel
    Emission factors for each were computed based on these assumptions, with reference to the 2023 UK BEIs.
11. For Scope 3 accounting on Use of Sold Products, 1.1 kWh electricity consumption was assumed for a mobile phone per visit to the MWC app.
12. GHG intensity includes Scope 1 and Scope 2 emissions only. Decrease is due to higher revenues for the reporting period.
13. Scope 1 Emissions includes direct emissions of CO2, CH4, N2O, and refrigerants R134a (vehicle AC), R22, and R32 (facility AC).

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Customer Satisfaction Score

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Customer Satisfaction Score[1]	%		90%	89%	87%	-2.0%

Notes:

1. Survey was conducted by an external service provider and covers East Zone only

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Customer Concerns

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total customer concerns received[1,2]	count		175,992	161,146	167,603	4.0%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total customer concerns resolved within SLA[1,2]	count		174,277	160,519	165,981	4.0%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Customer concern resolution rate within SLA	%		99.03%	100%	99.03%	-0.6%

Notes:

SLA - Service Level Agreement
1. Customer concerns received and resolved include billing/collection and service-related issues.
2. 2023 customer concern data has been restated to exclude field findings (Boracay, Calbayog, Estate).

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Water Access

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Households served[1]	count		1,820,688	1,842,887	1,872,558	1.6%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total Population served	count		9,048,899	9,332,863	9,327,986	-0.1%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total water service connections	count	SASB 2023: IF-WU-000.A	1,293,446	1,321,714	1,324,737	0.2%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Potable water delivered[2]	MCM	SASB 2023: IF-WU-000.A	1,254.40	1,267.23	1,287.39	1.6%

Notes:

1. The 2023 household served data for two business units was restated to correct the use of population data instead of household data (Calbayog and Estate Water).
2. Potable water delivery data now includes Laguna Aquatech Water, Metro Ilagan Water, and Affiliates, aligning with the company's financial reporting.

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Water Quality

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Compliance to drinking water standards[1,2]	%	GRI 2016:416-2	99.87%	99.94%	99.59%	-0.3%

Notes:

1. Excludes business units with different key performance indicator for water quality
2. Data for 2022 and 2023 have been restated with the addition of decimal places to provide greater data granularity and accuracy.

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Wastewater Services

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total sewer connections[1]	count		292,729	303,724	318,385	4.8%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total desludged septic tanks	count		117,267	121,001	133,435	10.3%

Notes:

1. The increase in sewer connections is primarily due to:
   East Zone: New service connections, expansion of service area coverage, and the inclusion of previously uncounted private wastewater treatment facilities.
   Boracay Water: The Regain program, offering free sewer connections within a 100-meter radius, coupled with stricter enforcement of the municipal council's sewer sanitation ordinance.
   Estate Water: Increased new water service applications in development with sewer networks.
   Laguna Water: Additional move-in customers in a major residential subdivision and additional sewer connections at nearby industrial parks.

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Incidents of Non-Compliance

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total incidents of drinking water violations	count	SASB 2023: IF-WU-250a.1	0	0	0	

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total incidents of effluent quality violations	count	SASB 2023: IF-WU-140b.1	0	0	0	

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Service Disruptions

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Number of unplanned service disruptions[1]	count	SASB 2023: IF-WU-450a.3		1,375	1,519	10.5%
Less than 4 hours	count	SASB 2023: IF-WU-450a.3		866	871	0.6%
Between 4 to 12 hours	count	SASB 2023: IF-WU-450a.3		472	588	24.6%
More than 12 hours	count	SASB 2023: IF-WU-450a.3		37	60	62.2%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Number of customers affected[2,3]	count	SASB 2023: IF-WU-450a.3		2,682,992	2,947,695	9.9%
Less than 4 hours	count	SASB 2023: IF-WU-450a.3		1,435,668	1,216,499	-15.3%
Between 4 to 12 hours	count	SASB 2023: IF-WU-450a.3		1,041,622	1,541,162	48.0%
More than 12 hours	count	SASB 2023: IF-WU-450a.3		205,701	190,034	-7.6%

Notes:

No data for the reporting year. Reporting for this topic began in 2023.

1. The increase in unplanned disruptions is due to a combination of factors, damage to pipelines (often caused by third-party activities), equipment malfunctions, and issues related to water supply infrastructure, such as low tank levels or intake clogging.
2. Customer pertains to number of water service connections that were affected by the unplanned service disruptions.
3. Augmentation plans implemented during disruptions include water delivery via tankers, supply diversions to minimize affected areas, expedited repair activities, and coordination with customers and local governments. Additional measures may include increased monitoring of critical issues, standby tanker deployment, operational adjustments to alternative supply sources, and utilizing backup water sources.

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Distribution Network Efficiency

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total length of water mains distribution system[1]	kilometers, cumulative	SASB 2023: IF-WU-000.E		8,246.84	8,229.48	-0.2%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total length of water mains replacements, rehabilitations or renewal[2,3]	kilometers	SASB 2023: IF-WU-000.E		38.33	32.51	-15.2%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Water Main Replacement Rate	%	SASB 2023: IF-WU-140a.1		0.46%	0.40%	-0.1%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total length of sewer lines[4]	kilometers, cumulative	SASB 2023: IF-WU-000.E	628.04	648.36	1,044.33	61.1%

Notes:

No data for the reporting year. Reporting for this material topic began in 2023.

1. Includes primary and network lines
2. Excludes pipe repairs
3. Pipe replacements were undertaken for infrastructure improvements, system interconnections, and upgrades.
4. Increased sewer line installations were related to service expansion.

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Reconnection Rate

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total no. of disconnections due to non-payment[1]	count	SASB 2021: IF-WU-240a.3		231,961	309,547	33.45%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total no. of reconnections[1]	count	SASB 2021: IF-WU-240a.3		66,673	203,941	205.88%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Reconnection Rate[1]	%	SASB 2021: IF-WU-240a.3		29%	66%	129.21%

Notes:

No data for the reporting year. Reporting for this topic began in 2023.

1. 2024 data includes additional business units beyond the East Zone, which was the only available data in the 2023 report.

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Indirect Jobs Created

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total workers who are not employees[1,2,3]	count	GRI 2021:2-8		6,028	634	
Service Providers	count	GRI 2021:2-8		2,945	634	
Contractors	count	GRI 2021:2-8		3,083		

Notes:

No data for the reporting year.

1. Reflects estimated numbers only as of November 2023.
2. 2024 data reflects the actual service provider from East Zone only.
3. Manila Water is building the capability to generate enterprise data.

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Employee Demographics[1]

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total employees by gender[3]	count	GRI 2021:2-7	2,616	2,663	2,495	-6.3%
Male	count	GRI 2021:2-7	1,723	1,764	1,645	-6.7%
Permanent	count	GRI 2021:2-7		1,676	1,568	-6.4%
Temporary[2]	count	GRI 2021:2-7		88	77	-12.5%
Female	count	GRI 2021:2-7	893	899	850	-5.5%
Permanent	count	GRI 2021:2-7		848	813	-4.1%
Temporary[2]	count	GRI 2021:2-7		51	37	-27.5%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total employees by age	count	GRI 2021:2-7	2,616	2,663	2,495	-6.3%
Under 30 years old	count	GRI 2021:2-7	679	677	562	-17.0%
Permanent	count	GRI 2021:2-7		612	519	-15.2%
Temporary[2]	count	GRI 2021:2-7		65	43	-33.8%
30-50 years old	count	GRI 2021:2-7	1,592	1,679	1,667	-0.7%
Permanent	count	GRI 2021:2-7		1,630	1,623	-0.4%
Temporary[2]	count	GRI 2021:2-7		49	44	-10.2%
Over 50 years old	count	GRI 2021:2-7	345	307	266	-13.4%
Permanent	count	GRI 2021:2-7		282	239	-15.2%
Temporary[2]	count	GRI 2021:2-7		25	27	8.0%

Notes:

No data for the reporting year. Reporting for this topic began in 2023.

1. Employee demographics pertain solely to individuals directly employed by Manila Water.
   Our talent pool is largely centralized in the Philippines, where our headquarters and primary operations are located.
   While we maintain a limited presence in other regions, it does not materially affect our workforce or operations.
2. Temporary employees refer to those hired on a fixed-term basis.
3. The decrease in headcount resulted from the divestiture of two assets and voluntary retirements, with no job losses.

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Employee Demographics[1]

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total employees by region	count	GRI 2021 2-7	2,616	2,663	2,495	-6.3%
NCR	count	GRI 2021 2-7		1,931	1,838	-4.8%
Permanent	count	GRI 2021 2-7		1,796	1,734	-3.5%
Temporary[2]	count	GRI 2021 2-7		135	104	-23.0%
Luzon	count	GRI 2021 2-7		513	438	-14.6%
Permanent	count	GRI 2021 2-7		509	431	-15.3%
Temporary[2]	count	GRI 2021 2-7		4	7	75.0%
Visayas	count	GRI 2021 2-7		199	191	-4.0%
Permanent	count	GRI 2021 2-7		199	191	-4.0%
Temporary[2]	count	GRI 2021 2-7		-	-	
Mindanao	count	GRI 2021 2-7		16	21	31.3%
Permanent	count	GRI 2021 2-7		16	21	31.3%
Temporary[2]	count	GRI 2021 2-7		-	-	
Outside Philippines	count	GRI 2021 2-7		4	7	75.0%
Permanent	count	GRI 2021 2-7		4	4	0.0%
Temporary[2]	count	GRI 2021 2-7		-	3	

Notes:

No data for the reporting year. Reporting for this topic began in 2023.

1. Employee demographics pertain solely to individuals directly employed by Manila Water.
   Our talent pool is largely centralized in the Philippines, where our headquarters and primary operations are located.
   While we maintain a limited presence in other regions, it does not materially affect our workforce or operations.
2. Temporary employees refer to those hired on a fixed-term basis.
3. The decrease in headcount resulted from the divestiture of two assets and voluntary retirements, with no job losses.

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Employee Demographics[1]

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Employees by Type of Contract	count	GRI 2021:2-7	2,616	2,663	2,495	-6.3%
Permanent	count	GRI 2021:2-7	2,455	2,524	2,381	-5.7%
Temporary[2]	count	GRI 2021:2-7	161	139	114	-18.0%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Permanent employees by rank and gender	count	GRI 2021:2-7		2,524	2,381	-5.67%
Senior Management	count	GRI 2021:2-7		207	217	4.83%
Male	count	GRI 2021:2-7		107	110	2.80%
Female	count	GRI 2021:2-7		100	107	7.00%
Middle Management	count	GRI 2021:2-7		1,690	1,583	-6.33%
Male	count	GRI 2021:2-7		1,001	934	-6.69%
Female	count	GRI 2021:2-7		689	649	-5.81%
Rank and File	count	GRI 2021:2-7		627	581	-7.34%
Male	count	GRI 2021:2-7		564	524	-7.09%
Female	count	GRI 2021:2-7		63	57	-9.52%

Notes:

No data for the reporting year. Reporting for this topic began in 2023.

1. Employee demographics pertain solely to individuals directly employed by Manila Water. Our talent pool is largely centralized in the Philippines, where our headquarters and primary operations are located. While we maintain a limited presence in other regions, it does not materially affect our workforce or operations.
2. Temporary employees refer to those hired on a fixed-term basis.
3. The decrease in headcount resulted from the divestiture of two assets and voluntary retirements, with no job losses.

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Employee Demographics[1]

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Permanent employees by rank and age	count	GRI 2021:2-7		2,524	2,381	-5.67%
Senior Management	count	GRI 2021:2-7		207	217	4.83%
Under 30 years old	count	GRI 2021:2-7		4	1	-75.00%
30-50 years old	count	GRI 2021:2-7		179	191	6.70%
Over 50 years old	count	GRI 2021:2-7		24	25	4.17%
Middle Management	count	GRI 2021:2-7		1,690	1,583	-6.33%
Under 30 years old	count	GRI 2021:2-7		524	444	-15.27%
30-50 years old	count	GRI 2021:2-7		1,025	1,020	-0.49%
Over 50 years old	count	GRI 2021:2-7		141	119	-15.60%
Rank and File	count	GRI 2021:2-7		627	581	-7.34%
Under 30 years old	count	GRI 2021:2-7		84	74	-11.90%
30-50 years old	count	GRI 2021:2-7		426	412	-3.29%
Over 50 years old	count	GRI 2021:2-7		117	95	-18.80%

Notes:

No data for the reporting year. Reporting for this topic began in 2023.

1. Employee demographics pertain solely to individuals directly employed by Manila Water. Our talent pool is largely centralized in the Philippines, where our headquarters and primary operations are located. While we maintain a limited presence in other regions, it does not materially affect our workforce or operations.
2. Temporary employees refer to those hired on a fixed-term basis.
3. The decrease in headcount resulted from the divestiture of two assets and voluntary retirements, with no job losses.

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Board of Directors Demographics

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Board of Directors by gender	count	GRI 2016:405-1	10	11	9	-18.2%
Male	count	GRI 2016:405-1	9	9	7	-22.2%
Female	count	GRI 2016:405-1	1	2	2	0.0%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Board of Directors by age	count	GRI 2016:405-1	10	11	9	-18.2%
Under 30 years old	count	GRI 2016:405-1	-	-	-	
30-50 years old	count	GRI 2016:405-1	-	1	1	0.0%
Over 50 years old	count	GRI 2016:405-1	10	10	8	-20.0%

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New Employee Hires

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total new employee hires by gender[1]	count	GRI 2016:401-1	486	494	271	-45.1%
Male	count	GRI 2016:401-1	309	316	175	-44.6%
Female	count	GRI 2016:401-1	177	178	96	-46.1%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total new employee hires by age[1]	count	GRI 2016:401-1	486	494	271	-45.1%
Under 30 years old	count	GRI 2016:401-1	242	269	130	-51.7%
30-50 years old	count	GRI 2016:401-1	233	213	132	-38.0%
Over 50 years old	count	GRI 2016:401-1	11	12	9	-25.0%

Notes:

1. Include only external recruits across different business units.

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Employee Turnover

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total employee turnover by gender[1]	count	GRI 2016:401-1	339	431	441	2.3%
Male	count	GRI 2016:401-1	197	263	295	12.2%
Female	count	GRI 2016:401-1	142	168	146	-13.1%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total employee turnover by age[1]	count	GRI 2016:405-1	339	431	441	2.3%
Under 30 years old	count	GRI 2016:405-1	101	133	118	-11.3%
30-50 years old	count	GRI 2016:405-1	151	232	247	6.5%
Over 50 years old	count	GRI 2016:405-1	87	66	76	15.2%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total turnover rate by gender[3]	count	GRI 2016:401-1	13%	16%	17%	0.8%
Male	count	GRI 2016:401-1	12%	15%	17%	2.2%
Female	count	GRI 2016:401-1	16%	19%	17%	-2.1%

Note:

1. Includes internal transfers and covers both permanent and temporary employees
2. Turnover Rate = Total turnover of the current year / Average workforce of the previous and current year
3. One-third of total turnover was due to retirement.

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Employee Turnover

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total turnover rate by age[4]	count	GRI 2016:405-1	13%	16%	17%	0.8%
Under 30 years old	count	GRI 2016:405-1	14%	20%	19%	-0.6%
30-50 years old	count	GRI 2016:405-1	10%	14%	15%	0.6%
Over 50 years old	count	GRI 2016:405-1	24%	20%	27%	6.3%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total turnover rate[5]	count	GRI 2016:405-1	13%	16%	17%	0.8%

Note:

1. Includes internal transfers and covers both permanent and temporary employees
2. Turnover Rate = Total turnover of the current year / Average workforce of the previous and current year
3. One-third of total turnover was due to retirement.

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Training and Education

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total training hours by gender[1]	number of hours	GRI 2016:401-1	65,892	73,178	72,555	-0.9%
Male	number of hours	GRI 2016:401-1	41,476	48,023	46,784	-2.6%
Female	number of hours	GRI 2016:401-1	24,416	25,155	25,771	2.4%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total training hours by rank[1]	number of hours	GRI 2016:404-1	65,892	73,178	72,555	-0.9%
Senior Management	number of hours	GRI 2016:404-1	6,268	6,707	8,389	25.1%
Middle Management	number of hours	GRI 2016:404-1	50,540	51,598	56,613	9.7%
Rank and File	number of hours	GRI 2016:404-1	9,084	14,873	7,553	-49.2%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Count of trained employees by gender[1]	count	GRI 2016:404-1	2,635	2,896	2,819	-2.7%
Male	count	GRI 2016:404-1	1,668	1,900	1,849	-2.7%
Female	count	GRI 2016:404-1	967	996	970	-2.6%

Note:

1. Training data also include records of separated employees.
2. Starting 2023, average training hours = total training hours of permanenet employees/total permanent employees

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Training and Education

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Count of trained employees by rank[1]	count	GRI 2016:404-1	2,635	2,896	2,819	-2.7%
Senior Management	count	GRI 2016:404-1	185	280	244	-12.9%
Middle Management	count	GRI 2016:404-1	2,027	1,956	1,955	-0.1%
Rank and File	count	GRI 2016:404-1	423	660	620	-6.1%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Average training hours per employee[2]	Average hours	GRI 2016:404-1	25	29	30	5.1%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Average training hours by gender[2]						
Male	Average hours	GRI 2016:404-1	25	29	30	4.1%
Female	Average hours	GRI 2016:404-1	25	30	32	6.9%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Count of trained employees by rank[2]						
Senior Management	Average hours	GRI 2016:404-1	34	32	39	19.3%
Middle Management	Average hours	GRI 2016:404-1	25	31	36	17.1%
Rank and File	Average hours	GRI 2016:404-1	21	24	13	-45.2%

Note:

1. Training data also include records of separated employees.
2. Starting 2023, average training hours = total training hours of permanenet employees/total permanent employees

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Benefits to Full-Time Employees

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total Employees entitled to parental leave	count	GRI 2016:401-2		1,915	2,006	4.8%
Number of employees entitled to maternity leave	count	GRI 2016:401-2		900	846	-6.0%
Number of employees entitled to paternity leave	count	GRI 2016:401-2		980	1,136	15.9%
Number of employees entitled to solo parent leave	count	GRI 2016:401-2		35	24	-31.4%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total employees who took parental leave	count	GRI 2016:401-2		203	189	-6.9%
Maternity leave	count	GRI 2016:401-2		67	57	-14.9%
Paternity Leave	count	GRI 2016:401-2		80	57	-28.8%
Solo Parent Leave	count	GRI 2016:401-2		56	75	33.9%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total employees who returned to work in the reporting period after parental leave ended	count	GRI 2016:401-2		191	145	-24.1%
Maternity leave	count	GRI 2016:401-2		50	34	-32.0%
Paternity Leave	count	GRI 2016:401-2		85	57	-32.9%
Solo Parent Leave	count	GRI 2016:401-2		56	54	-3.6%

Note:

No data for the reporting year. Reporting for this topic began in 2023.

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Occupational Health and Safety - Employees

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Fatality as a result of a work-related injury	count	GRI 2018:403-9	1	1	-	-100.0%
Disabling or high-consequence work-related injury, excluding fatality	count	GRI 2018:403-9	-	-	-	
Recordable work-related injury[1]	count	GRI 2018:403-9	3	6	27	350.0%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total number of hours worked	number of hours	GRI 2018:403-9		5,710,001	5,548,265	-2.8%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total Lost Time Injury Rate[2]	rate		0.38	0.46	0.00	-100.0%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total rate of fatalities as a result of work-related injury[3]	rate	GRI 2018:403-9		0.23	0.00	-100.0%

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total rate of high-consequence work-related injuries (excluding fatalities)[4]	rate	GRI 2018:403-9		0	0	-

KPI	Unit of measure	Reference Standard	2022	2023	2024	% Change
Total rate of recordable work-related injuries[5]	rate	GRI 2018:403-9		1.37	4.87	254.4%

Note:

No data for the reporting year. Reporting for this topic began in 2023.

1. Previously reported as a non-disabling injury, this covers incidents that have resulted in consequences for an employee's safety.
2. Lost-time injury rate = (No. of Lost Time Incidents/Safe Manhours)*1,000,000
3. Rate of fatalities as a result of work-related injury = (No. of Fatality/Safe Manhours)*1,000,000
4. Rate of high-consequence work-related injuries (excluding fatalities) = (No. of high-consequence work-related injuries/Safe Manhours)*1,000,000
5. Rate of recordable work-related injuries = (Number of recordable work-related injuries/Safe Manhours)*1,000,000

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Governance Data

KPI	2022	2023	2024
ESG Ratings[1]			
CDP - Water Security	(B) Management Level	(A-) Leadership Level	(A) Leadership Level
CDP - Climate Change	(B) Management Level	(B) Management Level	(B) Management Level
Sustainalytics[2]	27.1 - Medium Risk	22.1 - Medium Risk	22.6 - Medium Risk
MSCI	B	BB	BB
Whistleblower			
Reported whistleblowing cases through various reporting channels	3	6	5

Note:

1. The ESG rating score corresponds to the time of its release by the rating agency.
2. Last update is as of May 23, 2024

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INDEPENDENT ASSURANCE OPINION STATEMENT

2024 MANILA WATER COMPANY, INC. INTEGRATED REPORT

The British Standards Institution is independent of Manila Water Company, Inc. (hereafter referred to as 'MANILA WATER COMPANY' in this statement) and has no financial interest in the operation of MANILA WATER COMPANY other than for the assessment and verification of the sustainability statements contained in this report.

This Independent assurance opinion statement has been prepared for the stakeholders of MANILA WATER COMPANY only for the purposes of verifying its statements relating to its environmental, social, and governance (ESG) performance, more particularly described in the Scope below. It was not prepared for any other purpose. The British Standards Institution will not, in providing this independent assurance opinion statement, accept or assume responsibility (legal or otherwise) or accept liability for or in connection with any other purpose for which it may be used, or to any person by whom the independent assurance opinion statement may be read.

This Independent assurance opinion statement is prepared on the basis of the review by the British Standards Institution of information presented to it by MANILA WATER COMPANY. The review does not extend beyond such information and is solely based on it. In performing such review, the British Standards Institution has assumed that all such information is complete and accurate.

Any queries that may arise by virtue of this independent assurance opinion statement or matters relating to it should be addressed to MANILA WATER COMPANY only.

SCOPE OF ENGAGEMENT

The British Standards Institution has performed an assurance following internationally acknowledged assurance guidance and standards. These include the principles outlined in the Global Reporting Initiative Sustainability Standards (GRI Standard), specifically GRI 1: Foundation 2021 for report quality, GRI 2: General Disclosure 2021 for the organization's reporting practices and details, and GRI 3: Materiality 2021 for the process of identifying material topics, the list of these topics and their management, as well as the assurance levels specified in the Accountability AA1000 series of standards.

The scope of the assurance encompassed an assessment of the quality, accuracy, and reliability of the specified performance information detailed below, as well as an evaluation of compliance with the following reporting criteria:

Reporting Criteria	
1	GRI (With reference to)
2	SASB (Sustainability Accounting Standards Board)
3	TCFD recommended disclosures
4	MANILA WATER COMPANY's Performance Indicators

Specified Performance Information and Disclosures Included in Scope:

- AA1000 Assurance Standard v3 Type 1 assessment of the report's content and supporting management systems against the AA1000 Accountability Principles (2018) at a moderate level of scrutiny.
- Evaluation of the report in relation to the requirements of the Global Reporting Initiative Sustainability Reporting standards (GRI 1, GRI 2, GRI 3, GRI 200 series, GRI 300 series, and GRI 400 series) as identified as material in the GRI content index.
- Assessment of the report against the SASB Disclosures and Metrics outlined in the WATER UTILITIES AND SERVICES INDUSTRY STANDARD VERSION 2023-12, conducted alongside a moderate level accuracy assurance evaluation.
- Evaluation of the report in accordance with the TCFD Recommended Disclosures at a moderate level of scrutiny.
- Assessment of the reported Performance Indicators, also conducted alongside a moderate level accuracy assurance evaluation.

OPINION STATEMENT

On the basis of the methodology described below and the verification work performed, nothing has come to our attention that suggest that the specified performance information within the scope of assurance is inaccurately stated or that it has not been prepared, in all material respects, in accordance with the reporting criteria. Furthermore, our review detailed in the verification report indicates that the data and information presented in the Reporting Organization's Integrated Report are accurate and that the criteria of Inclusivity, Materiality, Responsiveness, and Impact, as defined by AA1000 Assurance Standard v3, are appropriately addressed.

We believe that the organization has chosen an appropriate level of assurance for this stage in their reporting.

Our work was carried out by a team of Sustainability Report assurors in accordance with the AA1000 Assurance Standard v3. We planned and performed this part of our work to obtain the necessary information and explanations we considered to provide sufficient evidence that MANILA WATER COMPANY's description of their approach to AA1000 Assurance Standard and their self-declaration of compliance with the GRI standards were fairly stated.

METHODOLOGY

Our work was designed to gather evidence on which to base our conclusion. We undertook the following activities:

- conducted pre-assurance research, including a high-level review of issues raised by external parties that could be relevant to MANILA WATER COMPANY's policies, ensuring the appropriateness of statements made in the report,

- engaged in discussions with managers and staffs regarding MANILA WATER COMPANY's approach to stakeholder engagement, although we did not have direct contact with external stakeholders,
- conducted interviews with staff involved in sustainability management, report preparation and provision of report information,
- reviewed key organizational developments,
- evaluated supporting evidence for claims made in the reports, and
- assessed the company's reporting and management processes concerning this reporting against the principles of Inclusivity, Materiality, Responsiveness and Impact as outlined in the AA1000 Accountability Principles Standard (2018).

LIMITATIONS AND MITIGATION

Financial data sourced directly from independently audited financial accounts, and TNFD-related disclosures, have not been checked back against the original sources during this assurance process.

CONCLUSIONS

A detailed review against the AA1000 Accountability Principles of Inclusivity, Materiality, Responsiveness and Impact and the GRI Standards is set out below:

Inclusivity

This report has reflected that MANILA WATER COMPANY is actively seeking stakeholder engagement. Stakeholder participation has been initiated to develop and achieve a responsible and strategic response to sustainability. Reporting systems are being developed to provide necessary information. The report offers balanced disclosures of economic, social and environmental information, supporting effective planning and target-setting. In our professional opinion, the report addresses MANILA WATER COMPANY's inclusivity issues.

Materiality

MANILA WATER COMPANY carried out a materiality assessment to identify issues that are significant to the organization. This involved a formal review to recognize stakeholders and the specific issues that are pertinent to each group. The report addresses these issues appropriately, reflecting their importance and priority for the stakeholders involved. In our professional opinion, the report addresses MANILA WATER COMPANY's inclusivity issues; however, future reports could be further improved by focusing on the following area:

- Enhance the comprehensiveness of the materiality assessment by increasing the respondent cap and expanding stakeholder representation based on their vulnerability and size. This will ensure more balanced insights into their concerns and needs.

Responsiveness

MANILA WATER COMPANY has implemented the practice to respond to the expectations and perceptions of its stakeholders. The report includes coverage given to stakeholder engagement and channels for stakeholder feedback. In our professional opinion, the report covers MANILA WATER COMPANY's responsiveness issues, however, the future report should be further enhanced by the following areas:

- Completely assuring responsiveness by means of encouraging direct stakeholders' participation
- The development of more robust indicators that directly correlate with stakeholder concerns will enhance the ability to demonstrate progress and effectiveness in sustainability performance.

Impact

MANILA WATER COMPANY has demonstrated a process on identify impacts that encompass a range of environmental, social and governance topics, and fairly represented the impacts in the report. In our professional opinion the report covers the MANILA WATER COMPANY's impacts.

Global Reporting Initiative Standards

The report is adequately reported with reference to GRI 2021 Standards. The material topics and their boundaries, both within and outside the organization, are defined in accordance with GRI's Reporting Principles for Defining Report Content. Based on our review, disclosures of identified material topics are correctly located in the content index and report. In our professional opinion the self declaration covers the MANILA WATER COMPANY's social responsibility and sustainability issues, however, the future report will be improved by the following areas:

- Providing an infrastructure to systematically collect information for supporting their report including performance indicators.
- Conducting an internal verification of reported data prior assurance.

SASB – reporting

MANILA WATER COMPANY employs SASB's Water Utilities and Services Industry Standard version 2023-12 to disclose material topics essential for enterprise value creation, aligning the reporting boundary with its Integrated Report. The company uses SASB accounting and activity metrics to assess and manage related risks and opportunities. MANILA WATER COMPANY has identified financially material disclosure topics and metrics, which are included in the content index. By integrating GRI and SASB standards, MANILA WATER COMPANY improves communication efficiency and the identification of material issues during the reporting process. To enhance this further, it is recommended that MANILA WATER COMPANY establish a mechanism to monitor internal and external drivers of ESG risks and opportunities and benchmark performance on SASB disclosure topics against peers for continuous improvement.

TCFD Disclosures

The report adequately addresses the four key pillars of the TCFD Framework: Governance, Strategy, Risk Management and Metrics and Targets. The information provided is consistent with industry standards and reflects MANILA WATER COMPANY's commitment to transparency in reporting climate-related risks and opportunities.

ASSURANCE LEVEL

The Type 2 moderate level assurance provided is in accordance with AA1000 Assurance Standard v3 in our review, as defined by the scope and methodology described in this statement.

RESPONSIBILITY

This 2024 Integrated Report is the responsibility of the Manila Water Company, Inc.'s CEO as declared in his responsibility letter. Our responsibility is to provide an independent assurance opinion statement to stakeholders giving our professional opinion based on the scope and methodology described.

COMPETENCY AND INDEPENDENCE

The assurance team was composed of Lead Auditors and Carbon Footprint Verifiers experienced in industrial sector, and trained in a range of sustainability, environmental and social standards including, ISO14001, ISO 37001, ISO 45001, ISO14064 and ISO 9001. BSI is a leading global standards and assessment body founded in 1901.

For and on behalf of BSI:

AA1000
Licensed Report
000-4/V3-YEJDZ

Statement No SRA 823500

Ava Taniajura

Managing Director BSI Philippines, Inc.

12/ 03/ 2025

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INDEPENDENT AUDITOR'S REPORT

The Board of Directors and Stockholders
Manila Water Company, Inc.

Opinion

We have audited the consolidated financial statements of Manila Water Company, Inc. (the Parent Company) and its subsidiaries (collectively referred to as "the Group"), which comprise the consolidated statements of financial position as at December 31, 2024 and 2023, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for each of the three years in the period ended December 31, 2024, and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2024 and 2023, and its consolidated financial performance and its consolidated cash flows for each of the three years in the period ended December 31, 2024 in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Impairment of investments in associates

The Group has investments in Eastern Water Resources Development and Management Public Company Limited (East Water) and Saigon Water Infrastructure Corporation (Saigon Water) that are accounted for under the equity method. For the year ended December 31, 2024, impairment loss recognized for these investments amounted to Php4,631 million. East Water and Saigon Water's market capitalization as of December 31, 2024 are significantly lower compared to their net book values. In addition, recent unfavorable business developments necessitated changes in the expected cash flows based on updated business plan in 2024. These events and conditions are impairment indicators requiring the assessment of the recoverable amount of the Group's investments in East Water and Saigon Water. The assessment of the recoverable amounts of the Group's investments involves significant judgment, estimation and assumptions about forecasted cashflows, revenue growth, long-term growth rate, discount rate, and appropriate comparable companies, among others.

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The Group's disclosures on investments in associates are included in Notes 3 and 12 to the consolidated financial statements.

Audit response

We obtained management's calculation of recoverable value which is the higher of value in use (VIU) and fair value less cost to sell (FVLCTS). We involved our internal specialist in evaluating the valuation methodologies and the key assumptions used in the calculation for VIU and FVLCTS. For the VIU calculation, we compared the key assumptions used such as revenue growth against industry forecast and the long-term growth rate against relevant economic and external data. We compared the forecasted costs and expenses against historical performance and current business environment. We tested the parameters used in the determination of discount rate against market data. For the FVLCTS, we assessed this using the market approach and involved analyzing comparable companies and benchmarking the valuation multiples used in the calculation against available market data.

We also reviewed the Group's disclosure about those assumptions to which the outcome of the impairment test is most sensitive, specifically those that have the most significant effect on the determination of the recoverable amounts of its investments in associates.

Revenue recognition for Manila Concession (East Zone)

The Group's revenue from the East Zone accounts for 79% of total consolidated revenue and the revenue recognition process therein requires processing of data from a large number of customers with different billing cycles and are classified as either residential, semi-business, commercial, or industrial. The amounts billed to customers consist of a number of components, including basic charge, environmental charge and where applicable, sewer charge. These tariffs depend on the customer type and are determined based on a formula as prescribed by the Metropolitan Waterworks and Sewerage System Regulatory Office (MWSS RO). This matter is significant to our audit because the revenue recognized depends on the completeness and accuracy of capture of water consumption based on the meter readings over the concession area taken on various dates; the propriety of rates applied across customer types; and the reliability of the systems involved in processing the billing transactions.

Relevant disclosures related to this matter are provided in Notes 1, 2, 3, 6 and 26 to the consolidated

Audit response

We obtained an understanding, evaluated the design, and tested the controls over the read and bill process, which includes the customer masterfile maintenance, capture of water consumption, calculation of billed fees, and transfer of data to the financial reporting system. We performed analytical procedures and on a sample basis, we performed test calculation of the billed amounts using the volume of water consumption and MWSS RO-approved rates and compared them with the amounts reflected in the billing statement. We also evaluated the disclosures made in the consolidated financial statements.

Other Information

Management is responsible for the other information. The other information comprises the information included in the SEC Form 20 IS (Definitive Information Statement), SEC Form 17 A and Annual Report for the year ended December 31, 2024, but does not include the consolidated financial statements and our auditor's report thereon. The SEC Form 20 IS (Definitive Information Statement), SEC Form 17 A and Annual Report for the year ended December 31, 2024 are expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audits of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audits, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with PFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting, unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

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We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Djole S. Garcia.

SYCIP GORRES VELAYO & CO.

Djole S. Garcia
Djole S. Garcia
Partner
CPA Certificate No. 0097907
Tax Identification No. 201-960-347
BOA/PRC Reg. No. 0001, April 16, 2024, valid until August 23, 2026
BIR Accreditation No. 08-001998-102-2024, August 27, 2024, valid until August 26, 2027
PTR No. 10465308, January 2, 2025, Makati City

February 24, 2025

MANILA WATER COMPANY, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2024	2023
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5 and 23)	**₱7,436,737,551**	₱10,752,734,174
Receivables (Notes 6 and 23)	**3,488,676,194**	2,904,919,846
Contract assets - current portion (Notes 6, 23 and 29)	**348,073,081**	549,872,454
Inventories (Note 7)	**448,633,802**	380,615,118
Other current assets (Note 8)	**2,071,916,527**	1,534,552,165
Total Current Assets	**13,794,037,155**	16,122,693,757
Noncurrent Assets		
Property, plant and equipment and software (Notes 9 and 23)	**9,512,197,109**	9,108,755,273
Service concession assets - net (Notes 10, 23 and 24)	**184,257,464,531**	162,217,498,951
Right-of-use assets (Note 11)	**503,360,354**	328,465,866
Contract assets - net of current portion (Notes 6 and 29)	**1,349,737,556**	1,168,784,073
Investments in associates (Note 12)	**7,186,263,938**	11,191,568,307
Goodwill (Note 4)	**146,377,351**	6,247,010
Deferred tax assets - net (Note 20)	**503,289,167**	499,689,152
Other noncurrent assets (Notes 13 and 29)	**10,690,815,018**	9,043,699,328
Total Noncurrent Assets	**214,149,505,024**	193,564,707,960
Total Assets	**₱227,943,542,179**	₱209,687,401,717
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts and other payables (Notes 14 and 23)	**₱20,683,110,201**	₱18,761,072,969
Short-term debt (Notes 15 and 23)	**250,000,000**	135,000,000
Current portion of:		
Long-term debt (Notes 15 and 23)	**6,969,972,900**	16,971,501,294
Service concession obligations (Notes 10, 24 and 29)	**636,644,692**	910,632,846
Lease liabilities (Note 11)	**96,510,374**	117,029,647
Contract liabilities (Notes 14 and 23)	**502,677,550**	389,570,970
Income tax payable (Note 20)	**717,439,552**	339,116,369
Total Current Liabilities	**29,856,355,269**	37,623,924,095
Noncurrent Liabilities		
Noncurrent portion of:		
Long-term debt (Notes 15 and 23)	**99,212,003,034**	82,275,949,853
Service concession obligations (Notes 10, 24 and 29)	**14,474,470,843**	15,214,188,022
Lease liabilities (Note 11)	**305,095,943**	215,348,111
Contract liabilities (Note 14)	**1,189,013,260**	921,419,562
Pension liabilities - net (Note 16)	**500,168,534**	388,222,417
Deferred tax liabilities - net (Note 20)	**3,138,319,709**	1,052,304,983
Provisions (Notes 3 and 30)	**694,285,141**	402,658,841
Other noncurrent liabilities (Notes 17 and 29)	**1,238,801,244**	1,473,942,280
Total Noncurrent Liabilities	**120,752,157,708**	101,944,034,069
Total Liabilities	**150,608,512,977**	139,567,958,164

(Forward)

	December 31	
	2024	2023
Equity		
Attributable to common equity holders of Manila Water Company, Inc.		
Capital stock (Note 21):		
Common stock	**₱2,885,795,897**	₱2,884,839,617
Preferred stock	**400,000,000**	400,000,000
	3,285,795,897	3,284,839,617
Additional paid-in capital	**14,532,720,200**	14,458,016,211
Treasury shares (Note 21):		
Common stock	**(4,949,053,086)**	(4,996,646,260)
Preferred stock	**(752,978,046)**	(752,978,046)
Subscriptions receivable (Note 1 and 21)	**(5,601,285,580)**	(5,607,257,718)
Total paid-up capital	**6,515,199,385**	6,385,973,804
Retained earnings (Note 21):		
Appropriated	**59,515,563,981**	56,500,000,000
Unappropriated	**9,831,765,732**	5,717,748,773
Cumulative translation adjustment (Notes 2 and 12)	**(616,534,903)**	741,911,347
Hedging reserves (Note 28)	**359,367,288**	(64,919,310)
Remeasurement loss on defined benefit plans (Note 16)	**(228,371,264)**	(231,816,570)
Equity in other comprehensive income of associates (Note 12)	**7,098,753**	2,734,309
Other equity reserves (Note 21)	**(144,458,138)**	(144,458,138)
	75,239,630,834	68,907,174,215
Noncontrolling interests (Notes 2 and 19)	**2,095,398,368**	1,212,269,338
Total Equity	**77,335,029,202**	70,119,443,553
TOTAL LIABILITIES AND EQUITY	**₱227,943,542,179**	₱209,687,401,717

See accompanying Notes to Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31		
	2024	2023	2022
CONTINUING OPERATIONS			
REVENUE FROM CONTRACTS WITH CUSTOMERS			
Water and used water revenues (Notes 23 and 26)	**₱34,855,308,123**	₱28,503,979,253	₱20,640,724,233
Other operating revenues (Notes 18, 23 and 26)	**1,579,722,971**	1,924,089,124	1,901,722,029
FINANCE INCOME FROM CONTRACT ASSETS (Note 6)	**212,025,886**	281,798,935	256,537,754
	36,647,056,980	30,709,867,312	22,798,984,016
COST OF SERVICES			
Depreciation and amortization (Notes 9, 10 and 11)	**4,692,361,515**	3,681,639,665	2,703,323,804
Power, light and water (Note 23)	**2,436,636,804**	2,359,536,778	2,203,365,424
Salaries, wages and employee benefits (Notes 16, 21 and 23)	**1,359,266,457**	1,259,655,907	1,146,524,894
Repairs and maintenance	**603,358,370**	575,862,379	660,399,635
Regulatory costs (Note 1)	**481,999,349**	391,601,200	331,785,859
Contractual services	**433,911,501**	659,087,015	804,080,940
Water treatment chemicals	**367,952,135**	361,716,919	429,804,871
Wastewater costs	**219,621,148**	201,439,112	246,199,021
Water tankering and bulk water costs	**193,253,269**	242,689,984	189,237,497
Amortization of water service connections	**190,722,217**	191,314,332	204,760,977
Collection fees	**171,854,649**	172,903,754	173,759,450
Rent (Notes 11 and 25)	**25,327,480**	10,801,112	5,020,642
Management, technical and professional fees (Note 23)	**13,144,010**	31,181,940	41,271,558
Other expenses	**436,949,169**	292,227,199	424,027,969
	11,626,358,073	10,431,657,296	9,563,562,541
GROSS PROFIT	**25,020,698,907**	20,278,210,016	13,235,421,475
OPERATING EXPENSES (Notes 18 and 23)	**5,630,080,694**	4,670,225,019	4,279,500,594
INCOME BEFORE OTHER INCOME (EXPENSES)	**19,390,618,213**	15,607,984,997	8,955,920,881
OTHER INCOME (EXPENSES)			
Revenue from rehabilitation works (Notes 1, 2, 6 and 10)	**25,422,969,601**	19,774,862,538	23,626,424,275
Cost of rehabilitation works (Notes 1, 2, 6 and 10)	**(25,422,969,601)**	(19,774,862,538)	(23,626,424,275)
Equity in net earnings (loss) of associates (Note 12)	**(3,593,920,432)**	(3,561,491,909)	520,067,157
Interest expense (Notes 10, 11, 15 and 18)	**(3,565,519,483)**	(3,773,677,075)	(2,816,244,442)
Foreign currency differentials (Notes 1 and 3)	**2,765,027,490**	(26,863,199)	2,532,900,291
Foreign exchange gains (losses) – net	**(1,638,066,416)**	80,917,973	(1,870,416,962)
Interest income (Note 18)	**374,914,834**	301,229,071	121,758,500
Gains (losses) on disposal of property and equipment - net	**(99,051)**	(10,780,662)	2,995,037
Amortization of deferred credits (Note 17)	**13,803,701**	12,270,995	13,216,379
Other income (losses) - net (Notes 9 and 18)	**1,358,752,717**	346,274,429	700,768,319
	(4,285,106,640)	(6,632,120,377)	(794,955,721)
INCOME BEFORE INCOME TAX FROM CONTINUING OPERATIONS	**15,105,511,573**	8,975,864,620	8,160,965,160
PROVISION FOR INCOME TAX - NET (Note 20)	**4,134,099,994**	3,104,576,762	2,013,199,468
NET INCOME FROM CONTINUING OPERATIONS	**10,971,411,579**	5,871,287,858	6,147,765,692
NET LOSS AFTER TAX FROM DISCONTINUED OPERATIONS (Note 19)	**(1,013,330)**	(830,860)	(6,358,029)
NET INCOME	**10,970,398,249**	5,870,456,998	6,141,407,663
OTHER COMPREHENSIVE INCOME (LOSS)			
Other comprehensive income (loss) to be reclassified to profit or loss in subsequent periods:			
Cumulative translation adjustment (Note 12)	**(1,175,724,889)**	180,036,875	445,649,634
Gain on cash flow hedge (Note 28)	**751,926,346**	541,884,513	1,353,851,939
Gain (loss) on net investment hedge (Note 28)	**(243,628,484)**	37,767,686	(466,574,121)
Costs of hedging (Note 28)	**–**	(299,870,745)	(169,035,456)
Income tax effect	**(127,074,464)**	(69,945,363)	(149,206,781)
	(794,501,491)	389,872,966	1,014,685,215
Other comprehensive income (loss) not to be reclassified to profit or loss in subsequent periods:			
Actuarial gain (loss) on pension liabilities and long-term SL/VL - net (Notes 16 and 17)	**4,593,741**	(85,313,740)	(172,427,788)
Equity share in other comprehensive gain of an associate (Note 12)	**4,364,444**	4,641,047	–
Income tax effect	**(1,148,435)**	21,328,435	43,106,947
	7,809,750	(59,344,258)	(129,320,841)
TOTAL COMPREHENSIVE INCOME	**₱10,183,706,508**	₱6,200,985,706	₱7,026,772,037

(Forward)

	Years Ended December 31		
	2024	2023	2022
Net income attributable to:			
Common equity holders of Manila Water Company, Inc. (Notes 19 and 22)	**₱10,499,670,702**	₱5,593,568,776	₱5,922,776,410
Noncontrolling interests (Notes 1 and 19)	**470,727,547**	276,888,222	218,631,253
	₱10,970,398,249	₱5,870,456,998	₱6,141,407,663
Total comprehensive income attributable to:			
Common equity holders of Manila Water Company, Inc.	**₱9,712,978,961**	₱5,924,097,484	₱6,808,140,784
Noncontrolling interests (Note 1)	**470,727,547**	276,888,222	218,631,253
	₱10,183,706,508	₱6,200,985,706	₱7,026,772,037
Earnings per Share before Discontinued Operations (Note 22)			
Net income attributable to common equity holders of Manila Water Company, Inc.:			
Basic	**₱3.56**	₱1.75	₱1.79
Diluted	**₱3.56**	₱1.75	₱1.79
Earnings per Share (Note 22)			
Net income attributable to common equity holders of Manila Water Company, Inc.:			
Basic	**₱3.56**	₱1.75	₱1.79
Diluted	**₱3.56**	₱1.75	₱1.79

See accompanying Notes to Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	December 31, 2024								
			Other Comprehensive Income (Loss)						
	Paid-in Capital (Note 21)	Retained Earnings (Note 21)	Cumulative Translation Adjustments (Notes 2 and 12)	Hedging Reserves (Note 28)	Remeasurement Income (Losses) on Defined Benefit Plans (Note 16)	Equity Share in Other Comprehensive Income of Associate (Note 12)	Other Equity Reserves (Note 21)	Noncontrolling Interests (NCI) (Notes 1, 4, and 19)	Total
Balance at beginning of year	₱6,385,973,804	₱62,217,748,773	₱741,911,347	(₱64,919,310)	(₱231,816,570)	₱2,734,309	(₱144,458,138)	₱1,212,269,338	₱70,119,443,553
Net income	–	10,499,670,702	–	–	–	–	–	470,727,547	10,970,398,249
Other comprehensive income (loss)	–	–	(1,358,446,250)	563,944,759	3,445,306	4,364,444	–	–	(786,691,741)
Total comprehensive income (loss)	–	10,499,670,702	(1,358,446,250)	563,944,759	3,445,306	4,364,444	–	470,727,547	10,183,706,508
Dividends declared	–	(3,370,089,762)	–	–	–	–	–	(153,918,740)	(3,524,008,502)
Movements in NCI	–	–	–	–	–	–	–	566,320,223	566,320,223
Unwinding of cash flow hedge	–	–	–	(139,658,161)	–	–	–	–	(139,658,161)
Cost of share-based payment	107,690,324	–	–	–	–	–	–	–	107,690,324
Collections	21,535,257	–	–	–	–	–	–	–	21,535,257
Balance at end of year	₱6,515,199,385	₱69,347,329,713	(₱616,534,903)	₱359,367,288	(₱228,371,264)	₱7,098,753	(₱144,458,138)	₱2,095,398,368	₱77,335,029,202

	December 31, 2023								
			Other Comprehensive Income (Loss)						
	Paid-in Capital (Note 21)	Retained Earnings (Note 21)	Cumulative Translation Adjustments (Notes 2 and 12)	Hedging Reserves (Note 28)	Remeasurement Losses on Defined Benefit Plans (Note 16)	Equity Share in Other Comprehensive Income (Loss) of Associate (Note 12)	Other Equity Reserves (Note 21)	Noncontrolling Interests (NCI) (Notes 1, 2, and 19)	Total
Balance at beginning of year	₱12,024,179,439	₱58,697,151,743	₱533,548,708	₱1,310,852,803	(₱167,831,265)	(₱1,906,738)	(₱144,458,138)	₱1,201,721,713	₱73,453,258,265
Net income	–	5,593,568,776	–	–	–	–	–	276,888,222	5,870,456,998
Other comprehensive income (loss)	–	–	208,362,639	181,510,327	(63,985,305)	4,641,047	–	–	330,528,708
Total comprehensive income (loss)	–	5,593,568,776	208,362,639	181,510,327	(63,985,305)	4,641,047	–	276,888,222	6,200,985,706
Purchase of treasury shares	(5,716,314,028)	–	–	–	–	–	–	–	(5,716,314,028)
Dividends declared	–	(2,072,971,746)	–	–	–	–	–	(266,340,597)	(2,339,312,343)
Unwinding of cash flow hedge	–	–	–	(1,557,282,440)	–	–	–	–	(1,557,282,440)
Cost of share-based payment	62,545,273	–	–	–	–	–	–	–	62,545,273
Collections	15,563,120	–	–	–	–	–	–	–	15,563,120
Balance at end of year	₱6,385,973,804	₱62,217,748,773	₱741,911,347	(₱64,919,310)	(₱231,816,570)	₱2,734,309	(₱144,458,138)	₱1,212,269,338	₱70,119,443,553

	December 31, 2022								
			Other Comprehensive Income (Loss)						
	Paid-in Capital (Note 21)	Retained Earnings (Note 21)	Cumulative Translation Adjustments (Notes 2 and 12)	Hedging Reserves (Note 28)	Remeasurement Losses on Defined Benefit Plans (Note 16)	Equity Share in Other Comprehensive Loss of Associate (Note 12)	Other Equity Reserves (Note 21)	Noncontrolling Interests (NCI) (Notes 1, 2 , and 19)	Total
Balance at beginning of year	₱12,047,580,995	₱54,058,628,617	₱407,475,855	₱422,240,441	(₱38,510,424)	(₱1,906,738)	₱54,106,905	₱1,375,548,303	₱68,325,163,954
Net income	–	5,922,776,410	–	–	–	–	–	218,631,253	6,141,407,663
Other comprehensive income	–	–	126,072,853	888,612,362	(129,320,841)	–	–	–	885,364,374
Total comprehensive income	–	5,922,776,410	126,072,853	888,612,362	(129,320,841)	–	–	218,631,253	7,026,772,037
Movements in NCI	–	–	–	–	–	–	(198,565,043)	(254,369,927)	(452,934,970)
Cost of share-based payment	19,911,639	–	–	–	–	–	–	–	19,911,639
Dividends declared	–	(1,284,253,284)	–	–	–	–	–	(138,087,916)	(1,422,341,200)
Purchase of treasury shares	(49,407,905)	–	–	–	–	–	–	–	(49,407,905)
Reissuance of treasury shares	6,094,710	–	–	–	–	–	–	–	6,094,710
Balance at end of year	₱12,024,179,439	₱58,697,151,743	₱533,548,708	₱1,310,852,803	(₱167,831,265)	(₱1,906,738)	(₱144,458,138)	₱1,201,721,713	₱73,453,258,265

See accompanying Notes to Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31		
	2024	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax from continuing operations	**₱15,105,511,573**	₱8,975,864,620	₱8,160,965,160
Loss before income tax from discontinued operations (Note 19)	**(1,004,070)**	(889,935)	(6,295,651)
Income before income tax	**15,104,507,503**	8,974,974,685	8,154,669,509
Adjustments for:			
Depreciation and amortization (Notes 3, 9, 10 and 11)	**5,347,793,573**	4,307,544,344	3,045,797,752
Equity in net loss (earnings) of associates (Note 12)	**3,593,920,432**	3,561,491,909	(520,067,157)
Interest expense (Notes 10, 11, 15 and 18)	**3,565,519,483**	3,773,677,075	2,816,244,442
Gain from disposal of subsidiaries (Notes 1 and 18)	**(1,013,928,053)**	–	–
Unrealized foreign exchange loss (gain) on non-cash accounts	**(865,983,613)**	(10,903,018)	99,428,585
Interest income (Note 18)	**(374,914,834)**	(301,229,071)	(121,758,500)
Provision for (reversal of) probable (Notes 4, 6 and 18)	**291,108,556**	75,000,000	(402,271,823)
Share-based payments (Note 21)	**107,690,324**	62,545,273	19,911,639
Amortization of deferred credits (Note 17)	**(13,803,701)**	(12,270,995)	(13,216,379)
Pension expense, contribution, and benefit payment - net (Notes 17 and 16)	**10,018,196**	(13,585,115)	74,330,252
Loss (gain) on disposal of property and equipment - net	**99,051**	10,780,662	(2,995,037)
Operating income before changes in operating assets and liabilities	**25,752,026,917**	20,428,025,749	13,150,073,283
Changes in operating assets and liabilities:			
Decrease (increase) in:			
Receivables	**(588,516,919)**	(121,945,695)	(74,826,614)
Contract assets	**20,845,890**	(15,348,536)	(177,158,594)
Inventories	**(63,548,328)**	70,042,651	34,747
Service concession assets	**(24,381,361,094)**	(13,529,051,686)	(21,336,547,720)
Other current assets	**(727,970,405)**	319,248,424	(32,509,786)
Increase (decrease) in:			
Accounts and other payables	**2,311,828,085**	(1,312,572,919)	2,205,408,446
Contract liabilities	**404,107,426**	373,727,455	263,399,815
Net cash generated from (used in) operations	**2,727,411,572**	6,212,125,443	(6,002,126,423)
Income tax paid	**(1,834,924,173)**	(1,705,312,051)	(1,069,036,920)
Net cash provided by (used in) operating activities	**892,487,399**	4,506,813,392	(7,071,163,343)
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisitions of:			
Property, plant and equipment and software (Note 9)	**(1,061,347,179)**	(1,943,172,555)	(1,102,388,720)
Investments in associates (Notes 1 and 12)	**–**	–	(2,063,600)
Dividends received from associates (Note 12)	**394,324,866**	311,198,412	443,259,393
Proceeds from sale of subsidiaries (Note 1)	**1,024,573,343**	–	–
Interest received	**384,483,447**	300,754,833	116,696,914
Proceeds from sale of property and equipment (Note 9)	**4,250,277**	5,393,219	4,948,132
Decrease in short-term investments (Note 5)	**–**	128,417,810	140,098,427
Increase in other noncurrent assets (Note 13)	**(30,826,637)**	(1,191,553,398)	(230,206,726)
Net cash provided by (used in) investing activities	**715,458,117**	(2,388,961,679)	(629,656,180)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from availments of (Note 15):			
Long-term debt	**22,381,710,150**	21,259,614,621	14,995,888,934
Short-term debt	**11,417,506,164**	210,000,000	8,699,503,225
Payments of:			
Long-term debt (Note 15)	**(17,124,985,178)**	(6,722,268,341)	(5,415,719,209)
Short-term debt (Note 15)	**(11,322,000,000)**	(327,872,324)	(8,455,000,000)
Interest	**(5,747,233,838)**	(4,778,431,859)	(3,517,060,569)
Dividends to equity holders of the Parent Company (Note 21)	**(3,370,089,762)**	(2,072,971,746)	(1,284,253,284)
Service concession obligations (Note 10)	**(1,652,750,484)**	(1,683,326,593)	(1,039,219,993)
Principal portion of lease liabilities (Note 11)	**(227,665,523)**	(133,017,393)	(105,995,513)
Dividends to noncontrolling interests	**(153,918,740)**	(266,340,597)	(138,087,916)
Movements in noncontrolling interests (Notes 1 and 4)	**566,320,223**	–	(452,934,970)
Proceeds from collection of subscriptions receivable (Note 21)	**21,535,257**	15,563,120	–
Acquisition of treasury shares (Note 21)	**–**	(5,716,314,028)	(49,407,905)
Reissuance of treasury shares	**–**	–	6,094,710
Increase in provisions and other noncurrent liabilities	**287,071,928**	38,396,916	20,790,801
Net cash provided by (used in) financing activities	**(4,924,499,803)**	(176,968,224)	3,264,598,311
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	**(3,316,554,287)**	1,940,883,489	(4,436,221,212)
UNREALIZED FOREIGN EXCHANGE GAIN (LOSS) ON CASH AND CASH EQUIVALENTS	**557,664**	(88,527)	(89,551,149)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	**10,752,734,174**	8,811,939,212	13,337,711,573
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 5)	**₱7,436,737,551**	₱10,752,734,174	₱8,811,939,212

See accompanying Notes to Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. **Corporate Information**

Manila Water Company, Inc. (the "Parent Company") was incorporated on January 6, 1997. The Parent Company started commercial operations on January 1, 2000. It became a publicly listed company via an initial public offering on March 18, 2005. As of December 31, 2024, the economic and voting ownership of Trident Water Company Holdings, Inc. (Trident Water) were 50.04% and 81.84%, respectively, while the economic and voting interest of Ayala Corporation (Ayala) were 12.07% and nil, respectively. As of December 31, 2023, the economic and voting ownership of Trident Water Company Holdings, Inc. (Trident Water) were 39.62% and 58.32%, respectively, while the economic and voting ownership of Ayala were 22.54% and 23.55%, respectively. In 2024, Ayala has divested its shares in Manila Water (see Divestment of Ayala Corporation). The ultimate parent of Trident Water is 97.25% owned by Razon & Co., Inc.

The Parent Company and its subsidiaries (collectively referred to as the "Group") are incorporated to provide water, integrated used water, sewerage and sanitation, distribution services, pipeworks, engineering, procurement and management services.

The Parent Company's principal place of business is at the MWSS Administration Building, 489 Katipunan Road, Balara, Quezon City.

The consolidated financial statements comprise the financial statements of the Parent Company and the following subsidiaries:

	Country of Incorporation and Place of Business	Effective Percentages of Ownership As of December 31, 2024	2023
Manila Water Total Solutions Corp. (MWTS)	Philippines	**100.00**	100.00
Calasiao Water Company, Inc. (Calasiao Water)	-do-	**90.00**	90.00
Manila Water Asia Pacific Pte. Ltd. (MWAP)	Singapore	**100.00**	100.00
Kenh Dong Water Holdings Pte. Ltd. (KDWH)	-do-	**100.00**	100.00
Manila Water South Asia Holdings Pte. Ltd. (MWSAH)	-do-	**100.00**	100.00
Thu Duc Water Holdings Pte. Ltd. (TDWH)	-do-	**100.00**	100.00
Manila Water (Thailand) Co., Ltd. (MWTC)	Thailand	**100.00**	100.00
Manila South East Asia Water Holdings Pte. Ltd. (MSEA) [1]	Singapore	**–**	100.00
PT Manila Water Indonesia (PTMWI)[2]	Indonesia	**100.00**	100.00
Manila Water Philippine Ventures, Inc. (MWPVI)	Philippines	**100.00**	100.00
Boracay Island Water Company, Inc. (Boracay Water)	-do-	**80.00**	80.00
Calbayog Water Company, Inc. (Calbayog Water)	-do-	**60.00**	60.00
Clark Water Corporation (Clark Water)	-do-	**100.00**	100.00
Filipinas Water Holdings Corp. (Filipinas Water)[3]	-do-	**100.00**	100.00
Bulakan Water Company, Inc. (Bulakan Water)[7]	-do-	**–**	90.00
Metro Ilagan Water Company, Inc. (Ilagan Water)	-do-	**90.00**	90.00
MWPV South Luzon Water Corp. (South Luzon Water)	-do-	**100.00**	100.00
Obando Water Company, Inc. (Obando Water) [7]	-do-	**–**	90.00
Laguna AAAWater Corporation (Laguna Water)	-do-	**70.00**	70.00
Equipacific HoldCo, Inc. (EHI) [6]	-do-	**70.00**	–
Laguna Water District Aquatech Resources Corporation (LARC)	-do-	**63.00**	–
North Luzon Water Company, Inc. (North Luzon Water)	-do-	**100.00**	100.00
Davao del Norte Water Infrastructure Company, Inc. (Davao Water)	-do-	**100.00**	100.00
Tagum Water Company, Inc. (Tagum Water) [4]	-do-	**90.00**	90.00
Manila Water Consortium, Inc. (MW Consortium)	-do-	**79.63**	79.63
Cebu Manila Water Development, Inc. (Cebu Water)[5]	-do-	**56.21**	56.21
Aqua Centro MWPV Corp. (Aqua Centro)	-do-	**100.00**	100.00
Bulacan MWPV Development Corp. (BMDC)	-do-	**100.00**	100.00
EcoWater MWPV Corp. (EcoWater)	-do-	**100.00**	100.00
Leyte Water Company, Inc. (Leyte Water)	-do-	**100.00**	100.00
Manila Water Technical Ventures, Inc. (MWTV)	-do-	**100.00**	100.00
Zamboanga Water Company, Inc. (Zamboanga Water)	-do-	**70.00**	70.00

[1] On September 18, 2024, MSEA was considered as officially dissolved in Singapore by the Accounting and Corporate Regulatory Authority.
[2] PTMWI is 95.00% owned by MSEA and 5.00% owned by an individual whose ownership has been pledged to MSEA.
[3] Filipinas Water is 49.00% owned by the Parent Company and 51.00% owned by MWPVI.
[4] Tagum Water is 90.00% owned by Davao Water. MWPVI's effective interest in Tagum Water is 90.00% by virtue of its 100.00% ownership interest in Davao Water as of December 31, 2024 and 2023.
[5] Cebu Water is 70.58% owned by MW Consortium. MWPVI's effective ownership interest in Cebu Water is 56.21% by virtue of its 79.63% ownership interest in MW Consortium as of December 31, 2024 and 2023.
[6] MWPVI acquired 70% ownership of EHI on April 18, 2024. EHI owned 90% shares in LARC. MWPVI's effective ownership interest in LARC is 63.00% by virtue of its 70.00% ownership interest in EHI as of December 31, 2024.
[7] On October 22, 2024, the Group has completed the divestment of Bulakan Water and Obando Water.

Significant Transactions – Parent Company

Parent Company's Subscription Agreement with Prime Strategic Holdings, Inc. (previously Prime Metroline Holdings, Inc.)
On February 1, 2020, the Parent Company and Prime Metroline Holdings, Inc., on behalf of a company to be incorporated (to be named Trident Water), signed a Subscription Agreement for the acquisition of 820.00 million common shares (equivalent to 24.96% economic rights) of the Parent Company at ₱13.00 per share.

On February 6, 2020, Ayala, as part of the Shareholders' Agreement to be executed among itself, its wholly-owned subsidiary Philwater Holdings Co., Inc. (Philwater), and Trident Water, Ayala's Executive Committee approved the grant of proxy rights by Philwater to Trident Water over its 4,000.00 million preferred shares to enable the latter to achieve 51.00% voting interest in the Parent Company, subject to the fulfillment of the conditions set forth in the subscription agreement. Upon the grant of proxy rights to Trident Water, Ayala's effective voting interest in the Parent Company will stand at 31.60%. This arrangement aimed to strategically rationalize the economic and voting stakes between Ayala and Trident Water as strategic partners in the Parent Company.

On February 7, 2020, the Parent Company received a letter from Prime Metroline Holdings, Inc., that it had announced through publication in a newspaper of general circulation, its intention to make a mandatory offer for the shares of the Parent Company at an offer price of ₱13.00 per share.

On July 2, 2020, the SEC approved the Parent Company's application for the amendment of its Articles of Incorporation to increase the carved-out shares from 300.00 million to 900.00 million unissued common shares and the issuance of such carved-out shares in one or more transactions or offerings "for cash, properties, or assets to carry out the Parent Company's corporate purposes as approved by the Board of Directors (BOD)." Carved-out shares are common shares which are waived of shareholders' pre-emptive rights and are earmarked for specific corporate purposes (see Note 21).

On August 25, 2020, the Parent Company received a copy of the resolution from the Philippine Competition Commission (PCC), indicating that the PCC will take no further action with respect to the transaction. Specifically, it was deemed that the proposed acquisition of Trident Water of shares in the Parent Company would not likely result in substantial lessening of competition. In 2020, the Parent Company also received consents from specific lenders for the subscription.

On February 15, 2021, the Parent Company and Prime Strategic Holdings, Inc. signed an Amendment to the Subscription Agreement. The amendment covered the inclusion of Trident Water as party to the Subscription Agreement following its establishment, as well as the updated payment terms which was 50.00% or ₱5.33 bilion upon Closing and 50.00% or ₱5.33 bilion upon call of the Parent Company's BOD.

On the same date, Philwater and Trident Water executed a Share Purchase Agreement wherein Philwater agreed to sell 2,691,268,205 of its preferred shares in the Parent Company for ₱4.84 billion to Trident Water with a payment term over a five (5)-year period. The purchase of the preferred shares reflected a 39.09% voting stake and 8.19% economic stake in the Parent Company. The rights and title to the shares, except voting rights covered by the proxies, which shall be executed upon the execution of the Shareholders' Agreement, shall not be transferred until all payments are made. Dividends earned by the preferred shares shall continue to be for the account of Philwater until full payment has been made.

On April 8, 2021, the Parent Company received the Tender Offer Report from Trident Water to acquire up to 1,118,253,916 common shares of the Parent Company through a tender offer to all shareholders. Said tender offer did not include the 866,996,201 common shares held by Ayala and its nominees and the 4,000,000,000 preferred shares held by Philwater and its nominees. On May 31, 2021, a total of 462,660 common shares of the Parent Company were tendered, accepted and purchased by Trident Water via block sale through the facilities of the Philippine Stock Exchange.

On June 3, 2021, Trident Water completed the tender offer. Following the completion of the tender offer, Trident Water owns 870,462,660 common shares of the Parent Company and has voting rights over 2,691,268,205 preferred shares to be acquired by Trident Water. In addition, Prime Strategic Holdings, Inc. also owns 29,589,500 common shares of the Parent Company. On June 24, 2021, Trident Water acquired 29,589,500 common shares of the Parent Company from Prime Strategic Holdings, Inc.

As of December 31, 2024 and 2023, Trident Water holds the following common shares and preferred shares in the Parent Company.

	December 31, 2024	December 31, 2023
Common shares	**1,478,049,627**	900,052,160
Preferred shares	**3,563,756,068**	2,691,268,205

As of December 31, 2024, Philwater remains the stockholder of record and retains economic ownership of 3,563,756,068 preferred shares until full payment of the purchase price by Trident Water but the voting rights on these have been transferred to Trident by virtue of proxies (such that Trident has a total of 81.84% voting rights over all outstanding common and preferred shares).

<u>Parent Company's Buy-back of Shares from Ayala and Philwater</u>
On October 11, 2023, the Parent Company's BOD approved a buy-back program of its shares with Ayala and Philwater. The Parent Company re-acquired its 288,998,734 common shares and 436,243,932 participating preferred shares, respectively, for a total amount of ₱5.72 billion. This transaction reduced Ayala Corporation's effective economic stake from 30.40% as of December 31, 2022 to 22.54% as of December 31, 2023 (see Note 21).

As of December 31, 2023, Ayala holds 576,997,467 common shares and 872,487,862 preferred shares in the Parent Company.

<u>Divestment of Ayala Corporation</u>
On May 17, 2024, Trident Water executed with Ayala and its wholly-owned subsidiary, Michigan Holdings, Inc. (Michigan), the underlying agreements for the special block sales covering AC's and Michigan's 576,997,467 MWC common shares. Trident and Philwater, also executed a Deed of Absolute Sale for the sale of Philwater's 872,487,863 MWC preferred shares.

The gross consideration for these transactions among Trident and AC entities, amounted to ₱14.5 billion.
As of December 31, 2024, Ayala no longer holds common and preference shares of MWC and its voting stake was nil (0%) as a result of the block sale and voting proxy issued in favor of Trident vis-à-vis the participating preferred shares. Moreover, the economic and voting ownership of Trident increased to 50.04% and 81.84%, respectively, as of December 31, 2024.

The above shareholder transactions have no impact on the Parent Company's books.

<u>Parent Company's Concession Agreement with Metropolitan Waterworks and Sewerage System (MWSS)</u>
On February 21, 1997, the Parent Company entered into a Concession Agreement (the "Concession Agreement") with MWSS, a government corporation duly organized and existing pursuant to Republic Act (RA) No. 6234, as amended, with respect to the MWSS East Service Area (the "East Zone"). The Concession Agreement sets forth the rights and obligations of the Parent Company throughout a twenty-five (25)-year concession period. The MWSS Regulatory Office (MWSS RO) monitors and reviews the performance of each of the Concessionaires – the Parent Company and Maynilad Water Services, Inc. (Maynilad), the West Zone Concessionaire.

Under the Concession Agreement, MWSS grants the Parent Company (as contractor to perform certain functions and as agent for the exercise of certain rights and powers under RA No. 6234) the right and obligation to manage, operate, repair, decommission, and refurbish all fixed and movable assets (except certain retained assets) required to provide water delivery and sewerage services in the East Zone for a period of twenty-five (25) years commencing on August 1, 1997 (the Commencement Date) up to May 6, 2022 (the Expiration Date) or the early termination date as the case may be. While the Parent Company has the right to manage, operate, repair, and refurbish specified MWSS facilities in the East Zone, legal title to these assets remains with MWSS. The legal title to all fixed assets contributed to the existing MWSS system by the Parent Company during the Concession remains with the Parent Company until the Expiration Date (or until the early termination date) at which time all rights, titles and interests in such assets will automatically vest to MWSS.

On Commencement Date, the Parent Company officially took over the operations of the East Zone and rehabilitation works for the service area commenced immediately thereafter. As provided in the Parent Company's project plans, operational commercial capacity has been obtained upon substantial completion of the rehabilitation work.

Under the Concession Agreement, the Parent Company is entitled to the following rate adjustments:

a. Annual standard rate adjustment to compensate for increases in the Consumer Price Index (CPI);
b. Extraordinary price adjustment (EPA) to account for the financial consequences of the occurrence of certain unforeseen events stipulated in the Concession Agreement;
c. Foreign currency differential adjustment (FCDA) to recover foreign exchange losses including all accruals and carrying costs thereof, arising from MWSS loans and any Concessionaire loans used for capital expenditures and concession fee payments, in accordance with the provisions set forth in Amendment No. 1 of the Concession Agreement dated October 12, 2001 (see Notes 2, 3 and 13); and
d. Rebasing Convergence Adjustment for the purposes of calculating the Rates Adjustment Limit for each of the five Charging Years of the Rebasing Period determined based on the following:
   i. where the Rebasing Adjustment is found to be positive, the Rebasing Convergence Adjustment for the first Charging Year of the Rate Rebasing Period shall be equal to the Rebasing Adjustment, and the Rebasing Convergence Adjustment for each of the following four (4) Charging Years shall be zero; and
   ii. where the Rebasing Adjustment is found to be negative, the Rebasing Convergence Adjustment for each of the five (5) Charging Years of the Rebasing Period shall be equal to the Rebasing Adjustment divided by five (5).

In the event that the MWSS RO determines, at any time from and after the second (2nd) Rate Rebasing Date, that the Parent Company shall incur significant capital expenditures in carrying out its responsibilities under the Concession Agreement which should not be recovered through immediate rate adjustments, the MWSS RO may propose to the Parent Company that the Concession Agreement be amended to provide for the payment to the Parent Company for all or a portion of such unforeseen capital expenditure (Expiration Payment). Any Expiration Payment shall be treated by the MWSS RO as an anticipated receipt for purposes of making rate adjustment calculations. Any Expiration Payment may be discharged through the delivery to the Parent Company of a USD denominated debt instrument issued by MWSS or another public-sector owned by the Republic but, in either case, with the full faith and credit guarantee of the Republic, ranking at least pari passu with all other unsecured and unsubordinated external debt obligations of the Republic, having a cash value equal to such Expiration Payment.

These rate adjustments are subject to a rate adjustment limit which is equivalent to the sum of CPI published in the Philippines, EPA and Rebasing Convergence Adjustment as defined in the Concession Agreement. The Concession Agreement also provides a general rate setting policy for rates chargeable by the Parent Company for water and sewerage services as follows:

a. For the period through the second Rate Rebasing date (January 1, 2008), the maximum rates chargeable by the Parent Company (subject to interim adjustments) are set out in the Concession Agreement; and,
b. From and after the second Rate Rebasing date, the rates for water and sewerage services shall be set at a level that will permit the Parent Company to recover, over the twenty-five (25)-year term of the concession, its investment including operating, capital maintenance and investment incurred, Philippine business taxes and payments corresponding to debt service on MWSS loans and the Parent Company's loans incurred to finance such expenditures, and to earn a rate of return equal to the appropriate discount rate (ADR) on these expenditures for the remaining term of the concession.

The maximum rates chargeable for such water and sewerage services shall be subject to general adjustment at five (5)-year intervals commencing on the second Rate Rebasing date, provided that the MWSS RO may exercise its discretion to make a general adjustment of such rates.

On April 16, 2009, the MWSS Board of Trustees (MWSS BOT) passed Resolution No. 2009-072 approving the fifteen (15)-year extension of the Concession Agreement (the "Extension") from May 6, 2022 to May 6, 2037. This resolution was confirmed by the Department of Finance (DOF), under the authority from the Office of the President of the Republic of the Philippines, on October 19, 2009. The significant commitments under the Extension are as follows:

a. To mitigate tariff increases such that there will be reduction of the balance of the approved 2008 rebased tariff by 66%, zero increase of the rebased tariff in 2009 and a ₱1.00 increase for years 2010 to 2016, subject to CPI and FCDA adjustments.
b. To increase the share in the current operating budget support to MWSS by 100% as part of the concession fees starting 2009.
c. To increase the total investments from the approved ₱187.00 billion for the periods 2008 to 2022 to ₱450.00 billion for 2008 to 2037.

With the approval of the Extension, the recovery period for the Parent Company's investment has been extended by another fifteen (15) years from 2022 to 2037.

On December 5, 2019, the MWSS BOT issued Resolution No. 2019-201-CO revoking Resolution No. 2009-072 dated April 16, 2009 related to the extension of the concession period of the Parent Company from 2022 to 2037.

On December 20, 2019, MWSS released a press statement clarifying Resolution No. 2019-201-CO and confirming that the action of the MWSS BOT did not result in the rescission or outright cancellation of the Concession Agreement.

On January 29, 2020, the Parent Company received a response letter from the MWSS RO confirming that the twenty-five (25)-year Concession Agreement from 1997 to 2022 and the Memorandum of Agreement (MOA) and Confirmation between the Parent Company and the MWSS providing for the fifteen (15)-year Extension from 2022 to 2037 had not been cancelled.

Parent Company's Revised Concession Agreement (RCA) with MWSS
On March 31, 2021, the Parent Company and MWSS entered into an RCA which has a term of up to July 31, 2037. The RCA shall become effective within six (6) months from March 31, 2021 and upon satisfaction of the conditions precedent.

Under the RCA, MWSS grants the Parent Company (as a public utility to perform certain functions and as a public utility for the exercise of certain rights and powers under RA No. 6234), the right to manage, operate, repair, decommission and refurbish all fixed and movable assets (except certain retained assets) required to provide water delivery and sewerage services in the East Zone, including the right to bill and collect for water and sewerage services supplied in the East Zone.

The RCA reinforced provisions on penalties from the Original Concession Agreement (OCA) where originally, the trigger is whether the failure to meet the Service Obligation continues for more than 60 days (or 15 days if it will adversely affect public health or welfare). Penalty is based on 25% to 50% of the cost to restore the service obligation. This was revised in the RCA where the failure to meet the Service Obligation continues for more than 15 days (or 3 days if it will adversely affect public health or welfare). Penalty is based on the highest among: (1) 25% of the cost to restore; (2) based on the Service Obligation affected, formula is provided for each; or (3) liquidated damages for delay of related project equal to 1/10 of 1% of the cost of the unperformed portion for every day of delay. Additionally, regulators will now be appointed by the President of the Republic under the RCA.

The RCA also identified the drivers for Material Adverse Government Action (MAGA) that will excuse the Concessionaire, if they fail to deliver the financial and other contractual obligations under the RCA due to the occurrence of MAGA *(Article 10).*

The RCA retains the rate rebasing mechanism under the original Concession Agreement. Thus, the rates for water and sewerage services provided by the Parent Company shall be set at a level that will permit it to recover over the term of the concession expenditures efficiently and prudently incurred and to earn a reasonable rate of return.

The RCA removed the recovery of the corporate income taxes and adjustment for FCDA. It also reduced the inflation factor to 2/3 of the CPI adjustment and imposed caps on increases in standard rates for water (1.3x the previous standard rate) and wastewater (1.5x the previous standard rate). Instead of a market-driven ADR, the Parent Company is now limited to a 12.00% fixed nominal discount rate. Concessionaire's borrowing plans and service improvement plans, as well as deviation to such plans shall be approved by the Regulatory Office at each Rate Rebasing exercise (Section 6.11). Publication of tariff is required fifteen (15) days prior to effectivity (Section 9.7) The RCA also includes a tariff freeze until December 31, 2022.

As with the original Concession Agreement, the legal title to MWSS assets remains with MWSS. On the other hand, legal title to all fixed assets contributed by the Parent Company to the existing MWSS system during the concession remains with the Parent Company. Nevertheless, during each Rate Rebasing Date, the Parent Company is required to submit to MWSS a list of all recovered assets, including all supporting documents.

The legal title to these recovered assets shall be transferred to MWSS on or before such Rate Rebasing Date. Performance Bond is based on 2% to 10% of the Total Project Cost depending on the form of the performance bond to be issued in favor of MWSS (Section 6.10).

As of December 31, 2021, the remaining condition precedent to the effectivity of the RCA is the Undertaking Letter from the Republic.

The Parent Company and MWSS have since executed six (6) amendments to the RCA extending its Effective Date to allow time to complete the remaining condition precedent – the issuance of the Undertaking Letter from the Republic. The Sixth Amendment executed on May 19, 2022 extended the Effective Date to no later than June 30, 2022.

On June 30, 2022, the RCA did not take effect due to the Republic's failure to submit the prescribed Undertaking Letter. Consequently, any changes adopted by the Parent Company in relation to the RCA were reverted to the terms provided in the Original Concession Agreement, except as provided under the franchise *(Refer to Note 1, discussion on Parent Company Water Franchise Approval)*.

On May 10, 2023, the Parent Company and MWSS executed a seventh Amendment to the RCA (the "Amendment"). The parties agreed that the RCA and the seventh Amendment are deemed to be effective as of June 29, 2022. The Republic also issued a new Undertaking Letter effective as of July 1, 2022, superseding the Undertaking Letter dated June 24, 2022. The revised RCA is deemed effective on June 29, 2022.

Below are the key changes in the seventh amendment to the RCA:

- Tariff adjustments must observe the cap on "C" which is 75% of the July inflation as published by PSA. *(Amended RCA Sec 9.4.2)*
- FCDA will be based on the following (1) Forex gains or losses arising from the payments to service the debt of MWSS Loans; and (2) forex arising from principal payments of loans, limited to the list of loans provided in the RCA. *(Amended RCA Section 9.8)*. Forex gains/losses on additional or new foreign currency denominated loans secured and drawn after June 29, 2022 onwards shall be recovered through Modified FCDA. *(Amended RCA Sec 9.8.1)*
- Revised provision for MAGA (*Amended Article 10)*

On November 9, 2023, after due notice to the public, the MWSS-RO conducted a public hearing for the extension of the expiration date of the RCA. This is in view of the Parent Company's application to extend the term of the RCA for another 10 years or until 2047 to align with the term of its Franchise.

As of December 31, 2024, the Parent Company is still waiting for the approval of the request for extension of the expiration date of the RCA.

Rate Rebasing Tariff Adjustments
In March 2012, the Parent Company submitted to MWSS a business plan embodying its rate rebasing proposals for charging year 2013. The rate rebasing activity is done every five (5) years. MWSS conducted a review of the proposal including the Parent Company's last five (5) years' financial performance. The financial review process was extended until the third quarter of 2013. On September 10, 2013, the MWSS RO issued Resolution No. 13-09-CA providing for a negative rate rebasing adjustment of 29.47% on the Parent Company's 2012 average basic water rate of ₱24.57 per cubic meter which shall be implemented in five (5) equal tranches of negative 5.894% per charging year. The Parent Company objected to MWSS' Rate Rebasing determination and formally filed its Dispute Notice on September 24, 2013, before a duly-constituted Appeals Panel, commencing the arbitration process, as provided under Section 12 (in relation to Section 9.4 of the Concession Agreement).

On December 10, 2013, the MWSS BOT, through MWSS RO Resolution No. 13-012 CA, approved the implementation of a status quo for the Parent Company's Standard Rates, including FCDA, until such time that the Appeals Panel has rendered a final award on the 2013 Rate Rebasing determination.

On April 21, 2015, the Parent Company received the final award of the Appeals Panel in the arbitration which included the following tariff component determination:

a. ₱28.10 billion Opening Cash Position (OCP) which restored ₱11.00 billion from the September 2013 OCP determination of MWSS of ₱17.1 billion;
b. ₱199.60 billion capital expenditures and concession fees which restored ₱29.50 billion from the September 2013 future capital and concession fee expenditure of ₱170.10 billion;
c. 7.61% ADR which was an improvement of 79 bps from the post-tax ADR of 6.82% in September 2013; and
d. exclusion of corporate income tax from cash flows beginning January 1, 2013.

Consequently, the final award resulted in a rate rebasing adjustment for the period 2013 to 2017 of negative 11.05% on the 2012 basic average water charge of ₱25.07 per cubic meter. This adjustment translated to a decrease of ₱2.77 per cubic meter from the tariff during the intervening years before the 2018 rate rebasing. Annual CPI adjustments and the quarterly FCDA were consistent with the Parent Company's Concession Agreement with MWSS.

On September 27, 2018, the MWSS BOT (MWSS Resolution No. 2018-145-RO) approved the Parent Company's Rebasing Adjustment for the Fifth Rate Rebasing Period (2018 to 2022) as recommended by the MWSS RO (MWSS RO Resolution No. 2018-10-CA). To mitigate the impact on the tariff of its customers, the Parent Company shall stagger its implementation over a five (5)-year period. The first tranche took effect on October 16, 2018 amounting to ₱1.46 per cubic meter or 5.70% of the pre-rebased 2017 basic tariff. The MWSS BOT also approved the implementation of the subsequent partial Rebasing Convergence Adjustment on a staggered basis as scheduled below:

- ₱2.00 on January 1, 2020,
- ₱2.00 on January 1, 2021, and
- ₱0.76 to ₱1.04 on January 1, 2022.

On December 13, 2018, the MWSS BOT (MWSS Resolution No. 2018-190-RO) approved the Parent Company's implementation of the 5.70% CPI Adjustment to be applied to the 2018 average basic charge of ₱26.98 per cubic meter and the 2.62% FCDA to be applied to the 2019 average basic charge. These adjustments were recommended by the MWSS RO (MWSS RO Resolution No. 2018-12-CA) and took effect on January 1, 2019.

Effective January 1, 2022, subject to the validation of the MWSS RO of the feasibility and cost of the Wawa Bulk Water Source to Calawis Project as the Parent Company's medium-term water source, an additional partial Rebasing Convergence Adjustment of up to ₱0.28 per cubic meter on top of the basic partial Rebasing Convergence Adjustment of ₱0.76 per cubic meter, was approved by the MWSS BOT on September 27, 2018.

On March 31, 2021, the Revised Concession Agreement (RCA) was signed between the Parent Company and MWSS, which included a tariff freeze until December 31, 2022.

On November 10, 2022, the MWSS BOT (MWSS BOT Resolution No. 2022-148-RO) approved the Parent Company's Rebasing Adjustment for the Sixth Rate Rebasing Period (2023 to 2027) as recommended by the MWSS RO (MWSS RO Resolution No. 2012-12-CA). The implementation of Rebasing Adjustment from 2023 to 2027 on a staggered basis is scheduled as follows:

- ₱8.04 on January 1, 2023,
- ₱5.00 on January 1, 2024,
- ₱3.25 on January 1, 2025,
- ₱1.91 to ₱3.00 on January 1, 2026, and
- ₱1.05 to ₱1.08 on January 1, 2027.

The approval also includes an indicative adjustment of about 0.97 to 1.00 or 2.12% on January 1, 2028 due to non-full recovery of the total expenses for the Wawa Bulk Water Supply Project in compliance with MWSS BOT. However, this amount will be subject to the next Rate Rebasing exercise.

Furthermore, the environmental charge will increase from 20% to 25% beginning January 1, 2023, and from 25% to 30% beginning January 1, 2026 while sewer charge will increase from 30% to 32.85% beginning January 1, 2023. Both increases are subject to Manila Water's attainment of sewer coverage of 30% by the end of 2025.

FCDA

Prior to November 18, 2021, the MWSS BOT approved the FCDA quarterly. The FCDA had no impact on the net income of the Parent Company, as the same is a recovery or refund mechanism of foreign exchange losses or gains. The following FCDA adjustments and their related foreign exchange basis took effect in 2019 to 2021.

Approval Date	Effective Date	FCDA	Foreign Exchange Rate Basis
December 14, 2018	January 1, 2019	₱0.75 per cubic meter	USD1: ₱53.94 / JPY1: ₱0.48
March 6, 2019	April 1, 2019	₱0.52 per cubic meter	USD1: ₱52.77 / JPY1: ₱0.47
September 26, 2019	October 13, 2019	₱0.69 per cubic meter	USD1: ₱52.41 / JPY1: ₱0.47
March 11, 2020	April 1, 2020	₱0.48 per cubic meter	USD1: ₱50.77 / JPY1: ₱0.47 / EUR1: ₱56.36
September 14, 2020	October 1, 2020	₱0.33 per cubic meter	USD1: ₱50.10 / JPY1: ₱0.47 / EUR1: ₱56.37
December 1, 2020	January 1, 2021	₱0.19 per cubic meter	USD1: ₱48.51 / JPY1: ₱0.46 / EUR1: ₱57.22
February 24, 2021	April 1, 2021	₱0.24 per cubic meter	USD1: ₱48.06 / JPY1: ₱0.46 / EUR1: ₱58.39

There were no FCDA adjustments for the third quarter of 2019 as the MWSS BOT did not approve the adjustments until the fourth quarter of 2019. On May 29, 2020, the MWSS BOT approved an FCDA adjustment for the third quarter of 2020 similar to the prevailing FCDA adjustment for the second quarter of 2020 of ₱0.48 per cubic meter which had no impact on customer bills. There were no further FCDA adjustments approved from February 24, 2021. The RCA signed on March 31, 2021 also removed the FCDA mechanism.

On October 28, 2021, the MWSS BOT approved the recommendation of the MWSS RO to remove the FCDA from the Parent Company's customer bills beginning November 18, 2021, the initial effectivity date of the RCA.

Beginning November 18, 2021, the FCDA was no longer applied to water rates of the Parent Company's East Zone customers. However, due to non-effectivity of the RCA on June 30, 2022, the Parent Company reinstated the original Concession Agreement on July 1, 2022 with the recovery mechanism of the FCDA still in effect.

On May 10, 2023, the seventh Amendment of the RCA includes FCDA that will be based on the following (1) Forex gains or losses arising from the payments to service the debt of MWSS Loans; and (2) forex gains or losses arising from principal payments of loans, limited to the list of loans provided in the RCA. Forex gains or losses on additional/new foreign currency denominated loans secured and drawn after June 29, 2022 onwards shall be recovered through Modified FCDA.

On August 7, 2024, MWSS BOT, upon the recommendation of the MWSS RO, approved the FCDA Guidelines describing the mechanics to determine the FCDA.

On September 12, 2024, MWSS BOT approved the reimplementation of FCDA at 2.03% of the 2024 average basic charge of ₱42.26 per cubic meter or ₱0.86 per cubic meter pursuant to the provisions of Amended RCA. The tariff was adjusted upward by an average of ₱0.88 per cubic meter effective October 1, 2024.

On December 5, 2024, MWSS BOT approved the implementation of FCDA equivalent to 1.29% of the 2025 average basic charge of ₱47.10 per cubic meter or ₱0.61 per cubic meter pursuant to the provisions of the Amended RCA effective January 1, 2025.

As of December 31, 2024 and 2023, the Parent Company's deferred FCDA on the consolidated statement of financial position amounted to ₱6,135.18 million and ₱2,510.95 million, respectively.

Supreme Court Decision in Relation to the Philippine Clean Water Act of 2004
This case stemmed from a complaint filed by the OIC Regional Director Roberto D. Sheen of the Environmental Management Bureau-National Capital Region (EMB-NCR) before the Pollution Adjudication Board (PAB) against the Parent Company, Maynilad, and MWSS for alleged violation of Philippine Clean Water Act of 2004 (RA No. 9275, the "Clean Water Act"), particularly the five (5)-year deadline imposed in Section 8 thereof for connecting the existing sewage line found in all subdivisions, condominiums, commercial centers, hotels, sports and recreational facilities, hospitals, market places, public buildings, industrial complex and other similar establishments including households, to an available sewerage system. Two (2) similar complaints against Maynilad and MWSS were consolidated with this case.

On September 18, 2019, the Parent Company received a copy of the Decision of the Supreme Court in the case '*Manila Water Company, Inc. vs. The Secretary of the Department of Environment and Natural Resources (DENR), et.al.*' (G.R. No. 206823), promulgated on August 6, 2019. In the Decision, the Supreme Court found the Parent Company liable for fines in violation of Section 8 of the Clean Water Act in the following manner:

a. The Parent Company shall be jointly and severally liable with MWSS for the total amount of ₱921.46 million covering the period starting from May 7, 2009 to the date of promulgation of the Decision, August 6, 2019, to be paid within fifteen (15) days from finality of the Decision.
b. From finality of the Decision until full payment of the ₱921.46 million fine, the Parent Company shall be fined in the initial amount of ₱322,102.00 per day, subject to a further 10.00% increase every two (2) years as provided under Section 28 of the Clean Water Act, until full compliance with Section 8 of the same law.
c. The total amount of fines imposed by the Decision shall earn legal interest of six percent (6.00%) per annum from finality and until full satisfaction thereof.

On October 2, 2019, the Parent Company filed a Motion for Reconsideration with the Supreme Court.

On July 1, 2020, the Parent Company received a copy of the Consolidated Comment filed by the Office of the Solicitor General on behalf of the adverse parties. This comment addressed the separate Motions for Reconsideration filed by MWSS, Maynilad and the Parent Company.

The Parent Company filed with the Supreme Court a Motion for Leave to File and Admit its Reply last August 17, 2020.

On November 3, 2020, the Parent Company received a Resolution dated September 8, 2020 issued by the Supreme Court, which relevantly (i) noted the Consolidated Comment; (ii) granted the Motion for Leave and Admit the Attached Reply; and (iii) noted the Reply filed by the Parent Company.

On January 25, 2022, the Republic Act (RA) 11601 or "*An Act Granting Manila Water Company, Inc. a Franchise to Establish, Operate, and Maintain a Waterworks System and Sewerage and Sanitation Services in the East Zone Service Area of Metro Manila and Province of Rizal"* took effect. This extends the Parent Company's compliance deadline under Sec. 8 of the Clean Water Act from May 7, 2009 to the year 2037.

On January 26, 2022, the Parent Company filed a Manifestation to inform the Supreme Court of significant developments, including the grant of a legislative franchise to the Parent Company, which it considered relevant to the resolution of its 2019 Motion for Reconsideration.

On October 21, 2022, the Parent Company received a resolution dated July 19, 2022 issued by the Supreme Court which modified the dispositive portion of the Court's August 6, 2019 decision. Accordingly, the Parent Company is liable for fines in violation of Section 8 of the Clean Water Act in the following manner:

a. The Parent Company shall be jointly and severally liable with MWSS for the total amount of ₱202.26 million covering the period starting from May 7, 2009 until January 21, 2022 (date before the effectivity of RA 11601), to be paid within fifteen (15) days from the receipt of the Resolution.
b. The total amount of fines imposed by the Decision shall earn legal interest of six percent (6.00%) per annum from finality and until full satisfaction thereof.

On November 2, 2022, the Office of the Solicitor General representing DENR, filed a Motion for Partial Reconsideration related to the resolution issued by the Supreme Court dated July 19, 2022.

On January 17, 2023, the Supreme Court denied with finality the Motion for Partial Reconsideration filed by the Office of the Solicitor General for DENR, which sought to reduce the fines imposed against the Parent Company and MWSS. The Supreme Court also ruled that no further pleadings or motions will be entertained, and that entry of judgment will be made immediately.

Accordingly, in 2022, the Parent Company recognized a net reduction of ₱450.26 million in the prior years' provision for Clean Water Act, recorded as Other Income in the Group's profit or loss (Note 18).

On February 9, 2023, the Parent Company has paid the fines in full amounting to ₱202.26 million.

Parent Company's Water Franchise Approval
On January 25, 2022, RA No. 11601 took effect, granting the Parent Company a twenty-five (25)-year franchise to establish, operate and maintain a waterworks system to ensure an uninterrupted and adequate supply, and distribution of potable water for domestic, commercial, and other purposes, and for the establishment and maintenance of sewerage system in the East Zone under the concession agreement with the MWSS, or through an appropriate certificate of public convenience and necessity, license or permit from the MWSS RO. The franchise considers MWCI as a public utility. It provides that income taxes due from MWCI cannot be passed on to consumers.

The Parent Company is likewise given the right to recover, supply, distribute, and reuse treated and grey water whether in bulk or retail for domestic, commercial or industrial and other purposes within the franchise area. Furthermore, the Parent Company is allowed to develop new raw water sources as operations may require and enter into bulk water supply arrangements. It may also exercise the power of eminent domain as necessary for its operations and may install and maintain its pipelines and facilities on public property and roads.

Section 5 of RA No. 11601 provides that the Concession Agreement shall serve as the certificate of public convenience and necessity, license or permit of MWCI for the operation of its waterworks and sewerage system. Under RA 11601, "Concession Agreement" refers to the agreement between MWCI and MWSS executed on February 21, 1997, as revised by the "Revised Concession Agreement" dated March 31, 2021, and further amended on July 1, 2022, by the "7th Amendment to the Revised Concession Agreement", or as may thereafter be amended.

When public interest for affordable water security requires and upon application by the Parent Company, MWSS shall be authorized to approve the amendment of the Concession Agreement to extend its term up to the term of the franchise, after appropriate notice and hearing.

As franchisee, the Parent Company is obligated to submit to the RO a completion plan for the establishment and operation of water, sewerage and sanitation project covering a period until 2037, with periodic five (5)-year completion targets with the end goal of achieving one hundred percent (100.00%) water and combined sewerage and sanitation coverage by 2037.

The Parent Company is required to submit a compliance report to Congress through the Committee on Legislative Franchises of the House of Representatives and the Committee on Public Services of the Senate on or before April 30 of each year. The annual report will contain the following:

a. Annual progress report of compliance with targets;
b. An update on the development, operation, and expansion of business;
c. Audited financial statements
d. Latest General Information Sheet (GIS) officially submitted to the SEC, if applicable;
e. A certification of the MWSS RO on the status of its permits and operations; and
f. An update on its minimum public float required under Section 18.

The Parent Company is obligated to submit all information and documents required by the MWSS RO to conduct comprehensive assessment of the grantee's operations and compliance with conditions imposed in RA No. 11601. Further, the Parent Company is required to provide and promote creation of employment opportunities, maintain minimum public float as required by the Philippine Stock Exchange, and elect independent directors constituting at least 20.00% of its total BOD membership.

Tariff setting to be conducted by the MWSS RO or its legal successor shall take into account incentives for enhancement of efficiency, equity considerations, and the customers' willingness to pay apart from reasonable and prudent capital and recurrent costs of providing the service including a reasonable rate of return on capital, efficiency of service, administrative simplicity, and the methodology prescribed under the RCA.

On March 2, 2022, the MWSS BOT approved Resolution No. 2022-025-RO, Series 2022 involving the implications of the Legislative Franchises on the value-added tax (VAT) and franchise tax of the Concessionaires specifically:

i. The removal of VAT from the customer bills of Manila Water and Maynilad resulting from the grant of the Legislative Franchises to the Concessionaires, subject to the National Internal Revenue Code of 1997, as amended, and the relevant rules of the Bureau of Internal revenues; and
ii. The imposition of Government Taxes in the customers' bills as pass-through costs comprised of a national franchise tax at the rate of 2.00% and actual implemented rates of local franchise tax for each local government unit starting March 21, 2022.

On March 21, 2022, the Parent Company submitted its notice of acceptance of the twenty-five (25)-year legislative franchise to the Committee on Legislative Franchises of the House of Representatives and the Senate Committee on Public Services.

On April 29, 2022, the Parent Company submitted its 1st Annual Report to Congress in compliance with Section 21 of RA No. 11601.

On November 9, 2023, after due notice to the public, the MWSS-RO conducted a public hearing for the extension of the expiration date of the RCA. This is in view of Parent Company's application to extend the term of the RCA for another 10 years or until 2047 to align with the term of its Franchise.

As of December 31, 2024, the Parent Company is still waiting for the approval of the request for extension of the expiration date of the RCA

<u>Parent Company's, MWSS', and WawaJVCo, Inc.'s Raw Water Supply Offtake Agreement</u>
On August 6, 2019, MWSS along with the Parent Company signed a thirty (30)-year Raw Water Supply Offtake (Wawa Bulk Water) Agreement with WawaJVCo, Inc. (the Joint Venture), a joint venture company formed between Prime Metroline Infrastructure Holdings Corporation and San Lorenzo Builders and Developers Corporation. This will involve the supply of 518 million liters per day of raw water from the Wawa and Tayabasan rivers and is among the medium-term water supply augmentation measures identified to provide water security and sustainability to the consumers of the East Service Area.

On September 9, 2019, the MWSS RO adopted RO Resolution No. 2019-12-CA declaring the proposed Wawa-Calawis Bulk Water Supply Project as sound and feasible for implementation and recommending the inclusion of the total systems cost or Total Expense of the 518 million liters per day Calawis Water Treatment Plant and Conveyance Facility Project, prudently and efficiently incurred, in the next Rate Rebasing Exercise.

On September 10, 2019, the MWSS BOT approved the recommendation of the MWSS RO through MWSS Resolution No. 2019-143-RO.

On January 7, 2020, the parties executed the First Supplement to the Wawa Bulk Water Agreement to reflect their agreement on the joint conditions precedent.

On September 28, 2021, the parties executed the Second Supplement to the Wawa Bulk Water Agreement to reflect the impact of the COVID-19 pandemic on the timeline of the project.

The first phase of the agreement will involve supply of 80 million liters per day of raw water in October 2022, while the second phase will supply the additional 438 million liters per day of raw water by December 31, 2025.

On October 25, 2022, the construction of the Tayabasan Multibasin System Project was completed, and the Joint Venture commenced the provision of initial 80 million liters per day of raw water to the Parent Company.

Significant Transactions – Domestic Subsidiaries

Laguna Water's Concession Agreement with the Provincial Government of Laguna (PGL)
On April 9, 2002, Laguna Water entered into a concession agreement (as amended on March 31, 2004, July 22, 2009, June 30, 2015, and May 3, 2018) with PGL, a local government unit organized and existing under Philippine Laws.

Under the terms of the concession agreement, PGL grants Laguna Water (as contractor and as agent for the exercise of certain rights in Laguna) the sole and exclusive right and discretion during the concession period to manage, occupy, operate, repair, maintain, decommission and refurbish the identified facilities required to provide water services to specific areas for an operational period of twenty-five (25) years which commenced on October 20, 2004.

While Laguna Water has the right to manage, occupy, operate, repair, maintain, decommission and refurbish specified PGL facilities, legal title to these assets remains with PGL. Legal title to all assets procured by Laguna Water in the performance of its obligations under the agreement remains with Laguna Water and shall not pass to PGL until the end of the concession period at which time, Laguna Water will transfer, or if the ownership is vested in another person, cause the transfer to PGL. Laguna Water has the exclusive right to provide water services in the service areas specified in the concession agreement. Concession fees set forth in the concession agreement are computed as a percentage of revenue from water services (see Note 10).

Seventy percent (70%) of the concession fees are applied against any advances made by Laguna Water to PGL. The remaining thirty percent (30%) of the concession fees are payable annually thirty (30) days after the submission of the audited financial statements by Laguna Water, starting on the first operational period.

The concession agreement also states that the base tariff shall be increased by ten percent (10%) in Year 7, 9, 11, 14, and 17 of Laguna Water's concession, which took effect on the commencement date on October 20, 2004.

On June 30, 2015, Laguna Water and the PGL signed an amendment to the concession agreement which expands the concession area to cover all cities and municipalities in the province of Laguna, as well as the service obligation to include the provision of wastewater services and the establishment of an integrated sewage and septage system in the province.

In connection with the amendment to the concession agreement on June 30, 2015, the Sangguniang Bayan of the municipality of Calauan, Laguna approved the resolution allowing Laguna Water to provide water and wastewater services to the municipality of Calauan.

Furthermore, the concession period's commencement date was amended to mean the later of either: (i) three (3) years from the takeover date (i.e., October 20, 2004); or (ii) availment by at least 25,000 customers of the services (i.e., September 30, 2010). The concession period is deemed to have commenced on September 30, 2010 and shall end on September 30, 2035.

On October 20, 2015, the Year 11, Laguna Water made a tariff adjustment of 10% which was implemented in November 2015.

On August 23, 2017, the Sangguniang Bayan of Victoria, Laguna, approved the inclusion of its municipality within the service area of Laguna Water, pursuant to the expansion of the service area of Laguna Water under its amended concession agreement with PGL.

On May 3, 2018, the concession agreement was amended to include the approval of an environmental charge amounting to twenty percent (20%) of the water tariff for wastewater services, desludging services, and other environmental-related costs which was implemented on September 22, 2018.

On October 20, 2018, the Year 14, Laguna Water implemented a tariff adjustment of 10.00% effective December 1, 2018.

In view of the Provisional Authority and Provisional Water Tariff issued by the National Water Resources Board (NWRB) on September 28, 2021, Laguna Water implemented an average of 10.00% tariff increase across all customer rate categories effective November 1, 2021 (for residential, institutional and few commercial accounts) and December 1, 2021 (for the remaining commercial and industrial accounts).

On September 28, 2022, the NWRB issued Resolution No. 13-0922 approving the Certificate of Public Convenience (CPC) of the Company valid for ten years and the rates to be implemented by the Company. Based on the approved CPC, the Company implemented a tariff increase to all its customers except LTI and Pagsanjan which became effective on January 1, 2023. Subsequently, tariff increase for LTI was also implemented and became effective on February 1, 2023. Upon implementation, varying rates on tariff increases were applied to each customer category depending on its current rate and NWRB's customer classification.

Effective January 2024, Laguna Water implemented 34% increase in average tariff both on its domestic and industrial accounts.

Boracay Water's Concession Agreement with Tourism Infrastructure and Enterprise Zone Authority (TIEZA)
On December 17, 2009, Boracay Water entered into a concession agreement with TIEZA, formerly Philippine Tourism Authority (PTA). The concession agreement sets forth the rights and obligations of Boracay Water as concessionaire throughout a twenty-five (25)-year concession period. TIEZA Regulatory Office (TIEZA RO) will monitor and review the performance of the concessionaire throughout the concession period.

Under the concession agreement, TIEZA grants Boracay Water (as contractor to perform certain functions and as agent for the exercise of certain rights and powers under Presidential Decree No. 564) the sole right to manage, operate, repair, decommission, and refurbish all fixed and movable assets (except certain retained assets) required to provide water delivery and sewerage services to the entire Boracay Island for a period of twenty-five (25) years from January 1, 2010 (commencement date) until December 31, 2034 (expiration date), or the early termination date as the case may be. The legal title to all fixed assets contributed to the existing TIEZA system by Boracay Water during the concession remains with Boracay Water until the expiration date (or the early termination date) at which time all rights, titles and interest in such assets will automatically vest in TIEZA.

On January 1, 2010, Boracay Water officially took over the operations of the service area. Rehabilitation works for the service area commenced immediately thereafter. As provided in Boracay Water's project plans, operational commercial capacity will be attained upon completion of the rehabilitation works.

Under its concession agreement, Boracay Water is entitled to the following rate adjustments:

a. annual standard rate adjustment to compensate for increases in the CPI;
b. EPA to account for the financial consequences of the occurrence of certain unforeseen events stipulated in the concession agreement; and
c. FCDA to recover foreign exchange losses including accruals and carrying costs thereof arising from TIEZA loans and any loans used for capital expenditures and concession fee payments (see Notes 2, 3 and 13).

These rate adjustments are subject to a rate adjustment limit which is equivalent to the sum of CPI published in the Philippines, EPA and Rebasing Convergence Adjustment as defined in Boracay Water's concession agreement.

The rate rebasing date is set every five (5) years starting January 1, 2011. Hence, the first rate rebasing period commenced on January 1, 2010 and ended on December 31, 2010 and, in the case of subsequent rate rebasing periods, the period commencing on the last rate rebasing date and ending on December 31 of the fifth year thereafter.

On June 7, 2017, TIEZA approved the new water rates of Boracay Water, which was equivalent to an increase of 52.83% from its existing rate to be implemented on a staggered basis for a period of three (3) years with an increase of 30.14%, 11.99%, and 10.70% in 2017, 2018 and 2019, respectively. The first tranche of tariff increase was implemented on July 1, 2017, equivalent to 30.14% of the existing rate.

On December 15, 2017, TIEZA approved Boracay Water's implementation of the second tranche of tariff increase along with a 3.80% CPI effective January 1, 2018.

On December 18, 2018, TIEZA approved Boracay Water's implementation of the third tranche of tariff increase together with 7.72% CPI. Furthermore, an additional 3.00% was applied to the basic water and sewer tariff to account for FCDA. The new rates took effect on January 1, 2019.

Boracay Water's concession agreement also provides a general rate setting policy for rates chargeable by Boracay Water for water and sewerage services as follows:

a. For the period through the second rate rebasing date (January 1, 2017), the maximum rates chargeable by Boracay Water (subject to interim adjustments) are set out in the concession agreement; and

b. From and after the second rate rebasing date, the rates for water and sewerage services shall be set at a level that will permit Boracay Water to recover, over the twenty-five (25)-year term of its concession, its investment including operating expenses, capital maintenance and investment incurred, Philippine business taxes and payments corresponding to debt service on the TIEZA loans incurred to finance such expenditures, and to earn a rate of return on these expenditures for the remaining term of the concession in line with the rates of return being allowed from time to time to operators of long-term infrastructure concession arrangements in other countries having a credit standing similar to that of the Philippines.

The maximum rates chargeable for such water and sewerage services shall be subject to general adjustment at five (5)-year intervals commencing on the second rate rebasing date, provided that the TIEZA may exercise its discretion to make a general adjustment of such rates.

Also, as part of the concession agreement, Boracay Water assumed certain property and equipment of Boracay Water Sewerage System (BWSS), as well as its outstanding loan from Japan International Cooperation Agency (JICA), considered as part of its TIEZA loans under the concession agreement, and regulatory costs.

As a result of the above terms of the concession agreement, Boracay Water recognized a total of ₱986.86 million service concession assets on its commencement date. It includes the JICA loan assumed by Boracay Water, regulatory costs, construction costs for the improvement and expansion of the water and wastewater facilities and the advanced concession fees (see Note 10).

On February 22, 2023, TIEZA approved the new rates of Boracay Water, which are equivalent to an upward adjustment of 14.02% representing the first tranche of rebasing convergence adjustment including 6.4% CPI effective 15 days after the publication to two newspapers of general circulation.

On November 28, 2023, Boracay Water submitted the proposal for the 14.02% second tranche of the rebasing convergence adjustment plus 6.1% CPI which was approved by TIEZA on December 14, 2023. Approved tariff for second tranche was implemented starting January 1, 2024.

Effective January 1, 2024, Boracay Water implemented the second tranche of rebasing convergence adjustment equivalent to 14.02% upward adjustment which includes 6.10% CPI, in accordance with the approved new rates by Tourism Infrastructure and Enterprise Zone Authority (TIEZA) on December 14, 2023.

On December 9, 2024, TIEZA BOD approved the Company's request for twenty-five (25)-year extension of Boracay Water's concession agreement, subject to review of the Office of the Government Corporate Counsel, and consent of the Republic through the review and approval of the Extension by the Department of Finance.

Clark Water's Concession Agreement with Clark Development Corporation (CDC)
On March 16, 2000, Vivendi Water Philippines, Inc., which subsequently changed its name to Veolia Water Philippines, Inc. (VWPI), entered into a concession agreement with CDC, a government corporation organized and existing under Executive Order No. 80, series of 1993. The concession agreement sets out the terms and conditions under which VWPI will finance, design, construct, operate and maintain the water and sewerage system inside the Clark Freeport Zone (CFZ) commencing on October 1, 2000 and ending on the date falling twenty-five (25) years thereafter or as may be extended by the terms of the concession agreement. As the implementing arm of the Bases Conversion Development

Authority and the regulatory and development body for the CFZ, CDC has the power and authority to regulate and monitor the performance and compliance of VWPI, or its assignee, with its obligations under the concession agreement.

On September 1, 2000, in accordance with the terms of the concession agreement, VWPI assigned its rights and obligations under the concession agreement to Clark Water by virtue of an assignment and assumption agreement between VWPI and Clark Water. As consideration for the grant of the concession and franchise to develop, operate and maintain the water and sewerage system within the CFZ, Clark Water pays CDC an annual franchise fee of ₱1.50 million. Any new construction, change, alteration, addition or improvement on the facilities is permitted to the extent allowed under the agreement with CDC or with the prior written consent of CDC. Legal title, free of all liens and encumbrances, to improvements made or introduced by Clark Water on the facilities as well as title to new facilities procured by Clark Water in the performance of its obligations under the concession agreement shall automatically pass to CDC on the date when the concession period expires or the date of receipt of a validly served termination notice, where in the latter case, subject to payment of the amount due as termination payments as defined in the concession agreement.

On September 29, 2000, CDC leased in favor of Clark Water the existing facilities in compliance with the condition precedent to the effectivity of and the respective obligations of Clark Water and CDC under the concession agreement. Under the lease agreement, Clark Water was required to make a rental deposit amounting to ₱2.77 million equivalent to six (6) months lease rental and a performance security amounting to ₱6.72 million to ensure the faithful compliance of Clark Water with the terms and conditions of the lease agreement. Clark Water pays semi-annual rental fees of ₱2.77 million amounting to a total of ₱138.28 million for the entire concession period. The lease term shall be co-terminus with the concession period, unless sooner terminated for any of the reasons specified in the concession agreement.

On August 15, 2014, Clark Water and CDC signed an amendment agreement to the concession agreement dated March 16, 2000. The amendment provides for the following:

a. extension of the original concession period for another fifteen (15) years up to October 1, 2040;
b. additional investment of ₱4.00 billion over the remaining life of the extended concession period, provided under the amended concession agreement, to be spent for further improvement and expansion of water and wastewater services in the area. Investment requirement under the original concession agreement amounted to ₱3.00 billion and the amended concession agreement required an additional investment of ₱2.00 billion. Initial investment prior to the amendment of the concession agreement amounted to ₱1.00 billion.
c. introduction of a rate rebasing mechanism for every four (4) years starting 2014.
d. reduction in tariff rates by 3.9% (from ₱25.63/m^3 to ₱24.63/m^3) effective September 1, 2014, subject to the EPA; and
e. increase in tariff rates by:
   i. ₱0.41/m^3 (from 24.63/m^3 to ₱25.04/m^3) in 2018;
   ii. ₱0.42/m^3 (from ₱25.04/m^3 to ₱25.45/m^3) in 2019;
   iii. ₱0.42/m^3 (from ₱25.45/m^3 to ₱25.87/m^3) in 2020; and
   iv. ₱0.43/m^3 (from ₱25.87/m^3 to ₱26.30/m^3) in 2021.

As a result of the extension of the concession period, service concession assets and service concession obligation as of August 15, 2014 increased by ₱56.58 million. Further, the recovery period of Clark Water's investment was extended by another fifteen (15) years from 2025 to 2040.

On May 26, 2017, Clark Water submitted its proposed 2018 rate rebasing plan following the four (4)-year rebasing period stated in its concession agreement. As of December 31, 2022, Clark Water's 2018 rate rebasing is still ongoing which put on hold the approved tariff increases under the amended concession agreement on August 15, 2014.

On December 20, 2023, CDC Board approved the 60% tariff increase following 60-20-20 tranches to be implemented effective January 1, 2024.

Effective January 1, 2024, Clark Water implemented a 36% tariff increase amounting to ₱14.50 per cubic meter water charge in accordance with the 60% tariff increase based on Rate Rebasing (RR22) approved by the BOD of Clark Development Corporation on December 20, 2023. The RR22 will be implemented in 3 tranches (60-20-20).

Effective April 1, 2024, Clark Water implemented the second tranche of extraordinary tariff adjustment in accordance with the rate approved by BOD Clark Development Corporation (CDC) last February 2, 2023.

The ETA amounts to ₱3.05 per cubic meter water charge staggered equally in four years.

On September 18, 2024, Clark Water and Clark Development Corporation (CDC) executed a fourth amendment to the Concession Agreement which is considered effective on the same date. These amendments clarify financial obligations, compensation terms for MAGA, and introduce mechanisms for adjusting tariffs in response to extraordinary circumstances. Below are the key changes in the seventh amendment to the Concession Agreement:

- Additional Concession Fee (Clause 16.5)
- Definition of Material Adverse Government Action (MAGA)
- Extraordinary Tariff Adjustment (Clause 17B, Annex F)
- CDC Events of Default (Clause 23.2)
- Arbitration (Clause 29)
- Expenditures and Tariff Adjustment Calculations
- Provisional CPI Adjustment (Clause 16.6)

Clark Water's Compliance with the Department of Environment and Natural Resources' (DENR's) Administrative Order No. (DAO) No. 2016-08

On June 16, 2016, the DENR promulgated DAO No. 2016-08 regulating the discharge of nutrients and imposing additional limits and parameters. Pursuant to Section 10 of DAO No. 2016-08, Clark Water sought the approval of the DENR of its Compliance Action Plan (CAP) which would have extended the current five (5)-year CAP of Clark Water. On July 17, 2020, Clark Water received the approval of DENR on its submitted CAP with project completion deadline of December 31, 2021. On October 19, 2020, the CDC sent a letter to the DENR in support of Clark Water's request for extension of its CAP to 2023. On November 11, 2020, however, the CDC received a letter from the DENR denying Clark Water's request citing the DAO No. 2016-08's clear five (5)-year limit for the grace period. On November 26, 2020, CDC sent another letter to the DENR appealing to the DENR for reconsideration of their request to postpone the DAO No. 2016-08. On December 7, 2020, the DENR sent a letter to the CDC, denying their request for the second time.

As a result, DENR held in abeyance the renewal of Clark Water's discharge permit pending its compliance with the CAP even though Clark Water is compliant with DAO No. 1990-35, the applicable regulation at that time. On April 20, 2021, Clark Water received notice to proceed from CDC. Clark Water immediately proceeded with the construction of the Bionutrient Removal (BNR) Project in compliance to the approved CAP. DENR subsequently issued a temporary discharge permit on April 26, 2021 valid until October 30, 2021.

On July 29, 2021, DAO No. 2016-08 was superseded by a relaxed standard under DAO No. 2021-19. On December 21, 2021, Clark Water sent a letter to the DENR for the reduced CAP pursuant to DAO No. 2021-19. On January 13, 2022 DENR issued Discharge permit extension until March 31, 2022. This permit has been extended until February 11, 2023.

On February 7, 2023, Clark Water received a letter from DENR stating that Clark Water may continue providing services and is allowed to operate under its existing discharge permit, until its application made in January 12, 2023 has been granted and a new discharge permit has been issued. On August 29, 2023, the discharge permit was extended until February 29, 2024.

On December 21, 2023, penalties related to Pollution Adjudication Board (PAB) case amounting to ₱1.06 million was settled.

On February 21, 2024, DENR issued Discharge permit renewal until February 21, 2025. On January 10, 2025, Clark Water applied for another renewal of discharge permit which was approved by the DENR on February 4, 2025, valid until February 4, 2026.

<u>MW Consortium Agreement with the Provincial Government of Cebu (PGC)</u>

On March 21, 2012, MW Consortium signed a Joint Investment Agreement (JIA) with the PGC for the formation of a joint venture company with 51.00% and 49.00% equity participation for MW Consortium and the PGC, respectively. Under the JIA, the parties agreed to develop and operate a bulk water supply system that will supply 35 million liters of water per day to target areas in the province of Cebu with the joint venture company serving as a bulk water supplier. The term of the agreement is thirty (30) years starting March 2012 and renewable for another twenty-five (25) years. On May 23, 2012, MW Consortium and the PGC incorporated Cebu Water, with an ownership of 51.00% and 49.00%, respectively, pursuant to the JIA.

On December 13, 2013, Cebu Water received a Notice of Award for the bulk supply of water to the Metropolitan Cebu Water District (MCWD). On December 18, 2013, Cebu Water and MCWD signed a twenty (20)-year Bulk Water Supply Contract for the supply of eighteen (18) million liters per day of water for the first year and thirty-five (35) million liters per day of water for years two (2) up to twenty (20). Cebu Water delivered its initial eighteen (18) million liters per day bulk water supply to MCWD on January 5, 2015. Cebu Water increased its bulk water delivery to thirty-five (35) million liters per day in 2016.

On August 29, 2019, MW Consortium received a Notice of Breach/Default of the JIA from the PGC. On December 10, 2019, PGC issued a Notice of Termination of the JIA. Pursuant to the JIA, MW Consortium issued a Notice of Existence of a Dispute on PGC on December 12, 2019.

On February 3, 2020, MW Consortium and the PGC signed the Terms of Reference for the interim protocol between both parties pending Settlement with Finality of the Dispute between MW Consortium and PGC.

On March 29, 2022, MW Consortium and PGC executed a Settlement Agreement that constitutes the full, final and complete settlement of all claims, complaints, and causes of action of PGC against Cebu Water in relation to the perceived breach of the Joint Investment Agreement between the two parties.

On April 7, 2022, MWPVI secured the approval of its BOD to purchase the 32.6% stake (107,601,639 common shares) of Metro Pacific Water Investment Corporation in MW Consortium for a purchase price of ₱107.60 million. The Share Purchase Agreement and Deed of Absolute Sale were duly signed by the parties on May 12, 2022.

On September 2022, PGC and Cebu Water, started negotiating the tariff increase with MCWD, in order to improve the financial returns of the JIA and to meet the 19.29% pooled internal rate of return (PIRR), as stated in the JIA between PGC and Cebu Water.

On October 3, 2023, Cebu Water issued a termination notice for the bulk water supply and purchase agreement between MCWD and Cebu Water which became effective December 1, 2023. From December 1, 2023 to January 31, 2024, Cebu Water continued to supply bulk water to MWCD through PGC invoking Section 16 of the Local Government Code or the general welfare clause to solve the problem on loss of water supply.

On January 17, 2024, MWPVI submitted all requirements on the bidding conducted by MCWD for the new bulk water supply. MWPVI will deliver water to MCWD by leasing the facilities of Cebu Water. On January 25, 2024, a Notice of Award was issued by MCWD to MWPVI on the supply and delivery of potable bulk water.

On January 30, 2024, MWPVI and MCWD signed a ten (10)-year Cebu North Bulk Water Supply Project Contract commencing on February 1, 2024, with contractual volume of 30 MLD and a tariff of ₱58.00 per cubic meter for the first five (5) years and ₱64.96 per cubic meter for the next five (5) years. Terms in the contract includes construction period of one (1) year and water delivery in the succeeding ten (10) years. MWPVI will be using the existing water facilities of Cebu Metropolitan Water District (CMWD) to deliver the contractual volume.

<u>Zamboanga Water's Non-Revenue Water Reduction Service Agreement (NRWRSA) with Zamboanga City Water District (ZCWD)</u>

On December 19, 2014, the Parent Company received a notice from the ZCWD awarding the project for NRW reduction in Zamboanga City, Zamboanga del Sur. On January 30, 2015, the Parent Company and ZCWD signed and executed a JVA in relation to the NRW reduction project in Zamboanga City. On April 10, 2015, the Parent Company and ZCWD incorporated Zamboanga Water to implement the NRW Reduction project.

On June 2, 2015, Zamboanga Water entered into a NRW Reduction Service Agreement (NRWRSA) with ZCWD. Under the NRWRSA, ZCWD grants Zamboanga Water the right to implement Network Restructuring and NRW Reduction Programs for ZCWD's water distribution system.

In March 2019, the City Government of Zamboanga City declared a state of calamity due to the recurrence of El Niño. This prompted the ZCWD to implement a service-wide water rationing scheme. Consequently, Zamboanga Water was constrained to suspend its NRW Reduction activities due to the unstable supply caused by said water rationing.

In October 2019, Zamboanga Water and ZCWD jointly formed a Technical Working Group to negotiate and resolve all the pending issues or disputes arising during the implementation of the NRW Reduction Project, such as the impact of the yearly occurrence of El Nino, non-payment of performance and "locked-in" fees, opposing interpretation of provisions in the NRWRSA, among others.

Per Section 1.10 of the NRWRSA, a rebaseline is to be performed if there is a decrease in supply resulting from El Niño. Per agreement with ZCWD Project Management Unit (PMU) in November 2017, the computed NRW cu.m./day prior the rebaseline shall be used as basis for the "locked-in" performance computation. However, a supplemental agreement to formally recognize the computation and payment of "locked-in" performance has not been finalized as of December 31, 2019.

On April 3, 2020, Zamboanga Water received a letter, dated April 1, 2020, from the ZCWD, requesting for the termination of the NRWRSA. In its letter, ZCWD indicated that the erratic supply of water due to the recurrent dry spell and El Niño phenomenon affecting the District Metered Areas (DMAs) established by Zamboanga Water has rendered the NRWRSA impractical and unworkable, and thus, in the interest of fiscal responsibility and sound management of government funds, ZCWD requested for the termination of the NRWRSA.

On April 30, 2020, Zamboanga Water approved the termination of the NRWRSA. Such termination, however, is without prejudice to Zamboanga Water's claims against ZCWD and remedies under the NRWRSA. The termination of the NRWRSA resulted to the classification of Zamboanga Water as discontinued operations (see Note 3). The summary of results of operations and cash flows of Zamboanga Water as of December 31, 2023, 2022 and 2021 are presented in Note 19.

On September 16, 2020, Zamboanga Water filed a Notice of Arbitration with the Philippine Dispute Resolution Center, Inc. (PDRCI), which is the arbitral body designated in the NRWRSA.

On August 8, 2022, the Arbitral Tribunal under the PDRCI has issued the final decision in favor of Zamboanga Water related to its claims against ZCWD for unpaid fixed fees and performance fees, interest, and other claims. ZCWD was ordered to pay ₱38.72 million for the outstanding fixed fees and performance fees plus interest from the time of the finality of the decision, as well as future performance fees and others as stated in the final decision. As of December 31, 2024, receivable remains outstanding, as ZCWD filed its appeal on the last quarter of 2023.

<u>Tagum Water's Bulk Water Sales and Purchase Agreement with Tagum Water District (TWD)</u>
On July 28, 2015, TWD awarded the Tagum City Bulk Water Supply Project (the "Tagum Bulk Water Project") to Davao Water, a consortium of the Parent Company and iWater, Inc.

On October 15, 2015, Davao Water signed and executed a Joint Venture Agreement (JVA) with TWD. The JVA governs the relationship of Davao Water and TWD as joint venture partners in the Tagum Bulk Water Project. Pursuant to the JVA, Davao Water and the TWD caused the incorporation of a joint venture company, namely, Tagum Water, which shall implement the Tagum Bulk Water Project for fifteen (15) years from the Operations Start Date, as defined in the JVA.

On February 26, 2016, Tagum Water and TWD signed and executed a Bulk Water Sales and Purchase Agreement for the supply of bulk water to TWD for a period of fifteen (15) years, subject to renewal upon mutual agreement by both parties. Tagum Water shall supply treated water exclusively to TWD. The quantity of treated water to be supplied to TWD will be 26 million liters of water per day for the first year, 32 million liters of water per day for years 4 to 6, and 38 million liters of water per day for years 7 to 15.

On March 28, 2017, TWD issued a Notice to Proceed for the 24-month construction of the water treatment plant. On June 26, 2019, TWD approved a 120-day construction period extension requested by Tagum Water due to delays caused by unforeseen conditions in the project site which was discovered only after construction had already commenced.

On July 17, 2019, Tagum Water issued to TWD the Certificate of Substantial Completion of the Water Treatment plant to begin the pre-commissioning period. On August 27, 2019, Tagum Water started the commissioning period with 5 to 8 million liters per day of treated water delivery to TWD.

On September 9, 2019, Tagum Water's BOD ratified the implementation of the design, supply of materials, installation of equipment and construction of two (2) units 300 mm shallow wells in Tagum City, Davao del Norte. On October 28, 2019, Tagum Water informed TWD of the completion of the two (2) wells and the results of the water quality analysis.

On December 6, 2019, Tagum Water's BOD approved the additional capital expenditure in the initial amount of ₱157.00 million to address the inadequacy of yield in the intake structure. Tagum Water constructed two (2) additional wells, (i) artificial recharge thru media replacement and (ii) chlorine scrubber system, to ensure health and safety during the operation.

On December 11, 2019, Tagum Water commenced the extension of the commissioning period for 120 days with the consent of TWD BOD.

On February 7, 2020, the Tagum Water BOD finalized the approval of the additional capital expenditure in the amount of ₱154.00 million. On April 4, 2020, the extended commissioning period was concluded. However, the operation started only on May 18, 2020 due to COVID-19 quarantine measures in the region.

On March 16, 2021, an artificial recharge intake structure was energized to deliver the contractual volume of 26 million liters per day. However, in the second quarter of 2021, several unusual heavy rains which brought floods were encountered, and this resulted to silt issue on the lagoon. This, in turn, affected plant production, yielding only an average of 23 million liters per day. To mitigate the problem, heavy desilting activities were done, and on November 22, 2021, the procured slurry dredger was already operational in aiding the desilting activities at the artificial recharge lagoon. On December 14, 2021, the plant was already back to its delivery of the contractual 26 million liters per day to TWD.

On January 31, 2022, MWPVI agreed to purchase the 49.00% share of iWater, Inc. in Davao Water. On February 24, 2022, MWPVI secured the approval of its BOD to purchase the 49.00% stake (735,000 common shares) of iWater, Inc. in Davao Water for ₱345.33 million.

On March 8, 2022, MWPVI took full ownership of Davao Water after the acquisition of 735,000 common shares held by iWater Inc. (iWater) for a consideration of ₱345.33 million. Prior to the purchase, MWPVI held 51.00% while iWater held 49.00% equity interest each. Effective March 1, 2022, all the BOD members of the Davao Water are representatives of MWPVI.

The share purchase agreement caused a significant shift in the ownership structure of Davao Water. Starting from March 15, 2022, Davao Water is a wholly-owned subsidiary of MWPVI.

<u>MWPVI's Memorandum of Agreement (MOA) with Ayala Land Inc. (ALI)</u>
On January 15, 2016, MWPVI entered into a MOA with ALI and its subsidiaries (collectively, the "ALI Group"), whereby MWPVI shall exclusively provide water and used water services and facilities to all property development projects of the ALI Group.

On April 19, 2021, MWPVI and Aqua Centro entered into a Novation Agreement with Adauge Commercial Corporation whereby MWPVI assigns and transfers its rights, duties and obligations under the MOA with ALI Group to Aqua Centro for Atria Development (Iloilo City).

On May 31, 2021, MWPVI and the ALI Group signed an Amended and Restated MOA. MWPVI shall have a preferred status with regards to the provision of water and used water services to all property development projects of the ALI Group except for the excluded developments namely, Amaia Scape Pampanga, Amaia Scape San Fernando, Amaia Scape Capas, Amaia Scape Cabanatuan, Amaia Scape Trece Martires, Bellavita Capas, Bellavita Cabanatuan 1 and East, Bellavita Pililia, Bellavita Lian, Bellavita Lipa, Bellavita Rosario and Bellavita Iloilo.

On December 29, 2021, MWPVI entered into a Deed of Absolute Sale with Amaia Land Corp. (Amaia) and BellaVita Land Corp. (BellaVita) whereby MWPVI sells, conveys, transfers, assigns and delivers the properties and all rights, title, and interest to Amaia and BellaVita for the excluded development on the Amended and Restated MOA with ALI Group (see Notes 9 and 23). As of December 31, 2021, MWPVI completed the sale and transfer of the properties to Amaia and BellaVita.

<u>Aqua Centro's MOAs with the SM Group</u>
On December 8, 2016, MWPVI entered into MOAs with each of SM Prime Holdings Inc.'s and the latter's affiliates and subsidiaries, SM Development Corporation and SM Residences Corp. (collectively, the "SM Group"). Pursuant to the MOA, MWPVI will provide the water and/or used water services and facilities to the property development projects of the SM Group identified in each of the MOA.

On October 5, 2017, Aqua Centro was incorporated to handle property development projects, other than those within the ALI Group, by engaging in the development, improvement, maintenance, and expansion of water, sewerage, wastewater, and drainage facilities, and provide services necessary or incidental thereto.

On December 28, 2017, MWPVI entered into a Novation Agreement with the SM Group and Aqua Centro to transfer its rights, duties and obligations to provide water and/or used water services and facilities to the property development projects of the SM Group to Aqua Centro, effective from the inception of the MOA.

On June 25, 2018, Aqua Centro entered into additional MOAs with the SM Group with each development of SM Prime Holdings, Inc. and Metro South Davao Property Corp.

As of December 31, 2024 and 2023, Aqua Centro and MWPVI have eight (8) signed MOAs with the SM Group.

Estate Water Group's Tariff Adjustment Implementation
Effective in the 1st quarter of 2024, Estate Water, Aqua Centro, Bulacan Aqua Estate (Estate Water Group) implemented an average 15% tariff increase in 65 developments across the Philippines.

Calasiao Water's Concession Agreement with Calasiao Water District (CWD)
On December 9, 2016, the Parent Company received a Notice of Award from CWD, a water district created and existing by virtue of Presidential Decree No. 198, for the implementation of the joint venture project for the design, construction, rehabilitation, maintenance, operation, financing, expansion and management of the water supply system of CWD in Calasiao, Pangasinan.

On June 19, 2017, the Parent Company signed a JVA with CWD which will govern the relationship of the two in undertaking the joint venture project. Under the JVA, the Parent Company and CWD shall cause the incorporation of a joint venture company where the Parent Company and CWD shall own 90.00% and 10.00%, respectively, of the outstanding capital stock.

On August 2, 2017, the SEC approved the incorporation of Calasiao Water Company, Inc.

On October 23, 2017, Calasiao Water and CWD signed and executed a concession agreement. Under the concession agreement, the CWD grants Calasiao Water, (as contractor to perform certain functions and as agent for the exercise of certain rights and powers under Presidential Decree No. 564) the sole right to develop, manage, operate, maintain, repair, decommission, and refurbish all fixed and movable assets (except certain retained assets) required to provide water delivery in the entire Municipality of Calasiao for a period of twenty-five (25) years commencing on December 29, 2017 (the commencement date) until December 29, 2042 (the expiration date) or the early termination date as the case may be. While Calasiao Water has the right to manage, operate, repair, and refurbish specified CWD facilities in the service area, legal title to these assets remains with the CWD. The legal title to all fixed assets contributed to the existing CWD system by Calasiao Water during the concession remains with Calasiao Water until the expiration date (or the early termination date) at which time all rights, titles and interest in such assets will automatically vest in CWD.

Under the concession agreement, in the event that one or more grounds for EPA has occurred or is expected to occur, an appropriate price adjustment to be applied to the tariff or an appropriate adjustment to the service obligations of the concessionaire will be determined by the CWD.

The grounds for EPA means any of the following circumstances:

a. change in law or change in the interpretation of the terms of the concession agreement;
b. extraordinary cost incurred due to prolonged force majeure;
c. a material change has been made to the basis of calculation or definition of the CPI or replacement index agreed; or
d. the concessionaire has incurred significant additional costs as a result of an event of force majeure which are not covered by insurance.

In March 2022, the Municipality of Malasiqui, Pangasinan and Calasiao Water District (CWD) entered into a memorandum of agreement to operate Tourism Water Utility Assistance consisting of seven (7) barangays. As its JV Partner, CWD awarded the operation of the facility to Calasiao Water Company.

MWPVI's Asset Purchase Agreement (APA) with Asian Land Strategies Corporation (Asian Land) and Incorporation of BMDC
On January 4, 2017, MWPVI entered into an APA with Asian Land to acquire and operate the latter's assets used in the water business operations in Asian Land's developments in the province of Bulacan. The intention of MWPVI was to assign the rights under the APA to its wholly-owned subsidiary upon its incorporation.

On April 11, 2017, BMDC was incorporated to design, construct, rehabilitate, maintain, operate, finance, expand, and manage water supply system and sanitation facilities. BMDC is the ultimate entity that will own and operate the assets acquired from Asian Land.

On July 31, 2017, MWPVI assigned all its rights and obligations under the APA to BMDC, a wholly-owned subsidiary of MWPVI, under a Deed of Assignment. On the same day, the Deed of Absolute Sale was also executed between Asian Land and BMDC.

Obando Water's Concession Agreement with Obando Water District (OWD)
On January 24, 2017, the consortium of the Parent Company and MWPVI received the Notice of Award from OWD for the implementation of the joint venture project for the design, construction, rehabilitation, maintenance, operation, financing, expansion, and management of the water supply system and sanitation facilities of OWD in Obando, Bulacan.

On February 2, 2017, Obando Water Consortium Holdings Corp. (now Filipinas Water) was registered with the SEC. Filipinas Water is the consortium between the Parent Company and MWPVI with an equity share of 49.00% and 51.00%, respectively. The primary purpose of Filipinas Water is to engage in the business of a holding company without acting as stockbroker or dealer in securities.

On July 26, 2017, Filipinas Water signed and executed a JVA with OWD. The JVA governs the relationship of Filipinas Water and OWD as joint venture partners in the Obando Water Concession Project (the "Obando Concession Project"). On October 10, 2017, Obando Water was incorporated. Obando Water is 90.00% and 10.00% owned by Filipinas Water and OWD, respectively.

On October 12, 2017, Obando Water and OWD signed and executed a concession agreement. Under the concession agreement, OWD grants Obando Water, (as contractor to perform certain functions and as agent for the exercise of certain rights and powers under Presidential Decree No. 564), the sole right to manage, operate, maintain, repair, refurbish, and expand the fixed and movable assets required to provide water and sanitation services in the entire Municipality of Obando for a period of twenty-five (25) years commencing on January 1, 2018 (the commencement date) until December 31, 2042 (the expiration date) or the early termination date, as the case may be. While Obando Water has the right to manage, operate, repair and refurbish specified OWD facilities in the service area, legal title to these assets remains with OWD. The legal title to all fixed assets contributed to the existing OWD system by Obando Water during the concession remains with Obando Water until the expiration date (or the early termination date) at which time all rights, titles and interest in such assets will automatically vest in OWD.

Obando Water's initial water tariff, exclusive of value-added tax (VAT) and/or any applicable tax, to be charged to the customers for the first three (3) years of the concession agreement shall be based on the 2005 Local Water Utilities Administration (LWUA) approved tariff table of OWD. Starting March 2021, Obando Water's tariff was inclusive of VAT. Under the concession agreement, if one or more grounds for EPA has occurred or is expected to occur, an appropriate price adjustment to be applied to the tariff or an appropriate adjustment to the service obligations of the concessionaire will be determined by OWD.

The grounds for EPA means any of the following circumstances:

a. change in law or change in the interpretation of the terms of the concession agreement;
b. extraordinary cost incurred due to prolonged force majeure;
c. a material change has been made to the basis of calculation or definition of the CPI or replacement index agreed;
d. change in assumptions at the time of the execution of the concession agreement; or
e. the concessionaire has incurred significant additional costs as a result of an event of force majeure which are not covered by insurance.

On March 28, 2019, LWUA approved a new loan repayment scheme of thirteen (13) years with OWD. Upon initial payment, which shall not be later than May 15, 2019, LWUA shall no longer impose penalties from OWD.

On December 28, 2021, Obando Water through OWD submitted the approved 10-year Service Delivery Plan (SDP) to LWUA. On August 12, 2022, Obando Water and OWD conducted a Public Hearing and Project Presentation for the proposed 10-year tariff adjustment.

On June 27, 2023, LWUA Board of Trustees (BOT) approved and confirmed the 20.00% Proposed Water Rates increase per BOT Resolution No. 29 series of 2023 and was implemented in August 2023.

Bulakan Water's Concession Agreement with the Bulacan Water District (BuWD)
On April 26, 2018, the Parent Company and MWPVI (collectively the "Consortium") received the Notice of Award from the BuWD for the joint venture project for the development, financing, design, engineering, construction, rehabilitation, upgrade, testing, commissioning, operation, management, and maintenance of water facilities and the provision of water and sanitation services in the Municipality of Bulakan in Bulacan.

On August 16, 2018, Filipinas Water signed and executed a JVA with the BuWD for the implementation of the project. Under the JVA, Filipinas Water and BuWD shall incorporate a joint venture company, with 90.00% and 10.00% ownership, respectively, which shall be granted a concession by BuWD. On October 16, 2018, the joint venture company, Bulakan Water, was incorporated and was registered with the SEC.

On June 14, 2019, Bulakan Water and the BuWD signed and executed a concession agreement for the design, construction, rehabilitation, operation, maintenance, financing, expansion, and management of water facilities and the provision of water and sanitation services in the Municipality of Bulakan for a period of twenty-five (25) years from the commencement date.

On December 18, 2020, Bulakan Water through BuWD submitted its 10-year Service Delivery Plan (SDP) to LWUA. On April 29, 2021, a Public Hearing and Project Presentation was held to present to the public its proposed water tariff adjustment. On November 11, 2022, the LWUA Board of Trustees has approved and confirmed the proposed water rates per BOT Resolution No. 55, Series of 2022. The approved rate was 42.86% effective December 2022 consumption which will be reflected in the January 2023 billing.

On July 28, 2021, Bulakan Water entered into a Memorandum of Agreement with the Municipality of Bulakan for the provision of septage management program in the service area. On September 1, 2021, actual desludging activity started together with the implementation of the 20% environmental fee in all customers' bills.

On November 11, 2022, the LWUA Board of Trustees has approved and confirmed the proposed water rates per BOT Resolution No. 55, Series of 2022. The approved rate was 42.86% effective December 2022 consumption which was reflected in the January 2023 billing. On December 29, 2023, Bulakan Water through BuWD submitted the documentary requirements for its second tranche tariff request.

Share Purchase Agreement between Filipinas Water and SMC Bulacan Water Services Corporation
On May 15, 2024, Filipinas Water signed a Share Purchase Agreement (SPA) with SMC Bulacan Water Services Corporation (SMC Bulacan) for the sale of all of its interests constituting 90% stake (135,000,000 shares) in Bulakan Water and 90% stake (88,200,000 shares) in Obando Water. The transaction will monetize Filipinas Water's assets, and the proceeds amounting to ₱1,024.57 million will be used to fund other strategic initiatives of MWC and MWPVI.

The operations of both entities were managed and consolidated by the Group up until October 22, 2024, when the closing conditions of SPA have been complied with by Filipinas Water and SMC Bulacan. On the same date, amendments to the respective Joint Venture Agreements were also executed, whereby SMC Bulacan replaces Filipinas Water as the joint venture partner of the water districts.

At the closing date, the Group derecognized net liabilities and NCI related to the Bulacan entities amounting to (₱16.13 million) and ₱26.78 million, respectively. In 2024, the Group recognized gain from disposal of subsidiaries amounting to ₱1,013.93 million (see Note 18).

BMDC's APA with Solar Resources, Inc. (Solar Resources)
On July 26, 2017, BMDC entered into an APA with Solar Resources to acquire and operate the latter's assets used in the water business operations in Solar Resources developments in the province of Bulacan.

On July 31, 2017, Solar Resources executed a Deed of Assignment in relation to the APA and a Deed of Absolute Sale to sell and transfer its properties pertaining to water facilities and its operations in the Las Palmas Subdivisions Phases 1 to 7 to BMDC.

BMDC's APA with Borland Development Corporation (Borland)
On December 14, 2017, BMDC and Borland executed the APA, Deed of Assignment, and Deed of Absolute Sale to sell, assign, transfer, and convey Borland's assets pertaining to water facilities and its operation in San Vicente Homes subdivision in Bulacan to BMDC.

Parent Company's Notice of Award from Leyte Metropolitan Water District (LMWD)
On December 6, 2017, the Parent Company received the Notice of Award from LMWD for the implementation of the joint venture project (the "Leyte Project") for the design, construction, rehabilitation, maintenance, operation, financing, expansion, and management of the water supply and sanitation facilities and services of LMWD in the Province of Leyte.

The conditions precedent specified in the Notice of Award include the incorporation of a special purpose vehicle (SPV) which will implement the Leyte Project under a contractual joint venture with LMWD.

Upon completion of the conditions precedent specified in the Notice of Award, the SPV and LMWD shall enter into a JVA that will grant the SPV, as contractor, to perform certain functions and as agent for the exercise of, the sole and exclusive right to manage, operate, maintain, repair, refurbish and improve, expand and as appropriate, decommission, the facilities of LMWD in its Service Area, including the right to bill and collect tariff for the provision of water supply and sanitation services in the Service Area of LMWD.

LMWD's service area covers the City of Tacloban and seven other municipalities namely Palo, Tanauan, Dagami, Tolosa, Pastrana, TabonTabon, and Santa Fe.

In January 2018, an internal conflict arose between the Province-appointed BOD of LMWD and the City-appointed BOD as to which is the legitimate BOD authorized to represent the LMWD. This issue caused substantial delay in the implementation and recognition of the Notice of Award in favor of the Parent Company.

On February 20, 2019, the Parent Company wrote to the LMWD, now represented by the City-Appointed BOD, and requested the LMWD to honor the Notice of Award.

On April 12, 2019, the LMWD advised that it had already rescinded/terminated the JVA negotiations with the Parent Company.

On June 21, 2019, the Parent Company initiated available legal course of action to compel the LMWD to honor the Notice of Award granted to the Parent Company.

As of December 31, 2024, the case remains pending with the Supreme Court.

MWPVI's JVA with Tubig Pilipinas Group, Inc. (TPGI)
On December 11, 2017, the Municipality of Malasiqui granted a franchise to MWPVI and TPGI for the implementation of a joint venture project to establish, construct, operate, manage, repair, and maintain water supply and wastewater system and facilities in the municipality of Malasiqui, Pangasinan. The franchise has a term of twenty-five (25) years from the commencement date.

On February 20, 2018, the BOD of MWPVI approved the creation of an SPV for this project.

On November 16, 2018, MWPVI signed and executed a JVA with TPGI. Under the agreement, MWPVI and TPGI shall incorporate a joint venture company, with 50.00% and 50.00% ownership, respectively, which shall implement the project. As of December 31, 2024, MWPVI and TPGI are still in the process of incorporating the joint venture company.

EcoWater's Lease Agreement with the Philippine Economic Zone Authority (PEZA)
On December 18, 2017, MWPVI entered into a Lease Agreement for the Operations and Management of the Water and Used Water Facilities of PEZA in Cavite Economic Zone (CEZ), whereby MWPVI agrees to lease, operate, and maintain the existing water and used water facilities in the CEZ for the provision of water and used water services to the locators therein. The lease agreement has a term of twenty-five (25) years from signing of the contract and became effective on its commencement date on February 1, 2018.

MWPVI shall apply its expertise in the industrial zones operations and shall provide capital expenditures for the duration of the agreement. The Cavite Special Economic Zone is a 275-hectare industrial estate with 297 locators consuming approximately 350,000 cubic meters per month or 12 million liters per day.

On August 4, 2020, MWPVI's BOD approved the assignment of the Lease Agreement for the Operations and Management of the Water and Used Water Facilities of the PEZA in the CEZ from MWPVI to EcoWater.

Ilagan Water's Bulk Water Sales and Purchase Agreement with City of Ilagan Water District (CIWD)
On January 26, 2018, the Parent Company and MWPVI (collectively the "Consortium") received the Notice of Award from CIWD for the implementation of the joint venture project for the development, financing, operation and management of a raw water source, provision of bulk water supply with system expansion, and the development of septage management in Ilagan City, Isabela (the "Ilagan Project").

On November 16, 2018, the Consortium (namely, Filipinas Water) signed and executed a JVA with the CIWD. Under the JVA, Filipinas Water and CIWD shall incorporate a joint venture company, with 90.00% and 10.00% ownership, respectively, which shall implement the Ilagan Project. Upon completion of conditions precedent set out in the JVA, the joint venture company will consequently enter into a Bulk Water Sales and Purchase Agreement and Septage Management Agreement with CIWD for the implementation of the Ilagan Project for twenty-five (25) years from the commencement date.

On February 15, 2019, Ilagan Water was incorporated and registered with the Philippine SEC to implement the Ilagan Project.

On March 18, 2019, Ilagan Water's BOD approved the execution of a Bulk Water Sales and Purchase Agreement (BWSPA) and Septage Management Agreement (SMA) with CIWD.

On March 16, 2020, Ilagan Water signed and executed a BWSPA and SMA with the CIWD, for the supply of bulk water and septage management to CIWD for a period of twenty-three (23) years and twenty-two (22) years from the Operation Start Date, respectively.

On October 28, 2022, Ilagan Water received the Notice to Proceed for the Construction of Water Treatment Plant (WTP) for the Bulk Water Supply Agreement (BWSPA) from the CIWD. As of December 31, 2024, construction phase of the WTP 1 is on-going.

On August 14, 2024, Metro Ilagan Water entered into an interim agreement with CIWD for a one-year supply of chlorinated water by Metro Ilagan Water to CIWD at ₱10.00 per cubic meter. The supply of chlorinated water started in September 2024 using the existing water treatment facilities and pipeline networks of Metro Ilagan Water.

North Luzon Water's MOAs with the Municipalities of Sta. Barbara, San Fabian, and Manaoag in Pangasinan
On April 27, 2018, MWPVI was granted a franchise by the Municipality of Sta. Barbara, Pangasinan for the provision of water supply and the improvement, operation, maintenance, management, financing, and expansion of water supply facilities, and the provision of septage management in Sta. Barbara, Pangasinan. The franchise has a term of twenty-five (25) years from the commencement date.

On June 11, 2018, MWPVI received a Notice to Proceed from the Municipality of Sta. Barbara for the implementation of the project.

On August 13, 2018, MWPVI was granted a franchise by the Municipality of San Fabian, Pangasinan to establish, construct, operate, manage, repair, and maintain a water supply system and facilities, and the provision of septage management in the municipality of San Fabian, Pangasinan. The franchise has a term of twenty-five (25) years from the commencement date.

On December 3, 2018, MWPVI was granted a franchise by the Municipality of Manaoag, Pangasinan to establish, construct, operate, manage, repair, and maintain a water supply system and facilities, and the provision of septage management in the municipality of Manaoag, Pangasinan. The franchise has a term of twenty-five (25) years from the commencement date.

On January 25, 2019, MWPVI received a Notice to Proceed for the implementation of the project in the Municipality of Manaoag, Pangasinan.

In February 2019, MWPVI signed a MOA each with the Municipalities of Sta. Barbara, San Fabian, and Manaoag.

On September 16, 2019, MWPVI incorporated North Luzon Water to operate the franchises granted in Sta. Barbara, San Fabian, and Manaoag in Pangasinan.

On August 4, 2020, the MWPVI BOD approved the assignment of the franchises, rights and obligations granted to MWPVI by the local government units of Sta. Barbara, San Fabian, and Manaoag in the province of Pangasinan to North Luzon Water.

On November 12, 2023, projects from the municipality of Sta. Barbara particularly in Barangays Leet and Barangay Balingueo have been energized with initial water service connections of 19 households. As of December 31, 2024, the three (3) barangays have been energized with a total of 406 billed water service connections.

Laguna Water's JVA with Pagsanjan Water District (PAGWAD)
On July 12, 2018, Laguna Water received the Notice of Award from PAGWAD for the implementation of the contractual joint venture project for the design, improvement, upgrade, rehabilitation, and expansion of water supply and sanitation facilities including the financing and construction of such facilities and infrastructure in the service area of PAGWAD, and the management, operation, and maintenance of such water supply and sanitation facilities and the provision of the services necessary or incidental thereto in PAGWAD's service area.

On January 21, 2019, Laguna Water signed and executed a contractual JVA with PAGWAD. Under the agreement, Laguna Water shall serve as the contractor or agent of PAGWAD tasked with the operations, management, and maintenance as well as the design, improvement, upgrade, rehabilitation, and expansion of water supply and sanitation facilities within the service area of PAGWAD in Pagsanjan, Laguna. Upon completion of conditions precedents in the JVA, Laguna Water and PAGWAD shall execute the project for a period of sixteen (16) years until September 30, 2035. The agreement was executed on March 1, 2019.

Parent Company's and MWPVI's JVA with the Tanauan Water District (TnWD)
On October 12, 2018, the Parent Company and MWPVI (collectively, the "Consortium") received the Notice of Award from TnWD for the implementation of the joint venture project for the design, construction, rehabilitation, maintenance, operation, financing, expansion, and management of the water supply and sanitation facilities and services in the service area of TnWD in Tanauan City, Batangas.

On February 4, 2019, the Consortium signed and executed a JVA with the TnWD for the implementation of the project. Upon completion of the conditions precedent set out in the JVA, the Consortium, through an SPV, and the TnWD shall execute the Tanauan Project for a period of twenty-five (25) years from the commencement date.

On May 20, 2019, South Luzon Water, the joint venture company, was incorporated to execute the Tanauan Project.

On September 30, 2019, South Luzon Water's BOD approved to accept the assignment by the Parent Company and MWPVI of their respective rights and obligations under their JVA with the TnWD.

On January 21, 2020, South Luzon Water's BOD approved and clarified that the assignment has a retroactive application effective June 1, 2019, considering the actual commencement date of the takeover and operation of the Tanuan Project.

Parent Company's JVA with Lambunao Water District (LWD)
On July 3, 2019, the Parent Company and LWD entered into a JVA to implement the design, improvement, upgrade, rehabilitation, and expansion of water supply including the financing and construction of such facilities and infrastructure in the service area of LWD, and the management, operation and maintenance of such water supply and the provision of the services necessary or incidental thereto in the service area.

On August 8, 2019, the Parent Company's BOD ratified its Executive Committee's approval of the designation to Aqua Centro as the Project Company to implement and carry out the concession project awarded by LWD to the Parent Company.

On September 1, 2019, Aqua Centro officially commenced operations on the joint venture activity. On the same date, Aqua Centro's BOD approved the Deed of Accession between the Parent Company and LWD.

On September 18, 2019, LWD gave its consent to, and confirmation of, the designation of Aqua Centro as the project company for the implementation of the project pursuant to the JVA. On December 11, 2019, LWD signed the Deed of Accession between the Parent Company and Aqua Centro.

Aqua Centro's and Laguna Water's APAs with Extraordinary Development Corporate Group (EDCG)
On December 11, 2018, Aqua Centro entered into seven (7) APAs with EDCG's subsidiaries to acquire the subsidiaries' assets related to the provision of water service in ten (10) subdivisions in Imus, General Trias, and Naic in the province of Cavite. These subsidiaries are Earth Aspire Corporation, First Advance Development Corporation, Ambition Land Inc., Prosperity Builders Resources Inc., Tahanang Yaman Homes Corporation, Extraordinary Development Corp., and Earth + Style Corporation.

On December 11, 2018, Laguna Water entered into four (4) APAs with EDCG's subsidiaries to acquire the subsidiaries' assets related to or used in its water service provision operations in Biñan, Laguna. The APAs are with the following EDCG subsidiaries, namely, Earth Aspire Corporation, Earth Prosper Corporation, Earth and Style Corporation and Extraordinary Development Corp.

As of December 31, 2024 and 2023, Aqua Centro has been operating in nine (9) out of the ten (10) subdivisions. Aqua Centro shall operate the one (1) remaining subdivision once all the conditions precedent under the APAs have been fulfilled.

Calbayog Water's JVA with Calbayog City Water District (CCWD)

On December 27, 2018, the Parent Company received the Notice of Award from CCWD for the implementation of the joint venture project for the design, construction, rehabilitation, maintenance, operation, financing, expansion, and management of the water and wastewater systems of CCWD in the Calbayog City, as well as other areas which may eventually form part of the service coverage of the CCWD in the Province of Samar.

Upon completion of the conditions precedent specified in the notice, the Parent Company shall enter into a JVA with CCWD for the implementation of the joint venture project over a twenty-five (25) year contract period.

On April 17, 2019, Calbayog Water was incorporated to engage in the development, construction, improvement, upgrade, rehabilitation, expansion, management, operation and maintenance of water supply and wastewater facilities, and to provide services necessary or incidental thereto.

On June 10, 2019, the Executive Committee of the Parent Company approved the joint venture with the CCWD. It also approved the assignment to Calbayog Water of the joint venture with CCWD.

On July 3, 2019, the Parent Company signed and executed a JVA with CCWD for the design, construction, rehabilitation, maintenance, operation, financing, expansion, and management of the water and wastewater system of CCWD in the City of Calbayog. Calbayog Water commenced operations on October 16, 2019.

Calbayog Water's water tariff was exclusive of VAT which was charged to the customers for the first three (3) years of the concession agreement. This is based on the LWUA approved tariff of CCWD. Starting in the month of May 2022, Calbayog Water's tariff will be inclusive of VAT.

Calbayog Water's Stakeholder Management Agreement with CCWD and Subscription Agreement with TPGI

On July 15, 2020, Calbayog Water and TPGI entered into a Stakeholder Management Agreement, where TPGI agrees to provide support to the Operations Management/Stakeholder Management of Calbayog Water. On the same date, Calbayog Water and TPGI entered into a Subscription Agreement wherein TPGI agreed to subscribe to Calbayog Water's shares at a subscription price of ₱1.00 per share for a total subscription of ₱49.17 million, payable in tranches up to 2022.

Initial payment amounting to ₱2.24 million was received on December 28, 2020. The remaining balance of ₱46.93 million was supposedly due on December 31,2022 in accordance with subscription agreement but was fully settled in May 11, 2023. As a result, TPGI paid penalties amounting to ₱1.40 million.

MWPVI's Grant of Franchise from Sangguniang Panlungsod of Iloilo

On March 26, 2019, the Sangguniang Panlungsod of Iloilo City granted a non-exclusive franchise to the joint venture between MWPVI and TPGI to construct, establish, commission, operate and maintain a water supply system to service the population of Iloilo City.

The franchise granted to MWPVI shall be for a term of twenty-five (25) years, covering all the barangays under the governance and jurisdiction of Iloilo City.

As of December 31, 2024, the franchise from the Sangguniang Panlungsod of Iloilo City is not yet operational.

Aqua Centro's and Laguna Water's MOAs with Raemulan Lands, Inc. (RLI)

On July 10, 2019, Aqua Centro and Laguna Water entered into three (3) MOAs with Raemulan Lands, Inc. (RLI) for the construction, operation, and management of water distribution facilities in Pasinaya North and Tradizo Enclaves in Cavite and Jubilation Enclave in Laguna.

Aqua Centro and Laguna Water have started operations in 2019. On December 4, 2020, an Amendment to the MOA with RLI for Pasinaya North was executed.

EcoWater's Water Purchase Agreement (WPA) with ROHM Electronics Philippines, Inc. (REPI)
On September 9, 2019, EcoWater entered into a WPA with REPI. Pursuant to the WPA, EcoWater will design, finance, construct, own, operate and maintain a water supply system to cater the water supply of REPI.

On September 16, 2020, the operation has started with a guaranteed volume of 90,000.00 cubic meters (mcm) per month.

MWTS' Healthy Family Business Division Closure
On August 26, 2020, MWTS announced the permanent closure of its Healthy Family business division effective October 31, 2020 due to its recurring losses and inability to financially sustain business operations.

The Healthy Family brand was launched in 2015 and has since been known for providing exceptional quality and affordable purified drinking water to its customers. While the Healthy Family business division made strong efforts to improve operations and profitability, the ever-increasing competition in the bottled water industry and the recent economic challenges proved too difficult to cope and keep the business afloat. MWTS, as an entity, shall continue to exist and operate based on its primary purpose to engage in water and wastewater and environmental services.

On October 13, 2020, MWTS signed an APA with Maris Pure Corporation for the sale of some of Healthy Family assets, consisting of water bottling equipment, spare parts, and delivery equipment, for a consideration of ₱35.00 million.

The permanent closure of the MWTS Healthy Family division resulted to its classification as a discontinued operation (see Note 3). The operating cash flows of MWTS-Healthy Family as of December 31, 2024, 2023 and 2022 are presented in Note 19.

MWPVI's Deed of Accession for Used Water Only with Ayala Land Malls, Inc.
On May 31, 2021, MWPVI entered a Deed of Accession with Ayala Land Malls, Inc. namely, North Eastern Commercial Corporation (Cloverleaf, The 30th), North Triangle Depot Commercial Corp (Trinoma), Ayala Land Metro North Inc. (U.P Town Center), North Ventures Commercial Corporation (Fairview Terraces), Summerhill Commercial Ventures Corp (Feliz), Arvo Commercial Corporation (Marikina, The District Dasmarinas, Legaspi), ALI-CII Development Corp. (Metropoint), Bay City Commercial Ventures Corp. (Manila Bay), Alabang Commercial Corporation (ATC), Lagoon Development Corporation (Pavilion), North Beacon Commercial Corporation (Marquee), Cavite Commercial Towncenter Inc. (The District Imus, Serin), Cagayan de Oro Gateway Corp (Centrio) and Capitol Central Commercial Ventures Corp. (Capitol Central), (collectively the "ALI Malls Group") whereby MWPVI shall provide used water services and operation and management of the Used Water Facilities only.

Under the Deed of Accession, turnover of operations to MWPVI started in June 2021. As of December 31, 2024 and 2023, MWPVI is operating all of the covered locations in the contract.

Parent Company's and MWPVI's Notice of Award from the Provincial Government of Pangasinan (PGP)
On September 30, 2021, the Consortium of the Parent Company and MWPVI received a Notice of Award from PGP for the implementation of a joint venture project for the provision of bulk water to the Province of Pangasinan.

Upon completion of conditions precedent, both parties shall sign a concession agreement to implement the project that has an estimated capital expenditure program of ₱8.00 billion over the twenty five (25)-year contract period.

On January 14, 2022, the Consortium of the Parent Company and MWPVI signed the Concession Agreement with the PGP for the implementation of the joint venture project for the development, financing, construction, operation and maintenance of a bulk water facility within the Province of Pangasinan. On the same day, a groundbreaking activity was held in one of the proposed sites for a treatment plant.

On January 4, 2024, the ₱8.00 billion concession agreement signed in 2021 with PGP was effectively terminated on December 31, 2023, due to PGP's failure to fulfill certain conditions of the agreement.

MWTS Equity Restructuring
On June 22, 2023, MWTS applied for Equity Restructuring and Decrease of Capital Stock to SEC. SEC Company Registration and Monitoring Department (CRMD) accepted and processed the documentary requirements on August 10, 2023.

On January 31, 2024, the SEC approved MWTS' application for decrease in authorized capital stock from ₱1,000,000,000 divided into 600,000,000 common share of the par value of ₱1.00 each and 400,000,000 redeemable preferred shares of the par value of ₱1.00 each, to ₱350,875,309 divided into 210,525,185 common shares of the par value of P1.00 each and 140,350,124 redeemable preferred shares of the par value of ₱1.00 each. This resulted into capital stock of ₱203,075,309 and additional paid in capital of ₱649,124,691 after the approval. The decrease in authorized capital stock was approved by the Board of Directors and the shareholders on February 3, 2022.

Significant Transactions – Foreign Subsidiaries

Parent Company's Management, Operation, and Maintenance Contract (MOMC) with the National Water Company (NWC), Kingdom of Saudi Arabia for the North West Cluster
On December 3, 2020, the Consortium of Saur SAS, Miahona Company, and the Parent Company signed a MOMC with the NWC, Kingdom of Saudi Arabia for the latter's North West Cluster. The MOMC comprised of the management, operations, and maintenance of the water and wastewater facilities of the North West Cluster (Madinah and Tabuk) over a seven (7)-year contract period, which will entail the implementation of enabling projects and deployment of key personnel to manage the cluster and achieve the key performance indicators target set by the NWC.

On March 25, 2021, the Consortium registered and incorporated International Water Partners Company (IWP), a mixed capital limited liability company incorporated under the laws of the Kingdom of Saudi Arabia by Saur Saudi Arabia Ltd., Miahona Company, and MWAP with equity shareholdings of 40.00%, 40.00% and 20.00%, respectively. On April 1, 2021, IWP officially commenced the implementation of the MOMC.

The MOMC aims to improve water and wastewater services, operational performance and the level of operations in the distribution sector of the Kingdom in general, and at the North Western Cluster in particular, as well as training and developing of personnel to improve performance, sustainability and quality of service.

On June 15, 2021, MWAP subscribed to 100 shares of IWP representing 20.00% for SAR0.10 million (₱1.28 million).

Parent Company's MOMC with the NWC, Kingdom of Saudi Arabia for the Eastern Cluster
On October 8, 2021, the Consortium's Project Company, IWP, was awarded the MOMC of the NWC, Kingdom of Saudi Arabia for its Eastern Cluster. The MOMC will comprise the management, operations and maintenance of the water and wastewater facilities of the Eastern Cluster (i.e., Dammam, Al Hofuf, Al Jubail, Al Khobar, Al Qatif and Hafar Al Batin) over a seven (7)-year contract period, which will entail the implementation of enabling projects and deployment of key personnel to manage the Eastern Cluster and achieve the Key Performance Indicators target set by the NWC.

The award came after the commencement of the MOMC for the North West Cluster (i.e., Madinah and Tabuk), which was also awarded to IWP.

On January 27, 2022, International Water Partners Company the Second (IWP2) was incorporated with MWAP, Saur, and Miahona owning 30.00%, 35.00%, and 35.00%, respectively. On April 1, 2022, IWP2 officially commenced the implementation of the MOMC. MWAP subscribed to 150 shares of IWP2 representing 30.00% for SAR0.15 million (₱2.07 million).

MWTH Liquidation
MWTH, one of the intermediate holding companies of MWAP, has completed and finalized its Members' Voluntary Liquidation in Singapore as part of the corporate restructuring initiative of the MWAP Group. On March 18, 2022, the surplus funds and assets of MWTH including the shares in MWTC have been distributed to MWAP as its sole shareholder. On July 18, 2022, MWTH was considered as officially dissolved in Singapore by the Accounting and Corporate Regulatory Authority (ACRA).

MSEA Liquidation
MSEA, another intermediate holding company of MWAP, concluded its Members' Voluntary Liquidation in Singapore, aligned with the MWAP Group's corporate restructuring initiative. On March 26, 2024, MSEA transferred its surplus funds and assets, including shares in PT Manila Water Indonesia (PTMWI), to MWAP as its sole shareholder. Thereafter on September 18, 2024, MSEA was considered officially dissolved by the ACRA in Singapore.

Approval for the Issuance of the Consolidated Financial Statements
The BOD of the Parent Company approved and authorized the issuance of the consolidated financial statements on February 24, 2025.

2. Summary of Material Accounting Policies

Basis of Preparation
The consolidated financial statements of the Group have been prepared using the historical cost basis, except for derivative financial instruments that have been measured at fair value. The Parent Company's presentation and functional currency is the Philippine Peso (₱, Peso, or PHP). Amounts are rounded off to the nearest Peso, except when otherwise stated. The consolidated financial statements of the Group provide comparative information in respect of the previous periods. The Group has prepared the financial statements on the basis that it will continue to operate as a going concern.

Statement of Compliance
The consolidated financial statements of the Group have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Basis of Consolidation
The consolidated financial statements comprise the financial statements of the Group as of December 31, 2024 and 2023, and for each of the three (3) years in the period ended December 31, 2024.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if and only if the Group has:

a. power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee);
b. exposure, or rights, to variable returns from its involvement with the investee; and
c. the ability to use its power over the investee to affect its returns.

Generally, there is a presumption that a majority of voting rights result in control.

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

a. the contractual arrangement with the other vote holders of the investee;
b. rights arising from other contractual arrangements; and
c. the Group's voting rights and potential voting rights.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the noncontrolling interests, even if this results in the noncontrolling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

a. derecognizes the assets (including goodwill) and liabilities of the subsidiary;
b. derecognizes the carrying amount of any noncontrolling interests;
c. derecognizes the cumulative translation differences recorded in equity;
d. recognizes the fair value of the consideration received;
e. recognizes the fair value of any investment retained;
f. recognizes any surplus or deficit in profit or loss; and
g. reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

<u>Changes in Accounting Policies and Disclosures</u>
The accounting policies adopted in the preparation of consolidated financial statements are consistent with those of the previous financial year, except for the adoption of new standards effective in 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise stated, the new standards and amendments did not have any material impact to the Group.

a. Amendments to PAS 1, Classification of Liabilities as Current or Non-current

The amendments clarify:

- That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

b. Amendments to PFRS 16, *Leases Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

c. Amendments to PFRS 7, *Disclosures: Supplier Finance Arrangements*

The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

The amendments are effective for annual reporting periods beginning on or after January 1, 2024 and must be applied retrospectively.

<u>Future Changes in Accounting Policies</u>
Pronouncements issued but not yet effective are listed below. The Group intends to adopt the following pronouncements when they become effective.

Unless otherwise indicated, the Group does not expect that the future adoption of these pronouncements will have a significant impact on its consolidated financial statements.

Effective beginning on or after January 1, 2025 -

a. PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- a specific adaptation for contracts with direct participation features (the variable fee approach); and
- a simplified approach (the premium allocation approach) mainly for short-duration contracts.

On December 15, 2021, the Financial Reporting Standards Council (FRSC) amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the IASB.

PFRS 17 is effective for reporting periods beginning on or after January 1, 2025, with comparative figures required. Early application is permitted.

b. Amendments to PAS 21, *Lack of exchangeability*

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments are effective for annual reporting periods beginning on or after January 1, 2025. Earlier adoption is permitted, and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information.

Effective beginning on or after January 1, 2026 -

a. Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*

The amendments clarify that a financial liability is derecognized on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. They also introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met.

The amendments also clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features. Furthermore, the amendments clarify the treatment of non-recourse assets and contractually linked instruments.

b. Annual Improvements to PFRS Accounting Standards—Volume 11

The amendments are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversight or conflicts between the requirements in the Accounting Standards. The following is the summary of the Standards involved and their related amendments.

- Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*

  The amendments included in paragraphs B5 and B6 of PFRS 1 cross references to the qualifying criteria for hedge accounting in paragraph 6.4.1(a), (b) and (c) of PFRS 9. These are intended to address potential confusion arising from an inconsistency between the wording in PFRS 1 and the requirements for hedge accounting in PFRS 9.

- Amendments to PFRS 7, *Gain or Loss on Derecognition*

  The amendments updated the language of paragraph B38 of PFRS 7 on unobservable inputs and included a cross reference to paragraphs 72 and 73 of PFRS 13.

- Amendments to PFRS 9

  a) Lessee Derecognition of Lease Liabilities
  The amendments to paragraph 2.1 of PFRS 9 clarified that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee is required to apply paragraph 3.3.3 and recognize any resulting gain or loss in profit or loss.

  b) Transaction Price
  The amendments to paragraph 5.1.3 of PFRS 9 replaced the reference to 'transaction price as defined by PFRS 15 *Revenue from Contracts with Customers*' with 'the amount determined by applying PFRS 15'. The term 'transaction price' in relation to PFRS 15 was potentially confusing and so it has been removed. The term was also deleted from Appendix A of PFRS 9.

- Amendments to PFRS 10, *Determination of a 'De Facto Agent'*

  The amendments to paragraph B74 of PFRS 10 clarified that the relationship described in B74 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor.

- Amendments to PAS 7, *Cost Method*

  The amendments to paragraph 37 of PAS 7 replaced the term 'cost method' with 'at cost', following the prior deletion of the definition of 'cost method'.

Effective beginning on or after January 1, 2027 -

- PFRS 18, *Presentation and Disclosure in Financial Statements*

  The standard replaces PAS 1 Presentation of Financial Statements and responds to investors' demand for better information about companies' financial performance. The new requirements include:

  - Required totals, subtotals and new categories in the statement of profit or loss
  - Disclosure of management-defined performance measures
  - Guidance on aggregation and disaggregation

- PFRS 19, *Subsidiaries without Public Accountability*

  The standard allows eligible entities to elect to apply PFRS 19's reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other PFRS accounting standards. The application of the standard is optional for eligible entities.

Interpretation with Deferred Effective Date -

a. Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

   The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

   On January 13, 2016, the Financial Reporting Standards Council postponed the original effective date of January 1, 2016 of the said amendments until the International Accounting Standards Board has completed its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

Material Accounting Policies

Current versus Noncurrent Classification
The Group presents assets and liabilities in the consolidated statement of financial position based on a current and noncurrent classification. An asset is current when it is:

a. expected to be realized or intended to be sold or consumed in normal operating cycle;
b. held primarily for the purpose of trading;
c. expected to be realized within twelve (12) months after the reporting period; or
d. cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve (12) months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when:

a. it is expected to be settled in normal operating cycle;
b. it is held primarily for the purpose of trading;
c. it is due to be settled within twelve (12) months after the reporting period, or
d. there is no unconditional right to defer the settlement of the liability for at least twelve (12) months after the reporting period.

The Group classifies all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities, respectively.

Fair Value Measurement
The Group measures financial instruments such as derivatives at fair value at each reporting date. Fair value is the price that would be received for selling an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

a. in the principal market for the asset or liability; or
b. in the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level of input that is significant to the fair value as a whole:

a. Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities.
b. Level 2: valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
c. Level 3: valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by reassessing categorization (based on the lowest level of input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group's management determines the policies and procedures for both recurring and nonrecurring fair value measurement.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Cash and Cash Equivalents
Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from the date of acquisition and that are subject to an insignificant risk of change in value.

Recognition and Measurement of Financial Instruments

Financial assets

a. *Initial recognition and measurement*

Financial assets are classified, at initial recognition, as either subsequently measured at amortized cost, at FVOCI, or at fair value through profit or loss (FVTPL).

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at FVTPL, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under PFRS 15, *Revenue from Contracts with Customers*.

In order for a financial asset to be classified and measured at amortized cost or at FVOCI, it needs to give rise to cash flows that are "solely payments of principal and interest" on the principal amount outstanding. This assessment is referred to as the "solely payments of principal and interest test" and is performed at an instrument level.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

As of December 31, 2024 and 2023, the Group's financial assets are comprised of financial assets at amortized cost.

b. *Subsequent measurement – Financial assets at amortized cost*

Financial assets are measured at amortized cost if both of the following conditions are met:

- the asset is held within the Group's business model whose objective is to hold assets in order to collect contractual cash flows; and
- the contractual terms of the instrument give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Group classified cash in banks and cash equivalents, receivables, and contract assets as financial assets at amortized cost (see Notes 5 and 6).

c. *Derecognition*

A financial asset (or, where applicable, a part of a financial asset or part of a group of financial assets) is derecognized when:

- the right to receive cash flows from the asset has expired; or
- the Group has transferred its right to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (i) the Group has transferred substantially all the risks and rewards of the asset, or (ii) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognize the transferred asset to the extent of its continuing involvement. In that case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

Modification of financial assets
The Group derecognizes a financial asset when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new asset, with the difference between its carrying amount and the fair value of the new asset recognized as a derecognition gain or loss in profit or loss, to the extent that an impairment loss has not already been recorded.

The Group considers both qualitative and quantitative factors in assessing whether a modification of financial asset is substantial or not. When assessing whether a modification is substantial, the Group considers the following factors, among others:

- Change in currency
- Introduction of an equity feature
- Change in counterparty
- If the modification results in the asset no longer considered "solely payment for principal and interest"

The Group also performs a quantitative assessment similar to that being performed for modification of financial liabilities. In performing the quantitative assessment, the Group considers the new terms of a financial asset to be substantially different if the present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the present value of the remaining cash flows of the original financial asset.

When the contractual cash flows of a financial asset are renegotiated or otherwise modified and the renegotiation or modification does not result in the derecognition of that financial asset, the Group recalculates the gross carrying amount of the financial asset as the present value of the renegotiated or modified contractual cash flows discounted at the original effective interest rate (EIR) (or credit-adjusted EIR for purchased or originated credit-impaired financial assets) and recognizes a modification gain or loss in profit or loss.

When the modification of a financial asset results in the derecognition of the existing financial asset and the subsequent recognition of a new financial asset, the modified asset is considered a 'new ' financial asset. Accordingly, the date of the modification shall be treated as the date of initial recognition of that financial asset when applying the impairment requirements to the modified financial asset. The newly recognized financial asset is classified as Stage 1 for ECL measurement purposes, unless the new financial asset is deemed to be originated as credit impaired (POCI).

d. *Impairment*
The Group recognizes an allowance for expected credit losses (ECL) for all debt instruments not held at FVTPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original EIR. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next twelve months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For receivables and contract assets, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Group considers a financial asset in default when contractual payments are ninety (90) up to one hundred eighty (180) days past their due dates. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Financial liabilities

a. *Initial recognition and measurement*
Financial liabilities are classified, at initial recognition, either as financial liabilities at FVTPL, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

As of December 31, 2024 and 2023, the Group's financial liabilities comprise of financial liabilities at amortized cost.

b. *Subsequent measurement*
After initial recognition, long-term debt and service concession obligations are subsequently measured at amortized cost using the EIR method.

Gains and losses are recognized under the "Other income (expense)" account in consolidated profit or loss when the liabilities are derecognized or impaired, and through the "Interest expense" account when the gains and losses are amortized. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

This accounting policy applies to the Group's accounts and other payables, short-term debt, lease liabilities, long-term debt, service concession obligations, and customer guaranty deposits and other deposits.

c. *Derecognition*
A financial liability is derecognized when the obligation under the liability is discharged or canceled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the Group's profit or loss.

Exchange or modification of financial liabilities
The Group considers both qualitative and quantitative factors in assessing whether a modification of financial liabilities is substantial or not. The terms are considered substantially different if the present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original EIR, is at least 10% different from the present value of the remaining cash flows of the original financial liability. However, under certain circumstances, modification or exchange of a financial liability may still be considered substantial, even where the present value of the cash flows under the new terms is less than 10% different from the present value of the remaining cash flows of the original financial liability. There may be situations where the modification of the financial liability is so fundamental that immediate derecognition of the original financial liability is appropriate (e.g., restructuring a financial liability to include an embedded equity component).

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the fair value of the new liability is recognized in profit or loss.

When the exchange or modification of the existing financial liability is not considered as substantial, the Group recalculates the gross carrying amount of the financial liability as the present value of the renegotiated or modified contractual cash flows discounted at the original EIR and recognizes a modification gain or loss in profit or loss.

If modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognized as part of the gain or loss on the extinguishment. If the modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the financial instrument and are amortized over the remaining term of the modified financial instrument.

Offsetting of financial instruments
Financial assets and financial liabilities are offset and the net amount reported in the consolidated statements of financial position, if and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the asset and settle the liability simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Derivative Financial Instruments and Hedge Accounting

a. *Initial recognition and measurement*
The Group uses derivative financial instruments, such as principal only swaps and currency option transactions, to hedge its foreign currency risks. Such derivative financial instruments are initially recognized at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

For the purpose of hedge accounting, hedges are classified as:

- Fair value hedges when hedging the exposure to changes in the fair value of a recognized asset or liability or an unrecognized firm commitment
- Cash flow hedges when hedging the exposure to variability in cash flows that is either attributable to a particular risk associated with a recognized asset or liability or a highly probable forecast transaction or the foreign currency risk in an unrecognized firm commitment
- Hedges of a net investment in a foreign operation

At the inception of a hedge relationship, the Group formally designates and documents the hedge relationship to which it wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge.

The documentation includes identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the Group will assess whether the hedging relationship meets the hedge effectiveness requirements (including the analysis of sources of hedge ineffectiveness and how the hedge ratio is determined).

A hedging relationship qualifies for hedge accounting if it meets all of the following effectiveness requirements:

- There is 'an economic relationship' between the hedged item and the hedging instrument.
- The effect of credit risk does not 'dominate the value changes' that result from that economic relationship.
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Group actually hedges and the quantity of the hedging instrument that the Group actually uses to hedge that quantity of hedged item.

Hedges that meet all the qualifying criteria for hedge accounting are accounted for and further described in the below sections.

b. *Fair value hedges*
The change in the fair value of the hedging instrument and hedged item attributable to the risk hedged is recorded as part of the carrying value of the hedged item and is also recognized in profit or loss.

For fair value hedges relating to items carried at amortized cost, any adjustment to carrying value is amortized through profit or loss over the remaining term of the hedge using the EIR method. The EIR amortization may begin as soon as an adjustment exists and no later than when the hedged item ceases to be adjusted for changes in its fair value attributable to the risk being hedged. If the hedged item is derecognized, the unamortized fair value is recognized immediately in profit or loss.

The Group does not have any derivatives classified as fair value hedges.

c. *Cash flow hedges*
The effective portion of the gain or loss on the hedging instrument is recognized in OCI as part of hedging reserve, while any ineffective portion is recognized immediately in profit or loss. The hedging reserve is adjusted to the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in fair value of the hedged item.

The Group uses principal only swaps and currency option transactions as hedges of its exposure to foreign currency risk arising from long-term debts. The ineffective portion of both the principal only swaps and currency option transactions is recognized under "interest expense."

For the Group's cash flow hedges, the amount accumulated in OCI is reclassified to profit or loss as a reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

The Group's cash flow hedges include the costs of hedging for its principal only swaps and currency option transactions.

d. *Hedges of a net investment*
Hedges of a net investment in a foreign operation, including a hedge of a monetary item that is accounted for as part of the net investment, are accounted for in a way similar to cash flow hedges. Gains or losses on the hedging instrument relating to the effective portion of the hedge are recognized as OCI under "cumulative translation adjustments" while any gains or losses relating to the ineffective portion are recognized in profit or loss. On disposal of the foreign operation, the cumulative value of any such gains or losses recorded in equity is transferred to profit or loss.

The Group uses a loan as a hedge of its exposure to foreign exchange risk on its investment in a foreign subsidiary.

Inventories
Inventories are valued at the lower of cost or net realizable value (NRV). NRV is the estimated selling price less estimated costs to complete and to sell. The cost is determined using the moving average method for all inventories, except for raw materials and finished goods.

Prepaid Expenses
Prepaid expenses are carried at cost less the amortized portion. These typically include prepayments for regulatory costs, business taxes, insurance and employee health care expenses, and other benefits.

Property, Plant and Equipment
Property, plant and equipment, except land, are stated at cost less accumulated depreciation and amortization and any impairment in value. Land is stated at cost less any impairment in value.

The initial cost of property, plant and equipment comprises its purchase price, including import duties, taxes and any directly attributable costs of bringing the property, plant and equipment to its working condition and location for its intended use, including capitalized borrowing costs incurred during the construction period. Expenditures incurred after the property, plant and equipment have been put into operation, such as repairs and maintenance, are normally charged to operations in the period in which the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property, plant and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as additional cost of the related property, plant and equipment.

Depreciation and amortization of property, plant and equipment commences once the property, plant and equipment are available for use and are calculated on a straight-line basis over the estimated useful lives (EUL) of the property, plant and equipment as follows:

Asset Type	**EUL**
Plant and technical equipment	5 years or the term of the related management contract, whichever is shorter
Office furniture and equipment	3 to 5 years
Transportation equipment	5 years
Leasehold improvements	5 years or lease term, whichever is shorter

The EUL and depreciation and amortization method are reviewed periodically to ensure that the period and method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property, plant and equipment.

Construction in progress represents property, plant and equipment under construction and is stated at cost including costs of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are in the location and condition necessary for it to be capable of operating in the manner intended by management.

When property, plant and equipment is retired or otherwise disposed of, the cost and the related accumulated depreciation and amortization and accumulated impairment, if any, are removed from the accounts and any resulting gain or loss is credited to or charged against current operations. Fully-depreciated and amortized assets are retained as property, plant and equipment until these are no longer in use.

The carrying value of property, plant and equipment is reviewed for impairment when events or changes in circumstances indicate the carrying value may not be recoverable.

Software

Software acquired separately are measured on initial recognition at cost including any directly attributable costs with the development of the software that are expected to generate future expected benefits. All other costs of developing and maintaining software are recognized in profit or loss as incurred.

Following initial recognition, software are carried at cost less any accumulated amortization and accumulated impairment losses. Software are assessed to have finite useful lives of three (3) to five (5) years.

The useful life and amortization method for software are reviewed at least at each reporting date. A change in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the software is accounted for by changing the useful life and amortization method, as appropriate, and treated as a change in accounting estimates.

Service Concession Assets and Obligations

The Group accounts for its concession agreements with MWSS, CWD, TIEZA, CDC, OWD, BuWD and PGL; JVAs with CCWD, TnWD, PAGWAD, and LWD; SMA with CIWD; Wawa Bulk Water Agreement and MOAs with the Municipalities of Sta. Barbara, San Fabian, and Manaoag under the Intangible Asset model as it receives the right (license) to charge users of public service. Except for Wawa Bulk Water Agreement, under the Group's concession arrangements, the Group is granted the sole and exclusive right and discretion during the concession period to manage, occupy, operate, repair, maintain, decommission and refurbish the identified facilities required to provide water services. The legal title to these assets shall transfer to MWSS, CWD, TIEZA, CDC, OWD, BuWD, PGL, CCWD, TnWD, PAGWAD, LWD, and CIWD (under the SMA) at the end of the concession period. Meanwhile, the legal title to the assets covered by the MOAs with the Municipalities of Sta. Barbara, San Fabian, and Manaoag shall remain with North Luzon Water. For Wawa Bulk Water Agreement, the sole and exclusive right and discretion during the concession period to manage, occupy, operate, repair, maintain, decommission and refurbish the identified facilities is granted to the joint venture partner.

On the other hand, the bulk water sale and purchase agreements with CIWD, TWD, and MCWD are accounted for under the Financial Asset model as it has an unconditional contractual right to receive cash or other financial asset for its construction services from or at the direction of the grantor. Under the service concession arrangements, Cebu Water, Tagum Water, and Ilagan Water are awarded the right to deliver bulk water supply to the grantor for a specific period of time under the concession period.

During the construction phase of the arrangements, the Group's contract asset (representing its accumulating right to be paid for rehabilitation works) is presented as part of "Service concession assets" (SCA) for Intangible Asset model and under "Contract Assets" for Financial Asset model. The SCA also include the present value of the service concession obligations assumed by the Parent Company at drawdown date and other local component costs and cost overruns paid by the Group, as well as additional costs of rehabilitation works incurred.

Amortization of SCA commences when the SCA are available for use and are calculated on a straight-line basis over the remaining concession period. Beginning May 1, 2017, the Parent Company, Boracay Water, Clark Water, and Laguna Water's water and used water assets are amortized using the units-of-production (UOP) method over the estimated total billable volume for the remaining period of the respective concession agreements to better reflect the usage of these assets, which is directly related to its estimated total billable volume and is aligned with industry practice.

Starting January 1, 2022, the Parent Company's water and used water assets are amortized using the UOP over the estimated total billable volume until 2047, following the approval of the Parent Company's legislative water franchise and business development plan (see Note 1).

Starting April 1, 2022, the water and used water assets (excluding water meters) of MWPVI, Aqua Centro, EcoWater and BMDC are depreciated using the UOP method over the expected total production volume for the remaining useful life of the assets. Prior to this, straight-line depreciation method over the useful life was applied.

The change in estimates was accounted for prospectively from the date of change.

Investments in Associates
An associate is an entity in which the Group has significant influence and which is neither a subsidiary. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over these policies.

The considerations made in determining significant influence is similar to those necessary to determine control over subsidiaries.

The Group's investments in its associates are accounted for using the equity method.

Under the equity method, an investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share of net assets of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment separately.

The consolidated profit or loss reflects the Group's share of the results of operations of the associate and any impairment losses.

Any change in the other comprehensive income of those investees is presented as part of the Group's other comprehensive income. In addition, when there has been a change recognized directly in the equity of the associate, the Group recognizes its share of any changes, when applicable, in the consolidated statement of changes in equity. Unrealized gains and losses resulting from transactions between the Group and the associate are eliminated to the extent of the interest in the associate.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated profit or loss outside of operating profit and represents profit or loss after tax and noncontrolling interests in the subsidiaries of the associate. If the Group's share of losses of an associate equals or exceeds its interest in the associate, the Group discontinues recognizing its share of further losses.

The financial statements of the associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and then recognizes the loss as "Equity in net earnings (losses) of associates" in the consolidated profit or loss.

Upon loss of significant influence over the associate, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognized in profit or loss.

Business Combinations and Goodwill
Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value, and the amount of any noncontrolling interest in the acquiree. For each business combination, the Group elects whether to measure the noncontrolling interest in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss included under "Remeasurement gain (loss) arising from business combination."

Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Contingent consideration classified as equity is not remeasured and its subsequent settlement is accounted for within equity. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of PFRS 9, is measured at fair value with the changes in fair value recognized in the profit or loss in accordance with PFRS 9.

Other contingent consideration that is not within the scope of PFRS 9 is measured at fair value at each reporting date with changes in fair value recognized in profit or loss.

If the initial accounting for a business combination can be determined only provisionally by the end of the period in which the combination is effected because either the fair values to be assigned to the acquiree's identifiable assets, liabilities or contingent liabilities or the cost of the combination can be determined only provisionally, the acquirer shall account for the combination using those provisional values. The acquirer shall recognize any adjustments to those provisional values as a result of completing the initial accounting within twelve (12) months of the acquisition date as follows: (i) the carrying amount of the identifiable asset, liability or contingent liability that is recognized or adjusted as a result of completing the initial accounting shall be calculated as if its fair value at the acquisition date had been recognized from that date; (ii) goodwill or any gain recognized shall be adjusted by an amount equal to the adjustment to the fair value at the acquisition date of the identifiable asset, liability or contingent liability being recognized or adjusted; and (iii) comparative information presented for the periods before the initial accounting for the combination is complete shall be presented as if the initial accounting has been completed from the acquisition date.

Goodwill is initially measured at cost where cost is the excess of the aggregate of the consideration transferred and the amount recognized for noncontrolling interest over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognized at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognized in profit or loss and included under "Other income (losses) - net."

Following initial recognition, goodwill is measured at cost less any accumulated impairment loss. Goodwill is reviewed for impairment, annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired. For purposes of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units (CGUs), or groups of CGUs, that are expected to benefit from the synergies of the combination, irrespective of whether other assets or liabilities of the Group are assigned to those units or groups of units. Each unit or group of units to which the goodwill is allocated should:

- represent the lowest level within the Group at which the goodwill is monitored for internal management purposes; and
- not be larger than an operating segment determined in accordance with PFRS 8, *Operating Segments*.

Occasionally, an acquirer will make a bargain purchase, which is a business combination in which the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed measured exceeds the aggregate of the consideration transferred.

Before recognizing a gain on a bargain purchase, the acquirer shall reassess whether it has correctly identified all of the assets acquired and all of the liabilities assumed and shall recognize any additional assets or liabilities that are identified in that review. The acquirer shall then review the procedures used to measure the amounts to be recognized at the acquisition date for all of the following:

a. the identifiable assets acquired and liabilities assumed;
b. the noncontrolling interest in the acquiree, if any;
c. for a business combination achieved in stages, the acquirer's previously held equity interest in the acquiree; and
d. the consideration transferred.

If that excess remains after applying the requirements above, the acquirer shall recognize the resulting gain in profit or loss on the acquisition date. The gain shall be attributed to the acquirer.

Where goodwill forms part of a CGU (or group of CGUs) and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in these circumstances is measured based on the relative values of the operation disposed of and the portion of the CGU retained.

<u>Water Rights</u>
Water rights are accounted for as an intangible asset with indefinite useful life. These pertain to the permit acquired separately, and are recognized as an intangible asset as these were issued by the NWRB without an explicit provision on the period of effectivity. Costs incurred for the acquisition of water rights are capitalized and measured on initial recognition at cost.

Presidential Decree No. 1067, also known as the Water Code, states that water permits shall continue to be valid as long as water is beneficially used. The rights may be suspended or revoked based on certain grounds such as non-compliance with approved plans and specifications or schedules of water distribution, and use of water for a purpose other than that for which it was granted.

All water permits are subject to modification or cancellation by the NWRB, after due notice and hearing, in favor of a project of greater beneficial use or for multi-purpose development, and a water permittee who suffers thereby shall be duly compensated by the entity or person in whose favor the cancellation was made.

Impairment of Nonfinancial Assets
This accounting policy applies primarily to the Group's property, plant, and equipment, software, SCA, contract assets representing SCA under construction, right-of-use assets, investments in associates, goodwill, and water rights. The Group assesses, at each reporting date, these nonfinancial assets, excluding goodwill and water rights, whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount.

Goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired.

Water rights with indefinite useful life are tested for impairment annually either individually or at the CGU level. Such intangibles are not amortized. The life of an intangible asset with an indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in the life from indefinite to finite is made on a prospective basis.

An asset's recoverable amount is calculated as the higher of the asset's or CGU's fair value less cost of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a post-tax discount rate that reflects current market assessment of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other fair value indicators. Impairment losses of continuing operations are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss unless the asset is carried at revalued amount, in which case the reversal is treated as revaluation increase. After such a reversal, the depreciation and amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Leases
The Group assesses at contract inception whether a contract is, or contains, a lease. To assess whether a contract conveys the right to control the use of an identified assets for a period of time, the Group assesses whether, throughout the period of use, it has both of the following:

i. the right to obtain substantially all of the economic benefits from the use of the identified assets; and
ii. the right to direct the use of the identified asset.

If the Group has the right to control the use of an identified asset for only a portion of the term of the contract, the contract contains a lease for that portion of the term.

The Group as a Lessee
The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

a. *Right-of-use assets*
The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, lease payments made at or before the commencement date less any lease incentives received and estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease, unless those costs are incurred to produce inventories. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the underlying assets. The right-of-use assets are also subject to impairment.

b. *Lease liabilities*
At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

c. *Short-term leases and leases of low-value assets*
The Group applies the short-term lease recognition exemption to its short-term leases of office spaces (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognized as expense on a straight-line basis over the lease term.

Revenue Recognition
Revenue from contracts with customers is recognized when control of the goods or services is transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services. The Group has generally concluded that it is the principal in its revenue arrangements. The following specific recognition criteria must also be met before revenue is recognized.

Revenue recognized over time using the output method
The Group recognizes revenue from water and sewerage services, environmental charge, operation and maintenance services and performance fees over time using output method. As a practical expedient allowed under PFRS 15, the Group recognizes revenue in the amount to which the Group has a right to invoice since the Group bills a fixed amount for every cubic meter of water delivered or NRW recovered.

- *Water and used water revenue*
  Water and used water revenue are recognized over time as the customer receives and consumes the benefit from the performance of the related water and sewerage services. Water and used water are billed every month according to the bill cycles of the customers. As a result of bill cycle cut-off, monthly service revenue earned but not yet billed at end of the month is estimated and accrued. These estimates are based on historical consumption of the customers. Also, twenty five percent (25%) of water revenue is recognized by the Parent Company as environmental charge.

- *Operation and maintenance services*
  Revenue from operation and maintenance services is recognized over time as the operation, maintenance and management services are rendered for water and wastewater facilities of Bonifacio Water Corporation (BWC).

- *Performance fees*
  Performance fees are recognized as revenue over time as the NRW are recovered as agreed in the NRWRSA with ZCWD.

The Group has determined that the output method is the appropriate method in measuring the progress of the connection services, project management services, and pipeworks and integrated used water services since this depicts the Group's performance in managing and providing service connection from water and used water facilities to the developments.

- *Connection fees*
  Connection fees are amounts paid by customers in exchange for the set-up of a connection from the customer's establishment to the Group's water or used water network. Revenue from connection fees is recognized over time using the output method based on time elapsed over the period when the related water and used water services are expected to be provided.

- *Supervision fees*
  Supervision fees arise from MWPVI, Aqua Centro, EcoWater, and Laguna Water's assurance of potable water and effective used water services for new developments, and performance of certain functions which includes, but is not limited to, the provision of design and project management services in the development of water and used water facilities. Revenue from supervision fees is recognized over time using an output method.

  Supervision fees accounted for as future water service is recognized as the customer receives and consumes the benefit of water affordability or lower water tariff based on the agreed estimated water demand projections.

  Revenue from pipeworks and integrated used water services
  Revenue from pipeworks and integrated used water services is recognized over time as the water and wastewater network related services are rendered using an output method. Under this method, progress is measured using survey of performance completed to date and milestone reached. This is based on the work accomplishment report prepared by the project contractor as approved by the project management head.

Revenue recognized over time using input method
The Group determined that the input method is the appropriate method in measuring progress of the rehabilitation works, construction revenue, and service fees because there is a direct relationship between the Group's effort (i.e., actual cost incurred incurred) and the transfer of service to the customer.

- *Revenue from rehabilitation works and Cost of rehabilitation works*
  Revenue from rehabilitation works is equivalent to the related cost for the rehabilitation works covered by the service concession arrangements which is recognized as part of contract assets included under SCA or concession financial receivables and pertain to revenue from construction or upgrade services. Revenue from rehabilitation works is recognized over time, using input method. Under this method, progress is measured by reference to the actual costs incurred to date.

- *Construction revenue*
  Construction revenue arises from the NRWRSA with ZCWD for the establishment of district metering areas. Revenue from construction services is recognized over time, using input method. Under this method, progress is measured based on actual costs incurred on materials, labor, and overhead relative to the total project costs.

- *Service fees*
  Service fees for technical assistance extended to ZCWD are recognized over time, using input method, when the related services have been rendered to the ZCWD. Under this method, progress is measured based on actual costs incurred on manpower and overhead relative to the total project costs.

Revenue recognized at a point in time

- *Distributors' fee*
  Distributors' fee is recognized as revenue at a point in time when control of the trade assets has been transferred to the distributor, generally upon delivery of the related assets.

- *Revenue from packaged water*
  Revenue from packaged water and other water related products is recognized at the point in time when control of the goods is transferred to the distributor, generally upon receipt of the related product, to the customer.

- *Other operating income and non-operating income*
  Other customer related fees such as reconnection and disconnection fees, income from customers late payments, income from septic sludge disposal, and income from bacteriological water analysis are recognized at a point in time when the control over these services have been transferred to the customer. Liquidated damages are presented under non-operating income and recognized at a point in time.

<u>Contract Balances</u>
Receivables
A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).

Contract assets
A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the payment is due, a contract asset is recognized for the earned consideration that is conditional.

Contract liabilities
A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to a customer, a contract liability is recognized when the payment is made or the payment is due (whichever is earlier). Contract liabilities are recognized as revenue when the Group performs under the contract.

<u>Interest Income</u>
Interest income is recognized as it accrues, taking into account the effective yield of the assets.

For all financial instruments measured at amortized cost, interest income is recorded using the EIR. EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or liability

<u>Cost of Services and Operating Expenses</u>
Costs and expenses are recognized in profit or loss when a decrease in future economic benefits related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. These are recognized:

- on the basis of a direct association between the costs incurred and the earning of specific items of income;
- on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association can only be broadly or indirectly determined; or,
- immediately when expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify or cease to qualify, for recognition in the consolidated statement of financial position as an asset.

Cost of services and operating expenses are measured at the amount paid or payable.

<u>Foreign Currency-Denominated Transactions</u>
Foreign exchange differentials arising from foreign currency transactions of the Parent Company's loans and concession fees are credited to or charged against operations. For the Parent Company, as approved by the MWSS BOT under Amendment No.1 of the Concession Agreement, the following will be recovered or refunded through billings to customers:

a. restatement of foreign currency-denominated loans;
b. difference of actual and twelve (12)-month projected concession fee payments against the amounts of concession fees translated using the base exchange rate assumed in the business plan approved every rate rebasing exercise. The current base exchange rates are ₱53.16:US$1.00, ₱0.475: Y1.00, ₱62.156: €1.00 based on the latest rate rebasing exercise effective January 1, 2018;

c. difference of actual and twelve (12)-month projected interest payments translated using the exchange spot rate on settlement date and average forex of the month immediately preceding the cut-off information date, respectively, against the amount of interest translated at drawdown rate; and
d. difference of actual and twelve (12)-month projected payments of other financing charges relating to foreign currency-denominated loans translated at exchange spot rate on settlement date and average forex of the month immediately preceding the cut-off information date, against the amount of other financing charges translated at drawdown rate.

Beginning November 18, 2021, the FCDA was no longer applied to water rates of the Parent Company's customers. The RCA stipulates the exclusion of FCDA from charges billed to customers.

However, due to non-effectivity of the RCA on June 30, 2022, the Parent Company has reinstated the original Concession Agreement on July 1, 2022 with the recovery mechanism of the FCDA still in effect.

On May 10, 2023, the 7th Amendment of the RCA includes FCDA that will be based on the following (1) Forex gains or losses arising from the payments to service the debt of MWSS Loans; and (2) forex gains or losses arising from principal payments of loans, limited to the list of loans provided in the RCA. Forex gains or losses on additional/new foreign currency denominated loans secured and drawn after June 29, 2022 onwards shall be recovered through Modified FCDA.

On August 7, 2024, MWSS BOT, upon the recommendation of the MWSS RO, approved the FCDA Guidelines describing the mechanics to determine the FCDA.

For Boracay Water, its concession agreement with TIEZA allows for the recovery of the following from its customers:

a. restatement of foreign currency-denominated loans;
b. excess of actual interest payments translated at exchange spot rates on settlement dates over the amounts of interest translated at agreed base rate; and
c. excess of actual payments of other financing charges relating to foreign currency-denominated loans translated at exchange spot rates on settlement dates over the amount of other financing charges translated at agreed base rate.

The functional and presentation currency of the Parent Company and its Philippine subsidiaries is the Philippine Peso. Each entity in the Group determines its own functional currency and items included in the separate financial statements of each entity are measured using that functional currency. Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date. All differences are taken to profit or loss, with the exception of differences on foreign currency borrowings that provide a hedge against a net investment in a foreign entity. These are recognized in OCI until the disposal of the net investment, at which time they are recognized in profit or loss. Tax charges and credits attributable to exchange differences on those borrowings are also dealt with in equity. Nonmonetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate as at the date of initial transaction. Nonmonetary items measured at fair value in a foreign currency are translated using the exchange rate at the date when the fair value was determined.

In view of the automatic reimbursement mechanism, the Group recognizes deferred FCDA (included as part of "Other noncurrent assets" in the consolidated statement of financial position) for both the realized and unrealized foreign exchange gains and losses. Other water revenue-FCDA is credited (debited) upon recovery (refund) of realized foreign exchange losses (gains). The write-off or reversal of the deferred FCDA pertaining to concession fees will be made upon determination of the rebased foreign exchange rate, which is assumed in the business plan approved by the MWSS RO during the latest Rate Rebasing exercise, unless indication of impairment of the deferred FCDA would be evident at an earlier date.

The functional currency of MWAP, MWSAH, TDWH, KDWH and MSEA is the United States Dollar (US$ or USD), while Thu Duc Water, Kenh Dong Water, Saigon Water and Cu Chi Water's functional currency is the Vietnamese Dong (VND), PTMWI and PTSTU's is the Indonesian Rupiah (IDR), MWTC and East Water's is the Thailand Baht (THB), and IWP and IWP2 is the Saudi Riyal (SAR). As of reporting date, the assets and liabilities of these subsidiaries and associates are translated into the presentation currency of the Group at the rate of exchange at the reporting date and their profit and loss accounts are translated at the weighted average exchange rates for the year. The exchange differences arising on the translation are recognized in OCI and reported as "Cumulative translation adjustment", a separate component of equity.

On disposal of a foreign entity, the "Cumulative translation adjustment" relating to that particular foreign operation shall be recognized in profit or loss.

Borrowing Costs
Borrowing costs that are directly attributable to the acquisition, development, improvement and construction of fixed assets (including costs incurred in connection with rehabilitation works) that necessarily take a substantial period of time to get ready for its intended use are recorded as property, plant and equipment or SCA, as applicable. All other borrowing costs are expensed in the period they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

The interest capitalized is calculated using the Group's weighted average cost of borrowings after adjusting for borrowing associated with specific developments. Where borrowings are associated with specific developments, the amount capitalized is the gross interest incurred on those borrowings less any investment income arising on their temporary investment.

The capitalization of those borrowing costs commences when the activities to prepare the asset are in progress and expenditures and borrowing costs are being incurred. Capitalization of borrowing costs ceases when substantially all activities necessary in preparing the related assets for their intended use are complete. Borrowing costs include interest charges and other related financing charges incurred in connection with the borrowing of funds. Premiums and/or discounts on long-term debt are included in the "Short-term and Long-term debt" account in the consolidated statement of financial position and are amortized using the effective interest rate method.

Provisions
A provision is recognized when the Group has: (a) a present obligation (legal or constructive) as a result of a past event; (b) it is probable (i.e. more likely than not) that an outflow of resources embodying economic benefits will be required to settle the obligation; and (c) a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessment of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is not recognized as a separate asset and only when the reimbursement is virtually certain. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate.

Contingencies
Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but disclosed when an inflow of economic benefits is probable.

Defined Benefit Plan
The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets (if any).

The cost of providing benefits under the defined benefit plans is actuarially determined using the projected unit credit method.

Defined benefit costs comprise the following:

a. service cost,
b. net interest on the net defined benefit liability or asset, and
c. remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs, and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset.

Net interest on the net defined benefit liability or asset is recognized as expense or income in the consolidated profit or loss.

Remeasurements comprising actuarial gains and losses and return on plan assets (excluding net interest on defined benefit liability or asset) are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund or qualifying insurance policies. Plan assets are not available to the creditors of the Group, nor can they be paid directly to the Group. The fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Termination Benefit

Termination benefits are employee benefits provided in exchange for the termination of an employee's employment as a result of either an entity's decision to terminate an employee's employment before the normal retirement date or an employee's decision to accept an offer of benefits in exchange for the termination of employment.

A liability and expense for a termination benefit is recognized at the earlier of when the entity can no longer withdraw the offer of those benefits and when the entity recognizes related restructuring costs. Initial recognition and subsequent changes to termination benefits are measured in accordance with the nature of the employee benefit, as either post-employment benefits, short-term employee benefits, or other long-term employee benefits.

Short-term Employee Benefits

Short-term employee benefits include items such as salaries and wages, social security contributions, and nonmonetary benefits, if expected to be settled wholly within twelve (12) months after the end of the reporting period in which the employees rendered the related services. Short-term employee benefits are recognized as
expense as incurred. When an employee has rendered service to the Group during the reporting period, the Group recognizes the undiscounted amount of short-term employee benefits expected to be paid in exchange for that service as a liability (accrued expense), after deducting any amount already paid.

Employee Leave Entitlement

Employee leave entitlements are recognized as a liability when they are accrued to the employees. The undiscounted liability for employee leaves is recognized for services rendered by employees up to the end of the reporting period.

Share-Based Payment

Employee share purchase plan

The Parent Company has an employee stock ownership plan (ESOWN) which allows the grantees to purchase the Parent Company's shares at a discounted price. The Parent Company recognizes stock compensation expense over the holding period. The Parent Company treats its ESOWN plan as option exercisable within a given period. These are accounted for similar to the PFRS 2, *Share-based Payment*, options. Dividends paid on the awards that have vested are deducted from equity and those paid on awards that are unvested are charged to profit or loss.

Stock incentive plan (SIP)

Certain qualified officers and employees of the Parent Company receive remuneration for their services in the form of equity shares of the Parent Company.

The cost of SIP with officers and employees is measured by reference to the fair value of the stock at the date on which these are granted. The cost of SIP is recognized, together with a corresponding increase in equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (the vesting date). The shares are subject to adjustment based on the results of the dividend reinvestment plan made by the Parent Company.

Equity

Capital stock is measured at par value for all shares subscribed, issued and outstanding. When the Group issues more than one class of stock, a separate account is maintained for each class of stock and the number of shares issued.

When the shares are sold at premium, the difference between the proceeds at the par value is credited to "Additional paid-in capital" account. Direct costs incurred related to equity issuance are chargeable to "Additional paid-in capital" account. If additional paid-in capital is not sufficient, the excess is charged against retained earnings. When the Group issues more than one class of stock, a separate account is maintained for each class of stock and the number of shares issued.

Subscriptions receivable pertains to the uncollected portion of the subscribed shares.

Retained earnings represent accumulated earnings of the Group. Appropriated retained earnings are set aside for future business expansions. The Parent Company's BOD declares dividends from the unappropriated portion of its retained earnings.

Treasury shares are recorded at acquisition cost. The total amount of treasury shares is shown in the consolidated statement of financial position as a deduction from the total equity. Upon re-issuance or resale of the treasury shares, cost of common shares held in treasury account is credited for the cost of the treasury shares.

Other equity reserves pertain to items of equity that were not presented in either retained earnings or other comprehensive income.

Taxes

Value Added Tax (VAT)

Input VAT pertains to the 12% indirect tax paid by the Group in the course of the Group's trade or business on local purchase of goods or services. Deferred input VAT pertains to input VAT on accumulated purchases of property, plant and equipment and service concession assets for each month amounting to ₱1.00 million or more. This is amortized over five (5) years or the life of the property, plant and equipment or service concession assets, whichever is shorter, in accordance with the Bureau of Internal Revenue (BIR) regulation.

Output VAT pertains to the 12% tax due on the local sale of goods and services by the Group.

If at the end of any taxable month, the output VAT exceeds the input VAT, the outstanding balance is included under "Trade payables" in the "Accounts and other payables" account. If the input VAT exceeds the output VAT, the excess shall be carried over to the succeeding months and included under the "Other current assets" account.

Due to the effectivity of the Legislative Water Franchise starting March 21, 2022, the Parent Company has removed the output VAT from the customer bills and charge the customers' bills the related franchise tax of 2% instead. Moreover, any input VAT imposed by the Parent Company's suppliers are treated as part of the cost of purchase starting March 21, 2022.

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that have been enacted or substantively enacted as at the reporting date.

Deferred tax

Deferred tax is provided, using the liability method, for all temporary differences, with certain exceptions, between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination, and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

- In respect of taxable temporary difference associated with investments in subsidiaries and associates, when the timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets are recognized for all deductible temporary differences, the carryforward of unused tax credits and any unused tax losses. Deferred tax assets are recognized to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carryforward of unused tax credits and unused tax losses can be utilized, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

- In respect of deductible temporary differences associated with investments in subsidiaries and associates, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable income will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable income will allow all or part of the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that is expected to apply in the year when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted as of the reporting date.

Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred tax items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity.

The Group offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realize the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

Discontinued Operations

A disposal group qualifies as discontinued operation if it is a component of an entity that either has been disposed of, or is classified as held for sale, and:

- represents a separate major line of business or geographical area of operations
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations or
- is a subsidiary acquired exclusively with a view to resale.

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as "Net loss after tax from discontinued operations" in the consolidated profit or loss. All other notes to the financial statements include amounts for continuing operations, unless indicated otherwise. The related results of operations of the disposal group that qualified as a discontinued operation are separated from continuing operations and prior year's consolidated statements of income have been restated.

Earnings per Share (EPS)

Basic EPS is computed by dividing net income applicable to common stock by the weighted average number of common shares outstanding (excluding treasury shares) during the year and adjusted to give retroactive effect to any stock dividends declared, if any, during the period. The net income attributable to common stock is net of the dividends on preferred shares including the participating preferred shares' participation in earnings. The participating preferred shares participate in the earnings at a rate of 1/10 of the dividends paid to a common share.

Diluted EPS is computed by dividing earnings attributable to common shares (excluding treasury shares) by the weighted average number of common shares outstanding during the period, after giving retroactive effect of any stock dividends, if any, during the period and adjusted for the effect of dilutive options. Outstanding stock options will have a dilutive effect under the treasury stock method only when the average market price of the underlying common share during the period exceeds the exercise price of the option. Where the effects of the assumed exercise of all outstanding options have anti-dilutive effect, basic and diluted EPS are stated at the same amount.

Assets Held in Trust
Assets which are owned by MWSS, CWD, TIEZA, CDC, OWD, BuWD, PGL, CCWD, TnWD, PAGWAD, LWD, and CIWD that are operated by the Group under the Group's concession agreements are not reflected in the consolidated statement of financial position but are considered as "Assets held in trust" (see Note 25).

Segment Reporting
The Group aggregates two or more operating segments into a single operating segment when separately, each operating segment has similar economic characteristics and service area. The Group aggregated its local and foreign subsidiaries into the Domestic Subsidiaries segment and Foreign Subsidiaries segment, even if the subsidiaries cater to different customers, since management has assessed that these entities have similar economic characteristics and service area. The Group considers the Manila Concession and Head Office, Domestic Subsidiaries, and Foreign Subsidiaries as its operating segments that are aggregated based on the geographical location and source of revenues. Financial information on business segments is presented in Note 26 to the consolidated financial statements.

Reclassifications
Certain prior period financial statement amounts have been reclassified by the Group to conform to current period presentation. These reclassifications had no effect on the reported results of operations.

Events after the Reporting Period
Any event after the reporting period up to the date of the auditors' report that provide additional information about the Group's financial position at the reporting date (adjusting events) is reflected in the consolidated financial statements. Any event after the reporting date that is not an adjusting event is disclosed in the consolidated financial statements when material.

3. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements, in conformity with PFRS, requires management to make estimates and assumptions that affect the amounts reported in the consolidated financial statements and the accompanying notes. The estimates and assumptions used in the consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the consolidated financial statements. Actual results could differ from such estimates. Management believes the following represents a summary of these significant estimates and judgments:

Judgments
In the process of applying the Group's accounting policies, management has made the following judgments, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Service concession arrangements
In applying Philippine Interpretation IFRIC 12, the Group has made a judgment that its concession agreements with MWSS, CWD, TIEZA, CDC, OWD, BuWD and PGL; JVAs with CCWD, TnWD, PAGWAD, and LWD; SMA with CIWD; and MOAs with the Municipalities of Sta. Barbara, San Fabian, and Manaoag qualify under the Intangible Asset model as it receives the right (license) to charge users of public service (see Notes 2 and 10).

On August 6, 2019, the Parent Company, together with MWSS signed the Wawa Bulk Water Agreement with WawaJVCo. Inc. The agreement involves the supply of supply of 518 million liters per day of raw water from the Wawa and Tayabasan rivers. The first phase of the agreement will involve supply of 80 million liters per day of raw water in October 2022, while the second phase will supply the additional 438 million liters per day of raw water by December 31, 2025.

On October 25, 2022, the construction of the Tayabasan Multibasin System Project was completed, and the joint venture commenced the provision of initial 80 million liters per day of raw water to the Parent Company.

The Parent Company accounts for the Wawa Bulk Water Agreement under the intangible asset model as it receives the right (license) to charge users of public service (see Notes 2 and 10).

On the other hand, the Group has made a judgment that the bulk water sale and purchase agreements with CIWD, TWD, and MCWD qualify under the Financial Asset model as it has an unconditional contractual right to receive cash or other financial assets for its construction services directly from CIWD, TWD, and MCWD (see Notes 2 and 6).

On December 1, 2023, the bulk water sale and purchase agreement with MCWD was terminated. The termination, however, does not qualify Cebu Water's operation to be discontinued. Accordingly, in 2023, the Group ceased to recognize the agreement under the requirements of Philippine Interpretation IFRIC 12 and applied PAS 16, *Property, Plant and Equipment* as the ownership of the assets was retained by Cebu Water based on its concession agreement (see Notes 6 and 9).

On January 30, 2024, MWPVI (operator) and MCWD (grantor) signed a ten (10)-year Cebu North Bulk Water Supply Project Contract commencing on February 1, 2024, with contractual volume of 30 MLD and a tariff of ₱58.00 per cubic meter for the first five (5) years and ₱64.96 per cubic meter for the next five (5) years. Terms in the contract includes construction period of one (1) year and water delivery in the succeeding ten (10) years. MWPVI will be using the existing water facilities of CMWD to deliver the contractual volume.

The Group has assessed that the contract between MWPVI and MCWD is outside the scope of IFRIC 12 since MCWD does not have control over the significant residual interest in the water facilities at the end of the contract term and the related assets have significant remaining useful life where the Group can obtain significant economic benefit. Accordingly, the revenue from the contract is accounted for under the requirements of PFRS 15, *Revenue from Contracts with Customers.*

Investments in associates
The Group has determined that it has significant influence over East Water despite holding less than 20.00% of East Water's outstanding shares of stock. The Group considers several factors including its representation in East Water's BOD, representation in East Water's Investment Committee, and its voting power through share ownership to determine the Group's power to participate in the financial and operating policy decisions of East Water. As of December 31, 2024 and 2023, the Group owns 18.72% of East Water (see Note 12).

Revenue recognized using the input and output method
The Group recognizes revenue from rehabilitation works, construction revenue, and service fees using the input method while it recognizes supervision fees, and revenue from pipeworks, and revenue from integrated used water services using the output method. The input or output method of recognizing revenue over the period covered by the separate contracts with customers requires the Group to base the level of transfer of control over these services based on the Group's review and concurrence with work accomplishment reports prepared by project managers or submitted by independent project contractors.

Segment reporting
The Group aggregates two or more operating segments into a single operating segment when separately, each operating segment has similar economic characteristics and service area. The Group aggregated its local and foreign subsidiaries into the Domestic Subsidiaries segment and Foreign Subsidiaries segment even if it caters to different customers since management assessed that these entities have similar economic characteristics and service area. As of December 31, 2024 and 2023, the Group considers the Manila Concession and Head Office, Domestic Subsidiaries, and Foreign Subsidiaries as its operating segments that are aggregated based on the geographical location and source of revenues (see Note 26).

Determination of lease term of contracts with renewal and termination options – the Group as a lessee
The Group has several lease contracts that include extension and termination options. The Group applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customization to the leased asset) (see Note 11).

Provisions and contingencies
The Group is currently involved in exposures in the ordinary conduct of business. The estimate of the probable costs for the resolution of these claims has been developed in consultation with internal and external counsels handling the defense in these matters and is based upon an analysis of potential results (see Note 30).

As of December 31, 2024 and 2023, the provision for estimated probable losses amounting to ₱694.29 million and ₱402.66 million, respectively, pertains to various legal proceedings and exposures arising in the ordinary course of business. Management believes that any amount the Group may have to pay in connection with any of these matters will not have a material adverse effect on the Group's financial position or operating results. The information normally required under PAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, is not disclosed as it may prejudice the outcome of the proceedings.

Discontinued operations
As of December 31, 2024 and 2023, the operations of Zamboanga Water qualified as discontinued operations because the termination of the NRWRSA resulted to the cessation of Zamboanga Water's operations. Zamboanga Water's noncurrent assets, such as property and equipment, which it used for its operations were closed or disposed of to third parties rather than being sold or distributed back to its owners. Zamboanga Water is a joint venture company incorporated solely for the execution of the NRWRSA, which represents a separate major line of business or geographical area of operation.

Meanwhile, MWTS' Healthy Family division also qualified as discontinued operations following the segment's permanent closure effective October 31, 2020 due to recurring losses and inability to financially sustain business operations.

Amortization of water and used water assets
Beginning April 1, 2022, MWPVI, Aqua Centro, EcoWater and BMDC shifted from straight-line method of depreciation of water and used water assets (excluding water meters) to UOP method to better reflect the usage of water and used water facilities which is directly related to expected volume and is aligned with industry practice. This change in method resulted in ₱75.01 million reduction in depreciation expense in 2022.

Use of Estimates
Key assumptions concerning the future and other sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities are discussed below. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Revenue and cost recognition – rehabilitation works
The Group measures revenue from rehabilitation works at the fair value of the consideration received or receivable. The Group's revenue from rehabilitation works are recognized over time, using the input method. Under this method, progress is measured by reference to the actual costs incurred to date. Revenue from rehabilitation works recognized by the Group is equivalent to the costs of rehabilitation works incurred as these costs are recovered by the Group through its right to charge the customers. The Group's revenue from and cost of rehabilitation works amounted to ₱25,422.97 million, ₱19,774.86 million, and ₱23,626.42 million in 2024, 2023 and 2022, respectively (see Notes 6 and 10).

Provision for ECLs of receivables from customers
The Group uses a provision matrix to calculate ECLs for receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Group's historical observed default rates. The Group calibrates the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., inflation) are expected to deteriorate over the next year which can lead to an increase in prices of basic goods and services, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The assessment of the correlation between historical observed default rates, forecast economic conditions, and ECLs, which have been adjusted to consider a range of possible outcomes, is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

As of December 31, 2024 and 2023, allowance for expected credit losses of receivables from customers amounted to ₱1,531.02 million and ₱1,521.88 million, respectively (see Note 6).

Estimating the period over which control over services is transferred to the customer
For each group of similar customer contracts that result in revenues recognized over a period of time, the Group makes an estimate of such period over which the Group transfers the control of the services provided to the customer. For revenue from rehabilitation works, construction revenue, service fees, supervision fees, and revenue from pipeworks and integrated used water services, the Group has determined that the period of revenue recognition is the term of the customer contract. For connection fees revenue, the Group has estimated that the customer receives control over the remaining concession period or remaining customer contract term, whichever is shorter.

Estimating net realizable value of inventories
The Group writes down inventories to net realizable value, through the use of an allowance account, whenever the net realizable value of inventories becomes lower than the cost due to damage, physical deterioration, obsolescence, changes in price levels or other causes.

The estimates of net realizable value are based on the most reliable evidence available at the time the estimates are made of the amounts the inventories are expected to be realized. These estimates take into consideration fluctuations of prices or costs directly relating to events occurring after reporting date to the extent that such events confirm conditions existing at reporting date. The allowance account is reviewed on a regular basis to reflect the accurate valuation in the financial records.

As of December 31, 2024 and 2023, the carrying amount of inventories, at NRV, amounted to ₱448.63 million and ₱380.62 million, respectively (see Note 7).

Estimating fair value of net identifiable assets for business combinations
In April 2024, MWPVI made an acquisition which is within the scope of *PFRS 3*, *Business Combinations*.
The acquisition requires extensive use of accounting estimates and judgments to allocate the purchase price to the fair values of the acquiree's identifiable assets and liabilities at acquisition date. It also requires MWPVI to recognize any gain on bargain purchase or goodwill.

The determination of the fair value of assets and liabilities is based on discounted cash flows taking into consideration key assumptions such as prospective financial information and discount rate. MWPVI's acquisition resulted in goodwill (see Note 4).

Estimating useful lives of water rights
MW Consortium and MWPVI estimate that the useful lives of the water rights to be indefinite, considering that the water permits remain valid for as long as water is beneficially used. It is possible that future results of operations could be materially affected by changes in MW Consortium and MWPVI's estimates. The amounts and timing of recording of expenses for any period would be affected by changes in these factors and circumstances (see Note 13).

Estimating useful lives of SCA
Starting January 1, 2022, the Parent Company's water and used water assets are amortized using the UOP until 2047, following the approval of the Parent Company's legislative water franchise and RR23 business development plan. Previously, the Parent Company's water and used water assets are amortized using the UOP over the estimated total billable volume until May 6, 2037, which is the end of the original concession agreement with MWSS. This change in EUL resulted in ₱1,090.74 million reduction in the amortization expense in 2022.

Impairment of nonfinancial assets
The Group assesses the impairment of nonfinancial assets (property, plant and equipment, SCA, contract assets representing SCA under construction, right-of-use assets, investments in associates, water rights, and deposits under other current and noncurrent assets) whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. The factors that the Group considers important which could trigger an impairment review include the following:

- significant underperformance relative to expected historical or projected future operating results;
- significant changes in the manner of usage of the acquired assets or the strategy for the Group's overall business;
- significant negative industry or economic trends;
- significant decline in net worth or market capitalization; and
- significant decline in distributed profits or increase in losses.

As described in the accounting policy, the Group estimates the recoverable amount as the higher of the fair value less cost to sell and value in use.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining the present value of estimated future cash flows expected to be generated from the continued use of the assets, the Group is required to make estimates and assumptions regarding the expected future cash generation of the assets, discount rates to be applied and the expected period of benefits. In determining fair value less costs of disposal, market approach – Guideline Company Method is used. These calculations are corroborated by quoted share prices for publicly traded companies or other available fair value indicators.

Investment in East Water
As of December 31, 2024 and 2023, East Water's market capitalization is significantly lower compared to its net book value. Moreover, following the handover of pipelines in 2023 involving pipelines leased from the Thailand Treasury Department, the Group learned in the first quarter of 2024 that the Cabinet of Thailand issued a resolution repealing the exclusivity granted to East Water over Thailand Eastern Seaboard. These developments affected East Water's position and operations in the region. These events were considered as indicators of impairment.

In determining the fair value less cost to sell using Level 1 and Level 2 inputs, the Group has evaluated the following considerations:

- Level 1 input – the Group did not use East Water's market share price since it is not considered a reliable indicator of the East Water's value given the low volume of shares traded in the market.

- Level 2 input – the Group considered the East Water's EV/EBITDA multiple using comparable companies. However, the calculation resulted to a negative equity value.

In determining the present value of estimated future cash flows expected to be generated from the continued operations of East Water, the Group is required to make professional judgments and estimates that can materially affect the consolidated financial statements. The value-in-use calculation used a revenue growth rate of 1.00% and 1.20% in 2024 and 2023, respectively; pre-tax discount rate of 8.20% and 6.80% in 2024 and 2023, respectively; and forecasted costs and expenses with growth rate based on inflationary increases. In 2024, cash flow projections beyond the forecast period were not considered due to uncertainties in long-term estimates. In 2023, terminal growth rate used was 1.82% (see Note 12).

The recoverable amount determined using the value-in-use calculation also resulted to a negative equity value. Consequently, the Group has assessed that the recoverable amount of the investment in East Water is zero, which was lower than the investment's net book value. Accordingly, in 2024 and 2023, the Group recognized provision for impairment loss on its investment in East Water amounting to ₱3,558.74 million and ₱4,063.26 million, respectively, recorded under "Equity in net earnings (losses) of associates" in the statement of comprehensive income. As of December 31, 2024, the investment in East Water is fully impaired. (see Note 12).

Investment in Saigon Water
In 2022, an interested buyer submitted an offer to acquire MWSAH's 37.99% stake in Saigon Water for a total consideration of VND 672.80 billion, subject to due diligence and finalization of the share purchase agreement terms. However, negotiations were prolonged until October 2024 due to various concerns raised by the parties involved. On the same date, the buyer withdrew from negotiations which raises concerns about the possibility that Saigon Water's economic assets may be weaker than initially anticipated.

Moreover, in November 2024, Saigon Water sold its 43.00% stake in Tan Hiep Investment Joint Stock Company (THW) to Binh Duong Water - Environment Corporation – JSC, resulting in a one-off gain of VND 542.00 billion recorded in 2024. While the sale generated immediate proceeds, THW has historically been a key source of Saigon Water's cash inflows through dividends. As such, the THW divestment could negatively affect Saigon Water's liquidity and financial performance in the coming years.

These significant changes in the operations of Saigon Water were considered as indicators of impairment. Accordingly, the Group has reassessed the investment for impairment.

In determining the fair value less cost to sell using Level 1 and Level 2 inputs, the Group has evaluated the following considerations:

- Level 1 input – the Group did not use Saigon Water's market price since Saigon Water's minuscule public float is insufficient to support fair market dynamics or accurately reflect the Saigon Water's true value. Moreover, Saigon Water's shares are currently traded in the Unlisted Public Company Market in Vietnam, a secondary market where unlisted companies can trade their shares. Accordingly, management believes that UPCOM share prices may not be the best indicator of Saigon Water's value.

- Level 2 input – the Group considered the Saigon Water's EV/EBITDA multiple using comparable companies. However, the calculation resulted to a negative equity value.

Consequently, the Group determined the recoverable amount of the investment in Saigon Water based on its value-in-use.

In determining the present value of estimated future cash flows expected to be generated from the continued operations of the remaining entities under Saigon Water, the Group is required to make professional judgments and estimates that can materially affect the consolidated financial statements. In 2024, the value-in-use calculation used a revenue growth rate of 2.5% to 5.2%; terminal growth rate of 3.40%; pre-tax discount rates of 9.80% to 14.70%; and forecasted costs and expenses with growth rate based on inflationary increases (see Note 12).

The Group has assessed that the recoverable amount of its investment in Saigon Water based on its value-in-use was lower than the investment's net book value. Accordingly, in 2024, the Group recognized provision for impairment loss on its investment in Saigon Water amounting to ₱902.01 million, recorded under "Equity in net earnings (losses) of associates" in the statement of comprehensive income (see Note 12). No provision for impairment loss was recognized in 2023.

As of December 31, 2024, and 2023, the Group has accumulated allowance for impairment on its investments in associates amounting to ₱9,004.71 million and ₱4,543.96 million, respectively. As of December 31, 2024 and 2023, the Group has not recognized any impairment loss on its investments in Thu Duc Water, Kenh Dong Water, PT STU and IWP (see Note 12).

In 2022, the Group recognized provision for impairment loss on advances to suppliers, contractors and deposits amounting to ₱138.07 million, presented under operating expenses in the consolidated profit or loss. Reversal of impairment loss was recognized in 2023 amounting to ₱12.40 million (see Notes 8 and 18).

As of December 31, 2024 and 2023, there were no indicators of impairment on the Group subsidiaries' property plant and equipment and SCA, right-of-use assets, water rights, and deposits under other current assets and other noncurrent assets (see Notes 9, 10, 11 and 13).

Estimating billable water volume
The SCAs related to the concession agreements of the Group are amortized using the UOP method based on actual billed volume and total estimated billable volume for the remaining period of the concession agreements and franchise period. The demand study to arrive at the estimated billable volume is performed by a third-party expert and considers factors such as population growth rate, supply and consumption, and service coverage, including ongoing and future expansions in estimating the total billable water volume over the remaining periods of the concession agreements. For the years ended December 31, 2024, 2023, and 2022, SCA amortization expense based on the UOP method are disclosed in Notes 10 and 18.

Starting January 1, 2024, Laguna Water's water and used water assets are amortized using the UOP over the estimated total billable volume based on projections submitted to regulators which do not consider a concession agreement extension. Previously, the Company's water and used water assets were amortized using the UOP over the estimated total billable volume based on projections which assumed a fifteen (15)-year concession agreement extension. This change in estimated total billable volume resulted in ₱393.83 million additional amortization expense for the year ended December 31, 2024. The impact of the change to future periods cannot be practically determined.

Deferred FCDA
Under the concession agreements entered into by the Parent Company and Boracay Water with MWSS and TIEZA, respectively, the Parent Company and Boracay Water are entitled to recover (refund) foreign exchange losses (gains) arising from concession loans and any concessionaire loans. The Parent Company and Boracay Water recognized deferred FCDA (included as part of "Other noncurrent assets" in the consolidated statement of financial position) for both realized and unrealized foreign exchange gains and losses. Deferred FCDA is set up as an asset for the realized and unrealized exchange losses since this is a resource controlled by the Parent Company and Boracay Water as a result of past events and from which future economic benefits are expected to flow to the Parent Company and Boracay Water. Net realized and unrealized foreign exchange gains, on the other hand, which will be refunded to the customers, are presented as liability.

As of December 31, 2024 and 2023, the Parent Company and Boracay Water's deferred FCDA classified under "Other noncurrent assets" amounted to ₱6,232.60 million and ₱2,631.23 million, respectively (see Note 13).

The Group's deferred FCDA arises from a rate adjustment mechanism for the recovery or compensation on a current basis, subject to quarterly review and adjustment by MWSS or TIEZA, when necessary, of accrued foreign exchange gains and losses, arising from MWSS or TIEZA loans and concession loans used for capital expenditures and concession fee payments.

Beginning November 18, 2021, the Parent Company's RCA has removed FCDA from the water rates of the Parent Company's customers. The Parent Company's profit or loss reflects the unrealized and realized foreign exchange gains and losses from long-term debt and service concession obligations which are no longer expected to be recovered under the FCDA recovery mechanism. However, due to non-effectivity of the RCA on June 30, 2022, the Parent Company has reinstated the original Concession Agreement on July 1, 2022 with the recovery mechanism of the FCDA still in effect.

On May 10, 2023, the seventh amendment of the RCA includes the basis of FCDA and the Parent Company's FCDA recovery mechanism.

On August 7, 2024, MWSS BOT, upon the recommendation of the MWSS RO, approved the FCDA Guidelines describing the mechanics to determine the FCDA. On September 12, 2024, MWSS BOT approved the reimplementation of FCDA at 2.03% of the 2024 average basic charge of ₱42.26 per cubic meter or ₱0.86 per cubic meter pursuant to the provisions of Amended RCA. The tariff shall be adjusted upward by an average of ₱0.88 per cubic meter effective October 1, 2024.

Boracay Water, on the other hand, still maintains this natural hedge and does not expect any movement of the foreign currencies against the Philippine Peso to have a significant effect on the Group's income before income tax.

Deferred tax assets
The Group reviews the carrying amounts of deferred taxes at each reporting date and reduces deferred tax assets to the extent that it is no longer probable that sufficient taxable income will be available to allow all or part of the deferred tax assets to be utilized. Significant management judgement is required to determine the amounts that could be recognized, based upon the likely timing and the level of future taxable profits, together with future tax planning.

Also, the Group does not recognize deferred taxes on certain deductible temporary differences where doubt exists as to the tax benefits they will bring in the future (see Note 20).

Pension liabilities
The cost of defined benefit pension plans is determined using actuarial valuations. The actuarial valuation involves making various assumptions. These include the determination of the discount rates, future salary increases, mortality rates, incapacity rates, retirement rate, and termination rates. The amounts of defined benefit obligations are highly sensitive to changes due to the complexity of the valuation and its long-term nature. Discount rate, salary increase rate, retirement rate, and termination rate assumptions are reviewed at each reporting date. The Group's net pension liability amounted to ₱500.17 million and ₱388.22 million as of December 31, 2024 and 2023, respectively (see Note 16).

In determining the discount rate, management considers the interest rates of government bonds that are denominated in the currency in which the benefits will be paid, with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. Future salary increases are based on expected future inflation rates for the specific country. Retirement and termination rates are based on expected rates at which employees are assumed to retire or leave the employment of the Group.

Further details about the assumptions used are provided in Note 16.

Estimating the incremental borrowing rate for leases
The Group cannot readily determine the interest rate implicit in the lease, therefore, it used its incremental borrowing rate to measure its lease liabilities. The incremental borrowing rate is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The incremental borrowing rate therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for subsidiaries that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease (for example, when leases are not in the subsidiary's functional currency). The Group estimates its incremental borrowing rate using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the subsidiary's stand-alone credit rating).

The Group's lease liabilities amounted to ₱401.61 million and ₱332.38 million as of December 31, 2024 and 2023, respectively (see Note 11).

4. **Business Combination and Goodwill**

As of December 31, 2024 and 2023, the Group's goodwill consists of:

	2024	2023
Cost		
Balance at beginning of year	**₱136,566,475**	₱136,566,475
Additions	**140,130,341**	–
Balance at end of year	**276,696,816**	136,566,475
Accumulated impairment loss	**130,319,465**	130,319,465
	₱146,377,351	₱6,247,010

The ₱130.32 million accumulated impairment loss pertains to the full impairment of goodwill in 2021 from the Clark Water acquisition.

As of December 31, 2024 and 2023, goodwill arose from the Group's acquisitions of the following businesses:

	2024	2023
Aqua Centro:		
Tahanang Yaman Homes Corporation	**₱2,940,210**	₱2,940,210
BMDC:		
San Vicente Homes	**1,229,600**	1,229,600
Las Palmas Subdivisions Phases 1 to 7	**1,206,000**	1,206,000
Prosperity Builders Resources Inc.	**871,200**	871,200
EHI	**140,130,341**	–
	₱146,377,351	₱6,247,010

MWPVI Acquisition of EHI shares
On April 17, 2024, MWPVI entered into a share purchase agreement with Equi-Parco Holdings Corporation, Metropac Water Investments Corporation, and TwinPeak Hydro Resources Corporation for the sale and purchase of their 30%, 30% and 10% interest, respectively, in EHI, equivalent to a total of 315,015,625 shares. The purchase price is ₱3.65 per share resulting in a total purchase price of ₱1,150 million. MWPVI's non-controlling interest in EHI as of the acquisition date is 30%. The acquisition will allow MWPVI to establish a stronger foothold and strategically grow its water and wastewater supply operations in the Province of Laguna.

EHI is an investment company which holds ninety percent (90%) of the outstanding shares of Laguna Water District Aquatech Resources Corporation (LARC), a joint-venture company formed for the rehabilitation, improvement, expansion, operation, and maintenance of the water supply system of the Laguna Water District in the towns of Los Baños, Bay, Calauan, Victoria and Nagcarlan in the Province of Laguna. Accordingly, MWPVI's effective interest in LARC as of the acquisition date is 63%.

With MWPVI acquiring control over EHI, this transaction was accounted for using the acquisition method under PFRS 3. The Group elected to measure the non-controlling interest in the acquiree at the proportionate share of its interest in the acquiree's identifiable net assets. The net assets recognized by the Group were based on the purchase price allocation made on fair value of LARC's net assets on the date of acquisition. The Group has assessed that the fair value of LARC's net identifiable assets is lower than the purchase consideration transferred. Accordingly, the Group recognized goodwill amounting to ₱140.13 million as a result of the transaction.

From the date of acquisition up to December 31, 2024, LARC contributed ₱221.89 million of revenue and ₱8.86 million loss before tax from continuing operations of the Group. Had the business combination took place on January 1, 2024, the Group's gross revenues from operations would have increased by ₱309.98 million and the net income attributable to parent equity holders would have decreased by (₱9.04 million).

The fair value of the identifiable assets and liabilities of LARC and the result of purchase price allocation based on December 31, 2023 balances were presented below. The difference between the December 31, 2023 and April 17, 2024 balances are immaterial.

	Carrying Value	Fair Value Adjustment	Net Asset at Fair Value
Assets			
Cash and cash equivalents	₱106,696,185	₱–	₱106,696,185
Receivables	28,048,428	–	28,048,428
Other current assets	10,626,002	–	10,626,002
Property, plant and equipment	14,908,483	–	14,908,483
Service concession assets	739,808,486	1,025,865,369	1,765,673,855
Other non-current assets	59,501,206	–	59,501,206
Total Assets	**959,588,790**	**1,025,865,369**	**1,985,454,159**
Liabilities			
Accounts and other payables	(119,589,178)	–	(119,589,178)
Pension liability	(6,430,926)	–	(6,430,926)
Deferred tax liability	–	(256,466,342)	(256,466,342)
Total Liabilities	**(126,020,104)**	**(256,466,342)**	**(382,486,446)**
Net identifiable net assets at fair value			**1,602,967,713**
Non-controlling interest (37% of net assets)			(593,098,054)
Purchase consideration transferred			1,150,000,000
Goodwill arising on acquisition			**₱140,130,341**

Below is the cash flow on acquisition:

Net cash acquired with the subsidiary	₱106,696,185
Cash paid	(920,000,000)
Amount still payable	(230,000,000)
Net cash flow on acquisition	**(₱1,043,303,815)**

LARC's service concession assets arising from business combination were adjusted to its corresponding fair value as required by PFRS 3. The fair value was determined using the Multi-Period Excess Earnings Method (MEEM) which is an income approach measured at Level 3 (significant unobservable inputs).

Valuation using MEEM

The MEEM determines the value of an intangible asset by discounting the incremental after-tax cash flows attributable only to the intangible asset. The net cash flows attributable to the intangible asset is based on a forecast of its related cash inflows and outflows, less contributory asset charges (CAC) for economic returns of and returns on all monetary, tangible, and other intangible assets necessary to realizing the cash flows.

The following are the key inputs used for the valuation of the intangible assets using the MEEM:

- Prospective financial information - Management-prepared prospective financial information for the prospective revenues and earnings relating to the intangible assets.
- CAC - Charges based on the normalized fair values of the contributing assets and the amount of return each asset class would require from the viewpoint of a market participant.
- Discount rate - The discount rate used in computing the present value of the incremental after-tax cash flows based on a computed required return of the intangible asset.

Summary of the significant unobservable inputs used in MEEM is shown below.

Contributory asset charges*:	
Net working capital	0.68%
Fixed assets	0.10%
Assembled workforce	0.00%
Discount rate	8.48%

**Percentage of revenues*

5. Cash and Cash Equivalents

This account consists of:

	2024	2023
Cash on hand and in banks (Note 23)	**₱2,041,918,065**	₱1,109,921,916
Cash equivalents (Note 23)	**5,394,819,486**	9,642,812,258
	₱7,436,737,551	₱10,752,734,174

Cash in banks earn interest at the respective bank deposit rates. Cash equivalents are highly liquid investments with varying periods of up to three (3) months and earn interest at the respective short-term rates.

Interest income earned from cash in banks, cash equivalents and short-term investments amounted to ₱373.96 million, ₱300.99 million, and ₱120.98 million in 2024, 2023, and 2022, respectively (see Note 18).

6. Receivables and Contract Assets

a. *Receivables*

This account consists of receivables from:

	2024	2023
Customers of:		
Water and used water services:		
Residential	**₱2,575,017,694**	₱2,321,201,644
Commercial	**643,552,450**	478,464,544
Semi-business	**201,658,978**	193,395,912
Industrial	**57,174,924**	41,862,421
Pipework services	**508,312,852**	520,115,869
Supervision fees	**356,770,885**	291,522,067
Distributor's fees	**117,038,849**	117,107,215
Technical due diligence services	**9,347,356**	3,283,405
ZCWD	**39,509,823**	39,509,823
Employees	**30,131,986**	17,150,278
Interest from banks	**17,720,724**	13,141,587
Others	**463,455,599**	390,044,570
	5,019,692,120	4,426,799,335
Less: Allowance for ECLs	**1,531,015,926**	1,521,879,489
	₱3,488,676,194	₱2,904,919,846

The classes of the Group's receivables arising from water and used water services rendered to customers, collectible within thirty (30) days from billing date, follow:

- Residential - pertains to receivables from residential households.
- Commercial - pertains to receivables from commercial customers.
- Semi-business - pertains to receivables from small businesses.
- Industrial - pertains to receivables from customers for industrial and manufacturing purposes.

Trade receivables from pipework services pertain to pipelaying, pipe replacements, and other services related to water and used water treatment facilities. These receivables are collectible within sixty (60) days.

Trade receivables arising from supervision fees on the development of water and used water facilities are collectible within thirty (30) days from billing date.

Trade receivables from distributors' fees arise from the Exclusive Distributorship Agreement (EDA) entered into by MWTS with distributors of its Healthy Family drinking water and were collectible within the period that is agreed with the distributors. Provision for ECL pertaining to this receivable amounted to ₱117.00 million as at December 31, 2024 and 2023.

Receivable from ZCWD pertains to billed charges for service fees, construction revenue, and performance fees arising from Zamboanga Water's NRWRSA. Provision for ECL pertaining to this receivable amounted to ₱39.51 million as at December 31, 2024 and 2023.

Receivable from employees arise from car, salary, and other loans which are due and demandable based on an agreed payment schedule and are collected through salary deductions.

Interest from banks are accrued interest arising from the Group's cash in banks, cash equivalents, and short-term investments. Other receivables include receivables from associates for advances made by MWAP to IWP1 and IWP2, receivable from Maynilad for cross-border billings and receivable from MWSS for shared facilities.

Movements in the Group's allowance for ECLs follow:

	2024					
	Receivable from Customers				**Other**	
	Residential	**Commercial**	**Semi-business**	**Industrial**	**Receivables**	**Total**
Balance at beginning of year	**₱1,011,159,113**	**₱84,359,396**	**₱74,854,410**	**₱34,493,628**	**₱317,012,942**	**₱1,521,879,489**
Net Provisions (Note 18)	**94,830,194**	**23,727,900**	**13,040,336**	**11,649,413**	**20,086,241**	**163,334,084**
Write-off	**(157,317,492)**	**(16,356,209)**	**(8,245,747)**	**(854,502)**	**–**	**(182,773,950)**
Impact of business combination (Note 4)	**25,050,955**	**8,350,318**	**–**	**–**	**–**	**33,401,273**
Impact of divestment/ deconsolidation (Note 1)	**(4,824,970)**	**–**	**–**	**–**	**–**	**(4,824,970)**
Balance at end of year	**₱968,897,800**	**₱100,081,405**	**₱79,648,999**	**₱45,288,539**	**₱337,099,183**	**₱1,531,015,926**

	2023					
	Receivable from Customers				Other	
	Residential	Commercial	Semi-business	Industrial	Receivables	Total
Balance at beginning of year	₱1,103,241,327	₱124,725,640	₱101,017,709	₱5,844,840	₱296,855,027	₱1,631,684,543
Net Provisions / (Reversals) (Note 18)	188,416,906	(11,202,913)	(11,461,026)	30,172,376	20,157,915	216,083,258
Write-off	(280,499,120)	(29,163,331)	(14,702,273)	(1,523,588)	–	(325,888,312)
Balance at end of year	₱1,011,159,113	₱84,359,396	₱74,854,410	₱34,493,628	₱317,012,942	₱1,521,879,489

b. Contract assets

This account consists of:

	2024	2023
Contract assets from:		
Supervision fees	**₱158,191,713**	₱364,631,855
NRWRSA with ZCWD	**285,928,838**	285,928,838
Pipeworks and integrated used water services	**83,025,628**	72,546,702
Bulk water contracts:		
TWD	**106,855,739**	112,693,897
Current portion	**634,001,918**	835,801,292
Bulk water contracts:		
TWD	**899,109,995**	855,597,215
CIWD	**481,073,594**	340,134,026
Noncurrent portion	**1,380,183,589**	1,195,731,241
	2,014,185,507	2,031,532,533
Less: Allowance for ECLs	**316,374,870**	312,876,006
	₱1,697,810,637	₱1,718,656,527

Contract assets from supervision fees are initially recognized for revenue earned arising from the provision of design and project management services in the development of water and used water facilities. These contract assets are reclassified to "Receivables" upon acceptance and reaching certain construction milestones for the related water and used water facilities.

Contract assets from pipeworks and integrated used water services are initially recognized for revenue earned arising from water and wastewater network related services. These contract assets are reclassified to "Receivables" upon acceptance of and billings to customers of MWTS and MWTV.

Contract assets from the NRWRSA with ZCWD were initially recognized for revenue earned arising from construction revenue and performance fees for NRW reduction services. These contract assets were reclassified to "Receivables" upon acceptance of and billing to the customer.

As of December 31, 2024 and 2023, Zamboanga Water recognized allowance for ECL on its contract assets with ZCWD amounting to ₱285.93 million.

Contract assets arising from the Bulk Water Supply Agreement with MCWD and the BWSPA with TWD and CIWD consist of the cost of rehabilitation works, are reclassified to "Receivables" when Cebu Water, Tagum Water, and Ilagan Water complete all performance obligations under its concession arrangements with MCWD, TWD, and CIWD, respectively.

On December 1, 2023, the Bulk Water Supply Agreement with MCWD was terminated. The termination, however, did not qualify Cebu Water's operation to be discontinued. Accordingly, the Group reclassified the contract assets to property, plant and equipment amounting to ₱961.29 million (Note 9) and written-off contract assets and related allowance for ECL amounting to ₱69.42 million.

In 2024, 2023 and 2022, there are instances where Tagum Water was not able to deliver the required twenty-six (26) million liters of water per day under the BWSPA due to flood and emergency plant works. As a result, Tagum Water recognized impairment loss amounting to ₱3.50 million, ₱1.10 million, and ₱1.25 million in 2024, 2023 and 2022, respectively (see Note 18).

The rollforward of Tagum Water, and Ilagan Water's contract assets follows (Note 27):

	2024	2023
Cost		
Balance at beginning of year	**₱1,308,425,138**	₱2,121,359,957
Rehabilitation works	**83,218,257**	206,302,064
Finance income	**212,025,886**	281,798,935
Service income (Note 18)	**108,191,005**	189,036,744
Collections	**(224,820,958)**	(459,363,998)
Reclassification to PPE	**–**	(961,290,359)
Write-off (Notes 1 and 9)	**–**	(69,418,205)
Balance at end of year	**1,487,039,328**	1,308,425,138
Allowance for ECL		
Balance at beginning of year	**26,947,168**	95,278,891
Provisions (Note 18)	**3,498,863**	1,086,482
Write-off	**–**	(69,418,205)
Balance at end of year	**30,446,031**	26,947,168
Net book value	**₱1,456,593,297**	₱1,281,477,970

7. Inventories

This account consists of:

	2024	2023
Maintenance materials	**₱175,134,006**	₱186,572,384
Water meters and connection supplies	**141,819,270**	91,311,080
Water treatment chemicals	**137,116,809**	117,784,497
Spare parts	**31,204,154**	21,587,594
	485,274,239	417,255,555
Less: Allowance for obsolescence	**36,640,437**	36,640,437
	₱448,633,802	₱380,615,118

The cost of inventories carried at NRV amounted to ₱100.47 million and ₱81.14 million as of December 31, 2024 and 2023, respectively. The Group's inventories are carried at NRV. Loss from inventory obsolescence is presented under "Operating expenses – Other expenses" in the consolidated profit or loss (see Note 18).

In 2024, Tagum Water transferred certain property, plant and equipment classified under construction in progress to inventories amounting to ₱24.77 million (see Note 9).

8. Other Current Assets

This account consists of:

	2024	2023
Prepaid expenses	**₱1,044,652,087**	₱417,376,645
Net input VAT	**790,711,570**	926,699,011
Advances to suppliers, contractors, and deposits	**362,223,121**	316,146,760
	2,197,586,778	1,660,222,416
Less: Provisions	**125,670,251**	125,670,251
	₱2,071,916,527	₱1,534,552,165

Net input VAT pertains to the Group's excess input VAT over output VAT as of the end of the reporting period. Due to the effectivity of the Legislative Water Franchise starting March 21, 2022, the Parent Company has removed the output VAT from the customer bills and charge the customers' bills the related national franchise tax of 2% plus applicable local franchise tax instead. Moreover, any input VAT imposed by the Parent Company's suppliers are treated as part of cost of purchase starting March 21, 2022 (see Note 1).

Prepaid expenses consist of advance payments for business taxes, regulatory costs, insurance, interest, repairs and maintenance, performance bond and employee health care expenses and other employee benefits, among others.

Advances to suppliers, contractors, and deposits pertain to the Group's advance payments for various contractual projects and other advance payments for goods and services that can be recovered within one (1) year.

In 2023 and 2022, the Group recognized provision for (reversal of) impairment loss on advances to suppliers, contractors and deposits amounting to amounting (₱12.40 million) and ₱138.07 million, respectively, presented under operating expenses in the consolidated profit or loss. No impairment loss was recognized in 2024 (see Note 18).

9. Property, Plant and Equipment and Software

The rollforward analysis of this account follows:

2024

	Land	Plant and Technical Equipment	Office Furniture and Equipment	Transportation Equipment	Leasehold Improvements	Construction in Progress	Software	Total
Cost								
Balance at beginning of year	**₱235,704,078**	**₱8,082,459,683**	**₱1,150,997,237**	**₱1,751,140,930**	**₱565,871,637**	**₱2,248,855,942**	**₱1,887,755,359**	**₱15,922,784,866**
Additions	**13,683,683**	**650,238,282**	**54,801,392**	**31,086,164**	**29,763,602**	**100,854,242**	**355,416,185**	**1,235,843,550**
Impact of business combination (Note 4)	**200,000**	**9,772,573**	**19,012,260**	**22,567,605**	**–**	**–**	**13,650,622**	**65,203,060**
Transfers (Notes 7 and 10)	**(20,312,536)**	**(277,695,302)**	**312,963**	**28,838,156**	**240,981,071**	**(29,965,305)**	**84,282**	**(57,756,671)**
Impact of divestment/ deconsolidation (Note 1)	**–**	**(24,782,572)**	**(4,012,710)**	**(5,771,155)**	**(6,544,126)**	**(13,395,491)**	**(8,429,167)**	**(62,935,221)**
Disposals	**–**	**–**	**(782,143)**	**(12,354,673)**	**–**	**–**	**–**	**(13,136,816)**
Balance at end of year	**229,275,225**	**8,439,992,664**	**1,220,328,999**	**1,815,507,027**	**830,072,184**	**2,306,349,388**	**2,248,477,281**	**17,090,002,768**
Accumulated depreciation and amortization								
Balance at beginning of year	**–**	**2,122,740,833**	**1,004,845,933**	**1,435,434,701**	**486,169,592**	**–**	**1,764,838,534**	**6,814,029,593**
Depreciation and amortization (Note 18)	**–**	**313,485,474**	**50,379,239**	**160,165,489**	**89,274,665**	**–**	**148,071,975**	**761,376,842**
Impact of business combination (Note 4)	**–**	**8,496,660**	**10,798,722**	**19,323,817**	**–**	**–**	**11,675,378**	**50,294,577**
Transfers (Notes 7 and 10)	**–**	**(11,893,657)**	**312,963**	**–**	**(322,666)**	**–**	**84,282**	**(11,819,078)**
Impact of divestment/ deconsolidation (Note 1)	**–**	**(6,332,820)**	**(3,224,694)**	**(3,196,510)**	**(6,504,832)**	**–**	**(8,029,931)**	**(27,288,787)**
Disposals	**–**	**–**	**(743,249)**	**(8,044,239)**	**–**	**–**	**–**	**(8,787,488)**
Balance at end of year	**–**	**2,426,496,490**	**1,062,368,914**	**1,603,683,258**	**568,616,759**	**–**	**1,916,640,238**	**7,577,805,659**
Net book value	**₱229,275,225**	**₱6,013,496,174**	**₱157,960,085**	**₱211,823,769**	**₱261,455,425**	**₱2,306,349,388**	**₱331,837,043**	**₱9,512,197,109**

2023

	Land	Plant and Technical Equipment	Office Furniture and Equipment	Transportation Equipment	Leasehold Improvements	Construction in Progress	Software	Total
Cost								
Balance at beginning of year	₱226,391,550	₱6,791,103,102	₱927,100,180	₱1,708,997,896	₱508,062,330	₱1,439,546,122	₱1,630,549,552	₱13,231,750,732
Additions	9,312,528	424,947,336	234,007,282	51,266,605	10,121,849	818,952,640	260,926,925	1,809,535,165
Transfers (Notes 6 and 10)	–	887,717,991	3,576,538	1,241,518	47,687,458	(9,642,820)	(3,580,207)	927,000,478
Disposals	–	(21,308,746)	(13,484,977)	(10,365,089)	–	–	(80,392)	(45,239,204)
Retirement	–	–	(201,786)	–	–	–	(60,519)	(262,305)
Balance at end of year	235,704,078	8,082,459,683	1,150,997,237	1,751,140,930	565,871,637	2,248,855,942	1,887,755,359	15,922,784,866
Accumulated depreciation and amortization								
Balance at beginning of year	–	1,928,960,612	827,617,234	1,264,291,631	443,116,888	–	1,603,843,818	6,067,830,183
Depreciation and amortization (Note 18)	–	205,631,445	187,369,454	175,470,624	43,602,929	–	164,673,601	776,748,053
Transfers	–	(677,485)	3,544,669	–	(550,225)	–	(3,537,974)	(1,221,015)
Disposals	–	(11,173,739)	(13,483,638)	(4,327,554)	–	–	(80,392)	(29,065,323)
Retirement	–	–	(201,786)	–	–	–	(60,519)	(262,305)
Balance at end of year	–	2,122,740,833	1,004,845,933	1,435,434,701	486,169,592	–	1,764,838,534	6,814,029,593
Net book value	₱235,704,078	₱5,959,718,850	₱146,151,304	₱315,706,229	₱79,702,045	₱2,248,855,942	₱122,916,825	₱9,108,755,273

As of December 31, 2024 and 2023, noncash acquisitions of property, plant and equipment, amounted to ₱210.14 million and nil, respectively. In 2023, payments related to the portion of prior payable related to acquisitions of property, plant and equipment amounted to ₱133.64 million.

In 2024, Tagum Water transferred certain property, plant and equipment classified under construction in progress to inventories amounting to ₱24.77 million (see Note 7).

In 2024 and 2023, certain property, plant and equipment was reclassified to SCA with a net book value of ₱21.17 million and ₱35.51 million, respectively (see Note 10).

10. Service Concession Assets and Obligations

a. Service concession assets

The movements in this account follow:

	2024	2023
Cost		
Balance at beginning of year	**₱202,573,920,282**	₱181,997,505,759
Additions:		
Rehabilitation works	**25,339,751,344**	19,568,560,474
Concession fees	**215,532,090**	777,890,509
Local component cost	**116,804,868**	193,231,627
Impact of divestment/ deconsolidation (Note 4)	**(1,192,269,738)**	–
Impact of business combination (Note 1)	**1,990,375,467**	–
Transfers from property, plant and equipment (Note 9)	**21,171,042**	36,731,913
Balance at end of year	**229,065,285,355**	202,573,920,282
Accumulated amortization		
Balance at beginning of year	**40,356,421,331**	36,932,300,208
Amortization	**4,484,908,750**	3,422,900,108
Impact of business combination (Note 4)	**224,701,612**	–
Impact of divestment/ deconsolidation (Note 1)	**(258,210,869)**	–
Transfers from property, plant and equipment (Note 9)	**–**	1,221,015
Balance at end of year	**44,807,820,824**	40,356,421,331
Net book value	**₱184,257,464,531**	₱162,217,498,951

SCA consists of the present value of total estimated concession fee payments, including regulatory costs and local component costs, of the Parent Company, Calasiao Water, Boracay Water, Calbayog Water, Clark Water, Obando Water, Bulakan Water, MWPVI, Ilagan Water (septage management), South Luzon Water, North Luzon Water, Laguna Water, LARC and Aqua Centro (Lambunao Project) pursuant to the Group's concession agreements, JVAs and SMA; and the revenue from rehabilitation works which is equivalent to the related cost for the rehabilitation works covered by the concession arrangements, JVAs and SMA.

In 2024, the Parent Company transferred certain property, plant and equipment to SCA with a net book value of ₱21.17 million. In 2023, Parent Company, Calbayog Water and North Luzon Water transferred certain property, plant and equipment to SCA with a net book value of ₱35.51 million (see Note 9).

In 2019, MWSS along with the Parent Company signed the thirty (30)-year Wawa Bulk Water Agreement with Wawa JVCo, Inc., which involves supply of 518 million liters per day of raw water from the Wawa and Tayabasan Rivers. The first phase of the agreement will involve supply of 80 million liters per day of raw water starting October 2022, while the second phase will supply the additional 438 million liters per day of raw water by December 31, 2025.

On October 25, 2022, the construction of the Upper Wawa Dam was completed, and Wawa JVCo., Inc. commenced the provision of an initial 80 million liters per day of raw water to the Parent Company. The Parent Company accounts for the Wawa Bulk Water Agreement under the intangible asset model initially recognizing SCA and SCO amounting to ₱6,762.50 million.

Contract assets shown as part of SCA arising from concession agreements consist of the cost of rehabilitation works covered by the respective concession agreements, JVAs and SMAs of the Parent Company, Calasiao Water, Boracay Water, Calbayog Water, Clark Water, Obando Water, Bulakan Water, Ilagan Water, South Luzon Water, North Luzon Water, Laguna Water, LARC, Tagum Water, and Aqua Centro (Lambunao Project).

As of December 31, 2024 and 2023, noncash additions to service concession assets amounted to ₱3,311.73 million, and ₱3,770.71 million, respectively.

As of December 31, 2024, 2023 and 2022, total interest and other borrowing costs capitalized as part of the rehabilitation works amounted to ₱4,354.75 million, ₱3,418.21 million and ₱2,066.99 million, respectively. General borrowing costs amounted to ₱349.61 million, ₱319.30 million and ₱1,756.86 million, and specific borrowing cost amounted to ₱4,005.14 million, ₱3,098.91 million 319.30 million and ₱1,881.14 million in 2024, 2023 and 2022, respectively. The capitalization rates used ranged from 3.00% to 6.34%, 2.50% to 5.70% and 0.91% to 3.36% in 2024, 2023 and 2022, respectively.

b. *Service concession obligations*

The breakdown of service concession obligations follows:

	2024	2023
Current	**₱636,644,692**	₱910,632,846
Noncurrent	**14,474,470,843**	15,214,188,022
	₱15,111,115,535	₱16,124,820,868

<u>MWSS Concession Fees</u>
The aggregate concession fees of the Parent Company are equal to the sum of the following:

i. 10.00% of the aggregate Peso equivalent due under any MWSS loan which has been disbursed prior to the Commencement Date, including MWSS loans for existing projects and the Umiray Angat Transbasin Project (UATP), on the prescribed payment date;
ii. 10.00% of the aggregate Peso equivalent due under any MWSS loan designated for the UATP which has not been disbursed prior to the Commencement Date, on the prescribed payment date;
iii. 10.00% of the local component costs and cost overruns related to the UATP;
iv. 100.00% of the aggregate Peso equivalent due under MWSS loans designated for existing projects, which have not been disbursed prior to the Commencement Date and have been either awarded to third party bidders or elected by the Parent Company for continuation;
v. 100.00% of the local component costs and cost overruns related to existing projects;
vi. Parent Company's share in the repayment of MWSS loan for the financing of new projects; and
vii. one-half of MWSS annual corporate operating budget.

In March 2010, MWSS entered into a loan agreement with The Export-Import Bank of China to finance the Angat Water Utilization and Aqueduct Improvement Project Phase II. Total loan facility amounted to $116.60 million with a maturity of twenty (20) years including a five (5)-year grace period. The interest rate is 3.00% per annum. MWSS subsequently entered into a MOA with the Parent Company and Maynilad for the Parent Company and Maynilad to equally shoulder the repayment of the loan with such repayment to form part of the concession fees.

On May 12, 2015, MWSS entered into a MOA with the Parent Company and Maynilad for the Angat Water Transmission Improvement Project (Angat Transmission Project). The Angat Transmission Project aims to improve the reliability and security of the raw water coming from the Angat Dam through the rehabilitation of the transmission system from Ipo to La Mesa and the application of water safety, risk and asset management plans. Subsequently, on May 27, 2016, MWSS entered into a loan agreement with Asian Development Bank to finance the Angat Transmission Project. The loan amounted to US$123.30 million with a maturity of twenty-five (25) years including a six and a half (6.5)-year grace period. On April 27, 2022, the loan had an unutilized and cancelled amount of US$56.73 million. As stipulated in the MOA, the Parent Company and Maynilad shall shoulder equally the repayment of the loan and all reasonable expenditures related to the Project with such payments to form part of the concession fees.

In 2016, the Parent Company paid MWSS ₱500.00 million as compensation for additional water allocation in the Angat reservoir.

In 2016, MWSS entered into a MOA with the Parent Company and Maynilad which was subsequently amended in 2018 for the New Centennial Water Source - Kaliwa Dam Project (NCWS-KDP). The NCWS-KDP aims to develop a new water source in order to meet the increasing water demand by constructing a dam for MWSS service area's domestic water supply.

To partially finance the NCWS-KDP, MWSS entered into a Preferential Buyer's Credit Loan Agreement with The Export-Import Bank of China on November 20, 2018 amounting to US$211.21 million with a maturity of twenty (20) years including a seven (7)-year grace period. As stipulated in the MOA, the Parent Company and Maynilad shall shoulder equally the repayment of the loan and all reasonable expenditures related to the Project with such payments to form part of the concession fees.

On August 27 2020, a supplemental MOA was entered into by MWSS with the Parent Company and Maynilad for the separate loan to be obtained by MWSS to finance the construction of Aqueduct No. 7, which is a new and seventh aqueduct downstream of Ipo Dam from Bigte Basin to Novaliches Portal that will convey the additional output to further strengthen the reliability and adequacy of the water supply system. The loan amounts to US$126.02 million with a maturity of twenty-five (25) years including a six and a half (6.5)-year grace period. As stipulated in the MOA, all expenses to be incurred by the Concessionaires in connection with the Angat Water Transmission Improvement Project and Aqueduct No. 7, including the amortization payment as well as the local counterpart funds, shall be part of the Concessionaire's respective business plans which shall be considered in the next rate rebasing exercise.

The schedule of undiscounted future concession fee payments of the Parent Company follows:

Year	Foreign Currency-Denominated Loans (Translated to US$)	Peso Loans/ Project Local Support	Total Peso Equivalent*
2025	$8,988,193	₱395,714,907	₱915,636,931
2026	8,514,212	395,714,907	888,219,500
2027	11,441,446	395,714,907	1,057,545,351
2028	11,163,542	395,714,907	1,041,469,994
2029	10,921,930	395,714,907	1,027,493,948
2030 onwards	69,060,131	2,967,861,801	6,962,645,079
	$120,089,454	₱4,946,436,336	₱11,893,010,803

**Peso equivalent is translated using the closing rate as of December 31, 2024 amounting to ₱57.8450 to US$1.*

<u>CWD Concession Fees</u>
Under Calasiao Water's concession agreement with CWD, concession fees are based on a fixed schedule of annual payments over the twenty-five (25) year concession period.

<u>TIEZA Concession Fees</u>
The aggregate concession fees pursuant to Boracay Water's concession agreement with TIEZA is equal to the sum of the following:

i. servicing the aggregate Peso equivalent of all liabilities of BWSS as of commencement date;
ii. 5.00% of the monthly gross revenue of Boracay Water, inclusive of all applicable taxes which are for the account of Boracay Water; and
iii. payment of annual operating budget of the TIEZA-RO starting 2010. For 2010 and 2011, the amount shall not exceed ₱15.00 million. For the year 2012 and beyond, Boracay Water shall pay ₱20.00 million, subject to annual CPI adjustments.

<u>CCWD Revenue Share</u>
Under Calbayog Water's JVA with CCWD, Calbayog Water is required to pay, on a monthly basis, an annual revenue share, amounting to ₱18.00 million subject to an increase of ₱1.00 million every five (5) years, conditioned upon the approval by the CCWD BOD and LWUA on the increase in tariff rates for the relevant tariff adjustment year. The revenue share for the duration of the appointment period follows:

Appointment Period	Revenue Share
Years 1 to 5	₱18.00 million
Years 6 to 10	₱19.00 million
Years 11 to 25	₱20.00 million
Years 16 to 20	₱21.00 million
Years 21 to 25	₱22.00 million

Subject to the provision of the JVA on EPA, Calbayog Water shall increase the revenue share due to CCWD in case of a corresponding increase in the government-mandated salary and benefits that may be implemented during the appointment period of the JVA.

CDC Concession Fees
The aggregate concession fees pursuant to Clark Water's concession agreement with CDC is equal to the sum of the following:

i. annual franchise fee of ₱1.50 million; and
ii. semi-annual rental fees of ₱2.77 million for leased facilities from CDC.

As a result of the extension of the concession agreement of Clark Water, payment of rental fees on the CDC existing facilities was extended by an additional fifteen (15) years from October 1, 2025 to October 1, 2040 (see Note 1).

OWD Concession Fees
The aggregate concession fee pursuant to Obando Water's concession agreement with OWD is equal to the sum of the following:

i. base concession fee which shall be used for operations of the OWD; and
ii. additional concession fee composed of amounts representing amortization payments for the outstanding obligations of OWD (which includes OWD's loan with LWUA) and 2.00% of the gross annual receipts of Obando Water, representing franchise tax to be paid by the OWD.

On March 28, 2019, LWUA has approved a new loan repayment scheme of thirteen (13) years with OWD. Upon initial payment, which shall not be later than May 15, 2019, LWUA shall no longer impose penalties from OWD.

BuWD Concession Fees
The aggregate concession fee pursuant to Bulakan Water's concession agreement with BuWD is equal to the sum of the following:

i. base concession fee which shall be used for operations of the BuWD; and
ii. additional concession fees composed of:
    - 2.00% of the gross monthly water sales of Bulakan Water,
    - one-time expenditures and payables applicable only for Year 1 of the concession agreement, and
    - an amount equivalent to the monthly consumption of BuWD under a bulk water supply agreement with Luzon Clean Water Development Corporation, including any minimum guaranteed volume consumption.

Any loss or reduction in profit for any given year as a result of the operation of the facilities in the service area of BuWD shall not in any way affect or reduce the payment of the base concession fee.

TnWD Fees
Under South Luzon Water's JVA with TnWD, South Luzon Water is required to pay, on an annual basis, a revenue share, amounting to ₱17.50 million subject to an increase of ₱1.00 million every five (5) years, conditioned upon the approval by the TnWD BOD and LWUA on the increase in tariff rates for the relevant tariff adjustment year. The revenue share for the duration of the appointment period follows:

Appointment Period	Revenue Share
Years 1 to 5	₱17.50 million
Years 6 to 10	₱18.50 million
Years 11 to 25	₱19.50 million
Years 16 to 20	₱20.50 million
Years 21 to 25	₱21.50 million

PGL Concession Fees
Under Laguna Water's concession agreement with PGL, Laguna Water is required to pay concession fees to PGL computed as a percentage of water sales as follows:

Operational Period	Percentage of Water Sales
Years 1 to 5	4.00%
Years 6 to 25	3.00%

Seventy percent (70.00%) of the concession fees shall be applied against any advances made by Laguna Water to PGL. The remaining thirty percent (30.00%) of the concession fees shall be payable annually thirty (30) days after the submission of the audited financial statements by Laguna Water, starting on the first operational period, which begins upon the expiration of the transition period.

PAGWAD Revenue Share
Under Laguna Water's JVA with PAGWAD, Laguna Water is required to pay, on a calendar year basis, an annual revenue share, amounting to the higher of:

i. ₱10.50 million for a twelve (12)-month period or the proportionate amount for those years with less than twelve (12) months (the "base revenue share"); or
ii. seven percent (7.00%) of the annual gross operating revenues for the immediately preceding year based on the audited financial statements (the "variable revenue share").

The revenue share shall be payable by Laguna Water in advance at the start of the relevant year. The base revenue share shall be payable within fifteen (15) calendar days from the start of the relevant year. In the event the variable revenue share is higher than the base revenue share, the difference between the variable revenue share and the base revenue share shall be payable to PAGWAD within fifteen (15) calendar days after the approval of Laguna Water's audited financial statements.

Subject to the provision of the JVA on EPA, Laguna Water shall increase the revenue share due to PAGWAD in case of a corresponding increase in the government-mandated salary and benefits that may be implemented during the period of the JVA.

On March 15, 2021, the annual revenue share was increased to P11.5 million due to change in the basis of 2% franchise tax from gross receipts to revenue share. In 2024 and 2023, annual revenue share amounted to ₱13.13 million.

Municipalities of Sta. Barbara, San Fabian, and Manaoag Fees
Under North Luzon Water's MOAs with the Municipalities of Sta. Barbara, San Fabian, and Manaoag, North Luzon Water is required to pay a royalty amounting to:

Municipality	Percentage of Gross Sales*
Sta. Barbara	Not exceeding 0.6%
San Fabian	Not exceeding 0.5%
Manaoag	Not exceeding 0.5%

**Gross sales from water supply or distribution less VAT*

LWD Fees
Under Aqua Centro's JVA with LWD, Aqua Centro is required to pay, on a monthly basis, an annual revenue share, amounting to ₱15.75 million, conditioned upon the approval by the LWD BOD and LWUA on the increase in tariff rates for the relevant tariff adjustment year. The revenue share shall no longer be guaranteed and shall be subject to adjustment by mutual agreement and discussion of Aqua Centro and LWD if the tariff adjustment is not secured or obtained from LWUA. The revenue share for the duration of the appointment period follows:

Appointment Period	Revenue Share
Years 1 to 5	₱15.75 million
Years 6 to 10	₱17.50 million
Years 11 to 25	₱17.50 million
Years 16 to 20	₱17.50 million
Years 21 to 25	₱20.65 million
Years 26 to 30	₱25.75 million
Years 31 to 35	₱35.33 million

Subject to the provision of the JVA on EPA, Aqua Centro shall increase the revenue share due to LWD in case of a corresponding increase in the government-mandated salary and benefits that may be implemented during the appointment period of the JVA.

The Group's interest expense on its service concession obligations amounted to ₱1,153.61 million, ₱1,135.45 million, and ₱898.64 million in 2024, 2023, and 2022, respectively (see Note 18).

11. **Leases**

The Group as a Lessee
The Group leases office space, storage and plant facilities, land, and right-of-way wherein it is the lessee. The terms of the leases range from one year or until the end of the concession period.

The rollforward analysis of the Group's right-of-use assets follows:

	2024			
	Office Space and Parking	**Storage and Plant Facilities**	**Land and Right-of-Way**	**Total**
Cost				
Balance at beginning of year	**₱466,407,770**	**₱216,637,566**	**₱102,235,248**	**₱785,280,584**
Additions	**164,017,370**	**111,582,979**	**–**	**275,600,349**
Pre-terminations	**(3,550,427)**	**–**	**–**	**(3,550,427)**
Balance at end of year	**626,874,713**	**328,220,545**	**102,235,248**	**1,057,330,506**
Accumulated amortization				
Balance at beginning of year	**282,418,753**	**145,723,674**	**28,672,291**	**456,814,718**
Amortization	**59,980,713**	**35,229,611**	**5,923,599**	**101,133,923**
Pre-terminations	**(3,978,489)**	**–**	**–**	**(3,978,489)**
Balance at end of year	**338,420,977**	**180,953,285**	**34,595,890**	**553,970,152**
Net book value	**₱288,453,736**	**₱147,267,260**	**₱67,639,358**	**₱503,360,354**

	2023			
	Office Space and Parking	Storage and Plant Facilities	Land and Right-of-Way	Total
Cost				
Balance at beginning of year	₱456,181,916	₱216,637,566	₱102,235,248	₱775,054,730
Additions	10,225,854	–	–	10,225,854
Balance at end of year	466,407,770	216,637,566	102,235,248	785,280,584
Accumulated amortization				
Balance at beginning of year	222,462,322	105,048,598	21,407,615	348,918,535
Amortization	59,956,431	40,675,076	7,264,676	107,896,183
Balance at end of year	282,418,753	145,723,674	28,672,291	456,814,718
Net book value	₱183,989,017	₱70,913,892	₱73,562,957	₱328,465,866

In 2024, the Group pre-terminated certain office space and parking lease agreements which resulted to a loss in pre-termination amounting to ₱0.43 million, presented under other income (losses) in the consolidated profit or loss (see Note 18).

Amortization of plant facilities used for construction amounting to ₱0.37 million and ₱0.14 million were capitalized in 2024 and 2023, respectively.

The rollforward analysis of the Group's lease liabilities follows:

	2024	2023
Balance at beginning of year	**₱332,377,758**	₱436,347,432
Additions	**275,600,349**	10,225,854
Payments	**(227,665,523)**	(133,017,393)
Accretion	**21,293,733**	18,821,865
Balance at end of year	**₱401,606,317**	₱332,377,758
Current portion	**₱96,510,374**	₱117,029,647
Noncurrent portion	**₱305,095,943**	₱215,348,111

The maturity analysis of lease liabilities is disclosed in Note 28.

The following are the amounts recognized in profit or loss:

	2024	2023	2022
Depreciation expense of right-of-use assets (Note 18)	**₱100,759,864**	₱107,761,176	₱73,326,708
Expenses relating to short-term leases and lease of low-value assets (Note 18)	**38,903,993**	24,235,210	26,121,109
Interest expense on lease liabilities (Note 18)	**21,293,733**	18,821,865	14,192,393
Loss (gain) on pre-termination (Note 18)	**(428,062)**	–	2,826,840
	₱160,529,528	₱150,818,251	₱116,467,050

12. **Investments in Associates**

This account consists of the following:

	2024	2023
Acquisition cost, net	**₱13,031,980,437**	₱13,031,980,437
Accumulated equity in net losses	**(5,996,015,031)**	(2,007,769,733)
Cumulative translation adjustments	**143,199,779**	164,623,294
Accumulated equity in other comprehensive gain / (loss)	**7,098,753**	2,734,309
	₱7,186,263,938	₱11,191,568,307

Details of the Group's investments in associates are discussed below.

Thu Duc Water
Thu Duc Water is incorporated in the Socialist Republic of Vietnam with principal place of business in Ho Chi Minh City, Vietnam.

On October 12, 2011, TDWH and Ho Chi Minh City Infrastructure Investment Joint Stock Company (CII) entered into a share sale and purchase agreement whereby CII will sell to TDWH its 49.00% interest (equivalent to 2.45 million common shares) in Thu Duc Water. On December 8, 2011, TDWH completed the acquisition of CII's interest in the common shares of Thu Duc Water after which TDWH obtained significant influence in Thu Duc Water.

The acquisition cost of the investment amounted to ₱1,788.00 million (VND857.50 billion). The investments in associate account includes a notional goodwill amounting to ₱1,455.51 million (VND698.04 billion) arising from the acquisition of shares of stock in Thu Duc Water.

The financial information of Thu Duc Water as of and for the years ended December 31, 2024 and 2023 follows:

	2024	2023
Current assets	**₱181,887,292**	₱254,529,744
Noncurrent assets	**4,321,010,936**	4,168,630,712
Current liabilities	**274,772,005**	263,580,669
Noncurrent liabilities	**148,942,307**	207,556,319
Revenue	**1,000,337,682**	1,016,503,323
Net income	**620,546,336**	663,141,317

The conversion rate used was ₱0.0023 to VND1.00 as of December 31, 2024 and 2023.

The share of the Group in the net income of Thu Duc Water for the years ended December 31, 2024, 2023 and 2022 amounted to ₱304.07 million, ₱327.94 million, and ₱315.27 million, respectively.

Kenh Dong Water
Kenh Dong Water is incorporated in the Socialist Republic of Vietnam with principal place of business in Ho Chi Minh City, Vietnam.

On May 17, 2012, the Parent Company, through KDWH, entered into a sale and purchase agreement with CII for the purchase of 47.35% of CII's interest in Kenh Dong Water. The payment for the shares was done in two tranches, with additional contingent considerations subject to the fulfillment of certain conditions precedent, for a total purchase price of ₱1,659.89 million.

As of December 31, 2012, considerations paid by the Parent Company for its investment in Kenh Dong Water amounted to ₱1,571.92 million (VND785.24 billion). The share purchase transaction was completed on July 20, 2012 and KDWH gained significant influence in Kenh Dong Water.

In 2013, Kenh Dong Water finalized its purchase price allocation which resulted in a final notional goodwill amounting to ₱1,373.57 million (VND650.85) billion.

The financial information of Kenh Dong Water as of and for the years ended December 31, 2024 and 2023 follows:

	2024	2023
Current assets	**₱831,296,434**	₱722,521,066
Noncurrent assets	**2,539,199,211**	2,534,877,131
Current liabilities	**93,363,437**	77,819,240
Noncurrent liabilities	**–**	26,630,312
Revenue	**747,514,122**	761,244,247
Net income	**397,477,313**	458,060,397

The conversion rate used was ₱0.0023 to VND1.00 as of December 31, 2024 and 2023.

The share of the Group in the net income of Kenh Dong Water for the years ended December 31, 2024, 2023, and 2022 amounted to ₱188.21 million, ₱216.89 million, and ₱197.40 million, respectively.

The Group's share in net income from its investments in Thu Duc Water and Kenh Dong Water resulted from concession arrangements with the People's Committee of Ho Chi Minh City (the Grantor). These concession arrangements are accounted for under the Financial Asset model of IFRIC 12 as these associates have an unconditional contractual right to receive fixed and determinable amounts of payment for its construction services at the direction of the Grantor.

Saigon Water Infrastructure Corporation (Saigon Water)
Saigon Water is incorporated in the Socialist Republic of Vietnam with principal place of business in Ho Chi Minh City, Vietnam. Saigon Water is listed in the Ho Chi Minh City Stock Exchange.

On October 8, 2013, the Parent Company, through MWSAH, entered into an Investment Agreement for the acquisition of a 31.47% stake in Saigon Water. The acquisition cost of the investment amounted to ₱642.76 million (VND310.45 billion). The share subscription transaction was completed on October 8, 2013 and MWSAH gained significant influence in Saigon Water.

In 2014, MWSAH finalized the notional goodwill amounting to ₱293.65 million (VND139.51 billion) arising from the acquisition of shares of stock in Saigon Water by the Group as of December 31, 2013. There were no adjustments made to the fair values of the net assets as of acquisition date.

On June 21, 2017, MWSAH subscribed to an additional 6.15 million primary shares of Saigon Water for ₱229.16 million (VND103.87 billion), which increased MWSAH's holding in Saigon Water's outstanding capital stock from 31.47% to 37.99%. The notional goodwill arising from the additional subscription amounted to ₱42.05 million (VND19.06 billion).

The financial information of Saigon Water as of and for the years ended December 31, 2024 and 2023 follows:

	2024	2023
Current assets	**₱2,188,109,069**	₱355,055,339
Noncurrent assets	**3,430,044,974**	4,061,246,077
Current liabilities	**779,622,437**	1,741,912,538
Noncurrent liabilities	**2,032,252,726**	1,071,818,315
Revenue	**840,815,651**	774,627,966
Net income (loss)	**1,220,663,390**	(105,278,100)

The conversion rate used was ₱0.0023 to VND1.00 as of December 31, 2024 and 2023.

In 2024, the management of Saigon Water approved the sale of its 43% stake in Tan Hiep Investment Joint Stock Company to Binh Duong Water - Environment Corporation – JSC, resulting in a one-off gain of VND 542 billion recorded during the year.

The share of the Group in the consolidated net loss of Saigon Water for the years ended December 31, 2024, 2023 and 2022 amounted to ₱438.28 million (inclusive of impairment loss of ₱902.01 million), ₱40.00 million and ₱78.64 million, respectively. The closing share price of Saigon Water as of December 31, 2024 and December 31, 2023 were VND16,700 per share and VND14,700 per share, respectively.

In 2024, the Group recognized impairment on its investment in Saigon Water amounting to ₱902.01million (shown as part of equity in net losses) based on current operating and market conditions and our outlook on this investment. No provision for impairment loss was recognized in 2023 (see Notes 3 and 18).

As of December 31, 2024 and 2023, MWSAH's allowance for impairment on investment in Saigon Water amounted to ₱1,046.04 million and ₱144.03 million, respectively.

Key assumptions used to determine the value in use are discount rates including cost of debt and cost of capital and growth rates.

Discount Rates
The discount rate used reflects current market assessments of the time value of money and the risks specific to the asset. The Group used discount rates based on the industry's weighted average cost of capital (WACC). The rates used to discount the future cash flows are based on risk-free interest rates in the relevant markets taking into consideration the debt premium, market risk premium, liquidity premium, gearing, corporate tax rate and asset betas. Management assumed a pre-tax discount rates of 9.80% to 14.70% in 2024.

Revenues and costs
Average growth rates in revenues are based on Saigon Water's expectation of market developments and the changes in the environment in which it operates. Saigon Water's anticipated revenue growth rate averaging from 2.50% to 5.00% in 2024, within the forecast period, is based on past historical performance as well as expectations on the operating results of the business. On the other hand, the perpetual growth rate used to compute for the terminal value is based on the forecasted long-term growth of the economy in which the business operates.

Costs and expenses assumed to grow based on average inflationary increases throughout the forecast period of 3.50% in 2024.

Cu Chi Water Supply Sewerage Company Ltd. (Cu Chi Water)
Cu Chi Water is incorporated in the Socialist Republic of Vietnam with principal place of business in Ho Chi Minh City, Vietnam. As of December 31, 2024, Cu Chi has no commercial operations.

On October 10, 2015, MWSAH executed a Capital Transfer Agreement with Saigon Water for the acquisition of 24.50% of the charter capital of Cu Chi Water in the total amount of ₱318.16 million (VND154.35 billion). Pursuant to the Capital Transfer Agreement, Saigon Water granted a put option to MWSAH and VIAC (No 1) Limited Partnership, another party to the agreement, which option can be exercised upon the occurrence of certain trigger events. On October 29, 2021, the Capital Transfer Agreement has been extended for one (1) year. As of December 31, 2024 and 2023, no trigger event has occurred and the value of the put option was determined to be nil.

In 2020, MWSAH recognized impairment on its investment in Cu Chi Water amounting to ₱336.67 million due to the current and prospective financial performance and condition of Cu Chi Water.

The financial information of Cu Chi Water as of and for the years ended December 31, 2024 and 2023 follows:

	2024	2023
Current assets	**₱119,067**	₱93,613
Noncurrent assets	**1,430,191,802**	1,437,572,742
Current liabilities	**329,116**	285,189

The conversion rate used was ₱0.0023 to VND1.00 as of December 31, 2024 and 2023.

On January 9, 2024, MWSAH's BOD approved the sale of its investment in Cu Chi to Saigon Water in exchange for shares in Saigon Water amounting to VND 154 billion representing 7,529,268 shares. As of December 31, 2024, the transaction is still ongoing since a certain condition precedent is yet to be complied.

PT. Sarana Tirta Ungaran (PT STU)
PT STU is incorporated in Indonesia with principal place of business in Semarang, Indonesia. PT STU is a bulk water supply company servicing Perusahaan Daerah Air Minum (PDAM) Kabupaten Semarang and industrial customers in Bawen, located in Ungaran area of Semarang Regency, Central Java Province, with a capacity of 21.50 million liters per day.

On March 6, 2018, PTMWI signed a SPA with PT. Triguna Rapindo Mandiri to acquire 4,478 ordinary shares in PT STU to own 20.00% of its outstanding capital stock.

The financial information of PT STU as of and for the years ended December 31, 2024 and 2023 follows:

	2024	2023
Current assets	**₱90,002,562**	₱80,556,230
Noncurrent assets	**137,082,359**	147,088,053
Current liabilities	**2,704,506**	7,194,293
Revenue	**104,758,034**	93,361,081
Net income	**12,416,160**	4,952,927

The conversion rates used were ₱0.0036 to IDR1.00 as of December 31, 2024 and 2023.

The acquisition cost of the investment amounted to ₱37.00 million (IDR10.00 billion). The investment in associate account includes a notional goodwill amounting to ₱1.01 million (IDR295.46 million) arising from the acquisition of shares of stock in PT STU. The share in the net identifiable assets of PT STU on the date of acquisition amounted to ₱35.91 million.

The share of the Group in the net income of STU for the year ended December 31, 2024, 2023 and 2022 amounted to ₱2.48 million, ₱1.00 million and ₱0.14 million, respectively.

Eastern Water Resources Development and Management Public Company Limited (East Water)
East Water is incorporated in Thailand with principal place of business in Bangkok, Thailand. East Water is listed in the Stock Exchange of Thailand.

On February 19, 2018, the Parent Company signed a SPA with Electricity Generating Public Company Limited (EGCO) to acquire EGCO's 18.72% equity in East Water. East Water is engaged in the provision of raw water and tap water since 1992 in the eastern seaboard of Thailand.

On March 14, 2018, MWTC acquired 311.44 million ordinary shares in East Water representing 18.72% equity of East Water.

The financial information of East Water as of and for the years ended December 31, 2024 and 2023 and follows:

	2024	2023
Current assets	**₱2,836,473,597**	₱3,990,200,744
Noncurrent assets	**42,848,864,039**	42,417,023,784
Current liabilities	**8,447,418,777**	5,053,766,660
Noncurrent liabilities	**21,041,112,186**	21,494,193,653
Revenue	**5,256,588,110**	5,153,778,052
Net loss	**(742,845,902)**	(289,792,774)
Other comprehensive income	**4,364,444**	4,641,047

The conversion rates used was ₱1.6166 and ₱1.6102 to THB1.00 as of December 31, 2024 and 2023, respectively.

The acquisition cost of the investment amounted to ₱8,834.04 million (THB5.29 billion). As of December 31, 2024 and 2023, the investment in associate account includes a notional goodwill amounting to nil and ₱153.10 million, respectively.

In 2024 and 2023, MWTC recognized impairment on its investment in East Water amounting to ₱3,558.74 million and ₱4,063.26 million (shown as part of equity in net losses) based on current operating and market conditions and our outlook on this investment. (see Notes 3).

The share of the Group in the net income (loss) of East Water, for the years ended December 31, 2024, 2023 and 2022, amounted to (₱3,697.80 million) (inclusive of impairment loss of ₱3,558.74 million), (₱4,117.51 million) (inclusive of impairment loss of ₱4,063.26 million), and ₱63.22 million, respectively. The closing share price of East Water as of December 28, 2024 and December 28, 2023 were THB2.74 per share and THB4.18 per share, respectively.

Key assumptions used to determine the value in use are discount rates including cost of debt and cost of capital and growth rates.

Discount Rates
The discount rate used reflects current market assessments of the time value of money and the risks specific to the asset. The Group used discount rates based on the industry's weighted average cost of capital (WACC). The rates used to discount the future cash flows are based on risk-free interest rates in the relevant markets taking into consideration the debt premium, market risk premium, liquidity premium, gearing, corporate tax rate and asset betas. Management assumed a pre-tax discount rate of 8.20% and 6.80% in 2024 and 2023, respectively.

Revenues and Costs
Average growth rates in revenues are based on East Water's expectation of market developments and the changes in the environment in which it operates. East Water's anticipated revenue growth rates of 1.00% and 1.20% in 2024 and 2023, respectively, within the forecast period, are based on past historical performance as well as expectations on the operating results of the business.

Costs and expenses are assumed to grow based on average inflationary increases throughout the forecast period of 1.85% and 1.82% in 2024 and 2023, respectively.

Terminal Growth Rates
In 2023, the perpetual growth rate used to compute for the terminal value is based on the forecasted long-term growth of the economy in which the business operates. In 2024, the terminal value was affected by the recent increased competition, instability in leadership and lack of significant business expansion plans and initiatives in the pipeline.

IWP
IWP is incorporated in Saudi Arabia with principal place of business in the city of Madinah, Kingdom of Saudi Arabia. IWP is a mixed capital limited liability company incorporated under the laws of the Kingdom of Saudi Arabia by Saur Saudi Arabia Ltd., Miahona Company, and MWAP with equity shareholdings of 40.00%, 40.00%, and 20.00%, respectively.

The financial information of IWP as of and for the years ended December 31, 2024 and 2023 follows:

	2024	2023
Current assets	**₱644,844,300**	₱500,023,490
Noncurrent assets	**1,451,695**	2,351,043
Current liabilities	**148,478,724**	132,476,678
Noncurrent liabilities	**68,581,977**	67,580,936
Revenue	**643,389,777**	671,123,209
Net income	**112,285,165**	134,963,776

The conversion rate used was ₱15.43 and ₱14.82 to SAR1.00 as of December 31, 2024 and 2023, respectively.

The share of the Group in the net income of IWP for the years ended December 31, 2024, 2023 and 2022, amounted to ₱22.46 million, ₱27.00 million and ₱11.32 million, respectively.

IWP2
On January 27, ,2022, IWP2 was incorporated with MWAP, Saur, and Miahona owning 30.00%, 35.00%, and 35.00%, respectively. On April 1, 2022, IWP2 officially commenced the implementation of the MOMC.

The financial information of IWP as of and for the years ended December 31, 2024 and 2023 follows:

	2024	2023
Current assets	**₱480,978,820**	₱406,812,169
Noncurrent assets	**7,302,091**	4,104,506
Current liabilities	**234,990,561**	249,780,494
Noncurrent liabilities	**47,625,798**	44,649,681
Revenue	**553,274,062**	496,059,812
Net income	**83,141,985**	70,977,703

The conversion rate used was ₱15.43 and ₱14.82 to SAR1.00 as of December 31, 2024 and 2023, respectively.

The share of the Group in the net income of IWP2 for the years ended December 31, 2024, 2023 and 2022, amounted to ₱24.94 million, ₱21.29 million and ₱11.36 million, respectively.

The reconciliation of the net assets of the associates to the carrying amounts of the investments in associates recognized in the consolidated financial statements follows:

		December 31, 2024			
Associate	**Net Assets of Associate***	**Proportionate Ownership Interest**	**Share in Net Identifiable Assets**	**Notional Goodwill (Impairment)**	**Carrying Values**
Thu Duc Water	**₱4,079,183,916**	**49.00%**	**₱1,998,800,119**	**₱1,584,384,621**	**₱3,583,184,740**
Kenh Dong Water	**3,277,132,208**	**47.35%**	**1,551,722,100**	**1,477,274,328**	**3,028,996,428**
Saigon Water	**2,806,278,880**	**37.99%**	**1,066,105,347**	**(685,502,900)**	**380,602,447**
Cu Chi Water	**1,429,981,753**	**24.50%**	**350,345,529**	**(350,345,529)**	**–**
PT STU	**224,380,415**	**20.00%**	**44,876,083**	**1,057,815**	**45,933,898**
East Water	**16,196,806,673**	**18.72%**	**3,032,042,209**	**(3,032,042,209)**	**–**
IWP	**429,235,294**	**20.00%**	**85,847,059**	**–**	**85,847,059**
IWP2	**205,664,552**	**30.00%**	**61,699,366**	**–**	**61,699,366**
Total	**₱28,648,663,691**		**₱8,191,437,812**	**(₱1,005,173,874)**	**₱7,186,263,938**

		December 31, 2023			
Associate	Net Assets of Associate*	Proportionate Ownership Interest	Share in Net Identifiable Assets	Notional Goodwill (Impairment)	Carrying Values
Thu Duc Water	₱3,952,023,468	49.00%	₱1,936,491,500	₱1,592,582,991	₱3,529,074,491
Kenh Dong Water	3,152,948,645	47.35%	1,492,921,183	1,484,918,456	2,977,839,639
Saigon Water	1,602,570,563	37.99%	608,816,557	217,624,383	826,440,940
Cu Chi Water	1,437,381,166	24.50%	352,158,386	(352,158,386)	–
PT STU	220,449,990	20.00%	44,089,998	1,059,644	45,149,642
East Water	23,922,523,333	18.72%	4,478,296,368	(760,642,107)	3,717,654,261
IWP	302,316,919	20.00%	60,463,384	–	60,463,384
IWP2	116,486,500	30.00%	34,945,950	–	34,945,950
Total	₱34,706,700,584		₱9,008,183,326	₱2,183,384,981	₱11,191,568,307

**Attributable to common shareholders.*

The rollforward of accumulated equity in net earnings follows:

	2024	2023
Balance at beginning of year	**(₱2,007,769,733)**	₱1,864,920,588
Equity in net loss	**(3,593,920,432)**	(3,561,491,909)
Dividend income	**(394,324,866)**	(311,198,412)
Balance at end of year	**(₱5,996,015,031)**	(₱2,007,769,733)

13. **Other Noncurrent Assets**

This account consists of:

	2024	2023
Deferred FCDA	**₱6,232,600,618**	₱2,631,234,667
Advances to contractors	**3,563,303,221**	4,762,241,194
Deposits	**547,208,269**	554,506,907
Water rights	**192,802,742**	192,802,742
Net input VAT	**126,923,087**	117,582,941
Receivable from Ayala Multi-Purpose Cooperative (AMPC)	**17,006,258**	41,981,977
Escrow fund	**–**	300,000,000
Derivative assets	**–**	391,839,337
Miscellaneous	**10,970,823**	51,509,563
	₱10,690,815,018	₱9,043,699,328

Deferred FCDA refers to the net unrecovered amounts from (amounts for refund to) customers for realized losses (gains) from payments of foreign loans based on the difference between the drawdown or rebased rate versus the closing rate at payment date. This account also covers the unrealized gains or losses from loan revaluations (see Note 1).

Advances to contractors are advance payments for the construction of the Group's property and equipment and service concession assets. These are being recouped for more than one (1) year against progress billings based on contract provisions.

Deposits pertain to those made for land acquisition, for leased properties, for environmental guaranty funds, and for guaranty deposits with Manila Electric Company for electric connections and its related deferred charges.

Water rights pertains to the rights to draw water from the Luyang River, Pampanga River, Abacan River, Pasig-Potrero River, Agno River, and Cagayan River.

On August 22, 2012, the NWRB approved the assignment of Water Permit No. 16241 from Central Equity Ventures Inc. (now Stateland Inc.) to MW Consortium which MW Consortium allows Cebu Water to use for its project. As of December 31, 2023 and 2022, Cebu Water's water right amounted to ₱45.00 million.

MWPVI incurred costs to acquire conditional water permits from the NWRB amounting to ₱10.56 million in 2022, nil in 2021 and ₱137.25 million in 2020. A conditional water permit is necessary prior to the issuance of the water permit by NWRB subject to submission of certain requirements, including plans and specifications for the diversion works, pump structure, water measuring device and water distribution system, and environmental compliance certification by the DENR, among others. On April 23, 2018, the NWRB granted MWPVI the permit to use the water from the Pampanga River and on September 24, 2018, granted permits to use the water from the Abacan River and Pasig-Potrero River which superseded the conditional water permits granted to MWPVI on April 20 and September 20, 2017, respectively. On August 27, 2019, the NWRB granted MWPVI the permit to use water from the Agno River which superseded the conditional water permit granted on March 21, 2018. On February 11, 2022, NWRB approved and issued the final water permit in Cagayan River.

Escrow fund was established by Laguna Water to facilitate the repurchase of its redeemable preferred shares to comply with the pertinent rules of the Securities and Exchange Commission (SEC). On June 28, 2024, Laguna Water fully utilized the ₱300.00 million escrow fund as part of the payment for its redemption of the ₱570.00 million redeemable preferred shares to MWPV.

Receivable from AMPC pertains to the term loan and credit line facility agreement.

Derivative assets consist of principal only swap and currency option agreements used to hedge the Parent Company's exposure to foreign currency risk on its long-term debt.

On May 24, 2024, the Group unwound the derivative asset designated to its USD100 million USD-denominated bond. The unwinding resulted to derecognition of derivative asset amounting to ₱694.76 million and derecognition of OCI related to cost of hedging and fair value changes amounting to ₱139.66 million. The current year profit and loss impact amounted to ₱460.00 million net loss included under "Foreign exchange gains (losses)".

On August 10, 2023, the Group unwound the derivative asset related to its EUR120 million Euro-loan principal only swap. The unwinding resulted to derecognition of derivative asset amounting to ₱1,263.52 million and derecognition of OCI amounting to ₱1,557.28 million. The 2023 profit or loss impact amounted to ₱38.44 million net loss included under "Foreign exchange gains (losses)".

Miscellaneous noncurrent assets include Cebu Water's advances to the Carmen Development Fund for its permit to extract water at the Carmen property in Cebu, and MWAP's receivable from IWP2 as shareholder loans including interests.

14. **Accounts and Other Payables and Contract Liabilities**

a. *Accounts and other payables*

This account consists of:

	2024	2023
Trade payables	**₱11,302,884,092**	₱10,060,590,505
Accrued expenses:		
Contractual services	**671,322,983**	109,339,568
Salaries, wages, and employee benefits	**628,293,522**	517,739,970
Utilities	**555,739,984**	553,544,001
Management and professional fees (Note 23)	**333,735,492**	333,271,717
Repairs and maintenance	**316,942,790**	416,189,530
Water service connections	**114,363,068**	112,857,935
Wastewater costs	**70,372,352**	48,597,118
Occupancy costs (Note 25)	**60,752,343**	84,945,362
Water tankering and bulk water costs	**41,878,070**	25,270,206
Printing and communication	**18,454,807**	14,137,807
Water treatment chemicals	**16,405,088**	38,576,534
Rental of equipment	**8,822,513**	4,310,713
Collection fees	**5,195,207**	3,631,093
Miscellaneous	**278,428,995**	42,579,633
Contractors' payable	**4,334,122,750**	4,948,731,350
Interest payable (Note 15)	**1,724,168,831**	1,418,719,426
Others	**201,227,314**	28,040,501
	₱20,683,110,201	₱18,761,072,969

Trade payables and accrued expenses are non-interest bearing and are normally settled on fifteen (15) to sixty (60)-day terms.

Miscellaneous accrued expenses include accruals for payment of LARC acquisition amounting to ₱230.00 million (see Note 4), advertising, transportation and travel, and supplies.

Contractors' payable pertains to the accrual of expenses which requires the Group to pay the contractor based on progress billings. Contracts payable are normally settled within one (1) year.

Interest payable pertains to the unpaid portion of interest arising from the long-term debts of the Group.

Other payables are non-interest bearing and are normally settled within one (1) year.

b. *Contract liabilities*

This account consists of:

	2024	2023
Supervision fees	**₱500,934,673**	₱387,658,147
Connection fees - current	**1,742,877**	1,912,823
Current portion	**502,677,550**	389,570,970
Supervision fees	**904,532,196**	674,592,877
Connection fees	**284,481,064**	246,826,685
Noncurrent portion	**1,189,013,260**	921,419,562
	₱1,691,690,810	₱1,310,990,532

Contract liabilities from supervision fees consist of advance customer payments for the provision of design and project management services in the development of water and used water facilities and for future water service. Contract liabilities are reclassified to "Supervision fees" under "Other operating income" upon completion of performance milestones for these services.

Contract liabilities from connection fees pertain to customer payments for the set-up of a connection from the customer's establishment to the Group's water or used water network. These are initially recognized at the time of receipt of customer payments and reclassified to "Connection fees from water and service connections" under "Other operating income" upon provision of the related water and used water services to customers.

15. **Long-term Debt**

a. *Domestic Subsidiaries Short-term debt*

Metro Ilagan's loan agreement with Philippine National Bank (PNB)
On September 22, 2023, Metro Ilagan entered into an Omnibus Line agreement with PNB with gross principal amount of ₱150.00 million. In the last quarter of 2023, Metro Ilagan made short-term loan drawdowns aggregating to gross principal amount of ₱135.00 million with maturities ranging from 58 to 90 days and subject to prevailing market rates. These loans were renewed in the first quarter of 2024 and additional drawdown was made with gross principal amount of ₱15.00 million on February 2, 2024.

In the second quarter of 2024, additional drawdowns were made aggregating to gross principal amount of ₱85.00 million. On September 10, 2024, Metro Ilagan made its last drawdown amounting to ₱15.00 million. The proceeds of the loans was used for Metro Ilagan Water's CAPEX and general funding requirements. As of December 31, 2024 and 2023, the carrying amount of the short-term loans, net of loan payments, amounted to ₱135.00 million and ₱250.00 million and ₱135.00 million, respectively.

b. *Long-term debt*

This account consists of:

	2024	2023
Parent Company loans:		
USD bonds:		
US$500.00 million sustainability bonds	**₱28,501,083,220**	₱27,226,738,326
USD loans:		
US$137.50 million MWMP Loan	**5,548,941,597**	5,734,950,932
European (EUR) loan:		
EUR250.00 million Loan	**–**	3,519,836,009
PHP loans:		
₱15.00 billion Chinabank Loan	**14,918,948,632**	14,903,231,775
₱10.00 billion Metrobank Loan	**9,036,585,430**	8,932,635,710
₱7.00 billion Landbank Loan	**6,952,381,084**	3,473,707,741
₱15.00 billion Metrobank Loan	**6,947,591,990**	–
₱5.00 billion BDO Loan	**3,190,362,738**	4,982,808,371
₱3.00 billion Landbank Loan	**2,981,045,062**	2,977,493,220
₱10.00 billion Chinabank Loan	**2,977,539,051**	–
₱5.00 billion PNB Loan	**1,869,170,399**	2,365,811,796
Subsidiaries' loans:		
USD loan:		
US$110.00 million MWAP Loan	**6,362,950,000**	–
Thailand Baht (THB) loan:		
THB5.30 billion MWTC Loan	**–**	8,488,482,165
Canadian Dollar (CAD) loan:		
CAD0.87 million Laguna Water Loan	**39,005,117**	36,669,405
PHP loans:		
₱2.50 billion Laguna Water SBC Loan	**1,149,840,774**	1,340,819,490
₱2.50 billion Laguna Water BPI Loan	**848,978,171**	1,027,034,305
₱1.60 billion Laguna Water BPI Loan	**894,234,051**	694,905,499
₱0.83 billion Laguna Water DBP Loan	**441,138,953**	491,493,092
₱0.50 billion Laguna Water DBP Loan	**257,005,654**	286,342,198
₱10.00 billion MWPVI Loan	**7,672,343,915**	7,413,755,414

(Forward)

	2024	2023
₱2.40 billion Boracay Water BPI Loan	**₱1,486,021,113**	₱1,499,827,683
₱0.50 billion Boracay Water DBP-SBC Loan	**282,419,895**	292,604,226
₱0.50 billion Boracay Water DBP-SBC Loan	**302,188,451**	313,075,737
₱0.65 billion Boracay Water DBP-SBC Loan	**519,724,589**	538,351,832
₱1.53 billion Clark Water BPI Loan	**789,279,455**	367,152,059
₱1.15 billion Clark Water RCBC Loan	**549,008,813**	644,144,709
₱0.54 billion Clark Water DBP Loan	**410,206,085**	454,353,599
₱0.45 billion Tagum Water PNB Loan	**259,892,874**	293,309,580
₱0.15 billion Tagum Water PNB Loan	**101,300,304**	114,132,723
₱0.23 billion Aqua Centro BPI Loan	**200,944,042**	231,710,323
₱0.47 billion South Luzon Water BPI Loan	**431,522,895**	323,075,648
₱0.39 billion Calbayog Water BPI Loan	**260,321,580**	148,997,580
₱0.20 billion Bulakan Water BPI Loan	**–**	130,000,000
	106,181,975,934	99,247,451,147
Less current portion	**6,969,972,900**	16,971,501,294
	₱99,212,003,034	₱82,275,949,853

Unamortized debt discounts and issuance costs of the Group's long-term debt are as follows:

	2024	2023
USD loans	**₱450,632,350**	₱490,354,488
PHP loans	**379,977,347**	304,215,894
EUR loan	**–**	12,837,491
THB loan	**–**	45,437,038
	₱830,609,697	₱852,844,911

The rollforward analysis of unamortized debt discounts and issuance costs of long-term debt follows:

	2024	2023
Balance at beginning of year	**₱852,844,911**	₱841,679,807
Additions	**139,183,685**	167,091,792
Amortization (Note 18)	**(187,263,244)**	(163,293,338)
Foreign exchange adjustments	**25,844,345**	7,366,650
Balance at end of year	**₱830,609,697**	₱852,844,911

Interest expense on short and long-term debt amounted to ₱2,337.40 million, ₱2,427.79 million, and ₱1,568.88 million in 2024, 2023, and 2022, respectively (see Note 18).

All proceeds from loan drawdowns of the Parent Company were used for the East Zone business to mainly fund the Parent Company capital expenditures.

Parent Company Bonds

US$500.00 million sustainability bonds

On July 22, 2020, the Parent Company announced its plan to issue an offering of USD-denominated senior unsecured notes, which qualified as ASEAN sustainability bonds. Proceeds from the issuance of the bond were intended to refinance debt and finance programmed capital expenditures for 2020 to 2021 of the East Zone, pursuant to the Sustainability Financing Framework (SFF) which the Parent Company established; proceeds are targeted towards financing projects related to (1) Sustainable water and wastewater management, (2) Terrestrial and aquatic biodiversity conservation, and (3) Affordable basic infrastructure categories. The Parent Company's SFF is aligned with the Green Bond Principles 2018 and Social Bond Principles 2018 and likewise complies with the ASEAN Sustainability Bond Standards 2018 and SEC Memorandum Circular No. 8, series of 2019.

On July 23, 2020, the Parent Company successfully issued the US$500.00 million ASEAN sustainability bonds, debuting in the international debt capital markets. The Parent Company is the first Philippine Corporate to issue an ASEAN sustainability bond. Equally important, this issuance is the single largest green, social or sustainability bond issued by a listed private water utility in Asia.

The ten (10)-year bond was priced at 99.002 with a coupon rate of 4.375% p.a. payable in equal installments semi-annually in arrears, on January 30 and July 30 of each year. The bonds will be redeemed at their principal amount on July 30, 2030 unless previously redeemed or repurchased and cancelled as provided in the following conditions:

Gross-up Event
- If a Gross-up Event occurs, the Parent Company may redeem the Notes (in whole but not in part) at 100% of the principal amount of the Notes plus any accrued but unpaid interest, on the giving of not less than 30 and not more than 60 calendar days' irrevocable notice of redemption to the Noteholders.

Change of Control Event
- Following the occurrence of a Change of Control triggering event, each bondholder will have a right at such bondholder's option to require the Parent Company to redeem in whole but not in part such bondholder's notes on the change of control triggering event put date at 101% of the principal amount plus any accrued but unpaid interest.

Regulatory Redemption Event
- Upon a regulatory redemption triggering event, each bondholder will have the right to require the Parent Company to repurchase all or any part of such holder's bonds pursuant to a Special Repurchase Offer. In the Special Repurchase Offer, the Parent Company will offer to purchase the bonds at a purchase price in cash equal to the special redemption price and additional amounts, if any, to but excluding the date of repurchase (subject to the right of bondholders of record on the relevant record date to receive interest due on the relevant interest payment date), except to the extent the Parent Company has previously or concurrently elected to redeem the Notes in full as described under the conditions of an early redemption due to a gross-up event.

Redemption at the Option of the Issuer
- On any payment business day on or after July 30, 2025, and up to but excluding the maturity date, the Parent Company may on one or more occasions redeem all or a part of the bonds, at the redemption prices plus accrued and unpaid interest, if any, to the date of redemption, if redeemed during the twelve (12)-month period commencing on the call dates set forth below:

Call Dates	Prices
July 30, 2025	102.188%
July 30, 2026	101.094%
July 30, 2027	100.547%
July 30, 2028 and thereafter	100.000%

The successful bond issuance enabled the Parent Company to diversify its fund sources, to refinance maturing obligations, as well as fund its committed water and wastewater infrastructure projects in the East Zone concession. The carrying value of the bonds as of December 31, 2024 and 2023 amounted to US$491.72 million.

<u>Parent Company Loans</u>
MWMP Loan
On October 2, 2012, the Parent Company entered into a Subsidiary Loan Agreement with Land Bank of the Philippines under the Metro Manila Wastewater Management Project (MWMP) with the World Bank (MWMP Loan). The MWMP aims to improve wastewater services in Metro Manila through increased wastewater collection and treatment. The loan has a term of twenty-five (25) years and was made available in United States Dollar in the aggregated principal amount of US$137.50 million, payable via semi-annual installments after the seven (7)-year grace period. The Parent Company has made four (4) drawdowns in 2015 with an aggregate amount of US$22.60 million, three (3) drawdowns in 2016 with an aggregate amount of US$17.46 million, three (3) drawdowns in 2017 with a total amount of US$22.40 million, one (1) drawdown in 2018 amounting to US$8.88 million, and four (4) drawdowns in 2019 with an aggregate amount of US$41.68 million. In 2020, the Parent Company made three (3) additional drawdowns with a total amount of US$24.48 million to fully utilize the facility. The carrying value of the MWMP loan as of December 31, 2024 and 2023 amounted to US$95.93 million and US$103.58 million, respectively.

EUR250.00 million Loan
On August 27, 2019, the Parent Company entered into a syndicated loan agreement amounting to €250.00 million to fund the capital investment program of the East Zone starting in 2019. The loan will be prepaid in eight (8) installments starting April 2023 and is financed by a syndicate of two (2) banks namely Bank of China (Hong Kong) Limited and Bank of China Limited, Manila Branch. The Parent Company has made a drawdown amounting to €40.00 million in 2019, and

€90.00 million in 2020. In August 2021, the Parent Company prepaid the outstanding loan amounting to €130.00 million with a prepayment cost of ₱7.74 million (see Note 18). In the same month, the Parent Company drew €120.00 million which it will use to continue funding its capital investment program. The carrying value of the loan as of December 31, 2023 amounted to €57.29 million. The loan was fully paid in 2024.

₱15.00 billion Term-Loan with China Banking Corporation (CBC) Loan
On September 12, 2022, the Parent Company entered into a loan agreement with CBC for a 10-year term loan amounting to ₱15.00 billion to be used to finance various capital expenditures of East Zone projects. The Parent Company has made drawdowns amounting to ₱7.50 billion and ₱4.00 billion in September 13, 2022 and December 15, 2022, respectively. Interest and principal payments are payable semi-annually. Principal payment is due beginning March 13, 2026.

On February 21, 2023 and April 25, 2023, the Parent Company made additional drawdowns from the loan facility amounting to ₱1,500.00 million and ₱2,000.00 million, respectively. Interest and principal payments are payable semi-annually. The proceeds of the loan will be used to finance various capital expenditures of East Zone projects.

The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱14,918.95 million and ₱14,903.23 million, respectively.

₱10.00 Billion Term-Loan with Metropolitan Bank and Trust Company (MBTC)
On December 06, 2023, the Parent Company entered into a loan agreement with MBTC for a 10-year term loan amounting to ₱10,000.00 million to be used to finance East Zone's capital expenditures and/or general corporate requirements. The Parent Company has made a drawdown amounting to ₱9,000.00 million on December 11, 2023. Interest and principal payments are payable semi-annually. Principal payment is due beginning June 11, 2024.

On December 18, 2024, the Parent Company made the final drawdown amounting to ₱1,000.00 million to fully utilize the facility. The carrying value as of December 31, 2024 and 2023 amounted ₱9,036.59 million and ₱8,932.64 million, respectively.

₱7.00 Billion Term-Loan with Land Bank of the Philippines (LBP)
On December 19, 2023, the Parent Company entered into a loan agreement with LBP for a 10-year term loan amounting to ₱7.00 billion to be used to finance East Zone's general corporate requirements including, capital expenditures. The Parent Company has made its initial drawdown amounting to ₱3,500.00 million on December 28, 2023 and made the final drawdown ₱3,500.00 million on October 24, 2024 to fully utilize the facility. Interest and principal payments are payable semi-annually. Principal payment is due beginning June 28, 2025. The carrying value as of December 31, 2024 and 2023 amounted to ₱6,952.38 million and ₱3,473.71 million, respectively.

₱15.00 Billion Term-Loan with MBTC
On December 19, 2024, the Parent Company entered into a loan agreement with MBTC for a 10-year term loan amounting to ₱15,000.00 million to finance East Zone's capital expenditures and general corporate requirements. The Parent Company has made a drawdown amounting to ₱7,000.00 million on December 27, 2024. Interest and principal are payable semi-annually. Principal payment will begin on June 27, 2025. The carrying value as of December 31, 2024 amounted to ₱6,947.59 million.

₱5.00 billion Term-Loan with BDO Unibank, Inc. (BDO)
On November 13, 2019, the Parent Company signed a ₱5.00 billion, five (5)-year term, revolver loan facility with BDO with principal payable at bullet after sixty (60) months. The loan proceeds were used for the expansion and improvement of the water source, distribution and sewerage systems, and other general corporate requirements as well as to refinance existing concessionaire loans. The Parent Company made two (2) drawdowns in 2019 with an aggregate amount of ₱3,800.00 million, and an additional drawdown in 2020 amounting to ₱1,200.00 million. On December 19, 2022, the Parent Company re-availed ₱2,000.00 million portion of the loan facility, payable at bullet after sixty (60) months. The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱3,190.36 million and ₱4,982.81 million, respectively.

₱3.00 Billion Term-Loan with LBP
On February 20, 2023, the Parent Company entered into a loan agreement with LBP for a ₱3.00 billion 10-year term loan to be to used to partially finance the Parent Company's general corporate requirements, including capital expenditures. The Parent Company made its first and only drawdown amounting to ₱3.00 billion on November 29, 2023. Interest and principal payments are payable semi-annually. Principal payment is due beginning on May 29, 2025. The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱2,981.05 million and ₱2,977.50 million, respectively.

₱10.00 Billion Term-Loan with CBC
On November 28, 2024, the Parent Company entered into a loan agreement with CBC for a 10-year term loan amounting to ₱10,000.00 million to finance East Zone's capital expenditures. The Parent Company has made a drawdown amounting to ₱3,000.00 million on December 12, 2024 from the facility. Interest and principal are payable semi-annually. Principal payment is due beginning June 12, 2025. The carrying value as of December 31, 2024 amounted to ₱2,977.54 million.

₱5.00 billion Term-Loan with Philippine National Bank (PNB)
On May 11, 2018, the Parent Company signed a ₱5.00 billion, ten (10)-year term loan facility with the PNB. The loan will be used to finance general corporate requirements and capital investment programs in the East Zone as well as to refinance existing concessionaire loans. On July 31, 2018, the Parent Company made its first and only drawdown amounting to ₱5.00 billion. The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱1,869.17 million and ₱2,365.81 million, respectively.

Amendments to Omnibus Agreements, Intercreditor Agreement and Loan Agreements
On July 17, 2008, the Parent Company, together with all of its lenders, signed an Omnibus Amendment Agreement and Intercreditor Agreement and these agreements became effective on September 30, 2008.

Prior to the execution of the Omnibus Amendment Agreement, the obligations of the Parent Company to pay amounts due and owing or committed to be repaid to the lenders under the existing facility agreements were secured by Assignments of Interests by Way of Security executed by the Parent Company in favor of a trustee acting on behalf of the lenders. The Assignments were also subject to the provisions of the Amended and Restated Intercreditor Agreement dated March 1, 2004 and its Amendatory Agreement dated December 15, 2005 executed by the Parent Company, the lenders and their appointed trustee.

Under the Omnibus Amendment Agreement, the lenders effectively released the Parent Company from the assignment of its present and future fixed assets, receivables, and present and future bank accounts, all the Project Documents (except for the Agreement, Technical Corrections Agreement and the DOF Undertaking Letter), all insurance policies where the Parent Company is the beneficiary and performance bonds posted in its favor by contractors or suppliers.

In consideration for the release of the assignment of the above-mentioned assets, the Parent Company agreed not to create, assume, incur, permit or suffer to exist, any mortgage, lien, pledge, security interest, charge, encumbrance or other preferential arrangement of any kind, upon or with respect to any of its properties or assets, whether now owned or hereafter acquired, or upon or with respect to any right to receive income, subject only to some legal exceptions.

The lenders shall continue to enjoy their rights and privileges as Concessionaire Lenders (as defined under the Agreement), which include the right to appoint a qualified replacement operator and the right to receive payments and/or other consideration pursuant to the Agreement in case of a default of either the Parent Company or MWSS. Currently, all lenders of the Parent Company are considered Concessionaire Lenders and are on *pari passu* status with one another.

In November and December 2014, the Parent Company signed Amendment Agreements to its loan agreements with its existing lenders. This effectively relaxed certain provisions in the loan agreements providing the Parent Company more operational and financial flexibility. The loan amendments include the shift to the use of the Parent Company from consolidated financial statements to stand-alone financial statements for the purposes of calculating the financial covenant ratios, the increase in maximum debt to equity ratio to 3:1 from 2:1 and the standardization of the definition of debt service coverage ratio at a minimum of 1.2:1 across all loan agreements.

In November 2023, the Second Amendment to the Intercreditor Agreement was signed by MWCI and the Lenders to update certain defined terms and provisions of the Intercreditor Agreement and align them with provisions of the Amended Revised Concession Agreement.

Effective October 31, 2024, all existing lenders of the Parent Company formally consented to the removal of the debt service coverage ratio among the Parent Company's loan covenants.

MWAP Loan
On March 1, 2024, MWAP signed a USD110 million, three (3)-year term loan facility with Mizuho Bank-Singapore Branch and ING N.V. Singapore. The loan was fully drawn on March 7, 2024 and was used to partly refinance gross principal amount of THB5.30 billion loan of MWTC with Mizuho Bank-Bangkok Branch and Bank of Ayudhya. The loan bears interest at the Secured Overnight Financing Rate plus margin and is guaranteed by the Parent Company. The carrying value of the loan amounted to ₱6.36 billion as of December 31, 2024.

MWTC Loan
On February 27, 2019, MWTC signed a THB5.30 billion, five (5)-year term loan facility with Mizuho Bank Ltd. – Bangkok Branch and Bank of Ayudhya Public Company Limited to refinance the previous bridge loan used for the acquisition of an 18.72% equity stake in East Water. This loan bears interest of BIBOR plus margin and is guaranteed by the Parent Company. The carrying value of the loan as of December 31, 2023 amounted to THB5,271.78 million. The loan was fully paid in 2024.

Laguna Water Loans
On April 29, 2013, Laguna Water entered into a loan agreement with Development Bank of the Philippines (DBP) to partially finance the modernization and expansion of the water network system and water supply facilities in Biñan, Sta. Rosa and Cabuyao, Laguna. Under the agreement, the lender has agreed to provide a loan to the borrower through the Philippine Water Revolving Fund (PWRF) in the aggregate principal amount of up to ₱500.00 million. The first and second drawdowns were made in July and November 2013 which amounted to ₱250.00 million each. The carrying value of this loan as of December 31, 2024 and 2023 amounted to ₱257.01 million and ₱286.34 million, respectively.

On January 9, 2014, Laguna Water exercised its option to avail of the second tranche of its loan agreement with DBP, to finance its water network and supply projects, including the development of a well-field network in the Biñan, Sta. Rosa area of Laguna. Under the expanded facility agreement, the lender provided additional loans to Laguna Water in the aggregate principal amount of ₱833.00 million. The first and second drawdowns were made in January and May 2014, respectively, amounting to ₱416.50 million each. The carrying value of the loan amounted to ₱441.14 million and ₱491.49 million as of December 31, 2024 and 2023, respectively.

On October 23, 2015, Laguna Water entered into a loan agreement with Security Bank Corp. (SBC) to finance the modernization and expansion of its water network system and water supply facilities throughout the province of Laguna. Under the loan agreement, the lender agreed to provide a loan to the borrower in the aggregate principal amount of up to ₱2.50 billion for an applicable fixed interest rate, as determined in respect of each drawdown. The first drawdown was made in December 2015 amounting to ₱600.00 million. The second drawdown was made in two tranches in April 2016 amounting to ₱150.00 million and ₱300.00 million. The third drawdown was made in September 2016 amounting to ₱400.00 million. The fourth drawdown was made in three (3) tranches, the first tranche in March amounting to ₱100.00 million and the second and third tranches in April 2017 amounting to ₱50.00 million and ₱350.00 million. The fifth drawdown was made in two (2) tranches in September 2017 amounting to ₱150.00 million and ₱400.00 million. The carrying value of the loan amounted to ₱1,149.84 million and ₱1,340.82 million as of December 31, 2024 and 2023, respectively.

On March 29, 2017, Laguna Water entered into a loan agreement with Grand Challenges Canada to fund a project during the period beginning on the effective date of the loan agreement and ending on the project end date of March 31, 2018 for up to an aggregate principal amount of CAD873,000. The project supported by the loan is the "Bundling water and sanitation services for the poor in informal urban communities." As of December 31, 2024 and 2023, the carrying value of the loan amounted to CAD873,000.

On June 28, 2019, Laguna Water signed a ten (10)-year term loan facility amounting to ₱2.50 billion with BPI. The loan will be used to partially finance Laguna Water's capital expenditure program. The first drawdown was made in July 2019 amounting to ₱200.00 million. The second drawdown was made in December 2019 amounting to ₱500.00 million. The third drawdown was made in March 2020 amounting to ₱400.00 million. The fourth drawdown was made in December 2021 amounting to ₱200.00 million. The carrying value of the loan amounted to ₱848.98 million and ₱1,027.03 million as of December 31, 2024 and 2023, respectively.

Omnibus Loan and Security Agreement – BPI
On August 17, 2023, Laguna Water and BPI finalized the Omnibus Loan and Security Agreement (Sixth OLSA) loan facility amounting to ₱1.60 billion. The loan will be used to finance capital expenditure projects for 2023 to 2025. The first drawdown was made on October 23, 2023 amounting to ₱700.00 million. Interest and principal payments are payable quarterly, with interest payment starting in January 2024 and principal payment beginning October 2026.

On November 25, 2024, Laguna Water made additional loan drawdown amounting to ₱200.00 million to finance Laguna Water's capital expenditure projects. Interest and principal payments are payable quarterly, with interest payment starting in January 2025 and principal payment beginning October 2026.

The carrying value of the loan amounted to ₱894.23 million and ₱694.91 million as of December 31, 2024 and 2023.

MWPVI Loan
On October 5, 2016, MWPVI signed a fifteen (15)-year fixed rate term loan facility amounting to ₱4.00 billion with SBC and Metrobank. The terms of the loan include an option to increase the size of the facility to a maximum of ₱7.00 billion. The proceeds of the loan will be used to finance MWPVI's capital expenditures, future acquisitions and other general corporate requirements.

On February 24, 2017, MWPVI made a bridge loan drawdown amounting to ₱150.00 million each from SBC and Metrobank. These bridge loans had a 119-day term. On June 23, 2017, these bridge loans were rolled-over for additional 180 days, repriced monthly. On November 9, 2017, MWPVI repaid its ₱300.00 million bridge loan and made the first drawdown on its loan facility amounting to ₱450.00 million from each bank.

On October 5 and December 19, 2018, MWPVI made its subsequent drawdowns amounting to ₱50.00 million and ₱175.00 million from each bank, respectively. In 2019, MWPVI made additional drawdowns totaling to ₱800.00 million from each bank. These loan drawdowns have a term of thirteen (13) to fifteen (15) years, with interest payable semi-annually and principal repayments starting on November 9, 2022.

On January 15, February 19, and April 7, 2020, MWPVI made additional drawdowns amounting to ₱150.00 million, ₱200.00 million and ₱175.00 million from each bank, respectively.

MWPVI has exercised its option to borrow an additional ₱3.00 billion under the Greenshoe Option of the Omnibus Loan and Security Agreement (OLSA) with SCB and Metrobank. MWPVI signed the Second OLSA on May 22, 2020 and made the first drawdown of ₱750.00 million from each lender. The proceeds of the loan will be used to finance MWPVI's capital expenditures, existing projects of subsidiaries or equity investments, and other general corporate requirements. On March 12, August 10 and October 5, 2021, MWPVI made additional drawdowns in equal tranches of ₱150.00 million from each bank.

On December 21, 2022, MWPVI signed a bilateral ten (10)-year fixed rate term loan facility for the Third OLSA amounting to ₱3.00 billion with SBC. The proceeds of the loan will be used to finance the Company's capital expenditures, fund existing projects of subsidiaries or Equity Investments, and other general corporate requirements. On December 23, 2022, the MWPVI made its first drawdown on its loan facility amounting to ₱700.00 million.

On March 29 and June 29, 2023, MWPVI made additional loan drawdowns from its Third OLSA amounting to ₱150.00 million and ₱600.00 million, respectively. The proceeds of the loan will be used to finance the MWPVI's capital expenditures, fund existing projects of subsidiaries and other general corporate requirements. These loan drawdowns have a term of ten (10) years and will mature on December 23, 2032.

On April 15, 2024, MWPVI made additional drawdown with its existing loan facility from Security Bank with gross principal amount of ₱920.00 million, subject to an interest rate based on 3Y BVAL rate plus credit spread. The proceeds of the loan will be used to finance the MWPVI's capital expenditures, future acquisitions, working capital and other general corporate requirements. The loan drawdown has a term of ten (10) years, with interest payable semi-annually starting on June 23, 2024, and principal repayments starting on June 23, 2025. The loan will mature on December 23, 2032.

The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱7,672.34 million and ₱7,413.76 million, respectively.

Boracay Water Loans
Boracay Water entered into various Omnibus Loan and Security Agreements with DBP, SBC, and BPI to finance the construction, operation, maintenance and expansion of facilities for the fulfillment of certain service targets for water supply and wastewater services for its service area under its concession agreement with TIEZA, as well as the operation and maintenance of the completed drainage system.

Omnibus loan and security agreement - Sub-tranche 1
On July 29, 2011, Boracay Water entered into an Omnibus Loan and Security Agreement with DBP and SBC. The loan shall not exceed the principal amount of ₱500.00 million and is payable in twenty (20) years inclusive of a three (3)-year grace period. The loan shall be available in three sub-tranches, as follows:

- Sub-tranche 1A, the loan in the amount of ₱250.00 million to be provided by DBP and funded through Philippine Water Revolving Fund (PWRF);
- Sub-tranche 1B, the loan in the amount of ₱125.00 million to be provided by SBC and funded through PWRF; and

- Sub-tranche 1C, the loan in the amount of ₱125.00 million to be provided by SBC and funded through its internally-generated funds.

The first, second, and final loan drawdowns amounted to ₱150.00 million on August 25, 2011, ₱155.00 million on August 25, 2012, and ₱195.00 million on August 23, 2013, respectively. The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱282.42 million and ₱292.60 million, respectively.

Omnibus loan and security agreement - Sub-tranche 2
The Agreement provided Boracay Water the option to borrow additional loans from the lenders. On November 14, 2012, Boracay Water entered into the second omnibus loan and security agreement with DBP and SBC. The agreed aggregate principal of the loan amounted to ₱500.00 million which is available in three sub-tranches:

- Sub-tranche 2A, the loan in the amount of ₱250.00 million to be provided by DBP and funded through Philippine Water Revolving Fund (PWRF);
- Sub-tranche 2B, the loan in the amount of ₱125.00 million to be provided by SBC and funded through PWRF; and
- Sub-tranche 2C, the loan in the amount of ₱125.00 million to be provided by SBC and funded through its internally-generated funds.

In consideration of DBP undertaking to purchase sub-tranches 1C and 2C, Boracay Water will pay DBP purchase commitment fee which is equivalent to 0.25% per annum of the purchase price on a quarterly basis. Purchase commitment fee payable amounted to nil as of December 31, 2024 and 2023, respectively.

The first, second, and final loan drawdowns amounted to ₱75.00 million on November 23, 2012, ₱200.00 million on August 26, 2014, and ₱225.00 million on November 25, 2015, respectively. The carrying value of the loan amounted to ₱302.19 million and ₱313.08 million as of December 31, 2024 and 2023, respectively.

Omnibus Loan and Security Agreement – Sub-tranche 3
On October 9, 2014, Boracay Water signed a Third Omnibus Loan and Security Agreement amounting to ₱650.00 million with SBC. The first, second, and third drawdowns on this loan were made on November 25, 2016, May 25, 2017, and September 25, 2017, amounting to ₱200.00 million, ₱250.00 million, ₱200.00 million, respectively. The carrying value of the loan amounted to ₱519.72 million and ₱538.35 million as of December 31, 2024 and 2023, respectively.

Omnibus Loan and Security Agreement – BPI
On December 20, 2017, Boracay Water signed a Fourth Omnibus Loan and Security Agreement in the amount of ₱2.40 billion with the BPI. The drawdowns on this loan made on April 30, 2018, September 25, 2018, and December 20, 2018 amounted to ₱250.00 million, ₱250.00 million and ₱100.00 million respectively. On February 13, 2020, March 31, 2020, April 7, 2020, and December 22, 2020, additional drawdowns were made amounting to ₱50.00 million, ₱30.00 million, ₱520.00 million, and ₱50.00 million respectively. On January 28, 2021 and May 26, 2021, drawdowns were made amounting to ₱100.00 million and 70.00 million, respectively. On January 21, 2022, another drawdown was made amounting to ₱100.00 million.

On October 7, 2021, BPI approved the amendment of the repayment structure from 40 equal quarterly installments to sculpted quarterly installments payable in 41 quarters to commence on the 5th anniversary from initial drawdown date. The change in payment terms did not result to debt modification.

The carrying value of loan amounted to ₱1,486.02 million and ₱1,499.83 million as of December 31, 2024 and 2023, respectively.

Clark Water Loans
On April 10, 2015, Clark Water entered into a loan agreement with Rizal Commercial Banking Corporation (RCBC), whereby RCBC extended credit to Clark Water for up to ₱1.15 billion to partially finance its capital expenditures program. Under the agreement, principal payments will be made in forty-eight (48) consecutive equal quarterly installments starting December 2018. The first and second drawdowns on the loan were made on September 29, 2015 and December 29, 2015, amounting to ₱800.00 million and ₱200.00 million, respectively. The last drawdown was made on August 29, 2016 amounting to ₱150.00 million. The carrying value of the loan amounted to ₱549.01 million and ₱644.14 million as of December 31, 2024 and 2023, respectively.

On March 11, 2019, Clark Water signed a term loan agreement amounting to ₱535.00 million with the DBP. The proceeds of the loan will be used to partially finance Clark Water's capital expenditure programs. Under the agreement, principal payments will be made in forty-eight (48) consecutive equal quarterly installments starting March 2022. The first, second, third, and fourth drawdowns on this loan were made on March 22, 2019, December 20, 2019, April 24, 2020, and December 23, 2020 amounting to ₱100.00 million, ₱80.00 million, ₱80.00 million, and ₱60.00 million, respectively. The last drawdown was made on May 7, 2021 amounting to ₱215.00 million. The carrying value of the loan amounted to ₱410.21 million and ₱454.35 million as of December 31, 2023 and 2022, respectively.

Omnibus Loan and Security Agreement – BPI
On June 15, 2023, Clark Water and BPI finalized the Omnibus Loan and Security Agreement (Third OLSA) loan facility amounting to ₱1.53 billion. The loan will be used to finance capital expenditure projects for 2023 to 2025. In November and December of 2023, first and second loan drawdown took place amounting to ₱200.00 million and ₱170.00 million, respectively.

On September 24, October 22, and November 25, 2024, Clark Water made additional drawdowns with gross principal amount of P50.00 million, P75.00 million and P300.00M, respectively, subject to an interest rate based on 2Y BVAL rate plus credit spread. The proceeds of the loan will be used to partially finance its capital expenditure projects. Principal payments will be made in twenty-eight (28) consecutive equal quarterly installments starting February 2027. The loan will mature on November 17, 2033.

As of December 31, 2024 and 2023, the carrying value of the loan amounted to ₱789.28 million and ₱367.15 million, respectively.

Tagum Water Loan
On October 6, 2016, Tagum Water signed an OLSA in the amount of ₱450.00 million with PNB. The loan will be used to partially finance the construction works in relation to the Tagum Bulk Water Supply Project. Principal payments will be made in forty-eight (48) equal quarterly installments starting December 2020. The first, second, and third drawdowns on this loan were made on September 25, 2017, April 18, 2018, and November 23, 2018, amounting to ₱130.00 million, ₱120.00 million, and ₱154.00 million, respectively. The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱259.89 million and ₱293.31 million, respectively.

On April 22, 2021, the OLSA was amended for the loan upsize request to fund the additional construction works for the bulk water supply project. The lender has agreed to grant an additional loan in the principal amount of ₱150.00 million under the same payment terms of the initial loan. The first drawdown was made on August 2, 2021 amounting to ₱150.00 million, payable quarterly. The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱101.30 million and ₱114.13 million, respectively.

Aqua Centro Loan
On March 1, 2021, Aqua Centro signed a ₱233.00 million ten (10)-year term loan facility with BPI to partially finance its capital expenditures, future acquisitions and other general corporate requirements. On March 19 and November 26, 2021, Aqua Centro made its first and second drawdown amouting to ₱80.00 million and ₱27.00 million, respectively. On June 14, 2022, Aqua Centro made its third drawdown amounting to ₱61.00 million. On May 29 and December 20, 2023, Aqua Centro made its fourth and fifth drawdown amounting to ₱30.00 million and ₱35.00 million, respectively. These loan drawdowns have a term of nine (9) to ten (10) years, with interest payable quarterly and principal repayments starting on March 19, 2024.

The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱200.94 million and ₱231.71 million, respectively.

South Luzon Water Loan
On August 18, 2021, South Luzon Water signed a ₱465.00 million term loan facility with BPI to partially finance its capital expenditure projects. Under the agreement, principal payments will be made in fifteen (15) consecutive equal semi-annual installments starting August 2024. The first and second drawdowns were made on August 25, 2021 and December 6, 2021, respectively, amounting to ₱50.00 million each.

On April 25, 2022, South Luzon Water made the third drawdown amounting to ₱70.00 million, with a term of ten (10) years. Quarterly interest payments will start on May 25, 2022 while principal repayments will start on May 25, 2024.

On March 30, 2023, June 29, 2023, and September 22, 2023, South Luzon Water made additional drawdowns from its BPI loan facility amounting to ₱60.00 million, ₱45.00 million and ₱50.00 million, respectively.

The proceeds of the loan will be used to partially finance its capital expenditure projects. Principal payments will be made in fifteen (15) consecutive equal semi-annual installments starting August 2024.

On June 19 and August 15, 2024, South Luzon Water made additional drawdowns with its existing loan facility from BPI with gross principal amounts of ₱40.00 million and ₱100.00 million, respectively, subject to an interest rate based on 5Y BVAL rate plus credit spread. The proceeds of the loans will be used to partially finance its capital expenditure projects. Principal payments will be made in fifteen (15) consecutive equal semi-annual installments starting August 25, 2024. The loan will mature on August 25, 2031.

The carrying value of the loans as of December 31, 2024 and 2023 amounted to ₱431.52 million and ₱323.08 million, respectively.

Calbayog Water Loan
On October 12, 2021, Calbayog Water signed a ₱393.00 million term loan facility with BPI to partially finance its capital expenditure projects. Under the agreement, principal payments will be made in fifteen (15) equal semi-annual payments starting October 24, 2024. The first drawdown was made on October 22, 2021 amounting to ₱70.00 million. On July 26, 2022, Calbayog Water made the second drawdown amounting to ₱80.00 million.

On June 20, 2024, Calbayog Water made additional drawdown with its existing loan facility from BPI with gross principal amount of ₱30.00 million, subject to an interest rate based on 5Y BVAL rate plus credit spread.

On September 10 and 25, 2024, Calbayog Water made additional loan drawdowns with gross principal amount aggregating to ₱100.00 million, subject to an interest rate based on 5Y BVAL rate plus credit spread. The proceeds of the loan will be used to partially finance its capital expenditure projects. Principal payments will be made in fifteen (15) consecutive equal semi-annual installments starting October 2024. The loan will mature on October 22, 2031.

The carrying value of the loan as of December 31, 2024 and 2023 amounted to ₱260.32 million and ₱149.00 million, respectively.

Cebu Water Loan
On December 19, 2013, Cebu Water entered into an Omnibus Loan and Security Agreement with the DBP to partially finance the construction works in relation to its bulk water supply project in Cebu. The lender has agreed to extend a loan facility in the aggregate principal amount of ₱800.00 million or up to 70% of the total project cost, whichever is lower. Principal payments will be made in twenty (20) equal quarterly installments starting December 2017.

In 2013, MW Consortium entered into a real estate mortgage agreement with the DBP, as third-party mortgagor, in consideration for this Cebu Water loan.

The first, second, and final drawdowns on the loan facility amounted to ₱541.13 million on December 20, 2013, ₱195.64 million on May 20, 2014, and ₱14.79 million on November 14, 2014, respectively. The carrying value of the loan as of December 31, 2022 amounted to ₱481.60 million. On October 2, 2023, the total outstanding loan of ₱453.15 million with DBP was prepaid and fully settled.

Bulakan Water Loan
On January 20, 2023, Bulakan Water signed an Omnibus Loan and Security Agreement (OLSA) in the amount of ₱200.00 million with BPI. The loan will be used to finance the projects of the company. Nominal interest is at 6.6224% per annum. Principal payments will be made in forty-eight (48) equal quarterly installments starting April 2026.

On June 27, 2023, Bulakan Water signed an Amendment Agreement relating to the OLSA entered last January 20, 2023, with BPI to exclude in "Debt" definition the present value of concession fee payments computed based on BWCI's interpretation of IFRIC 12.

On January 31, March 23, October 24 and November 29, 2023, Bulakan Water made drawdowns from its BPI loan facility amounting to ₱40.00 million, ₱40.00 million, ₱20.00 million and ₱30.00 million, respectively.

On October 22, 2024, the Group completed its divestment of Bulakan Water. As of December 31, 2024 and 2023, the carrying value of the loan amounted to nil and ₱130.00 million, respectively.

South Luzon Water, Aqua Centro, Boracay Water, Laguna Water, Clark Water, and MWPVI have assigned their rights under their respective concession agreements or project documents as their loan collateral, while Cebu Water and Tagum Water's loans are secured by real estate mortgages on real assets with total carrying value amounting to ₱30.59 million as of December 31, 2024 and 2023.

Compliance with loan covenants
All these loan agreements provide for certain covenants that must be complied by the Group which include compliance with certain financial ratios such as the debt-to-equity, debt-service-coverage and early termination, as well as limitations in the declaration of dividends to stockholders in some of the subsidiaries.

Effective October 31, 2024, all existing lenders of the Parent Company formally consented to the removal of the debt service coverage ratio among the Parent Company's loan covenants.

As of December 31, 2024 and 2023, the Group is in compliance with all the loan covenants required by the creditors.

16. **Retirement Plan**

The Parent Company, MWPVI, Boracay Water, Clark Water, and Laguna Water have funded noncontributory defined benefit pension plans while MWTS, Obando Water, BMDC, and MWTV have nonfunded noncontributory defined benefit pension plans. The defined benefit pension plans cover substantially all of their respective regular employees. The benefits are based on current salaries, years of service, and compensation as of the last year of employment. The latest actuarial valuations were made as of December 31, 2024.

RA No. 7641, the existing regulatory framework, requires a provision for retirement pay to qualified private sector employees in the absence of any retirement plan in the entity, provided however that the employee's retirement benefits under any collective bargaining and other agreements shall not be less than those provided under law. The law does not require minimum funding for the plan.

The Parent Company's funding policies state that equivalent target funding ratio must always be at least 80% and should the ratio reach 120.00%, the Retirement and Welfare Plan Committee may opt to declare a funding holiday. In the event there is an extraordinary increase in defined benefit obligation, which may arise from benefit improvement, massive hiring and the other extraordinary personnel movements, the Parent Company has a maximum of three (3) years to comply with the required minimum funding ratio of 80.00%.

The retirement plans of Parent Company, MWPVI, Boracay Water, Clark Water, and Laguna Water are each covered by a retirement fund administered by trustee banks, which are under the supervision of their respective Retirement and Welfare Plan Committees (the "Committees"). The Committees, which are composed of six (6) to seven (7) members appointed by management, define the investment strategy of the fund and regularly review the strategy based on market developments and changes in the plan structure. When defining the investment strategy, the Committees take into account the plan's objectives, benefit obligations, and risk capacity. The Committees review, on a quarterly basis, the performance of the funds managed by trustee banks.

Changes in the net defined benefit liability of retirement plans are as follows:

	2024		
	Present value of defined benefit obligations	**Fair value of plan assets**	**Net defined benefit liabilities**
Balance at beginning of year	**₱1,095,101,930**	**₱706,879,513**	**₱388,222,417**
Net benefit costs in profit or loss before capitalized costs:			
Current and past service cost	**129,018,991**	**–**	**129,018,991**
Net interest (Note 18)	**65,328,450**	**41,913,527**	**23,414,923**
Total *(Carried Forward)*	**194,347,441**	**41,913,527**	**152,433,914**

	2024		
	Present value of defined benefit obligations	**Fair value of plan assets**	**Net defined benefit liabilities**
Total *(Brought Forward)*	**₱194,347,441**	**₱41,913,527**	**₱152,433,914**
Remeasurements in other comprehensive income:			
Return on plan assets (excluding amount included in interest)	**–**	**(72,305,844)**	**72,305,844**
Actuarial changes arising from:			
Financial assumptions	**(8,402,886)**	**–**	**(8,402,886)**
Demographic assumptions	**93,091**	**–**	**93,091**
Experience adjustments	**(43,485,482)**	**–**	**(43,485,482)**
	(51,795,277)	**(72,305,844)**	**20,510,567**
Benefits paid from retirement funds	**(143,572,411)**	**(143,572,411)**	**–**
Contributions	**–**	**38,500,000**	**(38,500,000)**
Benefits paid from operating funds	**(24,344,119)**	**–**	**(24,344,119)**
Impact of business combination (Note 4)	**6,430,926**	**–**	**6,430,926**
Impact of divestment/ deconsolidation (Note 1)	**(4,585,171)**	**–**	**(4,585,171)**
Balance at end of year	**₱1,071,583,319**	**₱571,414,785**	**₱500,168,534**

	2023		
	Present value of defined benefit obligations	Fair value of plan assets	Net defined benefit liabilities
Balance at beginning of year	₱1,018,607,781	₱730,393,930	₱288,213,851
Net benefit costs in profit or loss before capitalized costs:			
Current service cost	116,876,897	–	116,876,897
Net interest (Note 18)	61,482,115	50,411,049	11,071,066
	178,359,012	50,411,049	127,947,963
Remeasurements in other comprehensive income:			
Return on plan assets (excluding amount included in interest)	–	(38,935,854)	38,935,854
Actuarial changes arising from:			
Financial assumptions	51,720,523	–	51,720,523
Demographic assumptions	4,680,655	–	4,680,655
Experience adjustments	(3,813,179)	–	(3,813,179)
	52,587,999	(38,935,854)	91,523,853
Benefits paid from retirement funds	(112,789,612)	(112,789,612)	–
Contributions	–	77,800,000	(77,800,000)
Benefits paid from operating funds	(41,663,250)	–	(41,663,250)
Balance at end of year	₱1,095,101,930	₱706,879,513	₱388,222,417

The components of the fair value of plan assets are as follows:

	2024	2023
Assets:		
Cash and cash equivalents	**₱11,999**	₱942,763
Debt investments – domestic	**518,340,321**	630,078,494
Equity investments – domestic	**38,326,959**	69,883,526
Interest receivable	**1,877,942**	2,077,340
Other receivable	**13,152,483**	5,021,994
	571,709,704	708,004,117
Liabilities:		
Other payables	**294,919**	1,124,604
	294,919	1,124,604
Fair value of plan assets	**₱571,414,785**	₱706,879,513

All equity and debt investments held have quoted prices in active markets. The remaining plan assets do not have quoted market prices in active markets.

The plan assets are invested in different financial instruments and do not have any concentration risk.

The cost of defined benefit pension plans, as well as the present value of the pension obligation, are determined using actuarial valuations. The actuarial valuations involve making various assumptions. The principal assumptions used in determining pension obligations for the defined benefit plans are shown below.

	2024	2023	2022
Discount rate	**6.09%**	6.14%	7.33%
Salary increase rate	**5.00%**	6.10%	7.00%

The sensitivity analysis below has been determined based on reasonably possible changes of each significant assumption on the defined benefit obligation as of the end of the reporting period, assuming all other assumptions were held constant:

		Effect on Defined Benefit Obligation	
	Increase (Decrease)	**2024**	2023
Discount rate	1.00%	**(₱98,922,862)**	(₱78,972,469)
	(1.00%)	**123,072,913**	94,574,445
Salary increase rate	1.00%	**127,763,313**	97,641,054
	(1.00%)	**(104,520,405)**	(82,951,221)

Shown below is the maturity analysis of the undiscounted benefit payments:

	2024	2023
Less than 1 year	**₱139,757,834**	₱160,365,805
More than 1 year and up to 5 years	**286,930,228**	309,288,326
More than 5 years and up to 10 years	**405,475,221**	403,476,786
	₱832,163,283	₱873,130,917

The average duration of the defined benefit obligation at the end of the reporting period is 15.73 years and 16.48 years as of December 31, 2024 and 2023, respectively.

The asset allocation of the plan is set and reviewed from time to time by the Committees taking into account the membership profile and the liquidity requirements of the plan. This also considers the expected benefit cash flows to be matched with asset durations.

Contributions to the plan are recommended by the Retirement and Welfare Plan Committees and approved by the Parent Company, MWPVI, Boracay Water, Clark Water, Laguna Water, Obando Water, and BMDC in consideration of the contribution advice from the actuary. The Parent Company expects to make an additional contribution in 2025 amounting to ₱115.18 million while MWPVI, Boracay Water, Clark Water and Laguna Water expects to make an additional contribution in 2025 amounting to ₱41.37 million.

As of December 31, 2024, and 2023, the plan assets include shares of stock of International Container Terminal Services, Inc. (ICTSI) with a total fair value of ₱4.47 million and ₱4.00 million, respectively. As of December 31, 2023, the plan assets include shares of stock and debt securities of Ayala and its affiliates with a total fair value of ₱19.90 million and ₱13.45 million, respectively. Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no amount related to Ayala and its affiliates were included in the 2024 balances.

17. Other Noncurrent Liabilities

Other noncurrent liabilities consist of:

	2024	2023
Deferred credits	**₱635,953,325**	₱610,170,577
Customers' guaranty deposits and other deposits	**389,640,978**	354,901,184
Long-term sick leave and vacation leave (SLVL) liability	**174,622,515**	244,151,093
Other noncurrent liabilities	**38,584,426**	264,719,426
	₱1,238,801,244	₱1,473,942,280

Deferred credits pertain to the unamortized discounts of the customers' guaranty deposits. The rollforward analysis of the deferred credits follows:

	2024	2023
Balance at beginning of year	**₱610,170,577**	₱610,566,545
Additions	**39,586,449**	11,875,027
Amortization	**(13,803,701)**	(12,270,995)
Balance at end of year	**₱635,953,325**	₱610,170,577

Customers' guaranty deposits and other deposits pertain to the deposits paid by the Group's customers for the set-up of new connections which will be refunded to the customers upon termination of the customers' water service connections or at the end of the concession, whichever comes first.

Other noncurrent liabilities amounting to ₱226.18 million and ₱38.54 million pertain to loans obtained by the Group from the minority shareholders of Cebu Water, Provincial Government of Cebu and Vicsal Development Corporation, respectively, subject to interest rate of 8.00%. The proceeds of the loans were used to finance the prepayment of its commercial loan from DBP. These loans have a term of 3 years and will mature on September 27, 2026. In 2024, the shareholder loan to the Provincial Government of Cebu amounting to ₱226.18 million has been fully paid (see Note 23).

Long-term SLVL liability pertains to sick leave and vacation leave encashments entitled to the employees of the Parent Company that are expected to be availed of after more than one (1) year. In 2024 and 2023, the Parent Company recognized expenses related to long-term SLVL in the operating expenses amounting to (₱13.83 million) and ₱55.36 million, respectively. The latest actuarial valuations were made on December 31, 2024.

As of December 31, 2024 and 2023, actuarial gain on SLVL liability recognized in the other comprehensive income amounted to ₱18.83 million and ₱4.66 million, net of tax. The latest actuarial valuations were made on December 31, 2024.

18. Other Operating Revenue, Operating Expenses, Interest Income and Expense, and Other Income and Losses

Other operating revenue consists of:

	2024	2023	2022
Supervision fees (Note 23)	**₱306,509,990**	₱260,941,725	₱337,762,316
Connection fees from water and service connections	**249,679,522**	218,987,339	354,716,825
Pipeworks and integrated used water services	**248,862,575**	377,708,993	476,849,463
Cross-border billing*	**220,889,698**	543,895,877	273,651,813
Reconnection fee	**149,102,905**	93,709,745	73,345,301
Operations and maintenance services	**145,195,678**	136,373,426	112,278,840
Service income from bulk water contracts (Note 6)	**108,191,005**	189,036,744	193,840,519
Income from customer late payments	**71,720,123**	65,207,951	38,485,674
Septic sludge disposal and bacteriological water analysis	**44,067,848**	32,634,862	33,588,860
Miscellaneous	**35,503,627**	5,592,462	7,202,418
	₱1,579,722,971	₱1,924,089,124	₱1,901,722,029

**Pertains to cross-border charges to Maynilad*

Miscellaneous includes income from reimbursement of water tankering, rental of equipment, and due diligence.

Operating expenses consist of:

	2024	2023	2022
Salaries, wages and employee benefits (Notes 16 and 23)	**₱1,481,576,697**	₱1,232,691,256	₱1,324,237,409
Management, technical and professional fees (Note 23)	**1,378,865,662**	1,065,779,948	1,090,704,265
Depreciation and amortization (Notes 9, 10 and 11)	**655,432,058**	625,904,679	342,473,948
Contractual services	**436,422,367**	336,259,337	364,920,241
Taxes and licenses	**403,778,009**	170,099,093	233,377,072
Repairs and maintenance	**355,659,676**	388,799,940	487,047,917
Insurance	**297,605,360**	235,194,685	153,373,132
Provision for (reversal of) ECL on receivables and contract assets (Note 6)	**166,832,947**	217,169,740	(134,355,963)
Provisions and penalty (Notes 1 and 30)	**77,788,893**	105,222,167	47,991,394
Donations	**66,949,538**	50,713,787	54,695,557
Business meetings and representation	**35,682,105**	32,888,550	25,833,248
Transportation and travel	**29,852,463**	32,082,718	27,557,794
Printing and communication (Note 23)	**27,286,156**	16,986,871	17,201,108
Advertising	**16,900,691**	18,252,541	13,477,054
Rent (Notes 11, 23 and 25)	**13,576,513**	13,434,098	21,100,467
Other expenses	**185,871,559**	128,745,609	209,865,951
	₱5,630,080,694	₱4,670,225,019	₱4,279,500,594

Other expenses include expenses incurred for utilities, fuel, bank charges, equipment rental and other rentals, among others.

Interest income consists of:

	2024	2023	2022
Interest income on:			
Cash and cash equivalents and short-term investments (Note 5)	**₱373,962,880**	₱300,992,854	₱120,982,688
Others	**951,954**	236,217	775,812
	₱374,914,834	₱301,229,071	₱121,758,500

Interest expense consists of:

	2024	2023	2022
Interest expense on:			
Service concession obligations (Note 10)	**₱1,153,611,793**	₱1,135,448,327	₱898,636,458
Short and long-term debt (Note 15)*:			
Coupon interest	**2,150,141,495**	2,264,494,956	1,406,910,162
Amortization of debt discount, issuance costs and premium	**187,263,244**	163,293,338	159,968,195
Lease liabilities (Note 11)*	**21,293,733**	18,821,865	14,192,393
Pension liabilities (Note 16)*	**22,202,800**	14,911,540	2,818,156
Long-term SL and VL liability	**14,790,283**	13,368,401	11,268,149
Other financing charges (Notes 15 and 17)	**16,216,135**	163,338,648	322,450,929
	₱3,565,519,483	₱3,773,677,075	₱2,816,244,442

**Net of capitalized interest expense*

Other financing charges consist of hedging costs, hedging ineffectiveness, amortization of guaranty deposits, and loan pre-termination fees.

Other income - net consists of:

	2024	2023	2022
Gain from disposal of subsidiaries (Note 1)	**₱1,013,928,053**	₱–	₱–
Gain from reversal of provision for CWA (Note 1)	**–**	–	450,263,217
Others – net	**344,824,664**	346,274,429	250,505,102
	₱1,358,752,717	₱346,274,429	₱700,768,319

Others - net include liquidated damages and partial reversal of SCO related to EZ's bulk water contract (Note 23), provision for probable losses, reversals of long-outstanding accounts, gain on sale of scrap materials, input VAT adjustments, loss on pre-terminations of leases and gain on insurance claims, among others.

19. Discontinued Operations

MWTS Healthy Family

On August 26, 2020, MWTS announced the permanent closure of its Healthy Family business division effective October 31, 2020 due to its recurring losses and inability to financially sustain business operations, which qualified the MWTS Healthy Family division as a discontinued operation for the years ended December 31, 2024, 2023 and 2022.

The net increase in cash flows of MWTS Healthy Family Division are as follows:

	2024	2023	2022
Net cash provided by operating activities	**₱576,241**	₱55,000	₱555,982

Zamboanga Water

On April 3, 2020, the ZCWD requested for the termination of the NRWRSA citing the erratic supply of water due to the recurrent dry spell and El Niño phenomenon affecting the DMAs established by Zamboanga Water has rendered the NRWRSA impractical and unworkable. On April 30, 2020, Zamboanga Water approved the termination of the NRWRSA, without prejudice to Zamboanga Water's claims against ZCWD and remedies under the NRWRSA, which qualified Zamboanga Water as a discontinued operation.

The results of discontinued operations of Zamboanga Water are as follows:

	2024	2023	2022
Revenue from contracts with customers	**₱–**	₱–	₱85,411
Cost of services and operating expenses	**1,011,043**	1,273,167	6,485,540
Operating loss	**(1,011,043)**	(1,273,167)	(6,400,129)
Interest income	**6,973**	683	791
Other income – net	**–**	382,549	103,687
Loss before income tax	**(1,004,070)**	(889,935)	(6,295,651)
Provision for (benefit from) income tax	**9,260**	(59,075)	62,378
Loss from discontinued operations	**(₱1,013,330)**	(₱830,860)	(₱6,358,029)

The net cash flows of Zamboanga Water are as follows:

	2024	2023	2022
Operating	**(₱590,948)**	(₱1,136,643)	₱1,590,214
Investing	**6,973**	683	791
Financing	**–**	–	–
Net increase (decrease) in cash and cash equivalents	**(₱583,975)**	(₱1,135,960)	₱1,591,005

The net income attributable to the owners of the Parent Company and noncontrolling interest from continuing and discontinued operations are as follows:

	2024	2023	2022
Net income (loss) attributable to:			
Equity holders of Manila Water Company, Inc.			
Continuing operations	**₱10,500,380,032**	₱5,594,150,378	₱5,927,227,030
Discontinued operations	**(709,330)**	(581,602)	(4,450,620)
	₱10,499,670,702	₱5,593,568,776	₱5,922,776,410
Noncontrolling interests			
Continuing operations	**₱471,031,547**	₱277,137,480	₱220,538,662
Discontinued operations	**(304,000)**	(249,258)	(1,907,409)
	₱470,727,547	₱276,888,222	₱218,631,253
EPS			
Basic, net loss from discontinued operations	**₱–**	₱–	₱–
Diluted, net loss from discontinued operations	**₱–**	₱–	₱–

20. **Income Tax**

Provision for (benefit from) income tax consists of:

	2024	2023	2022
Current	**₱2,370,679,289**	₱1,756,292,414	₱1,443,529,558
Final	**30,016,944**	21,752,294	6,530,722
Deferred	**1,733,403,761**	1,326,532,054	563,139,188
	₱4,134,099,994	₱3,104,576,762	₱2,013,199,468

The reconciliation of the statutory income tax rate to the effective income tax rate follows:

	2024	2023	2022
Statutory income tax rate	**25.00%**	25.00%	25.00%
Tax effects of:			
Change in unrecognized deferred tax	**(0.22)**	(0.17)	0.20
Interest income subjected to final tax	**(2.48)**	(3.36)	(0.37)
Nondeductible (nontaxable) equity in net loss (earnings) of associates	**5.95**	9.92	(1.59)
Nondeductible expense	**43.46**	43.09	76.05
Income exempt from tax	**(44.37)**	(40.33)	(79.98)
Others – net	**0.03**	0.44	5.36
Effective income tax rate	**27.37%**	34.59%	24.67%

The tax effect of “others - net” pertain to the Group’s temporary differences and taxable income and deductible expenses for tax reporting purposes.

The net deferred tax assets of the Group pertain to the deferred income tax effects of the following:

	2024	2023
Deferred tax assets:		
Unearned revenues	**₱208,467,369**	₱298,396,283
NOLCO and MCIT	**185,341,826**	141,259,532
Provisions and accruals	**151,436,797**	141,346,175
Allowance for ECL	**117,943,667**	108,706,312
Service concession obligations – net	**47,611,671**	81,187,470
Pension liabilities	**40,829,458**	13,928,520
	751,630,788	784,824,292
Deferred tax liabilities:		
Difference between amortization expense of SCA per straight line method and per UOP	**(212,193,913)**	(253,915,212)
Others	**(36,147,708)**	(31,219,928)
	(248,341,621)	(285,135,140)
	₱503,289,167	₱499,689,152

The components of the net deferred tax liabilities of the Group represent the deferred income tax effects of the following:

	2024	2023
Deferred tax liabilities:		
Difference between amortization expense of SCA per straight-line method and per UOP	**₱3,743,842,297**	₱2,844,565,774
Capitalized interest	**603,673,876**	359,757,502
Contract assets from bulk water arrangements	**271,502,970**	271,612,631
Fair value on identifiable net assets (Note 4)	**256,466,342**	–
Cash flow hedge reserve	**119,789,097**	–
Unrealized gain on bargain purchase	**7,523,078**	7,523,078
Others	**56,021,339**	–
	5,058,818,999	3,483,458,985
Deferred tax assets:		
Service concession obligations – net	**(1,100,782,916)**	(1,583,392,757)
Provisions and accruals	**(556,889,452)**	(544,604,874)
Allowance for ECL	**(174,128,608)**	(175,237,258)
Pension liabilities	**(88,698,314)**	(83,127,084)
Others	**–**	(44,792,029)
	(1,920,499,290)	(2,431,154,002)
	₱3,138,319,709	₱1,052,304,983

Clark Water
Clark Water as a duly registered CFZ enterprise under RA No. 9400, An Act Amending RA No. 7227 otherwise known as the Bases Conversion and Development Act of 1992, is entitled to all the rights, privileges and benefits established thereunder including tax and duty-free importation of raw materials and capital equipment and special income tax rate of 5% applied on its gross income earned in lieu of all national and local taxes.

Starting 2020, all sales outside the CFZ are charged with 12% value-added tax and subjected to the Regular Corporate Income Tax rate of 25.00% in 2021 and 30.00% in 2020.

Other subsidiaries
All other domestic subsidiaries of the Parent Company used the Itemized Deduction in determining the amount of their deductible expenses for income tax purposes. As a result, the applicable income tax rate is the Regular Corporate Income Tax rate of 25.00% and Minimum Corporate Income Tax (MCIT) rate of 2.00%, while foreign subsidiaries are subject to tax rates applicable in their respective countries. MCIT rate is reduced from 2.00% to 1.00% of gross income effective July 1, 2020 to June 30, 2023, due to enactment of the Corporate Recovery and Tax Incentives for Enterprises Act. Starting July 1, 2023, the MCIT reverted back to 2%.

NOLCO
The Parent Company's subsidiaries, namely, MWPVI, Filipinas Water, South Luzon Water, North Luzon Water, Davao Water, MW Consortium, MWTV, Calbayog Water , Leyte Water, Metro Ilagan and Zamboanga Water have total NOLCO amounting to ₱587.90 million and ₱708.94 million as of December 31, 2024 and 2023, respectively, which may be used as deduction against future taxable gross income. No deferred tax assets were recognized on these future deductible losses. As of December 31, 2024 and 2023, the unrecognized deferred tax assets on NOLCO amounted to ₱146.98 million and ₱177.23 million, respectively.

On September 30, 2020, the BIR issued Revenue Regulations No. 25-2020 implementing Section 4(bbbb) of "Bayanihan to Recover As One Act" which states that the NOLCO incurred for taxable years 2020 and 2021 can be carried over and claimed as a deduction from gross income for the next five (5) consecutive taxable years immediately following the year of such loss.

As of December 31, 2024, the Group has incurred NOLCO for taxable years 2022 to 2024 which can be claimed as deduction from the regular taxable income for the next three (3) consecutive taxable years, as follows:

Year Incurred	Availment Period	Amount	Applied/Expired	Unapplied
2022	2023 to 2025	₱286,690,580	₱112,009,916	₱174,680,664
2023	2024 to 2026	90,387,018	4,525,208	85,861,810
2024	2025 to 2027	33,684,517	–	33,684,517
		₱410,762,115	₱116,535,124	₱294,226,991

As of December 31, 2024, the Group has incurred NOLCO for taxable years 2020 and 2021 which can be claimed as deduction from the regular taxable income for the next five (5) consecutive taxable years pursuant to the Bayanihan to Recover As One Act, as follows:

Year Incurred	Availment Period	Amount	Applied/Expired	Unapplied
2020	2021 to 2025	₱645,969,122	₱100,914,471	₱545,054,651
2021	2022 to 2026	541,390,731	111,239,257	430,151,474
		₱1,187,359,853	₱212,153,728	₱975,206,125

MCIT
The movements of the Group's MCIT as of December 31, 2024 which can be claimed against future Regular Corporate Income Tax due on taxable income, but not beyond three (3) succeeding taxable years from the year the excess MCIT arose, are as follows:

Year Incurred	Amount	Applied/Expired	Balance	Expiry Year
2021	₱8,500,891	₱8,500,891	₱–	2024
2022	12,059,485	1,703,699	10,355,786	2025
2023	8,200,255	–	8,200,255	2026
2024	11,299,777	–	11,299,777	2027
	₱40,060,408	₱10,204,590	₱29,855,818	

21. Equity

Paid-in capital
The Parent Company's capital stock consists of:

	2024		2023	
	Shares	**Amount**	Shares	Amount
Common stock - ₱1 per share				
Authorized	**3,100,000,000**	**₱3,100,000,000**	3,100,000,000	₱3,100,000,000
Issued and subscribed	**2,885,795,897**	**2,885,795,897**	2,884,839,617	2,884,839,617
Issued and outstanding	**2,166,111,941**	**2,166,111,941**	2,163,389,444	2,163,389,444
Preferred stock - ₱0.10 par value, 10% cumulative, voting, participating, nonredeemable and nonconvertible				
Authorized and issued - 4,000,000,000 shares	**4,000,000,000**	**400,000,000**	4,000,000,000	400,000,000
Issued and outstanding	**3,563,756,068**	**356,375,607**	4,000,000,000	400,000,000

On March 18, 2005, the Parent Company launched its Initial Public Offering where a total of 745.33 million common shares were offered at an offering price of ₱6.50 per share. The Parent Company has 948 and 954 existing certificated shareholders as of December 31, 2022 and 2021, respectively. The Scripless shareholders are counted under PCD Nominee Corporation (Filipino) and PCD Nominee Corporation (Non-Filipino).

On March 1, 2018, the BOD approved the following:

a. amendment of the Parent Company's Articles of Incorporation to exclude the 300.00 million common shares from the pre-emptive rights of existing stockholders, and endorsed the said amendment for approval by the stockholders; and
b. allotment and subsequent issuance of up to 300.00 million common shares for the purpose of exchanging such shares for assets and/or raising funds to acquire assets needed for the business of the Parent Company.

On April 16, 2018, the stockholders of the Parent Company approved the amendment of the Seventh Article of the Articles of Incorporation to exempt from pre-emptive rights 300.00 million unissued common shares ("carved-out shares") which are reserved or allocated for issuance in one or more transactions or offerings, (i) for properties or assets needed for the business of the Parent Company, or (ii) for cash to acquire properties or assets needed for the business of the Parent Company. The issuance of all or any of the carved-out shares does not require the approval of stockholders.

On February 26, 2019, the BOD approved the amendment of the Second Article of the Articles of Incorporation to include the authority to enter into contracts of guarantee and/or suretyships. This amendment was later ratified by the Parent Company's stockholders during the annual stockholders meeting held on April 22, 2019.

On January 31, 2020, the BOD approved the amendment of the Seventh Article of the Articles of Incorporation to increase the authorized capital stock from ₱3.50 billion to ₱4.40 billion, which increase will consist of an additional 900.00 million common shares. The BOD also approved the increase in the carved-out shares from 300.00 million to 900.00 million unissued common shares and to allow the issuance of the carved-out shares "for cash, properties or assets to carry out" the corporate purposes" of the Parent Company as approved by the BOD. Both the increase in authorized capital stock and the increase in the carved-out shares were ratified at the annual stockholders' meeting on April 17, 2020. The Parent Company did not push through with its application for the increase in its authorized capital stock.

On July 2, 2020, the SEC approved the increase in carved-out shares and the issuance of the 900.00 million carved-out common shares "for cash, properties or assets to carry out" the corporate purposes" as approved by the BOD and stockholders.

On February 15, 2021, the Parent Company and Prime Strategic Holdings, Inc. signed an Amendment to the Subscription Agreement. The amendment covers the inclusion of Trident Water Company Holdings, Inc. (Trident Water) as party to the Subscription Agreement following its establishment, as well as the updated payment terms which is 50.00% or ₱5.33 billion upon Closing and 50.00% or ₱5.33 billion upon call of the Parent Company's BOD.

On the same date, Philwater and Trident Water executed a Share Purchase Agreement wherein Philwater agreed to sell 2,691,268,205 of its preferred shares in the Parent Company to Trident Water with a payment term over a five (5)-year period. The purchase of the preferred shares reflects a 39.09% voting stake and 8.19% economic stake in the Parent Company. The rights and title to the shares, except voting rights covered by the proxies, which shall be executed upon the execution of the Shareholders' Agreement, shall not be transferred until all payments are made. Dividends earned by the preferred shares shall continue to be for the account of Philwater until full payment has been made.

On April 8, 2021, the Parent Company received the Tender Offer Report from Trident Water to acquire up to 1,118,253,916 common shares of the Parent Company through a tender offer to all shareholders. Said tender offer does not include the 866,996,201 common shares held by Ayala Corporation and its nominees and the 4,000,000,000 preferred shares held by Philwater Holdings Company, Inc. and its nominees. On May 31, 2021, a total of 462,660 common shares of Manila Water were tendered, accepted and purchased by Trident Water via block sale through the facilities of the Philippine Stock Exchange.

On June 3, 2021, Trident Water completed the tender offer. Following the completion of the tender offer, Trident Water owns 870,462,660 common shares of the Parent Company and has voting rights over 2,691,268,205 preferred shares to be acquired by Trident Water. In addition, Prime Strategic Holdings, Inc. also owns 29,589,500 common shares of the Parent Company. On June 24, 2021, Trident Water acquired 29,589,500 shares of the Parent Company from Prime Strategic Holdings, Inc.

The movement of the Parent Company's issued and outstanding common stock follows:

	2024	2023
Number of issued shares at beginning of year	**2,454,532,016**	2,044,098,916
Additions	**281,812**	410,433,100
Number of issued shares at end of year	**2,454,813,828**	2,454,532,016
Treasury shares	**(288,701,887)**	(291,142,572)
Number of issued and outstanding shares at end of year	**2,166,111,941**	2,163,389,444

The movement of the Parent Company's issued and outstanding preferred stock follows:

	December 31, 2024	December 31, 2023
Number of issued shares at end of the period	**4,000,000,000**	4,000,000,000
Treasury shares	**(436,243,932)**	–
Number of issued and outstanding shares at end of the period	**3,563,756,068**	4,000,000,000

The movement of the Parent Company's paid-in capital for the years ended December 31, 2024, 2023, and 2022 follows:

	2024						
	Common Stock	**Subscribed Common Stock**	**Preferred Stock**	**Additional Paid-in Capital**	**Subscription Receivable**	**Treasury Shares**	**Paid-in Capital**
Balance at beginning of year	**₱2,454,532,016**	**₱430,307,601**	**₱400,000,000**	**₱14,458,016,211**	**(₱5,607,257,718)**	**(₱5,749,624,306)**	**₱6,385,973,804**
Issuance of shares	**281,812**	**(281,812)**	**–**	**–**	**–**	**–**	**–**
Additional subscription	**–**	**956,280**	**–**	**(956,280)**	**–**	**–**	**–**
Cost of share-based payment	**–**	**–**	**–**	**75,660,269**	**(15,563,119)**	**47,593,174**	**107,690,324**
Collections	**–**	**–**	**–**	**–**	**21,535,257**	**–**	**21,535,257**
Balance at end of year	**₱2,454,813,828**	**₱430,982,069**	**₱400,000,000**	**₱14,532,720,200**	**(₱5,601,285,580)**	**(₱5,702,031,132)**	**₱6,515,199,385**

	2023						
	Common Stock	Subscribed Common Stock	Preferred Stock	Additional Paid-in Capital	Subscription Receivable	Treasury Shares	Paid-in Capital
Balance at beginning of year	₱2,044,098,916	₱840,740,701	₱400,000,000	₱14,427,621,413	(₱5,644,968,396)	(₱43,313,195)	₱12,024,179,439
Issuance of shares	410,433,100	(410,433,100)	–	–	–	–	–
Cost of share-based payment	–	–	–	30,394,798	22,147,558	10,002,917	62,545,273
Collections	–	–	–	–	15,563,120	–	15,563,120
Purchase of treasury shares	–	–	–	–	–	(5,716,314,028)	(5,716,314,028)
Balance at end of year	₱2,454,532,016	₱430,307,601	₱400,000,000	₱14,458,016,211	(₱5,607,257,718)	(₱5,749,624,306)	₱6,385,973,804

	2022						
	Common Stock	Subscribed Common Stock	Preferred Stock	Additional Paid-in Capital	Subscription Receivable	Treasury Shares	Paid-in Capital
Balance at beginning of year	₱2,043,237,036	₱841,602,581	₱400,000,000	₱14,417,217,151	(₱5,654,475,773)	₱–	₱12,047,580,995
Issuance of shares	861,880	(861,880)	–	–	–	–	–
Cost of share-based payment	–	–	–	10,404,262	9,507,377	–	19,911,639
Purchase of treasury shares	–	–	–	–	–	(49,407,905)	(49,407,905)
Reissuance of treasury shares	–	–	–	–	–	6,094,710	6,094,710
Balance at end of year	₱2,044,098,916	₱840,740,701	₱400,000,000	₱14,427,621,413	(₱5,644,968,396)	(₱43,313,195)	₱12,024,179,439

The movement in the Parent Company's common stock and subscribed common stock pertains to the issuance of shares related to the employee stock ownership plan (ESOWN) as the shareholders have made full payment of their subscription.

Retained earnings

The movement of the Group's retained earnings follows:

	2024		
	Unappropriated Retained Earnings	**Appropriated Retained Earnings**	**Total Retained Earnings**
Balance at beginning of year	**₱5,717,748,773**	**₱56,500,000,000**	**₱62,217,748,773**
Net income	**10,499,670,702**	**–**	**10,499,670,702**
Dividends declared	**(3,370,089,762)**	**–**	**(3,370,089,762)**
Net appropriations	**(3,015,563,981)**	**3,015,563,981**	**–**
Balance at end of year	**₱9,831,765,732**	**₱59,515,563,981**	**₱69,347,329,713**

	2023		
	Unappropriated Retained Earnings	Appropriated Retained Earnings	Total Retained Earnings
Balance at beginning of year	₱18,087,151,743	₱40,610,000,000	₱58,697,151,743
Net income	5,593,568,776	–	5,593,568,776
Dividends declared	(2,072,971,746)	–	(2,072,971,746)
Net Appropriations	(15,890,000,000)	15,890,000,000	–
Balance at end of year	₱5,717,748,773	₱56,500,000,000	₱62,217,748,773

	2022		
	Unappropriated Retained Earnings	Appropriated Retained Earnings	Total Retained Earnings
Balance at beginning of year	₱13,448,628,617	₱40,610,000,000	₱54,058,628,617
Net income	5,922,776,410	–	5,922,776,410
Dividends declared	(1,284,253,284)	–	(1,284,253,284)
Balance at end of year	₱18,087,151,743	₱40,610,000,000	₱58,697,151,743

The approved Business Plan includes planned capital expenditures on (i) service continuity, (ii) service accessibility, (iii) water security, and (iv) environmental sustainability described as follows:

- Service continuity projects are endeavored to maintain the level of service provided to its customers even in times of calamity;
- Service accessibility projects would enable the Parent Company to expand its service coverage;
- Water security projects include two components: (1) new water source development and, (2) existing water source rehabilitation and improvement; and
- Projects under the Environmental Sustainability Investment category are comprised of wastewater projects endeavored to achieve the Parent Company's wastewater coverage targets.

On November 14, 2024 and November 10, 2023, the Parent Company's BOD approved the appropriation of ₱3,015.56 million and ₱15,890.00 million, respectively, to ensure the completion of the Parent Company's large system projects included in its approved Business Plan.

The implementation of these projects is consistent with the timeline of the approved Business Plan which covers until the end of the concession period. Appropriated retained earnings amounted to ₱59,515.56 million and ₱56,500.00 million as of December 31, 2024 and 2023, respectively. In 2024, additional retained earnings appropriated amounted to ₱10.40 billion, while retained earnings utilized and released amounted to ₱7.38 billion.

Retained earnings include the accumulated equity in undistributed net earnings of consolidated subsidiaries and associates accounted for under the equity method amounting to nil as of December 31, 2024 and 2023, which are not available for dividend declaration by the Parent Company until these are declared by the investee companies.

In accordance with the Revised SRC Rule 68, Annex 68-D, the Parent Company's retained earnings available for dividend declaration as of December 31, 2024 and 2023 amounted to ₱4,322.00 million and nil, respectively.

Dividends
The following table shows the cash dividends declared by the Parent Company's BOD on the outstanding capital stock for each of the three (3) years ended December 31, 2024:

		Amount Per Share		
Declaration Date	Record Date	Common Shares	Participating Preferred Shares	Payment Date
November 17, 2022	December 2, 2022	0.3796	0.0480	December 19, 2022
March 28, 2023	April 14, 2023	0.6190	0.0620	April 28, 2023
February 29, 2024	March 18, 2024	1.1290	0.1129	April 12, 2024

On February 24, 2025, the Board of Directors during its meeting, approved the declaration of cash dividends amounting to ₱1.841 per share on the outstanding common shares, ₱0.184 per share on the outstanding unlisted participating preferred shares, and accumulated fixed cash dividends of ₱0.01 per share on the outstanding unlisted participating preferred shares.

The record date is March 10, 2025, and payment date is March 28, 2025.

The Parent Company has no dividends in arrears as of December 31, 2024, 2023 and 2022.

Treasury Shares
On September 13, 2022, the Parent Company's BOD approved a buy-back program in relation to the Stock Incentive Plan (SIP) for its senior leaders and officers. The Parent Company acquired 3,200,000 treasury shares for a total amount of ₱49.41 million.

On October 11, 2023, the Parent Company's BOD approved a buy-back of its shares with Ayala Corporation and Philwater Holdings Company, Inc. The Parent Company re-acquired its 288,998,734 common shares and 436,243,932 participating preferred shares, respectively, for a total amount of ₱5.7 billion. This transaction reduced Ayala Corporation's effective economic stake from 30.4% to 22.5%.

In 2023 and 2022, the Parent Company reissued 401,011 shares and 655,151 shares, respectively, in relation to the SIP, amounting to ₱10.00 million and ₱6.10 million, respectively.

As of December 31, 2024 and 2023, total number of treasury shares - common stock follows:

	2024	2023
Number of shares at beginning of year	**291,142,572**	2,798,809
Acquisitions	**–**	288,998,734
Reissuance	**(2,440,685)**	(654,971)
Number of shares at end of year	**288,701,887**	291,142,572

As of December 31, 2024 and 2023, total number of participating preferred shares held in treasury amounted to 436,243,932 shares.

Executive Stock Option Plan (Executive SOP), Expanded Executive SOP, and ESOWN
The subscribed shares are effectively treated as options exercisable within a given period which is the same time as the grantee's payment schedule.

On March 6, 2018, the Renumeration Committee of the Parent Company's BOD approved the grants of ESOWN equivalent to 16,054,873 shares at the subscription price of ₱27.31 per share. The subscription price is equivalent to the average closing price of Parent Company's common shares at the PSE for twenty (20) consecutive trading days ending March 6, 2018.

The fair values of stock options granted are estimated on the date of grant using the Binomial Tree Model and Black-Scholes Merton Formula, taking into account the terms and conditions upon which the options were granted. The expected volatility was determined based on an independent valuation.

The fair value of stock options granted under ESOWN at grant date and the assumptions used to determine the fair value of the stock options follows:

	Grant Dates	
	March 7, 2018	February 10, 2015
Number of shares granted	16,054,873	7,281,647
Number of unsubscribed shares	5,161,140	884,873
Fair value of each option	₱5.74	₱11.58
Weighted average share price	₱26.55	₱21.35
Exercise price	₱27.31	₱26.00
Expected volatility	24.92%	26.53%
Dividend yield	2.80%	2.55%
Risk-free interest rate	3.43%	3.79%

To enjoy the rights provided for in the ESOWN, the grantee should be with the Parent Company at the time the holding period expires. The holding period of the ESOWN shares granted follows:

Year	Holding Period
After one year from subscription date	40%
After two years from subscription date	30%
After three years from subscription date	30%

For the 2018 and 2015 grants, unsubscribed shares were forfeited.

There were no additional stock options in 2024 and 2023.

The expected life of the options is based on management's estimate and is not necessarily indicative of exercise patterns that may occur. The Parent Company's expected volatility was used as an input in the valuation of the outstanding options. The expected volatility reflects the assumption that the historical volatility is indicative of future trends, which may also not necessarily reflect the actual outcome.

No other features of the options granted were incorporated into the measurement of fair value.

Stock Incentive Plan (SIP)
On February 24, 2022, the BOD approved the Stock Incentive Plan, which is a performance-based bonus extended to the senior leadership, officers, and consultants of Manila Water, its subsidiaries and affiliates, in the form of Manila Water shares as equity-settled transactions, in lieu of cash incentives and bonuses. Shares to be awarded shall vest in three (3) years: 25.00% on the first anniversary date of the award; 25.00% on the second anniversary date of the award; and 50.00% on the third anniversary date of the award. Vesting shall grant the grantee absolute beneficial title and rights over the shares, including full dividend and voting rights. The shares for the SIP will be acquired from the market and held in treasury before they are issued to the SIP grantees.
The SIP is in addition to the existing ESOP and ESOWN Plans.

Details of the SIP follows:

	December 31, 2024	December 31, 2023
Cumulative number of granted shares*	**15,066,049**	8,631,991
Dates of grant	**April 5, 2024/ April 14, 2023/ April 22, 2022**	April 14, 2023/ April 22, 2022
Fair values of shares at grant date	**21.65/ 19.66/ 19.20**	19.66/ 19.20

**Includes 588,072 shares and 259,396 shares adjusted by dividend reinvestment plan as of December 31, 2024 and 2023, respectively.*

Summary of vested and unvested shares follows:

	December 31, 2024	December 31, 2023
Vested shares	**9,854,490**	4,589,303
Unvested shares	**5,211,559**	4,042,688
	15,066,049	8,631,991

Total share-based payment cost arising from SIP amounted to ₱105.09 million and ₱62.17 million in 2024 and 2023, respectively.

Other equity reserves
On March 8, 2022, MWPVI increased its ownership interest in Davao Water from 51.00% to 100.00% through the purchase of iWater's 49.00% ownership interest in Davao Water. The Group recognized a loss on the dilution of noncontrolling interest amounting to ₱272.94 million and presented this as part of "Other equity reserves" in the statements of financial position.

On April 7, 2022, MWPVI secured the approval of its BOD to purchase the 32.6% stake (107,601,639 common shares) of Metro Pacific Water Investment Corporation (MWIC) in MW Consortium for a purchase price of ₱107.60 million. The Group recognized a gain on the dilution of noncontrolling interest amounting to ₱74.37 million and presented this as part of "Other equity reserves" in the statements of financial position.

22. Earnings per Share

Earnings per share amounts attributable to equity holders of the Parent Company for the years ended December 31, 2024, 2023, and 2022 were computed as follows:

	2024	2023	2022
Net income (loss) attributable to common equity holders of the Parent Company			
Continuing operations	**₱10,500,380,032**	₱5,594,150,378	₱5,927,227,031
Discontinued operations	**(709,330)**	(581,602)	(4,450,620)
Dividends on preferred shares*	**(1,267,618,708)**	(680,149,783)	(756,574,986)
Net income attributable to common shareholders for basic and diluted earnings per share	**₱9,232,051,994**	₱4,913,418,993	₱5,166,201,425
Weighted average number of common shares for basic earnings per share	**2,595,479,671**	2,810,282,353	2,883,830,801
Dilutive common shares arising from stock options	**–**	–	–
Adjusted weighted average number of common stocks for diluted earnings per share	**2,595,479,671**	2,810,282,353	2,883,830,801
EPS before discontinued operations			
Basic earnings per share	**₱3.56**	₱1.75	₱1.79
Diluted earnings per share	**₱3.56**	₱1.75	₱1.79
EPS			
Basic earnings per share	**₱3.56**	₱1.75	₱1.79
Diluted earnings per share	**₱3.56**	₱1.75	₱1.79

**Including participating preferred shares' participation in earnings.*

23. **Related Party Transactions**

Parties are considered to be related to the Group if it has the ability, directly or indirectly, to control the Group or exercise significant influence over the Group in making financial and operating decisions, or vice versa, or where the Group and the party are subject to common control or common significant influence. Related parties may be individuals (being members of key management personnel and/or their close family members) or other entities and include entities which are under the significant influence of related parties of the Group where those parties are individuals, and post-employment benefit plans which are for the benefit of employees of the Group or of any entity that is a related party of the Group.

In the normal course of business, the Group has transactions with related parties. The sales and investments made to related parties are made at normal market prices. Service agreements are based on rates agreed upon by the parties. Outstanding balances at year-end are unsecured, due for cash settlement or collection, and interest-free except for balances related to cash in banks and cash equivalents and long-term debt. There have been no guarantees provided for nor received on any related party receivables or payables. This assessment is undertaken each financial year by examining the financial position of the related party and the market in which the related party operates.

Related party transactions are as follows:

a. The Parent Company entered into a Consultancy Agreement with Prime Infrastructure Capital Holdings, Inc. (PICI), an affiliate of Trident Water effective June 3, 2021. Under the agreement, PICI shall provide strategic advice and assistance, for which the Parent Company and its subsidiaries shall pay PICI an amount equal to 2.70% of the net revenues of the Group for the calendar quarter from October 1, 2021 onwards.

   Total management and professional fees charged to operations arising from this agreement amounted to ₱1,198.13 million, ₱986.55 million and ₱₱689.44 million in 2024, 2023 and 2022, respectively. Total outstanding payables amounted to ₱283.30 million and ₱227.87 million as of December 31, 2024 and 2023, respectively (see Note 14).

b. On May 17, 2024, Trident, executed with Ayala and its wholly-owned subsidiary, Michigan, the underlying agreements for the special block sales covering AC's and Michigan's 577,997,467 MWC common shares. Trident and Philwater, a wholly-owned subsidiary of AC, also executed a Deed of Absolute Sale for the sale of Philwater's 872,487,863 MWC preferred shares. The gross consideration for these transactions among Trident and AC, Michigan, and Philwater (collectively, "Ayala"), amounted to ₱14.5 billion.

   As of December 31, 2024, Ayala no longer held common shares of MWC and its voting stake was nil (0%) as a result of the block sale and voting proxy issued in favor of Trident vis-à-vis the participating preferred shares. Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the narratives and tables below.

c. The Parent Company entered into an Administrative and Support Services Agreement (ASSA) with Ayala in 1997, being its sponsor as required during the privatization process. The ASSA was initially effective for ten (10) years and automatically renewable every five (5) years. Under the agreement, Ayala shall provide technical and other knowledge, experience and skills as reasonably necessary for the development, administration and operation of the concession, for which the Parent Company shall pay an annual base fee of US$1.00 million and adjusted for the effect of CPI. As a result, certain key management positions are occupied by employees of Ayala.

   On March 1, 2017, the BOD confirmed the automatic renewal of the ASSA between the Parent Company and Ayala for another five (5) years until July 30, 2022 and approved the amendment reducing the base fee to ₱1.00 per year beginning August 1, 2017. The ASSA was not renewed after expiration.

   Total management and professional fees charged to operations arising from these agreements amounted to nil in 2024 and 2023, and ₱21.82 million in 2022.

d. The following tables provide the total amount of all other transactions that have been entered into with the Parent Company's shareholders and affiliates for the relevant financial year:

	Cash in Banks, Cash Equivalents and Short-term Investments (Note 5)		**Receivables and Contract Assets*** (Note 6)	
	2024	2023	**2024**	2023
Shareholder:				
Ayala**	**₱–**	₱–	**₱**	₱203,231
Affiliates:				
Trident Inc	**–**	–	**5,330,000,000**	5,330,000,000
WawaJVCo, Inc.	**–**	–	**224,141,555**	113,017,973
Sureste Properties Inc.	**–**	–	**51,228,504**	32,450,297
Prime Metro BMD	**–**	–	**29,614,352**	–
ALI and subsidiaries**			**–**	263,248,693
Globe and subsidiaries**	**–**	–	**–**	140,878
BPI and subsidiaries**	**–**	1,737,370,625	**–**	143,138
	–	1,737,370,625	**5,634,984,411**	5,739,000,979
	₱–	₱1,737,370,625	**₱5,634,984,411**	₱5,739,204,210

**Includes trade, subscription, retention and interest receivables*
***Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the table above.*

Trade receivables are primarily composed of receivables for water and used water services rendered by the Group. These are non-interest bearing and are collectible within thirty (30) days from bill generation.

	Payables and Contract Liabilities* (Note 14)		**Long-term Debt** (Note 15)	
	2024	2023	**2024**	2023
Shareholder:				
PICI	**₱283,303,278**	₱227,871,493	**₱–**	₱–
Affiliates:				
WawaJVCo	**6,534,106,926**	6,644,268,738		
Prime Metro BMD	**252,524,562**	336,920,619	**–**	–
Sureste Properties Inc.	**12,443**	236,538	**–**	–
ALI and subsidiaries**	**–**	160,576,797	**–**	–
BPI and Subsidiaries**	**–**	16,766,491	**–**	4,422,703,097
Globe and subsidiaries**	**–**	13,201,832	**–**	–
HCX Technology Partners, Inc.**	**–**	1,678,071	**–**	–
Bestfull Holdings, Inc. and subsidiaries**	**–**	352,013	**–**	–
	6,786,643,931	7,174,001,099	**–**	4,422,703,097
	₱7,069,947,209	₱7,401,872,592	**₱–**	₱4,422,703,097

**Includes trade, retention and interest payables*
***Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the table above.*

Trade payables pertain to retentions deducted from contractors' billings and are normally paid within a year after project acceptance.

As of December 31, 2023, long-term debt pertains to loans made by Boracay Water, Laguna Water, Clark Water, Aqua Centro, South Luzon, Calbayog Water and Bulakan Water with BPI (see Note 15).

The table below shows the total amount of revenues and purchases between Parent Company's shareholders and affiliates for the relevant financial year.

	Revenues			Purchases		
	2024	2023	2022	**2024**	2023	2022
Shareholders:						
PICI	**₱–**	₱–	₱–	**₱1,198,126,989**	₱986,553,839	₱689,443,859
Ayala*	**–**	7,256,034	4,530,470	**–**	–	21,823,200
	–	7,256,034	4,530,470	**1,198,126,989**	986,553,839	711,267,059
Affiliates:						
WawaJVCo, Inc.	**224,141,555**	113,017,973	–	**738,458,218**	737,601,443	134,357,841
Sureste Properties, Inc.	**89,593,700**	72,567,696	3,790,000	**1,564,725**	1,115,193	1,107,752
Prime Metro BMD Corporation	**26,441,385**	–	–	**933,349,949**	1,213,769,455	751,785,469
ALI and subsidiaries*	**–**	857,456,517	740,211,689	**–**	69,120,702	38,079,208
IMI and subsidiaries*	**–**	60,951,055	57,716,421	**–**	–	–
BPI and subsidiaries*	**–**	55,246,860	21,912,761	**–**	100,036,277	73,737,733
AITHI and subsidiaries*	**–**	7,751,482	6,771,342	**–**	–	–
Globe and subsidiaries*	**–**	4,486,935	1,072,639	**–**	86,746,788	54,675,771
HCX Technology Partners, Inc*.	**–**	–	–	**–**	39,883,524	11,911,868
Bestfull Holdings, Inc. and subsidiaries*	**–**	–	–	**–**	165,683	158,019
	340,176,640	1,171,478,518	831,474,852	**1,673,372,892**	2,248,439,065	1,065,813,661
	₱340,176,640	₱1,178,734,552	₱836,005,322	**₱2,871,499,881**	₱3,234,992,904	₱1,777,080,720

***Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the table above.*

Revenue is mainly attributable to water and used water services and facilities, and supervision fees rendered by the Group to its shareholder and affiliates.

Purchases from related parties arise from the following transactions:

- PICI for management fees;
- ALI and subsidiaries, and Bestfull Holdings and subsidiaries for rental of office space;
- BPI for banking transactions and financial services such as insurance;
- Sureste Properties, Inc. for representation expense;
- Globe for telecommunication services;
- HCX Technology Partners, Inc. for payroll management services; and
- Prime Metro BMD for construction services;
- Wawa JVCo, Inc. for the supply of raw water.

e. On April 9, 2002, Laguna Water entered into a concession agreement (as amended on March 31, 2004, July 22, 2009, and June 30, 2015) with PGL, one of its shareholders. Regulatory fees to PGL amounted to ₱83.92 million and ₱75.34 million in 2024 and 2023, respectively (see Notes 1 and 29).

f. On December 17, 2009, Boracay Water entered into a concession agreement with TIEZA, one of its shareholders. Concession fees paid to TIEZA amounted to ₱37.96 million and ₱31.79 million in 2024 and 2023, respectively (see Notes 1 and 29).

g. On August 6, 2019, MWSS along with the Parent Company signed a thirty (30)-year Wawa Bulk Water Agreement with WawaJVCo, Inc., a joint venture company formed between Prime Metroline Infrastructure Holdings Corporation and San Lorenzo Builders and Developers Corporation. This will involve the supply of 518 million liters per day of raw water from the Wawa and Tayabasan rivers and is among the medium-term water supply augmentation measures identified to provide water security and sustainability to the consumers of the East Service Area. On January 7, 2020, the parties executed the First Supplement to the Wawa Bulk Water Agreement to reflect their agreement on the joint conditions precedent. On September 28, 2021, the parties executed the Second Supplement to the Wawa Bulk Water Agreement to reflect the impact of the COVID-19 pandemic on the timeline of the project.

On October 25, 2022, the construction of the Upper Wawa Dam was completed, and Wawa JVCo., Inc. commenced the provision of initial 80 million liters per day of raw water to the Parent Company. The Parent Company accounts for the Wawa Bulk Water Agreement under the intangible asset model recognizing SCA and SCO amounting to ₱6,762.50 million in 2022. In 2024 and 2023, the Parent Company recognized liquidated damages against Wawa JVCo., Inc. amounting to ₱224.14 million and ₱113.02 million, respectively, and other income of ₱210.96 million and ₱138.85 million, respectively, due to unmet delivery of contracted 80 million liters per day of raw water.

h. On February 24, 2022, the BOD approved the award for the design and construction of the Cabading Reservoir and Booster Station to Prime BMD Corporation. This project is part of the water sources roadmap of the MWSS to address the deficit in water supply of the East Zone in the next five (5) years. In 2024 and 2023, total purchases by Parent Company related to the project amounted to ₱933.35 million and ₱1,213.77 million, respectively.

i. As of December 31, 2024, and 2023, the plan assets include shares of stock of ICTSI with a total fair value of ₱4.47 million and ₱4.00 million, respectively.

j. On September 27, 2023, Cebu Water obtained a loan from Provincial Government of Cebu and Vicsal Development Corporation to finance the prepayment of its commercial loan from DBP. The carrying amount of the shareholder loans amounted to ₱38.54 million and ₱264.72 million as of December 31, 2024 and 2023, respectively.

k. Compensation of key management personnel of the Group by benefit type, included as part of "Salaries, wages and employee benefits," are as follows:

	2024	2023	2022
Short-term employee benefits	**₱930,618,560**	₱865,940,476	₱750,307,855
Post-employment and long-term employee benefits	**48,269,912**	48,018,392	28,185,877
Share-based payments	**78,465,122**	62,719,089	26,082,254
	₱1,057,353,594	₱976,677,957	₱804,575,986

24. **Significant Contracts with the West Zone Concessionaire**

In relation to the Concession Agreement, the Parent Company entered into the following contracts with Maynilad:

a. Interconnection Agreement that provides for the arrangements on the cross-border flows both incidental or permanent transfers, including the water interconnection points. The terms of the agreement provide, among others, the cost and the volume of water to be transferred between zones. For sewerage, the Parent Company and Maynilad may enter into separate contracts.

Joint Venture Arrangement that will operate, maintain, renew, and as appropriate, decommission common purpose facilities, and perform other functions pursuant to and in accordance with the provisions of the Agreement and perform such other functions relating to the concession (and the concession of the West Zone Concessionaire) as the Concessionaires may choose to delegate to the joint venture, subject to the approval of MWSS.

b. In March 2010, MWSS entered into a loan agreement with The Export-Import Bank of China to finance the Angat Water Utilization and Aqueduct Improvement Project Phase II (the Project). Total loan facility is US$116.60 million with maturity of twenty (20) years, including five (5) years of grace period. Interest rate is 3% per annum. MWSS then entered into a MOA with the Parent Company and Maynilad for the Parent Company and Maynilad to shoulder equally the repayment of the loan, with such repayment to be part of the concession fees (see Note 10).

c. On May 12, 2015, MWSS entered into a MOA with the Parent Company and Maynilad for the Angat Water Transmission Improvement Project (Angat Transmission Project). The Angat Transmission Project aims to improve the reliability and security of the raw water coming from the Angat Dam through the rehabilitation of the transmission system from Ipo to La Mesa and the application of water safety, risk and asset management plans. Subsequently, on May 27, 2016, MWSS entered into a loan agreement with Asian Development Bank to finance the Angat Transmission Project. The loan amounts to US$123.30 million with a maturity of twenty-five (25) years including a six and a half (6.5)-year grace period. On April 27, 2022, the loan had an unutilized and cancelled amount of US$56.73 million. As stipulated in the MOA, the Parent Company and Maynilad shall shoulder equally the repayment of the loan and all reasonable expenditures related to the Project with such payments to form part of the concession fees.

d. In 2016, MWSS entered into a MOA with the Parent Company and Maynilad which was subsequently amended in 2018 for the New Centennial Water Source - Kaliwa Dam Project (NCWS-KDP). The NCWS-KDP aims to develop a new water source in order to meet the increasing water demand by constructing a dam for MWSS service area's domestic water supply.

To partially finance the NCWS-KDP, MWSS entered into a Preferential Buyer's Credit Loan Agreement with The Export-Import Bank of China on November 20, 2018 amounting to US$211.21 million with a maturity of twenty (20) years including a seven (7)-year grace period. As stipulated in the MOA, the Parent Company and Maynilad shall shoulder equally the repayment of the loan and all reasonable expenditures related to the Project with such payments to form part of the concession fees.

On August 27 2020, a supplemental MOA was entered into by MWSS with the Parent Company and Maynilad for the separate loan to be obtained by MWSS to finance the construction of Aqueduct No. 7, which is a new and seventh aqueduct downstream of Ipo Dam from Bigte Basin to Novaliches Portal that will convey the additional output to further strengthen the reliability and adequacy of the water supply system. The loan amounts to US$126.02 million with a maturity of twenty-five (25) years including a six and a half (6.5)-year grace period. As stipulated in the MOA, all expenses to be incurred by the Concessionaires in connection with the Angat Water Transmission Improvement Project and Aqueduct No. 7, including the amortization payment as well as the local counterpart funds, shall be part of the Concessionaire's respective business plans which shall be considered in the next rate rebasing exercise.

e. In 2021, the Parent Company and Maynilad entered into a contract with Dohwa Engineering, Co. Ltd. for the construction management of the proposed Angat Water Transmission Project (Tunnel 5). On January 25, 2022, the Parent Company and Maynilad entered into a contract with China International Water and Electric Corp. for the design and build of the proposed Angat Water Transmission Project (Tunnel 5). The contractor will provide the necessary resources, skills and expertise for the performance and completion of certain civil, electro-mechanical, installation and other related works. The Angat Water Transmission Project (Tunnel 5) is part of the MWSS's water security program which aims to provide (i) additional nineteen (19) cubic meters per second of raw water supply, and (ii) improve the reliability and operational flexibility of the Umiray-Angat-Ipo raw water conveyance system.

f. In 2022, the Parent Company and Maynilad entered into a Bulk Water Sale and Purchase Agreement wherein the Parent Company will supply raw and treated water to Maynilad to provide adequate service to the customers of Maynilad in the West Zone.

On February 1, 2024, the Parent Company and Maynilad entered into a Bulk Water Supply Agreement wherein the Parent Company will supply raw and treated water to Maynilad for a period of one (1) year. In 2024, 2023 and 2022, total cross-border billings to Maynilad amounted to ₱220.89 million, ₱543.90 million and ₱273.65 million, respectively (see Note 18).

25. Assets Held in Trust

MWSS

The Parent Company was granted the right to operate, maintain in good working order, repair, decommission and refurbish the movable property required to provide the water and sewerage services under the Concession Agreement. The legal title to all movable property in existence at the Commencement Date, however, shall be retained by MWSS and upon expiration of the useful life of any such movable property as may be determined by the Parent Company, such movable property shall be returned to MWSS in its then-current condition at no charge to MWSS or the Parent Company.

The Concession Agreement also provides for the Concessionaires to have equal access to MWSS facilities involved in the provision of water supply and sewerage services in both the East and West Zones including, but not limited to, the MWSS management information system, billing system, telemetry system, central control room and central records.

The net book value of the facilities transferred to the Parent Company on Commencement Date based on MWSS' closing audit report amounted to ₱4.60 billion, with a sound value of ₱10.40 billion.

MWSS' corporate headquarters is made available to the Concessionaires starting August 1, 1997, subject to periodic renewal by mutual agreement of the parties. On August 28, 2012, additional office space was leased by the Parent Company. The lease was last renewed on July 8, 2019. Payments amounting to ₱55.14 million, ₱63.83 million, and ₱40.37 million was recorded in 2024, 2023 and 2022, respectively, as deduction to lease liabilities.

In March 2015, the Parent Company and MWSS entered into an agreement for the lease of a portion of the San Juan Reservoir and Aqueduct Complex being utilized by the Parent Company as stockyard for its pipes and other materials. The lease agreement shall continue to be in effect until the termination of the Concession Agreement. Rent payments amounting to ₱18.14 million each year is recorded from 2022 to 2024 as deduction to lease liabilities.

CWD
On October 23, 2017, Calasiao Water was granted the right to develop, manage, operate, maintain, repair, refurbish and improve, expand, and as appropriate, decommission all fixed and movable assets, including movable property but excluding retained assets, required to provide water delivery and sanitation services in the Municipality of Calasiao. Legal title to all facilities (including any fixed assets resulting from the exercise of rights and powers), other than new assets contributed by Calasiao Water, shall remain with CWD.

CCWD
On July 3, 2019, Calbayog Water was granted the right to operate, maintain, repair, improve, expand, renew, and as appropriate, decommission all fixed and movable assets, including movable property but excluding retained assets, required to provide water supply and sanitation services in the service area of CCWD.

TIEZA
Boracay Water was granted the right to operate, maintain in good working order, repair, decommission and refurbish all fixed and movable property (except retained assets) required to provide the water and sewerage services under its concession agreement with TIEZA. The legal title to all these assets in existence at the commencement date, however, shall be retained by TIEZA and upon expiration of the useful life of such assets as may be determined by Boracay Water, such assets shall be returned to TIEZA in its then-current condition at no charge to TIEZA or Boracay Water.

The net book value of the facilities transferred to Boracay Water on commencement date based on TIEZA's closing audit report amounted to ₱618.24 million.

CDC
Clark Water was granted the right to finance, design and construct new facilities and to manage, exclusively possess, occupy, operate, repair, maintain, decommission, and refurbish all facilities, except private deep wells, to provide and manage the water and wastewater-related services in the CFZ.

BuWD
On June 14, 2019, Bulakan Water was granted the right to operate, maintain, repair, improve, expand, renew, and as appropriate, decommission all fixed and movable assets, including movable property but excluding retained assets, required to provide water delivery and sanitation services in the service area of BuWD. On October 22, 2024, the Group completed the divestment of its shares in OWD.

TnWD
On February 4, 2019, South Luzon Water was granted the right to operate, maintain, repair, improve, expand, renew, and as appropriate, decommission all fixed and movable assets, including movable property but excluding retained assets, required to provide water supply and sanitation services in the service area of TnWD.

OWD
On October 12, 2017, Obando Water was granted the right to manage, operate, maintain, repair, refurbish and improve, expand and as appropriate, decommission all fixed and movable assets, including movable property but excluding retained assets, required to provide water delivery and sanitation services in the Municipality of Obando. Legal title to all facilities (including any fixed assets resulting from the exercise of rights and powers), other than new assets contributed by Obando Water, shall remain with OWD. On October 22, 2024, the Group completed the divestment of its shares in BuWD.

PGL
Laguna Water was granted the right to manage, occupy, operate, repair, maintain, decommission and refurbish the property required to provide water services under its concession agreement with PGL. The legal title of all property in existence at the commencement date shall be retained by PGL. Upon expiration of the useful life of any such property as may be determined by Laguna Water, such property shall be returned to PGL in its then condition at no charge to PGL or Laguna Water.

PAGWAD
On January 21, 2019, Laguna Water was granted the right to operate, finance, maintain, repair, improve, expand, renew, and as appropriate, decommission all fixed and movable assets, including movable property but excluding retained assets, required and exclusively used to provide water delivery and sanitation services in the service area of PAGWAD.

LWD
On July 3, 2019, Aqua Centro was granted the right to operate, maintain, repair, improve, expand, renew, and as appropriate, decommission all fixed and movable assets, including movable property but excluding retained assets, required to provide water supply in the service area of LWD.

26. Segment Information

Business segment information is reported on the basis that is used internally for evaluating segment performance and deciding how to allocate resources among operating segments. Accordingly, the segment information is reported based on geographic location.

The Group's BOD and Management Committee monitor the operating results of its business segments separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on profit or loss and is measured consistently with profit or loss in the consolidated financial statements. Transfer prices between operating segments are on an arms' length basis in a manner similar to transactions with third parties.

The amount of segment assets and liabilities are based on measurement principles that are similar with those used in measuring assets and liabilities in the consolidated statements of financial position which is in accordance with PFRS.

The segments where the Group operates follow:

- Manila Concession and Head Office – represents the operations of the Manila Concession (East Zone) of the Parent Company in accordance with its Concession Agreement.
- Domestic Subsidiaries – represents the financial results of the Philippine businesses such as MWTS, Calasiao Water, MWPVI (including Laguna Water, Clark Water, Boracay Water, North Luzon Water, Filipinas Water, Ilagan Water, South Luzon Water, MW Consortium, Cebu Water, Davao Water, Tagum Water, BMDC, Aqua Centro, MWTV, EcoWater, Leyte Water, Zamboanga Water, and Calbayog Water). The 2024 amounts include profit or loss balances for Bulakan Water and Obando Water until October 22, 2024. The 2023 amounts include full year balances.
- Foreign Subsidiaries – consists of businesses outside the Philippines under MWAP (MWSAH, Asia Water, TDWH, KDWH, MWTC, MSEA, and PTMWI).

Details of the Group's operating segments as of and for the years ended December 31, 2024, 2023, and 2022 are as follows:

	2024				
	Manila Concession and Head Office	**Domestic Subsidiaries**	**Foreign Subsidiaries**	**Consolidation Adjustments**	**Consolidated**
			(In Thousands)		
Revenue					
Sales to external customers	**₱28,845,561**	**₱10,545,463**	**₱4,910**	**(₱2,960,903)**	**₱36,435,031**
Finance income from contract assets	**–**	**212,026**	**–**	**–**	**212,026**
Operating expenses (excluding depreciation and amortization)	**8,138,039**	**6,279,908**	**77,976**	**(2,587,278)**	**11,908,645**
Depreciation and amortization	**4,229,032**	**1,149,762**	**1,286**	**(32,287)**	**5,347,793**
Equity in net loss of associates	**–**	**–**	**(3,593,920)**	**–**	**(3,593,920)**
Other income (expenses) - net	**(3,902,715)**	**368,338**	**423,700**	**2,419,490**	**(691,187)**
Income (loss) before income tax	**12,575,775**	**3,696,157**	**(3,244,572)**	**2,078,152**	**15,105,512**
Provision for income tax	**3,538,814**	**534,125**	**263**	**60,898**	**4,134,100**
Net income (loss) from continuing operations	**9,036,961**	**3,162,032**	**(3,244,835)**	**2,017,254**	**10,971,412**
Net loss from discontinued operations	**–**	**(1,013)**	**–**	**–**	**(1,013)**
Net income (loss)	**₱9,036,961**	**₱3,161,019**	**(₱3,244,835)**	**₱2,017,254**	**₱10,970,399**
Other information					
Segment assets, exclusive of investments in associates, derivative assets and deferred tax assets - net	**₱191,245,749**	**₱45,429,037**	**₱15,557,725**	**(₱31,978,522)**	**₱220,253,989**
Deferred tax assets - net	**–**	**503,289**	**–**	**–**	**503,289**
Investments in associates	**–**	**–**	**8,569,359**	**(1,383,095)**	**7,186,264**
Derivative assets	**–**	**–**	**–**	**–**	**–**
	₱191,245,749	**₱45,932,326**	**₱24,127,084**	**(₱33,361,617)**	**₱227,943,542**
Segment liabilities	**₱117,391,839**	**₱30,181,851**	**₱13,197,904**	**(₱10,163,081)**	**₱150,608,513**

	2023				
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Consolidation Adjustments	Consolidated
			(In Thousands)		
Revenue					
Sales to external customers	₱24,106,439	₱7,054,105	₱4,493	(₱736,969)	₱30,428,068
Finance income from contract assets	–	281,799	–	–	281,799
Operating expenses (excluding depreciation and amortization)	7,165,296	4,187,594	103,187	(661,737)	10,794,340
Depreciation and amortization	3,554,117	755,191	1,474	(3,238)	4,307,544
Equity in net loss of associates	–	–	(3,561,492)	–	(3,561,492)
Other income (expenses) - net	(1,758,524)	(451,848)	29,847	(890,102)	(3,070,627)
Income (loss) before income tax	11,628,502	1,941,271	(3,631,813)	(962,096)	8,975,864
Provision for income tax	2,819,494	372,598	288	(87,803)	3,104,577
Net income (loss) from continuing operations	8,809,008	1,568,673	(3,632,101)	(874,293)	5,871,287
Net loss from discontinued operations	–	(764)	–	(67)	(831)
Net income (loss)	₱8,809,008	₱1,567,909	(₱3,632,101)	(₱874,360)	₱5,870,456
Other information					
Segment assets, exclusive of investments in associates, derivative assets and deferred tax assets - net	₱173,896,719	₱40,766,778	₱11,303,106	(₱28,362,297)	₱197,604,306
Deferred tax assets - net	–	499,689	–	–	499,689
Investments in associates	–	–	13,288,157	(2,096,589)	11,191,568
Derivative assets	391,839	–	-	-	391,839
	₱174,288,558	₱41,266,467	₱24,591,263	(₱30,458,886)	₱209,687,402
Segment liabilities	₱106,695,585	₱27,685,042	₱8,919,969	(₱3,732,638)	₱139,567,958

	2022				
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Consolidation Adjustments	Consolidated
			(In Thousands)		
Revenue					
Sales to external customers	₱17,625,349	₱5,870,739	₱24,710	(₱978,352)	₱22,542,446
Finance income from contract assets	–	256,538	–	–	256,538
Operating expenses (excluding depreciation and amortization)	7,157,034	3,719,348	252,315	(331,648)	10,797,049
Depreciation and amortization	2,284,402	774,855	1,489	(14,732)	3,046,014
Equity share in net income of associates	–	–	520,067	–	520,067
Other income (expenses) - net	(684,973)	(465,062)	558,165	(723,152)	(1,315,022)
Income (loss) before income tax	7,498,940	1,168,012	849,138	(1,355,124)	8,160,966
Provision for income tax	1,508,217	286,854	1,320	216,809	2,013,200
Net income (loss) from continuing operations	5,990,723	881,158	847,818	(1,571,933)	6,147,766
Net loss from discontinued operations	–	(602)	–	(5,756)	(6,358)
Net income (loss)	₱5,990,723	₱880,556	₱847,818	(₱1,577,689)	₱6,141,408
Other information					
Segment assets, exclusive of investments in associates, derivative assets and deferred tax assets - net	₱154,331,995	₱38,264,918	₱6,889,045	(23,047,191)	₱176,438,767
Deferred tax assets - net	210,699	424,524	–	–	635,223
Investments in associates	–	–	14,287,220	1,147,293	15,434,513
Derivative assets	2,295,670	–	–	–	2,295,670
	₱156,838,364	₱38,689,442	₱21,176,265	(₱21,899,898)	₱194,804,173
Segment liabilities	₱88,885,291	₱25,668,359	₱8,674,622	(₱1,877,358)	₱121,350,914

The Group does not have a single customer contributing more than 10.00% of its total revenue.

Disaggregated revenue information

The following are the disaggregation of the Group's revenue from contracts with customers as of December 31, 2024, 2023 and 2022:

	2024			
	Manila Concession and Head Office	**Domestic Subsidiaries**	**Foreign Subsidiaries**	**Total**
		(In Thousands)		
Revenue from contracts with customers:				
Water and used water revenues	**₱28,245,067**	**₱6,610,241**	**₱–**	**₱34,855,308**
Other operating income	**334,730**	**1,241,660**	**3,333**	**1,579,723**
	₱28,579,797	**₱7,851,901**	**₱3,333**	**₱36,435,031**

	2024			
	Manila Concession and Head Office	**Domestic Subsidiaries**	**Foreign Subsidiaries**	**Total**
		(In Thousands)		
Timing of revenue recognition:				
Revenue recognized over time	**₱28,446,762**	**₱7,713,704**	**₱3,333**	**₱36,163,799**
Revenue recognized at a point in time	**133,035**	**138,197**	**–**	**271,232**
	₱28,579,797	**₱7,851,901**	**₱3,333**	**₱36,435,031**

	2023			
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Total
		(In Thousands)		
Revenue from contracts with customers:				
Water and used water revenues	₱23,255,824	₱5,248,155	₱–	₱28,503,979
Other operating income	799,522	1,121,944	2,623	1,924,089
	₱24,055,346	₱6,370,099	₱2,623	₱30,428,068
Timing of revenue recognition:				
Revenue recognized over time	₱23,956,300	₱6,275,408	₱2,623	₱30,234,331
Revenue recognized at a point in time	99,046	94,691	–	193,737
	₱24,055,346	₱6,370,099	₱2,623	₱30,428,068

	2022			
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Total
		(In Thousands)		
Revenue from contracts with customers:				
Water and used water revenues	₱16,434,860	₱4,205,864	₱–	₱20,640,724
Other operating income	626,850	1,253,171	21,701	1,901,722
	₱17,061,710	₱5,459,035	₱21,701	₱22,542,446
Timing of revenue recognition:				
Revenue recognized over time	₱16,982,447	₱5,405,602	₱21,701	₱22,409,750
Revenue recognized at a point in time	79,263	53,433	–	132,696
	₱17,061,710	₱5,459,035	₱21,701	₱22,542,446

27. Fair Value Measurement

The carrying amounts approximate fair values for the Group's financial assets and liabilities due to its short-term maturities except for the following financial assets and financial liabilities as of December 31, 2024 and 2023:

	2024			
	Carrying Value	**Fair Value Quoted Market Prices (Level 1)**	**Fair Value Significant Observable Inputs (Level 2)**	**Fair Value Significant Unobservable Inputs (Level 3)**
		(In Thousands)		
Financial assets at fair value				
Derivative assets	**₱–**	**₱–**	**₱–**	**₱–**
Financial assets at amortized cost				
Contract assets from TWD and CIWD	**1,456,593**	**–**	**–**	**4,033,943**
	₱1,456,593	**₱–**	**₱–**	**₱4,033,943**
Other financial liabilities				
Long-term debt	**₱106,181,976**	**₱28,609,148**	**₱–**	**₱76,982,799**
Service concession obligations	**15,111,116**	**–**	**–**	**18,079,588**
Customers' guaranty deposits and other deposits	**389,641**	**–**	**–**	**158,215**
	₱121,682,733	**₱28,609,148**	**₱–**	**₱95,220,602**

	2023			
	Carrying Value	Fair Value Quoted Market Prices (Level 1)	Fair Value Significant Observable Inputs (Level 2)	Fair Value Significant Unobservable Inputs (Level 3)
		(In Thousands)		
Financial assets at fair value				
Derivative assets	₱391,839	₱–	₱–	₱391,839
Financial assets at amortized cost				
Contract assets from TWD and CIWD	1,281,478	–	–	3,660,202
	₱1,673,317	₱–	₱–	₱4,052,041
Other financial liabilities				
Long-term debt	₱99,247,451	₱25,492,902	₱–	₱74,183,461
Service concession obligations	16,124,821	–	–	17,399,130
Customers' guaranty deposits and other deposits	342,630	–	–	118,520
	₱115,714,902	₱25,492,902	₱–	₱91,701,111

The methods and assumptions used by the Group in estimating the fair value of the long-term financial assets at amortized cost and other financial liabilities such as long-term debt, service concession obligations, and customers' guaranty deposits and other deposits are as follows:

a. The fair values of derivative assets, specifically forward contracts, are calculated using valuation techniques with inputs and assumptions that are based on market unobservable data and conditions. The fair values of the US dollar-denominated bonds are based on quoted prices. The fair vales of financial assets at amortized cost, and other financial liabilities are estimated using the discounted cash flow methodology using the Group's current incremental borrowing rates for similar borrowings with maturities consistent with those remaining for the liability being valued.

b. The discount rates used for PHP-denominated loans were 0.50% to 8.00% in 2024 and 0.5% to 7.86% in 2023, while the discount rates used for foreign currency-denominated loans ranged from 7.00% to 9.25% in 2024 and 2023.

The Group enters into derivative financial instruments with various counterparties, principally financial institutions with investment grade credit ratings. Foreign exchange forward contracts are valued using valuation techniques, which employ the use of market observable inputs. The most frequently applied valuation techniques include forward pricing and swap models using present value calculations. The models incorporate various inputs including the foreign exchange spot and forward rates, yield curves of the respective currencies and currency basis spreads between the respective currencies. As at December 31, 2024 and 2023, the mark-to market value of other derivative asset positions is net of a credit valuation adjustment attributable to derivative counterparty default risk. The changes in counterparty credit risk had no material effect on the hedge effectiveness assessment for derivatives designated in hedge relationships and other financial instruments recognized at fair value.

Fair Value Hierarchy

During the periods ended December 31, 2024 and 2023, there were no transfers between Level 1 and Level 2 fair value measurements and no transfers into and out of Level 3 fair value measurement.

28. **Financial Risk Management Objectives and Policies**

The Group's principal financial instruments comprise of cash and cash equivalents, short-term investments, contract assets from MCWD, TWD and CIWD, derivative assets, short-term debt, long-term debt, and service concession obligations. The main purpose of the Group's financial instruments is to fund its operations and capital expenditures. The main risks arising from the use of financial instruments are interest rate risk, foreign exchange risk, credit risk and liquidity risk. The Group has other financial assets such as trade receivables and payables which arise directly from the conduct of its operations.

The Parent Company's BOD reviews and approves the policies for managing each of these risks. The Group monitors risks arising from all financial instruments and regularly report financial management activities and the results of these activities to the Parent Company's BOD. In addition, the Group ensures that all loan covenants are complied with.

The Group's risk management policies are disclosed in full in its audited consolidated financial statements as of December 31, 2024 and updates to these risks are summarized below:

Interest rate risk
Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to interest rate risk relates primarily to its financial instruments with floating and/or fixed rates. Fixed rate financial instruments are subject to fair value interest rate risk while floating rate financial instruments are subject to cash flow interest rate risk.

The Group's policy is to manage the interest payments using a mix of fixed and variable rate debts to minimize the Group's exposure to changes in interest rates primarily from its long-term debt. As of December 31, 2024 and 2023, the Group's mix of fixed interest and floating interest rate of long-term debt are 38% to 62% and 48% to 52%, respectively.

As of December 31, 2024 and December 31, 2023 the fixed interest rates of the Group's foreign currency denominated long-term debt are 4.375% and 5.16% to 8.90% for Peso denominated long-term debt. Floating interest rates are based on 6-month EURIBOR plus margin, SOFR plus margin, PHP BVAL Reference Rates and BSP Term facility rate plus margin as of December 31, 2024 and 2023.

The following tables summarize the maturity profile of the Group's long-term debt based on contractual undiscounted principal payments:

2024*	Due in 2025	Due in 2026	Due in 2027	Due in 2028	Due in 2029	Due after 2030	Total in Original Currency (In PHP)	Total in Original Currency (In USD)	Total (In PHP)
Liabilities:									
Long-term debt									
East Zone loans:									
Fixed Rate (exposed to fair value risk)									
₱5.00 billion PNB Loan	₱500,000,000	₱500,000,000	₱500,000,000	₱375,000,000	₱–	₱–	₱1,875,000,000	$–	₱1,875,000,000
US$500.00 million sustainability bonds	$–	$–	$–	$–	$–	$500,000,000	₱–	$500,000,000	₱28,922,500,000
Floating Rate (exposed to cash flow risk)									
MWMP Loan	$7,721,832	$7,721,832	$7,721,832	$7,721,832	$7,721,832	$57,823,672	₱–	$96,432,832	₱5,578,157,167
₱5.00 billion BDO Loan	₱1,200,000,000	₱–	₱2,000,000,000	₱–	₱–	₱–	₱3,200,000,000	$–	₱3,200,000,000
₱15.00 billion Chinabank Loan	₱–	₱2,148,000,000	₱2,142,000,000	₱2,142,000,000	₱8,568,000,000	₱–	₱15,000,000,000	$–	₱15,000,000,000
₱10.00 billion with MBTC	₱900,000,000	₱900,000,000	₱900,000,000	₱900,000,000	₱900,000,000	₱4,600,000,000	₱9,100,000,000	$–	₱9,100,000,000
₱3.00 billion with LBP	₱333,600,000	₱333,600,000	₱333,600,000	₱333,600,000	₱333,600,000	₱1,332,000,000	₱3,000,000,000	$–	₱3,000,000,000
₱7.00 billion with LBP	₱389,200,000	₱389,200,000	₱389,200,000	₱389,200,000	₱389,200,000	₱5,054,000,000	₱7,000,000,000	$–	₱7,000,000,000
₱15.00 billion with MBTC	₱700,000,000	₱700,000,000	₱700,000,000	₱700,000,000	₱700,000,000	₱3,500,000,000	₱7,000,000,000	$–	₱7,000,000,000
₱10.00 billion Chinabank Loan	₱300,000,000	₱300,000,000	₱300,000,000	₱300,000,000	₱300,000,000	₱1,500,000,000	₱3,000,000,000	$–	₱3,000,000,000
Subsidiaries' loans:									
Fixed Rate (exposed to fair value risk)									
₱1.15 billion Clark Water RCBC Loan	₱95,833,333	₱95,833,333	₱95,833,333	₱95,833,333	₱95,833,333	₱71,875,002	₱551,041,667	$–	₱551,041,667
₱1.53 billion Clark Water BPI Loan	₱–	₱–	₱95,336,000	₱95,336,000	₱95,336,000	₱508,992,000	₱795,000,000	$–	₱795,000,000
₱0.54 billion Laguna Water DBP Loan	₱29,411,765	₱29,411,765	₱29,411,765	₱29,411,765	₱29,411,765	₱111,006,143	₱258,064,968	$–	₱258,064,968
₱0.83 billion Laguna Water DBP Loan	₱50,484,848	₱50,484,848	₱50,484,848	₱50,484,848	₱50,484,848	₱190,013,674	₱442,437,914	$–	₱442,437,914
₱2.50 billion Laguna Water SBC Loan	₱192,307,692	₱192,307,692	₱192,307,692	₱192,307,692	₱192,307,692	₱203,046,935	₱1,164,585,395	$–	₱1,164,585,395
₱2.50 billion Laguna Water BPI Loan	₱179,310,345	₱179,310,345	₱179,310,345	₱179,310,345	₱137,915,235	₱–	₱855,156,615	$–	₱855,156,615
₱1.60 billion Laguna Water BPI Loan	₱–	₱29,990,000	₱119,960,000	₱119,960,000	₱119,960,000	₱505,344,372	₱895,214,372	$–	₱895,214,372
₱0.50 billion Boracay Water DBP-SBC Loan	₱31,660,189	₱31,660,189	₱31,660,189	₱31,660,189	₱31,660,189	₱125,312,500	₱283,613,445	$–	₱283,613,445
₱0.50 billion Boracay Water DBP-SBC Loan	₱44,961,735	₱44,961,735	₱44,961,735	₱44,961,735	₱44,961,735	₱78,683,034	₱303,491,709	$–	₱303,491,709
₱0.65 billion Boracay Water DBP-SBC Loan	₱77,380,952	₱77,380,952	₱77,380,952	₱77,380,952	₱77,380,952	₱135,416,669	₱522,321,429	$–	₱522,321,429
₱2.40 billion Boracay Water BPI Loan	₱72,200,000	₱136,800,000	₱187,568,000	₱199,424,000	₱199,424,000	₱697,984,000	₱1,493,400,000	$–	₱1,493,400,000
₱0.45 billion Tagum Water PNB Loan	₱33,666,667	₱33,666,667	₱33,666,667	₱33,666,667	₱33,666,667	₱92,583,332	₱260,916,667	$–	₱260,916,667
₱0.15 billion Tagum Water PNB Loan	₱13,333,333	₱13,333,333	₱13,333,333	₱13,333,333	₱13,333,333	₱36,666,668	₱103,333,333	$–	₱103,333,333
₱7.00 billion MWPVI Loan	₱847,650,000	₱847,650,000	₱847,650,000	₱847,650,000	₱847,650,00	₱4,289,400,000	₱7,680,000,000	$–	₱7,680,000,000
₱0.39 billion Calbayog Water BPI Loan	₱28,676,661	₱28,676,661	₱28,676,661	₱28,676,661	₱28,676,661	₱136,616,695	₱280,000,000	$–	₱280,000,000
₱0.23 billion Aqua Centro BPI Loan	₱31,082,200	₱31,082,200	₱31,082,200	₱31,082,200	₱31,082,200	₱44,589,000	₱200,000,000	$–	₱200,000,000
₱0.47 billion South Luzon Water BPI Loan	₱62,021,667	₱62,021,667	₱62,021,667	₱62,021,667	₱62,021,667	₱123,891,665	₱434,000,000	$–	₱434,000,000
Floating Rate (exposed to cash flow risk)									
₱0.54 billion Clark Water DBP Loan	₱44,583,333	₱44,583,333	₱44,583,333	₱44,583,333	₱44,583,333	₱189,479,168	₱412,395,833	$–	₱412,395,833
US$110.00 million MWAP Loan	$–	$–	$–	$–	$–	$110,000,000	₱–	$110,000,000	₱6,362,950,000
Total in Original Currency							₱66,109,973,347	$ 706,432,832	₱106,973,580,514
Total in PHP	₱6,157,364,720	₱7,199,954,720	₱9,430,028,720	₱7,316,884,720	₱13,326,489,610	₱23,526,900,857	₱66,109,973,347	₱40,863,607,167	₱106,973,580,514

Interest on financial instruments classified as floating rate is repriced on a semi-annual basis, unless otherwise stated. Interest on financial instruments classified as fixed rate is fixed until the maturity of the instrument.
The spot exchange rates used were ₱57.8450 to US$1 in 2024.
**Excludes the CAD0.95 million Laguna Water loan whose repayment date is related to the completion of the funded project*

	2023*										
	Due in 2024	Due in 2025	Due in 2026	Due in 2027	Due in 2028	Due after 2029	Total in Original Currency (In PHP)	Total in Original Currency (In USD)	Total in Original Currency (In EUR)	Total in Original Currency (In THB)	Total (In PHP)
Liabilities:											
Long-term debt											
East Zone loans:											
Fixed Rate (exposed to fair value risk)											
₱5.00 billion PNB Loan	₱500,000,000	₱500,000,000	₱500,000,000	₱500,000,000	₱375,000,000	₱–	₱2,375,000,000	$–	€–	THB–	₱2,375,000,000
₱5.00 billion BDO Loan	₱1,800,000,000	₱–	₱–	₱–	₱–	₱–	₱1,800,000,000	$–	€–	THB–	₱1,800,000,000
US$500.00 million sustainability bonds	$–	$–	$–	$–	$–	$500,000,000	₱–	$500,000,000	€–	THB–	₱27,685,000,000
Floating Rate (exposed to cash flow risk)											
MWMP Loan	$7,721,832	$7,721,832	$7,721,832	$7,721,832	$7,721,832	$65,545,504	₱–	$104,154,664	€–	THB–	₱5,767,043,746
₱5.00 billion BDO Loan	₱–	₱1,200,000,000	₱–	₱2,000,000,000	₱–	₱–	₱3,200,000,000	$–	€–	THB–	₱3,200,000,000
EUR250.00 million Loan	€57,500,000	€–	€–	€–	€–	€–	₱–	$–	€57,500,000	THB–	₱3,532,673,500
₱15.00 billion Chinabank Loan	₱–	₱–	₱2,148,000,000	₱2,142,000,000	₱2,142,000,000	₱8,568,000,000	₱15,000,000,000	$–	€–	THB–	₱15,000,000,000
₱10.00 billion with MBTC	₱900,000,000	₱900,000,000	₱900,000,000	₱900,000,000	₱900,000,000	₱4,500,000,000	₱9,000,000,000	$–	€–	THB–	₱9,000,000,000
₱3.00 billion with LBP	₱–	₱333,600,000	₱333,600,000	₱333,600,000	₱333,600,000	₱1,665,600,000	₱3,000,000,000	$–	€–	THB–	₱3,000,000,000
₱7.00 billion with LBP	₱–	₱389,200,000	₱389,200,000	₱389,200,000	₱389,200,000	₱1,943,200,000	₱3,500,000,000	$–	€–	THB–	₱3,500,000,000
Subsidiaries' loans:											
Fixed Rate (exposed to fair value risk)											
₱1.15 billion Clark Water RCBC Loan	₱95,833,333	₱95,833,333	₱95,833,333	₱95,833,333	₱95,833,333	₱167,708,333	₱646,875,000	$–	€–	THB–	₱ 646,875,000
₱1.53 billion Clark Water BPI Loan	₱–	₱–	₱–	₱52,836,000	₱52,836,000	₱264,328,000	₱370,000,000	$–	€–	THB–	₱370,000,000
₱0.50 billion Laguna Water DBP Loan	₱29,411,765	₱29,411,765	₱29,411,765	₱29,411,765	₱29,411,765	₱139,283,375	₱286,342,198	$–	€–	THB–	₱286,342,198
₱0.83 billion Laguna Water DBP Loan	₱50,484,848	₱50,484,848	₱50,484,848	₱50,484,848	₱50,484,848	₱239,068,849	₱491,493,092	$–	€–	THB–	₱491,493,092
₱2.50 billion Laguna Water SBC Loan	₱192,307,692	₱192,307,692	₱192,307,692	₱192,307,692	₱192,307,692	₱379,281,028	₱1,340,819,490	$–	€–	THB–	₱1,340,819,490
₱2.50 billion Laguna Water BPI Loan	₱179,310,345	₱179,310,345	₱179,310,345	₱179,310,345	₱179,310,345	₱130,482,581	₱1,027,034,305	$–	€–	THB–	₱1,027,034,305
₱1.60 billion Laguna Water BPI Loan	₱–	₱–	₱24,990,000	₱99,960,000	₱99,960,000	₱469,995,499	₱694,905,499	$–	€–	THB–	₱694,905,499
₱0.50 billion Boracay Water DBP-SBC Loan	₱8,558,961	₱31,660,189	₱31,660,189	₱31,660,189	₱31,660,189	₱87,065,519	₱222,265,235	$–	€–	THB–	₱222,265,235
₱0.50 billion Boracay Water DBP-SBC Loan	₱11,240,434	₱44,961,735	₱44,961,735	₱44,961,735	₱44,961,735	₱123,644,770	₱314,732,143	$–	€–	THB–	₱314,732,143
₱0.65 billion Boracay Water DBP-SBC Loan	₱19,345,238	₱77,380,952	₱77,380,952	₱77,380,952	₱77,380,952	₱212,797,619	₱541,666,667	$–	€–	THB–	₱541,666,667
₱2.40 billion Boracay Water BPI Loan	₱15,200,000	₱72,200,000	₱136,800,000	₱187,568,000	₱199,424,000	₱897,408,000	₱1,508,600,000	$–	€–	THB–	₱1,508,600,000
₱0.45 billion Tagum Water PNB Loan	₱33,666,667	₱33,666,667	₱33,666,667	₱33,666,667	₱33,666,667	₱126,250,000	₱294,583,333	$–	€–	THB–	₱294,583,333
₱0.15 billion Tagum Water PNB Loan	₱13,333,333	₱13,333,333	₱13,333,333	₱13,333,333	₱13,333,333	₱50,000,000	₱116,666,665	$–	€–	THB–	₱116,666,665
₱7.00 billion MWPVI Loan	₱667,100,000	₱847,650,000	₱847,650,000	₱847,650,000	₱847,650,000	₱3,390,600,000	₱7,448,300,000	$–	€–	THB–	₱7,448,300,000
₱0.39 billion Calbayog Water BPI Loan	₱4,669,000	₱14,674,000	₱20,010,000	₱20,010,000	₱20,010,000	₱69,502,000	₱148,875,000	$–	€–	THB–	₱148,875,000
₱0.23 billion Aqua Centro BPI Loan	₱31,082,200	₱31,082,200	₱31,082,200	₱31,082,200	₱31,082,200	₱77,589,000	₱233,000,000	$–	€–	THB–	₱233,000,000
₱0.47 billion South Luzon Water BPI Loan	₱21,677,500	₱43,355,000	₱43,355,000	₱43,355,000	₱43,355,000	₱129,902,500	₱325,000,000	$–	€–	THB–	₱325,000,000
Floating Rate (exposed to cash flow risk)											
₱0.54 billion Clark Water DBP Loan	₱44,583,333	₱44,583,333	₱44,583,333	₱44,583,333	₱44,583,333	₱234,062,500	₱456,979,167	$–	€–	THB–	₱456,979,167
₱0.12 billion Boracay Water DBP-SBC Loan	₱1,945,241	₱10,356,618	₱10,356,618	₱10,356,618	₱10,356,618	₱28,480,699	₱71,852,412	$–	€–	THB–	₱71,852,412
THB5.30 billion Loan	THB5,300,000,000	THB–	THB–	THB–	THB–	THB–	₱–	$–	€–	THB5,300,000,000	₱8,533,919,203
Total in Original Currency							₱54,414,990,206	$604,154,664	€57,500,000	THB5,300,000,000	₱99,933,626,655
Total in PHP	₱17,113,900,431	₱5,562,609,848	₱6,605,535,848	₱8,778,109,848	₱6,664,965,848	₱55,208,504,829	₱54,414,990,206	₱33,452,043,746	₱3,532,673500	₱8,533,919,203	₱99,933,626,655

Interest on financial instruments classified as floating rate is repriced on a semi-annual basis, unless otherwise stated. Interest on financial instruments classified as fixed rate is fixed until the maturity of the instrument.
The spot exchange rates used were ₱55.3700 to US$1, ₱61.738 to EUR1, and ₱1.6102 to THB1 in 2023.
**Excludes the CAD0.87 million Laguna Water loan whose repayment date is related to the completion of the funded project*

The following tables demonstrate the sensitivity of the Group's income before income tax to a reasonably possible change in interest rates on December 31, 2024 and 2023, with all variables held constant (through the impact on floating rate borrowings).

		2024	2023
	Changes in Basis Points	**Effect on Income Before Income Tax**	Effect on Income Before Income Tax
		(In Thousands)	
Floating rate borrowings	**100**	**(₱394,417)**	(₱509,094)
	(100)	**394,417**	509,094

Foreign exchange risk
The Group's foreign exchange risk results primarily from movements of the PHP against the USD, JPY and EUR on its short, long-term debt and service concession obligations. Substantially all revenues are generated in PHP while majority of capital expenditures are also in PHP. Approximately 38% and 45% of debt, including bonds payable, as of December 31, 2024 and 2023, respectively, are denominated in foreign currency.

The BOD approved the Foreign Exchange Risk Policy to help the Parent Company properly address or mitigate the adverse effects of foreign exchange volatility to its profit and loss through the employment of various risk mitigation strategies which include several derivative structures. As an enhancement on the foreign exchange risk management strategy approved by the BOD on February 24, 2022, the Parent Company shall maximize the use of available accounting hedges and shall take into account the capitalization of foreign exchange losses pertaining to capitalizable foreign currency-denominated loans as and when possible, to minimize the adverse effect of foreign exchange volatility to profit and loss while managing overall cost that includes hedging costs.

The Group manages its foreign currency risk by hedging transactions that are expected to occur upon maturity of the hedged long-term debts. When a derivative is entered into for the purpose of being a hedge, the Group negotiates the terms of the derivative to match the terms of the hedged exposure.

The Group hedges its exposure to fluctuations on the translation from USD to PHP of its investment in a foreign subsidiary by holding net borrowings in a foreign currency.

On December 31, 2024, the Group undesignated its Net Investment Hedge designated to its USD100 million USD denominated bond. The undesignation resulted to recognition of foreign currency differentials and deferred FCDA amounting to ₱862.50 million.

On May 24, 2024, the Group unwound the derivative asset designated to its USD100 million USD denominated bond. The unwinding resulted to derecognition of derivative asset amounting to ₱694.76 million and derecognition of OCI related to time value option and cost of hedging amounting to ₱139.66 million. In 2024, the profit and loss impact amounted to ₱321.74 million net gain.

On August 10, 2023, the Group unwound the derivative asset related to its EUR120 million Euro-loan principal only swap. The unwinding resulted to derecognition of derivative asset amounting to ₱1,263.52 million and derecognition of OCI amounting to ₱1,557.28 million. In 2023, the profit or loss impact amounted to ₱38.44 million net loss.

Information on the Group's foreign currency-denominated monetary assets and liabilities and their Philippine Peso equivalents are as follows:

	2024		2023	
	Original Currency	**Peso Equivalent**	Original Currency	Peso Equivalent
	(In Thousands)		(In Thousands)	
Assets				
Cash and cash equivalents:				
THB	**THB3,933**	**₱6,663**	THB1,635,467	₱2,633,386
USD	**USD8,911**	**515,481**	USD4,079	225,855
VND	**VND1,740,766**	**3,951**	VND21,440,330	48,916
IDR	**IDR1,287,223**	**4,608**	IDR1,524,085	5,466
SGD	**SGD2**	**81**	SGD–	–
Accounts receivable:				
USD	**USD5,158**	**298,357**	USD3,171	175,599
IDR	**IDR14,190**	**51**	IDR995,924	3,572
SAR	**SAR3,366**	**52,010**	SAR4,127	61,155
VND	**VND9,666,069**	**21,940**	VND–	–
THB	**THB100**	**169**	THB261	420
Other current assets:				
THB	**THB14,665**	**24,844**	THB25,985	41,841
VND	**VND–**	**–**	VND–	–
GBP	**GBP34**	**2,493**	GBP4	302
IDR	**IDR–**	**–**	IDR–	–
SGD	**SGD4**	**179**	SGD4	184
USD	**USD462**	**26,751**	USD36	1,990
Other noncurrent assets:				
USD	**USD–**	**–**	USD137	7,561
IDR	**IDR10,836,508**	**38,797**	IDR10,842,640	38,886
SAR	**SAR–**	**–**	SAR250	3,705
THB	**THB2,925,038**	**4,955,143**	THB5,291,971	8,520,991
SGD	**SGD30**	**1,281**	SGD30	1,263
VND	**VND1,656**	**4**	VND–	–
		5,952,803		11,771,092
Liabilities				
Accounts payable:				
THB	**THB58,381**	**98,900**	THB5,356,790	8,625,362
USD	**USD1,166**	**67,472**	USD3,166	175,300
VND	**VND161,045**	**366**	VND75,801	173
SGD	**SGD54**	**2,293**	SGD76	3,219
EUR	**EUR–**	**–**	EUR–	–
IDR	**IDR12,863,931**	**46,055**	IDR12,897,157	46,254
Long-term debt:				
USD	**USD698,642**	**40,412,975**	USD3,166	32,961,689
EUR	**EUR–**	**–**	EUR57,257	3,519,836
CAD	**CAD873**	**35,154**	CAD873	36,669
Service concession obligations:				
USD	**USD81,320**	**4,703,953**	USD177,865	9,848,397
JP¥	**JP¥74,353**	**27,302**	JP¥141,270	55,519
		45,394,470		55,272,418
Net foreign currency-denominated liabilities		**(₱39,441,667)**		(₱43,501,326)

The closing exchange rates used were ₱57.8450 to US$1, ₱40.2679 to CAD1, ₱60.4738 to EUR1, ₱72.6799 to GBP1, ₱0.0036 to IDR1, ₱0.3672 to JP¥1, ₱0.0278 to MMK1, ₱15.4539 to SAR1, ₱42.6919 to SGD1, ₱1.6940 to THB1, 0.0023 to VND1 and ₱0.2086 to PKR1 in 2024; and₱55.3700 to US$1, ₱42.0039 to CAD1, ₱61.4738 to EUR1, ₱70.7590 to GBP1, ₱0.0036 to IDR1, ₱0.3930 to JP¥1, ₱0.0264 to MMK1, ₱14.8187 to SAR1, ₱42.0898 to SGD1, ₱1.6102 to THB1, 0.0023 to VND1 and ₱0.1970 to PKR1 in 2023.

On May 10, 2023, the seventh Amendment of the RCA included FCDA that will be based on the following: (1) Forex gains or losses arising from the payments to service the debt of MWSS Loans; and (2) forex gains or losses arising from principal payments of loans, limited to the list of loans provided in the RCA. Forex gains or losses on additional/new foreign currency denominated loans secured and drawn after June 29, 2022 onwards shall be recovered through Modified FCDA. As of December 31, 2024 and 2023, deferred FCDA of the Parent Company amounted to ₱6,135.18 million and ₱2,510.95 million, respectively.

- *Cash flow hedges for foreign currency risks*
  On July 23, 2020, the Parent Company issued a ten (10)-year term, USD denominated bond amounting to USD500 million. To mitigate the foreign currency risk exposure associated with the bond, the Parent Company entered and designated a USD/PHP non-deliverable deferred premium currency option transaction as hedging instrument for the USD100.00 million out of the USD500.00 million denominated bond. The bond will be hedged against unfavorable movements of USD/PHP to minimize potential friction cost from unwinding in the event that the Parent Company wishes to exercise the pretermination right on the first call date.

  As the critical terms of the hedging instrument have been negotiated to match the terms of the hedged bond, the hedge was assessed to be effective. As such, the effective fair value changes of the options were deferred in equity under cash flow hedge reserve.

  On May 24, 2024 the Parent Company has pre-terminated the currency option with the counterparty bank. Consequently, the Group discontinued the application of cash flow hedge accounting. The pretermination resulted to derecognition of OCI related to the cost of hedging and fair value changes amounting to ₱139.66 million. The Group retained the OCI related to the cash flow hedge reserve amounting to ₱543.52 million (₱407.64 million, net of tax), until the related hedged cash flow has been paid. In 2024, the Group recognized amortization of the OCI on cash flow hedge reserve amounting to ₱64.36 million (₱48.27 million, net of tax).

  As of December 31, 2024 and 2023, unrealized gain of ₱359.37 million and ₱64.92 million, respectively, relating to the currency options are deferred in other comprehensive income.

- *Hedge of net investments in foreign operations*
  To further mitigate the foreign currency risk exposure of the Parent Company, it designated its USD100 million bond as a hedge of its net investment in MWAP. MWAP is the Parent Company's wholly owned foreign holding company, with USD as its functional currency.

  For the year ended December 31, 2024 and 2023, a gain (loss) of (₱243.63 million) and ₱37.77 million, respectively. The translation of this borrowing was recognized in Cumulative Translation Adjustment in equity, offsetting the gains and losses on translation of the investment in MWAP.

  On December 27, 2024, as the foreign currency risk management of the Group has changed due to the reinstatement of the FCDA, the Group has dedesignated the net investment hedge on its investment in MWAP. Any amount accumulated in cumulative translation adjustment will only be recycled to profit or loss when the original hedged investment is disposed of.

  Given the dedesignation of the above hedges in 2024, the Group has no outstanding hedging instruments as of December 31, 2024.

  The impact of the hedging instruments and hedged items on the statement of financial position as of December 31, 2024 and 2023 follows:

2024	**Notional amount**	**Carrying amount**	**Line item in the statement of financial position**	**Change in fair value***
USD100 Mn Bonds - Currency Option Transaction	**$100,000,000**	**₱–**	**₱–**	**₱563,944,760**
USD100 Mn Bonds - Net Investment Hedge	**$100,000,000**	**–**	**–**	**182,721,363**
		₱–	**₱–**	**₱746,666,123**

2023	Notional amount	Carrying amount	Line item in the statement of financial position	Change in fair value*
USD100 Mn Bonds - Currency Option Transaction	$100,000,000	₱391,839,337	Other noncurrent assets	₱181,510,327
USD100 Mn Bonds - Net Investment Hedge	$100,000,000	–	–	(28,325,764)
		₱391,839,337		₱153,184,563

**net of income tax effect*

The impact of the hedged items on the statement of financial position as of December 31, 2024 and 2023 follows:

2024	**Notional amount**	**Change in fair value ***	**Cash flow hedge reserve***	**Cost of hedging reserve***
USD100 Mn Bonds – Currency Option Transaction	**$100,000,000**	**₱563,944,760**	**₱563,944,760**	**₱–**
USD100 Mn Bonds - Net Investment Hedge	**$100,000,000**	**182,721,363**	**–**	**–**
		₱746,666,123	**₱563,944,760**	**₱–**

**net of income tax effect*

2023	Notional amount	Change in fair value *	Cash flow hedge reserve*	Cost of hedging reserve*
USD100 Mn Bonds – Currency Option Transaction	$100,000,000	₱181,510,327	₱406,413,386	(₱224,903,059)
USD100 Mn Bonds - Net Investment Hedge	$100,000,000	(28,325,764)	–	–
		₱153,184,563	₱406,413,386	(₱224,903,059)

**net of income tax effect*

The effect of the cash flow hedge in the statement of profit and loss and OCI follows:

2024	**Total hedging gain (loss) recognized in OCI***	**Ineffectiveness recognized in profit or loss**	**Line item in profit or loss**	**Amount reclassified from OCI to profit or loss**	**Line item in profit or loss**
USD100 Mn Bonds – Currency Option Transaction	**₱563,944,760**	**(₱1,944,542)**	**Interest expense**	**₱271,596,329**	**Foreign exchange gains (losses)**
USD100 Mn Bonds - Net Investment Hedge	**182,721,363**	**–**	**–**	**243,628,484**	**Foreign exchange gains (losses)**
	₱746,666,123	**(₱1,944,542)**		**₱515,224,813**	

2023	Total hedging gain (loss) recognized in OCI*	Ineffectiveness recognized in profit or loss	Line item in profit or loss	Amount reclassified from OCI to profit or loss	Line item in profit or loss
USD100 Mn Bonds – Currency Option Transaction	₱181,510,327	₱1,669,979	Interest expense	(₱37,767,685)	Foreign exchange gains (losses)
USD100 Mn Bonds - Net Investment Hedge	(28,325,764)	–	–	(37,767,685)	Foreign exchange gains (losses)
	₱153,184,563	₱1,669,979		(₱75,535,370)	

**net of income tax effect*

Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities, including deposits with banks and financial institutions, foreign exchange transactions and other financial instruments.

Customer credit risk is managed by the Group's established policy, procedures and control relating to customer credit risk management. Credit risk for receivables from customers is managed primarily through credit reviews and an analysis of receivables on a continuous basis. The Group has no significant concentration of credit risk. Outstanding customer receivables and contract assets are regularly monitored and customer payments are facilitated through various collection modes including the use of postdated checks and auto-debit arrangements.

An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due for groupings of customer segments with similar loss patterns (i.e., by geographical region, and product type). The calculation reflects the probability-weighted outcome and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions.

The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information.

Generally, trade receivables are written off when deemed unrecoverable and are not subject to enforcement activity. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets. The information about the credit risk exposure on the Group's receivables and contract assets using a provision matrix follow:

	Current	December 31, 2024					
		Days Past Due					
	Standard Grade	Less than 30 Days	30 to 60 Days	61 to 90 Days	Over 90 Days	Expected Credit Loss	Total
				(In Thousands)			
Receivables							
Trade receivables	**₱924,529**	**₱901,648**	**₱345,374**	**₱180,858**	**₱643,443**	**₱1,473,021**	**₱4,468,873**
Employees	**30,127**	**–**	**–**	**–**	**–**	**5**	**30,132**
Interest from banks	**17,721**	**–**	**–**	**–**	**–**	**–**	**17,721**
Others	**444,976**	**–**	**–**	**–**	**–**	**57,990**	**502,966**
	1,417,353	**901,648**	**345,374**	**180,858**	**643,443**	**1,531,016**	**5,019,692**
Contract assets	**1,697,811**	**–**	**–**	**–**	**–**	**316,375**	**2,014,186**
	₱3,115,164	**₱901,648**	**₱345,374**	**₱180,858**	**₱643,443**	**₱1,847,391**	**₱7,033,878**

	Current	December 31, 2023					
		Days Past Due					
	Standard Grade	Less than 30 Days	30 to 60 Days	61 to 90 Days	Over 90 Days	Expected Credit Loss	Total
				(In Thousands)			
Receivables							
Trade receivables	₱724,735	₱766,073	₱355,830	₱171,000	₱648,122	₱1,301,193	₱3,966,953
Employees	17,145	–	–	–	–	5	17,150
Interest from banks	13,142	–	–	–	–	–	13,142
Others	208,873	–	–	–	–	220,681	429,554
	963,895	766,073	355,830	171,000	648,122	1,521,879	4,426,799
Contract assets	1,718,657	–	–	–	–	312,876	2,031,533
	₱2,682,552	₱766,073	₱355,830	₱171,000	₱648,122	₱1,834,755	₱6,458,332

Credit risk from balances with banks and financial institutions is managed in accordance with the Group's policy. Investments of surplus funds are made only with approved counterparties and within credit limits assigned to each counterparty. Counterparty limits are reviewed and approved by the BOD and are updated when necessary.

Cash and cash equivalents and short-term investments are placed in various banks. Material amounts are held by banks which belong to the top five (5) banks in the country. The rest are held by local banks that have good reputation and low probability of insolvency. These are considered to be low credit risk investments.

Liquidity risk
The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank loans, and debentures. The Group's policy is to maintain a level of cash that is sufficient to fund its operating cash requirements for the next three (3) to six (6) months and any claim for refund of customers' guaranty deposits. Capital expenditures are funded through long-term debt, while operating expenses and working capital requirements are sufficiently funded through internally generated cash. Maturing debts are refinanced through a combination of long-term debt and internally generated cash.

The Group's financial assets used for liquidity management based on their maturities are as follows:

	December 31, 2024			
	Within 1 year	1 to 5 years	More than 5 years	Total - Gross
Assets:				
Cash and cash equivalents	**₱7,436,737,551**	**₱–**	**₱–**	**₱7,436,737,551**
Receivables:				
Customers	**4,468,873,988**	**–**	**–**	**4,468,873,988**
Employees	**30,131,986**	**–**	**–**	**30,131,986**
Interest from banks	**17,720,724**	**–**	**–**	**17,720,724**
ZCWD	**39,509,823**	**–**	**–**	**39,509,823**
Others	**463,455,599**	**–**	**–**	**463,455,599**
Contract assets from TWD and CIWD	**118,632,897**	**956,762,561**	**1,164,037,436**	**2,239,432,894**
	₱12,575,062,568	**₱956,762,561**	**₱1,164,037,436**	**₱14,695,862,565**

	December 31, 2023			
	Within 1 year	1 to 5 years	More than 5 years	Total - Gross
Assets:				
Cash and cash equivalents	₱10,752,734,174	₱–	₱–	₱10,752,734,174
Receivables:				
Customers	3,966,953,076	–	–	3,966,953,076
Employees	17,150,278	–	–	17,150,278
Interest from banks	13,141,587	–	–	13,141,587
ZCWD	39,509,823	–	–	39,509,823
Others	390,044,571	–	–	390,044,571
Contract assets from TWD and CIWD	126,375,266	873,935,625	1,332,611,449	2,332,922,340
	₱15,305,908,775	₱873,935,625	₱1,332,611,449	₱17,512,455,849

The Group's financial liabilities based on contractual undiscounted payments:

	December 31, 2024			
	Within 1 year	**1 to 5 years**	**More than 5 years**	**Total - Gross**
Liabilities:				
Accounts and other payables	**₱20,683,110,201**	**₱–**	**₱–**	**₱20,683,110,201**
Short-term debt	**250,000,000**	**–**	**–**	**250,000,000**
Long-term debt*	**10,750,182,111**	**78,837,714,290**	**26,350,254,916**	**115,938,151,317**
Service concession obligation*	**1,691,979,494**	**7,039,667,369**	**23,296,974,830**	**32,028,621,693**
Lease liabilities*	**97,569,972**	**212,719,984**	**163,789,101**	**474,079,057**
Other noncurrent liabilities	**–**	**–**	**1,238,801,244**	**1,238,801,244**
	₱33,472,841,778	**₱86,090,101,643**	**₱51,049,820,091**	**₱170,612,763,512**

**Includes contractual interest cash flows*

	December 31, 2023			
	Within 1 year	1 to 5 years	More than 5 years	Total - Gross
Liabilities:				
Accounts and other payables	₱18,761,072,969	₱–	₱–	₱18,761,072,969
Short-term debt	135,000,000	–	–	135,000,000
Long-term debt*	19,419,949,192	46,485,335,514	50,395,342,791	116,300,627,497
Service concession obligation*	2,193,937,888	8,465,985,107	23,946,046,455	34,605,969,450
Lease liabilities*	115,587,313	205,247,040	153,395,879	474,230,232
Other noncurrent liabilities	–	264,719,426	1,209,222,854	1,473,942,280
	₱40,625,547,362	₱55,421,287,087	₱75,704,007,979	₱171,750,842,428

**Includes contractual interest cash flows*

Changes in liabilities arising from financing activities:

	December 31, 2024					
	Short-term Debt	**Long-term Debt**	**Service Concession Obligations**	**Lease Liabilities**	**Interest Payable**	**Total**
Balance at beginning of year	**₱135,000,000**	**₱99,247,451,147**	**₱16,124,820,868**	**₱332,377,758**	**₱1,418,719,425**	**₱117,258,369,198**
Cash flows – net	**95,506,164**	**5,256,724,972**	**(1,652,750,484)**	**(227,665,523)**	**(5,747,233,838)**	**(2,275,418,709)**
Accretion	**19,493,836**	**147,082,193**	**1,114,599,781**	**21,293,733**	**–**	**1,302,469,543**
Interest	**–**	**–**	**–**	**–**	**6,052,683,244**	**6,052,683,244**
Concession fees	**–**	**–**	**215,532,090**	**–**	**–**	**215,532,090**
Additions – net	**–**	**–**	**(204,476,383)**	**275,600,349**	**–**	**71,123,966**
Foreign exchange gains – net	**–**	**1,660,933,745**	**200,301,381**	**–**	**–**	**1,861,235,126**
Impact of deconsolidation	**–**	**(130,216,123)**	**(686,911,718)**	**–**	**–**	**(817,127,841)**
	₱250,000,000	**₱106,181,975,934**	**₱15,111,115,535**	**₱401,606,317**	**₱1,724,168,831**	**₱123,668,866,617**

	December 31, 2023					
	Short-term Debt	Long-term Debt	Service Concession Obligations	Lease Liabilities	Interest Payable	Total
Balance at beginning of year	₱252,872,324	₱84,669,784,632	₱16,043,388,978	₱436,347,432	₱1,208,142,266	₱102,610,535,632
Cash flows – net	(117,872,324)	14,537,346,280	(1,683,326,593)	(133,017,393)	(4,778,431,859)	7,824,698,111
Accretion	–	155,033,387	1,110,058,097	18,821,865	–	1,283,913,349
Interest	–	–	–	–	4,989,009,018	4,989,009,018
Concession fees	–	–	777,890,509	–	–	777,890,509
Additions – net	–	–	(94,529,346)	10,225,854	–	(84,303,492)
Foreign exchange gains – net	–	(114,713,152)	(28,660,777)	–	–	(143,373,929)
	₱135,000,000	₱99,247,451,147	₱16,124,820,868	₱332,377,758	₱1,418,719,425	₱117,258,369,198

Capital management
The primary objective of the Group's capital management strategy is to ensure that it maintains a healthy capital structure, in order to maintain a strong credit standing while it maximizes shareholder value.

The Group considers total equity and debt as its capital, and closely manages its capital structure by monitoring key covenant ratios in compliance with the respective loan covenants of the entities within the Group. These ratios include debt-to-equity, debt service coverage and early termination.

For the purposes of computing its debt-to-equity, which generally should not exceed 3x, "debt" is defined as the aggregate of all obligations of the borrower to pay or repay money or bank debt, excluding service concession obligations. Debt service coverage ratio, which measures the ability of the Group to pay the scheduled principal and interest payments, shall not be less than 1.2x to 1.3x. Early termination ratio, which applies to the Parent Company, is calculated consistent with the definition under the Concession Agreement and should not be less than 1x. The ratios are to be achieved by managing the level of borrowings and dividend payments to shareholders.

Effective October 31, 2024, all existing lenders of the Parent Company formally consented to the removal of the debt service coverage ratio among the Parent Company's loan covenants. As of December 31, 2024 and 2023, the Group in compliance with all the loan covenants required by the creditors.

As of December 31, 2024 and 2023, the Parent Company's market capitalization was lower than its net book value.

29. Commitments

Parent Company's Concession Agreement
The significant commitments of the Parent Company under the Concession Agreement and Extension are as follows:

a. To pay MWSS concession fees;

b. To post a performance bond, bank guarantee or other security acceptable to MWSS in favor of MWSS as a bond for the full and prompt performance of the Parent Company's obligations under the Agreement. The aggregate amounts drawable in one or more installments under such performance bond during the Rate Rebasing Period to which it relates are set out below.

Rate Rebasing Period	Aggregate amount drawable under performance bond (in US$ millions)
First (August 1, 1997 - December 31, 2002)	US$70.00
Second (January 1, 2003 - December 31, 2007)	70.00
Third (January 1, 2008 - December 31, 2012)	60.00
Fourth (January 1, 2013 - December 31, 2017)	60.00
Fifth (January 1, 2018 - December 31, 2022)	50.00
Sixth (January 1, 2023 - December 31, 2027)	50.00
Seventh (January 1, 2028 - December 31, 2032)	50.00
Eighth (January 1, 2033 - May 6, 2037)	50.00

Within thirty (30) days from the commencement of each renewal date, the Parent Company shall cause the performance bond to be reinstated in the full amount set forth above as applicable for that year.

With a minimum of ten (10)-day written notice period to the Parent Company, MWSS may make one or more drawings under the performance bond relating to a Rate Rebasing Period to cover amounts due to MWSS during that period; provided, however, that no such drawing shall be made in respect of any claim that has been submitted to the Appeals Panel for adjudication until the Appeals Panel has handed down its decision on the matter.

In the event that any amount payable to MWSS by the Parent Company is not paid when due, such amount shall accrue interest at a rate equal to that of a 364-day Treasury Bill for each day it remains unpaid;

c. With the Extension, the Parent Company agreed to increase its annual share in MWSS operating budget from ₱100.00 million to ₱395.00 million, subject to annual CPI;

d. To meet certain specific commitments in respect of the provision of water and sewerage services in the East Zone, unless deferred by MWSS RO due to unforeseen circumstances or modified as a result of rate rebasing exercise;

e. To operate, maintain, renew and, as appropriate, decommission facilities in a manner consistent with the National Building Standards and best industrial practices so that, at all times, the water and sewerage system in the East Zone is capable of meeting the service obligations (as such obligations may be revised from time to time by the MWSS RO following consultation with the Parent Company);

f. To repair and correct, on a priority basis, any defect in the facilities that could adversely affect public health or welfare, or cause damage to persons or third-party property;

g. To ensure that at all times, the Parent Company has sufficient financial, material and personnel resources available to meet its obligations under the Agreement; and

h. To ensure that no debt or liability that would mature after the life of the Concession Agreement will be incurred unless with the approval of MWSS.

The Parent Company is committed to perform its obligations under the RCA to safeguard its continued right to operate the East Zone concession.

<u>Calasiao Water's Concession Agreement</u>
The significant commitments of Calasiao Water under its concession agreement with CWD are as follows:

a. Finance, design, engineer, and construct new facilities for water;

b. Upgrade existing water facilities;

c. Operate, manage, and maintain water facilities and services; and

d. Bill and collect tariff for water services.

<u>Calbayog Water's JVA with CCWD</u>
The significant commitments of Calbayog Water under its JVA are as follows:

a. Develop, improve, and expand the water infrastructure of CCWD;

b. Provide water supply and install new water service connections;

c. Ensure continuous water supply and appropriate pressure;

d. Connect water service connections to the water main;

e. Ensure potability of water supply and compliance with drinking water quality standards;

f. Provide high quality customer/after-sales service; and

g. Payment of revenue share of CCWD.

<u>Boracay Water's Concession Agreement</u>
The significant commitments of Boracay Water under its concession agreement with TIEZA are as follows:

a. Meet certain specific commitments in respect of the provision of water and sewerage services in the service area, unless deferred by the TIEZA-RO due to unforeseen circumstances or modified as a result of rate rebasing exercise;

b. Pay concession fees, subject to the following provisions:

   i. Assumption of all liabilities of the BWSS as of commencement date and service such liabilities as they fall due. BWSS has jurisdiction, supervision and control over all waterworks and sewerage systems within Boracay Island prior to commencement date. The servicing of such liabilities shall be applied to the concession fees;

   ii. Payment of an amount equivalent to 5% of the monthly gross revenue of Boracay Water, inclusive of all applicable taxes. Such payments shall be subject to adjustment based on the gross revenue of Boracay Water as reflected in its separate financial statements;

   iii. Provision of the amount of the TIEZA BOD's approved budget in 2012, payable semi-annually and not exceeding:

Month	Maximum Amount
January	₱10,000,000
July	10,000,000

   iv. Provision of the annual operating budget of the TIEZA-RO, payable in 2 equal tranches in January and July and not exceeding:

Year	Maximum Amount
2011	₱15,000,000
2012	20,000,000
2013 and beyond	Previous year, subject to annual CPI adjustment

c. Establish, at Boracay Island, a TIEZA-RO building with staff house, the cost of which should be reasonable and prudent;

d. Pay an incentive fee pegged at ₱1.00 per tourist, local and foreign, entering the service area;

e. Raise financing for the improvement and expansion of the BWSS water and wastewater facilities;

f. Operate, maintain, repair, improve, renew and, as appropriate, decommission facilities, as well as to operate and maintain the drainage system upon its completion, in a manner consistent with the National Building Standards and best industrial practices so that, at all times, the water and sewerage system in the service area is capable of meeting the service obligations (as such obligations may be revised from time to time by the TIEZA-RO following consultation with Boracay Water);

g. Repair and correct, on a priority basis, any defect in the facilities that could adversely affect public health or welfare, or cause damage to persons or third-party property; and

h. Ensure that at all times, Boracay Water has sufficient financial, material and personnel resources available to meet its obligations under the concession agreement.

In addition, the Parent Company, as the main proponent of Boracay Water, shall post a bank security in the amount of US$2.50 million to secure the Parent Company's and Boracay Water's performance of their respective obligations under the agreement. The amount of the performance security shall be reduced by the Parent Company following the schedule below:

Rate Rebasing Period	Amount of Performance Security (in US$ millions)
First	US$2.50
Second	2.50
Third	1.10
Fourth	1.10
Fifth	1.10

On or before the start of each year, Boracay Water shall cause the performance security to be reinstated in the full amount set forth as applicable for that year.

With a minimum of ten (10) days written notice period to Boracay Water, TIEZA may take one or more drawings under the performance security relating to a Rate Rebasing Period to cover amounts due to TIEZA during that period; provided, however, that no such drawing shall be made in respect of any claim that has been submitted to the Arbitration Panel for adjudication until the Arbitration Panel has handed its decision on the matter.

In the event that any amount payable to TIEZA by Boracay Water is not paid when due, such amount shall accrue interest at a rate equal to that of a 364-day Treasury Bill for each day it remains unpaid.

Failure of Boracay Water to perform any of its obligations that is deemed material by TIEZA-RO may cause the concession agreement to be terminated.

On December 9, 2024, TIEZA BOD approved the Company's request for twenty-five (25)-year extension of Boracay Water's concession agreement, subject to review of the Office of the Government Corporate Counsel, and consent of the Republic through the review and approval of the Extension by the Department of Finance. The extension period is from January 1, 2035 to December 31, 2059.

Clark Water's Concession Agreement
The significant commitments of Clark Water under its concession agreement with CDC are follows:

a. Pay franchise and lease fees of CDC;

b. Finance, design, and construct new facilities - defined as any improvement and extension works to (i) all existing facilities - defined as all fixed and movable assets specifically listed in the concession agreement; (ii) construction work - defined as the scope of construction work set out in the concession agreement; and (iii) other new works that do not constitute refurbishment or repair of existing facilities undertaken after commencement date;

c. Manage, exclusively possess, occupy, operate, repair, maintain, decommission and refurbish the existing facilities, except for the private deep wells set out in the concession agreement, the negotiations for the acquisition and control of which shall be the sole responsibility and for the account of the Clark Water; and manage, own, operate, repair, maintain, decommission and refurbish the new facilities;

d. Treat raw water and wastewater in CFZ;

e. Provide and manage all water and wastewater related services like assisting locator in relocating of pipes and assess internal leaks;

f. Bill and collect payment from the customers for the services (with the exception of SM City Clark). SM City Clark has been carved out by virtue of RA No. 9400 effective 2007 even if it is located within the franchise area; and

g. Extract raw water exclusively from all sources of raw water including all catchment areas, watersheds, springs, wells and reservoirs in CFZ free of charge by CDC.

On August 15, 2014, the Clark Water and CDC signed an amendment agreement to the concession agreement dated March 16, 2000. The Amendment provides for the following:

a. Extension of the original concession period for another fifteen (15) years up to October 1, 2040;

b. Additional investment of ₱4.00 billion provided under the amended concession agreement to be spent for further improvement and expansion water and wastewater services in the area. Investment requirement under the original CA amounted to ₱3.00 billion and the amended concession agreement required an additional investment of ₱2.00 billion. Total investment prior to the amendment of the concession agreement amounted to ₱1.00 billion;

c. Introduction of rate rebasing mechanism for every four (4) years starting 2014;

d. Reduction in tariff rates by 3.9% (from ₱25.63/m^3 to P₱24.63/m^3) effective September 1, 2014, subject to the Extraordinary Price Adjustment; and

e. Increase in tariff rates by:
   i. ₱0.41/m^3 (from ₱24.63/m^3 to ₱25.04/m^3) in 2018
   ii. ₱0.42/m^3 (from ₱25.04/m^3 to ₱25.45/m^3) in 2019
   iii. ₱0.42/m^3 (from ₱25.45/m^3 to ₱25.87/m^3) in 2020
   iv. ₱0.43/m^3 (from ₱25.87/m^3 to ₱26.30/m^3) in 2021

As a result of the extension of the concession period, service concession assets and service concession obligation as of August 15, 2014 increased by ₱56.58 million. Further, the recovery period of Clark Water's investment is now extended by another fifteen (15) years from 2025 to 2040.

On May 26, 2017, Clark Water submitted its proposed 2018 rate rebasing plan following the four (4)-year rebasing period stated in its concession agreement. As of December 31, 2021, Clark Water's 2018 rate rebasing is still ongoing which put on hold the approved tariff increases when the concession agreement was amended in August 15, 2014. On February 9, 2023, Clark Water submitted its proposed 2022 rate rebasing plan following the four (4)-year rebasing period stated in its concession agreement.

On December 20, 2023, CDC Board approved the 60% tariff increase following 60-20-20 tranches to be implemented effective January 1, 2024.

On September 18, 2024, Clark Water and Clark Development Corporation (CDC) executed a fourth amendment to the Concession Agreement which is considered effective on the same date. These amendments clarify financial obligations, compensation terms for MAGA, and introduce mechanisms for adjusting tariffs in response to extraordinary circumstances. Below are the key changes in the seventh amendment to the Concession Agreement:

- Additional Concession Fee (Clause 16.5)
- Definition of Material Adverse Government Action (MAGA)
- Extraordinary Tariff Adjustment (Clause 17B, Annex F)
- CDC Events of Default (Clause 23.2)
- Arbitration (Clause 29)
- Expenditures and Tariff Adjustment Calculations
- Provisional CPI Adjustment (Clause 16.6)

Ilagan Water's BWSPA with CIWD
The significant commitments of Ilagan Water under the BWSPA are as follows:

a. Develop raw surface water sources which includes planning, designing, building, financing, testing, operating, and upgrading the bulk water facilities related thereto; and

b. Provision of minimum guaranteed volume of five (5) million liters of treated water per day on Year 1, gradually increasing to thirty (30) million liters per day on Year 23 of the operations of the bulk water facilities.

Ilagan Water's SMA with CIWD
The significant commitments of Ilagan Water under the SMA are as follows:

a. Develop septage facility which includes planning, designing, building, financing, testing, operating, and upgrading; and

b. Provision of septage management services to the customers of CIWD, particularly septage collection, septage treatment, and bio solids disposal for a period of twenty-two (22) years.

Ilagan Water's Interim Bulk Water Supply with CIWD

a. To construct and maintain interim bulk water facilities for production of raw water for 2 years

b. Provision of minimum guaranteed volume of three (3) million liters of raw water per day of the operations of the interim bulk water facilities.

South Luzon Water's JVA with TnWD
The significant commitments of South Luzon Water under its JVA are as follows:

a. Develop, improve, and expand the water infrastructure of TnWD;

b. Provide water supply and install new water service connections;

c. Provide sanitation services and septage management within the service area;

d. Ensure continuous water supply and appropriate pressure;

e. Connect water service connections to the water main;

f. Ensure potability of water supply and compliance with drinking water quality standards;

g. Provide high quality customer/after-sales service;

h. Payment of revenue share to TnWD; and

i. Such other obligations as may be agreed upon by the Parties.

Laguna Water's Concession Agreement
The significant commitments of Laguna Water under its concession agreement with PGL are as follows:

a. To pay PGL concession fees;

b. To manage, occupy, operate, repair, maintain, decommission, and refurbish the transferred facilities;

c. To design, construct and commission the new facilities during the cooperation period;

d. To provide and manage the services;

e. To bill and collect payment from the customer for all services;

f. To extract raw water exclusively from all sources of raw water; and

g. To negotiate in good faith with PGL any amendment or supplement to the concession agreement to establish, operate and maintain wastewater facilities if doing such is financially and economically feasible.

On June 30, 2015, PGL and MWPVI signed an amendment to their JVA dated November 10, 2000. Simultaneously, and consequent to the amendment of the JVA of Laguna Water, Laguna Water signed an amendment to its concession agreement with the PGL which includes the following:

a. Expansion of its concession area to cover all cities and municipalities in the PGL; and

b. Inclusion in the service obligations of Laguna Water the provision of wastewater services and the establishment of an integrated sewage and septage system in the province.

Laguna Water's APA with LTI
On December 23, 2013, Laguna Water entered an APA with LTI to acquire and operate its water operations division in Laguna. The significant commitments of Laguna Water under the agreement follow:

a. Offer water supply and sewerage services to all current or future locators in the Laguna Technopark, including future area(s) of expansion;

b. Ensure the availability of an uninterrupted 24-hour supply of water to all current and future locators, subject to interruptions resulting from the temporary failure of items of the Water Facilities (where Laguna Water acts promptly to remedy such failure) or required for the repair of the construction of the Water Facilities where such repairs or construction cannot be performed without interruption to the supply of water;

c. Upon request from a current or future locator in the LTI for a connection to a water main, make such a connection as soon as reasonably practicable, upon payment of reasonable connection fees as determined by Laguna Water;

d. Ensure at all times that the water supplied to current and future locators in LTI complies with Philippine National Standards for Drinking Water as published by the Department of Health (or successor entity responsible for such standards) and prevailing at such time and shall observe any requirement regarding sampling, record keeping or reporting as may be specified by law;

e. Make available an adequate supply of water for firefighting and other public purposes as the municipality and/or barangay in which LTI may reasonably request. Laguna Water shall not assess for such water used for firefighting purposes but may charge for all other water used for public purposes; and

Laguna Water shall make a supply of water available to current and future locators in LTI, including the areas of expansion in the future.

<u>Laguna Water's JVA with PAGWAD</u>
The significant commitments of Laguna Water under its JVA with PAGWAD are as follows:

a. Finance, design, engineer, and construct new facilities for water and sanitation;

b. Upgrade existing water and sanitation facilities;

c. Operate, manage, and maintain water and sanitation facilities and services; and

d. Bill and collect tariff for water supply and sanitation services.

<u>North Luzon Water's MOAs with the Municipalities of Sta. Barbara, San Fabian, and Manaoag in Pangasinan</u>
The significant commitments of North Luzon Water under its MOAs are as follows:

a. Construct, maintain, and operate a water system;

b. Construct, maintain, and implement a septage management system;

c. Supply, sell, and furnish water to any person or entity within the territorial limits and political boundaries of the Municipalities of Sta. Barbara, San Fabian, and Manaoag for domestic, commercial or other use, and to charge and collect tariff for the supply of water; and

d. Provide septage management services and to charge and collect septage management fees and sewage collection.

<u>Aqua Centro's JVA with LWD</u>
The significant commitments of Aqua Centro under its JVA are as follows:

a. Develop, improve, and expand the water infrastructure of LWD;

b. Provide water supply and install new water service connections;

c. Ensure continuous water supply and appropriate pressure;

d. Connect water service connections to the water main;

e. Ensure potability of water supply and compliance with drinking water quality standards;

f. Provide high quality customer/after-sales service; and

g. Payment of revenue share to LWD.

Tagum Water's Bulk Water Supply and Purchase Agreement
Tagum Water will have the sole and exclusive right and responsibility during the term of the agreement to:

a. Develop raw surface water sources in Hijo River;

b. Plan, develop, design, build and test the facilities;

c. Implement the Tagum Bulk Water Project;

d. Manage, use, occupy, operate, repair, maintain, upgrade and develop the facilities; and

e. Supply treated water to TWD for distribution to its network.

Facilities and any and all assets, equipment and properties used by Tagum Water to implement the bulk water project will be owned by Tagum Water even after the expiration of the BWSPA.

Cebu Water's Bulk Water Supply Agreement
On December 18, 2013, Cebu Water entered into a bulk water supply agreement with MCWD. The significant commitments of Cebu Water under its agreement with MCWD are as follows:

a. Provide potable and treated water at an aggregate volume of eighteen (18) million liters per day for the first year and thirty-five (35) million liters per day for the succeeding years up to twenty (20) years at ₱24.59 per cubic meter;

b. Ensure that the source shall be sustainable and 100% reliable at any day for the duration of the agreement; and

c. Construct a facility capable of delivering a production capacity of thirty-five (35) million liters per day and maintain the same on its account.

On December 1, 2023, the bulk water supply agreement with MCWD was terminated.

MWPVI's Lease Agreement with PEZA
On December 18, 2017, MWPVI entered into a Lease Agreement for the Operations and Management of the Water and Used Water Facilities of PEZA in Cavite Economic Zone (CEZ), whereby MWPVI agrees to lease, operate, and maintain the existing water and used water facilities in the CEZ for the provision of water and used water services to the locators therein. The lease agreement has a term of twenty-five (25) years from signing of the contract and shall be effective on its commencement date on February 1, 2018.

MWPVI's MOA with LTI
On April 16, 2016, MWPVI entered into a MOA with LTI, whereby through its division, Estate Water, MWPVI shall exclusively provide water and used water services to LTI's Cavite Technopark to be located in Barangay Sabang, Naic, Cavite, and in pursuit of this objective, to construct, develop, finance, and own the water facilities and used water facilities under the terms and conditions set out in the MOA.

MWPVI's Deed of Accession with Orion Land, Inc. (OLI)
On July 1, 2022, MWPVI entered into a Deed of Accession (Agreement) with OLI for provision of used water services, and operation and management of the Used Water Facilities of SouthPark Center.

MWPVI's MOA with ROHM Electronics Philippines Inc. (REPI)
On November 03, 2022, MWPVI entered into a MOA with REPI for the rehabilitation, operation, and management of the existing water system of REPI and to supply a guaranteed volume of 13,200.00 million cubic per month for twenty-five (25) years.

MWPVI's MOA with Damosa Land Inc. (DLI)
On October 20, 2022, MWPVI and DLI signed a term of reference for the commercial term of the partnership between MWPVI and DLI. On February 6, 2023, MWPVI and DLI signed a 25-year partnership for the development, construction and operation, and management of the water system of Anflo Industrial Estate (AIE). In the partnership, MWPVI will invest at least ₱150M for the additional water facilities which will be integrated into the existing system to meet AIE's projected demand of 2.6 million liters of water per day.

Aqua Centro's MOAs with the SM Group
Under Aqua Centro's MOAs with the SM Group, Aqua Centro will develop, construct, finance, own, operate, maintain, rehabilitate, and upgrade the potable water and/or grey water facilities of the SM Group development.

MWPVI's JVA with San Jose City Water District (SJCWD)
On January 14, 2021, the consortium of the MWPVI, MWCI, and TPGI has signed and executed a JVA with the SJCWD for the design, construction, improvement, upgrade, rehabilitation, maintenance, operation, financing, expansion, and management of the water supply system and the provision of water and sanitation services of SJCWD in San Jose City, Nueva Ecija.

MWPVI's MOA with Canlubang Sugar Estate
On December 22, 2023, Canlubang Sugar Estate (CSE) and MWPVI entered to a Bulk Water Supply Arrangement. CSE shall supply MWPVI at least 518,400 cubic meters of raw water per month from Matang Tubig Spring for 25 years.

30. **Provisions and Contingencies**

On October 13, 2005, the Municipal Government of Norzagaray, Bulacan Province, issued a Notice of Assessment and Notice of Demand for Payment of Real Property Tax against the Parent Company and Maynilad (jointly, the Concessionaires) for the real property taxes on the Common Purpose Facilities (CPF) of MWSS for the period of 1998 to 2005 amounting to ₱357.11 million. The Concessionaires appealed the assessment to the Local Board of Assessment Appeals, and subsequently with the Central Board of Assessment Appeals (CBAA). In a decision dated August 25, 2022, the CBAA ruled in favor of the Parent Company and declared the Notice of Assessment and Notice of Demand for Payment of Real Property as void. The CBAA held that the Concessionaires are not liable to real property tax on the CPF.

On October 11, 2022, the Province of Bulacan filed a Petition for Review with the Court of Tax Appeals (CTA) assailing the decision of the CBAA. On May 26, 2023, the Court of Tax Appeals En Banc (CTA EB) dismissed the petition, without prejudice, due to the repeated failure to comply with the directives of the CTA to correct the deficiencies of the Petition filed by the Province of Bulacan. In a Resolution dated May 10, 2024, the CTA EB issued a Resolution that recalled its earlier Resolution dated May 26, 2023, and gave the Province of Bulacan an opportunity to rectify the formal defects identified by the court.

The Province of Bulacan submitted several Compliance but unable to fully comply with the directives of the CTA EB. On July 19, 2024, the Parent Company filed a Comment to highlight the deficiencies of the Province of Bulacan with the CTA EB's Resolutions. Maynilad also filed its Manifestation informing the CTA EB that it is joining the Parent Company's Comment in that the Province's multiple violations of the Rules of Court and the repeated failure of the Province of Bulacan to rectify the defects in the Petition. Maynilad similarly asked for the dismissal of the same. As of December 31, 2024, the matter is pending with the CTA EB for the resolution of the issues.

31. **Other Matters**

The Organization for Economic Co-operation and Development (OECD) has published the Global Anti-Base Erosion (GloBE) Model Rules, which include a minimum 15% tax rate per jurisdiction on multinational companies with an annual consolidated group revenue of EUR750 million or more for 2 out of the 4 preceding fiscal years ("Pillar Two"). The Group is in scope of Pillar Two Rules and has adopted the amendments to IAS 12. Although various countries have implemented Pillar Two Rules, it did not impact the 2024 results of the Group.

The Group expect the Domestic Minimum Top-up Tax and the Income Inclusion Rule will become effective in Singapore, Thailand, and Indonesia in 2025 and these rules may impact the Group, including entities located in the Philippines and Saudi Arabia. However, the Pillar Two legislations were enacted close to the reporting date. Therefore, the Group is still in the process of assessing the potential exposure to Pillar Two income taxes as of December 31, 2024. The potential exposure of the Group, if any, to Pillar Two income taxes is currently not known or reasonably estimable. The Group expects to be in a position to report the potential exposure in its next interim financial statements.

For the year ended December 31, 2024, the Group has applied the IASB amendment to IAS 12, Income Taxes, which provides a mandatory temporary exception from recognizing or disclosing deferred taxes related to Pillar Two such that there is no impact to the 2024 Consolidated Financial Statements. The Group continues to follow Pillar Two legislative developments to evaluate the potential future impact on the Group's consolidated results of operations, financial position and cash flows beginning 2025.